

# Creating lasting value



*dil se  
open*



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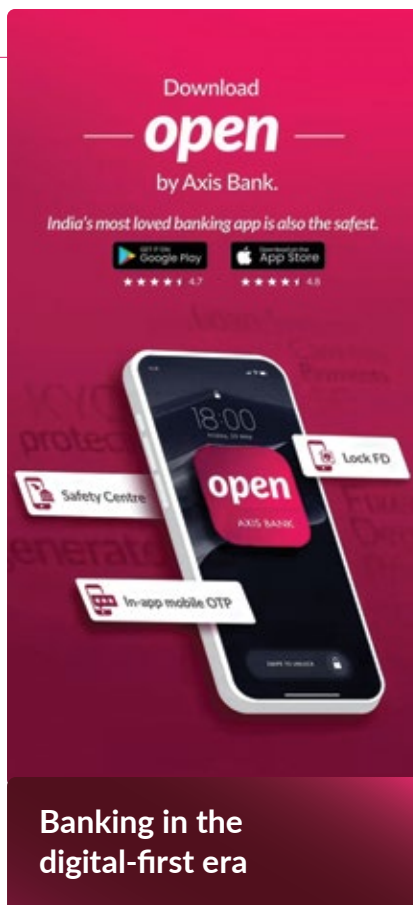
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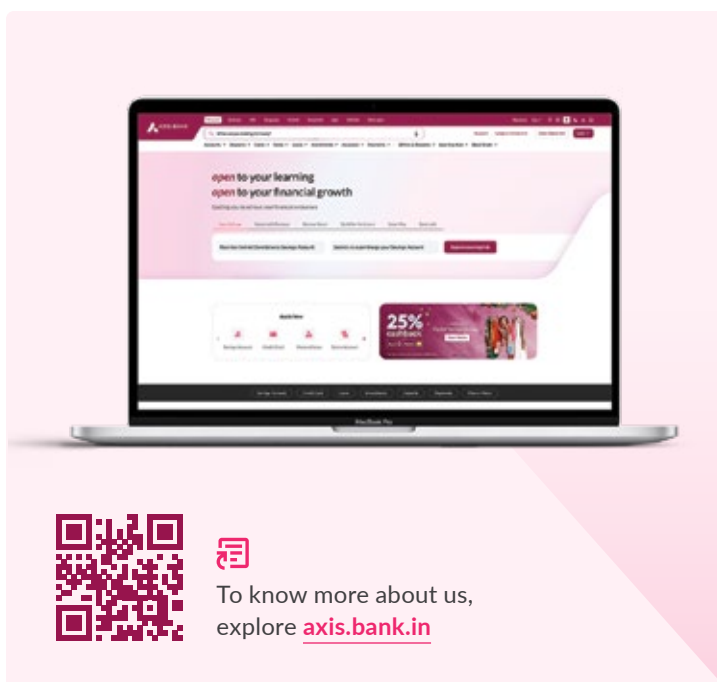
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# *dil se open*

## *Creating lasting value*

Over the last 32 years, we have built enduring relationships by combining financial expertise with warmth, empathy, kindness and openness—values that have been embodied in our brand's unique philosophy, ***dil se open***. As we look towards the future, our aspirations are larger, our opportunities greater, and the expectations of our stakeholders higher than ever before. This has inspired the evolution of our philosophy into ***dil se open*** | The Next Chapter.

While rooted in the same values that have guided us thus far, this next chapter introduces a powerful new dimension: **proactiveness**. It reflects our commitment to not only respond to customer needs, but to anticipate them; not only serve customers, but also to enable them to realise their aspirations.



## For customers



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## For communities



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## For employees



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## For partners



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## For investors



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## For the environment



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# An integrated approach to value creation

Our third **Integrated Annual Report** for fiscal 2026 reflects our commitment to **transparency, innovation and value creation** that is open to new possibilities, open to customer aspirations and open to sustainable progress.

## Reporting principles and framework

This Integrated Annual Report has been prepared in accordance with the International Integrated Reporting Council <IR> Framework and SEBI's guidelines on Integrated Reporting and provides an accurate and balanced insight into the Bank's financial and non-financial performance, aligned with our strategic vision and long-term value creation approach.

This report articulates the Bank's continued commitment to integrating Environmental, Social, and Governance (ESG) imperatives into its core business operations. It offers a structured and in-depth account of the Bank's strategic priorities, governance architecture, risk management frameworks, and value creation processes. Through comprehensive and transparent disclosures, the Bank seeks to inform stakeholders of its long-term vision, operational integrity, and dedication to sustainable and responsible growth, which is in line with reporting guidelines and frameworks including rules and amendments set out by regulators.

### Integrated reporting

- ▶ Integrated Reporting Framework <IR> developed by International Integrated Reporting Council (IIRC)
- ▶ SEBI Guidelines on Integrated Reporting

### Statutory reports

- ▶ SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
- ▶ Companies Act, 2013
- ▶ Guidelines issued by other regulators as applicable

### Sustainability reporting

- ▶ SEBI's Business Responsibility and Sustainability Reporting (BRSR) framework
- ▶ Global Reporting Initiative (GRI) standards
- ▶ Task Force on Climate-related Financial Disclosures (TCFD) framework
- ▶ United Nations Sustainable Development Goals (UN SDGs)

### Financial reporting

- ▶ The Banking Regulation Act, 1949
- ▶ Regulations, circulars, and guidelines issued by the Reserve Bank of India (RBI)
- ▶ Accounting standards notified under Section 133 of the Companies Act, 2013
- ▶ Companies (Accounts) Rules, 2014, and Companies (Accounting standards) Rules, 2021

## Materiality and scope

Our reporting is guided by our materiality assessment, which identifies key economic, environmental, social, and governance-related factors that impact our ability to create and sustain value in the short, medium and long term. We prioritise issues based on stakeholder expectations, business impact and regulatory standards through a structured materiality assessment, aligning with <IR>, GRI standards, TCFD, and BRSR frameworks. This approach ensures transparent, relevant and forward-looking disclosures, enabling stakeholders to make informed decisions while reinforcing our commitment to responsible banking and the creation of long-term value.

## Reporting period

This Integrated Annual Report presents the standalone performance of the Bank for the twelve months from April 1, 2025 to March 31, 2026, unless stated otherwise. It also captures key external factors, stakeholder insights, and strategic responses to emerging opportunities and risks.

### Reporting boundary

This report aligns with the principles of the Integrated Reporting <IR> Framework and presents an interconnected view of the Bank's financial and non-financial performance. The boundaries include:

#### Integrated reporting boundary

- ▶ Our operating context
- ▶ Our business model and impact on the six Capitals
- ▶ Our strategy
- ▶ Stakeholder engagement
- ▶ Governance

#### Financial reporting boundary

- ▶ Alignment with the financial statements and statutory reporting requirements

No significant changes in the organisation's type, ownership or reporting boundaries occurred during the reporting period.

The previous year figures have been regrouped and reclassified, where necessary, to conform to current year's presentation, ensuring comparability and continuity in measurement methods, timeframes and disclosures.

## Approval by the Board of Directors

- ▶ The Bank acknowledges the integrity of the information provided in this Integrated Annual Report and believes that this report is a fair and balanced view of the Bank's performance and prospects within the Integrated Reporting Framework.
- ▶ The Board is informed that this report aligns with the Integrated Reporting Framework and acknowledges that the information provided in this report has been reviewed and approved by the respective business units and top management.

## Assurance

- ▶ The standalone and consolidated financial statements in this report have been independently audited by:
  - M/s. M M Nissim & Co LLP, Chartered Accountants (FRN 107122W/W100672)
  - M/s. KKC & Associates LLP, Chartered Accountants (FRN 105146W/W100621)
- ▶ SGS India Private Ltd. (SGS India) has externally assured the Business Responsibility and Sustainability Report (BRSR) Core. The said Assurance Statement is available on our website as part of the BRSR. 'Reasonable Assurance' is provided for the BRSR Core.

## Forward-looking statement

This report contains certain forward-looking statements based on current expectations, market conditions, and strategic assumptions. These statements are inherently subject to a range of risks and uncertainties, and external factors that may impact the Bank's operations. Actual results may differ materially from those expressed or implied in such statements. The Bank undertakes no obligation to update or revise any forward-looking statements, except as required under applicable laws and regulations.

## Feedback

We value your feedback that would enable us to disclose relevant information in an effective and transparent manner. Please write to us at: [shareholders@axis.bank.in](mailto:shareholders@axis.bank.in)





## Our open approach to Integrated Reporting

### Integrated thinking in decision - making

Integrated thinking is at the core of creating, sustaining and enhancing value for all stakeholders. It drives our strategic decision-making by ensuring a holistic, interconnected approach that aligns financial success with sustainable impact.

By embedding integrated thinking, we break silos and foster synergies across six Capitals – Financial, Manufactured, Social and Relationship, Intellectual, Human and Natural. This approach enables us to:

- ▶ Enhance long-term value creation by integrating financial performance with ESG commitments.
- ▶ Align business strategy with stakeholder priorities through proactive engagement and responsiveness.
- ▶ Strengthen risk management and governance by considering both opportunities and challenges holistically.
- ▶ Empower and engage our people, nurturing a future-ready workforce through continuous learning, inclusivity and a culture of performance and purpose.
- ▶ Leverage innovation and digital transformation, supported by robust infrastructure, digital ecosystems,

and strategic partnerships, to drive operational excellence, deliver secure, scalable, and accessible customer-centric banking solutions, deepen customer relationships, and promote inclusive growth and nation-building across urban and rural India.

Our Integrated Reporting Universe seamlessly connects these elements, ensuring that every decision we make is open to growth, innovation and sustainability.

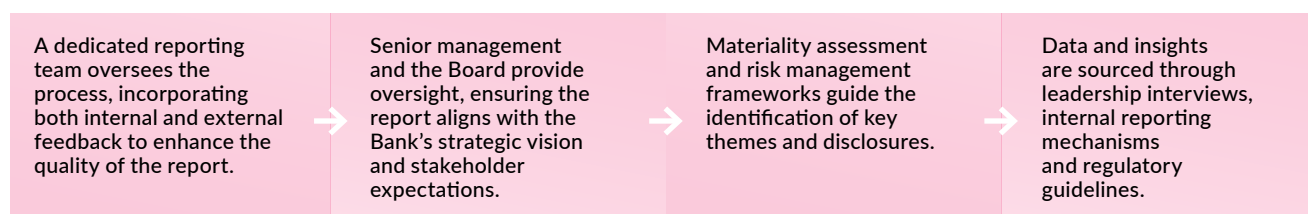
### Guiding principles

Our Integrated Report is based on key guiding principles of the Integrated Reporting Framework, which ensure transparency, connectivity, and value creation for stakeholders.

- ▶ Strategic focus and future orientation
- ▶ Connectivity of information
- ▶ Stakeholder relationships
- ▶ Materiality orientation
- ▶ Conciseness
- ▶ Reliability and completeness
- ▶ Consistency and comparability

## Our integrated reporting process

This Integrated Annual Report follows a structured and transparent preparation process to ensure accuracy, relevance and alignment with global best practices:



## Our material issues



## Our Capitals

Six interconnected capitals shape our approach to value creation and define our unique approach to banking — one that is open to possibilities, partnerships, and progress.



### Financial Capital

Our financial strength enables us to drive sustainable growth, maintain resilience, allocate capital responsibly and deliver long-term value for shareholders, customers and the economy.



### Manufactured Capital

Our physical and digital banking infrastructure including branches, ATMs, offices, technology platforms and omni-channel networks, enables secure, accessible and seamless banking across customer segments.



### Intellectual Capital

Our technology capabilities, data intelligence, digital innovation, risk expertise and institutional knowledge help us design smarter solutions, enhance customer experience and strengthen operational efficiency.



### Human Capital

Our people, culture and leadership capabilities power the Bank's performance through customer focus, agility, inclusion, continuous learning and responsible decision-making.



### Social and Relationship Capital

Our trust-based relationships with customers, employees, regulators, investors, partners and communities enable us to deepen engagement, promote financial inclusion and create shared value.



### Natural Capital

Our approach to environmental stewardship focuses on responsible resource use, climate-conscious operations, sustainable finance and supporting the transition to a low-carbon economy.

## UN Sustainable Development Goals (UN SDGs)



We actively assess interdependencies and trade-offs among these capitals. An evaluation informs our strategic decisions on how actions affect these capitals across time horizons, ensuring resilience and long-term value creation.

## Our stakeholders



Shareholders & Investors



Communities & NGOs



Value chain partners



Customers



Regulators and policymakers



Rating agencies



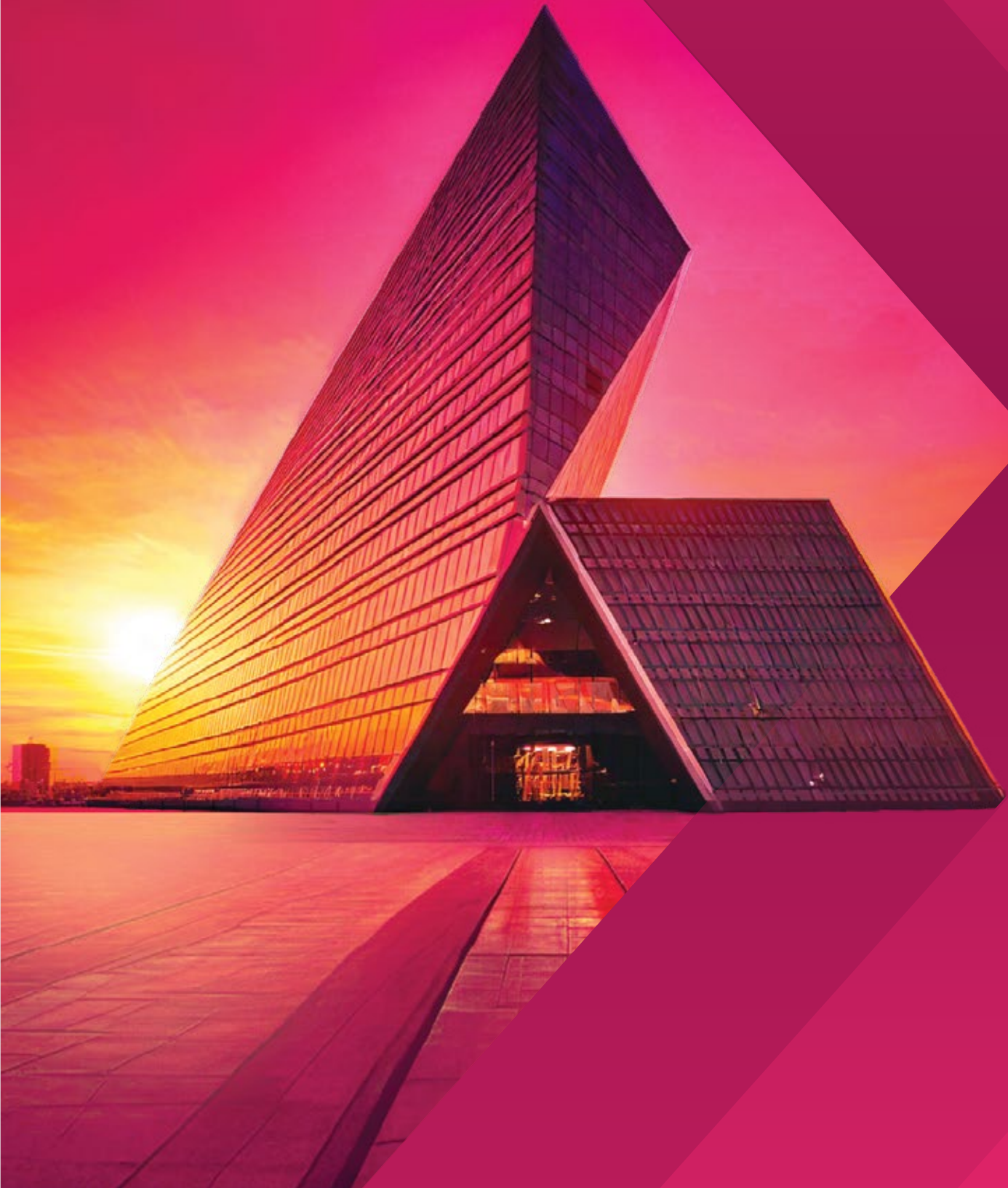
Employees



Industry and peers

# Welcome to Axis Bank

As one of India's leading private sector banks, we serve retail, corporate, rural, and international customers through an integrated financial services ecosystem, driven by our GPS strategy and 'One Axis' approach.





# Shaping the next chapter of our growth

Backed by a strong, diversified model and disciplined execution, we leverage technology, data-led insights, and trust to deliver meaningful, risk-aware outcomes for customers and communities. As 'One Axis', we remain committed to serving every need, on every path, with consistency, care and conviction.

## Vision

To be the preferred financial services provider, excelling in customer service delivery through insight, empowered employees, and smart use of technology.

## Purpose

Banking that leads to a more inclusive and equitable economy, a thriving community, and a healthier planet.

## Mission

To be the preferred financial solutions provider across the country, delivering customer delight by:

Providing innovative and intuitive banking solutions

A combination of organisational agility, digital capabilities and physical reach

Adopting sustainable banking practices, particularly around ESG and climate change

## Backed by five values



Ownership



Teamwork



Transparency



Ethics



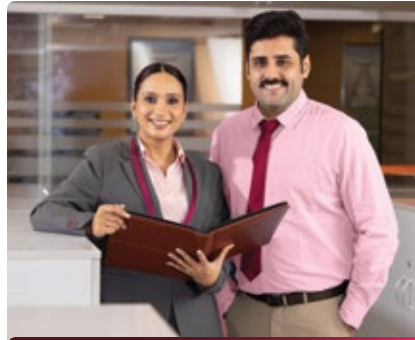
Customer Centricity

## Integrated Business Lines



**Retail Banking**

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**Wholesale and Commercial Banking**

[Page 94](#)



**Offerings through 'One Axis'**

[Page 104](#)

Sustainability is deeply ingrained in our organisational philosophy as we move forward with our **GPS strategy**.



# Distinct businesses. Connected strengths.

Our three business lines are closely aligned with our GPS (Growth, Profitability, Sustainability) strategy. Together with the consistent embedding of our 'One Axis' approach, the synergy ensures all customer interactions — from rural borrowers to multinationals — benefit from our full capabilities, digital infrastructure, and ecosystem. By breaking down structural silos, we have built a unified value flywheel that seamlessly integrates our core business lines — Retail Banking, Wholesale and Commercial Banking, and offerings through 'One Axis'. This integrated approach, powered by our digital platforms, enables a continuous flow of customers, data, and capital across segments, driving cross-sell opportunities, improving funding efficiency, and strengthening balance sheet quality across the franchise.

Read more in our  
[Business performance review](#) on page 86

## Retail Banking



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### Value proposition

Deepening connections with individuals and small businesses through highly personalised, digital-first banking and world-class wealth management solutions.

### Key priorities advanced during fiscal 2026

**Wealth dominance:** Solidifying 'Burgundy' by integrating consumer platforms through bespoke advisory and family office solutions.

**Hyper-personalisation:** Leveraging AI and analytics within the **open** by Axis Bank app to evolve from transactional banking into predictive financial stewardship.

**Premiumisation of deposits:** Strengthening the liability franchise by driving granular, high-quality CASA growth.

### Y-o-Y performance highlights

▲ **11%**

Savings Bank deposits

▲ **13%**

Burgundy Private AUM\*

▲ **8%**

Retail loan book

\*Includes deposits and assets under advice

### Capital Linkages



## Wholesale and Commercial Banking



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### Value proposition

Empowering India's corporate growth and MSME resilience through domain expertise, tailored credit structures and next-generation transaction banking.

### Key priorities advanced during fiscal 2026

**Transaction banking & neo for corporates:** Scaling the **neo** by Axis Bank API suite for real-time treasury and trade solutions.

**Sustainable finance leadership:** Incremental financing target of ₹60,000 crores to sectors with positive environmental and social outcomes by fiscal 2030.

**MSME digitisation:** Expanding digital journeys across MSME lifecycle for ease of sourcing, underwriting, onboarding and servicing for MSMEs.

**Alternative channels & One Axis synergy:** Leveraging digital-led channels and the 'One Axis' approach to drive efficient acquisition and cross-functional solutions.

### Y-o-Y performance highlights

▲ **38%**

Wholesale Banking Coverage Group (WBCG) loans

▲ **24%**

Commercial Banking Group (CBG) loans

▲ **33%**

Mid-Corporate loan book

### Capital Linkages



## Offerings through 'One Axis'



Page 104

### Value proposition

The connective tissue of Axis Bank, providing the technological backbone and specialised financial services that enable holistic, life-stage banking throughout the 'One Axis' ecosystem.

### Key priorities advanced during fiscal 2026

**Integrated solutions:** 'One Axis' brings together our full range of offerings across our business segments and subsidiaries, delivering comprehensive and seamless financial solutions. This integrated approach allows us to serve customers holistically — across life stages, business needs and aspirations.

### Y-o-Y performance highlights

₹**3,812** crores

Total investment in domestic subsidiaries as on March 31, 2026

₹**12,517** crores

Combined net worth of operating subsidiaries  
▲ 18% y-o-y growth as on March 31, 2026

₹**2,051** crores

Combined PAT of operating subsidiaries  
▲ 16% y-o-y growth

### Capital Linkages





# Disciplined growth, underpinned by risk rigour, capital prudence, and integrated assurance, defines our operating philosophy



**N. S. Vishwanathan**

Independent Director and  
Part-time Chairman

## *Dear Shareholders,*

As I present Axis Bank's Integrated Annual Report for fiscal 2026, I do so with a deep sense of pride in the progress we have made and confidence in the path ahead. I would like to extend a warm welcome to Mr. Neeraj Gambhir on his appointment as Whole-time Director, and to Ms. Malavika R. Harita on joining the Board as an Independent Director during the year. Fiscal 2026 marked a period of strong growth for us complemented by prudent transformation, as we continued to build a resilient and future-ready institution. Our progress has been firmly anchored in enhanced governance standards, strengthened compliance frameworks, and a more effective assurance ecosystem, embedding sustainability, discipline and trust at the core of our growth.

In fiscal 2026, the global economy was characterised by geopolitical uncertainty, shifting trade flows, evolving monetary cycles, attenuated by the middle east conflict. IMF projections for global growth in fiscal 2027 moderated to 3.1%, with downside risks from prolonged geopolitical tensions. Tight financial conditions and AI-led sentiments are driving capital flows, increasing vulnerabilities across emerging markets and global resource stability.

Despite episodes of volatility from tariff uncertainties and geopolitical tensions, India sustained its position as the fastest-growing major economy, underpinned by strong consumption and sound macro fundamentals driven by

proactive monetary and fiscal measures. Easing inflation enabled policy support, while healthy balance sheets, continued public capex, and sustained consumer demand, reinforce a positive, though watchful, outlook.

The Indian banking sector continues to demonstrate strong, broad-based momentum, with credit growth of scheduled commercial banks accelerating to 14% in fiscal 2026 vs 11% in fiscal 2025 and healthy non-food credit expansion driven by sustained deployment across segments. Credit growth remained well-distributed across rural, semi-urban, urban and metropolitan markets. Deposit growth for the industry improved to 11%, though accompanied by a structural shift in mix, with the share of CASA deposits moderating to 39.0% in March 2026 from 45.2% in March 2022. Asset quality has remained robust, with controlled NPAs and strengthened capital buffers. Together, these trends reflect a well-capitalised and resilient banking system, effectively supporting economic expansion while balancing growth with prudence.

Our loan growth remained strong at 19% y-o-y, underpinned by disciplined, RAROC-led expansion in the corporate book, which grew 38%. Granular segments have also sustained robust momentum, with SME, Mid-Corporate and Small Business Banking growing 24%, 33% and 17% on y-o-y basis, respectively. Retail disbursements strengthened in the latter half of fiscal 2026, led by personal loans, mortgages and retail-agriculture segments.



With a CET-1 ratio of 14.38% and CAR of 16.42%, we remain well-capitalised to support future growth. During the quarter ended March 31, 2026, we further strengthened our balance sheet through a prudent, precautionary one-time provision of ₹2,001 crores, reflecting our conservative risk philosophy amid heightened geopolitical uncertainties. This action was not driven by any asset quality stress but reflects our prudent risk management practices, reinforcing balance sheet resilience while upholding disciplined and forward-looking risk governance. Our disciplined approach to growth, underpinned by proactive risk management, prudent capital allocation and a strengthened compliance culture, continues to define our operating philosophy.

As a Bank, we have made a deliberate and sustained effort over the years to embed a deeply ingrained, enterprise-wide culture of compliance—one that is owned at every level. In an environment shaped by rapid digitisation, evolving regulatory expectations, and growing AI adoption, compliance is no longer static; it is dynamic, forward-looking, and central to how we operate. With each passing year, we are raising our own benchmarks—setting higher standards, tightening controls, and driving greater accountability across the organisation.

In fiscal 2026, we further strengthened this foundation through an integrated assurance framework, reinforcing risk discipline, audit rigor, and compliance accountability across the Bank and the Group. This was complemented by investments in talent, sharper underwriting standards, and enhanced analytics capabilities, supported by a robust operating platform. A structured engagement model with assurance functions, alongside a strong culture of self-identification of process errors has strengthened first-line ownership, thus enabling timely and decisive remediation. Extending this philosophy across the Group, we have also strengthened our subsidiary governance framework by ensuring greater alignment with Group philosophy, oversight, and consistent execution standards, thereby institutionalising a unified, high-bar approach to governance across all Group entities.

Technology is a central pillar of our compliance architecture. Our technology and AI transformation is governed by clearly defined guardrails, with embedded control frameworks, real-time compliance monitoring, and stringent responsible-use policies—ensuring that innovation is pursued with unwavering discipline, transparency, and accountability.

Our progress in embedding a robust compliance culture and governance discipline is distinctly reflected in external recognition, notably our continued recognition in the top-tier “Leadership” category in the IiAS Corporate Governance Scorecard, reaffirming the strength,

consistency, and effectiveness of our governance practices. As expectations continue to rise, we are not merely adapting, but we are setting the benchmark, with governance firmly established as a strategic differentiator for the Bank.

**Sparsh**, our customer obsession program, remains a core pillar of distinctiveness under our GPS strategy. It reflects our unwavering commitment to delivering superior, consistent customer experiences at scale. Embedded across our 6,000+ branches, all customer touchpoints, and embraced by 1 lakh+ colleagues. Sparsh continues to drive a cultural shift towards deeper engagement, responsiveness, and service excellence enabled by our strong digital and technology capabilities.

Building on our strong governance foundation, our ESG framework reinforces our commitment to sustainable and inclusive growth aligned to our purpose. Our focus on green mobility, retail ESG products, and climate risk integration continues to scale. On the social front, we have surpassed our diversity goals, by achieving the target of 30%+ women representation ahead of our stated timeline, alongside inclusive initiatives to support LGBTQIA+. Anchored in strong governance, our ESG approach remains focused on delivering measurable and future-ready outcomes.

Guided by our purpose and the ethos of *dil se open*, our CSR initiatives continue to focus on creating inclusive and sustainable impact across communities. During fiscal 2026, our programs spanned livelihoods, education, financial inclusion, and climate resilience, reaching underserved geographies and vulnerable populations. Axis Bank Foundation's sustainable livelihoods program supported 2.8 million households across 306 districts in 32 states/UTs, each reflecting a journey from subsistence to enterprise and growing resilience. We also supported ~13.7 lakhs students, enabled financial literacy for ~2.6 lakh individuals, predominantly women and advanced livelihood opportunities on a large scale.

With each milestone, we continue to build a franchise that is resilient, inclusive and sustainable in the long-term. As we look ahead, we remain steadfast in strengthening governance, advancing a culture of safe and responsible banking and leveraging technology to deliver scalable, customer-centric outcomes.

Even as we navigate an increasingly complex and evolving geopolitical landscape with measured prudence, our commitment towards delivering enduring value for all our stakeholders remains unwavering.

Warm regards,

**N. S. Vishwanathan**

Independent Director and Part-time Chairman

# Anchored to a sound strategic framework

1

## 'One Axis' in action

At the core of our uniqueness is 'One Axis,' a unified ecosystem that unites our businesses, subsidiaries and specialised capabilities. By integrating products, expertise, and platforms across segments under 'One Axis,' we deliver seamless and relevant solutions that deepen relationships, improve customer outcomes, and boost franchise-wide value creation.



'One Axis' in action

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2

## Redefining banking in the digital-first era

We are transforming banking by prioritising a digital-first strategy that ensures every interaction is efficient, straightforward and user-friendly. Leveraging platforms such as **open** by Axis Bank and **neo** by Axis Bank, powered by Artificial Intelligence, analytics, and guided processes, we are developing a banking experience that is seamless, accessible, and focused on customer needs.



For customers –  
Banking in the digital-first era

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3

## Enabling access, driving inclusion

We are expanding the reach of formal finance across Bharat through increased physical presence, digital enablement, and localised partnerships. With Bharat Banking at the core of this initiative, we are widening access, encouraging participation in the formal economy, and promoting inclusive growth with discipline and purpose.



For customers –  
Bharat Banking

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Grounded in customer centricity, digital leadership, inclusion, and responsibility, these pillars guide our approach to differentiation and sustainable progress. This disciplined framework positions us to deliver seamless solutions for our customers while ensuring meaningful outcomes for all our stakeholders and the environment.

4

### Customer-first by design

We are strengthening customer relationships by combining digital intelligence, human empathy, and the strength of the 'One Axis' ecosystem to deliver more intuitive, responsive and personalised banking experiences. Through initiatives such as Sparsh and Siddhi, we are embedding customer-centricity into journeys, frontline engagement, and service delivery, while expanding inclusive and locally relevant banking access across Bharat.



**For customers –  
Banking beyond transactions**

[Page 116](#)

5

### Enabling progress through partnerships

We are strengthening India's growth ecosystem through partnerships with governments, institutions, investors and businesses across sectors. By combining the scale of our banking franchise with the capabilities of our subsidiaries, we support capital flows, enterprise growth, public programs, and economic participation at scale. Through collaborative engagement, specialised financial solutions, and responsible stewardship, we continue to contribute to a more resilient, inclusive, and future-ready economy.



**For employees | For investors |  
For partners – Government |  
For communities**

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6

### Driving the green transition

We are integrating sustainability into our lending practices, operational processes, and long-term value creation. Through responsible finance, climate-conscious operations, and environmental initiatives, we support more sustainable growth trajectories, mitigate future risks, and establish a more resilient franchise for the benefit of our stakeholders and society.



**For the environment**

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# Sustainability at the core

In fiscal 2026, we continued to strengthen this approach by scaling sustainable finance, enhancing climate risk expertise, promoting inclusion, and minimising our environmental impact. With Board oversight and stakeholder alignment, our ESG focus is helping build a resilient, inclusive, low-carbon future.

## Material Issues Linkage



## Capital Linkage

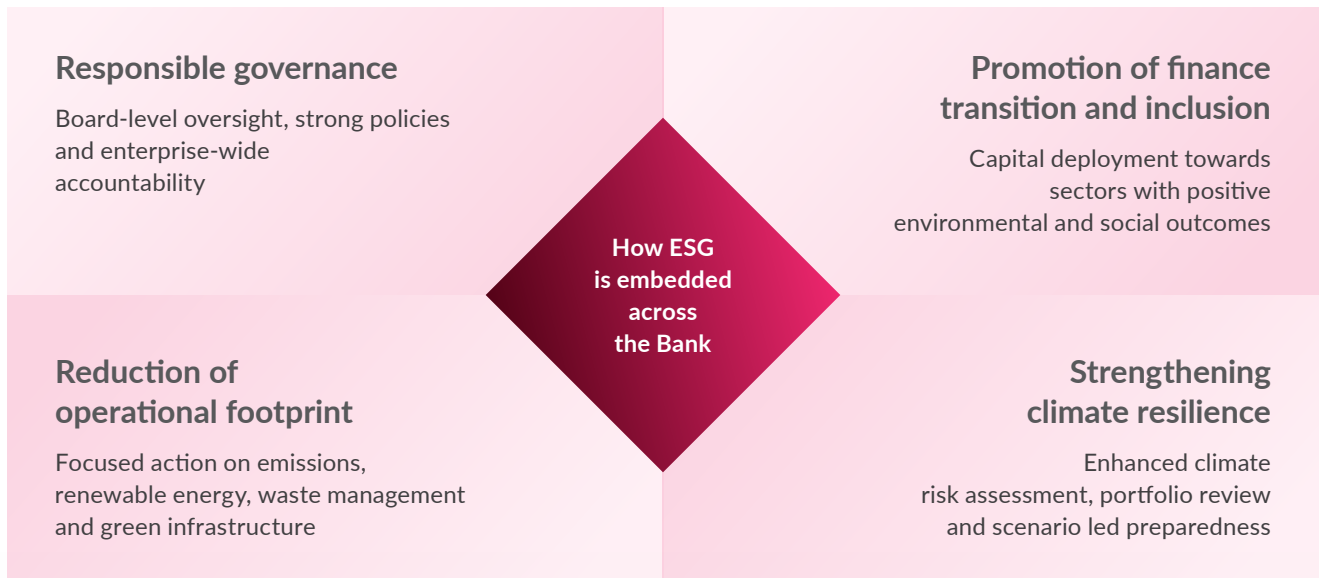


## UN SDGs Linkage



As a financial institution with a broad stakeholder footprint, we understand that value creation must balance financial performance with environmental stewardship, social progress and sound governance. This is reflected in our approach to allocating capital, managing risk, designing products, strengthening internal capabilities and engaging with communities.

During fiscal 2026, we continued to align our actions with national priorities and global sustainability goals, including the UN Sustainable Development Goals and India's climate and development commitments. Under the guidance of the ESG Committee of the Board, we further integrated ESG considerations into our business and operational decision-making, while maintaining a clear focus on accountability, resilience and long-term impact.



## Our fiscal 2027 ESG focus

- ▶ Expand environmental and social risk assessment across the portfolio
- ▶ Strengthen enterprise-level climate risk assessment through stress testing and scenario analysis
- ▶ Scale sustainable and positive-impact financing across Wholesale and Retail Banking
- ▶ Reduce operational carbon footprint through green initiatives and resource efficiency
- ▶ Support climate adaptation, mitigation and resilience through CSR-led interventions
- ▶ Moderate exposure to carbon-intensive sectors in line with the Bank's internal glide path
- ▶ Advancing diversity, inclusion and equitable growth across the organisation



Progress on ESG-aligned goals

Our ESG efforts are designed to translate intent into measurable outcomes. In fiscal 2026, we continued to build on the commitments we put forth in 2021, even as we recalibrated our ambition in areas where progress has accelerated.

Bank's performance against ESG targets

| Commitment/target                                                                                                                                           | Unit                    | Fiscal 2024 progress                    | Fiscal 2025 progress                    |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|-----------------------------------------|-----------------------------------------|
| Incremental financing of ₹30,000 crores under Wholesale Banking to sectors with positive-impact financing social and environmental outcomes by fiscal 2026  | Cumulative Exposure     | ₹30,409 crores (Target achieved)        | Not applicable                          |
| Incremental financing of ₹60,000 crores under Wholesale Banking to sectors with positive-impact financing social and environmental outcomes, by fiscal 2030 | Cumulative Exposure     | Not applicable                          | ₹48,412 crores                          |
| Increasing proportion of Two-Wheeler (2W) Electric Vehicle (EV) loan portfolio - 6% by fiscal 2027                                                          | % Penetration in FY     | 2W 3.62%                                | 2W 7.14%                                |
| Increasing proportion of Four-Wheeler (4W) Electric Vehicle (EV) loan portfolio - 4% by fiscal 2027                                                         |                         | 4W Not applicable                       | 4W 2.92%                                |
| Increasing proportion of Two-Wheeler (2W) Electric Vehicle (EV) loan portfolio - 8% by fiscal 2027*                                                         | % Penetration in fiscal | Not applicable                          | Not applicable                          |
| Increasing proportion of Four-Wheeler (4W) Electric Vehicle (EV) loan portfolio - 7% by fiscal 2027*                                                        |                         |                                         |                                         |
| Scaling down exposure to carbon-intensive sectors, including coal and thermal power                                                                         | Progress on Glide Path  | Exposure below fiscal 2024 targeted cap | Exposure below fiscal 2025 targeted cap |
| Reaching 30% women's representation in workforce by fiscal 2027                                                                                             | Overall diversity ratio | 25.0%                                   | 27.7%                                   |
| Planting 2 million trees by fiscal 2027 across India as part of our contribution to creating a carbon sink                                                  | Saplings planted        | 1.33 million                            | 3.27 million                            |
| Planting 8 million trees by fiscal 2030 across India as part of our contribution to creating a carbon sink                                                  | Saplings planted        | Not applicable                          | Not applicable                          |

2W Two-wheeler 4W Four-wheeler \*Penetration target for each fiscal year in 4W and 2W segments, respectively

| Fiscal 2026 progress                    | Status                                  | Strategic note                                                                                             |
|-----------------------------------------|-----------------------------------------|------------------------------------------------------------------------------------------------------------|
| Not applicable                          | Achieved in fiscal 2024                 | Surpassed target ahead of timeline<br>Target achieved early; revised in fiscal 2025                        |
| ₹61,348 crores                          | Achieved in fiscal 2026                 | Strong progress. Target achieved.                                                                          |
| Not applicable                          | Achieved for Two-wheeler in fiscal 2025 | Reviewed EV portfolio; targets revised in fiscal 2026 to 2W 8% and 4W 7%                                   |
| 2W 9.01%                                | Achieved in fiscal 2026                 | Bank promoting EV adoption via customer offerings and Original Equipment Manufacturer (OEM) partnerships   |
| 4W 7.20%                                |                                         |                                                                                                            |
| Exposure below fiscal 2026 targeted cap | On -track                               | Portfolio transition remains disciplined;<br>Moderating exposure to carbon-intensive sectors               |
| 30.1%                                   | Achieved in fiscal 2026                 | Bank's workforce diversity improved with 37% of new hires being women in fiscal 2026                       |
| Not applicable                          | Achieved in fiscal 2026                 | Target of planting 2 million trees has been upgraded in March 2025 to planting 8 million trees by 2030     |
| 4.16 million                            | On-track                                | Partnering with eight implementation agencies for Miyawaki and other tree plantation programs across India |

# Seamless phygital banking at scale

Be it through a rural branch in India's remote corner or through an intuitive application on a customer's device, we are extending our reach to serve individuals, MSMEs, and global enterprises with tailored, local-first financial solutions.

## Material Issues Linkage



## Capital Linkage



## UN SDGs Linkage



## Physical reach

Our disciplined expansion of the physical network is strategically focused on expanding access to banking in underserved regions, thus unlocking the economic potential of India's hinterlands. By extending our footprint across 3,327 cities, 712 districts and achieving an unprecedented ~89% district coverage nationwide, we are bringing institutional banking capabilities to the grassroots.

## Network strength

6,278

Domestic branches (including 3 Digital Banking Units and 10 Extension Counters)  
(Previous year: 5,879)

12,796

ATMs and cash deposit/withdrawal machines

151

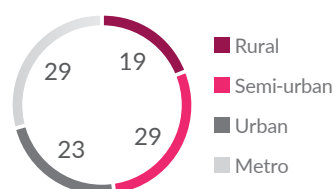
Specialised branches

310

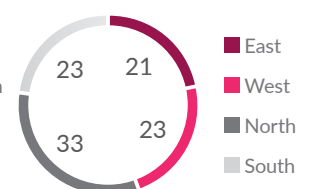
Business correspondents and business facilitator outlets (BCBOs)

Almost 50% of our physical network is now allocated to fostering expansion within RuSu markets, whereas our Platinum branches provide specialised services to Small Banking Business (SBB) clients.

## Branch distribution (%)



## Region-wise distribution (%)



## Global presence

To support cross-border banking, trade, and wealth requirements of our corporate clients and Non-resident Indians (NRIs), Axis Bank maintains a highly strategic international footprint.

### International branches

- ▲ Dubai (DIFC), U.A.E.
- ▲ GIFT City-IBU, India
- ▲ Singapore

### Representative offices

- Abu Dhabi, U.A.E.
- Dhaka, Bangladesh
- Dubai, U.A.E.
- Sharjah, U.A.E.

Above are standalone figures as on/for year ended March 31, 2026 unless otherwise mentioned





## Digital footprint

Across Retail and Wholesale Banking, digital platforms serve as an important enabler to the Bank's physical network. In fiscal 2026, priorities shifted from adoption to deepening customer relationships, anchored in dependable performance, robust safety controls and scalable digital capabilities.

**~3 crores**

Registered customer base for mobile banking

**4.8**

Rating of mobile app on Google Play Store & Apple App Store

**66%**

Mobile banking customers banking only on mobile application

**₹30 trillion**

Mobile banking spends  
▲ 17% y-o-y

**18 million+**

Non-Axis Bank customers using Axis Mobile and Axis Pay apps

**11 billion**

Mobile banking transactions  
▲ 25% y-o-y

**250+**

DIY services available on the mobile app

## Recognised for digital excellence

- ▶ Recognised as Indian Domestic Digital Transformation Bank of the Year at the Asian Banking & Finance Awards 2025
- ▶ Won the Infosys Innovation Award 2025 ('Maximising Customer Engagement') for our '**neo** for Corporate' platform
- ▶ Honoured with the Agentic30 Disruptors Award at the Agentic Marketing Summit
- ▶ Earned recognition as Best SEO Strategy (Banking Sector) at FINNIXX Summit Awards 2025
- ▶ Recognised for Outstanding Innovation in Financial Technology (Merchant Cash Advance) at the 4<sup>th</sup> BFSI Award 2026

## Phyigital engagement

Our virtual engagement channels make banking personalised, proactive and frictionless, bridging online ease with human empathy. We have made it our mission to remain *open* through physical branches and every screen, tap and conversation.

**8**

Axis Virtual Centres (AVCs) nationwide

**1,591**

Virtual Relationship Managers

**~100 million**

Aha! Conversations in fiscal 2026

### WhatsApp Banking

**₹145 crores**

Fixed deposits booked via WhatsApp in fiscal 2026

**78**

Product journeys now entirely digitised



With over 40 million registered users, WhatsApp has become a key touchpoint in our digital journey. Fully integrated with Axis Aha!, our chatbot platform supports fixed deposit bookings, card services, loan requests; real-time transactions and balance checks; smart Frequently Asked Questions (FAQ) handling powered by Artificial Intelligence (AI).

# A journey defined by purpose and progress

Over the past three decades, we have evolved from a robust banking network to a highly integrated, digital-first ecosystem.

1990s



**1994**

Incorporated as UTI Bank

**1995**

First branch in Ahmedabad inaugurated by Dr. Manmohan Singh, Union Finance Minister

**1997**

Deposits cross ₹1,000 crores

**1999**

Oversubscribed IPO; over 1 lakh retail investors

Launched website: [www.utibank.com](http://www.utibank.com)

2000s



**2002**

Crossed 100 branches

**2003**

Launched 'Corporate iConnect', an internet banking facility for corporate customers

**2004**

7,000+ ATM access enabled via shared networks

**2005**

Listed on London Stock Exchange, raised \$257.03 million through Global Depositary Receipts (GDRs)

**2008**

Renamed as Axis Bank

## 2010s

Still paying with your Savings Account?  
Pay on UPI with **AXIS BANK RUPAY** Credit Cards

Pay on UPI



\*T&C Apply



### 2010

Shikha Sharma was appointed MD & CEO

### 2011

Acquired Enam Securities' investment banking and equity capital market business

Launched online trading platform, Axis Direct

### 2013

Opened 10,000<sup>th</sup> ATM

### 2015

First all-women branch in Patna

### 2017

Issued Asia's first certified Green Bond (\$500 mn)

### 2018

Opened IFSC Banking Unit at GIFT City

### 2019

Amitabh Chaudhry appointed MD & CEO

## 2020s



### 2020

Raised ₹12,500 crores via one of the largest private QIPs

### 2021

Strategic partnership with Max Life Insurance

### 2022

Raised \$600 million through India's first ESG-compliant Sustainable AT1 Bond

### 2023

Completed acquisition of Citibank India's Consumer Business

### 2024

The 4<sup>th</sup> largest credit card issuer in India

### 2025

Successful migration of 2 million+ Citibank India consumers to Axis Bank systems

### 2026

Axis Bank sets up a new benchmark in brand storytelling with its latest campaign, **'dil se open | ASLI KYC'**

# One ecosystem. Seamless solutions.

To deliver sustainable value in a rapidly evolving economic environment, an institution requires strong foundational backing, a clear-eyed view of global and domestic trends, and a highly differentiated competitive moat. As we close fiscal 2026, Axis Bank's positioning is defined by the strength of its integrated ecosystem and its agility in navigating the forces reshaping global finance.

## The bedrock: Ownership and the 'One Axis' ecosystem

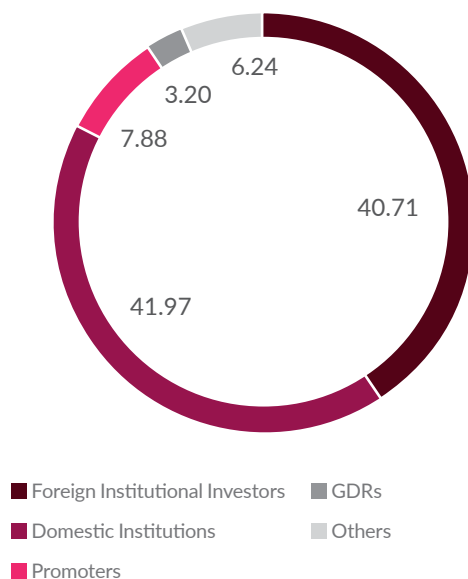
Our growth is supported by the enduring trust of our investors and strengthened by a robust ecosystem of specialised subsidiaries. This structure allows us to participate across the financial services value chain, while retaining focus and discipline within each business.

High institutional ownership reflects strong investor confidence in the Bank's governance, strategy and long-term performance.

## Ownership structure

The Bank remains a widely held and professionally managed institution. Our shareholding structure demonstrates the enduring confidence of both domestic and international institutional investors in our long-term GPS (Growth, Profitability, and Sustainability) strategy.

Shareholder category (%)



(as of March 31, 2026)





## The multiplier effect: 'One Axis' ecosystem

Our wholly owned and majority-owned subsidiaries are market leaders in their respective domains. They provide the specialised capabilities that make our 'One Axis' cross-sell strategy possible, ensuring we capture the entire lifetime value of our customers.

| Core business segment                                     | Entity                                        | Axis Bank holding (%) | Strategic role                                                     | Fiscal 2026 indicator                                   |
|-----------------------------------------------------------|-----------------------------------------------|-----------------------|--------------------------------------------------------------------|---------------------------------------------------------|
| Retail Brokerage                                          | Axis Securities Limited                       | 100%                  | Digital broking platform                                           | ₹366 crores PAT                                         |
| Investment Banking                                        | Axis Capital Limited                          | 100%                  | Corporate advisory & capital markets                               | ₹259 crores PAT;<br>▲ 61% y-o-y                         |
| Mutual Fund & PMS                                         | Axis AMC Limited                              | 75%                   | Wealth creation solutions                                          | ₹596 crores PAT<br>▲ 19% y-o-y                          |
| Enterprise-Focused Non Non-Banking Finance Company (NBFC) | Axis Finance Limited                          | 100%                  | NBFC lending platform                                              | ₹806 crores PAT<br>▲ 19% y-o-y                          |
| Life Insurance                                            | Axis Max Life Insurance Ltd. (Associate)      | 19.02% <sup>1</sup>   | Protection & long-term savings                                     | ~₹54 crores share of PAT                                |
| Trustee Services                                          | Axis Trustee Services Ltd.                    | 100%                  | Asset Management                                                   | Assets under custody at ₹52,844 billion<br>▲ 11% y-o-y  |
| Investment Management Services                            | Axis Pension Fund Management Ltd.             | 47% <sup>2</sup>      | Pension Fund Management under NPS                                  | AUM ₹16,118 crores<br>▲ 82% y-o-y                       |
| Fintech Platform                                          | Freecharge Payment Technologies Private Ltd.  | 100%                  | Digital payments ecosystem                                         | Gross Merchandise Value ₹42,828 crores<br>▲ 20.8% y-o-y |
| TReDS (discounting) Platform                              | A.TREDS Ltd.                                  | 67%                   | MSME receivable financing                                          | ~56.72 lakhs+ invoices discounted                       |
| Business correspondent and Technology Service Provider    | Freecharge Business & Technology Services Ltd | 100%                  | Scaling of lending & financial services; Merchant-led distribution | ₹600 crores+ disbursements with ₹610 crores AUM         |

1. Position as on March 31, 2026 and including stakes owned by Axis Capital and Axis Securities

2. Effective stake held by Axis Group in step down subsidiary

Above are figures as on/for year ended March 31, 2026 unless otherwise mentioned

## The 'One Axis' advantage

Cross-selling opportunities through the 'One Axis' ecosystem

Integrated customer journeys throughout the customer lifecycle

End-to-end journeys enabled through API integrations and common CRM platforms

Diversified revenue streams



# Responding to change with focus and agility

We sustain our differentiation by pairing institutional scale with disciplined practices and purpose-driven innovation to navigate a rapidly evolving ecosystem.

## Global volatility vs Indian resilience

In fiscal 2026, the global economy continued to be impacted by geopolitical fragmentation, persistent regional conflicts and disruptions to key trade routes in the Middle East. These factors collectively heightened uncertainty across supply chains, energy markets, and global commerce. Despite the headwinds, India strengthened its position as a key engine of global growth, supported by resilient domestic consumption, sustained public infrastructure investment and a gradual revival in private capital expenditure. These structural tailwinds fuelled robust economic activity and created a broad-based demand for financial services.

For the Bank, this translated into sustained, high-quality opportunities across corporate, SME and retail segments, as customers looked to finance expansion, manage volatility and fulfil rising aspirations. Leveraging its well-diversified business model, strong digital capabilities, and disciplined risk management framework, the Bank remains well-placed to support India's growth journey while creating long-term value for stakeholders.



## What is reshaping Indian banking?

The traditional banking model is being aggressively redefined by three mega-trends, demanding agility and strategic vision:

### The premiumisation of the consumer

Rising per capita income is shifting consumer demand away from basic savings products toward diversified wealth management, premium credit cards and bespoke advisory services.

### The Digital Public Infrastructure (DPI) revolution

The maturity of Unified Payments Interface (UPI), Open Network for Digital Commerce (ONDC), and Account Aggregators has democratised access to financial services. Consequently, banks must now compete on hyper-personalised user experiences, digital trust and data-driven insights rather than on physical distribution alone.

### Stronger risk discipline and regulatory modernisation

The Indian banking system has significantly strengthened its risk discipline through strict asset quality norms and robust stress testing framework. The RBI has driven regulatory modernisation by adopting Basel III standards and tighter prudential guidelines.

### The race for granular deposits

As systemic credit growth continues to outpace deposit growth, the ultimate winner in Indian banking will be the institution that can most efficiently mobilise low-cost, sticky retail and rural deposits to fund its asset expansion.



## Our moat: Competitive advantages

In response to the operating landscape, the Bank has deliberately engineered a set of compounding competitive advantages. These pillars protect our margins, accelerate our market share, and ensure we are built for all seasons.

### What gives us the edge

#### 'One Axis' synergy

Our greatest differentiator is our ability to deliver the entire Axis ecosystem to a single client. This is ensured by driving exponential cross-sell ratios and ensuring that every Axis Bank customer has seamless access to the full suite of One Axis services. Our integrated architecture significantly lowers customer acquisition cost and maximises lifetime value.

#### Proprietary digital architecture

We are no longer just participating in digital banking; we are defining it. From the AI-driven personalisation engine inside the 'open by Axis Bank' app to the deeply embedded '**neo** for Corporate' transaction banking APIs, our technology stack is built for scale, absolute security, and invisible integration into our customers' daily workflows.

#### Unmatched 'Bharat' granularity

While competitors battle for saturated urban market share, we have built a strong, asset-led phygital footprint (physical and digital ecosystem) in Rural and Semi-Urban (RuSu) India. Achieving 89% district coverage, we are deeply embedded in the grassroots economy, allowing us to capture highly lucrative, granular retail deposits that fund our broader growth.

#### An unassailable balance sheet

As we exit fiscal 2026, our capital adequacy ratios remain well above regulatory requirements; our asset quality is stable and our provisioning provides a significant buffer against any unforeseen macroeconomic shock.

#### The premium wealth franchise

Following the seamless integration of Citibank's consumer business and the aggressive scaling of our 'Burgundy' platform, the Bank commands one of India's most formidable wealth management and premium credit card portfolios. This provides a highly profitable, fee-generating revenue stream that remains resilient through shifting interest rate cycles.

# Building the most loved brand

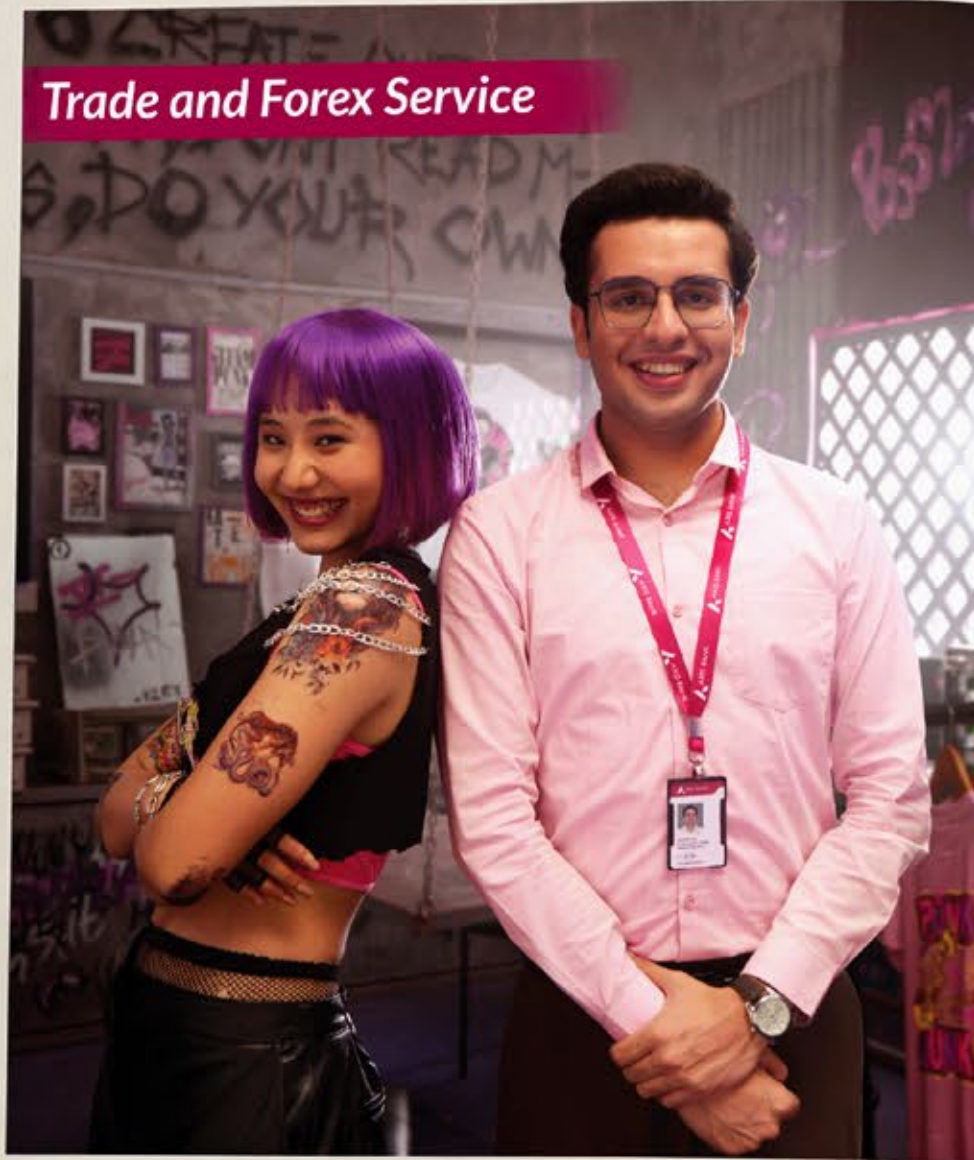








## Trade and Forex Service



**dil se  
open**  
**ASLI  
KYC**



Silver Linings Program for Senior Citizens



Merchant Cash Advance



Medical Equipment Loan for Doctors



Axis Bank Salary Account for employees



Our Asli KYC campaign marked the next chapter of '**dil se open**', spotlighting relationship managers who go beyond data to understand customers' worlds, anticipate needs and offer timely solutions. Through five films across diverse contexts, the campaign showcased how deeper insight leads to meaningful service. Rolled out across digital, social, OOH and internal platforms, Asli KYC reinforced a culture of consistency, excellence and empathy.



## #SafeInvesting IsSmartInvesting

Amid market uncertainty, we repositioned Fixed Deposits as a smart, safe and stable investment choice. Built on the insight that people seek trusted choices in everyday life but often chase riskier returns in finance, the campaign used relatable storytelling across two films to make a case for safer investing. The campaign repositioned Axis Bank Fixed Deposits not merely as a product, but as the choice considered for those who invest with the same care they bring to everything else that matters.

## #DeshKaLocker - Republic Day

This Republic Day, we set out to reposition the locker beyond its conventional role as a vault for financial valuables. Positioning it as a custodian of our highest symbols, like our national flag. Built around the national flag and anchored in the journey of Nikhat Zareen, the campaign made a quiet but powerful case for the kind of pride that endures beyond the moment, and for Axis Bank as a brand that not only understands what Indians protect, but also what they truly hold dear.





## #HumNahiDarte *dil se open*

### #HumNahiDarte - Independence Day

Our #HumNahiDarte Kashmir campaign was a purpose-led effort to revive travel sentiment post disruption. Shot with real locals, it captured the region's resilience and invited travellers back with empathy, not offers. Anchored in '*dil se open*', it positioned the brand as a facilitator of confidence and human connection. The line "Hum nahi darte. Hum dobara aayenge." became a powerful voice of solidarity—helping restore trust, support livelihoods and reopen tourism narratives, while demonstrating the brand's ability to drive impact beyond banking.

### #MotherTonguelish

On International Mother Language Day, we celebrated something deeply Indian and quietly overlooked, the accent that lingers when our mother tongue meets another language. For too long, this beautiful imprint of our roots has been a source of hesitation rather than pride. With #MotherTonguelish, we gave it a name, and invited Indians to speak in their own voice, exactly as they are. Through real people, real conversations, and a warm spirit of inclusion, the campaign reframed accent as identity and reaffirmed our belief that every Indian deserves to be heard with the dignity and openness of *dil se open*.



proudly celebrates

International Mother Language Day





## 6,000<sup>th</sup> Branch Launch Milestone

To commemorate the launch of the Bank's 6,000<sup>th</sup> branch in Nagpur, we partnered with India Post to create a commemorative stamp that transformed a business milestone into a lasting national symbol. Anchored in '**dil se open**', '**dil se open x 6000**' celebrated both scale and spirit—honouring the trust of millions of customers and reaffirming the Bank's commitment to remain open, responsive and customer-first.

## **dil se open** Celebrations 2026

We reimagined the festive season as an ongoing emotion, enabling customers to celebrate meaningfully with up to 20%\* off through Credit Cards and EMIs. The integrated campaign ran across print, outdoor, digital and social media, supported by a festive track sung and composed by Amit Trivedi. Collaborations with celebrity and dance influencers further amplified reach, visibility and engagement through the season.

\*T&C apply



Get up to  
**8 free flight tickets\***

INTRODUCING  
**IndiGo Axis Bank Credit Cards**



## Indigo Flight Axis Bank Credit Card

The launch of the IndiGo Axis Bank Credit Card brought together two leading consumer brands to offer a distinctive travel-led proposition. Through a digital-first, gamified narrative, the campaign showed how everyday spends can unlock travel aspirations. Executed across digital media, owned assets and high-visibility locations such as Delhi T3 Airport and Cyberhub, Gurugram, it drove awareness, engagement, customer acquisition and long-term brand affinity.

## Suvidha

Our 'The First That Stays' campaign targeted freshers and new joiners by celebrating the idea that while all firsts are special, only a few truly last. Using creator-led Vox Pop storytelling and a stop-motion film, the campaign ran across Meta, 200+ digital touchpoints and 100+ ATMs in corporate hubs. It delivered strong engagement and business impact, strengthening our brand recall as a trusted salary banking partner.

## The First That Stays

### AXIS BANK SALARY PROGRAM

*Built for your world*

- Complimentary Credit Card\*
- Special Loan Rates
- Overdraft up to ₹5 lakh\*
- Affordable Health Cover





## Flashback: Celebrating Senior Customer Relationships

Flashback is our engagement platform for senior citizens, curated to acknowledge and nurture long-standing customer relationships. Rooted in the **dil se open** philosophy, the initiative brought senior customers together through screenings of iconic cinema. Conducted across 22 cities, it engaged over 7,000 senior customers, using nostalgia and familiar cultural narratives to strengthen trust and emotional connection with senior customers.

## Splash

SPLASH, our flagship children's engagement platform, grew significantly in fiscal 2026 as a celebration of creativity and imagination. Anchored in the theme 'Dreams', it encouraged children to express their aspirations with confidence. With on-ground activations, digital outreach and AI-led experiences, SPLASH engaged schools, branches and communities across markets, deepening emotional connections with families while reinforcing our innovation-led and inclusive brand philosophy.





## Burgundy Private Experiences

Burgundy Private Experiences bring together access, insight, and exclusivity through thoughtfully curated engagements for Axis Bank Burgundy Private clients.

In fiscal 2026, 51 exclusive experiences were hosted across 21 cities, covering art & culture, insights, and lifestyle. In partnership with NMACC, Indian Express, ASIC, ITC Hotels. Burgundy Private unlocked access to immersive showcases, renowned voices, and refined dining experiences. These bespoke engagements further strengthened client relationships while reaffirming Axis Bank's position as a leading bank known for delivering exceptional and differentiated experiences.



## Governance anchored in values

Through prudent decision-making and strategic oversight, the Board ensures the Bank remains accountable and competitive. Their leadership provides the foundation for sustainable growth and long-term stability.



**N. S. Vishwanathan**  
Independent Director  
& Part-time Chairman



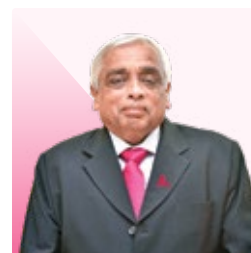
**Amitabh Chaudhry**  
Managing Director  
& CEO



**Girish Paranjpe**  
Independent Director



**Meena Ganesh**  
Independent Director



**G. Padmanabhan**  
Independent Director



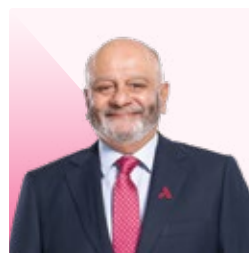
**P. N. Prasad**  
Independent Director



**CH. S. S. Mallikarjunarao**  
Independent Director



**Mini Ipe**  
Non-Executive  
Nominee Director



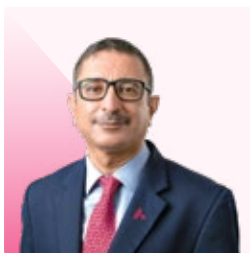
**Pranam Wahi**  
Independent Director



**Malavika R. Harita**  
Independent Director



**Subrat Mohanty**  
Executive Director



**Munish Sharda**  
Executive Director



**Neeraj Gambhir**  
Executive Director

(as on April 25, 2026)





# Connecting strategy, execution and accountability

The Senior Management Team serves as the catalyst for the Bank's progress, converting high-level goals into operational excellence. With a focus on agility and long-term sustainability, they lead the charge in building a Bank that is as robust as it is innovative.

**Anand Viswanathan**

Group Chief Risk Officer

**Anoop Manohar**

Marketing and Corporate Communications

**Anuranjan Kumar**

Group Chief Compliance Officer

**Arnika Dixit**

Affluent Business, Cards &amp; Payments

**Avinash Raghavendra**

Information Technology &amp; Retail Operations

**Bipin Saraf**

Bharat Banking

**Kedar Joshi**

Group Chief Audit Executive

**Prashant Joshi**

Chief Credit Officer

**Puneet Sharma**

Chief Financial Officer

**Rajkamal Vempati**

Human Resources

**Sameer Shetty**

Digital Business and Transformation &amp; Strategic Programs

**Sandeep Poddar**

Company Secretary

**Sanjeev Moghe**

Head Branch Banking, South &amp; West

**Vijay Mulbagal**

Wholesale Banking Coverage &amp; Sustainability

# Value Creation by the Bank

Axis Bank creates value through the combined strength of its people, technology, governance, and relationships, creating meaningful outcomes for stakeholders.

To know more, take a look at our  
**Value Creation Model**

Page 44



# Drivers of long-term value

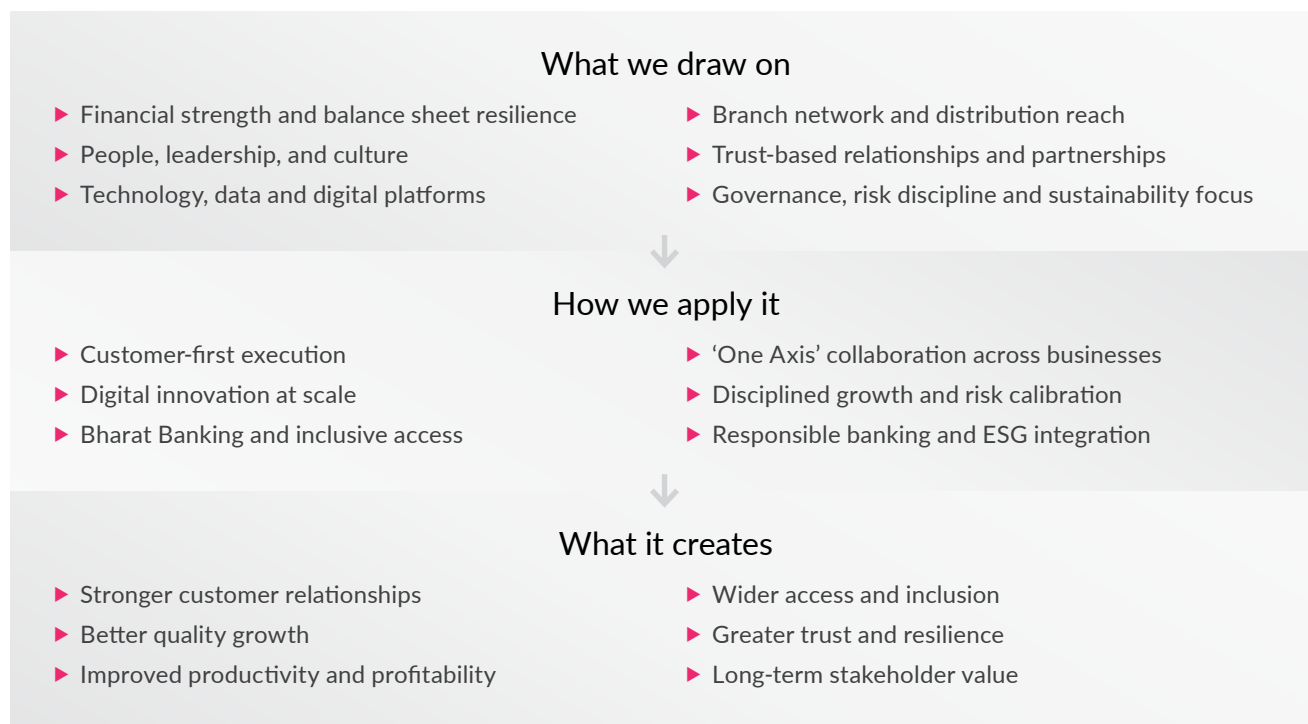
At Axis Bank, value creation is shaped by how thoughtfully we bring together financial strength, customer insight, digital capability, physical reach, partnerships and disciplined governance. These strengths enable us to respond to changing needs with agility, serve customers more effectively and build a franchise designed for resilience across cycles.

Our approach is rooted in integrated thinking. Through the House of GPS, customer obsession, digital leadership, Bharat Banking, 'One Axis' collaboration, and a strong focus on risk and sustainability, we translate strategic intent into outcomes that are meaningful for all stakeholders.

We integrate governance, compliance, risk management, and sustainability priorities into business decisions. This strengthens trust, supports responsible growth, enhances preparedness for emerging risks, and reinforces long-term stewardship across the franchise.

This creates value that extends beyond near-term business performance. It is reflected in stronger customer relationships, better quality growth, higher productivity, wider inclusion, greater trust and a more future-ready institution. The following model captures how these strengths are deployed across our business to create enduring value over time.

## From strength to sustained value



### Six enduring strengths



Capital strength



People and culture



Distribution reach



Trusted relationships



Digital capability



Governance discipline



## From capability to consequence

Our value creation approach is realised when capabilities are put into action. Each strategic driver aims to boost short-term performance while also enhancing the Bank's capacity to create long-term value. Collectively, these drivers link our institutional efforts to the benefits for customers, employees, investors, communities, partners and the environment.

### Customer franchise

We deepen customer relationships through relevant propositions, stronger service, segment-led offerings and more intuitive experiences across physical and digital channels. This helps us stay closer to evolving needs while building trust, engagement and long-term relevance.

### Deposit and balance sheet strength

We continue to strengthen the quality of our liabilities, preserve capital resilience and allocate resources with discipline. This supports sustainable growth, protects flexibility through cycles and reinforces our ability to pursue opportunities with prudence.

### Digital and Data Capability

We invest in platforms, analytics, AI-led enablement and seamless journeys that improve convenience, speed, decision-making and responsiveness. These capabilities allow us to scale intelligently while delivering more personalised and efficient experiences.

### Distribution and Bharat reach

Our branch network, Bharat Banking franchise, and ecosystem partnerships help us deliver relevant banking solutions more deeply into emerging and underpenetrated markets. This expands access while strengthening our presence across diverse customer segments and geographies.

### People and Culture

We invest in talent, learning, leadership, inclusion and employee enablement to build a future-ready institution. A culture grounded in accountability, collaboration, and service enhances execution quality and supports sustainable performance.

### Sustainability

We integrate sustainability into financing, operations, and decision-making to support responsible growth and strengthen long-term resilience. By advancing greener practices, supporting transition opportunities and reducing environmental impact, we seek to create value that is both commercially durable and environmentally responsible.

These drivers create a business model that is more resilient, more inclusive and more future-ready. They help us convert strategic intent into outcomes that matter across stakeholders. The following value-creation model illustrates how these strengths are deployed across our business to deliver enduring outcomes.

#### Value created

Higher customer engagement, stronger loyalty, deeper relationships and improved wallet share.

Resilience, funding strength, prudent growth and stronger long-term returns.

Better productivity, faster execution, differentiated experience and scalable growth.

Wider access, deeper inclusion, diversified growth and stronger franchise reach.

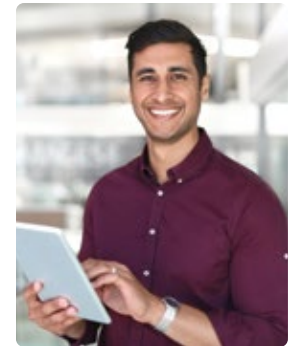
Stronger capability, better execution, higher engagement and organisational resilience.

Stronger resilience, reduced environmental impact, responsible growth and more sustainable long-term outcomes.



# Listening and aligning to deliver value

At Axis Bank, we regularly engage with our stakeholders to understand their expectations, concerns and emerging priorities. Continuous dialogue with internal and external stakeholder groups helps us navigate an evolving business environment, identify issues critical to long-term value creation and align our strategy with stakeholder expectations.



The Bank follows a structured Stakeholder Engagement and Materiality Assessment (SEMA) process at periodic intervals covering key stakeholder groups, to evaluate risks, opportunities, and material matters based on their significance and potential impact. Continuous engagement also strengthens the Bank's grievance redressal framework and ensures stakeholder concerns are addressed in a timely and transparent manner.

During fiscal 2025, the Bank undertook a comprehensive SEMA exercise that, for the first time, included a Double Materiality Assessment involving stakeholder consultations, internal surveys and benchmarking. Based on this, stakeholder groups were prioritised according to their level of influence and impact.

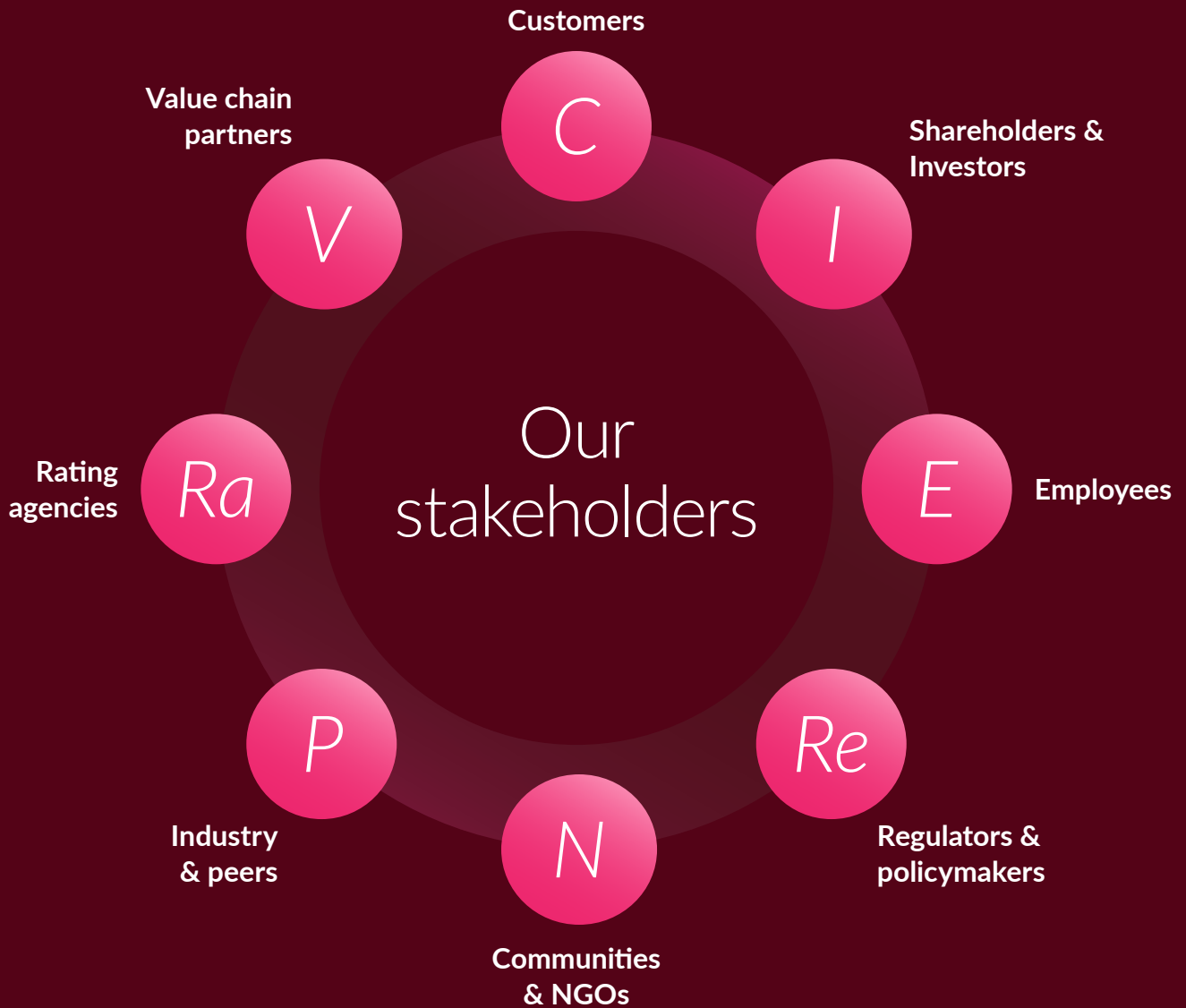
For detailed disclosures on the Double Materiality Assessment and stakeholder engagement process, please refer page 48 of the Integrated Annual Report FY 2024-25, available at:



[axis.bank.in/annual-reports/2024-2025/pdf/Axis Bank IR 24-25.pdf](https://axis.bank.in/annual-reports/2024-2025/pdf/Axis Bank IR 24-25.pdf)

## Stakeholder engagement

We map and identify our stakeholders to align our strategy with their expectations and support long-term value creation. Based on internal assessment and leadership review, the Bank continues to engage with eight key stakeholder groups:



In fiscal 2026, as part of our continuous review process, we reviewed the stakeholder groups and the issues addressed through our engagement mechanisms. Based on the internal evaluation, the identified stakeholder groups remain unchanged during the year.

(For a detailed Stakeholder Prioritisation Matrix, refer page 48 of the Integrated Annual Report FY 2024-25)





## Customers

Frequency of engagement:

Continuous

Need-based

### How we engage

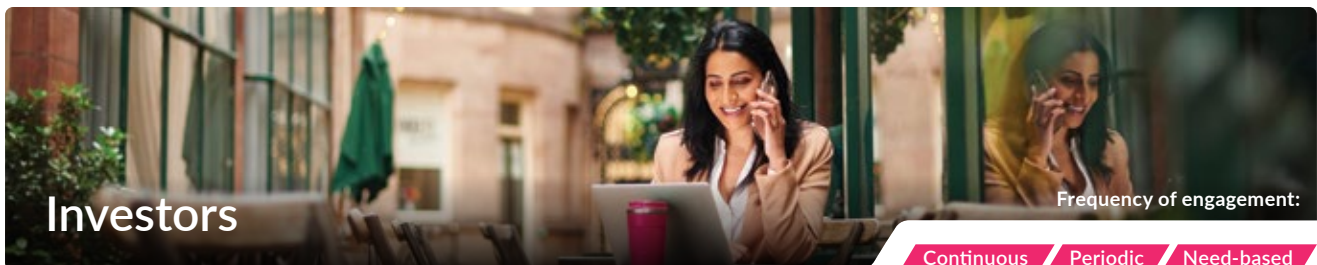
- ▶ Branch interactions and relationship management support
- ▶ Digital channels, including mobile banking, internet banking, and contact centre
- ▶ Customer feedback, satisfaction surveys, and grievance redressal platforms
- ▶ Marketing campaigns, service interactions, and customer meetings
- ▶ Axis Virtual Centre, social media, and digital engagement platforms

### Key interests

- ▶ Reliable products and seamless service experience across channels
- ▶ Secure and innovative digital banking solutions
- ▶ Transparency, fair practices, and protection of customer data
- ▶ Timely resolution of queries and grievances
- ▶ Personalised offerings aligned with evolving customer needs

### Translating engagement into value

The Bank continued to enhance customer experience through the 'One Axis' approach, offering integrated solutions supported by strong digital banking and cybersecurity capabilities. Focus remained on service quality, effective grievance resolution through Axis Pride, leadership in digital platforms, expansion of sustainable financing, and regular customer feedback to improve services.



## Investors

Frequency of engagement:

Continuous

Periodic

Need-based

### How we engage

- ▶ Earnings calls and analyst interactions
- ▶ Investor conferences, roadshows, and one-on-one meetings/interactions
- ▶ Stock exchange disclosures
- ▶ Annual General Meeting and periodic investor updates

### Key interests

- ▶ Consistent financial performance, sustainability and disciplined growth
- ▶ Strong governance, compliance, and risk management
- ▶ Clarity on strategy amid evolving economic and geopolitical conditions
- ▶ Transparent disclosures and timely communication

### Translating engagement into value

The Bank executed its strategy in line with the GPS framework, focusing on sustainable growth with prudent risk management, strong governance and controls, close monitoring of external developments, continued investment in technology, and transparent engagement with investors to support long-term value creation.



## Employees

Frequency of engagement:

Continuous / Periodic

### How we engage

- ▶ Town halls internal communications, including webcasts, newsletters, surveys and emails
- ▶ Leadership interactions and Management visits to branches
- ▶ Employee engagement and listening platforms, including Chatbot support
- ▶ Training, development programs, and performance appraisal discussions
- ▶ Intranet portal (My Connect) and employee communities such as Pride365

### Key interests

- ▶ Career growth, learning and skill development opportunities
- ▶ Inclusive, safe, and supportive workplace environment
- ▶ Health, well-being and work-life balance support
- ▶ Flexible and hybrid ways of working
- ▶ Recognition of performance and meaningful interaction with leadership

### Translating engagement into value

The Bank continued to strengthen employee engagement through structured talent and leadership development programs, internal mobility opportunities, and digital learning platforms for capability building. Focus remained on employee well-being across mental, physical, and financial dimensions, supported by strong feedback and grievance mechanisms, promotion of Diversity, Equity, and Inclusion, use of AI-enabled tools in hiring and learning, and structured rewards and recognition to build a high-performing workforce.



## Regulators & policymakers

Frequency of engagement:

Continuous / Need-based

### How we engage

- ▶ Regulatory meetings, inspections, supervisory reviews and consultations
- ▶ Periodic submissions, filings and performance reporting
- ▶ One-on-one discussions and review interactions
- ▶ Participation in industry forums and banking conferences
- ▶ Corporate announcements and statutory disclosures

### Key interests

- ▶ Strong corporate governance and regulatory compliance
- ▶ Transparent financial and non-financial disclosures
- ▶ Stable organisational performance and prudent risk management
- ▶ Advancement of financial inclusion and priority sector objective

### Translating engagement into value

The Bank supports regulatory objectives through responsible conduct, prudent risk management and strong governance policies. The Bank is committed to promoting a culture of accountability and regulatory awareness across the organisation.



### Communities & NGOs

Frequency of engagement:

Continuous / Need-based

#### How we engage

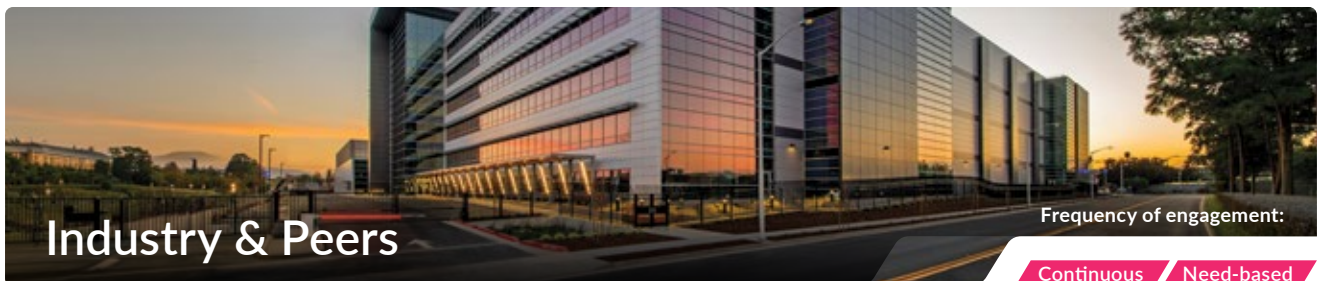
- ▶ CSR initiatives and community programs implemented by Axis Bank
- ▶ Feedback through structured surveys, consultations and roundtables
- ▶ Interaction with NGOs, CSOs and development partners
- ▶ Workshops and community engagement forums

#### Key interests

- ▶ Financial inclusion and inclusive growth
- ▶ Access to quality education and healthcare
- ▶ Environmental sustainability and climate awareness
- ▶ Community development and social well-being

#### Translating engagement into value

The Bank continued its CSR initiatives focusing on sustainable livelihoods, rural access, education, financial literacy, and inclusion. Efforts also covered environmental sustainability, health and nutrition, community welfare, sports promotion, and humanitarian relief to support long-term social development.



### Industry & Peers

Frequency of engagement:

Continuous / Need-based

#### How we engage

- ▶ Participation in industry associations and banking forums
- ▶ Engagement with IBA and other multilateral platforms
- ▶ Interaction through conferences, seminars and industry events

#### Key interests

- ▶ Policy advocacy and industry representation
- ▶ Knowledge sharing and exchange of best practices
- ▶ Collaboration on sector-wide initiatives
- ▶ Alignment on emerging regulatory and industry developments

#### Translating engagement into value

The Bank actively participated in industry platforms such as the World Economic Forum, IBA, CII, BCCI, FICCI, and NASSCOM, contributing to policy advocacy, thought leadership, and sector consultations. It also collaborated on ESG, CSR, DEI, and climate initiatives while supporting industry standards and responsible banking practices.

[For more details read on page 198](#)





## Rating Agencies

Frequency of engagement:

Periodic

Need-based

### How we engage

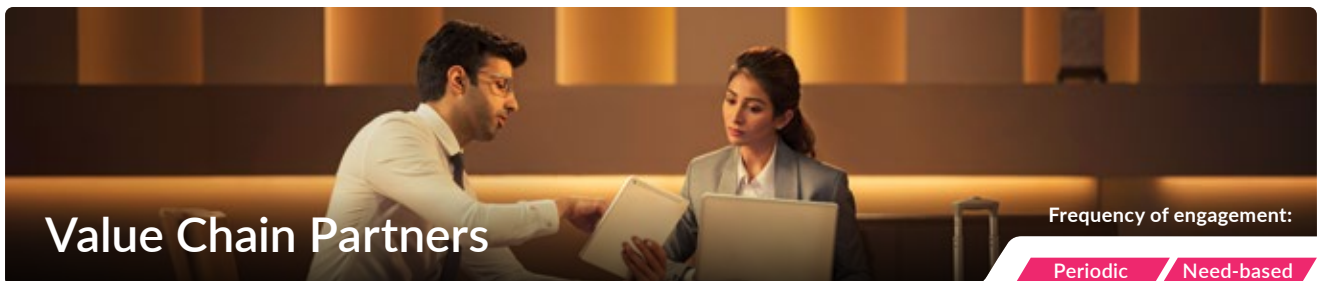
- ▶ One-on-one and group meetings with rating analysts
- ▶ Email correspondence and review discussions
- ▶ Submission of financial and non-financial information
- ▶ Interaction for rating reviews and instrument issuances

### Key interests

- ▶ Strong financial performance and profitability metrics
- ▶ Robust governance and risk management practices
- ▶ ESG performance and transparent disclosures

### Translating engagement into value

The Bank ensured timely and transparent financial and non-financial reporting, with continued focus on stable profitability, strong operational performance, robust governance, risk and capital management, while enhancing sustainability performance and related disclosures.



## Value Chain Partners

Frequency of engagement:

Periodic

Need-based

### How we engage

- ▶ Vendor meetings and structured feedback surveys
- ▶ Techno-commercial discussions and service engagements
- ▶ Contracts, emails, calls, and periodic performance reviews
- ▶ Digital vendor onboarding and due diligence interactions

### Key interests

- ▶ Timely payouts and fair contractual terms
- ▶ Transparent, ethical and long-term business relations
- ▶ ESG-aligned and responsible sourcing practices
- ▶ Regular exchange of technical and operational know-how

### Translating engagement into value

The Bank maintained fair and transparent partnerships by ensuring timely payments, adherence to agreed terms, and compliance with the Vendor Code of Conduct and due diligence requirements. Focus remained on risk and compliance checks, building long-term trust-based relationships, and strengthening ESG-aligned, sustainable supply chain practices.



# Identifying the priorities that shape our future

Materiality assessment helps the Bank identify and prioritise the matters that are most relevant to its business, strategy and stakeholders, and that may influence its performance, risk profile and long-term value creation.



In fiscal 2025, we undertook a comprehensive double materiality assessment, evaluating both the impact of the Bank's activities and the implications of material matters on financial performance and long-term resilience. The exercise involved internal evaluation, stakeholder inputs, sector analysis, and reference to recognised reporting frameworks. Such detailed assessments are undertaken every three years, with interim internal reviews to evaluate any changes in business context, regulations or stakeholder expectations.

In fiscal 2026, based on internal assessment and the environment in which the Bank continues to operate, previously identified material topics were found to remain relevant and continue to represent the areas of highest significance for the Bank's long-term value creation. Accordingly, the existing set of material matters has been retained for the reporting year.

For detailed disclosure on the materiality assessment process, including the materiality matrix and identified material matters, please refer to page 58 of the Integrated Annual Report FY 2024-25, available at:



[axis.bank.in/annual-reports/2024-2025/pdf/Axis](https://axis.bank.in/annual-reports/2024-2025/pdf/Axis)

## Our approach to Double Materiality



## Risk Management

Effective risk management strengthens the Bank's resilience and supports sustainable growth. In an evolving financial environment, managing both traditional and emerging risks remains critical to maintaining stability, responding to changing business and regulatory conditions.



### Fiscal 2026 highlights

- ▶ Strengthened cyber security oversight
- ▶ Enhanced governance around risk appetite
- ▶ Strengthened stress testing framework
- ▶ Enhanced monitoring for unsecured lending, including models
- ▶ Regulatory reporting enhancement
- ▶ Reinforced risk and compliance culture

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Corporate Governance & Ethical Business Conduct

Strong governance and ethical conduct are essential to the Bank's long-term stability and stakeholder trust. The Bank maintains high governance standards, accountable leadership and robust oversight, while embedding integrity across operations and financing to support transparency, responsible decision-making and sustainable value creation.



### Fiscal 2026 highlights

- ▶ Zero incidents of conflict of interest
- ▶ 23% representation of women in the Board of Directors
- ▶ 61.54% Independent Directors on the Board
- ▶ >99% average attendance at Board meetings
- ▶ Retained top-tier 'Leadership' rating in the IFC-BSE-IIAS Indian Corporate Governance Scorecard

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Regulatory Compliance

Regulatory compliance is fundamental to the Bank's stability and long-term value creation. Operating in a complex and evolving regulatory environment, the Bank maintains strong compliance practices to mitigate financial, legal, and reputational risks and to ensure responsible and sustainable operations.



### Fiscal 2026 highlights

- ▶ Strengthened compliance framework through enhanced monitoring and improved policy governance
- ▶ Promoted compliance culture via tone-from-the-top and targeted training programs
- ▶ Implemented continuous improvement initiatives across policies, frameworks and processes
- ▶ Enhanced AML monitoring and EDD processes using AI and workflow-based tracking
- ▶ Pro-active involvement of compliance in product and policy design
- ▶ Strengthened key frameworks:
  - Compliance Risk Assessment (CRA)
  - Remedial Action Framework
  - Staff accountability for regulatory violations
- ▶ Strengthening first line of defence (CAROs) and encouraging self-identification of risks and issues
- ▶ Enhanced compliance testing frameworks for additional layer of assurance
- ▶ Established a robust Group Compliance structure for continued oversight

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Fraud & Money Laundering – Prevention, Detection & Mitigation

Fraud and money laundering pose material risks to customer protection, regulatory compliance, and the Bank's reputation. As digital adoption accelerates and fraud risk patterns continue to evolve, the Bank is expected to maintain strong, technology-enabled controls to prevent misuse of the financial system. Ineffective management of these risks can lead to customer detriment, financial loss, enforcement actions and erosion of stakeholder trust. We thus prioritise robust prevention, detection, and response mechanisms across the Bank's operations to safeguard customers, uphold regulatory standards and preserve financial system stability.



### Fiscal 2026 highlights

- ▶ 633 vigilance cases processed and 588 officials were subjected to disciplinary action during fiscal 2026
- ▶ 96.2% of eligible employees trained in AML & related laws - KYC/AML completion

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Privacy & Data Security

Safeguarding data privacy and information security is vital to maintaining customer trust and operational stability. Amid rapid digitalisation, the Bank strengthens its cybersecurity and data protection practices to mitigate cyber risks and ensure secure and reliable operations.



### Fiscal 2026 highlights

- ▶ During fiscal 2026, the Bank upheld a robust and comprehensive data security and privacy framework anchored by Board-approved policies, including the Information Systems Security Policy and the Cyber Crisis Management Plan
- ▶ **Risk-based security assurance:** Periodic vulnerability assessments and penetration testing were conducted across applications and infrastructure based on defined risk classifications, supported by structured governance, tracking, and remediation oversight
- ▶ **Advanced monitoring & response:** A 24x7 in-house Security Operations Centre (SOC) enabled continuous surveillance, threat intelligence integration, and proactive incident detection and response
- ▶ **Strong incident outcomes:** No material cyber security incidents, data breaches, or regulator-reportable outages were recorded during the year. One isolated third-party vendor incident was effectively contained, with no impact on customer data or the Bank's systems
- ▶ Overall, the Bank demonstrated strong cyber resilience, effective risk management, and adherence to regulatory expectations in safeguarding information assets

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Return on Equity & Return to Shareholders

Return on equity and returns to shareholders are key indicators of the Bank's financial strength and capital efficiency. Sustained performance builds investor confidence, supports prudent capital allocation, and enables long-term value creation while managing emerging risks and meeting wider stakeholder expectations.



### Fiscal 2026 highlights

**13.15%**

RoE

**3.69%**

NIM

**16.42%**

CRAR

**1.45%**

RoA

**0.37%**

NNPA

**14.38%**

CET-1

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted





## Customer Experience & Satisfaction

Customer satisfaction and experience are fundamental to the Bank's success and customer trust. The Bank safeguards customer savings and investments through fair and transparent practices, and continuously improves its products and services through customer feedback and effective grievance redressal.



### Fiscal 2026 highlights

- ▶ Strengthened customer experience through SPARSH by embedding customer obsession across touchpoints, processes and metrics
- ▶ Retail Net Promoter Score (NPS) at 159 (on an indexed baseline of 100 since inception of baseline, i.e. Q1FY23)
- ▶ Focused on improving experience outcomes and simplifying interactions through digitisation across branches, digital channels, and relationship touchpoints
- ▶ Empowered employees through Adi and Kaleidoscope, enabling faster access to knowledge, sharper customer context, and more informed conversations
- ▶ Deepened leadership engagement to ensure frontline customer signals were translated into action with clearer ownership
- ▶ Prioritised Senior Citizens and NRIs through cohort-led redesign and behavioural science-led empathy workshops to better understand customer friction points and emotional expectations
- ▶ Celebrated meaningful customer moments while building a more disciplined, insight-led, and digitally enabled approach to delighting customers every day

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Sustainable Finance & Responsible Banking

Sustainable finance and responsible banking strengthen the Bank's long-term growth while supporting a sustainable future. Integrating environmental, social, and governance (ESG) considerations into lending and investment helps direct capital to responsible sectors, manage exposure to sensitive assets, meet the demand for responsible financing, and support societal priorities and the transition to a low-carbon economy.



### Fiscal 2026 highlights

- ▶ During the year, the Bank increased its lending towards sectors with positive environmental and social outcomes to ₹61,348 crores
- ▶ The Bank has actively engaged with its value chain partners to strengthen their ESG capacity and capabilities.
- ▶ ₹45,511 crores Green lending portfolio
- ▶ ~₹100,000 crores Total value of proposals reviewed under the ESG policy for lending in fiscal 2026

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Employee Engagement, Development & Well-being

Attracting, developing, and retaining talent is critical to the Bank's success, supported by investments in learning, engagement and well-being to build a resilient, high-performing workforce and an inclusive culture.



### Fiscal 2026 highlights

**6.7 million+**

Learning hours of employees

**30.1%**

Workforce diversity

**7,200**

Internal mobility movements

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Innovation & Digitalisation

Digitalisation and innovation are enhancing efficiency, customer experience, and competitiveness by enabling streamlined operations, advanced digital offerings and secure, personalised interactions that build trust.



### Fiscal 2026 highlights

**~31 million**

Total registered Mobile Banking users

**~16 million**

Mobile Banking MAU

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Community Engagement & Development

Community engagement helps the Bank understand local needs and deliver targeted initiatives that drive social impact and support sustainable development.



### Fiscal 2026 highlights

- ▶ Impacted over 21 lakh lives across India through focused CSR initiatives
- ▶ Reached over 7 lakh households via the Sustainable Livelihoods Program in fiscal 2026

- ▶ Established a High Performance Shooting Centre with Lakshya Shooting Club
- ▶ Empowered 1.6 lakh women through financial literacy programs in fiscal 2026

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Financial Inclusion, Literacy & Access

Financial inclusion, literacy and access support the Bank's objective of expanding its reach while contributing to a more inclusive economy. By improving access to financial services and strengthening financial literacy, the Bank enables underserved communities to participate in the formal economy and enhance their financial well-being and resilience.



### Fiscal 2026 highlights

- ▶ During the year, the Bank delivered ~2,200 financial literacy programs, launched 'FI Model Village' across 80 villages, and digitised ~1,000 SHGs to enable cashless transactions and deepen financial inclusion further through its CSR programs
- ▶ 14.83 lakh customers in PM Jan Dhan Yojna
- ▶ 5.75 lakh customers under Pradhan Mantri Jeevan Jyoti Yojana
- ▶ 5.2 million women participants in microfinance rural lending
- ▶ CSR-led Financial Inclusion and Literacy efforts facilitated ~20,797 enrolments under Pradhan Mantri Suraksha Bima Yojana and ~16,064 under Pradhan Mantri Jeevan Jyoti Bima Yojana for the rural poor across 5 states

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Policy Advocacy and Thought Leadership

The Bank contributes to shaping the financial ecosystem through policy advocacy and industry thought leadership. It provides input at key forums, including the World Economic Forum, SEBI, CII, and FICCI, to support the development of robust, sustainable regulations while promoting innovation, inclusivity and resilience, in line with its commitment to responsible governance and long-term growth.



### Fiscal 2026 highlights

- ▶ The Bank continues to be an active member of several prominent industry associations, including the Associated Chambers of Commerce and Industry of India (ASSOCHAM), FICCI, CII, the Bengal Chamber of Commerce and Industry (BCCI), and the Indian Banks' Association (IBA)
- ▶ To the best of its knowledge, either directly or indirectly, the Bank has not made any monetary contribution/undertaken any spending towards any political campaign or political organisation in fiscal 2026

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Impact of Climate Change

Climate change presents significant risks to the Bank's operations, financial performance, and the broader economy. The Bank manages these risks by improving energy and resource efficiency across operations, addressing physical and transition risks, and strengthening strategic and operational resilience. It also considers financed emissions from its lending, investments, and counterparties as part of its climate strategy, recognising the need to mitigate climate-related risks, manage costs, and respond to evolving regulatory and stakeholder expectations.



### Fiscal 2026 highlights

- ▶ 8.99 GJ/FTE energy intensity per employee
- ▶ 1,57,328 tCO<sub>2</sub>e Scope 1 & 2 emissions
- ▶ 57,007 GJ Total renewable energy consumed
- ▶ ~4.16 million trees planted
- ▶ 17,124 tCO<sub>2</sub>e emissions avoided through various energy efficiency measures in this fiscal

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted



## Diversity, Equity, and Inclusion

Diversity, equity, and inclusion are key opportunities aligned with the Bank's core philosophy and values, building a workplace where diverse backgrounds are represented, employees feel valued, and equitable opportunities are available to all. Prioritising DE&I strengthens the organisation, drives innovation and supports long-term value creation.



### Fiscal 2026 highlights

- ▶ During the year, the Bank's overall workforce diversity increased to 30.1%, with 37% of new hires being women.
- ▶ Over 67% of teams have women representation
- ▶ The Bank continued to strengthen women's participation in front-line and revenue-generating roles through the Women in Sales employee resource group
- ▶ Axis Women in Motion continued its grassroots engagement across towns, hinterlands and talukas, encouraging women to participate as independent economic entities

#### Capitals impacted



#### UN SDGs impacted



#### Stakeholders impacted





# Business Performance Review

Fiscal 2026 reflected the strength of our franchise, with healthy growth across deposits, credit, and digital payments, supported by stable asset quality, prudent provisioning, and strong capitalisation.

To know more, read our  
**Business Performance Review**

Page 82



# Our next chapter begins with redefining customer obsession through proactive, technology-led engagement



**Amitabh Chaudhry**

Managing Director &  
Chief Executive Officer

## *Dear Shareholders,*

Fiscal 2026 was a year shaped by contrasts—persistent global uncertainty alongside underlying domestic resilience. The global macroeconomic environment remained complex, marked by elevated geopolitical tensions, intermittent supply chain disruptions, evolving trade dynamics and continued financial market volatility. These pressures were further compounded by currency volatility and rising input costs, which added to inflationary risks and created additional challenges for businesses across sectors. Monetary policy across major economies remained finely balanced between inflation management and growth support, influencing capital flows and liquidity conditions across markets.

Against this uncertain global environment, India distinctly stood out as a relative bright spot. Strong domestic demand, policy agility and timely interventions enabled the economy to effectively absorb external shocks and sustain growth momentum. Liquidity conditions remained constructive, supported by proactive regulatory measures, creating a stable foundation to support continued credit expansion.

At Axis Bank, fiscal 2026 was a year of deliberate choices as the landscape required growth to be pursued with prudence, discipline and clarity of execution as we tightened our risk filters, calibrated growth in certain segments to prioritise NII growth while preserving RARoC and increasing our efforts towards achieving efficiencies

and cost optimisation. We remained focused on building a franchise that is resilient across cycles, profitable through discipline rather than exuberance, and sustainable through strong governance, technology leadership, and people capability.

During fiscal 2026, we gained market share on total advances and deposits, delivering y-o-y net advances growth of 19% and y-o-y deposits growth of 14%, while maintaining CASA ratio at 40%. The consolidated Return on Assets stood at 1.46% and Return on Equity at 13.59%, continue to remain healthy.

We continue to hold a leadership position across high-impact businesses such as wealth management and digital payments, where our relationship-led approach, product innovation and execution discipline differentiate us in a competitive landscape. Our flagship digital platforms, '*open*' and '*neo*', have further strengthened their positions across Retail and Wholesale Banking respectively, reinforcing our standing as a frontrunner in digital transformation. Importantly, the Bank continues to maintain a dominant position in digital payments, with market shares of 36% in UPI, 37% in NEFT and 27% in IMPS during fiscal 2026, reflecting both the scale of our franchise and the robustness of our digital infrastructure.

We have crossed 6,000 branches, an expansion that not only deepened our presence but also strengthened our ability to serve customers across India more meaningfully through tech enablement.

Our commitment to customer satisfaction remains steadfast, as evidenced by our Retail Bank NPS improving significantly since inception, and we have retained the 2<sup>nd</sup> rank in the Kantar Retail Bank Survey for the 3<sup>rd</sup> consecutive year. This recognition is a reflection of the trust and loyalty we have earned through consistently improving service excellence.

## Our Strategic Compass: The House of GPS

We continue to be guided by our GPS strategy on Growth, Profitability, and Sustainability, to reimagine Axis Bank as a stronger, more agile, and more inclusive financial institution. This framework is not merely an articulation of priorities; it is the lens through which decisions are made, capital is allocated, and trade offs are evaluated. GPS ensures that growth is pursued responsibly, profitability is structurally embedded, and sustainability is reinforced across governance, technology, and culture.

During fiscal 2026, we continued to make tangible progress across all three pillars of this framework.

## Growth: Scaling with Discipline and Intent

### Deposit Led Balance Sheet Expansion

The Bank's deposit franchise continues to strengthen, anchored in a dual track strategy that combines high quality New-to-Bank (NTB) acquisition with deeper engagement across the Existing-to-Bank (ETB) base.

During the year, we made meaningful progress in acquiring granular, high quality liabilities by sharpening our focus on premium customer segments and targeted high potential personas, including senior citizens, professionals, self employed individuals, homemakers and women. This strategy has translated into strong momentum across key acquisition metrics, with premium NTB acquisitions growing 25% y-o-y and continued traction in our salary franchise, reflected in 38% y-o-y growth in premium salary uploads during the year. More importantly, newly acquired customers are demonstrating stronger balance behaviour, with NTB average balances increasing 53% y-o-y, alongside a 24% y-o-y improvement in products per customer.

In parallel, our ETB franchise has continued to scale with greater consistency, driven by a clear pivot towards deepening relationships and enhancing customer lifetime value. Through data-driven segmentation, personalised engagement and lifecycle-based campaigns, we are progressively transforming transactional accounts into more active and enduring banking relationships. Our salary segment remains a key pillar within this strategy,

with the ETB salary book growing 18% y-o-y, reflecting both improved wallet share within existing corporates and continued traction in onboarding high quality mandates.

These outcomes reflect the effectiveness of our premium-led sourcing approach, supported by sharper customer selection, tighter conversion discipline and a more calibrated acquisition framework.

*This evolution is underpinned by a deliberate shift towards making deposits a shared organisational priority, where every business and function is aligned to drive liability growth and enhance balance quality.*

Our premiumisation agenda continues to gather momentum, with Burgundy serving as a key driver of affluent and emerging affluent engagement. Assets under management within Burgundy grew 14% y-o-y, Burgundy Private at 13% y-o-y and Burgundy Private client base grew at 23% y-o-y to 16,453 families, reflecting both strong client acquisition and deeper wallet capture. The strength and consistency of this proposition was further recognised with Burgundy Private being named 'India's Best for Next Gen' at the Euromoney Private Banking Awards 2026 for the third consecutive year and also honoured at PWM Wealth Tech Awards 2026.

This momentum is being further reinforced by a combination of digital innovation and operating model realignment. Platforms such as Siddhi and Sparsh are enhancing our ability to deliver personalised, insight-led propositions at scale, while improving customer experience through more seamless and intuitive journeys.

## Profitable Advances with RAROC Discipline

Fiscal 2026 saw a strong expansion of our loan book driven by 38% y-o-y growth in the Corporate book, 24% y-o-y growth in SME book and 8% y-o-y growth in Retail book, with growth underpinned by a clear focus on risk-adjusted returns and maintaining disciplined underwriting, ensuring that growth is pursued selectively and aligned with long-term franchise strength rather than near-term volume considerations.

Wholesale Banking continued its transition from a balance sheet-centric model to an integrated, ecosystem-led approach, while sustaining RAROCs in fiscal 2026 at levels comparable to fiscal 2025 without any dilution in risk



discipline, evidenced by 91% of the corporate book being rated A- or above. Strengthened sectoral capabilities, solution-led engagement and deeper transaction banking linkages enabled diversified, high-quality growth in resilient segments.

In the SME segment, growth was driven by sharper customer segmentation, improved sourcing quality and deeper use of analytics across underwriting and monitoring, resulting in a more granular and resilient portfolio. Notably, ~87% of incremental sanctions were to SME-3 and better-rated customers, with 84% of the overall SME book now rated SME-3 and above. This, alongside strong diversification across sectors, loan sizes, geographies and tenures, reflects disciplined risk selection and alignment with our targeted risk-return thresholds.

*Retail advances growth remained calibrated, balancing growth opportunities with evolving credit cycle dynamics. The year witnessed strong retail disbursement momentum growing in second half of fiscal 2026, supported by a meaningful pickup in unsecured retail disbursements.*

Across segments, our guiding principle remains clear: growth is pursued alongside profitability, disciplined risk management and capital efficiency, ensuring the advances franchise scales with resilience and superior risk-adjusted returns.

At the same time, our 'One Axis' philosophy continues to act as a force multiplier, deepening collaboration across the Bank and its subsidiaries to deliver integrated solutions across lending, payments, wealth, investment banking and protection.

*Our domestic subsidiaries contributed a profit after tax of ₹2,051 crores, up 16% y-o-y and a return on investments of ~54% in fiscal 2026.*

### **Profitability: Anchored in structural resilience with technology-led efficiency**

During fiscal 2026, our focus remained on delivering consistent, sustainable outcomes rather than optimising for short-term metrics.

Growth in net interest income, operating profit and fee income was driven by a balanced interplay of deposit quality, calibrated asset growth and relationship-led deeper customer engagement. Fee income benefitted from continued scale-up across payments, cards, wealth and transaction banking, further strengthening the diversification and stability of our revenue streams, with granular fee constituting 92% of total fees.

### **Enhancing cost efficiency**

Cost-to-assets improved to 2.28%, down 18 bps y-o-y, reflecting disciplined cost management alongside improving scale. Importantly, these efficiencies were achieved even as we expanded our physical footprint, adding 400 branches during the year. Our continued investments in digitisation and technology are now translating into tangible operating leverage.

### **Sustainability: Strengthening the Franchise for the Long-Term**

Our Sustainability pillar is centred on embedding execution discipline and resilience by strengthening governance, risk and controls, building future-ready technology and data platforms, and investing in people and capabilities to deliver sustainable outcomes at scale.

### **Resilience Through Asset Quality and Balance Sheet Strength**

Asset quality remained a clear area of strength for the franchise, reflecting the benefits of disciplined underwriting, proactive risk management and continuous portfolio monitoring. Despite the implementation of prudent application of technical parameters for recognising slippages and consequent upgrades at the end of last fiscal, which impacted the reported asset quality parameters starting fiscal 2026, our core asset quality trajectory remained firm, with GNPA improving to 1.23% down 5 bps y-o-y, and NNPA at 0.37%. As we had guided earlier, the economic implications of the technical impact were expected to be transitory and limited, which is now evident—with net slippages from the technical impact remaining negligible at just 7 bps in the quarter ending March 31, 2026.

Our capital position remains strong, with a capital adequacy ratio (CAR) of 16.42%, CET-1 at 14.38% as at the end of fiscal 2026 and an additional cushion of ~53 bps over the reported CAR, attributable to other provisions and one-time standard asset provision aggregating ₹8,244 crores. Our capital management philosophy is based

on dual objective—supporting growth while preserving downside protection.

In line with our long-standing philosophy of building resilience ahead of cycles, we took a prudent and forward-looking step during the quarter ending March 31, 2026 by strengthening our provisioning buffer. In response to evolving and uncertain macroeconomic and geopolitical conditions, the Bank created an additional one-time provision of ₹2,001 crores through a calibrated enhancement of standard asset provisions. This action was pre-emptive and strategic in nature, aimed at further fortifying the balance sheet, without reflecting any underlying deterioration in asset quality or emerging credit concerns.

We continue to believe that resilience is not constructed during favourable conditions alone but is tested and reinforced through timely interventions during periods of uncertainty. As a result, our balance sheet today stands stronger, with enhanced buffers and a well-calibrated risk profile.

## Technology, Data Analytics and AI as Differentiators

A defining element of our sustainability agenda is the way we are institutionalising technology, data analytics and AI to create enduring competitive advantage.

*Through AXIOM, our bespoke AI operating model, we are building an AI-led, customer-centric Bank that is transforming customer touchpoints, employee productivity and core processes at enterprise scale.*

Importantly, we are now moving decisively from pilots to scaled deployment, with AI being applied across - operations, call centres, software development, customer journeys and risk decisioning anchored in tangible outcomes.

We are already seeing meaningful impact in both effectiveness and efficiency. In operations, we are automating routine activities through “zero-ops”, covering document checks, verifications and reconciliations and we expect AI to be embedded across 40–50% of these operational journeys over the next 18 months. In our call

centres, AI is being used to both automate and augment interactions, with a target to cover over 50% of calls by fiscal 2027. In technology functions, AI is improving productivity and turnaround time with AI-assisted coding increasingly accelerating development with appropriate human oversight for quality and control. This has materially compressed delivery timelines as digital journeys that earlier took 4–5 weeks can now be generated in less than a day, strengthening responsiveness while enhancing risk controls such as fraud detection and underwriting.

Our progress is especially visible in collections, where sustained investments in analytics, AI-driven capabilities and digital channels are delivering measurable, ongoing benefits across Personal Loans, Credit Cards and Business Loans. We are structurally reducing reliance on outsourced collection agencies to strengthen customer contact, governance and compliance, supported by AI bots and score-based in-housing that can meaningfully reduce agency and call-centre allocations.

Equally important is our commitment to responsible AI. Axis Bank is the only ISO 42001-certified BFSI organisation globally, reflecting strong governance and accountability under the world's first international standard for Artificial Intelligence Management System. Our work has also been recognised externally, including the ‘Best GenAI Use Case in Retail Banking’ award at the Retail Banker International Asia Trailblazer Awards 2026. With a clear roadmap for scale-up, we expect AI to drive meaningful bottom-line impact over the next 18–24 months, through operating leverage, productivity gains and better risk outcomes—embedded responsibly, securely and in a manner that supports sustainable growth.

## People, Culture and Execution Excellence

While technology is a powerful enabler of productivity and scale, we believe its full impact is realised only when it is paired with strong culture, capable talent and disciplined execution. At Axis Bank, we continue to invest deeply in building a high-performance organisation—one that is agile, inclusive and future-ready. Our strengthened work models, including hybrid and alternate formats that are not constrained by location or schedule, are translating into higher engagement, stronger retention and improved productivity, particularly in digitally-enabled roles.

*The strength of our talent pipeline and the depth of capabilities we have built over time had allowed us to consistently fill leadership roles from within the organisation.*

Our people-first approach has been consistently validated through external recognition. During the year, Axis Bank was certified by the Top Employers Institute, as the only Indian private-sector bank on the list, and was included in the TIME Best Companies Asia-Pacific list for the second consecutive year. We were also recognised as one of India's Iconic Workplaces by HT Mint and Deloitte, featured among the Best Places to Work by The Hindu and WorkL, and received the ATD Best Awards for fostering a strategically-driven talent management culture. Our execution excellence is further reflected in how we continue to strengthen customer experience through analytics-led insights and seamless omnichannel delivery. During the year, Axis Bank was recognised at the Annual BFSI Service Quality Excellence India Summit 2026 with the 'CX Data and Analytics Excellence Award' and 'Best Omni-Channel Experience Strategy'.

These recognitions underscore our belief that differentiated customer outcomes are created when people, technology and data operate as a unified system.

## ESG and Responsible Banking

Environment, Social and Governance (ESG) considerations are integral to Axis Bank's long-term strategy, anchored in our Purpose of building a more inclusive economy, thriving communities and a healthier planet. As the first Indian bank to establish a standalone Board-level ESG Committee in FY22, we have embedded strong governance with regular oversight, ensuring alignment with global frameworks such as the UN SDGs and India's climate commitments.

We have surpassed our sustainable wholesale lending target ahead of schedule, reaching ₹61,348 crores, while continuing to reduce exposure to carbon-intensive sectors and scale green financing through EV lending and solar initiatives, complemented by on-ground efforts such as planting ~3.6 million saplings.

*On the social front, we are expanding inclusion with purpose, reaching ~2.8 million households, supporting ~5.2 million women through microfinance, and empowering 1.62 lakh+ women through financial literacy, while achieving 30.1% female representation in our workforce ahead of our fiscal 2027 target.*

Our steady improvement across leading ESG benchmarks—including an upgrade to 'AA' in MSCI ESG ratings, inclusion in the FTSE4Good Index for the ninth consecutive year, improved S&P Global ESG score of 60, and a Low-Risk rating of 18.4 by Sustainalytics—reinforces the depth of our integration of ESG into strategy, risk management and operations.

## Areas of Distinctiveness

### Sparsh

Underpinning all of this is our unwavering focus on customers. Through our Customer Obsession initiative, Sparsh, we are strengthening experience outcomes and simplifying interactions through digitisation, supported by platforms such as Adi, our Gen AI-powered assistant which has now reached 87,000+ employees with an increase of ~250% y-o-y for processing queries, and Kaleidoscope, our real-time CX engine mapping now experienced by 75,000+ employees enabling over 400% y-o-y increase in customer interactions. Our execution excellence is further reflected in how we continue to strengthen customer experience through analytics-led insights and seamless omnichannel delivery.

### Bharat Banking

We remain committed to building India's most profitable Bharat Banking franchise, combining reach, relevance and disciplined economics.

Our Bharat Banking franchise continues to evolve as a strategic growth engine, delivering balanced expansion while deepening our presence across the Rural and Semi-Urban (RuSu) ecosystem. During fiscal 2026, the Bharat Banking book grew 4% y-o-y, supported by strong disbursements of 23% y-o-y, reflecting improving credit demand and deeper market penetration. On the liabilities side, deposits grew a robust 13% y-o-y, with Bharat Banking branches delivering 13% y-o-y growth in CASA balances.

Our strategy in Bharat Banking is anchored on moving beyond traditional agri-centric lending to capture the end-to-end RuSu value chain, enabling us to drive both asset growth and granular liability mobilisation. Through focused market scoping, we are identifying high-potential rural and semi-urban pockets and deploying segment-specific, tailored propositions to deepen customer relationships and enhance wallet share. This approach is enabling us to build a more diversified and resilient Bharat portfolio.

## Digital Banking

Our flagship mobile banking application, **open**, continues to be among the top-rated mobile banking apps with a rating of 4.8 on both Google Play and iOS Store, now handling over 74% of branch service requests. With ~16 million monthly active users and ~18 million non-Axis users across Axis Mobile and Axis Pay, our digital reach is expanding rapidly. We were honoured at The Asset Triple A Digital Finance Awards 2026 for 'Best Mobile Banking Application' and 'Best Digital Customer Onboarding Experience', reinforcing the strength of our digital platforms and customer journeys.

*neo continues to emerge as a cornerstone of our digital corporate and business banking strategy, combining scale, experience and ecosystem integration to deliver differentiated value.*

We now serve a rapidly expanding base of over 5.5 lakh, up 45% y-o-y, alongside a growing API and partner ecosystem, positioning **neo** as the digital backbone of our Corporate Banking franchise. Customer experience remains a key differentiator, reflected in strong app rating of 4.6 for **neo** for Corporates on both Google Play and iOS Store, underscoring the intuitive, reliable and feature-rich nature of our platforms.

Complementing this, our Infiniti platform has transformed onboarding, enabling over 60,000+ digital account openings, while reducing turnaround times by up to 50% through end-to-end digitisation and API-led integration, delivering both efficiency and transparency.

These capabilities are further reinforced by our broader strategy of API-driven digitisation, enabling scalable, seamless and cost-efficient operations. Our efforts have also received strong external validation, including the Infosys Finacle Innovation Award 2025 for Maximising

Customer Engagement and the Asian Banking & Finance Award for Digital Transformation Bank of the Year.

Platforms such as Siddhi—our in-house employee super-app—have evolved into a true force multiplier for the organisation, going well beyond a conventional productivity tool.

*As an industry-first platform, Siddhi acts as an intelligent assistant for our frontline teams by seamlessly integrating data across multiple systems, providing relationship managers with a unified, insight-rich view of customer needs, enabling more timely, precise and personalised engagement.*

## Looking Ahead: Disciplined Growth with Watchful Agility

We close the year having delivered strong and consistent outperformance across key business and financial metrics, despite navigating an environment marked by multiple unexpected challenges. This performance is reflected not only in our operating trajectory but also in the confidence reposed by the market. As we look ahead, we remain clear that consistency of delivery is our foremost priority.

We enter the new financial year with confidence in our strategy, strength in our balance sheet and clarity of purpose. Our focus remains on building a high quality, durable franchise—supported by sharpening execution across businesses and maintaining flexibility in optimising growth and margins. We are confident in our ability to grow ahead of the industry, while aiming to strike an optimal balance between growth and margins.

Above all, we remain committed to creating sustainable, long term value for all our stakeholders, while fulfilling our broader responsibility towards customers, employees and the communities we serve. I would like to thank our customers for their continued trust, our employees for their dedication and resilience, our regulators and members of our Board for their guidance, and our shareholders for their unwavering support as we continue to build a stronger, more future-ready Axis Bank.

Warm regards,

**Amitabh Chaudhry**

Managing Director & Chief Executive Officer



# Resilience built into our DNA

India's macroeconomic environment remained resilient in fiscal 2026, supported by stable inflation, improving liquidity, strong digital adoption, and sustained credit demand. This stability, alongside India's strong growth momentum, supported banking sector growth. At the same time, structural shifts in technology, sustainability, evolving regulations and workforce dynamics continued to reshape the banking ecosystem.

## Macro Economics & Market Environment

India remained one of the fastest-growing major economies in fiscal 2026, supported by strong domestic demand, government capital expenditure, and a robust services sector. The banking system operated in a stable macroeconomic environment, with episodic volatility characterised by moderate inflation, steady interest rates and improving liquidity.

### Global factors

- ▶ The domestic locus of economic activity in India and the many interventions of policymakers have largely shielded the Indian economy though exposed to global commodity prices, capital flows and trade cycles
- ▶ An uncertain global environment, with risks related to trade relationships and kinetic conflicts in the Middle East, continues to influence capital flows, trade dynamics and investor sentiment
- ▶ Current developments imply shocks around the availability of key resources as well as the allocation of financial capital; elevated interest rates and tighter financial conditions in advanced economies may lead to more selective capital flows, with implications for emerging markets
- ▶ According to the IMF World Economic Outlook (April 2026 update), global growth is expected to remain steady but below long-term averages at ~3% with elevated downside risks from geopolitical tensions and financial tightening, though with considerable downside risks if the West Asia conflict were to drag on, reflecting persistent structural and policy uncertainties

### India economic overview

- ▶ India's GDP growth has been estimated at 7.7% for fiscal 2026, underpinned by consumption recovery and investments in infrastructure
- ▶ Credit growth has been strong across sectors, with households, private sector corporates, government enterprises, and financial institutions all driving demand
- ▶ During the reporting year, retail inflation moderated and stayed within the RBI's target range, supporting stable

monetary policy conditions

- ▶ Apart from government spending on infrastructure, the private sector and households also drove credit demand, with a rising share of long-term loans signifying capacity creation

### Banking sector trends

- ▶ Non-food credit growth for fiscal 2026 strengthened to a 15% growth rate through the year, with deposit growth also improving to around 12%
- ▶ Deposit growth improved, supported by competitive interest rates and stable liquidity
- ▶ Inflation fell briefly below the MPC's lower tolerance band of 4%, allowing monetary easing
- ▶ Asset quality across the banking sector remained healthy, with controlled NPAs and improved capital buffers

### Liquidity and interest rate environment

- ▶ The RBI eased rates and liquidity in cognisance of lower inflation and expectations
- ▶ With nominal growth picking up and with working capital demand likely to be driven by price shocks, we can safely estimate credit growth for fiscal 2027 in excess of 14%
- ▶ Rating agency ICRA Limited has revised its projection of credit expansion in fiscal 2026 to ₹19.5-21.0 trillion (10.7-11.5%) upwards
- ▶ Liquidity conditions improved through targeted measures, including adjustments in CRR and open market operations
- ▶ Stable interest rate environment supported lending growth and margin stability

### Implications for the Bank

- ▶ Stable economic growth supports sustained credit demand across segments
- ▶ Improving liquidity enhances lending capacity and balance sheet flexibility
- ▶ Moderating inflation and stable rates support customer affordability and asset quality
- ▶ Infrastructure and consumption-led growth provide opportunities in retail, MSME and corporate lending

## Sustainability and Social Impact

Sustainability and social responsibility remained central to India's economic and financial landscape in fiscal 2026. This was reflected in increased regulatory focus on climate risk, greater demand for green finance, and expansion of financial inclusion initiatives, creating new opportunities for banks to drive responsible growth.



### Climate and ESG trends

- ▶ Climate risk integration became a key priority for financial institutions
- ▶ Regulatory emphasis on climate disclosures and ESG reporting strengthened
- ▶ Demand for green and transition finance increased across corporate and retail segments
- ▶ Sustainable infrastructure investments continued to grow in India

### Social inclusion landscape

- ▶ Digital banking accelerated financial inclusion across rural and semi-urban regions
- ▶ Increased focus on supporting MSMEs, women entrepreneurs, and underserved communities
- ▶ Financial inclusion expanded through digital banking, with deeper penetration into semi-urban and rural markets
- ▶ Rising expectations for corporate responsibility, diversity, equity, and inclusion

### Opportunities for the Bank

- ▶ Expand green lending and sustainable finance solutions
- ▶ Support energy transition and climate-aligned projects
- ▶ Drive financial inclusion in Bharat markets
- ▶ Promote women and MSME entrepreneurship
- ▶ Strengthen ESG-aligned investment and financing portfolios

## Technology & Digital Transformation

Fiscal 2026 witnessed rapid advancements in digital technologies, with artificial intelligence, automation, and cloud computing reshaping banking operations. India's leadership in digital payments and its strong technology infrastructure continued to accelerate innovation across the financial ecosystem.



### Digital payments and platform growth

- ▶ India remained the global leader in real-time payments, with UPI transactions continuing strong double-digit growth
- ▶ Digital banking usage increased significantly across retail and MSME segments
- ▶ Mobile-first banking became the primary mode of customer engagement

### Cybersecurity and data privacy landscape

- ▶ Rising digital adoption increased exposure to cyber threats and data security risks
- ▶ Regulatory and legislative requirements on cybersecurity resilience, data governance and privacy controls strengthened
- ▶ Banks continued to invest in advanced security frameworks, AI-driven threat detection, and real-time monitoring systems
- ▶ Stronger push on data localisation

### Key technology trends in fiscal 2026

- ▶ AI adoption expanded across credit risk assessment, fraud detection, customer service and operational processes
- ▶ Cloud-native architecture enabled scalable, secure and agile banking platforms
- ▶ Open banking frameworks and API ecosystems facilitated collaboration with fintech and platform partners

- ▶ Digital customer journeys became increasingly seamless and personalised
- ▶ Cybersecurity and digital resilience gained prominence amid rising digital adoption
- ▶ Data and analytics increasingly enabled real-time, insight-led decision-making

### Opportunities for the Bank

- ▶ Deliver hyper-personalised financial solutions through AI and analytics
- ▶ Progress in CBDC (₹ pilot) launched by RBI
- ▶ Scale digital lending and collections platforms
- ▶ Enhance operational efficiency through automation
- ▶ Strengthen cyber resilience and customer trust
- ▶ Expand digital ecosystem partnerships

## Talent, Governance and Regulatory Landscape

The operating environment for banks in fiscal 2026 was shaped by evolving workforce expectations, increasing regulatory complexity, and heightened focus on governance and risk management. Organisations continued to invest in talent transformation, particularly in digital, analytics and specialised capabilities, while strengthening compliance and governance frameworks.



### Talent and workforce trends

- ▶ Hybrid work models became the norm post covid for various industries
- ▶ Demand for skills in AI, data analytics, cybersecurity and digital banking increased significantly
- ▶ Continuous learning, reskilling and leadership development remained key priorities
- ▶ Increase in product/platform focused roles
- ▶ Focus on productivity measurement in hybrid models
- ▶ Employee well-being, diversity, and inclusion gained greater importance
- ▶ Demand for AI governance and emerging tech skill sets

### Regulatory and policy developments

- ▶ Strengthened regulations around digital lending and unsecured credit, data protection and cybersecurity
- ▶ Enhanced guidelines on IT governance, outsourcing and operational resilience
- ▶ Increased emphasis on ESG disclosures, sustainability reporting and climate risk management
- ▶ Strengthened stressed asset monitoring and resolution frameworks
- ▶ Continued focus on governance, transparency and risk oversight
- ▶ Regulatory changes with respect to Basel III standards and Prudential guidelines

### Opportunities for the Bank

- |                                                                 |                                                             |                                                                     |
|-----------------------------------------------------------------|-------------------------------------------------------------|---------------------------------------------------------------------|
| ▶ Need for agile and adaptive compliance frameworks             | ▶ Strengthening governance, risk, and control environments  | ▶ Leveraging technology to meet regulatory expectations efficiently |
| ▶ Investment in future-ready talent and leadership capabilities | ▶ Enhancing transparency, disclosures and stakeholder trust |                                                                     |



## Relationships built on openness and trust

Anchored to our **House of GPS — Growth, Profitability and Sustainability** — our strategy remains centred on disciplined execution, customer obsession, digital leadership and balance sheet strength. In fiscal 2026, we further sharpened the alignment between strategic priorities, resource allocation, risk oversight, and execution to drive connected, resilient value creation and support long-term competitiveness.



## Strategy continuity and sharpened focus

Since 2019, the House of GPS has anchored the Bank's strategy, providing a common framework for performance, transformation and long-term value creation. It has evolved with changing market conditions and growing opportunities while remaining rooted in our core philosophy of **Growth, Profitability and Sustainability**.



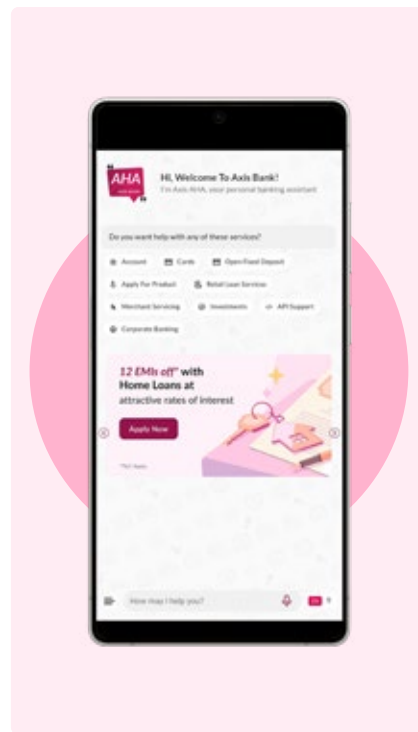
### Distinctiveness added (2021)

- ▶ **Sparsh** – Institutionalising customer obsession
- ▶ **Bharat Banking** – Building India's most profitable and inclusive RuSu franchise
- ▶ **Digital leadership** as an overarching theme



### Sustainability deepened (2023)

- ▶ Deposit Mobilisation, People Proposition, Strengthening Assurance Culture, and Execution Excellence as foundational enablers



### Emerging technologies embedded (2024)

- ▶ Generative and Agentic AI and intelligent automation-led digital platforms are positioned as strategic multipliers

Fiscal 2026 represents continuity with sharper connectivity and clearer alignment between:

Strategic priorities

Risk oversight

Capital deployment

Measurable outcomes

## Strategic positioning

Where we compete. Why it matters. How we differentiate.

| Strategic choice                          | Strategic intent                                    | How we differentiate                                                                                                                                                   |
|-------------------------------------------|-----------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Customer obsession (Sparsh)</b>        | Deepen relationships and increase primacy           | <ul style="list-style-type: none"> <li>▶ Institutionalised feedback loops</li> <li>▶ Service excellence as a growth lever</li> </ul>                                   |
| <b>Bharat Banking</b>                     | Drive inclusion-led, granular franchise expansion   | <ul style="list-style-type: none"> <li>▶ Calibrated branch expansion + digital enablement tailored for rural India</li> </ul>                                          |
| <b>Deposit mobilisation</b>               | Fund growth with stability and liquidity resilience | <ul style="list-style-type: none"> <li>▶ Liability-first discipline</li> <li>▶ Calibrated pricing</li> <li>▶ Relationship-led mobilisation</li> </ul>                  |
| <b>Digital-first 'One Axis' ecosystem</b> | Deliver seamlessly integrated modern banking        | <ul style="list-style-type: none"> <li>▶ Unified platform and ecosystem across segments and subsidiaries/associates</li> <li>▶ <i>open/neo</i> propositions</li> </ul> |
| <b>Embedded sustainability</b>            | Future-proof franchise resilience                   | <ul style="list-style-type: none"> <li>▶ Strong governance culture</li> <li>▶ ESG integration and sustainable finance scaling</li> </ul>                               |

## Resource allocation framework

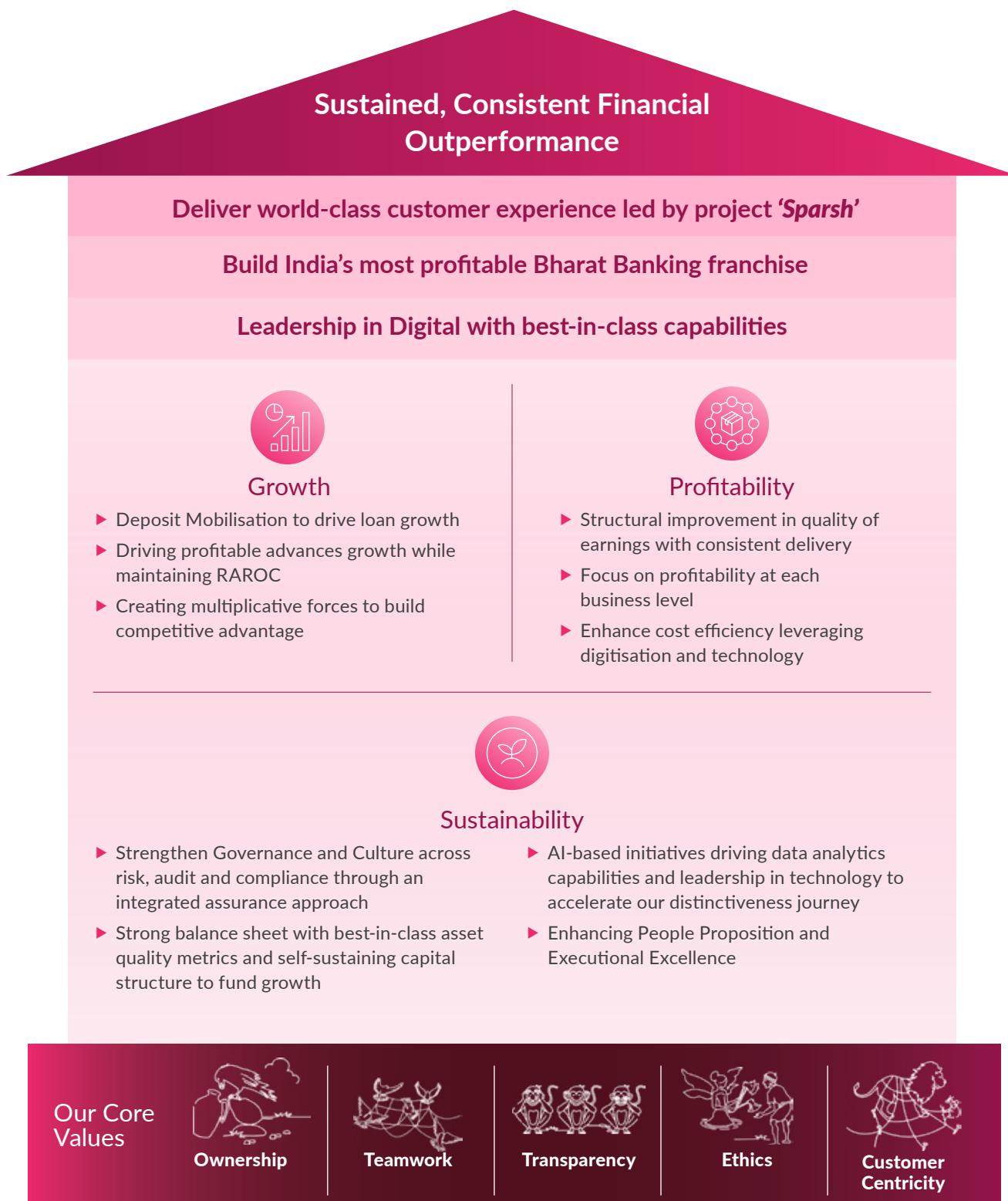
Our resource allocation framework reflects disciplined deployment of both financial and non-financial capital in support of the GPS strategy. Each allocation is assessed for its ability to strengthen competitiveness, improve resilience, build future capabilities and contribute to long-term value creation.

### Investments supporting future outcomes

| Capital                     | Key investments (FY 2025-26)                                                                                                | Strategic linkage                                                                                    |
|-----------------------------|-----------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| <b>Financial Capital</b>    | ₹15,711 billion deposits + borrowings mobilised as on March 31, 2026<br>▲ 16% y-o-y                                         | Enhances scalability, productivity and digital leadership                                            |
| <b>Human Capital</b>        | E-learning and classroom based trainings conducted; 6.7 million+ learning hours, averaging 59.57 hours per employee         | Nurturing talent for a future-ready workforce and strengthening Sparsh and risk culture              |
| <b>Intellectual Capital</b> | ₹4,000+ crores of OPEX invested in technology                                                                               | Improves precision, turnaround time and risk-adjusted growth                                         |
| <b>Manufactured Capital</b> | 400 branches newly opened; fostering expansion within RuSu markets                                                          | Expands physical network footprint for catering underserved regions and unlocking economic potential |
| <b>Natural Capital</b>      | ₹5.3 billion expended in CSR programs; lending towards sectors with positive environmental and social outcomes ₹613 billion | Reinforces responsible growth and resilience                                                         |

## From strategy to enduring value

### House of GPS





# A year where customer trust drove performance

The numbers are a reflection of how customers increasingly chose Axis Bank across their financial journeys. Growth in deposits, advances, assets and profitability highlights the expanding role we play in supporting individuals, businesses and institutions, while reinforcing the resilience and quality of our franchise.

## Balance Sheet

### Capital & Reserves and Surplus (₹ in crores)

▲ 14% ▲ 15%

|            |         |
|------------|---------|
| FY 2025-26 | 204,194 |
| FY 2024-25 | 178,617 |
| FY 2023-24 | 150,235 |
| FY 2022-23 | 124,993 |
| FY 2021-22 | 115,025 |

### Total Assets (₹ in crores)

▲ 17% ▲ 13%

|            |           |
|------------|-----------|
| FY 2025-26 | 1,886,850 |
| FY 2024-25 | 1,609,930 |
| FY 2023-24 | 1,477,209 |
| FY 2022-23 | 1,317,326 |
| FY 2021-22 | 1,175,429 |

### Total Advances (₹ in crores)

▲ 19% ▲ 15%

|            |           |
|------------|-----------|
| FY 2025-26 | 1,233,570 |
| FY 2024-25 | 1,040,811 |
| FY 2023-24 | 965,068   |
| FY 2022-23 | 845,303   |
| FY 2021-22 | 707,947   |

### Total Deposits (₹ in crores)

▲ 14% ▲ 13%

|            |           |
|------------|-----------|
| FY 2025-26 | 1,335,834 |
| FY 2024-25 | 1,172,952 |
| FY 2023-24 | 1,068,641 |
| FY 2022-23 | 946,945   |
| FY 2021-22 | 821,721   |

### Current Account and Savings Account (CASA) (₹ in crores)

▲ 11% ▲ 9%

|            |         |
|------------|---------|
| FY 2025-26 | 528,912 |
| FY 2024-25 | 478,188 |
| FY 2023-24 | 459,401 |
| FY 2022-23 | 446,536 |
| FY 2021-22 | 370,006 |

### Book Value Per Share (₹)

▲ 14% ▲ 15%

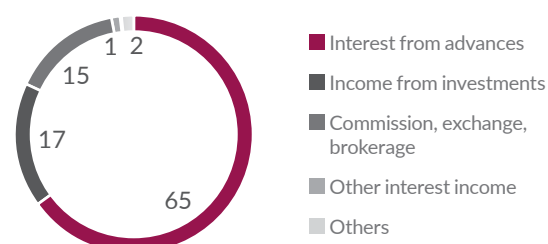
|            |     |
|------------|-----|
| FY 2025-26 | 657 |
| FY 2024-25 | 577 |
| FY 2023-24 | 487 |
| FY 2022-23 | 406 |
| FY 2021-22 | 375 |

▲ y-o-y growth | ▲ 4-year CAGR

## Profit and Loss

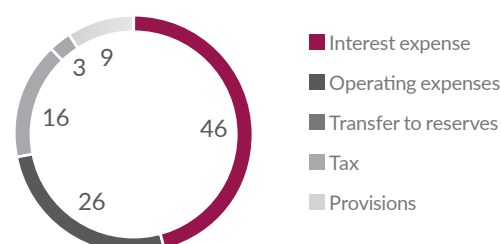
### Rupee Earned

(%)



### Rupee Expended

(%)



### Operating Revenue

(₹ in crores)

▲ 3% ▲ 14%

|            |        |
|------------|--------|
| FY 2025-26 | 82,179 |
| FY 2024-25 | 79,605 |
| FY 2023-24 | 72,336 |
| FY 2022-23 | 59,089 |
| FY 2021-22 | 48,353 |

### Net Interest Margin (NIM)

(%)

#### Net Interest Income (NII)

(₹ in crores)

▲ 3% ▲ 14%

|            |      |        |
|------------|------|--------|
| FY 2025-26 | 3.69 | 56,048 |
| FY 2024-25 | 3.98 | 54,348 |
| FY 2023-24 | 4.07 | 49,894 |
| FY 2022-23 | 4.02 | 42,946 |
| FY 2021-22 | 3.47 | 33,132 |

### Operating Profit

(₹ in crores)

▲ 2% ▲ 15%

|            |         |
|------------|---------|
| FY 2025-26 | 42,817  |
| FY 2024-25 | 42,105  |
| FY 2023-24 | 37,123  |
| FY 2022-23 | 32,048* |
| FY 2021-22 | 24,742  |

### Net Profit

(₹ in crores)

▼ 7% ▲ 17%

|            |         |
|------------|---------|
| FY 2025-26 | 24,457  |
| FY 2024-25 | 26,373  |
| FY 2023-24 | 24,861  |
| FY 2022-23 | 21,933* |
| FY 2021-22 | 13,025  |

### Earnings Per Share (Basic)

(₹)

▼ 8% ▲ 17%

|            |        |
|------------|--------|
| FY 2025-26 | 78.82  |
| FY 2024-25 | 85.28  |
| FY 2023-24 | 80.67  |
| FY 2022-23 | 71.37* |
| FY 2021-22 | 42.48  |

▲ y-o-y growth | ▲ 4-year CAGR

\*Excluding exceptional items

Above are standalone figures as on/for year ended March 31, 2026 unless otherwise mentioned

## Key Ratios

### Return on Equity (ROE) (%)

|            |        |
|------------|--------|
| FY 2025-26 | 13.15  |
| FY 2024-25 | 16.52  |
| FY 2023-24 | 18.86  |
| FY 2022-23 | 18.38* |
| FY 2021-22 | 12.91  |

### Capital Adequacy Ratio (%)

|            |       |
|------------|-------|
| FY 2025-26 | 16.42 |
| FY 2024-25 | 17.07 |
| FY 2023-24 | 16.63 |
| FY 2022-23 | 17.64 |
| FY 2021-22 | 18.54 |

### Cost to Asset Ratio (%)

|            |      |
|------------|------|
| FY 2025-26 | 2.28 |
| FY 2024-25 | 2.46 |
| FY 2023-24 | 2.55 |
| FY 2022-23 | 2.25 |
| FY 2021-22 | 2.17 |

### Gross NPA (%)

|            |      |
|------------|------|
| FY 2025-26 | 1.23 |
| FY 2024-25 | 1.28 |
| FY 2023-24 | 1.43 |
| FY 2022-23 | 2.02 |
| FY 2021-22 | 2.82 |

### Return on Assets (ROA) (%)

|            |       |
|------------|-------|
| FY 2025-26 | 1.45  |
| FY 2024-25 | 1.74  |
| FY 2023-24 | 1.83  |
| FY 2022-23 | 1.82* |
| FY 2021-22 | 1.21  |

### Tier 1 Capital (%)

|            |       |
|------------|-------|
| FY 2025-26 | 14.38 |
| FY 2024-25 | 14.67 |
| FY 2023-24 | 14.20 |
| FY 2022-23 | 14.57 |
| FY 2021-22 | 16.34 |

### Provision Coverage Ratio (%)

|            |    |
|------------|----|
| FY 2025-26 | 70 |
| FY 2024-25 | 75 |
| FY 2023-24 | 79 |
| FY 2022-23 | 81 |
| FY 2021-22 | 75 |

### Net NPA (%)

|            |      |
|------------|------|
| FY 2025-26 | 0.37 |
| FY 2024-25 | 0.33 |
| FY 2023-24 | 0.31 |
| FY 2022-23 | 0.39 |
| FY 2021-22 | 0.73 |

\*Excluding exceptional items

Above are standalone figures as on/for year ended March 31, 2026 unless otherwise mentioned

## People

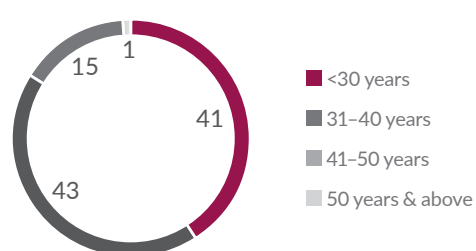
### Gender Diversity

(%)



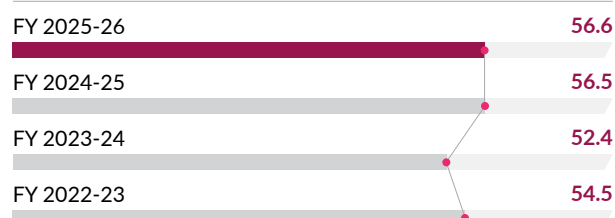
### Workforce by Age

(%)



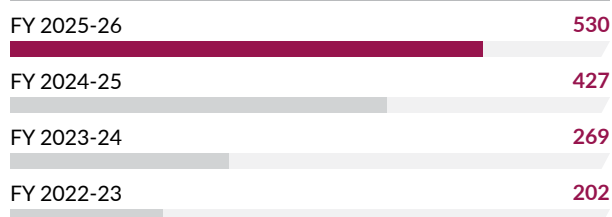
### Women in frontline staff<sup>^</sup>

(%)



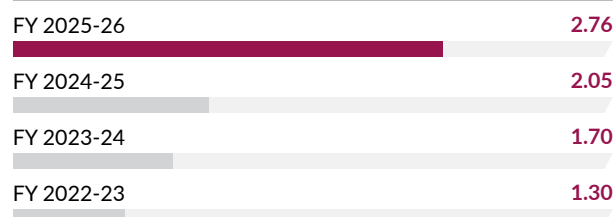
### CSR Spend\*\*

(₹ in crores)



### Lives Impacted<sup>#</sup>

(No. in million)



### Highlights of Subsidiaries<sup>@</sup>

▲16%

Domestic Subsidiaries  
PAT (Profit After Tax)

▲19%

Axis Finance  
PAT

▲21%

Axis Finance  
Revenue from Operations

▲9%

Axis Capital  
Revenue from Operations

▲33%

Axis Capital  
Fees from Advisory

▲5%

Axis AMC  
Equity QAAUM

▲12%

Axis AMC  
Investment Management Fees

\*\*Includes amount transferred to Unspent CSR accounts to be utilised in ongoing programs in subsequent years

#Cumulatively under the Sustainable Livelihoods Program

<sup>^</sup>Out of total women in workforce

<sup>@</sup>y-o-y growth

Above are standalone figures as on/for year ended March 31, 2026 unless otherwise mentioned



# Becoming the primary bank for every customer



**Munish Sharda**  
Executive Director

## *Dear Shareholders,*

Over the years, Axis Bank's Retail Banking franchise has been built with deliberate intent of expanding in scale while steadily improving the quality of the underlying platform, positioning Retail Banking as a long-term strategic priority within the Bank's GPS framework. What underpins this journey is a conscious balance: retaining traditional strengths in relationship-led banking and distribution reach, while materially upgrading digital execution, analytics-led decisioning and AI-led productivity.

Fiscal 2026 marked a phase of calibrated execution for our Retail Banking franchise. It was effectively a tale of two halves, where the first half of the year reflected a cautious stance with moderated growth, particularly in certain unsecured segments, alongside a reoriented approach to retail liabilities, while the second half saw a broad-based acceleration in disbursements, underpinned by the strengthening performance of our risk frameworks, and encouraging traction in deposits, driven by premiumisation and deeper customer engagement. Our distribution network continued to expand with the addition of ~400 branches during the year, taking our total footprint to 6,275 branches, with nearly half located across rural and semi-urban markets, thus reinforcing both reach and inclusivity.

Our renewed approach towards deposits, anchored around sharper segmentation, priority cohorts, and premiumisation has begun to deliver early outcomes, reflected in higher quality acquisition, deeper engagement, and improving

balances. In parallel, our Retail lending franchise has demonstrated steady resilience, with retail advances constituting 55% of the loan book and registering a healthy 8% y-o-y growth. Disbursement momentum has picked up meaningfully in the later half of fiscal 2026, following a phase of calibrated moderation as we adopted a watchful stance in unsecured lending.

Beyond balance sheet growth, we continue to maintain a leadership position in our high-engagement businesses, including cards, payments, wealth management and merchant acquiring. In digital payments, our franchise remains among the leading players across UPI and credit cards, underlining our centrality in customers' everyday banking journeys.

At the core of this progress is our unwavering focus on customer experience. Our customer obsession program continues to translate intent into measurable outcomes by simplifying journeys, elevating service quality, and deepening customer loyalty, with Retail NPS improving by 59 points since inception in fiscal 2023, alongside retaining the 2<sup>nd</sup> rank in the Kantar Retail Bank Survey for the 3<sup>rd</sup> consecutive year.

Collectively, these advancements reflect a franchise that is not only scaling with discipline but also strengthening in depth, thus positioning us to deliver more consistent, relationship-led growth with greater resilience across cycles, while progressing towards becoming the primary banker for our customers through deeper engagement, higher wallet share and increased product penetration.

## **Extending reach, elevating experience, enabling growth**

Our physical distribution network remains a fundamental pillar of franchise strength, enabling us to operate across 712 districts in 28 states and 7 union territories—reflecting a truly pan-India presence.

Our branch strategy is increasingly anchored around relationship-intensive customer segments. Our industry-first innovative formats continue to set precedence, exemplified by initiatives such as our digital locker-focused branch in New Delhi that integrates automation, enhanced security and superior service design.

## Redefining the deposit strategy for scale and quality

The Bank's deposit franchise has been anchored in a deliberate shift towards making deposits a shared organisational priority, with every business and function aligned to drive liability growth and enhance balance sheet quality. This integrated approach has strengthened execution intensity across the franchise, ensuring that deposit mobilisation is not siloed, but embedded within customer acquisition, engagement and relationship deepening across segments.

In fiscal 2026, we had reoriented our approach towards New-to-Bank (NTB) and Existing-to-Bank (ETB) customers. The NTB strategy is increasingly premium-led, focused on acquiring higher-quality customer cohorts through sharper segmentation, targeted sourcing and improved conversion discipline.

*The ETB strategy has been towards deepening engagement and enhancing customer lifetime value—leveraging data-driven insights, personalised journeys, and lifecycle-based interventions to strengthen primacy and expand wallet share.*

Our deposit journey is best understood across three key dimensions—cost, growth and quality. Across each of these pillars, the emphasis remains consistent: building a granular, resilient and cost-efficient liability franchise that is anchored in strong customer relationships and capable of sustaining performance across cycles.

We have managed deposit costs with strong discipline across both rate-hike and rate-cut cycles over the last 2 years, supported by timely pricing actions—particularly on savings rates—and a calibrated mix strategy. Our continued focus on defending CASA ratio, currently at 40%, alongside sharper targeting of priority customer cohorts, has enabled us to navigate competitive pricing pressures effectively while sustaining cost efficiency and strengthening the liability franchise.

Our deposit franchise delivered industry-leading growth, with period-end deposits expanding 14% y-o-y while maintaining a healthy 13% y-o-y growth on a quarterly average basis, alongside 11% growth in CASA balances—reflecting both strong momentum in mobilisation and consistency in underlying balance build-up. The average balances for the NTB customers grew 53% y-o-y, alongside a 24% increase in products per customer, reflecting the

effectiveness of our premium-led sourcing and tighter conversion discipline.

## Unlocking higher value through affluence and wealth expansion

Premiumisation continues to be a defining lever in strengthening our Retail franchise, with the Burgundy platform scaling into a comprehensive, high-engagement ecosystem for affluent and ultra-high-net-worth clients. Anchored in the 'One Axis' ecosystem—spanning banking, wealth management, asset management, investment banking, and capital markets—we provide one of the most comprehensive offerings in India, enabling clients to access curated solutions across mutual funds, PMS, AIFs, fixed income, and alternate investments through an open architecture framework. As of March 2026, we managed ₹6.78 trillion in wealth assets under the Burgundy franchise, reflecting both the depth of customer trust and the strength of our integrated proposition.

Within this, the Burgundy Private, our flagship private banking offering, has scaled meaningfully, now managing over ₹2.4 trillion in assets across 16,450+ families in 52 cities, including relationships with 40 of the Forbes 100 richest Indians. The franchise continues to gain global recognition, securing 'India's Best for Next-Gen' at the Euromoney Private Banking Awards 2026 for the third consecutive year, alongside the 'Best Private Bank for HNWIs' award at The Asset Triple A Awards 2025, among several others.

## Retail Lending — growth anchored in underwriting discipline and RAROC

Our approach to Retail Lending in fiscal 2026 remained calibrated and firmly anchored in our RAROC-driven framework, with a clear emphasis on the quality of cohorts we originate rather than the pace of headline growth, ensuring that the franchise remained well-positioned from a risk standpoint, even as we prepared the ground for the next phase of growth.

Encouragingly, momentum in the retail lending book began to re-emerge in the latter part of the year. Retail advances grew by 8% y-o-y, supported by a strong pick-up in disbursements over the last two quarters as asset quality trends stabilised and consumer demand remained resilient. This recovery has been aided by a supportive interest rate environment and favourable fiscal measures, reinforcing consumption demand across segments. Importantly, key portfolio indicators—including bounce rates, early delinquencies, and collection and resolution metrics—have

continued to show sustained improvement, providing confidence in the underlying health of the portfolio.

Growth across the segments was driven by disciplined channel management and strengthened underwriting guardrails. Disbursement momentum during the quarter ending March 31, 2026 was broad-based, with home loans growing 28% y-o-y, vehicle loans 25%, retail-agri 34%, and personal loans 22%, alongside sustained traction in high-growth segments such as Small Business Banking and LAP, where the book expanded by 17% and 16% y-o-y, respectively. We also witnessed strong momentum in gold loans, supported by the ongoing expansion of branch-level capabilities to scale this offering. Importantly, this acceleration has been achieved without any dilution in risk filters, with new vintages tracking well within guardrails and demonstrating improving early performance trends.

Our secured portfolio continues to anchor the stability of the franchise, accounting for 73% of the total retail loan book. Home loans and auto loans remain largely focused on income-stable, credit-tested customers, supported by conservative underwriting parameters, strong bureau checks, and a bias towards formal income segments. Additionally, the share of ETB customers at 66% in home loans and 47% in auto loans, highlights a significant opportunity to deepen relationships and expand wallet share within the existing customer base.

The unsecured business has demonstrated a steady and calibrated recovery, where the growth remains anchored in higher-quality segments, with ETB contribution at 79% in personal loans and 54% in credit cards, and a strong salaried profile constituting 100% for personal loans and 74% for credit cards.

This progress has been further reinforced by a series of marquee partnerships across mobility, travel, and digital platforms—partnering with Tesla as a preferred financier in the premium EV segment, with IndiGo to enhance travel-led engagement through co-branded offerings, and with Google Pay to introduce India's first UPI-powered Flex credit card—collectively strengthening our innovation agenda and expanding our customer reach through differentiated, technology-led propositions.

The improving disbursement trajectory and stabilising portfolio indicators provide confidence that the retail franchise is well-positioned for a gradual rebalancing within the overall loan mix.

*As this momentum sustains, we expect retail lending to play an increasingly important role in driving margins, while maintaining our core philosophy of growth with discipline and risk-adjusted returns.*

### Unlocking growth from India's rural and semi-urban ecosystems

India's rural and semi-urban markets continue to be a critical pillar of the Bank's long-term growth strategy, offering a compelling opportunity to deepen financial inclusion while building a granular, resilient franchise. Bharat Banking remains central to this vision, with a distribution network now spans 2,924 branches, supported by a formidable ~21,000 CSC Village Level Entrepreneurs network and a healthy expansion across key segments such as gold loans, tractor finance, microfinance, and agri-linked lending. In fiscal 2026, the Bharat Banking book grew 4% y-o-y, supported by strong disbursement momentum of 23% y-o-y, reflecting improved credit demand and sharper market penetration. On the liabilities side, deposits rose 13% y-o-y underscoring the strength of our local engagement. This growth is enabled through a differentiated 'farm-to-folk' ecosystem approach, allowing us to participate across the full rural value chain strengthening customer engagement and wallet share, while also making a meaningful contribution towards the Bank's PSL objectives.

### Leading India's digital payments transformation

Digital payments have emerged as a core pillar of our Retail strategy—driving customer engagement, enhancing transaction intensity, and strengthening the broader franchise.

*In fiscal 2026, we strengthened our position as one of the leading players in UPI, with an industry-leading ~36% market share as Payer PSP across both value and volume, supported by best-in-class transaction reliability with negligible technical declines.*

We also continue to be among the largest players in merchant acquiring, with a terminal market share of ~22.4%, reinforcing our reach across merchant ecosystems.

Our credit card franchise further complements this strength, with ~16 million cards in force and a ~14% market share, delivering 7% growth in spends and sustained sourcing momentum.

Digital adoption across our customer base continues to deepen meaningfully, with 98% of individual financial transactions now conducted digitally.

In addition, our Retail franchise continues to drive meaningful value through a strong and granular fee engine, with Retail fee contributing ~72% and granular fee streams accounting for ~92% of total fee. Fees from third party products and retail cards & payments accounted for 68% of the retail fee, reflecting the depth of customer engagement and diversification of revenue sources.

### Building a future-ready retail franchise through technology and innovation

We continue to strengthen our execution backbone through sustained investments in technology, innovation, and governance-led processes, with digital banking emerging as a key enabler of this transformation. Our mobile banking application, **Open**, remains among the highest rated in the industry, with a 4.8 rating across major app stores, ~16 million monthly active users, and ~18 million non-Axis customers on Axis Mobile and Axis Pay—reflecting strong adoption and trust. Today, ~66% of customers are fully mobile-led, ~98% of transactions are digital, and ~74% of branch service requests are fulfilled digitally, underscoring the scale and efficiency of our operating model.

Our proprietary platform, Siddhi, anchors frontline productivity through a unified customer view and structured engagement cadence, improving contactability to ~80% and driving sharper execution.

*Complementing this, the scaled deployment of Salesforce (SFDC) across key asset classes, including tractors and mortgages, is delivering tangible improvements in underwriting discipline and turnaround times, with most of the journeys now supporting digital onboarding with eKYC, eNACH, eSign and eStamp.*

The Bank's Customer Obsession initiative, 'Sparsh', continues to institutionalise a 'listen-act-improve' operating cadence across journeys, products, and channels, supported through our AI-led platforms such as Adi and Kaleidoscope, where the interaction volumes increased 3.5x and 5.2x y-o-y, respectively, thus enhancing decision support and enabling proactive customer engagement at scale.

*Despite rapid digital adoption, we continue to strengthen cyber security and governance through industry-first initiatives—including Aadhaar Face Authentication for secure, self-service mobile updates, the 'Safety Centre' enabling real-time customer-controlled security, and the 'Lock FD' feature to safeguard deposits—reinforcing trust and resilience across our digital banking ecosystem.*

India's long-term consumption and financialisation trajectory remains compelling, and the next phase of our Retail Banking journey will be defined by sharper execution, deeper customer primacy, and technology- and AI-led transformation. We will continue to enhance productivity and operational efficiency through intelligent automation, while elevating service quality through data-driven, personalised engagement. As we scale with discipline—balancing growth with resilience and strong governance—we remain focused on building a future-ready retail bank that delivers superior customer outcomes and sustainable, risk-adjusted returns across cycles.

Warm regards,

**Munish Sharda**

Executive Director



# Growth powered by innovation and customer centricity

Guided by our customer-first philosophy and by leveraging digital innovation, our Retail Banking segment continued to strengthen its franchise across India in fiscal 2026. Through a robust branch network, seamless digital journeys and tailored financial solutions, we achieved sustainable growth across deposits, lending and payments while advancing financial inclusion.

**Multiple ways to bank at your convenience**

- Mobile Banking App, open
- WhatsApp Banking
- Axis Bank Internet Banking
- AXIS AHA! Virtual Banking Assistant
- SMS Banking
- Phone Banking
- Axis Support
- Axis Bank branches

**AXIS BANK**

## Material issues linkage



## Capital Linkage



## UN SDGs Linkage



Retail Banking remains a core growth engine for the Bank, supported by a strong deposit franchise, disciplined lending expansion, and a rapidly scaling digital payments ecosystem. During fiscal 2026, we deepened customer engagement across urban, semi-urban and rural India by closely integrating our robust distribution network with digital-first journeys. Continued investments in payments, digital banking and wealth solutions helped strengthen long-term customer relationships and accelerate the expansion of the retail franchise.

Retail Banking continues to evolve beyond transactional banking into a more integrated, relationship-led franchise built around customer relevance, convenience and everyday engagement. As customer behaviours become increasingly digital and experience-driven, the Bank is strengthening how customers interact, transact, borrow, invest and manage money across life stages.

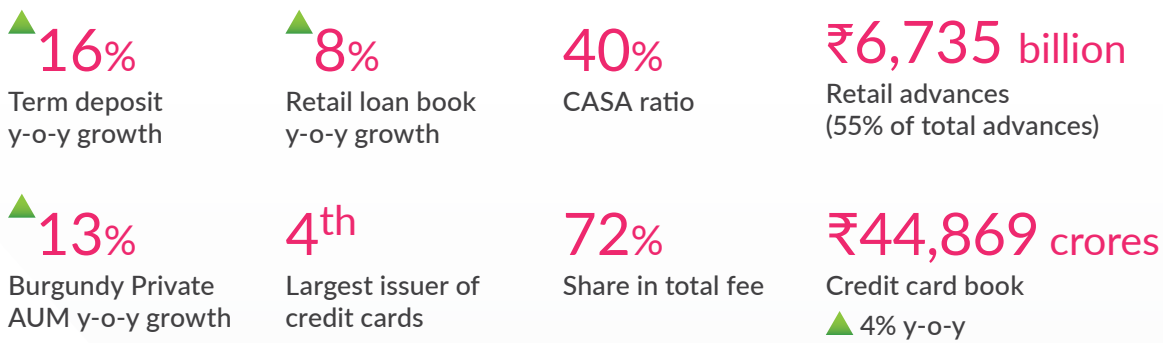
The franchise continues to benefit from the convergence of distribution, data, technology and product ecosystems.

This is enabling more contextual engagement, deeper customer relationships, and greater operating agility across a highly diversified retail portfolio.

In fiscal 2026, the Retail Banking franchise further strengthened its focus on improving customer journeys, deepening ecosystem participation, and building a more scalable and digitally integrated retail banking platform.

## Retail Banking at a glance

### Fiscal 2026 highlights



## Our Retail growth model



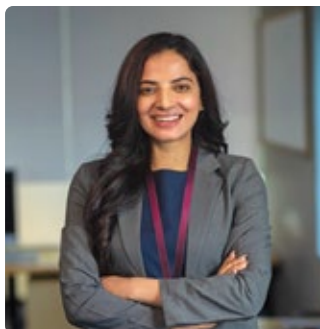
### Disciplined retail lending

Expanding retail lending with strong risk discipline and diversified product offerings



### Digital-led customer engagement

Enhancing payments ecosystems, digital servicing, and seamless banking journeys



### Granular deposit franchise

Strengthening salary relationships and premium segments while scaling digital onboarding to expand stable retail deposits



### Premiumisation & wealth growth

Deepening affluent and private banking relationships through specialised advisory and curated investment solutions

## Retail lending

Retail lending serves as a powerful catalyst for growth, inclusion and opportunity across all customer segments. Each loan empowers individual aspirations, whether for homeownership, education, business expansion or access to essential credit. Throughout fiscal 2026, our focus remained on building a high-quality, digitally enabled, diversified franchise through disciplined sourcing, improved portfolio quality, and an expanded market presence across mortgages, consumer loans and vehicle finance.



## Strategic drivers of retail lending

1

### Advancing towards fully digital, AI-enabled lending journeys

The Bank is accelerating its transition towards seamless, end-to-end, AI-enabled digital journeys across retail lending, with fully digital Personal Loans, AI-led Home Loans to reduce turnaround time, and a simplified 7-click Insta Car Loan process enhancing speed and convenience.

2

### Driving sharper sales execution through Siddhi

The Bank is strengthening sales and branch execution through Siddhi, a digitally-enabled, analytics-driven mobile app, supported by a segmented engagement program to enhance Personal Loan conversions and a unified planning framework to drive discipline, productivity and consistency.

3

### Strengthening ETB sourcing and improving channel stickiness

The Bank is refining its ETB sourcing models to deepen engagement, enhance retention, and improve conversions through tailored offerings and targeted campaigns, while leveraging its Bharat Banking network to increase proprietary sourcing and drive asset penetration.

4

### Enhancing product propositions in high-yield segments

Product propositions are being revamped to enhance competitiveness in high-yield, high-growth segments, supported by policy refinements in 'Loan Against Property' and 'Used Vehicles', and a comprehensive restructuring of the affordable housing offering to strengthen market positioning and drive incremental growth.

5

### Unlocking liabilities through asset-led customer journeys

Retail deposit mobilisation is being strengthened by integrating savings account origination into the loan journey and leveraging key touchpoints such as mortgage and vehicle financing to enable effective cross-selling and deepen customer relationships.

6

### Re-engineering processes to improve oversight and customer experience

Internal processes have been revamped to strengthen fraud controls, enhance assurance and reduce customer friction through Straight Through Processing (STP) journeys, green-channel decisioning and automated onboarding checks, improving the safety and reliability of unsecured lending.

## Key retail lending products



Home loans



Education loans



Two-wheeler loans



Loan against property



Loan against securities



Commercial equipment loans



Affordable housing loans



Overdraft against fixed deposits



Commercial vehicle loans



Lease rental discounting



Overdraft against salary



Supply chain finance



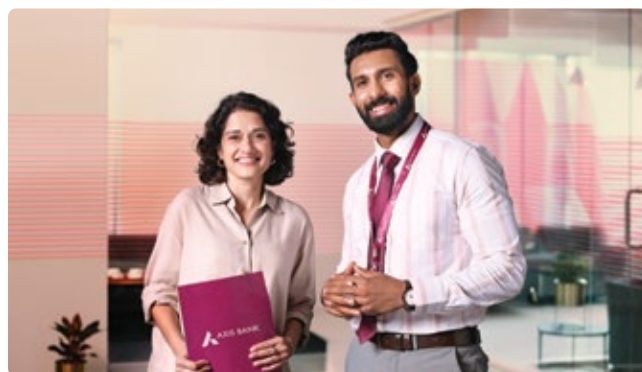
Personal loans



Car loans

## Retail deposits

Retail deposits sustained their strong momentum during fiscal 2026, driven by robust customer acquisition, seamless digital journeys, and deeper engagement with premium and salaried customer segments. This was reflected in a higher share of wallet and deepening customer engagement. Together with strengthening the salary account franchise, digital innovations such as Fixed Deposit (FD) booking via WhatsApp and the 'Lock FD' feature enhanced customer convenience and security, reinforcing trust in the Bank's digital deposit platforms.



**₹3,441 billion**

MEB Savings deposits

**▲11%**

Savings deposit  
y-o-y growth

**▲~14%**

Salary upload\*  
y-o-y growth

**▲~26%**

Premium salary acquisition  
(no. of accounts) y-o-y growth

\*Cumulative salary credits in corporate salary customer accounts



## Digital-led payments

Cards and Payments form a key pillar of the Bank's retail engagement strategy, underpinning everyday payments, merchant transactions, and customer loyalty. The Bank offers a diversified portfolio of proprietary and co-branded credit cards supported by digital issuance, real-time controls and self-service capabilities.

The franchise is anchored in three core strengths: a varied card portfolio tailored to diverse customer segments, a scaled merchant-acquiring platform with integrated banking solutions, and a strong presence within the UPI ecosystem. These capabilities enable the Bank to participate in various payment use cases, driving sustained engagement and increasing customer lifetime value.

### Credit cards

The Bank offers a broad suite of proprietary and co-branded credit cards tailored to a wide range of customer segments. The portfolio is designed to address diverse customer needs – from daily payments and credit access to bespoke rewards and lifestyle propositions. The launch of IndiGo, SuperMoney, and Google Pay Flex co-branded credit cards reflects our focus on strengthening partnerships and expanding customer reach. By leveraging strong partner ecosystems, we are driving customer

acquisition and delivering segment-specific propositions aligned to diverse customer needs, thereby enhancing overall engagement. Beyond transactions, we also offer a sophisticated digital experience, enabling real-time controls, effortless account management, and self-service, allowing customers to manage their card relationships seamlessly. Portfolio coverage across global payment networks and key merchant partnerships ensures universal acceptance, while continuous product refresh and offerings help us remain at the forefront of a dynamic payment environment.



**16 million+**

Total credit cards in force

**~14%**

Market share of cards in force

**₹2,432 billion**

Annual card spends

## Merchant acquiring

Merchant acquiring remains a vital part of the Bank's payments ecosystem, enabling merchants across various segments to accept digital payments seamlessly. During the year, the Bank introduced the 'All-in-One Soundbox', a versatile solution that supports both UPI and card payments and provides multilingual audio alerts. Beyond simple payment processing, we offer integrated banking services, including deposits, lending, and third-party products, helping merchants consolidate their financial relationships with the Bank. We have also improved our payment gateway by adding payout features and building a robust omnichannel payment platform for merchants.



**26 lakhs+**

Merchant terminals

**22%**

Terminal market share

**₹4,466 billion**

Merchant throughput

## UPI and digital payments

The Bank has established a strong presence across the UPI ecosystem through partnerships with leading third-party application providers. UPI transactions continue to play a key role in expanding the Bank's digital engagement, enabling the Bank to integrate seamlessly into customers' everyday financial lives through high-frequency payment use cases. During the year, the Bank rolled out biometric authentication to enable seamless authorisation of low-value UPI transactions, introduced UPI Reserve Pay to support single fund-block multiple debit constructs for merchants, and launched Banking Connect - an interoperable net banking platform.

**36.2%**

UPI market share  
(Payer PSP)

**21.1%**

UPI acquiring  
market share

## Digital Currency (CBDC)

During the year, we continued to strengthen our leadership in the RBI's Central Bank Digital Currency ecosystem by driving customer adoption and pioneering innovative use cases. We launched an improved CBDC mobile app with a refined interface and streamlined payment journeys to improve the user experience and simplify payments.

The Bank was nominated for four launches at the Global Fintech Festival in Mumbai, led by senior RBI and Bank officials. Additionally, we were invited by the RBI to showcase CBDC use cases at the Singapore Fintech Festival, making Axis Bank the only private bank among the four selected from a pool of 19 banks, highlighting our expertise in digital currency innovation.

We were also the first to enable user-level programmable CBDC issuance for customers of other banks, expanding interoperability within the Digital Rupee ecosystem.

**7 lakhs+**

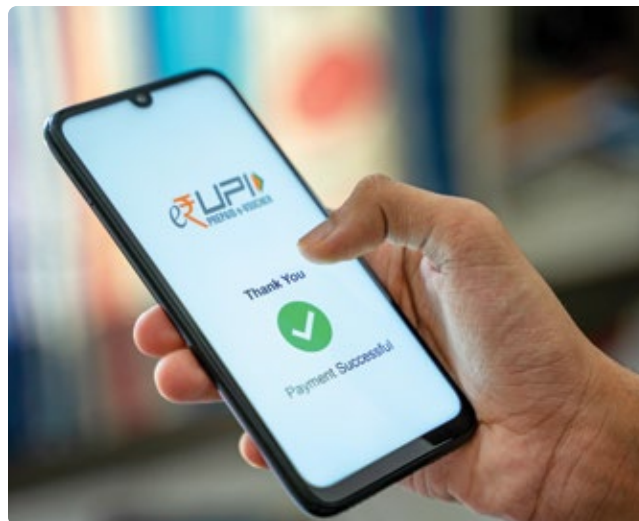
CBDC users

**~21,500**

Average daily transactions

**~1.46 crores**

Total transactions processed



## Elevating customer experience through digital journeys

Digital channels have become the primary interface for customers across cards and payments, making journeys faster, simpler and more convenient. Intuitive interfaces, self-service capabilities and assisted digital models are helping reduce manual intervention while delivering a seamless and consistent experience.

## Wealth management and global banking



### Forex and cross-border remittances

The Bank improved its cross-border remittance services by leveraging digital innovations and superior operational efficiency. Customers can now upload documents for inward remittances online, enabling faster processing and eliminating the need to visit branches. Furthermore, we solidified our position as a digital pioneer by becoming one of the first to adopt the CCIL FXRetail platform integration with Bharat Connect. This milestone enables customers to purchase US dollars digitally through leading applications.

**~47,000** crores

Forex transaction volume

**3 lakhs+**

Active customers



### Wealth management

The Bank provides curated investment solutions across diverse asset classes, catering to the unique needs of HNIs, UHNIs, NRIs, and the emerging affluent. Our digital ecosystem, anchored by the **open** by Axis Bank app and the NextGen portal, enables a seamless investing experience and deepens client interaction. Dedicated wealth managers and investment counsellors offer specialised insights, crafting portfolios aligned with clients' aspirations and risk appetite. Our affluent banking franchise continues to scale through a network of relationship managers and wealth specialists across more than 350 branches across a wide geography, including Tier II and Tier III markets, bringing sophisticated advisory services to India's emerging economic hubs.

**₹6.78** trillion

Wealth AUM

**29%**

Wealth AUM CAGR since March 2020

**3.8**

Products per client



## Awards



**'India's Best for Next-Gen'** at the  
Euromoney Global Private Banking  
Awards 2025



**'Best Private Bank for HNWIs'**  
Award at the Asset Triple A  
Awards 2025

## Outlook

### Retail Banking priorities for fiscal 2027

The Bank will continue to  
strengthen its Retail Banking  
franchise in the following ways:

- ▶ Expansion of granular retail deposits
- ▶ Disciplined retail lending growth
- ▶ Deeper digital payments engagement
- ▶ Innovation in digital currency and payments ecosystems
- ▶ Expansion of affluent and wealth management capabilities

Through these measures, the  
Bank will continue to future-proof  
its retail franchise and ensure a  
superior, integrated experience for  
its customers.



# We are evolving into a relationship-centric, ecosystem-led banking franchise



**Neeraj Gambhir**  
Executive Director



**Vijay Mulbagal**  
Wholesale  
Banking Coverage  
& Sustainability

## *Dear Shareholders,*

Fiscal 2026 began amidst concerns around the potential impact of global tariff actions and trade realignments. However, India remained resilient through the year, supported by improving corporate balance sheets, healthy domestic demand, selective revival in private capital expenditure and expanding trade linkages with key global partners. This created a conducive environment for high-quality credit growth, deeper client engagement and stronger transaction flows across the corporate ecosystem.

Supported by these underlying tailwinds, our Wholesale Banking franchise delivered a year of strong, disciplined performance, underpinned not just by scale, but also by a decisive shift in the quality of our growth. We are steadily transitioning from a pure lending led model to a more relationship-centric, ecosystem-driven franchise, where depth of engagement, breadth of solutions, and client primacy define outcomes.

Over the past few years, we have strengthened our organisational architecture to seamlessly integrate asset and liability capabilities, enabling more holistic and enduring client relationships. This evolution is further reinforced by our commitment to delivering a full-suite digital ecosystem to our clients, anchored not only in platforms such as **neo**, but extending across best-in-class corporate salary propositions and differentiated digital solutions tailored for SMEs and corporates. Together, these

capabilities are transforming how we engage, transact, and scale with our clients.

The impact of this transformation is now clearly reflected in our performance metrics. Our Corporate book grew 38% y-o-y, of which the Mid-Corporate book grew 33% y-o-y, while the SME book expanded by 24% y-o-y, underscoring the strength and breadth of our franchise across segments. Overall, the Small Business Banking, SME, and Mid-Corporate businesses together grew 24% y-o-y and now constitute 24% of total loans, an increase of ~845 basis points over the past five years, highlighting a sustained shift towards a more granular, diversified, and resilient portfolio mix. This growth has been complemented by stronger liability depth, a rising contribution from fee-based income, sharper execution capabilities, and improved capital efficiency.

Overall, this progress has been achieved alongside a continued improvement in earnings quality, anchored in a RAROC-led framework, rigorous pricing discipline, sectoral selectivity, deeper One Axis synergies and unwavering adherence to risk guardrails, thus positioning the franchise for structurally superior and sustainable performance.

## **Scaling with quality, anchored in discipline**

Our growth in Wholesale Banking continues to be firmly anchored in disciplined risk and return frameworks, with no compromise on underwriting standards. The Wholesale

book's RAROC in fiscal 2026 remained consistent with fiscal 2025, reflecting our ability to grow while preserving return integrity. This has been achieved alongside a high-quality corporate portfolio, with 91% of the book rated A- and above, and 68% rated AA- and above, underscoring our continued bias towards stronger credits.

Even in the SME segment, growth has been within our risk filters. Approximately 87% of incremental sanctions during the year were extended to SME-3 and better-rated clients, with 84% of the overall SME rated book being SME-3 and better. This reinforces our commitment to building a granular yet high-quality portfolio, where expansion is guided by underwriting rigour, portfolio intelligence, and disciplined risk selection.

Our fee performance further complements this quality-led growth framework. Wholesale Banking fees for the full year grew by 10% y-o-y, while contributing 28% to the Bank's total fee income. Within this, transaction banking fees, constituting 71% of Wholesale fees, grew by 8% y-o-y, reflecting the increasing depth of client engagement and flow-based revenues. Credit fees, which account for 25% of the Wholesale fee pool, witnessed robust growth of 19% y-o-y during the year.

### Building a scaled and resilient SME franchise

India's SME sector is undergoing a structural transformation, with rapid formalisation driving improved resilience, stronger governance, and a sustained expansion in credit demand.

Aligned to this opportunity, we have built a consistent and scalable SME franchise, and we are now progressing with a clear ambition to establish industry leadership in this segment. Today, SME represents one of the most profitable businesses within the Bank, supported by strong Priority Sector Lending alignment and a balanced risk-return profile.

Our approach to SME banking is anchored in combining data-driven credit decisioning with simplified product constructs and increasingly digitised operations, enabling both faster growth and enhanced customer experience. We have strengthened the underwriting framework by leveraging not just the SME rating model but also the large corporate model, with ~32% of the SME portfolio assessed using large corporate framework given the large turnover, while maintaining a strong 86% alignment with PSL priority sector lending requirements. Further, the portfolio is well-diversified across geographies, sectors and loan size, building resilience and reducing concentration risk thus enabling the business to continue to scale on sustainable basis across cycles.

We continue to augment this foundation with a robust early warning and monitoring architecture, incorporating real-time internal and external data signals along with transaction-level monitoring. These capabilities provide enhanced visibility into portfolio behaviour, enabling proactive risk identification and timely intervention where required. As a result, the SME portfolio remains well within the Bank's defined risk guardrails, supported by strong asset quality metrics with a GNPA of 0.68% and NNPA of 0.23%.

Our efforts in building a differentiated and digitally-enabled SME proposition have also been recognised through multiple industry accolades, including the BFSI Service Quality Excellence Awards 2026 for Best Omni-Channel Experience Strategy, recognition at the Bharat Fintech Summit 2026 for Digital Innovation in MSME through Merchant Cash Advance solutions, as well as Financial Inclusion Organisation of the Year for the MSME segment, alongside wins at BFSI Confex and Awards.

### Unlocking liability depth through integrated client coverage

A defining strategic shift during the year has been the enhanced focus on deposits as a core pillar of relationship building, with a deliberate move to bring corporate liabilities under the lens of Wholesale Banking coverage. This integrated approach allows us to leverage a single client relationship more effectively, extending beyond lending into current accounts, corporate salary, and broader transactional flows, thereby strengthening our positioning as a primary banker.

As a result of this strategic alignment, we have witnessed encouraging traction across key liability metrics, including a strong 11% y-o-y growth in current accounts. Our corporate salary franchise has also seen significant momentum, with a 38% y-o-y growth in premium salary uploads within the New-to-Bank (NTB) segment, supported by a 25% growth in premium acquisitions. These trends underscore the effectiveness of our ecosystem-led approach in deepening engagement and enhancing liability capture.

We have continued to expand current account relationships while deepening engagement through greater adoption of digital platforms across payments, collections, trade, forex, and tax ecosystems, including increased GST-linked flows among Existing-to-Bank customers. Focused efforts to enhance current account Infinity adoption are further driving higher float balances and stronger transaction velocity.

## Building a market-leading Transaction Banking franchise

Our evolution into a leading transaction banking franchise continues to accelerate, with scale, depth, and client relevance strengthening in tandem. We have significantly enhanced our capabilities across payments, collections, cash management and trade, supported by continuous investments in product innovation and client-centric digital interfaces. This is reflected in our leadership across key payment ecosystems, with a 37% market share in NEFT and 27% in IMPS by volume, 8.5% share in RTGS by value, 7.4% in GST payments, 16% share in Bharat bill payment systems (BBPS) by value, and 11% share in Foreign Letters of Credit during fiscal 2026.

This growing scale is not merely a measure of market presence, but a reflection of our increasing embedment in the day-to-day operating flows of our clients. As we deepen our participation across these transaction corridors, we are building a structurally stronger annuity engine, with transaction-led engagement translating into higher fee generation.

## Leading in debt capital markets with scale and consistency

Our capabilities span the full lifecycle of debt markets from structuring and origination to placement and secondary market liquidity, allowing us to deliver comprehensive solutions across varying market conditions. We have continued to strengthen our leadership position in India's fast-evolving corporate bond market, reinforcing us as a trusted partner to issuers and investors alike. We have consistently built scale and relevance across the debt capital markets ecosystem, underpinned by deep market insights, strong client relationships and superior execution capabilities.

In fiscal 2026, our position further strengthened with a market share of 17% in placement and syndication of debt issues, up from 14% in fiscal 2025, reflecting both increased deal flow and deeper client engagement. This momentum builds on our continued recognition as the No. 1 arranger for rupee-denominated bonds, as per the Bloomberg league tables, underscoring our leadership in primary issuances.

These achievements reflect not just market share gains, but the growing trust placed in the Bank as a preferred partner in debt capital markets. As corporate funding requirements evolve and markets deepen, we remain well-positioned to

capture opportunities by combining execution excellence with an integrated 'One Axis' approach, thus further expanding fee pools, strengthening client relationships, and reinforcing our leadership in this critical segment.

## Driving the next phase of growth through AI and platformisation

We are steadily building digital and AI capabilities across our Wholesale Banking franchise, embedding intelligence across the client lifecycle to enhance decision-making, customer experience and productivity. From lead mining and Gen AI-driven engagement to AI-assisted onboarding, fraud detection, and credit underwriting through decision-support tools, we are making our processes faster, sharper and more scalable. On the servicing side, data-led insights are improving cross-sell effectiveness and deepening client relationships, while strengthening risk visibility across the portfolio.

Built on this foundation, **neo** continues to emerge as a cornerstone of our digital corporate and business banking strategy, combining scale, experience, and deep ecosystem integration. We now serve over 5.5 lakh customers, supported by an expanding API and partner ecosystem that positions **neo** as the digital backbone of our Corporate Banking franchise. Through partnerships with Enterprise Resource Planning (ERP) platforms such as Tally and Zoho, and enterprise integrations via **neo** Connect with systems like SAP, clients can seamlessly transact and manage workflows within their native environments—enhancing convenience and stickiness. Customer experience remains a key differentiator, with '**neo** for Corporates' app ratings of 4.6 across both Play Store and iOS Store. Our Infiniti platform has enabled over 60,000 digital account openings, reducing onboarding turnaround times by up to 50% through end-to-end digitisation since the launch.

Together, our AI-led capabilities, **neo** platform, and innovation-driven product suite are enabling a connected, intelligent and scalable digital franchise by driving superior customer outcomes, improving efficiency and supporting sustainable, future-ready growth.

## Way forward: Scaling a future-ready, ecosystem-led franchise

As we look ahead, we remain mindful of a dynamic macroeconomic landscape where global uncertainties and domestic opportunities will continue to coexist. The 'One



Axis' model will continue to deepen wallet share and unlock ecosystem value through coordinated engagement, while Corporate Salary will serve as a strategic moat—extending client relationships into broader ecosystems and strengthening liability ownership.

The Wholesale Banking franchise is undergoing a fundamental shift from a balance sheet-led model to one that is ecosystem-driven, relationship-centric, and digitally enabled, where scale is complemented by depth, and growth is reinforced by resilience, as we continue to invest strategically in technology and product capabilities to build best-in-class digital platforms and product suite for this franchise. We are confident that this strategy positions us to deliver sustainable, high-quality growth while building a future-ready franchise. Our aspiration remains to be the most trusted banking partner to corporate India by combining scale with discipline, innovation with integration and growth with enduring value creation.

Warm regards,

**Neeraj Gambhir**  
Executive Director

**Vijay Mulbagal**  
Wholesale Banking  
Coverage & Sustainability



# Enabling enterprise growth with confidence

Through our integrated financial solutions, including lending, transaction banking, treasury, and capital markets capabilities, we partner with businesses throughout their growth journeys, enabling them to expand, manage risk, and unlock new opportunities. Anchored in long-term relationships and digital innovation, we continue to power sustainable enterprise growth, creating sustained value for clients and the broader economy.



## Material issues linkage



## Capital linkage



## UN SDGs Linkage



The Bank's Wholesale Banking franchise partners with India's most dynamic enterprises across industries, enabling growth, transformation, and resilience through economic cycles. Through our integrated 'One Axis' approach, we seamlessly blend lending, transaction banking, treasury, capital markets, advisory, and digital solutions to serve corporates, financial institutions, MSMEs, infrastructure developers, and new-age businesses.



As India enters a new phase of investment-led growth, driven by infrastructure expansion, manufacturing resurgence, and energy transition, Axis Bank remains dedicated to being a trusted financial partner, fuelling the nation's enterprise ecosystem.

Our coverage model combines relationship banking with sector expertise, digital capabilities, and disciplined risk management. This approach allows us to support clients through the entire lifecycle, from growth financing and

trade facilitation to treasury solutions, capital raising, and employee banking.

In fiscal 2026, the Wholesale Banking franchise further advanced its transition from a traditional balance sheet led model to a transaction focused, ecosystem driven approach, deepening liabilities, expanding annuity revenues, and strengthening portfolio resilience.

## Wholesale Banking at a glance

45%

Share in total advances

~₹613 billion

Incremental financing to sectors with positive E and S outcomes

91%

Share of corporate advances to clients rated A-and above

0.09%

Wholesale Net NPA

▲ 10% | 11%

y-o-y growth in CA deposits on QAB | MEB

₹1,848 billion

Current Account Deposits MEB book

₹4,938 crores

Transaction Banking revenue

₹6,933 crores

Fee income

## Client segments served



Large Corporates & Conglomerates



Public Sector Undertakings



Multinational Corporations



MSMEs across industry clusters



Financial Institutions



Start-ups and Technology Companies



Real Economy

## Wholesale Banking strategy

The Bank's Wholesale Banking strategy focuses on strengthening sector expertise, expanding transaction banking, scaling digital capabilities and maintaining disciplined risk management.

### Key pillars of the Wholesale Banking strategy

#### Ecosystem-led corporate coverage

The Bank continues to deepen engagement across corporate ecosystems by providing integrated financial solutions, including lending, trade finance, forex, treasury products, structured solutions, and transaction banking. By embedding banking services into corporate value chains, the Bank fosters client loyalty while increasing wallet share. This helps broaden fee income opportunities across key sectors, including manufacturing, infrastructure, logistics, healthcare, renewables, and technology.



#### Digital-first Corporate Banking

Technology remains central to the Wholesale Banking transformation. API-enabled connectivity, host-to-host integrations, digital onboarding journeys, and analytics-driven insights are increasingly integrated into corporate workflows. These capabilities improve turnaround times, enhance transparency, and boost operational efficiency for clients, while supporting the Bank's scalable growth.



#### Liability-led and transaction-driven growth

The franchise continues its shift toward transaction-intensive banking, expanding cash management, trade finance, and forex flows while deepening relationships with corporate liabilities. While supporting clients with integrated financial solutions throughout their operating cycle, this strategy boosts the Bank's annuity income streams and improves balance sheet stability.



#### Risk-disciplined portfolio management

Wholesale Banking growth is supported by strong risk governance, including portfolio analytics, early warning systems, and calibrated underwriting frameworks. These capabilities enable the Bank to sustain asset quality while proactively managing sectoral and macroeconomic volatility.



## Opportunities and risks

Fiscal 2026 witnessed strengthening corporate balance sheets, increasing private capital expenditure and sustained public investment.

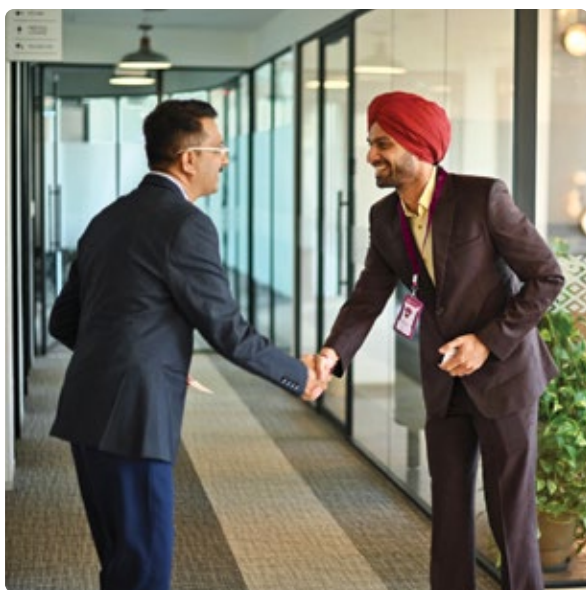
### Key opportunities

- ▶ Expansion under 'Make in India' and Production Linked Incentive (PLI) schemes
- ▶ Investments in infrastructure and renewable energy
- ▶ Growth in digital infrastructure
- ▶ Increasing demand for trade and working capital solutions

### Key risks

- ▶ Global geopolitical uncertainty
- ▶ Interest rate volatility
- ▶ Competitive intensity in large corporate lending
- ▶ Sector-specific stress pockets

The Bank continues to address these through disciplined exposure management and proactive portfolio monitoring.



## Segment performance

### Wholesale Banking Coverage Group (WBCG)

The Wholesale Banking Coverage Group plays a key role in serving mid and large corporates, financial institutions, infrastructure companies, startups, and conglomerates across India. By combining lending, liabilities, treasury, trade, capital markets and digital solutions, WBCG provides comprehensive financial services that support clients across every stage of the enterprise journey.

### Key focus areas in fiscal 2026

- ▶ Expanding ecosystem-based corporate engagement
- ▶ Increasing non-credit income through transaction banking
- ▶ Enhancing digital corporate journeys
- ▶ Strengthening portfolio intelligence and risk monitoring
- ▶ Customer obsession through **dil se open**-focused efforts on faster execution, segment-specific playbooks and stronger service governance reinforced trust and responsiveness across client relationships
- ▶ Talent, culture and productivity capability building, employee mobility and analytics-driven portfolio management enhanced productivity and supported a future-ready workforce aligned with the Bank's organisational priorities

# ₹4.13 lakh crores

WBCG Advances

▲ 38%

y-o-y growth

33%

Share in total advances

~800

New-to-Bank credit relationships



## Commercial Banking Group (CBG)

The Commercial Banking Group is a key driver of the Bank's growth, providing tailored financial solutions to MSMEs nationwide, including lending, trade and forex services, liabilities and transaction banking-based offerings. The Group's focused strategy is to combine distribution strength with tailored solutions and differentiated engagement models to unlock the full potential of India's MSME ecosystem.

With a consistent focus on devising customer-centric solutions, CBG continues to expand and diversify its distribution footprint by leveraging alternative channels and partnerships, enabling wider reach and faster customer acquisition.



### Key focus areas in fiscal 2026

- ▶ Expanded innovative MSME financing (merchant cash advances, rooftop solar, NTB digital loans)
- ▶ Adopted sector and cluster-led approach to deepen MSME ecosystem engagement
- ▶ Enhanced targeted outreach, branding and marketing to build a differentiated franchise
- ▶ Launched 'Digital Evolve' to strengthen MSME engagement and digital positioning

**₹1.47 lakh crores**

CBG Advances

**▲ 24%**

y-o-y growth

**2.6 lakhs+**

New client additions

**12%**

Share in total advances

## Treasury and Markets

The Bank's Treasury and Markets franchise remains a key contributor to balance sheet optimisation, client risk management, and capital market intermediation, offering a diversified suite of services across forex, derivatives, debt capital markets, and loan syndication. Through 'neo for Markets', Treasury Sales delivers structured risk management solutions to corporate clients, while trading desks continue to act as active market makers supporting liquidity. The Loan Syndication desk facilitates credit distribution and portfolio diversification across domestic and international markets.



## Ranked #1

Arranger for rupee-denominated bonds as per Bloomberg League Table

Top arranger - Investors' Choice for primary issues and Top Sell side firm in the Secondary Market

## Outlook

### For Wholesale Banking segment

The Bank's Wholesale Banking franchise will continue to focus on profitable and sustainable growth while supporting India's next phase of economic expansion.

#### Key priorities

- ▶ **Deepening liability-led growth:** Expanding transaction banking and corporate cash management capabilities
- ▶ **Scaling digital corporate banking:** Increasing adoption of API banking, digital trade solutions and analytics-driven credit monitoring
- ▶ **Financing India's transformation:** Supporting investments in manufacturing, infrastructure, renewable energy and digital ecosystems

# Stronger together as 'One Axis'

Under 'One Axis', the Bank integrates its banking businesses, specialist capabilities, and subsidiary ecosystem into a unified platform. This enables it to deliver seamless, end-to-end financial solutions across retail, commercial, investment, protection, and wealth needs. By connecting products, channels, and expertise, 'One Axis' helps serve customers more holistically across life stages and financial journeys.





## Building a diversified lending business

Axis Finance Limited (AFL) continued to scale and grow as a diversified NBFC, serving Retail, MSME, Small & Medium Enterprises (SME), RE Funding and Corporate Lending segments across India's enterprise ecosystem, with AUM<sup>1</sup> (₹48,175 crores) and AUF<sup>1</sup> (₹46,185 crores) registering strong CAGR of 25% and 27%, respectively from fiscal 2023 to fiscal 2026, reflecting growth outpacing the industry average. During the reporting year, the Company reshaped its retail franchise with the launch of Disha Home Loans, the re-launch of Business Loans and Shakti M-LAP and improved portfolio granularity through the introduction of the MSME Retail Banking Group. Concurrently, AFL strengthened its focus on building a balanced portfolio, diversifying distribution, strengthening underwriting capabilities, and re-imagining digital journeys to support sustainable growth, operating efficiency, asset quality and a superior customer experience.

### Fiscal 2026 highlights

- ▶ The RAM (Retail, MSME and SME) segment constitutes 70% of the total AUM at the customer level, representing a significant shift towards a retail and enterprise-led portfolio, with improved granularity and a well-diversified customer mix
- ▶ Increasing the share of small-ticket loans to create a more granular portfolio and a stronger cross-sell pipeline. Retail segment: 24% y-o-y growth in on-book loan portfolio, while maintaining resilient asset quality
- ▶ Focus on high-margin micro secured variants (newly launched low-ticket housing Disha Home Loans disbursed ₹1,056 crores and Shakti Micro LAP disbursed ₹415 crores)
- ▶ Launched a direct channel for retail products, which will be further scaled in fiscal 2027

### MSME segment

MSME segment constitutes ~9%, demonstrating 73% y-o-y growth, well-diversified across education, healthcare, and hospitality and other sectors. Doubled the distribution of MSME by launching a dedicated RBG (Retail Banking Group) vertical targeting ticket sizes of ₹1 crore to 7 crores.

**Small & Medium Enterprises:** The SME Lending sector represents exposures to established small and medium enterprises with annual revenue below ₹250 crores and formal business credentials, including valid Udyam registration that are offered customised financing solutions to support their expansion and evolving credit needs. This segment contributes ~9% to the total book structure.

**RE Funding:** This segment contributes 8% to the total book, largely comprising ready inventory and late-stage projects. The current portfolio consists of exposures in selected micro-markets and Tier I cities.

**Corporate Lending:** Contributing 22% to the total book structure, this segment reflects a strong, high-quality book with best-in-class asset quality metrics.

### Expanded distribution

1,100+ locations, with 72 branches, and incremental focus on Rural & Semi-Urban (RuSu) geographies.

### Digital innovation

Continued investment in digital capabilities, launch of scorecards, deployment of solicitation engine and Business Rule Engine, enhancing customer experience and operational efficiency.

### Funding diversification

Diversified borrowings across instruments and a wide lender base, spanning banks, financial institutions, mutual funds, insurance companies, and corporate treasuries.

### Capability building

AFL continues to invest in human capital and strengthen assurance, collections, IT and credit functions.

#### Strategic focus

- ▶ To scale micro secured and unsecured retail products
- ▶ Shift the portfolio further towards RAM
- ▶ Expand in RuSu markets
- ▶ Increase customer acquisition through direct and digital channels

#### Recognition



<sup>1</sup> Excluding Treasury





## Strengthening in equity capital markets

Axis Capital reinforced its leadership as a premier full-service investment bank across investment banking landscape and institutional equity services, navigating complex market conditions with agility and delivering consistently strong outcomes for clients. The trust and confidence of our clients remain the cornerstone of our success. In fiscal 2026, the firm successfully executed 61 transactions across Equity Capital Markets (ECM) and Advisory businesses, demonstrating our deep market expertise and strong execution capabilities.

### Fiscal 2026 highlights

- ▶ Maintained market share and leadership in ECM, executing marquee equity transactions, some of the large marquee IPOs include LG Electronics, JSW Cement, Tata Capital, Pine Labs, Physics Wallah, ICICI Prudential Asset Management, Meesho, Groww and Lenskart
- ▶ Successfully executed marquee M&A deals of Apraava and 4700BC, and restructuring deals of Piramal and Siemens
- ▶ Continued to be the 'Most Preferred Banker' for InvITs & REITs. This year, we successfully managed Ten InvIT & One REIT transactions. Notably, these deals spanned a wide range of transaction structures, including IPOs (Raajmarg, TVS Infrastructure Trust, Knowledge Realty), block transactions (KKR-NHIT, CPPIB-PowerGrid), as well as Preferential and QIP issuances (India Grid Trust), among others
- ▶ Axis Capital's prolific and popular flagship conference, Advantage India 2026, was a remarkable success, with 171 participating corporates and more than 900 investor representatives
- ▶ Enhanced thought leadership with a robust pipeline of thematic research and an 18%+ increase in coverage universe to 300+ companies, covering 72% of India's market cap
- ▶ 61 investment deals executed
- ▶ #3 Rank by number
- ▶ #1 Rank by the issue amount of IPOs

**16%**

Growth in Investment Banking revenue

**₹259 crores**

PAT (61% ▲ y-o-y)

### Strategic focus

- ▶ To expand non-ECM businesses, including M&A, PE, Pre-IPO, and InvIT/REIT transactions
- ▶ Ensure resilience and sustainable growth in volatile market environments
- ▶ Strengthen relationships with domestic and foreign institutional investors
- ▶ To sustain momentum in IED
- ▶ Invest in AI and automation
- ▶ Develop future leadership
- ▶ Uphold the highest standards of compliance and ethics

### Recognition

Best ECM House in 2025 at Finance Asia Awards

Best Investment Bank in India 2025 at Euromoney Awards For Excellence

## AXIS MUTUAL FUND

### Enhancing investment accessibility

During the year, Axis AMC expanded its investment platform with new products, including mutual funds, passive investments, alternative assets, PMS, and GIFT City offerings. The company improved digital engagement by enabling micro-investing, supported by AI-driven content and improved investor communication. Axis AMC also partnered with other One Axis entities, including DBAT, Corporate Banking, and Burgundy Private, to expand its customer base.

#### Fiscal 2026 highlights

- ▶ ₹2,000 crores raised through Axis Services Opportunities Fund NFO
- ▶ ₹1,300 crores raised through Axis Multi-Asset Active Fund of Fund

**₹359,601 crores**

Quarterly Average AUM

**₹596 crores**

PAT

**4.41%**

Market share

#### Strategic focus

- ▶ Continue to launch innovative products across asset classes
- ▶ Grow assets under management through debt and passive products
- ▶ Lead in digital services
- ▶ Expand non-mutual fund offerings such as AIF, PMS and SIF

## AXIS TRUSTEE

Axis Trustee Services Ltd. strengthened its leadership in fiduciary and debt transactions, delivering strong performance across diverse mandates. It continued to drive innovation across REITs, InvITs, securitisation and alternate investments, while achieving notable growth in its Facility Agency business, particularly in multi-currency debt transactions in GIFT City. The company also expanded its presence in the AIF space and led several first-of-their-kind transactions in India, including aircraft leasing and SM REITs.

#### Fiscal 2026 highlights

- ▶ Continued to be the No. 1 Trustee to the REITs & InvITs with 100% and 71% market share respectively
- ▶ Cost to Income Ratio declined to 42% in fiscal 2026 from 49% in fiscal 2025

**11%**

Increase in Assets under Trust y-o-y with 15% CAGR in last 5 years

**31%**

ROE in fiscal 2026 from 20% in fiscal 2025

## AXIS PENSION FUND

Axis Pension Fund Management Ltd., operational since 21 October 2022, manages National Pension System (NPS) funds across retail, corporate, and government segments. It has quickly emerged as the 6<sup>th</sup> largest Pension Fund Manager by AUM and subscriber base, and launched the industry-first Axis PF Golden Years Fund with integrated accident and disability benefit riders.

#### Fiscal 2026 highlights

**₹16,118 crores**

AUM ▲ 82% y-o-y

**4.5%**

AUM market share

**6.6%**

Customer base market share



## Facilitating MSME cash flow

Invoicemart addresses MSME credit gaps by enabling early payments through a digital Trade Receivables Discounting System (TReDS) marketplace. By connecting MSME sellers with buyers and financiers through a transparent bidding process, the platform improves access to liquidity and working capital efficiency. During the year, the business reinforced trust and resilience by prioritising information security, cloud security and inclusion.

### Fiscal 2026 highlights

**₹2,78,000 crores+**

Throughput

**~66,600**

Participants onboarded

**56.72 lakhs+**

Invoices discounted

**50%+**

Women in the workforce

- ▶ ISO 27001:2022 Re-certified
- ▶ ISO 27017:2015 Re-certified

### Recognition

Fintech Startup of the Year, India Fintech Summit & Awards 2025

Recognised among the Top 100 companies in the DEI 100 Index



## Advancing digital broking

The business strengthened its retail brokerage franchise through digital platforms, intelligent servicing, and enhanced investor engagement. In fiscal 2026, onboarding was optimised, customer experience improved with an AI-driven service, and investor education initiatives expanded. Product innovation introduced new digital features that helped customers discover investment opportunities and participate more effectively in capital markets.

### Fiscal 2026 highlights

- ▶ Top 3 highest-rated stock broking apps with 4.6+ rating on Google Play Store\*
- ▶ 7x y-o-y increase in onboarding basket subscriptions
- ▶ 42% y-o-y increase in Net Promoter Score (NPS)
- ▶ 22% of customer volumes handled by email bots with 86% accuracy
- ▶ 109 customer education and engagement webinar sessions, reaching 7,495+ participants
- ▶ 32,000+ (11% of online trading base) customers engaged with YOUUnique (AI-enabled feature to discover new stock ideas)

### Strategic focus

- ▶ Leverage Gen AI
- ▶ Enhance the web platform
- ▶ Grow digital business
- ▶ Maintain high risk and compliance standards

### Recognition

ET HR World Future Skills Awards – Best Use of Mobile Learning

MCX Awards – Leading Bank Broking Member

Great Place to Work – India's Best Workplaces™ in Investments for 2026

Quantic Excellence Awards 2025 – Best Use of Customer Experience in Mobile App Initiatives

\*For new apps – Axis Direct Trader & Investor



## Enhancing digital payment infrastructure

Freecharge Payment Technologies continued to build a secure, scalable digital payments platform. In fiscal 2026, the company reorganised into two specialised businesses effective January 1, 2026, sharpening the Payment segment's strategic focus. The platform introduced enhanced merchant tools, stronger fraud and risk controls, greater reliability, and innovations in UPI-based payments.

### Fiscal 2026 highlights

- ▶ 21% y-o-y throughput growth
- ▶ 18% y-o-y net revenue growth from operations
- ▶ 4x consolidated throughput growth over 3 years
- ▶ 6x consolidated net revenue growth over 3 years

### Strategic focus

- ▶ Prepare for regulatory milestones
- ▶ Deepen presence in high-growth sectors
- ▶ Expand merchant tools
- ▶ Deploy Gen AI across marketing, support, product and integrations



## Expanding lending and payments across Bharat

FreechargeBiz advanced its technology-driven platform during the year to expand financial access in Tier II, Tier III, and rural markets. The business model integrates a Business Correspondent-led merchant financial services network, with a technology centre supporting scalable digital processes for Axis Bank. In fiscal 2026, the Company expanded diversified lending and banking offerings and improved operational efficiency through digital underwriting, authentication and AI-driven interventions.

### Fiscal 2026 highlights

- ▶ 220 branches vis-à-vis 100 in fiscal 2025
- ▶ ₹600+ crores disbursements with ₹610 crores AUM
- ▶ As a technology service provider to Axis Bank, FreechargeBiz scaled digital lending and servicing journeys with CKYC, face authentication, and digital underwriting, reducing rejections by over 90% and enhancing turnaround time
- ▶ Removed backend dependencies and increased collection efficiency to over 99%

### Strategic focus

- ▶ Expand further into underserved geographies
- ▶ Scale a profitable BC-led distribution model
- ▶ Grow secured and unsecured portfolios
- ▶ Continue driving technology-led efficiency for the Bank



# Building the most tech-focused, responsible banking institution



**Subrat Mohanty**  
Executive Director

## *Dear Shareholders,*

Fiscal 2026 marked a year of decisive progress, as we advanced our transformation agenda with discipline in an increasingly volatile global environment. Even as geopolitical uncertainties persisted, we sustained strong growth momentum while reinforcing the foundations of a resilient, future-ready franchise. The three strategic priorities we articulated earlier continue to be firmly embedded in our execution agenda, providing a strong anchor for building future readiness:

- ▶ Transforming our core systems and processes to drive scale and agility,
- ▶ Institutionalising future focused capabilities by leveraging technological advancements and respond to evolving customer expectations, and
- ▶ Advancing responsible practices into enterprise-wide standards of corporate citizenship

## **Strengthening our core**

### **Driving transformation through AI, data and digital scale**

In fiscal 2026, we continued to advance our technology-led transformation, with a clear focus on simplifying customer journeys, enhancing resilience, and improving operational efficiency. Strategic priorities centered on AI-led innovation, digital channel modernisation, lending transformation, and payments, resulting in faster, seamless and more reliable banking experiences.

AI adoption scaled across customer service, engineering, and operations, improving productivity, accelerating release cycles, and enabling early risk detection with automated remediation. Axis Deep Intelligence (ADI), our GenAI-based internal assistant, now supports over 84,000 employees, resolving more than 81% of branch-level queries, with ~35,000 monthly users handling ~2.8 lakh queries.

Strong digital adoption was witnessed across core business platforms, with over 94% adoption in Bharat Banking and 84% volume adoption in SBB Working Capital. Tractor Loans, which was the first product to go live on the new digital journey being implemented, saw 55% reduction in its turnaround time and ~75% increase in market share over the previous year.

Digital channels continued to scale robustly. Mobile Banking is rated 4.8 across Google Play store and iOS, with over 35 million registered users and ~16 million monthly active users. We have maintained leadership in UPI, with market share improving from ~33% to ~36% over the year, supported by a large VPA base and ~14.3 million daily merchant transactions. We have also expanded CBDC adoption, crossing 1 million users and 10 million transactions.

## **Resilient, secure and cloud-native at scale**

Core technology capabilities were significantly strengthened, with 150+ applications on CI/CD pipelines (Continuous Integration and Continuous Development), 99.99% cloud DevOps availability, and AI-enabled SDLC (Software Development Lifecycle) adoption across 35+ applications. We have established an enterprise-grade data Lakehouse and enhanced security through automated vulnerability management and chaos engineering.

Infrastructure resilience remains foundational, supported by geographically distributed data centres in Mumbai and Bengaluru, a near-DR facility (Disaster Recovery), and embedded SRE (Site Reliability Engineering) practices. A cloud-first, cloud-native architecture, combined with a defence-in-depth cybersecurity framework, ensures high availability, regulatory compliance, and secure, always-on banking operations at scale.

Building on these advancements, we remain determined to establish a benchmark in customer experience, operating

efficiency and risk discipline by building an AI-driven, lean and resilient operations. This approach enables consistent service standards and predictable experience outcomes across customer journeys, delivered reliably and at scale.

## Investing in capabilities

### Enabling a smarter, AI-augmented workforce

Delivering on our customer service promises hinges on the ability of our employees to engage with customers in a meaningful and contextual manner. Our employee platform '**Siddhi**', enables the frontline staff with an extensive access to products, services and customer engagement journeys. Today, ~95,000+ employees of the Bank and partners utilise Siddhi to gain real-time insights and personalised recommendations, thus enabling their interactions to be insightful, meaningful, and rewarding. Siddhi has been built using modern technical architecture and data stack and is integrated with 35+ systems. We use advanced analytics to deliver personalised nudges to reinforce daily working rhythm, provide near real time feedback to employees to upskill and prepare better for customer conversations/ engagements, thus driving higher impact and customer satisfaction. These enablers bring >10% uplift on key productivity metrics and ~10 points higher Net Promoter Scope (NPS) for 'Siddhi'-led journeys.

The capability is further strengthened by AXIOM, our enterprise operating model for responsible, scalable adoption of AI across customer journeys, employee productivity, core operations, and assurance outcomes. AXIOM is executed through a central AI team that sets enterprise strategy and standards, a reusable shared stack of capabilities, and an enterprise program that drives delivery, governance, and adoption across businesses. In fiscal 2026, this translated into measurable scale across the AXIOM focus areas like Zero Ops (115 Mn+ AI-led document services), Conversational Interfaces (10 Mn+ customer chat interactions), Enterprise Knowledge (ADI adoption across ~86% of the employee base), RM Copilot (~66% of branch sales covered through AI-assisted pitch practice), and Assurance Strengthening (50+ credit models). Together, these pillars reflect an industrialised approach to embedding AI into day-to-day banking processes by improving speed, consistency, and control at enterprise scale rather than as standalone initiatives.

### Customer obsession

Sparsh, our Customer Obsession program, continues to be a core priority and a defining area of distinctiveness. Embedded across 6,275+ branches, every customer

touchpoint and 1,01,300+ employees, it reflects our commitment to delighting customers, every day.

During the year, Sparsh evolved further as a structured operating framework that brings together culture, ownership, behavioural understanding, results and excellence in the way we serve. It is helping strengthen a culture where customer delight is anchored in disciplined execution, sharper accountability and consistent action, while enabling us to respond more thoughtfully to customer needs, preferences and moments that shape trust, confidence and ease.

We also deepened our institutional capabilities through Adi, our Gen AI platform, and Kaleidoscope, our real time Customer Experience Management platform. As mentioned earlier as well with Adi query volumes growing 3.5x year on year and Kaleidoscope interactions growing 5.2x year-on-year with an increase in average monthly unique users of 128% and 59% year-on-year, respectively, these capabilities are helping our colleagues serve customers with greater context, first time right resolution, consistency and speed.

Retail NPS has increased 59 points since its inception in Q1 fiscal 2023, with meaningful improvements across Retail Liabilities (+60 since inception), Retail Assets (+52 since inception) and Credit Cards (+53 since inception). We have retained 2<sup>nd</sup> rank in India for the third consecutive year in the independent benchmarking study conducted by Kantar.

Sparsh continues to strengthen customer centricity across the Bank by combining culture, behavioural insight, digital capability and governance to create more meaningful customer experiences across moments that matter.

### Elevating customer journeys with data-led personalisation

Customer delight is delivered through precise, analytics-led interventions at key moments of truth, powered by advanced recommended systems. Our enterprise personalisation engine—operational for over three years—has consistently improved product conversions, while processing 3 crores+ transactions daily to generate real-time insights. Analytics and AI are deeply embedded in frontline decisioning, with 100+ machine learning models deployed across credit risk, financial crime, marketing, and collections—driving consistent, data-led outcomes at scale. A maturing MLOps framework, supported by 5,000+ curated customer features and AI-driven automated monitoring toolkits, ensures efficient model development, deployment, and governance.

These capabilities are underpinned by a modern, cloud-aligned data architecture managing 3+ petabytes of data through real-time pipelines and lakehouse frameworks – enabling faster analytics, enhanced resilience and the ability to deliver enterprise AI use cases at scale.

### Curating next-gen premium experiences at scale

Our premiumisation agenda is gaining momentum anchored by a partner led model in which every relationship is fine-grained and personalised, powered by the best of AI capabilities. We continue to view the ₹5 crores to ₹50 crores household segments as the most consequential opportunity in Indian wealth, given its scale, its under-penetration by full-service private banks, and its centrality to the country's next decade of growth, and we are investing accordingly to build a defensible long-term advantage. Our commitment to premiumisation is deliberate and long-term, and the strength of the Burgundy Private brand today reflects the consistency of that investment.

The most significant capability investment underpinning this agenda is our platform for Burgundy Private, designed to transform three dimensions of the franchise simultaneously. For clients, it powers a new class of highly tailored conversations and experiences at scale, ensuring that every family we serve, no matter how large or small, receives the intelligence, due diligence and rigour one would typically associate only with a CIO serving the largest relationships. For Partners, it delivers a non-linear improvement in productivity by automating the analytical and preparatory work that has traditionally consumed most of an advisor's day, freeing capacity for the conversations and judgement calls where the human relationship matters most. And for the quality of advice itself, it brings the firm's house view, model portfolios, suitability frameworks and live market intelligence into every interaction, delivered through the Partner with the right tone, the right timing and the analytical depth.

### Strengthening the fraud prevention model

Digitisation of banking services continues to create both new opportunities and emerging risks across multiple areas. Fraud prevention is one such domain where digitisation presents a dual challenge, as both a threat and an opportunity. At Axis Bank, we remain firmly committed to keeping banking safe, secure and trustworthy for our customers.

We continue to invest in real-time transaction and stakeholder monitoring, dynamic onboarding controls, and the extensive use of analytics and advanced technology across our businesses. These efforts not only mitigate fraud risk but also position fraud prevention as a core strength and a long-term competitive advantage. By fostering a strong risk-first culture, complemented by customer centricity, analytics, and technology, the Bank is building a robust and resilient defence against fraud, proactively safeguarding customer trust and contributing to a safer, more secure financial ecosystem.

### Being a responsible corporate citizen

We continue to be guided by the objective of offering Banking that leads to a more inclusive and equitable economy, a thriving community, and a healthier planet. Over the year, we strengthened our stakeholder-focused ESG culture across the Bank. Our CSR initiatives now reach millions of participants across India. The Sustainable Livelihood Program, our flagship initiative since 2011, achieved a major milestone by impacting over 2.75 million rural families across 33,517+ villages, across 32 States and Union Territories (cumulatively) as of March 31 2026. Last fiscal, the Bank introduced sports as a new thematic area to support interventions from the grassroots to the Olympics and Paralympics level. This year, as a long-term commitment to nation-building through sport, the Bank continued to prioritise institution-led interventions aimed at creating a sustainable pipeline of future Indian athletes.

### Navigating change with confidence and clarity

In an environment defined by elevated global risks, rapid AI-led disruption, and increasing cyber security threats, our focus remains clear and unwavering. We are leveraging next-generation technologies to reimagine processes, empower our workforce, and drive sustained productivity, while elevating customer experience within a secure and resilient ecosystem. As we move ahead, we remain confident in our strategy, disciplined in execution, and firmly committed to strengthening our franchise and delivering enduring value for all our stakeholders.

Warm regards,

**Subrat Mohanty**  
Executive Director

## How the 'One Axis' ecosystem works

The 'One Axis' ecosystem brings together the Bank and its subsidiaries to serve customers more completely across their financial journey. Each business adds a specialised capability, while the wider Axis franchise provides reach, relationships, data, distribution and trust. Together, this creates a stronger proposition for customers, deeper engagement for the Group and more resilient value creation.

### 'One Axis' matrix: How our businesses grow stronger together

| Business                                                          | Primary role                                                                                       | How it supports/enables within 'One Axis'                                                                            | Shared value created                                                                                                                        |
|-------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| <b>AXIS MUTUAL FUND</b>                                           | Investment solutions across mutual funds, passive funds, alternatives, PMS and GIFT City offerings | Access to Axis Bank's affluent and wealth customers, corporate relationships, Burgundy and Burgundy Private channels | Customers get a wider investment suite; the Group deepens wealth relationships and strengthens fee income                                   |
| <b>AXIS CAPITAL</b>                                               | Investment banking, capital markets advisory, M&A and institutional equities expertise             | Leverages Axis Bank's corporate relationships, balance sheet insights and transaction banking connects               | Corporate clients receive banking and capital markets solutions together; the Group strengthens its position across the corporate lifecycle |
| <b>AXIS FINANCE</b>                                               | Retail, MSME, SME, RE Funding and Corporate Lending                                                | Benefits from Axis Bank's brand, customer base, branch network and risk insights                                     | Expands credit access across ticket sizes; improves customer retention through broader lending options                                      |
| <b>AXIS SECURITIES</b>                                            | Retail broking and investment participation platform                                               | Leverages Axis Bank's retail and wealth franchise for customer acquisition and engagement                            | Customers can move from savings to investing seamlessly; the Group increases product holding and customer stickiness                        |
| <b>FREECHARGE</b><br>by <b>AXIS BANK</b>                          | Payments, merchant acquiring and digital commerce infrastructure                                   | Supports Axis Bank customers and merchants through digital payment journeys                                          | Strengthens the Group's payments ecosystem, merchant engagement and digital transaction flows                                               |
| <b>FREECHARGE BIZ</b><br>by <b>AXIS BANK</b>                      | Merchant-focused financial services and technology solutions for Bharat markets                    | Extends Axis Bank products to Tier II, III and rural merchants through digital and assisted channels                 | Helps smaller merchants access banking and credit; supports Bharat Banking and financial inclusion priorities                               |
| <b>INVOICEMART</b><br>A joint venture of Axis Bank and Injunction | Digital invoice discounting and working capital access for MSMEs                                   | Complements Axis Bank's MSME and supply chain financing relationships                                                | Improves MSME liquidity; strengthens Axis Bank's role in the broader enterprise ecosystem                                                   |
| <b>AXIS PENSION FUND</b>                                          | Pension fund management and retirement savings solutions                                           | Connects with Axis Bank's long-term savings, retirement and wealth customers                                         | Supports lifecycle financial planning; strengthens customer relationships beyond active earning years                                       |
| <b>AXIS MAX</b><br>LIFE INSURANCE                                 | Life insurance, protection and long-term savings solutions                                         | Uses Axis Bank's distribution reach and customer relationships to offer insurance solutions                          | Customers receive protection and savings products alongside banking; the Group diversifies revenue and deepens trust-based relationships    |





# ***dil se open***

## Creating lasting value

At Axis Bank, lasting value is rooted in trust. Through our ***dil se open*** approach, we create banking experiences shaped by understanding, empathy, and relevance.





# Making every interaction meaningful

At Axis Bank, we believe that banking goes beyond transactions and that every interaction is an opportunity to either create or strengthen a relationship built on empathy, responsiveness, and trust. That is how we turn everyday interactions into experiences that create value in the moment and endure over time.



## Material Issues Linkage

M6

### Capital Linkage



### UN SDGs Linkage



We understand that customer value is cultivated not solely through products, processes and transactions. It relates to our ability to listen and understand the context in an interaction, address needs with care, and make banking more meaningful for the customer.

This belief is brought to life each day by 1 lakh+ **dil se open** bankers across the country. By combining human empathy with sharper listening, better journey design, and intelligent frontline tools, we ensure our service is both relevant at the moment and more valuable over time.

## How we create customer value

### Listen with intent

Understand needs, context and friction points



### Serve with intelligence

Equip teams with real-time, actionable insights



### Respond with speed

Improve journeys, resolution time and service quality



### Build trust over time

Turn interactions into deeper relationships



95,000

Frontline colleagues

~90%

of retail business covered through Siddhi journeys

Customer obsession

Embedded through Sparsh

## Sparsh: The architecture of customer obsession

Sparsh is the Bank's customer-obsession program, designed to embed customer centricity into how the Bank listens, acts, improves and grows. Built on customer insights, employee conversations, and external benchmarking, Sparsh has evolved from a strong cultural foundation into a sharper execution framework. This transformation involved strengthening governance, service discipline, journey design, and the connection between customer experience and tangible business outcomes.

In fiscal 2026, the key shift was from broad experience intent to focused journey redesign — an important evolution in the Bank's customer agenda, from building awareness of customer centricity to redesigning experiences in ways that are more deliberate, practical and measurable.





## Our operating model

### Listen better



- ▶ Customer empathy
- ▶ Voice of the customer
- ▶ Journey diagnosis
- ▶ Behavioural understanding

### Respond faster



- ▶ Journey redesign
- ▶ Lower-effort pathways
- ▶ Clearer ownership
- ▶ Faster and smarter resolution

### Deepen relationships



- ▶ Better service experiences
- ▶ Higher trust and loyalty
- ▶ Stronger customer relevance
- ▶ More durable value creation

### What changed this year

- ▶ Shift from broad intent to focused journey redesign
- ▶ Prioritisation of senior citizens and NRIs
- ▶ Sharper customer understanding and journey simplification

### Why Sparsh matters

It creates the philosophy, discipline and institutional rhythm that helps customer centricity move from intent to everyday execution.

## From insight to action

The Bank is strengthening its customer focus by turning insights into actions. Throughout the year, the Bank prioritised the needs of senior citizens and NRIs, using structured empathy workshops and design thinking to map key journeys and identify friction points. The process has allowed us to translate customer understanding into actionable improvement roadmaps.

### Voice of the customer as a repeatable engine

In parallel, we are scaling proactive listening into a repeatable voice-of-customer engine, which has already informed a prioritised roadmap to address key friction points:



#### Driving digital adoption

To lift adoption where digital penetration is low



#### Optimising speed

Reducing digital turnaround time where they currently lag assisted journeys



#### Enhancing resolution

Increasing first-time resolution rates



#### Simplifying workflows

Streamlining processes to create a more seamless customer experience

## Senior citizens

The Bank's specialised program for senior citizens was grounded in the philosophy of 'Silver Linings'. It included health camps, will creation support, and fraud awareness sessions delivered in partnership with local police and the fraud control team. An 'Open Day for Senior Citizens' was held across various branches and attended by 25,000+ customers, with sessions on fraud awareness, will creation and the 'Silver Linings' program.

## NRI

Curated dialogues with the NRI group captured expectations across service quality, wealth support, ownership clarity and digital journeys. These insights are being consolidated into a prioritised action agenda with cross-functional ownership. NRI Homecoming events were held in three cities, with 150+ NRI customers participating in sessions on wealth creation, fraud awareness and query resolution.

## Understanding customers at key journey points

We continue to deepen our understanding of how customers behave at key journey points and use those insights to simplify interactions – offering simpler choices, clearer signals and easier routes, supported by Siddhi and Adi.

### How customer insight is being translated into actionable roadmap

- ▶ Empathy workshops
- ▶ Journey mapping
- ▶ Friction diagnosis
- ▶ Behavioural interventions
- ▶ Cross-functional execution ownership

## Sparsh Week 2025

While Sparsh provides the overarching framework, Sparsh Week brings that philosophy to life on a larger scale. In 2026, this initiative translated customer intent into tangible actions across the franchise through leadership involvement, customer engagement, capability development, idea creation and hands-on execution.

More importantly, the event emphasised that customer obsession is now embedded in the institutional rhythm. With the active involvement of leaders, frontline teams, and off-role colleagues, Sparsh Week made customer obsession visible, action-oriented and a collective endeavour throughout the Bank.



## Outcomes of Sparsh Week

|                                     |                                   |
|-------------------------------------|-----------------------------------|
| <b>1.97 lakhs+</b>                  | <b>12,000</b>                     |
| Customers reached across 9+ cohorts | Ideas through Ignite              |
| <b>1 lakh+</b>                      | <b>90+</b>                        |
| Leads generated                     | Sparsh squads across 65 locations |
| <b>40,000+</b>                      | <b>23</b>                         |
| Opportunities converted             | Live sessions                     |
| <b>64</b>                           | <b>79,000+</b>                    |
| Leaders mobilised                   | Social media impressions          |
| <b>38</b>                           | <b>297+</b>                       |
| Cities covered                      | PR stories                        |
| <b>1,700+</b>                       | <b>47,000+</b>                    |
| Locations activated                 | Microsite interactions            |
| <b>1.5 lakhs+</b>                   |                                   |
| Employees engaged                   |                                   |

Platforms such as Axis Promise, Adi, and real-time CX tools are helping operationalise customer obsession through better visibility, smarter tools and faster resolution.

### Recognition

The Bank was recognised as a CX Star and Best-in-Class in Banking and Financial Services.



## From care to commitment

The true strength of a customer-focused organisation is revealed in moments that matter. Customer obsession is not built merely into frameworks and platforms; it is also expressed through the judgement, empathy, and ownership demonstrated by employees on the ground. It is in these everyday banking interactions that trust is protected, loyalty is reinforced, and lasting value is created. This approach is also echoed in the Bank's broader commitment to prioritising customer experience.

### Sparsh stories: 'One Axis' spotlight September-November 2025

When a reputed corporate group, in collaboration with the Government of India, approached Axis Bank with an urgent, high-value import transaction, it became a mission of national importance. The request involved facilitating the repatriation of the sacred Piprahwa relic of Lord Buddha to India, a matter of deep heritage value and a source of national pride. With limited time and no scope for error, teams across the Bank moved with unmatched alignment and ownership.

The Coverage team ensured continuous client engagement; the Trade team secured overnight regulatory and compliance clearances; MWBC Mumbai validated documentation with precision; and the TFC team enabled swift backend approvals. Within 45 minutes of receiving the final instruction, the transaction was executed end-to-end, well ahead of the global deadline.

The flawless coordination and accountability demonstrated the Bank's hallmark reliability and responsiveness, earning appreciation from both the client and senior government officials. This case stands as a true reflection of Axis Bank's values in action, placing the customer first, taking charge of outcomes and delivering with speed, collaboration, and purpose.



## Siddhi: Frontline intelligence in action

If Sparsh defines the Bank's customer philosophy, Siddhi enables its execution at the frontline. Siddhi is a large-scale transformation initiative that empowers frontline teams through an analytics-driven, mobile-first platform. Designed as a 'bank in your pocket' for employees, it provides proactive, intelligent, personalised, and comprehensive insights to help them improve customer engagement.

### What Siddhi enables

- ▶ Sales and service journeys
- ▶ Performance insights
- ▶ Meeting and day planning
- ▶ Contextual customer conversations
- ▶ Real-time customer and employee lifecycle information

Built on a cloud-native, agile architecture, Siddhi seamlessly integrates over 35 backend systems to deliver real-time insights across the entire customer journey, from onboarding, service, to relationship management. It also supports key aspects of the employee lifecycle, such as capability building, coaching, and supervisory reviews. Its innovative machine learning-based nudge framework provides timely, contextual prompts that enable users to engage in more personalised and meaningful conversations with customers.

### How Siddhi is changing the frontline

- ▶ Stronger frontline productivity
- ▶ Better customer satisfaction
- ▶ More relevant conversations
- ▶ Improved service responsiveness
- ▶ Scalable intelligence at the point of interaction

**95,000**

Frontline team

**40+**

Sale journeys

**32**

Service journeys

**90%**

of retail business covered

**35+**

Backend systems integrated

### What comes next?

Siddhi is continuing to evolve with AI-led capabilities such as:

- ▶ Prioritised nudges
- ▶ Call scoring and insights
- ▶ Personalised learning modules

It is also being expanded to more segments, including Wholesale Banking.





# Banking made simpler, safer, and more open

Axis Bank is creating digital experiences in retail and wholesale banking that are simpler, safer, and more intuitive, enabling customers to transact, manage, grow their wealth and achieve their financial goals with confidence and control.



## Material Issues Linkage



## Capital Linkage



## UN SDGs Linkage



By strengthening our core journeys and expanding self-service adoption during fiscal 2026, we deepened customer relationships across both Retail and Wholesale Banking. These reliable, scalable platforms ensure every transaction is seamless, driving greater efficiency and aligning our digital-first strategy with critical global sustainability goals.

## Creating reliable customer experiences

Digital banking at Axis Bank continues to shape how customers experience trust, accessibility and everyday value. During fiscal 2026, the focus remained on strengthening reliable, scalable, and intuitive digital journeys that enable seamless transactions, servicing and engagement. As digital adoption expands, digital channels are becoming central to extending the Bank's reach and deepening customer relationships. By strengthening core journeys, expanding self-service adoption, and ensuring consistency across platforms, the Bank continues to deliver improved customer experience, greater efficiency and stronger customer confidence.

### Digital Banking highlights

**4.8**

Rating on  
Google Play Store

**4.8**

Rating on  
Apple App Store

**71%**

Service requests are  
adopted digitally

**250+**

Number of digital  
services available

**1.55 crores**

No. of mobile banking-active  
customers

**25%**

Growth in mobile banking  
transactions in fiscal 2026

### Digital Banking deliverables in fiscal 2026

#### Simplified journeys

Digital journeys continued to become more seamless and intuitive, enabling easier services and engagement.



#### Stronger trust

Security-focused innovations enhanced trust in digital banking by giving customers greater control over how they authenticate, transact and protect their accounts.



#### Scalable engagement

Higher self-service adoption and intelligent digital workflows led to faster outcomes, greater consistency and improved scalability across customer interactions.



## Making Digital Banking safer

We improve trust in digital banking by making security straightforward, visible, and firmly under the customer's control. As digital adoption grows, we continue to enhance safeguards across all interactions to ensure that convenience does not come at the expense of trust. Our approach is designed to protect customers of all ages and usage levels, enabling them to bank with greater confidence every day.



## Helping customers bank with greater clarity

Digital banking provides more value when it helps clients make better financial decisions. Throughout the year, we continued to improve key customer journeys by adding smart digital features that reduce effort, boost relevance and deliver better outcomes for customers.

### My Money

My Money, the personal finance manager in the Axis Mobile app, helps customers better understand their finances by consolidating balances, spending habits, credit health, and investments in one place. Customers can monitor their net worth, review their spending, access their credit scores, and receive personalised insights to promote healthier financial habits.

### Intelligent digital capabilities at scale

We consistently implement intelligent digital capabilities across critical processes to reduce manual intervention and improve overall efficiency. Routine interactions are increasingly managed through AI-enabled automated

processes. This shift supports the ongoing transition toward self-service-oriented, low-touch journeys while ensuring appropriate controls and oversight.

### The new Axis Bank website

The new website enhances the Bank's digital interface with customers by improving performance, clarity, and navigation. It serves as an important access point for information, services and guidance for users.

### open Dialogue by Axis Bank

**open** Dialogue fosters transparent, informed conversations about finance, the economy, and emerging trends, extending customer engagement beyond transactions.

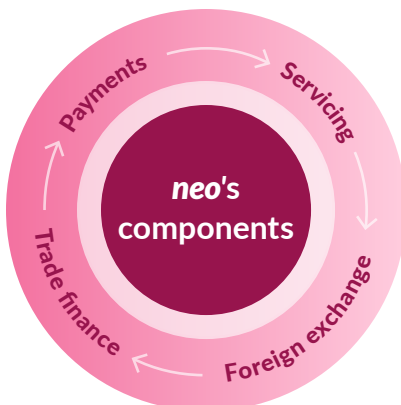
### Social media engagement

The Bank also expanded its presence across social media platforms to remain visible and accessible where customers are most active, supporting a more connected and customer-focused digital ecosystem.

## Scaling digital capabilities across customer segments

### Neo: Strengthening the Digital Wholesale Banking proposition

**neo**, Axis Bank's digital wholesale banking solution, continued to experience strong growth in adoption and usage during the year. Designed around client journeys and enterprise workflows, it integrates payments, trade finance, foreign exchange, and servicing into a unified platform, with API connectivity enabling corporates to embed banking operations directly into their processes and enhance efficiency.



### Recognition

Our digital initiatives continued to earn recognition across industry forums throughout the year, highlighting the advances we have made in innovation, customer experience, and responsible technology use. Among the awards are the following:

- ▶ Agentic30 Disruptors Award
- ▶ Infosys Innovation Awards 2025 for **neo** for Corporate
- ▶ Indian Domestic Digital Transformation Bank of the Year
- ▶ FINNIXX Summit Award for Best SEO Strategy
- ▶ 4<sup>th</sup> BFSI Awards 2026 for Merchant Cash Advance
- ▶ Recognition linked to participation in CBDC (Central Bank Digital Currency) at Singapore and the Global FinTech Festival (GFF) 2025
- ▶ Financial Express – Best Digital Bank Award (2025)



# Bringing banking closer to Bharat

Built on local relevance, last-mile reach and digital enablement, Bharat Banking continues to open new pathways to growth across rural and semi-urban India.



Bharat Banking is Axis Bank's dedicated franchise for India's rural and semi-urban regions, created to meet emerging customer needs through relevant, accessible and scalable services. It combines a robust physical network with technology-driven delivery and ecosystem partnerships to expand access, boost local engagement, and carve out a differentiated presence in RuSu markets.

In fiscal 2026, Bharat Banking expanded into underserved areas while delivering profitable growth, enabling self-sufficient Priority Sector Lending (PSL), and promoting financial inclusion. The franchise continues to evolve as a key growth driver, combining local insights, disciplined execution and a long-term approach to franchise development.

## Material Issues Linkage



## Capital Linkage



## UN SDGs Linkage



## Why Bharat Banking matters

Bharat Banking is more than just a distribution-focused rural business. It is a strategically vital franchise that helps the Bank expand its footprint in high-potential RuSu markets, strengthen customer relationships, diversify its asset base, enhance liabilities, and develop a more inclusive banking model at scale.

### Four strategic pillars

#### Pillar 1

##### Profitable growth with granularity

Bharat Banking continues to build a more granular and diversified business franchise through focused expansion across RuSu markets, supported by physical reach, alternate distribution and ecosystem engagement.

#### Pillar 3

##### Inclusion through last-mile access

By extending reach into underserved geographies and simplifying access to formal banking, Bharat Banking helps bring more individuals, households and local enterprises into the financial mainstream.

#### Pillar 2

##### Stronger Priority Sector relevance

The franchise plays an important role in strengthening PSL performance through focused growth in Bharat-centric products and deeper participation across agriculture and allied segments.

#### Pillar 4

##### Long-term franchise deepening

With a balanced focus across assets and liabilities, Bharat Banking is building enduring local relevance while strengthening the Bank's presence in emerging growth markets.

### Bharat Banking at a glance

**₹1,026 billion**

Agri loan book ▲ 4% y-o-y

**20,922**

CSC VLE network

**3,252**

Gold-enabled branches

**50,000+**

New accounts opened via BCs

**16 lakhs+**

Aadhaar Enabled Payment System (AePS) transactions

**310**

Business Correspondent Banking Outlets (BCBOs)

### Strategic priorities in fiscal 2026

- ▶ Expand last-mile reach
- ▶ Drive profitable growth
- ▶ Build PSL self-sufficiency
- ▶ Advance financial inclusion
- ▶ Deepen RuSu ecosystem engagement

## Building a distinctive franchise across Bharat

Throughout the year, Bharat Banking continued to strengthen its business model by innovating in Bharat-focused products, expanding involvement in rural ecosystems, and improving customer acquisition and service quality. The Bank's strategy remains centred on building a scalable and distinctive franchise in both assets and liabilities.

### Growth across core Bharat-centric segments

Core products designed to serve the unique needs of Bharat, such as Microfinance, Tractor Finance and Gold Loans, saw robust growth throughout the year, driven by improved market penetration and greater customer relevance across RuSu markets. These segments are key to the Bank's strategy to strengthen its resilient rural franchise and support PSL priorities.



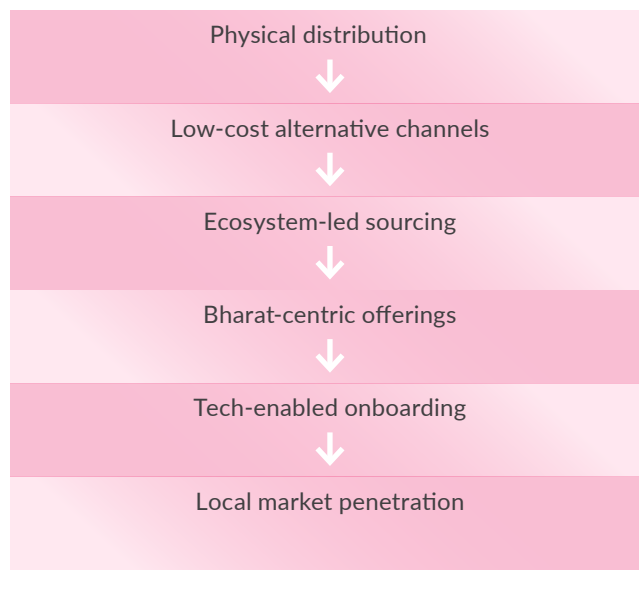
### Deepening participation across rural value chains

The Bank strengthened its presence across agri-allied ecosystems such as dairy, livestock, fisheries and poultry, enabling diversification of its farm lending portfolio into more granular customer segments. This ecosystem-led approach is helping broaden engagement across the rural value chain while supporting sustainable growth in agriculture and allied sectors.

### Strengthening the deposit franchise in RuSu markets

On the liabilities side, the focus remained on deposit mobilisation from Bharat branches through targeted Bharat-centric offerings, simplified onboarding processes, and deeper ecosystem engagement. These efforts helped strengthen the Bank's local deposit franchise and enhance its presence across RuSu geographies.

### Operating model in action



## Expanding relevance through product and digital innovation

The Bank continued to introduce targeted product offerings and digital process improvements designed around the needs of rural customers, field teams and distribution channels. The aim is to enhance convenience, reduce turnaround time, and build a more efficient and scalable operating model.

### New products launched

#### Agri Gold

Designed to serve Bharat customers through need-based, locally relevant secured lending solutions.

#### MSME Gold

Extends small enterprises' access to credit through products tailored to local business realities.

## Simplifying Bharat journeys through digitisation

Facilitating field teams in onboarding customers with minimal or no reliance on paper. They are supported by convenient pre-screening processes. During fiscal 2026, the Bank introduced four essential digital enablers across the Bharat division.

- ▶ eKYC, including UIDAI face authentication
- ▶ eSign, to drive zero-paper onboarding
- ▶ eNACH, to improve collections
- ▶ eStamp, across select states

These initiatives have reduced turnaround times and costs while improving productivity and customer convenience. Digitisation has strengthened risk controls in Gold Loan and Microfinance (now fully paperless), and integrated agricultural lending with the RBI Innovation Hub for digital land record access.

### Digital progress, designed for Bharat

- ▶ Minimal to zero paper usage
- ▶ Lower TAT
- ▶ Faster decisioning
- ▶ Better risk control
- ▶ Improved productivity

## Scaling Bharat Banking for the next phase of growth

Bharat Banking continues to create value at multiple levels, enhancing access and convenience for customers, deepening financial inclusion to the benefit of communities, and building a more granular, scalable and strategically differentiated franchise for the Bank. As we advance, the focus will remain on strengthening this model across products, ecosystems, liabilities and technology.

### How Bharat Banking creates lasting value



#### For customers

Greater access to formal financial solutions through simpler journeys, wider reach and products aligned to rural needs.



#### For communities

Deeper financial inclusion, stronger participation in the formal economy and expanded support across rural livelihoods and allied ecosystems.



#### For the Bank

A stronger RuSu franchise, improved PSL mix, deeper deposit mobilisation and scalable long-term growth opportunities.

## Outlook

### Focused on the next horizon

The Bank aims to outpace industry growth in key segments such as Microfinance, Tractor Finance and Gold Loans, while supporting momentum in its liabilities at Bharat branches. Technology will remain a key enabler, with continued investment in customer journeys customised to the Bharat demographic to enhance service delivery, productivity, and customer acquisition.

The Bank also intends to continue strengthening its PSL mix through segments such as MFI-Retail, Tractor Finance, and Gold Loans, and expand the Kisan Credit Card portfolio across allied agricultural sectors, including dairy, fisheries and poultry. Low-cost alternative distribution channels and strategic partnerships will continue to play a vital role in expanding access and deepening market presence across underserved regions.

**Bharat Banking remains central to building a more inclusive, scalable and future-ready banking franchise.**



# Enabling our people to grow and lead

As banking becomes more digital and deeply woven into everyday life, human capability in sustaining trust and accountability becomes even more defining. Our people bring the insight, judgement, and responsibility needed to uphold this trust, sustain performance today and create lasting value over time.



## Material Issues Linkage

M11

M13

## Capital Linkage



## UN SDGs Linkage



Our people are central to the value we create and sustain. They build customer trust, translate strategy into execution, strengthen our culture, and enable the Bank to respond with agility in a fast-changing environment. As banking becomes more digital, data-led and increasingly embedded in everyday life, distinctly human capabilities such as judgement, empathy, accountability, collaboration and customer focus have become even more important as we translate intelligent systems into responsible outcomes, and innovation into lasting impact. These qualities shape how we serve today and how we build a modern AI workspace for tomorrow.

We therefore approach human capital with a long-term lens where technology augments human judgement rather than replacing it. Across the employee lifecycle, we continue to invest in attracting the right talent, building future-ready capabilities, deepening leadership, fostering inclusion, strengthening well-being, and enabling a values-led performance culture. Our objective is to create an environment where people are heard, supported, developed and empowered to contribute meaningfully so that growth remains responsible, resilient and lasting. During the last fiscal, we have continuously strived to leverage AI across platforms and practices to simplify work and improve decision quality to make space for employees to focus on higher-value outcomes ensuring that while systems become smarter, accountability remains human, and capability remains central to value creation.

# 1.01 lakhs+

Total no. of employees

# 30,500

Women in the workforce

# ₹0.24 crores

Profit per employee

## Attracting talent to shape tomorrow

During fiscal 2026, the Bank continued to strengthen its talent engine with a clear focus on future readiness. Hiring efforts remained aligned to leadership, specialist, digital, frontline and other critical roles, ensuring the workforce build-out kept pace with evolving business priorities and the changing demands of banking.

Campus engagement and employer branding initiatives played an important role in widening access to emerging talent pools and strengthening the talent pipeline. Programs such as **Moves**, **WeLead** and **ABLe** deepened engagement with young talent while reinforcing the Bank's positioning as a forward-looking institution.

Launched in 2025, **Moves** emerged as the largest corporate competition of its kind, attracting more than 21,000 students. Beyond visibility, the initiative generated insights into Gen Z aspirations and increased the Bank's campus presence, leading to role placements at nearly 20% of participating institutions. We continued to scale the campus hiring ecosystem, which contributed to over 11,000 hires and improved the quality, diversity, and sustainability of the Bank's talent pool.



## Hiring highlights

# 31,665

Total new hires

# 22.4%

Employee turnover rate

# ₹123 billion

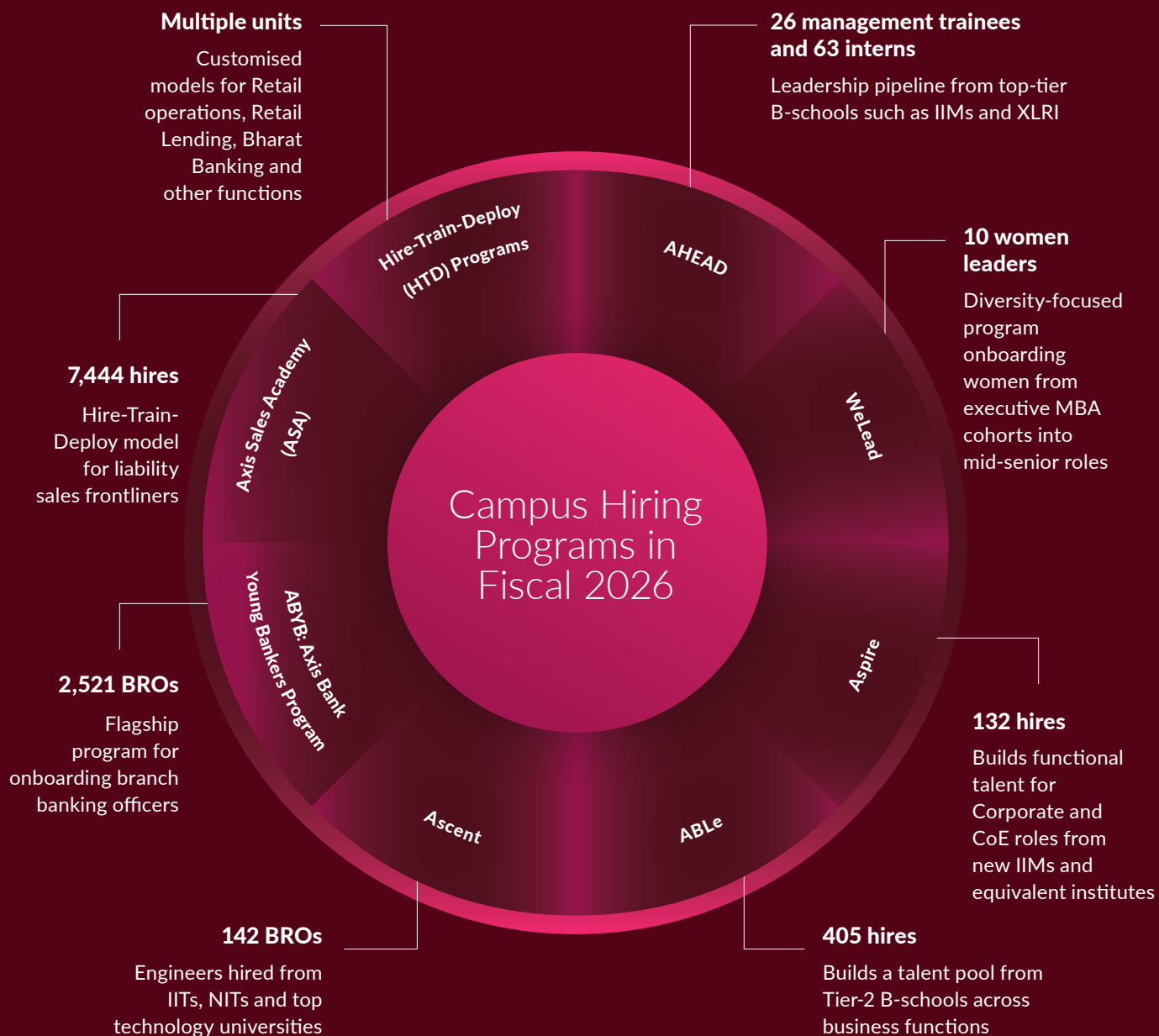
Staff cost

# 37%

Hiring diversity rate

# ₹6,106

Average hiring cost per FTE



## Building capability through continuous learning

We enhanced our learning ecosystem to help employees develop relevant skills, adapt and take ownership of their growth. Learning at Axis Bank is now more embedded, personalised, and aligned with business priorities.

At the centre of this ecosystem is the AI-powered **open Learning Lab (OLL)**, which brings together role-based learning, certifications and leadership development on a unified platform. This is complemented by **11 Capability Factories and academies**, which provide structured, role-specific development pathways across functions. The **Build Your Own Career (BYOC)** framework enables employees

to pursue personalised growth journeys aligned with their current responsibilities and future aspirations, including internal mobility pathways through **Thrive**.

The year also saw us continue to cultivate a culture of self-driven learning. Initiatives such as **Learning on Your Own (LOYO)** and **Learning of the Day (LOTD)** encouraged continuous capability building through flexible, embedded formats. In fiscal 2026, **100,921 employees** accessed learning, completing **6.7 million+ learning hours**, averaging 59.47 hours per employee.

### Learning highlights

**6.7 million+**

Total learning hours in fiscal 2026

**~1 lakh**

Employees trained

**11+**

Skill factories

### Average person-hours of training

**59.47**

Average person-hours of training – All employees

**57.98**

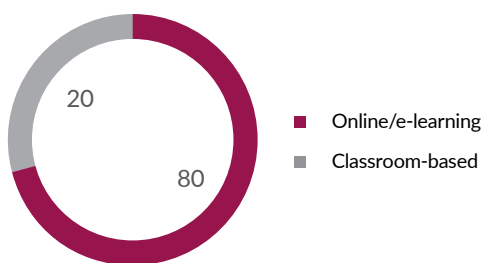
Average person-hours of training – Men

**62.96**

Average person-hours of training – Women

### Training delivery

(%)



### Externally acclaimed learning impact

Our learning ecosystem won industry recognition during the year, with Axis Bank receiving the ATD BEST Award 2025 and honours at the Brandon Hall Excellence Awards. Axis Burgundy Private Limited was also awarded at the Global Private Banking Innovation Awards 2025 for excellence in learning and development.

### Leadership and supervisory development

During the year, the Bank further deepened leadership capability through a portfolio of experiential programs, coaching interventions and leadership forums that support leaders at different stages of their journey.

- **Leadership Signature**, launched in fiscal 2026, brought together advanced interventions for senior leaders through theatre-based workshops, group and

executive coaching, and outside-in perspectives from industry leaders to strengthen leadership maturity and enterprise impact.

- **Building a Culture of Coaching** remained a key pillar of leadership development, bringing under its ambit one-to-one executive coaching, 360-degree feedback and peer-led Development Circles focused on communication, influence, presence and feedback.



- ▶ **1000 Change Leaders**, the Bank's flagship program for mid to senior leaders, was refreshed during the year to help leaders translate strategy into action through real business challenges and experiential learning
- ▶ **Leaders' Class** continued as a monthly learning forum where senior leaders shared their perspectives on a variety of themes such as purpose-led leadership, resilience, ethical clarity and exponential growth mindsets
- ▶ The **High-Performing Leader (HPL)** program continued to build structured people-management capability among managers through a phased supervisory development journey. This included the rollout of the Intermediate pathway alongside onboarding into the Beginner pathway
- ▶ **Academia** – The program trains and deploys freshers through classroom and on-the-job learning
- ▶ **Knowledge Transfer Process (KTP)** – This short-form learning-led mentoring for frontline employees during the first 90 days was extended to additional roles during the year
- ▶ **Axis Competency Profiler** – Online skill assessment for employees
- ▶ **High-Performing Professional (HPP)** – A Bank-wide initiative to strengthen core professional skills through curated, multi-level modules
- ▶ **Learning on Your Own (LOYO)** – A self-directed learning initiative with 88% enrolment and 84% completion
- ▶ **Learning of the Day (LOTD)** – A daily micro-learning initiative for frontline staff, with 60,000 employees participating, and a 92% completion rate
- ▶ **SIDDHI Calling** – A personalised daily micro-learning based on call scores to improve customer engagement, with 7,500 employees and 90% completion

### Other high-impact capability initiatives

- ▶ **Headstart** – An induction program for new employees
- ▶ **Go Beyond** – A 6-24-month skill-building initiative for frontline employees to improve productivity

## Risk and compliance culture

As a financial institution, Axis Bank's capability-building extends beyond sharpening performance and productivity to fostering strong risk awareness, compliance discipline, and ethical judgement. During the year, we continued to invest in creating a more risk-conscious and accountable organisation.

The Bank requires all employees up to the level of the President to complete mandatory annual compliance modules, covering areas such as KYC, Anti-Money Laundering (AML), Information Security, Data Protection, Prevention of Sexual Harassment (POSH), Business Continuity Plan (BCP), and the Code of Conduct. These certifications help reinforce regulatory discipline and consistent behavioural standards across the organisation.

To strengthen the leadership mindset around risk, the Bank delivered a targeted intervention for all Senior Vice Presidents II (SVPIIs) and Executive Vice Presidents (EVPs), using real-life decision-making scenarios. This was aimed at building ethical clarity, accountability and leadership responsibility in risk management.

We further enhanced the capacity of our assurance functions through targeted training initiatives for Risk and Compliance professionals. The academies of Risk and Compliance provided self-directed, multi-tiered learning opportunities to equip professionals with vital functional expertise, while RBI-mandated certification pathways deepened the technical proficiency. The focused development of the Central Audit and Risk Officers (CARO) cohort through blended learning modalities further reinforced governance and assurance frameworks.

# 95.5%

Eligible employees completed annual mandatory compliance training - Mandatory module completion

# 96.2%

Eligible employees trained in AML & related laws - KYC/AML completion

# 97.0%

Eligible employees trained in cybersecurity - Aware2Secure completion

## Strengthening internal talent pool and leadership depth

Alongside external hiring and structured learning, we continued to deepen internal talent pools and create stronger pathways for leadership progression through the following programs.

### All Stars

Fiscal 2026 marked the introduction of All Stars, an industry first talent identification and development program for frontline sales personnel. The program is designed to identify high-potential employees, build their capabilities through intensive bootcamps and prepare them for roles with expanded portfolios.

In its inaugural year, the program saw ~12,000 applicants, of whom 465 were trained in customer management, relationship building, portfolio management, digital and AI skills, grooming, communication and professional presence.

# 500

Frontline employees to be trained in the next fiscal through All Stars program

### Astros

During the year, the Astros program continued to serve as a structured acceleration pathway for mid-level leaders identified through assessment. Participants undergo specialised development through interactions with senior leaders, workshops, projects, and peer networking, and are fast-tracked for promotion with industry-competitive compensation.

Fiscal 2026 saw the selection of the program's third cohort, with 70 selects currently undergoing a curated development journey. Participants in this program also engage in career conversations with leaders and HR to support long-term growth. ~200 **Astros** are now part of the Enterprise AI Group's Evangelist program, in which departmental representatives will build AI capabilities, learn to identify use cases and work with the central team to customise solutions. The program commences in April 2026.

### Mentorship

Our mentorship program serves as a structured and trusted platform for leadership development across the Group. The program includes ManCom members, Subsidiary CEOs and several Group Heads as mentors, with select SVP I+ employees participating as mentees.

The platform is designed as a safe space where leaders can discuss their aspirations, goals and challenges while benefitting from the experience and guidance of senior leaders. Each mentee develops four meaningful individual connections during the year, with the structure and cadence being shaped by the mentor-mentee relationship.

# 304

Mentees interacted with 73 mentors through the Mentorship program in fiscal 2026



## Reimagining careers: Skills, mobility & growth

At Axis Bank, internal careers are a distinctive organisational advantage—enabling us to build leaders who understand our business, culture, and customers deeply. We believe that leadership is cultivated by navigating career opportunities and taking bold bets.

To enable this, we launched our Internal Mobility proposition – thrive, designed to empower employees to take charge of their careers, develop diverse skills and think beyond traditional growth paths.

Our approach is anchored in an internal-first philosophy, prioritising homegrown talent over external hiring, backed by robust policies, aligned recruiter and business mindsets, and an evolved operating model that rewards career progression through year-round promotions and salary corrections.

Axis Bank is the first Indian Bank to introduce mid-year promotions, reinforcing this commitment. This initiative was launched with senior leadership sponsorship and active engagement with business managers to drive behavioural change across levels. In parallel, we are working to increase employee participation on our platform, reaching the last mile while navigating legacy processes and systems.

As we continue to expand, skills are emerging as the foundational context layer powering this transformation. The skills framework sits at the core of our HR ecosystem,

increasingly shaping performance conversations, promotion recommendations, and feedback processes with greater objectivity and precision—marking the next phase of our shift towards a truly skills-based organisation.

At the heart of this evolution is our fully in-house talent marketplace platform, built with skills as the foundational layer, where every employee has a distinct profile defined by unique skill signatures that enable more personalised, data-driven talent decisions.

# 17,732

Internal movements\*

# 6,046

Promotions\*

### Driving cross-functional movements

As part of our internal mobility proposition, we encourage cross-functional movements, enabling employees to transition into roles adjacent to their current skill sets. This approach helps employees acquire new skills, enhances the Bank's skill intensity, and serves as a retention lever for those seeking career pivots. 35% of selections this year are cross-functional, fostering versatility and skill diversity across the Bank.

## Embedding performance, fairness and a values-led culture

The Bank's performance philosophy is built on transparency, objectivity, fairness and accountability. Employees are assessed through clearly defined Key Result Areas (KRAs), achievement targets, and developmental feedback. Moderation committees chaired by senior leaders play an important role in this assessment, ensuring consistent, bias-free evaluations. Learning support is also provided to managers to make performance conversations and feedback more constructive and growth-oriented.

To ensure market competitiveness and pay fairness, the Bank collaborates with Aon Consulting to benchmark compensation, reward high performance through variable pay and reinforce the principle of equal pay for equal work.

### CEO compensation

The remuneration of the Bank's Managing Director and Chief Executive Officer is in accordance with the directives issued by the RBI on November 4, 2019. Performance is

evaluated using a Balanced Scorecard that covers Financial, Internal Process, Compliance, People, Execution, and Subsidiary metrics. Variable compensation includes a performance-linked bonus and stock-linked incentives, structured in line with regulatory requirements and deferred payout provisions. A specific portion of the bonus is deferred over three periods, while stock-linked incentives vest over 48 months. All variable pay components are subject to malus and clawback clauses in accordance with the Bank's policies.

### Values-led culture

Following the Values Refresh, the focus during the year shifted to making values more visible in leadership behaviour and team environments. This was enabled through 54 Culture Councils, led by Department Heads, which used survey insights to identify cultural gaps and drive structured action plans.

\*over past 3 years

The number of Axis Value Realisers (AVRs) increased from 2,339 to 2,658, reinforcing values-led behaviour through broader outreach and recognition.

### Values scorecard

|                     |             |     |
|---------------------|-------------|-----|
| Customer Centricity | <div></div> | 92% |
| Transparency        | <div></div> | 92% |
| Ownership           | <div></div> | 90% |
| Teamwork            | <div></div> | 89% |
| Ethics              | <div></div> | 81% |

## Creating a Workplace Where People Belong

Fiscal 2026 marked five years since the Bank formally articulated its Diversity, Equity and Inclusion (DE&I) charter, embedding inclusion as an organisational capability. Since then, we have progressed from defining the foundational principles to scaling implementation, strengthening governance, measuring outcomes and integrating inclusion more deeply into leadership practices, employee experience and customer systems.

This journey has been guided by a clear ambition – to achieve 30% women representation by fiscal 2027. During the year, the Bank advanced this milestone by a year, reflecting sustained progress and the strength of its ecosystem-led approach.

At Axis Bank, the institutional foundations of inclusion were laid through frameworks such as the **DE&I Policy**, **Human Rights Policy** and **ComeAsYouAre Charter**. These set the standards for equitable treatment, respectful conduct and inclusive participation. In parallel, inclusion capability was embedded early through onboarding and induction, helping build awareness from the beginning of the employee journey.

## Evolving the language and capability of inclusion

Over time, the Bank's DE&I journey has evolved in a deliberate sequence:

**Pause for Bias** encouraged employees to pause and reflect, creating awareness around unconscious bias



**Every day, Inclusion** sets the expectation that inclusion must be demonstrated daily through leadership conduct, team norms and routine decisions

**Pause for Bias Gold** strengthened the manager's capability in applying inclusion standards to everyday people's decisions



**Gateway to Inclusion** reinforced intentional inclusive behaviours across teams and leadership routines awareness around unconscious bias





## Governance, leadership, ownership and community building

The Bank strengthened governance through a DE&I Council, enabling greater alignment, accountability and follow-through across groups. Employee Resource Groups (ERGs) continued to play an important role in building community and shared ownership.

The Women in Sales ERG focused on improving women's participation and progression in frontline roles through sponsorship, mentoring and barrier removal. Pride365, the LGBTQIA+ ERG, expanded from 7 members to over 1,000 members, strengthening allyship, advocacy and community support.

## Inclusive products and services

The Bank's inclusion journey also continued to shape customer-facing propositions and product design.

- ▶ **LGBTQIA+ inclusion:** Since its launch in September 2021, the charter has enabled inclusive policies (dress code, partner benefits, leave) and customer access (joint accounts, nominees, 'Mx' title). In fiscal 2026, digital enablement extended this further, allowing all life partners, including queer partners, to access credit cards online.
- ▶ **Women's Banking Program:** The program offers women tailored financial solutions, lending support, travel privileges, curated benefits linked to life-stage and lifestyle needs, and improved access to credit. Together, these initiatives reflect a broader belief that inclusion must be experienced through access, recognition and design.



## External ecosystem engagement

Our DE&I agenda also extends beyond the organisation through engagement with students, communities and peer institutions.

- ▶ **Students as future DE&I champions:** The Bank's DE&I curriculum on building and leading inclusive organisations reached **700 students** across **18 sessions** nationwide.
- ▶ **Axis Women in Motion:** The program continues its grassroots outreach across towns, hinterlands and talukas to strengthen women's confidence, aspirations and financial agency; over five years, the program has reached **52,000 people** through one-to-one and virtual engagements.
- ▶ **Axis VIBE (Varsity of Inclusive Business Enterprises):** Since 2022, this platform has reached **157 corporates** through events, seminars and formal engagements to encourage inclusive business practices.

## Research and thought leadership

The Bank continues to participate in broader conversations on inclusion through research and thought leadership.

- ▶ **Pink Capital:** The Spectrum of Queer Money analysed LGBTQIA+ participation across financial activities and access barriers, emphasising inclusive documentation and product design; the Bank serves over 7,000 gender-diverse accounts who identified as transgender or selected the gender-neutral title 'Mx'.
- ▶ **'The Missing Half: Women and India's Growth Challenge'**, led by the Chief Economist, highlights women's economic participation as a key growth lever, drawing on global evidence and a survey of ~11,000 women across 42 cities to identify aspirations, constraints, and system-level levers.



## Listening with intent, acting with insight

The Bank has an established listening architecture designed to ensure employees feel heard, valued and supported. It integrates structured surveys, AI-enabled real-time sensing and responsive support channels to translate employee voice into action.

**Amber**, the AI-driven conversation platform, engaged more than **45,000 employees** through over **87,000 chats**, now extending from Day 3 onboarding onward. The year also saw the launch of **Values Voices Survey**, aligned to the Bank's five core value and a refreshed **ISAT Survey** for senior roles, using AI to derive deeper insights.

# 6

Average feedback touchpoints per employee, captured annually across our structured listening platforms

**HResponse**, our centralised HR query resolution platform, handles employee queries, enabling a more seamless support experience.

# ~1.35 lakhs

Employee queries handled during the year by HResponse

**RetrACE** enables employees to revisit their performance journey and raise grievances regarding performance pool outcomes, which are reviewed by a Senior Management Apex Committee. During fiscal 2026, it was extended to include earlier performance-stage grievances, allowing employees to raise concerns during mid-year check-ins rather than only at year-end. The extension will provide employees with a more timely and equitable channel for redressal.

Performance feedback by employee category\* (in nos.)

| Received from     | Fiscal 2024 | Fiscal 2025 | Fiscal 2026 |
|-------------------|-------------|-------------|-------------|
| Top Management    | 10          | 9           | 12          |
| Senior Management | 234         | 280         | 290         |
| Middle Management | 11,506      | 12,893      | 12,641      |
| Junior Management | 57,150      | 66,528      | 67,937      |

## Caring for our people

During fiscal 2026, the Bank continued to invest in creating an environment where employees feel supported and empowered to thrive. The efforts included strengthening access to preventive healthcare, improving financial protection and expanding well-being support across physical, emotional and family needs.

### Physical well-being and health support

Axis Bank organised several health camps across India in fiscal 2026, investing more than ₹3 crores in preventive healthcare and proactive health management, and reaching over 4,000 employees.

The year also saw enhancements to Group Medical Coverage, with limits increased for maternity care, cataract treatment, and ambulance services to reduce out-of-pocket expenditure and strengthen the employee safety net.

A series of well-being webinars and health sessions was conducted during the year to promote healthier habits and greater awareness among employees. These sessions covered a range of themes, including yoga, office ergonomics, heart health & cholesterol, eye care, nutrition and gut health.

### Mental wellness ecosystem

The Bank's mental wellness ecosystem is designed to ensure accessibility, confidentiality and a non-judgemental experience, enabling employees and their families to seek support with confidence. Experienced professionals deliver care and are responsive to both personal and work-related challenges.

In fiscal 2026, key elements of the mental wellness ecosystem included the following:

- ▶ **Queer-affirmative and inclusive care** for LGBTQIA+ employees and their families, as well as support for women, persons with disabilities and diverse family structures
- ▶ **Multiple therapeutic approaches**, including dance movement therapy and psychodrama, alongside conventional counselling
- ▶ **Group sessions** on stress, burnout, grief and emotional regulation
- ▶ **Family support services** covering relationships, parenting, trauma and life transitions

- ▶ **On Board with Boards**, supporting families during exam periods by addressing anxiety and academic concerns
- ▶ **Return-to-work support** for women and birthing parents, alongside manager sensitisation
- ▶ **Wellness Sherpa**, a peer-support initiative that trains employees to provide initial emotional support and guide colleagues to professional care

- ▶ **Certification for Sherpas** to ensure quality and consistency in supportive conversations

**2,500+ hours**

Of counselling sessions organised in fiscal 2026

## Recognising contribution

Recognition remains an important lever for reinforcing our organisational culture, for celebrating excellence and strengthening a sense of belonging.

The **Champions Awards**, the Bank's highest recognition platform, honoured employees across the Axis Group who exemplified the organisation's core values. From over **15,000 stories**, **117 winners** were celebrated by senior leaders at a gala event, with **Mr Swaminathan Janakiraman, RBI Deputy Governor**, as the Chief Guest.

The Bank also continued to run quarterly recognition platforms, such as Anchors, which recognised **3,590** employees for demonstrating ownership mantras, including Own the Customer, Own the Brand, Act with Speed, and Zero Pendency.

Through the **OGS** program, the Bank celebrated **5,913** employees who completed long-service milestones. Leadership also honoured **105 employees** who completed 25, 30 and 35-year milestones.

Additional recognition platforms included:

- ▶ **Ahead of the Curve**, through which we recognised **384 managers** for promoting diversity, inclusion and team empowerment
- ▶ **Retiring with Pride**, which honoured **32 retiring employees** for their contributions
- ▶ **Squad Keepers**, launched in fiscal 2026, which recognised **12,364 managers** who maintained zero attrition in frontline teams every quarter, with **570 managers** sustaining zero attrition through the entire year

**22,393**

Employees recognised through multiple programs during fiscal 2026



## Enabling a better employee experience through technology

Technology continues to enhance the employee experience by making it simpler, more responsive, and productive. During the year, the HR Technology team made this possible by ensuring stronger self-service, better process controls, analytics and smarter decision support.

A major milestone was the launch of **Adi**, the Bank's GenAI-powered HR virtual assistant. Designed to deliver accurate, first-time-right responses to HR queries, Adi has ingested more than **1,400 FAQs** and **52 policies**, significantly expanding the depth and quality of self-service support. There was a significant increase in the number of HR queries handled by Adi during the year, establishing it as a primary HR self-service channel.

The Bank also strengthened process controls by automating critical hiring checks such as **PAN deduplication** and **credit score verification**. The **One Axis App** continued to provide a unified self-service experience across the Bank and its

subsidiaries, enabling employees to access attendance, leave management, travel and query resolution through a single platform.

In parallel, there was sufficient progress in developing an **Employee Data Lake** to centralise lifecycle data and strengthen analytics across organisation design, headcount, attrition, productivity, and KRA alignment. We also invested in an **AI-driven Talent Marketplace** to support skill-based internal mobility. Such initiatives are helping simplify processes, improving decision-making and strengthening the digital foundations for scale.

# 61%

Increase in HR queries handled by Adi in fiscal 2026, making it a primary HR self-service channel

## Embedding sustainability, ethics, integrity and ESG in HR

The Bank's people agenda is closely linked to its broader commitment to ethical banking, responsible growth and long-term value creation. By embedding sustainability, integrity, ethics and ESG principles into HR practices, we are building a workforce of responsible bankers who uphold high standards of conduct, support inclusive growth, and contribute to outcomes that are resilient, trusted and enduring.

During the year, equity, inclusion and responsible leadership became more deeply embedded across the people agenda.

We believe lasting value is created when performance is grounded in trust, capability, fairness and integrity, and our approach to people continues to reflect this focus with clarity and discipline.

# 30%

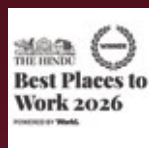
Women's representation milestone advanced by a year

### Employer of Choice, By Design

During the year, several recognitions confirmed the Bank's standing as an Employer of Choice. Among the honours were the following:



Certified by the Top Employers Institute, and the only Indian private-sector bank to feature on the list



Featured among the Best Places to Work by The Hindu and WorkL



Included in the TIME Best Companies Asia-Pacific list for the second consecutive year



Awarded the ATD Best Awards for fostering a strategically driven talent management culture



## Sustainable wealth creation for shareholders

As India's growth deepens through domestic manufacturing, accelerating urbanisation, digital payments, developing AI ecosystem, increasing rural development, GCC expansion and rising aspirational consumption, Axis Bank is distinctly well-positioned to enable this transformation by scaling premium and affluent banking, deepening Bharat and MSME engagement, and driving digital banking through AI/tech-led efficiencies across the franchise.



### Material Issues Linkage

M2

M15

### Capital Linkage



### UN SDGs Linkage



As the global economy navigates increasing geopolitical tensions, emerging financial vulnerabilities, and a more fragmented and risk-averse policy landscape, uncertainty has become an inherent characteristic of the international system. India, however, approaches this phase from a position of relative strength, supported by resilient domestic demand, credible macroeconomic buffers, a high degree of strategic autonomy, and deeper integration into global markets through recent trade partnerships.

This momentum is further reinforced by the Micro, Small, and Medium Enterprises (MSME) sector, long considered the backbone of the Indian economy, which is gaining structural strength through formalisation, digital enablement, and improved access to credit, thereby promoting inclusive and broad-based growth. Aligned with these shifts, Axis Bank is well-positioned to harness India's growth trajectory by combining its expansive physical franchise with best-in-class digital and AI-driven capabilities, delivering long-term value for investors while contributing to broad-based economic development.

## Shareholder wealth creation

The Bank has delivered strong, risk-adjusted returns, outperforming market indices over the near-and medium-term—underscoring the effectiveness of its strategy focused on sustainable growth, disciplined capital allocation and prudent risk management. Shareholder returns are further supported by a balanced capital allocation that rewards investors while preserving financial flexibility for future growth. The Bank's Dividend Declaration Policy targets a minimum payout of 25% of the equity share's face value from the net profit earned during the year, reflecting its commitment to providing stable returns to shareholders while retaining sufficient capital to strengthen the balance sheet, invest in growth, and enhance long-term intrinsic value.

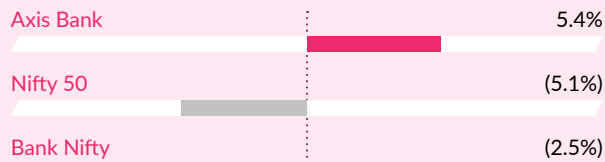


Read more about our Dividend Declaration Policy:

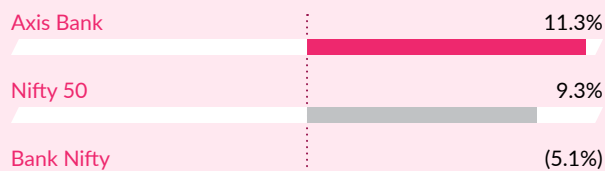
<https://www.axis.bank.in/docs/default-source/quarterly-reports/dividend-declaration-policy-of-the-bank.pdf>

## CAGR returns (Axis Bank vs. Indices) as of March 31, 2026

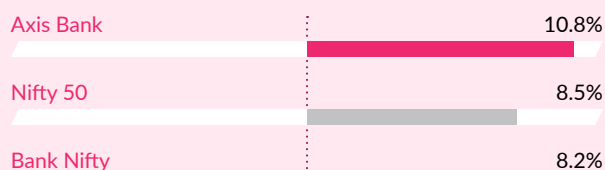
### 1-year CAGR



### 3-year CAGR



### 5-year CAGR

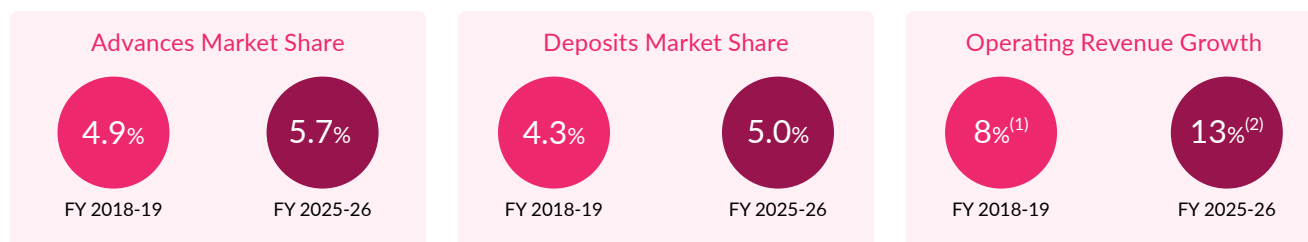


## Execution

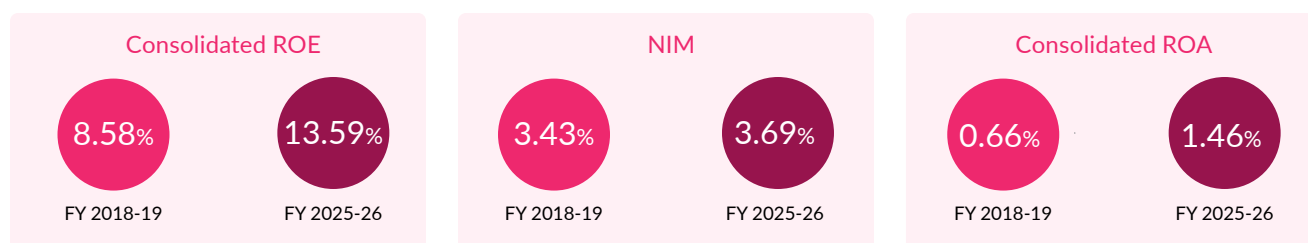
### Financial & operational metrics

Driven by its GPS (Growth, Profitability, Sustainability) strategy, launched in 2019, the Bank has sustained its transformation momentum and elevated performance standards. A consistent focus on prudent risk management, disciplined execution, and targeted investments in people, processes, and technology has enabled the Bank to deliver beyond its GPS commitments, building a stronger, more agile and resilient all-weather institution.

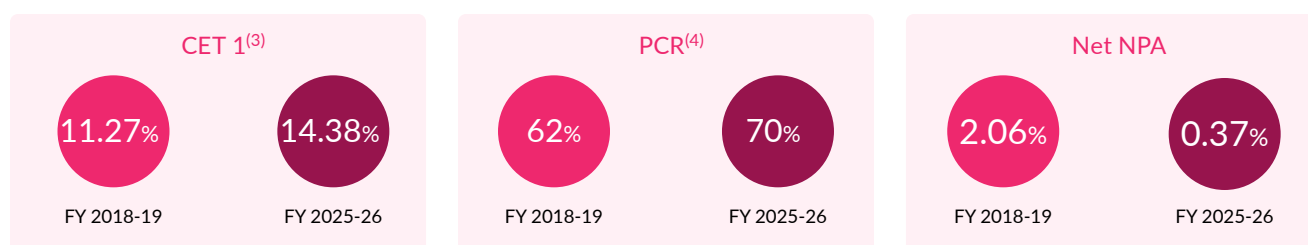
#### Lifted the growth momentum



#### Improved profitability considerably



#### Strengthened the Bank significantly



(1) CAGR for fiscal 2016 to fiscal 2019

(2) CAGR for fiscal 2019 to fiscal 2026

(3) Common Equity Tier-1

(4) Excluding technical write-offs

## Digital & innovation

Advances in AI and technology-driven disruption are transforming finance by boosting productivity, refining risk management, and enabling personalised, scalable customer engagement.

At Axis Bank, we continue to develop and enhance our in-house AI capabilities to empower employees via our super app, 'Siddhi'. Our ongoing investments in technology, data analytics, and digital infrastructure continue to strengthen our competitive position. The Bank is also among the first private banks certified for the Artificial Intelligence Management System (AIMS), ensuring our commitment to secure, ethical and accountable AI deployment across the organisation.

Our digital-first approach is evident in strong customer adoption and high ratings for our mobile app. The 'Spash' initiative promotes a consistent service culture with leadership and frontline involvement nationwide. While leveraging traditional strengths, the Bank is leading India's digital banking evolution, maintaining top position as a UPI payer PSP, with lowest decline rates and strong market share across merchant acquisition, credit card, NEFT and IMPS transaction volumes, demonstrating the Bank's execution capabilities in a digital-first economy.



## Digital payments leadership (NPCI Data)

~14%

Market share in credit cards, ranking as India's 4<sup>th</sup> largest player



36%

Market share in UPI Payer PSP by volume

27%

Market share in IMPS by volume

37%

Market share in NEFT by volume

22%

Market share in merchant acquiring terminals



## Value protection

### Capital allocation & risk

Axis Bank's approach to long-term shareholder value creation is anchored in disciplined stewardship, with a clear focus on building a resilient and high-quality franchise across economic cycles. The Bank prioritises profitable growth underpinned by prudent risk management, strong capital and liquidity buffers, and a diversified earnings mix—ensuring sustainability of returns rather than short-term optimisation. This discipline was evident in fiscal 2026, when the Bank continued to gain market share in advances despite a cautious industry-wide slowdown in retail lending, by selectively deepening its presence in corporate and MSME segments while preserving the overall risk-adjusted returns (RAROC).

Central to this strategy is a sustained focus on operational efficiency and productivity, driven by continued investments in digital platforms, data-led decision-making,

and the responsible deployment of advanced analytics and AI across processes. These initiatives enhance scalability, strengthen customer engagement, and improve cost efficiency, while reinforcing governance and control frameworks. Despite opening 400 branches in fiscal 2026, the Bank's total headcount declined by 3% and cost-to-assets improved by 18 bps y-o-y during this fiscal, reflecting tangible gains in employee and branch productivity.

With a strong capital position, including a CET-1 ratio of 14.38% which is ~638 bps (including capital conservation buffer) above regulatory minimum, Axis Bank combines balance sheet strength, execution discipline, and technology-enabled efficiency to remain firmly committed to compounding shareholder value through consistent, risk-adjusted returns over the long-term.

#### Branch expansion

Opened ~400 branches in fiscal 2026

#### Staff strength

Total headcount of 1 lakh+

#### Cost efficiency

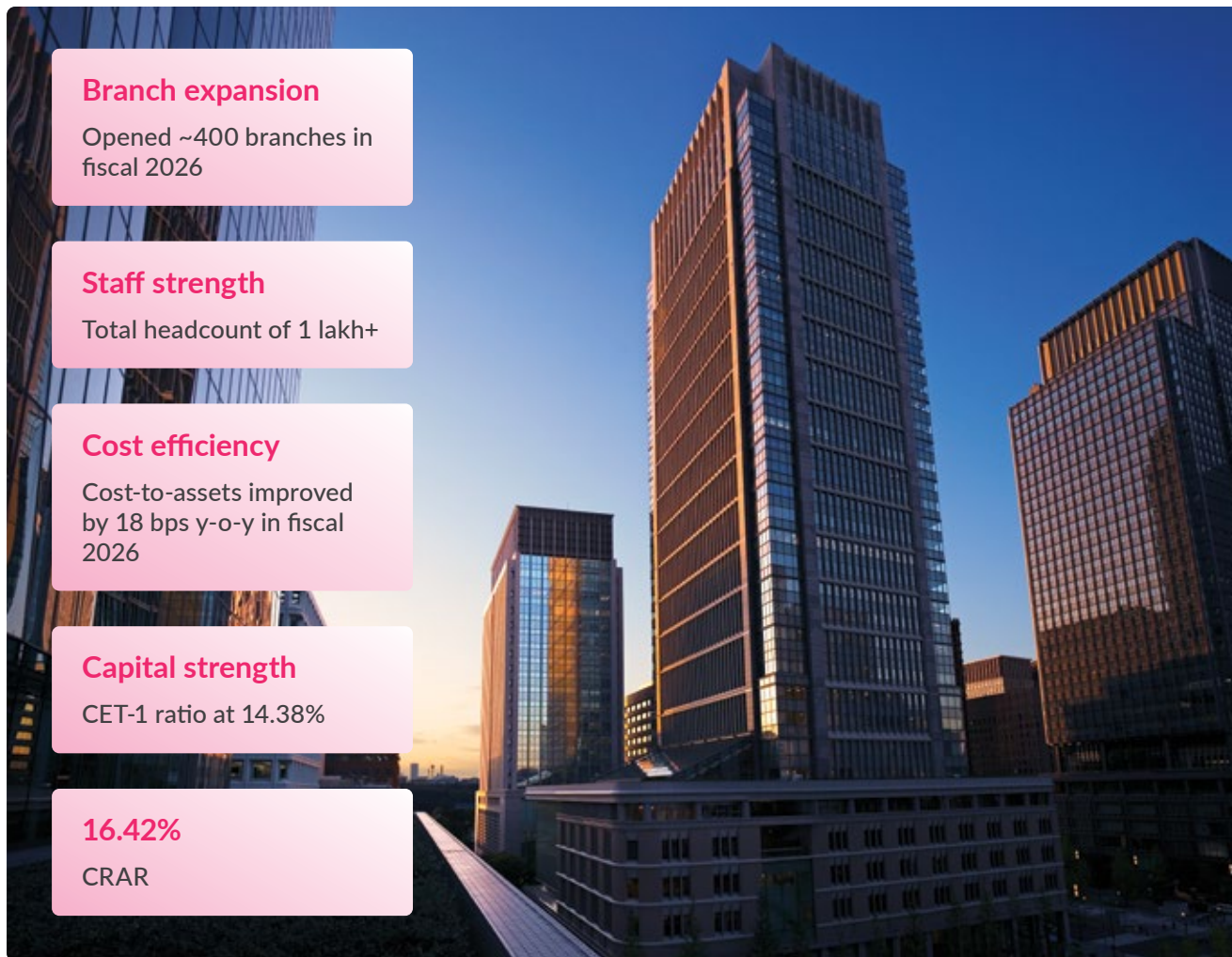
Cost-to-assets improved by 18 bps y-o-y in fiscal 2026

#### Capital strength

CET-1 ratio at 14.38%

**16.42%**

CRAR





## Governance and transparency

The Bank's Fair Disclosure Code provides a clear framework to ensure timely, transparent, and equitable disclosure of any Unpublished Price Sensitive Information (UPSI) that could impact the market value of the Bank's securities. In accordance with regulatory requirements, the Bank ensures that such information is first disseminated through stock exchanges, followed by other public platforms, to ensure universal, non-selective access.

The Bank consistently shares key updates, including financial results, corporate announcements, and material developments, in accordance with the regulatory guidelines set out in the Fair Disclosure Code. These disclosures are designed to enable investors and market participants to make informed decisions. Some of the disclosures available on the Bank's website include:

- ▶ Quarterly earnings investor presentation, earnings press release and financial results
- ▶ Earnings call transcripts and audio/video recordings
- ▶ Investor presentations for road shows, conferences and specific events
- ▶ Investor presentations on specific businesses or subsidiaries of the Bank



## Stakeholder engagement

Shareholders form a core pillar of the Bank's growth ecosystem, supporting both capital formation and long-term strategic execution.

Likewise, Bondholders are a critical pillar of the Bank's diversified capital structure, serving as long-term partners in funding growth and balance sheet resilience. The debt capital market provides the Bank with flexible access to non-equity, non-deposit funding, enabling the issuance of tenor-specific instruments and subordinated debt that strengthens regulatory capital through Tier II qualification. During fiscal 2026, the Bank successfully raised ₹5,000 crores through the issuance of long-term Infrastructure Bonds in India, aligned with funding requirements for infrastructure and affordable housing. In the same year, subordinated debt aggregating ₹1,500 crores and Infrastructure Bonds amounting to ₹3,000 crores matured, reflecting the Bank's disciplined liability management and proactive refinancing strategy.

We engage proactively with our shareholders and bondholders through disciplined, transparent, and timely communication, fostering long term partnerships built on trust and clarity.

The Bank conducts regular interactions through a structured mix of in-person and virtual meetings, including:

- ▶ Post-quarterly earnings calls, the Annual General Meeting and analysts' meetings
- ▶ Domestic and international conferences and non-deal roadshows
- ▶ One-on-one and group meetings

Consistent and meaningful engagement enhances market understanding of the Bank's strategy and performance, strengthens price discovery and underpins fair valuation—contributing to sustained investor confidence over the long term.

# Enabling inclusive, lasting progress

As one of India's leading financial institutions, our purpose extends well beyond banking. We believe meaningful progress is achieved only when communities flourish — when opportunity, dignity and well-being are not distant ideals, but everyday realities for every Indian. Anchored in our ethos of '*dil se open*', we approach community development with empathy, openness and an enduring commitment to inclusion.



## Material Issues Linkage

M9

M10

## Capital Linkage



## UN SDGs Linkage



At the heart of our CSR strategy lies a deep focus on unlocking human potential and building long-term resilience, especially for underserved and marginalised communities. From strengthening rural livelihoods and expanding access to quality education in difficult-to-reach regions, to empowering women through financial literacy and economic participation, each initiative is a deliberate step towards a more just and equitable India.



Our CSR programs are supported by a robust institutional governance framework. They are guided by the CSR Committee of the Board and fully aligned with Section 135 of the Companies Act, 2013. We remain committed to global best practices, drawing inspiration from the United Nations Sustainable Development Goals (UN SDGs) to ensure our initiatives create lasting social and environmental impact.

In fiscal 2026, our work spanned diverse geographies and thematic areas – from border villages to urban informal settlements; from natural resource management and climate resilience to cancer care, grassroots sports, and academic research. Each milestone we achieved was underpinned by a shared purpose and the collective effort of communities, partners and institutions committed to driving meaningful change.





## Lives & livelihoods

In rural India, people's livelihoods are deeply connected to local economies, community ties, natural resources, and traditions. While rural communities contribute significantly to agriculture, livestock, dairy, textiles, artisanal production and essential public services-the benefits of economic progress remain uneven across households. Shrinking landholdings, climate change, water shortage, limited market access and skill gaps restrict opportunities. Coupled with changing aspirations and economic pressures, these challenges are leading to migration and underemployment, particularly among the youth.

Established in 2011 by Axis Bank Foundation, the Sustainable Livelihood Program (SLP) is structured to empower rural households by enhancing their capacity, improving access, and fostering sustained engagement towards the betterment of their lives and livelihoods. The program operates across diverse geographies nationwide with a focus on aspirational districts, rainfed regions and

other underserved areas where poverty is more prevalent. It works with small and marginal farmers, landless, tribal regions, women, youth, artisans and disadvantaged groups through context-specific interventions.

SLP combines traditional knowledge with modern practices to create sustainable livelihood opportunities. It promotes capacity-building through training, exposure visits, peer-to-peer learning, and community institutions. To complement capacity building, it aims at improving access to technology, markets, finance, government welfare schemes and advanced agricultural techniques. By strengthening linkages with local institutions such as Panchayati Raj Institutions (PRIs), three-tier institutions promoted by the National Rural Livelihood Mission, with market actors and other stakeholders, the program helps communities build resilience, enhance incomes and achieve long-term socio-economic progress.

## SLP's integrated model

SLP applies a three-pronged approach of **Capacity**, **Access**, and **Engagement** across various key livelihood areas including natural resource management, farm productivity, livestock management, enterprise development and health.

### Natural resource management

SLP strengthens community-led management through village-level or watershed-level planning while improving access through integration with Panchayati Raj institutions and promoting collective action for effective resource stewardship. Demonstrated outcomes include improved water accessibility, enhanced soil moisture conservation, afforestation, development of pasture lands, increased availability of fodder and water for livestock, formation of collaborative user groups, fair access for all users, and consistent maintenance over time.



### Fiscal 2026 highlights

**45,000+** hectares of land

Brought under watershed management

**1.2 million**

Trees were planted through afforestation and horticulture

**3,500+**

Major and minor lift irrigation systems were made functional

**2,500 hectares**

Of pastureland were restored

## Farm productivity

Improved access to water enables higher cropping intensity, supporting multiple harvest cycles and resulting in increased farm productivity. This is further reinforced through crop diversification, more reliable water availability, the introduction of horticulture and floriculture, improved seed quality, and weather-appropriate crop selection.

Capacity building is complemented by access to locally produced organic manure and seeds, innovative cultivation techniques, adoption of small tools and micro-irrigation systems, and a shift to renewable energy. Farmer engagement is strengthened through knowledge-sharing platforms, collective procurement of inputs, aggregation of produce for sale, and value addition activities that improve market access and price realisation.

### Fiscal 2026 highlights

**3.68 lakhs+**

Households supported with livelihood planning

**3.45 lakhs+**

Households supported for Kharif (monsoon farming)

**4.19 lakhs+**

Households supported for Rabi (winter farming)

## Livestock development

Livestock is integral to rural lives and in some regions households have traditionally reared livestock. SLP builds community capacity in breed improvement, animal health, feeding practices and livestock management. Access is strengthened through linkages to the public veterinary care system, quality feed suppliers and higher-value markets. The program also promotes collective action to purchase feed, manage pasture lands for better water and fodder access, and for aggregated sales.

### Fiscal 2026 highlights

**2 lakhs+ households**

Supported to improve livelihoods through livestock





### Artisanal livelihoods

In rural areas, artisans represent the second-largest workforce after farmers. While traditional crafts have lost some of their functional relevance, growing appreciation for handcrafted products has created new market opportunities for artisans.

SLP supports artisans through product innovation, design development, trend integration through incorporation of seasonal colour palettes, enhancement of quality standards, and improvement of production capacity. It helps artisans develop competencies in product design, market analysis, customer engagement, and digital tool utilisation. These measures are progressively strengthening or revitalising income prospects and encouraging younger generations to consider traditional craft as a sustainable career path.

#### Fiscal 2026 highlights

**5,000+**

Artisans supported



### Rural entrepreneurship

Interest in self-employment is rapidly growing among rural youth. Anticipating increased demand for non-traditional goods and services in rural areas, SLP has been supporting aspiring entrepreneurs to set up small businesses, access various government schemes for subsidies, conduct market research, product and service testing, and develop business plans. It has also been equipping them with financial literacy, competition analysis, unit economics, and fundamental management skills necessary to start or operate profitable enterprises while enabling them to engage with other entrepreneurs through supportive networks.

#### Fiscal 2026 highlights

**21,000+**

Entrepreneurs supported





### Health and well-being

Good health is fundamental to overall well-being and resilient livelihoods, particularly in rural India, where poor health outcomes remain closely linked to persistent intergenerational poverty, especially among women. SLP promotes strengthened health-seeking behaviour through awareness generation, better access to public health systems, and deeper engagement with frontline providers across various life stages and groups, including infants, pregnant women, young mothers, adolescents, and youth. The program is enabling this shift and facilitating intentional change toward better health consciousness.

#### Fiscal 2026 highlights

**~1,03,000+**

Women trained in better health-seeking practices

**~28,000**

Households supported with Water, Sanitation and Hygiene (WASH) initiatives

**~5,000**

Health camps organised

**~22,000**

Households linked with various health schemes



### Mission 4 Million

Rural challenges are dynamic and interconnected, requiring responses that go beyond short-term support. Building on two completed phases, SLP has now entered its Mission 4 Million phase, with a sharper focus on scale and depth. The program seeks to strengthen local capacities, deepen institutional linkages, and enable meaningful community participation to build resilient, adaptive rural systems that can sustain long-term improvements in incomes and quality of life.

#### Fiscal 2026 highlights\*

**2.76 million**

Rural households across 33,510+ villages, across 32 States and Union Territories supported by Mission 4 Million

This includes:

**2.65 million**

Rural households supported

**1.12 lakhs+**

Youths trained in vocational skills, including **31K+** people with disabilities

\*As of March 31, 2026



**SLP highlights of fiscal 2026****7.12 lakhs+**

Households have been positively impacted

**6.93 lakhs+**

Of these were rural households

**~20,000**

Youth were trained in vocational skills, 6,000+ among them were persons with disabilities

**From unemployment to entrepreneurship**

At 29, Manoj from Uttar Pradesh faced multiple challenges. Living with a locomotor disability and caring for his mother, who has paralysis, he struggled to find a sustainable source of income despite completing Class XII. Limited awareness of suitable livelihood opportunities kept him unemployed for a prolonged period, placing significant strain on the household.

His journey towards self-employment began when he was introduced to a project under the Sustainable Livelihood Program. Through a 10-day Entrepreneurship Development Program, Manoj gained foundational business skills and exposure to viable livelihood options. Post training, he received support to start an ironing service in his village and connected with a local entrepreneur for mentorship and handholding.

As his enterprise gained community acceptance, he expanded by opening a small cosmetics shop alongside his ironing service. This diversification has strengthened his income, enabled better medical care for his mother, and improved his confidence. Today, Manoj stands as a self-reliant individual and a role model for others in his community.

**Education: Learning with heart, learning for life**

Education remains one of the most powerful catalysts for unlocking human potential and driving long-term community transformation. At Axis Bank, we recognise education not merely as a fundamental right, but as a pathway to dignity, opportunity, and self-reliance—particularly for children and youth across 20+ states, including some of India's most remote and underserved regions.

**Fiscal 2026 highlights****~16 lakhs**

Participants reached across 20+ states

**~2.3 lakhs+**

Educators supported pan-India

**~550 schools**Supported across 6 Northeastern states, where the Bank has a strong on-ground presence;  
**10,000+** schools reached across India**60+**

Scholars and 130+ advanced researchers supported across 8 premier higher education institutions

Our education portfolio follows a three-pillar approach that addresses key barriers across the learning lifecycle while strengthening access, quality, and outcomes:

### Three pillars of Education

#### Axis DilSe® – Access and enabling infrastructure

Launched in 2017, Axis DilSe® is our flagship program, committed to transforming education in India's most remote and underserved regions. What began with early investments in difficult geographies has evolved into a multi-state initiative across the Northeast and other aspirational regions.

Rooted in our *dil se open* philosophy, the program works closely with grassroots organisations and institutions to strengthen access, improve school ecosystems, and enable pathways for students to realise their aspirations. Through residential learning, school transformation, and community engagement, Axis DilSe® is ensuring that children in geographically isolated regions are not left behind in India's growth story.

Through Axis DilSe®, the Bank supports Centres of Excellence across the Northeast, providing structured, residential coaching for competitive examinations to underserved youth, with centres supporting 120-280 students over multi-year cycles.

This is complemented by holistic schooling models such as the Hummingbird School in Majuli, which provides inclusive residential education to 300+ tribal students annually, including hostel support.

School transformation and ecosystem strengthening initiatives with partners such as Sunbird Trust and Tata Steel Foundation have enabled infrastructure upgrades, foundational learning interventions, and community engagement, reaching over 80,000 students across 800+ schools and 950+ anganwadis in remote geographies.



## System strengthening

Our interventions focus on strengthening public education systems at scale by improving learning outcomes, teacher capacity, and classroom practices through structured, long-term partnerships with state governments and institutions.

Large-scale programs have driven measurable impact:

- ▶ In Odisha, **digital maths and science learning** is reaching 4.86 lakhs students across 6,400+ schools, supported by 18,600+ teachers through curriculum-aligned digital content
- ▶ In Madhya Pradesh, the **CM Rise Teacher Development Program** is targeting ~3 lakhs teachers across all 52 districts, with downstream impact on ~90 lakhs children

- ▶ District-led initiatives such as **Shikshagraha** have reached 3.76 lakhs students and 9,200+ educators, demonstrating improvements in school readiness and foundational learning
- ▶ The **Rupantar** program has impacted 26,000+ teachers and 3.5 lakhs students, enabling a shift towards competency-based, experiential learning at scale

At the community level, focused interventions such as **Yellow Rooms** and **Muheem Leader Fellowship** in UP with a collective reach of 3,500+ students, **LIFI** in Madhya Pradesh and Haryana reaching ~ 1,000 students, and **English Bridge Program** in Chhattisgarh with a reach of 12,000 students are strengthening foundational literacy, inclusion, and retention across high-need geographies.





## Higher education, research and innovation

We support academic excellence through long-term investments in higher education institutions, research ecosystems, and scholarships, contributing to innovation and future-ready talent for the country.

Key initiatives include:

- ▶ The Axis Bank Centre for Mathematics & Computing at IISc, supporting 61 scholars and engaging over 2,100 participants through advanced research and academic programs
- ▶ The FutureTech Building at Plaksha University, enabling cutting-edge work in AI, robotics, and emerging technologies, alongside PhD and faculty-led research
- ▶ Partnerships with Ashoka University, supporting 118 PhD scholars and 13 postdoctoral fellows,

and strengthening interdisciplinary science and research capabilities

- ▶ Scholarships across Plaksha, Ashoka and ISDM, enabling access to quality higher education and leadership pathways

Together, these pillars enable a continuum of learning – from strengthening foundational education in remote and border villages to supporting higher education, research, and innovation – thus helping learners realise their full potential.

Our efforts in education are aimed at not only to help children learn but also towards enabling communities to aspire, participate, and lead. By investing across access, systems, and excellence, Axis Bank is building an education ecosystem where every learner, regardless of geography or background, has the opportunity to thrive.





## Well being - A comprehensive approach to resilience

Beyond Sustainable Livelihoods and Education, our CSR efforts are designed to address interconnected social and environmental challenges that influence the overall well-being and resilience of communities.

### Financial inclusion & literacy

- ▶ Financial literacy is a critical pillar of our CSR strategy, with a strong emphasis on enhancing women's economic participation and financial capability to enable greater agency, self-reliance, and long-term financial security. Our initiatives reached **~2.6 lakhs people** across India, including the empowerment of nearly **1.6 lakhs women** through our partnership with Kalanjiam Foundation
- ▶ In addition, our teams conducted **~2,200 financial literacy and awareness programs** and launched the 'FI Model Village' initiative across **80 villages**, while digitising **~1,000 SHGs** to promote cashless transactions and deepen financial inclusion

### Health

- ▶ We adopt a systems-oriented, infrastructure-led, and patient-centric approach, prioritising cancer care, mental health, paediatric and developmental healthcare, and specialised tertiary services. Recognising that sustainable health outcomes depend on strong institutions, trained professionals, digital systems, and enabling care environments our interventions in fiscal 2026 focused on long-term capacity building, institutional strengthening, and creation of critical healthcare infrastructure instead of short-term service delivery
- ▶ Through our health initiatives, we reached over **~16,000 direct participants**—including patients, children in institutional care, caregivers, healthcare professionals, and students—and indirectly benefitted over **~1.2 crores** individuals through mass awareness initiatives and systemic, national-level interventions
- ▶ The interventions spanned Maharashtra, Uttar Pradesh, Bihar, Tamil Nadu, Karnataka, West Bengal, and pan-India national programs

### Environmental sustainability

- ▶ Under this theme, we focus on restoring, conserving, and sustainably managing natural ecosystems while strengthening community resilience to climate variability and resource stress through a landscape-based, community-led, and science-backed approach. In fiscal 2026, the portfolio expanded to include rural water security and watershed-based interventions, recognising water as a critical ecological and livelihood resource
- ▶ During the year, we planted approximately **15 lakhs saplings** and restoring nearly **3,000 hectares of land**, creating dense, community-managed urban green patches and promoting climate-resilient, native species in rural landscapes to improve soil health, water retention, and ecosystem resilience. Interventions also supported habitat restoration, agroforestry, soil and water conservation, and biodiversity protection — particularly in buffer zones of national parks and wildlife sanctuaries — to strengthen ecosystems, support livelihoods and reduce human-wildlife conflict
- ▶ Climate resilience efforts included solar-powered cold chain infrastructure to reduce post-harvest losses and flood resilience measures in riverine regions. Anchored around ecosystem restoration, biodiversity conservation, water security, climate resilience, community stewardship, and science-led planning, the theme program reached over **2 lakh direct participants** across 13 states

### Sports

- ▶ Continuing its focus on sports development, Axis Bank supported athletes across high-performance and grassroots pathways during the year. Through its partnership with the Foundation for Promotion of Sports and Games (FPSG) under the Olympic Gold Quest program, the Bank supported **~500 athletes and para-athletes across 10 Olympic and 8 Paralympic disciplines**
- ▶ The Axis Bank **Judo Development Program**, in collaboration with the Inspire Institute of Sport (IIS), provided foundational training to 560 judokas in Manipur and advanced, fully-funded residential training to **47 female judokas** at the IIS campus in Karnataka, targeting LA 2028 podium outcomes. Additionally, Axis Bank partnered with Lakshya Shooting Club to establish a state-of-the-art High Performance Centre in Navi Mumbai to develop an emerging and elite shooting talent

### Disaster response and community resilience

- ▶ Under the Humanitarian & Relief theme, we provide timely, need-based support to communities affected by climate-induced disasters, particularly floods and cloudbursts, with a focus on reducing immediate vulnerability and enabling early rehabilitation
- ▶ In fiscal 2026, interventions were concentrated on flood-affected hill and plain regions, addressing urgent needs such as food security, temporary shelter, winter protection, sanitation, and essential household support. Dry ration kits were provided together with warm clothing, insulated temporary shelters, sanitation facilities and school supplies, with priority given to the most vulnerable groups
- ▶ Overall, the interventions reached **~6,000+ directly affected people** across Uttarakhand, Himachal Pradesh and Punjab

## Corporate citizenship initiatives



### Axis Cares

Axis Cares is the Bank's flagship employee engagement platform that fosters a culture of empathy and encourages Axisians to contribute meaningfully to society. Rooted in the values of giving back and personal social responsibility, it provides employees with avenues to support causes they care about through both financial contributions and volunteering.

Over the years, Axisians have extended their support across a wide range of social and environmental causes, including education for children, environmental and wildlife conservation, care for senior citizens, preservation of cultural heritage, promotion of sports and disaster relief efforts. Employees have also actively contributed their time by mentoring and coaching young aspirants preparing to enter the workforce.

Axis Cares reflects a shared commitment among Axisians to make a positive difference, reinforcing the Bank's belief in collective responsibility and purposeful engagement beyond the workplace.

## Lending a hand in nation-building

National development requires institutions that are reliable and responsive. Axis Bank collaborates with central and state governments to strengthen public finance, service delivery and digital infrastructure, thereby improving outcomes for citizens.



### Material Issues Linkage



### Capital Linkage



### UN SDGs Linkage



## A trustworthy, reliable partner

The Bank's Government Business promotes inclusive growth, transparency, and digital transformation. Collaborating with state and central governments, it facilitates sustainable public finance aligned with initiatives such as Digital India and national priorities such as financial inclusion and ESG. The Bank continues to expand its

delivery capabilities and broaden its national footprint to meet growing banking needs, while investing in technology to automate and digitise processes, improving efficiency. The Bank is committed to advancing the government banking sector and reimagining customer experiences through a range of tailored products and services.

## Driving Government Business through distinctive beyond banking proposition

### RFID Solution

Prepaid card for pilgrims' expenses

### Payment Disbursement Solution

End-to-end digital procurement payment process

### Drone

Aerial Survey & Mapping

### Fund Management Solution

Fund allocation module & MIS Dashboard

### Loan Management Solution

Loan Disbursement Platform & Dashboard

### Wallet Management Solution

Wallet solution for e-Ticketing

### WhatsApp Chatbot

Automated AI-driven messaging

### Inventory Management Solution

Automated Inventory & Vendor tracking Module

### Tax & QR Collection

Multi-model Payment & Collection Model

### E-Auction & E-Tendering

End-to-end Collection & Refunds

### HRM & Solution

Payroll, Employee Data Management

### Citizen App

Service request & Utility Payments

Currently, the Bank has the mandate to collect direct taxes, state taxes, GST, customs duty, railway e-freight, civil, defence and railway pensions, Public Provident Fund (PPF), Sukanya Samriddhi Scheme, and Kisan Vikas Patra. The Bank is among the top performers in the Public Financial Management System (PFMS) and is an active participant in the Government E-Marketplace (GeM).



## Enabling smarter urban transformation

As a strategic partner to India's ambitious Smart City Mission, the Bank collaborates closely with municipal bodies, city administrations, and state governments to deliver tailor-made banking solutions that meet local needs. We maintain strategic relationships with over half of India's Urban Local Bodies (ULBs) to support urban governance. Our solutions that digitise and streamline municipal operations ensure seamless payment and collection processes, thereby enhancing transparency and civic engagement. By integrating digital technology into public service delivery, we help cities become more responsive, sustainable and inclusive.

Among the solutions are:

- ▶ **Integrated digital services platform** enabling efficient citizen services across ULBs
- ▶ **QR code-based** doorstep property tax solution
- ▶ **App-based platform** that activates digital certifications, handles grievances, manages revenue and provides social security services
- ▶ **Drone-based aerial solutions** to strengthen disaster response and urban planning
- ▶ **Digital door-numbering solution**, enhancing service delivery, responsiveness and community inclusion

## Transforming agriculture through Digi-culture



We empower this vital sector through reliable, transparent, and technologically advanced solutions that create ease and convenience for farmers and stakeholders within the agricultural value chain. Our premier digital platform for electronic procurement facilitates secure, prompt payments to farmers in accordance with government procurement regulations. Engineered to manage large-scale disbursements accurately, the platform provides real-time reconciliation, bulk transfer functionalities, and a fully automated interface that minimises delay, mitigates fraud and fosters trust.

**Implementing Direct Benefit Transfers (DBT) ensures that every rupee reaches the intended recipients on time.**

Our agricultural engagement spans key states, where we collaborate with procurement agencies and cooperative organisations to deploy scalable and effective solutions.

### Key engagements in the agricultural sector

- ▶ Uttar Pradesh Upbhokta Sahakari Sangh
- ▶ Food & Civil Supplies Corporation – in West Bengal, Madhya Pradesh, and Tamil Nadu
- ▶ Bihar State Vegetable Processing & Marketing Cooperative Federation
- ▶ Andhra Pradesh State Farmers' eVikraya Corporation
- ▶ Himachal Pradesh State Agriculture Marketing Board

## Health & education

We support government institutions with banking solutions and technology-enabled platforms that enhance efficiency and citizen access. In healthcare, we introduced AI-based facial recognition and HRMS software for Bihar's Health Department to address issues such as absenteeism. This initiative was replicated in Puducherry and Dadra & Nagar Haveli under the National Health Mission. We also collaborate on health projects, such as Gujarat's Ayushman Bharat Health Infrastructure Mission, contributing to the development of inclusive health systems.

In the education sector, we enable secure and seamless transactions through digitised fee-collection platforms for various state boards and institutions. We also provide fee automation, reporting dashboards, and customised banking products to schools, colleges, and universities, including the Directorate of Education, Goa.



## Driving digital mobility infrastructure

We partner with municipal authorities to facilitate efficient and future-oriented vehicular movement. In Guwahati, we inaugurated India's first AI and FASTag-enabled smart parking system in partnership with the Guwahati Metropolitan Development Authority, thereby eliminating manual ticketing, enabling contactless entry and exit, and establishing a new standard in urban mobility.

In Delhi, we became the exclusive acquiring bank for RFID-based FASTag fee collection at Inter-State Bus Terminals (ISBTs), streamlining fee collection, reducing congestion, enhancing transparency, and promoting cashless transportation.

## DBT initiatives

The Bank plays an essential role in enhancing India's Direct Benefit Transfer (DBT) ecosystem by connecting government welfare initiatives directly with their intended beneficiaries, ensuring the timely, transparent delivery of funds. Our DBT platforms support a diverse array of state and centrally sponsored schemes, including programs for women and child development, tribal welfare and urban transformation missions. Through seamless integration, real-time validation, and direct account crediting, we prevent leakages and uphold the dignity of social assistance.

### DBT schemes handled

- ▶ Krantijyoti Savitribai Phule Bal Sangopan Yojana – Women & Child Development Department, Maharashtra
- ▶ Chief Minister's Atmanirbhar Asom Abhijan – Assam
- ▶ Department of Adi Dravidar and Tribal Welfare – Tamil Nadu
- ▶ AMRUT (Atal Mission for Rejuvenation and Urban Transformation)
- ▶ Swachh Bharat Mission (SBM)

The Bank aims to be a trusted partner in nation-building by using technology, scale, and governance to grow sustainable government business. The focus remains on digitisation, inclusion, and transparency to create long-term stakeholder value.



# Supporting a lower-carbon future

Environmental stewardship is key to creating lasting value. It guides us in our endeavour to finance responsible growth, strengthen resilience and reduce our operational footprint. Through disciplined capital allocation, climate-aware risk management and resource-conscious operations, we support the transition to a low-carbon economy while delivering sustainable value for our stakeholders.



## Material Issues Linkage

M8

M12

## Capital Linkage



## UN SDGs Linkage



As a leading Indian bank, we support India's development in line with the United Nations Sustainable Development Goals (UN SDGs) and the Paris Agreement through responsible capital, climate risk management, decarbonisation, resource stewardship, and habitat restoration.

Since 2021, our ESG Committee has guided our climate and environmental strategies and helped strengthen the enterprise risk frameworks.



Our key environmental impact arise from energy consumption at our branches, diesel generator and paper usage, which we have significantly reduced through digitalisation, improved operational efficiency and investments in green technologies.

## Fiscal 2026 ESG highlights

**₹45,511 crores**

Green lending portfolio

**593**

Proposals assessed under the IFC Performance standards for the ESG compliances

**4.16 million**

Trees across 9 geographies

**11,594 tCO<sub>2</sub>e**

Scope 1 emissions

**145,734 tCO<sub>2</sub>e**

Scope 2 emissions

**44,212 tCO<sub>2</sub>e**

Scope 3 emissions

**4**

Large offices fully powered by renewable energy

**3.58 million kWh**

Annual savings due to CEMS and other energy efficiency interventions



## Advancing low-carbon operations

### Energy and emissions

Aligned with India's climate goals and global standards, we target a 3.5% reduction in per-employee emissions by fiscal 2027, using fiscal 2023 as the baseline. Our decarbonisation approach focuses on measurable action across direct operations, purchased electricity, and select indirect activities to enhance efficiency and resilience.

We manage emissions across Scope 1, 2, and 3. Scope 1 emissions are tracked through monthly monitoring of diesel expenditure and refrigerant leaks, while Scope 2 emissions are evaluated by tracking monthly electricity usage and tariff data. Scope 3 impacts, such as air travel and paper use, are addressed through digital solutions.



We continue to invest in renewable energy and energy management initiatives, renew the Green Building Certification at Axis House-Worli, adhere to IGBC standards at One Axis-Kolkata, and implement green building and power purchase agreement (PPA) projects in Noida.

#### Renewable energy initiatives



- ▶ Commissioned a 2 MW solar power plant in Solapur, significantly reducing our carbon emissions
- ▶ Procured ~1 MW of solar energy annually (3.50 lakhs units) through a PPA for our Bengaluru Data Centre
- ▶ Ensured that our four large offices — Axis House, Worli; Data Centre in Bengaluru; MIDC, Andheri; and The Ruby, Dadar — operate on 100% renewable energy

#### Centralised Energy Management System (CEMS)



- ▶ Implemented a cloud-based CEMS across 600 major branches and offices
- ▶ Enabled remote monitoring and control of air conditioning and lighting, resulting in substantial reductions in energy consumption, and maintaining optimal ambient conditions

#### Operational energy efficiency



- ▶ Maintained unity power factor through Automatic Power Factor Correction (APFC) panels at significant locations, including Axis House in Mumbai and Axis House in Noida
- ▶ All branches and offices have LED systems, resulting in a significant reduction in energy use
- ▶ Electrical vehicle charging facilities are available at large buildings, including Axis House in Mumbai, MIDC Andheri, and Axis House in Noida
- ▶ Installed star-rated, energy-efficient air conditioners, replacing outdated units and motion sensors at strategic locations to enhance energy conservation

#### Measurable impact in fiscal 2026

**2,043.38 tCO<sub>2</sub>e**

Emissions avoided annually from the Solapur solar power plant

**4,245.80 tCO<sub>2</sub>e**

Avoided renewable energy procurement for the Bengaluru Data Centre

**~3,336.52 tCO<sub>2</sub>e**

Emissions avoided by not printing the papers (Digital Banking interventions)

## Water conservation

We recognise water as an invaluable resource, essential for sustaining life and our daily operations. We actively implement measures to conserve water through efficient management, recycling and responsible use practices. Through rainwater harvesting and innovative recycling solutions, we seek to minimise our water footprint and create a positive impact on the environment and the communities around us.

### Key actions include

- ▶ Implementation of a closed-loop water system at the Bengaluru Data Centre to eliminate water usage in cooling operations
- ▶ Rainwater harvesting infrastructure at Axis House, Mumbai
- ▶ Sewage treatment facilities that recycle water and reduce freshwater demand
- ▶ Sensor-based washbasins, aerators and bio-blocks at select offices to reduce wastage

### Key achievements in fiscal 2026

**~2.0 KL**

Rainwater harvested annually at Bengaluru Data Centre

**~5.5 KL**

Rainwater harvested annually at Axis House Mumbai

## Responsible waste management

We continue to strengthen responsible waste management practices through waste segregation, recycling initiatives, and digital solutions across our operations. Our approach is designed to reduce environmental impact, divert waste away from landfills and support a circular economy.

### Key actions include

- ▶ Centralised systems at Axis House, Mumbai and select major offices across India for segregation and recycling of dry waste into usable stationery
- ▶ Collaboration with certified vendors for safe disposal of electronic waste from branches and offices nationwide
- ▶ Digital banking initiatives, including digital account opening, e-statements and e-welcome kits, to significantly reduce paper consumption

### Key achievements in fiscal 2026

**230.79 MT**

Of dry waste (includes paper, plastic, metal & glass) recycled in select offices (through authorised vendors)

**46.18 MT**

Of e-waste recycled pan-India (through authorised recyclers)

**34.76 million**

Sheets of paper saved annually as a result of various Digital Banking initiatives

### Habitat restoration

As part of the Bank's ESG commitments, we have set an ambitious target of planting 8 million trees by 2030. As of March 2026, through our CSR initiative, the Bank has planted approximately 4.16 million trees across 9 geographies in India, including all its plantation programs. This reflects our effort to create environmental value that extends beyond our immediate operations and contributes to a more resilient future.

1. All emission calculations, including intensity assessments, energy calculations with intensity considerations, water consumption, and waste estimations, encompass solely Axis Bank's operations within India. These calculations exclude any subsidiaries.
2. The reporting boundary for waste management is limited to 12 offices for Paper, 6 offices for Plastic, 4 offices for Metal, 1 office for Battery waste, 12 offices for organic waste, 2 offices for C&D Waste and E-waste reported for pan-India basis.
3. Scope 1 – Diesel-related emissions are calculated on estimation basis and Scope 1 – AC – fugitive emissions are calculated on estimation basis. Similarly, Scope 2 emissions are calculated basis unit level consumption and expenditure.

# Investing in a sustainable future

As a leading Indian financial institution, we are committed to advancing the nation's development priorities in alignment with the United Nations Sustainable Development Goals (UN SDGs) and India's obligations under the Paris Agreement. Our investments focus on sectors that foster inclusive growth while promoting environmental stewardship backed by enabling policies and strong oversight in place.

Since 2021, the Board-level ESG Committee has provided strategic oversight of climate-and broader ESG risks, guiding the continued evolution of our sustainability agenda. With strong Board direction, and led by the Risk Management Department, we are strengthening enterprise-wide climate risk management capabilities and embedding climate considerations into key risk processes. This proactive approach enhances operational resilience and enables us to leverage opportunities arising from the transition to a more sustainable economy.

Introduced in August 2021, our **Sustainable Financing Framework**, aligned to the UN SDGs, serves as a structured approach for ESG-linked issuances. It was the first such framework by an Indian bank to obtain a

Second Party Opinion. Recognising the environmental and social implications of its operations, the Bank embeds Environmental, Social and Governance (ESG) considerations into its investment decision-making through its ESG Policy for Lending.

## Managing ESG and climate-related risks

Climate related risks are fast emerging as significant financial risks with implications for businesses, households, financial institutions and the wider economy. Driven by both physical climate impacts and the urgency to transition to a lower carbon economy, these risks, transmitted through multiple channels, require an integrated risk management approach as they can potentially affect business profitability, household wealth and overall financial stability and may also result in stranded assets.

For financial institutions, climate risks can manifest as elevated credit, market, underwriting, operational and liquidity risks, resulting in higher default rates, changes in asset valuations, gaps in insurance coverage, operational disruptions and increased pressure on liquidity.

## Focus areas of actions undertaken under the Risk functions

### Governance

#### Strengthening Board-level oversight on climate and ESG risks

Climate and ESG risks are integrated into the Bank's risk taxonomy and governed under the oversight of the Risk Committee of the Board, supported by guidance and oversight of the ESG Committee. The Bank continues to enhance the Committee's governance and supervision over these risks and embed them further within its Risk Management Framework. Under the ESG Policy for Lending framework, key proposals are also reviewed by the Committee of Directors of the Board, within the Bank's overall risk management strategy.

### Policy and controls

#### Inclusion of ESG and climate-related risks and opportunities in ICAAP

The Internal Capital Adequacy Assessment Process evaluates ESG and climate-related risks as material risks, covering both physical risk and transition risk.

#### Strengthening the ESG Policy for Lending

Since 2015, the Bank's ESG Policy for Lending incorporates environmental and social risk assessment into its credit appraisal process in alignment with the IFC Performance standards and other pertinent global standards. The implementation of the policy is overseen by the specialised Environmental and Social Management Group within the Credit function.

## Adoption of the Sustainable Financing Framework

The Sustainable Financing Framework, launched in 2021 in alignment with global standards such as the International Capital Market Association (ICMA) Principles and the Green Loan Principles, and with a Second Party Opinion from Sustainalytics. The Bank has in place an ESG Working Group that works under the ESG Committee's oversight to ensure effective management of its sustainable financing activities.

### Risk toolkits

#### In-house ESG rating model to support credit assessment

Piloted in fiscal 2023, the ESG rating model has been adopted as part of the credit appraisal process for select Wholesale Banking clients. Developed internally in close alignment with the International Finance Corporation (IFC) performance standards, it covers 80+ parameters across ESG pillars and reinforces the integration of E, S and G considerations in the Bank's lending practices. During the current fiscal, the model was further strengthened to deepen borrower-level ESG assessment.

#### Building capabilities for stress testing

The Bank is developing stress testing and scenario analysis capabilities in line with regulatory guidance and supervisory expectations. External best practices are also being studied to accelerate learning and strengthen internal preparedness.

#### Development of climate risk dashboards

Since last fiscal, the Bank has been enhancing its climate risk-related disclosures by expanding coverage of key physical risks and transition risk metrics as well as lending and financing activities aligned with its Sustainable Financing Framework. As part of the dashboard, the Bank actively tracks its transition risk exposures, highlighting asset quality in identified sectors that it deems to have elevated transition risks such as coal and thermal power. It also assesses physical risks across retail, rural and SME portfolios against four major natural hazards in India, namely cyclones, droughts, heat waves and floods. The climate risk dashboard is kept updated and presented to the ESG Committee through the year.

## Capacity building

### Bank-wide ESG education and participation

During the year, the Bank partnered with Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH, along with IPC GmbH and AuctusESG, to strengthen its capacity in climate adaptation finance. The capacity building program covered representatives from the Bank's Wholesale Banking Coverage, Risk, Treasury, Sustainability, and Credit teams who participated in a 2 day, intensified training workshop aimed at building an understanding of climate adaptation finance to be able to integrate its principles into the Bank's risk management and lending practices. The program also facilitated cross-functional collaboration, enhanced internal capabilities to identify climate vulnerabilities, and approaches for incorporating adaptation considerations into credit appraisal and portfolio monitoring processes. This collaboration also supports stronger institutional readiness for climate-resilient lending and aligned to India's wider global collaboration on sustainable development.



### Engagement with peers and regulators

The Bank actively engages with industry peers and regulators on matters relating to ESG and climate-related risks, and sustainable finance. The Bank's senior leadership participates in pertinent domestic ESG- and climate-related committees and formal working groups, including those under the RBI, Indian Banks Association, CII and FICCI. During the current fiscal, the Bank participated in an in-depth engagement with the regulator on physical risk assessment data and methodology under the Reserve Bank Climate Risk Information System. The Bank submitted its inputs and responses to the regulator as part of this engagement.



## ESG Policy for Lending

Formulated in 2015, our ESG Policy for Lending is aligned to the IFC performance standards and other pertinent international standards and benchmarks. It is applied to various financial products, including project loans, corporate loans, lines of credit, bridge loans, overseas funding, consortium/multiple banking, syndicated loans, and refinance transactions, subject to internal criteria and threshold limits. The Policy also includes an Exclusion List listing the themes and activities the Bank refrains from lending to.

| Fiscal 2026                                                                                                    | Cat A | Cat B+ | Cat B | Cat C | Cat FI | Total Count |
|----------------------------------------------------------------------------------------------------------------|-------|--------|-------|-------|--------|-------------|
| Cases eligible for ESDD                                                                                        | Nil   | Nil    | 77    | 23    | 18     | 118         |
| <b>COD cases</b>                                                                                               |       |        |       |       |        | <b>475</b>  |
| Review of Project portfolio/Group Companies portfolio w.r.t. IFC Performance standards for the ESG Compliances |       |        |       |       |        |             |
| <b>Total cases in fiscal 2026</b>                                                                              |       |        |       |       |        | <b>593</b>  |



# 118

Proposals assessed under ESG Policy for Lending in fiscal 2026

# 475

Cases reviewed by the Committee of Directors during the year

# ~₹1,00,000 crores

Total value of proposals reviewed under the ESG Policy for Lending in fiscal 2026

The categorisation of cases reflects the status as of March 31, 2026. It is to be noted that due to material changes in the proposal or project, the categorisation of cases can also change over the duration of the loan.

In fiscal 2022, projects were categorised as A, B+, B, C, FI under our ESG Policy for Lending. We undertook a self-assessment of the policy under the IFC's ESMS diagnostic tool, which benchmarks environmental and social management systems (such as our ESG Policy for Lending) against IFC's performance standards and global best practices. The tool evaluates based on nine parameters, such as policy, due diligence, governance, capacity, and the control environment, categorising them as 'State of the Art', 'Developed', and 'Emerging'. Our ESG Policy for Lending scored 'State of the Art' on four parameters and 'Developed' on three.



The summary of project categories and due diligence under the policy are accessible:

[www.axis.bank.in/docs/default-source/default-document-library/document-lists/our-policies/esg-policy-and-procedure.pdf](http://www.axis.bank.in/docs/default-source/default-document-library/document-lists/our-policies/esg-policy-and-procedure.pdf)

## Cases highlighting Environmental and Social Due Diligence (ESDD) conducted under the ESG Policy for Lending

### Case study

#### Environmental and social risk assessment in e-bus portfolio

Axis Bank has financed electric buses (e-buses) and charging infrastructure to support intra-city public transport across multiple states. While aligned with low-carbon mobility, the Bank conducted a comprehensive Environmental and Social (E&S) risk assessment to strengthen portfolio risk management.

Key risk areas assessed included:

- ▶ Physical climate risks affecting e-bus depots and charging infrastructure
- ▶ Electric vehicle (EV) battery-related fire risks
- ▶ Road safety considerations
- ▶ Gender-Based Violence and Harassment (GBVH) risks in public transport settings
- ▶ Supply chain risks associated with EV components and infrastructure
- ▶ Water usage risks, particularly in regions classified as high water stress zones

A key focus was evaluating Emergency Preparedness and Response Plans (EPRP) for on-road operations to ensure passenger safety and operational resilience. This approach reflects the Bank's commitment to embedding strong E&S safeguards and ensuring its clean mobility investments are both sustainable and responsible.

### Case study

#### Enhanced due diligence in renewable energy lending

Axis Bank has supported large-scale renewable energy projects as part of its low-carbon transition. Despite the sector's 'White Category' classification and limited regulatory requirements, the Bank undertook rigorous due diligence to identify and mitigate risks across the project lifecycle.

Key assessment areas included the following:

- ▶ Labour and working condition risks within the supply chain
- ▶ Biodiversity risks arising from project and surrounding activities
- ▶ Land acquisition and involuntary resettlement risks, including stakeholder grievances
- ▶ Community and stakeholder grievance management mechanisms
- ▶ Potential microclimatic impacts such as the albedo effect (changes in surface reflectivity)

The Bank conducted biodiversity assessments using IBAT aligned with IUCN standards, alongside detailed avian studies to assess species, habitats, and environmental impacts. This reflects Axis Bank's commitment to exceeding regulatory norms and ensuring renewable investments are environmentally responsible and socially sustainable.

In 2021, under the oversight of the ESG Committee of the Board, the Bank committed to accelerating its lending activities towards defined sustainability goals. In fiscal 2026, the public target for ESG-aligned lending under Wholesale Banking was achieved, and revised its public targets for Retail Two-wheeler and Four-wheeler EV lending upwards and remains on track in line with the revised targets. The Bank shall continue to review these targets periodically, considering the evolving macroeconomic environment and sectoral developments across both the Wholesale Banking and EV lending portfolios. The targets, along with the Bank’s performance against them in fiscal 2026, are presented here.



| Target                                                                                                                                                                          | Fiscal 2026 achievements                                  |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------|
| <div>₹60,000 crores</div> <div>Incremental financing under Wholesale Banking to sectors with positive social and environmental outcomes by fiscal 2030 (from fiscal 2021)</div> | <div>₹61,348 crores</div>                                 |
| Revised target                                                                                                                                                                  | Fiscal 2026 achievements                                  |
| <div>8%</div> <div>Increase in share of EV loans in two-wheeler loan portfolio by 2027*</div>                                                                                   | <div>9.01%</div> <div>Penetration* for two-wheelers</div> |
| <div>7%</div> <div>Increase in share of EV loans in four-wheeler passenger loan portfolio by 2027*</div>                                                                        | <div>7.2%</div> <div>Penetration* for four-wheelers</div> |

\*Penetration achieved in each fiscal in 4W and 2W segments, respectively

# Scaling the green wholesale portfolio

We continue to strengthen our Wholesale Banking portfolio by expanding lending to sustainable sectors such as renewable energy generation, urban mass transport, electric mobility and green infrastructure. Through this approach, the Bank aims to support the development of low-carbon and future-ready infrastructure while aligning its financing strategy with broader sustainability objectives.

## Decarbonising our lending portfolio

In line with its internal targets, Axis Bank is progressively moderating its exposure to carbon-intensive sectors such as thermal power and coal within its Wholesale Banking portfolio, thus actively aligning with India's Net Zero aspirations. While thermal power is expected to continue to play a role in supporting the country's economic growth over the medium term, the Bank recognises that India's long-term transition to a low-carbon economy will be shaped by accelerated investments in renewable energy, green hydrogen, carbon markets and clean technology innovation.

In this context, Axis Bank remains committed to aligning its financing approach with the evolving energy transition landscape. The Bank also acknowledges that this transition must be inclusive and equitable, ensuring that vulnerable communities and sections of society are not disproportionately impacted in the process.

## 1.4%

Percentage of exposure to thermal power generation and coal mining, logistics and trading in the Bank's total exposure (as of March 31, 2026)

## Impetus to Retail EV financing

In line with its ESG commitments, the Bank has established strategic partnerships with Original Equipment Manufacturers (OEMs) to support the steady growth of Electric Vehicle (EV) adoption. Reflecting its strong ambition in this area, the Bank revised its EV lending targets upward during the year.

## Green Lending Portfolio (in ₹ crores)

|            |  |        |
|------------|--|--------|
| FY 2025-26 |  | 45,511 |
| FY 2024-25 |  | 22,160 |
| FY 2023-24 |  | 18,907 |
| FY 2022-23 |  | 18,142 |
| FY 2021-22 |  | 12,255 |
| FY 2020-21 |  | 9,753  |

The target share of EVs in the two-wheeler loan portfolio has been increased from 6% to 8%, while the target share in the four-wheeler passenger vehicle loan portfolio has been raised from 4% to 7%, both by 2027 (measured as the percentage share of EVs in rupee terms). This upward revision underscores the Bank's commitment to enabling cleaner mobility solutions and supporting India's transition towards a lower-carbon transportation ecosystem.

## 22,400

EV loans offered in fiscal 2026

The Bank promotes EV adoption through a combination of customer-focused offerings and strategic partnerships with OEMs. A market-leading interest rate discount of up to 0.5% for retail EV customers, coupled with special arrangements with select OEMs and higher payout structures, has helped strengthen the Bank's EV financing proposition.

During the year, the Bank further deepened its engagement with EV ecosystem participants, including dealers, manufacturers and other stakeholders in the commercial EV segment. These partnerships have enabled the Bank to expand its reach and remain responsive to sectoral developments such as advancements in battery technology and changes in subsidy support.

Reflecting its continued confidence in the sector, the Bank has also communicated to the ESG Committee its intention to set fresh targets for EV financing across two-wheeler and four-wheeler loan portfolios.



## Partnering to accelerate EV transition in India

Axis Bank continues to play a pivotal role in accelerating India's electric mobility transition through innovative, guarantee-backed financing structures. Under its guarantee agreement with GuarantCo, it is enabling scalable capital deployment across both retail EV adoption and electric public transportation. From supporting green bond issuances for electric two-wheelers to financing large-scale e-bus fleets under government programs, the Bank is actively deepening its presence across the EV value chain.

### Muthoot Capital's ₹1.5 billion Green Bond Issuance

In 2025, in association with GuarantCo under the broader Axis Bank e-mobility framework, Muthoot Capital Services Ltd. raised a ₹1.5 billion listed green bond, backed by a 65% partial guarantee from GuarantCo. The financing is to be used for on-lending to customers for the purchase of new electric two-wheelers, thus supporting the growth of the e-mobility ecosystem.

### Extending ₹2.22 billion loan to Chartered Speed

In December 2025, under its partnership with GuarantCo, the Bank approved a ₹2.22 billion loan (currently ₹10 million has been disbursed) for CSL Mobility I Pvt. Ltd. (subsidiary of Chartered Speed Limited) under the PM e-Bus Sewa scheme. Backed by GuarantCo's 66.66% partial credit guarantee, this financing will support the scaling and operation of a 300+ fleet of e-buses and associated charging infrastructure across four cities in Chhattisgarh and one city in Meghalaya, advancing clean public transport in India.

## Axis Bank: Consistently at the forefront of sustainable financing in India

Axis Bank's sustainable financing journey reflects a sustained effort to build frameworks, access capital, and support thematic financing aligned with climate and broader sustainability priorities. Over the years, the Bank has marked several important milestones in this space.

- 2016** ↓ **First Indian bank to issue Green Dollar Bond**  
 In 2016, Axis Bank became the first Indian bank to establish a Green Framework and raise \$500 million through a Green Dollar Bond, while also maintaining a Green Register to track project allocations and utilisation.
- 2021** ↓ **First Asian Bank to raise ESG-complaint Dollar AT1 Bond (\$600 million in 2021)**  
 In 2021, the Bank further strengthened its sustainable finance architecture by implementing its Sustainable Financing Framework and raising an Environmental, Social and Governance (ESG)-compliant Additional Tier 1 Dollar Bond of \$600 million, with Sustainalytics serving as the Third-Party Opinion provider. The framework also supported diversification of sustainable funding sources through dollar loans from foreign banks, including HSBC and MUFG.
- 2022/23** ↓ **RBI issued Sovereign Green Bond Framework (Nov 2022)**  
 In fiscal 2023, the Reserve Bank of India came up with its inaugural Green Bond Issuance and the Bank participated actively in such issuances.
- 2024** ↓ **IFC's largest Green and first Blue Loan (\$500 million loan) (Sept 2024)**  
 More recently, in September 2024, Axis Bank secured the International Finance Corporation's largest Green Loan and first Blue Loan of \$500 million, reflecting the Bank's commitment to both climate and water sustainability across areas such as renewable energy, energy efficiency, and water and sanitation.

## Green Retail Products

### Green Home Loans

In November 2023, Axis Bank partnered with Mahindra Lifespace Developers Limited to provide home loans for green homes, enabling Mahindra Lifespaces customers to access home loans at interest rates 0.25% lower than standard home loan rates. The collaboration also features a seamless application and disbursement process with reduced paperwork, supporting efficient document management and lower paper use.



Through this partnership, the two organisations aim to encourage customers to choose sustainable housing projects and adopt eco-friendly practices in their daily lives. Mahindra Lifespaces stated that its portfolio is 100% green and that it is committed to building only Net Zero homes from 2030 onward.

### Rooftop solar

In fiscal 2026, Axis Bank continued to strengthen its green financing portfolio by expanding rooftop solar financing across multiple customer segments. The Bank supported the clean energy transition in the agricultural sector through its PM KUSUM offering, enabling financing for solarisation-related investments under the Government's renewable energy program. It also scaled support for enterprises through the Axis Bank MSME Rooftop Solar Finance Scheme, helping MSMEs adopt rooftop solar solutions and improve energy efficiency.



For residential customers, the Bank further advanced sustainable retail lending through its green home loan proposition, supporting the integration of environmentally responsible features within home financing solutions.

In addition, Axis Bank entered into an MoU with SIDBI under the GIFT Scheme to deepen green investment financing, including support for renewable energy, green buildings, transport and energy-efficient assets. Through these initiatives, the Bank is enabling wider adoption of clean energy solutions while contributing to India's low-carbon and inclusive growth agenda.

## Other marquee transactions

### Sustainable Club Loan of \$150 Mn from HSBC & MUFG

The Bank concluded a Sustainable Club Loan from HSBC and MUFG for a total of \$150 million in GIFT City branch in May 2023, aligned with its Sustainability Financing Framework\*.

### \$200 million bilateral loan from MUFG under the Sustainable Financing Framework

The Bank availed a \$200 million bilateral loan from MUFG in March 2024 aligned to its Sustainable Financing Framework. The purpose of the loan is to finance and/or refinance eligible green projects and/or eligible social projects.

### Lead arranger in Biocon's acquisition of Viatriis

Axis Bank was the lead arranger for a sustainability-linked loan in the pharmaceuticals and biomanufacturing sector in the Asia-Pacific region, with the proceeds earmarked to support Biocon Biologics' acquisition of the global Biosimilars business of its partner, Viatriis Inc. This is one of the largest outbound cross-border M&A financings from India.

## Engagement with subsidiary entities

Under the One Axis framework, the Bank works closely with its business segments and subsidiaries to strengthen ESG understanding, alignment, and implementation across the wider Axis ecosystem. Through regular engagements with subsidiary companies, it helps build their ESG capabilities, share best practices, deepen awareness of emerging priorities, and foster a 'One Axis' approach to sustainable value creation. These interactions help enhance preparedness, encourage knowledge exchange, and support the Bank's collective efforts to embed ESG considerations more effectively across the Group.



\*Read about our Sustainable Financing Framework:

<https://www.axis.bank.in/docs/default-source/default-document-library/axis-bank-sustainable-financing-framework.pdf>

# Governance

At Axis Bank, governance combines oversight, accountability, and ethical conduct to strengthen trust and support the long-term sustainability of our franchise.







# Institutional excellence through a disciplined approach

Enduring value is created when leadership is anchored in transparency, rigorous oversight, and responsibility. Our governance framework helps ensure that every decision reflects integrity and fairness and upholds long-term stakeholder interests. Beyond mere compliance, this model reinforces our corporate culture, clarifies accountability, and strengthens institutional resilience.



## Material Issues Linkage

M1

M2

M3

## Capital Linkage



## UN SDGs Linkage



At Axis Bank, our governance framework serves as a strategic compass, guiding decision-making, risk oversight and ethical conduct within a dynamic banking landscape. Built upon principles of transparency and fairness, this model ensures prudent expansion while upholding the highest standards of integrity and stakeholder confidence.

Our model includes an experienced and diverse Board, specialised Committees of the Board, disciplined leadership, robust control functions and clear lines of accountability, all of which safeguard stakeholder interests and promote sustainable growth and value creation.

## Governance at a glance

13

Directors on the Board

23%

Women's representation on the Board

8

Independent Directors

>99%

Average attendance at Board meetings

61.54%

Board independence

10 of 11

Committees chaired by Independent Directors\*

3

Women Directors

\*Excluding the Committee of Whole-Time Directors and the Review Committee, which cannot be chaired by an Independent Director.

## Why this matters

Governance is central to how we preserve trust, maintain regulatory rigour, strengthen oversight, and create enduring value for customers, shareholders & investors employees, regulators, and communities.

## A governance framework designed for clarity, oversight and disciplined execution

Our governance framework is anchored in transparency, accountability and ethical conduct, reflecting our value system across every layer of our culture, policies and stakeholder relationships. With a commitment to responsible leadership and openness to scrutiny, it clearly defines roles, responsibilities and reporting structures across the Board, Board Committees, executive leadership, management and operating functions.

The Bank's governance structure is multi-tiered, enabling a strong balance between strategic guidance, independent oversight, disciplined execution and operational accountability. This ensures that decisions are aligned with the Bank's purpose, risk appetite and long-term strategic priorities, while responsibility remains clearly assigned at every level.

### Multi-tiered governance architecture



#### Beyond compliance

The Bank believes in going beyond the law to uphold best-in-class corporate governance practices, supported by strong Board processes, internal control systems and a rigorous audit mechanism.

#### Governance supports value creation

Clear Accountability | Strong Oversight | Ethical Conduct | Effective Risk Governance | Better Institutional Resilience

## A Board shaped by independence, diversity and depth of expertise

The Board is constituted in accordance with the relevant provisions of the Companies Act, 2013; the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015; the Banking Regulation Act, 1949; the RBI guidelines; the Articles of Association of the Bank; and other applicable laws and amendments as notified by the regulators from time to time. Its composition ensures a combination of executive insight, independent judgement, sectoral knowledge and long-range strategic perspective.

As of March 31, 2026, the Board comprised 13 Directors, including the Managing Director & CEO, three Executive Directors, eight Independent Directors and one Nominee Director from the Life Insurance Corporation of India, the Bank's promoter. The Board continues to be led by an Independent Director and Part-time Chairman, reinforcing the strength of balanced oversight and independent governance.

### Board profile

- ▶ 62 years – average age of the Board
- ▶ 10 Directors with more than 35 years of experience
- ▶ 7.5 hours of training attended by Directors

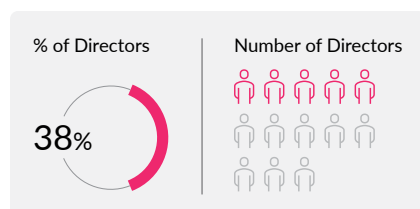
### Board tenure

- ▶ 9 Directors with tenure of less than 4 years
- ▶ 2 Directors with tenure of 4–6 years
- ▶ 2 Directors with tenure of more than 6 years

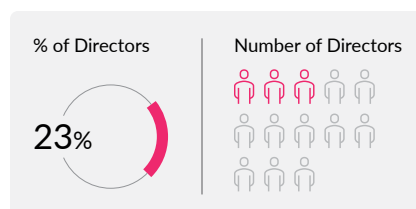
## Diverse Board skills

We believe that a diverse and engaged Board is essential to long-term success. Our Board brings together distinguished professionals with experience across diverse fields, including finance, banking, risk management, information technology, business management, human resources, law, agriculture, & rural economy, small-scale industry and others. This breadth enables more informed oversight of both current priorities and future transitions.

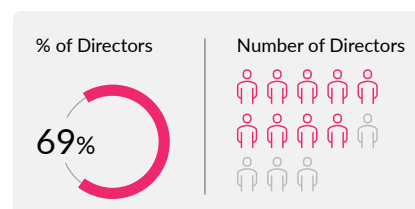
### Accountancy



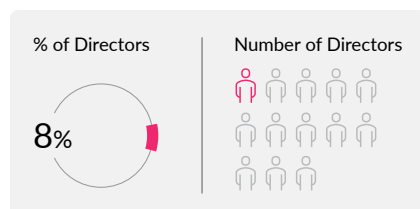
### Agriculture & Rural Economy



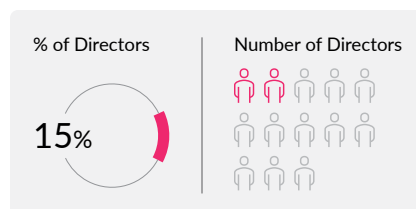
### Banking



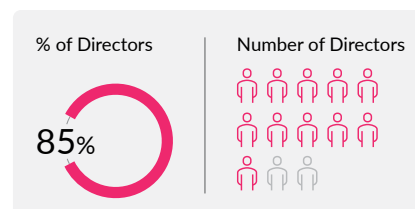
### Co-operation



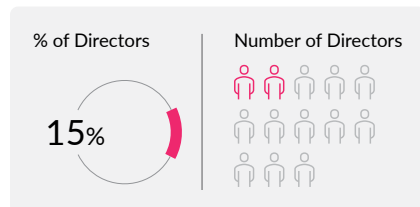
### Economics



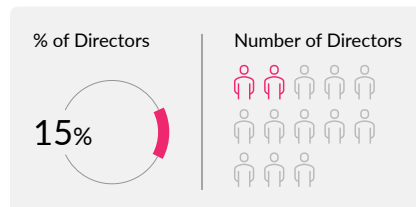
### Finance



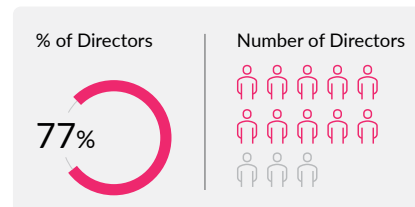
### Law



### Small-Scale Industry

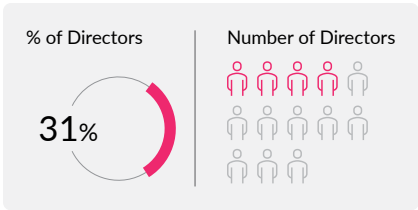


### Information Technology

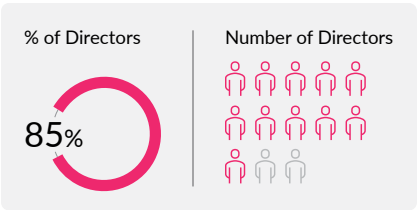




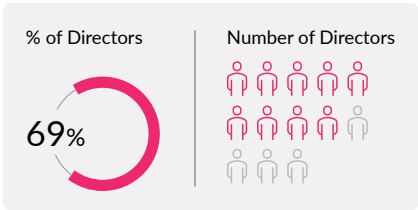
Payments & Settlement System



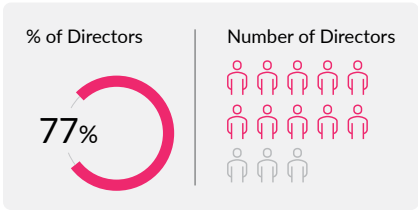
Human Resources



Risk Management



Business Management



Committee oversight that deepens rigour across the Bank’s material priorities

To enable focused deliberation and more effective oversight, the Board has constituted several Board-level Committees. These ensure a detailed review of matters critical to the Bank’s resilience, service quality, digital readiness, stakeholder trust and responsible growth. Committee Chairpersons regularly brief the Board on key discussions and outcomes, ensuring continuity of oversight and informed governance at the highest level.

Stewardship, Assurance and Control

Audit Committee

Reviews audit findings, internal controls, compliance matters, functioning of the whistleblower and vigilance mechanism, related party transactions and financial reporting integrity. It also oversees the appointment of auditors, the Group Chief Compliance Officer, and the Group Chief Audit Executive.

Capitals impacted



Stakeholders impacted



Special Committee of the Board of Directors for Monitoring and Follow-up of cases of Frauds

Monitors fraud cases, staff accountability, and the functioning of the Fraud Review Council, ensuring systemic corrections and timely reporting to regulators.

Capitals impacted



Stakeholders impacted



### Risk Management Committee

Oversees the Bank's risk strategy, risk appetite, risk management policies, monitors limits across risk categories and reviews the appointment of the Chief Risk Officer.

#### Capitals impacted



#### Stakeholders impacted



### Review Committee

Considers proposals relating to the classification of borrowers as wilful defaulters.

#### Capitals impacted



#### Stakeholders impacted



## Strategy, technology and future-readiness

### IT and Digital Strategy Committee

Oversees IT strategy, cybersecurity incidents, technology alignment with business objectives, IT operations and digital transformation journey.

#### Capitals impacted



#### Stakeholders impacted



### Committee of Directors

Oversees credit policy, exposures, settlements, treasury investments and critical business proposals.

#### Capitals impacted



#### Stakeholders impacted



### Environmental, Social and Governance Committee

Guides the Bank's ESG strategy, highlights material ESG issues, reviews ESG-related policies and advises on performance metrics and targets.

#### Capitals impacted



#### Stakeholders impacted



### Acquisitions, Divestment and Mergers Committee

Reviews and recommends proposals relating to mergers, acquisitions, strategic investments and divestments.

#### Capitals impacted



#### Stakeholders impacted



## People, stakeholders and service governance

### Nomination and Remuneration Committee

Oversees Board and senior management composition, performance, remuneration and human resource strategy.

#### Capitals impacted



#### Stakeholders impacted



### Stakeholders Relationship Committee

Oversees security holder grievances and adherence to service standards.

#### Capitals impacted



#### Stakeholders impacted



**Customer Service Committee**

Reviews complaints, customer-centric policies, initiatives to enhance customer service standards and the overall customer experience.

**Capitals impacted****Stakeholders impacted****Corporate Social Responsibility Committee**

Oversees CSR strategy, CSR projects, fund allocation and alignment with the Bank's social and environmental commitments.

**Capitals impacted****Stakeholders impacted**

The Bank has additionally established a Committee, comprising the Whole-Time Directors (i.e. the Committee of Whole-Time Directors), to oversee delegated operational, administrative, and business matters.



Read more about the Committees in the [Statutory Reports section from page 301-312 forming part of this report.](#)

## A culture anchored in ethics, compliance and accountability

Our policy framework aims to strengthen integrity, fairness, accountability, and responsible decision-making in daily actions.

### Our policies

#### Code of Conduct and Ethics

Our Code of Conduct and Ethics embodies the Bank's dedication to ethical conduct and integrity, and commitment to its fundamental values. It delineates expectations for employee behaviour, promotes adherence to regulatory standards, and establishes mechanisms for reporting ethical violations. New employees acknowledge the Code, while current personnel reaffirm their commitment annually.

#### Whistleblower and Vigil Mechanism

The Bank upholds a strict zero-tolerance policy regarding violations of the Code of Conduct and the Ethics Policy. Its Whistleblower Policy and vigil mechanism facilitate the reporting of fraudulent, illegal, corrupt, or unethical conduct while safeguarding the whistleblower's anonymity and interests through a dedicated online platform.

#### Anti-corruption and Anti-bribery

The Vigilance function of the Bank is overseen by a Board-approved policy and led by the Chief of Internal Vigilance. This role entails promoting preventive vigilance, assisting in policy development, and reporting to the Audit Committee. Principal initiatives include Vigilance Awareness Week,

annual staff declarations, training programs, and measures to ensure that service providers also adhere to vigilance standards.

#### Conflict of Interest Policy

The policy aims to identify, prevent, and manage conflicts between employees and stakeholders. Employees are expected to avoid situations that compromise objectivity, to prioritise the Bank's interests, and report potential conflicts to the Ethics Department.

### Strengthening compliance in a demanding regulatory environment

During fiscal 2026, the regulatory environment for Indian banking continued to evolve, with an increased emphasis on financial stability, digital resilience, customer protection, data privacy, governance discipline, and responsible banking. In response, the Bank continued to enhance its compliance framework, refine regulatory oversight, and reinforce enterprise-wide accountability.

The Compliance function provides critical support to the Board and senior management through periodic updates on regulatory developments, compliance risk exposures, and emerging vulnerabilities. Additionally, the Bank has utilised technology to automate regulatory tracking, compliance monitoring, and reporting, thereby enhancing visibility and responsiveness across the organisation.

### People's capability in compliance

In fiscal 2026, the Bank conducted a comprehensive assessment of its compliance staffing and skill sets. It enhanced its capabilities through targeted recruitment and training initiatives, ensuring that each business sector is supported by advisory resources with the appropriate regulatory expertise.

### Group governance and 'One Axis' alignment

As a financial conglomerate, the Bank has enhanced oversight across its subsidiaries through a more cohesive Group governance framework. This encompasses policy alignment, Group-level compliance monitoring, review of licensing conditions, structured oversight by the Subsidiary Governance Committee, and coordinated guidance from the Group Chief Compliance Officer. This strategy underpins the 'One Axis' philosophy by fostering enhanced conduct, aligned regulatory engagement, and integrated compliance oversight throughout the Group.

### Building a resilient, trusted and fraud-resistant Bank

Safeguarding against fraud and money laundering is vital for customer trust, regulatory confidence, and financial system integrity. As digital banking grows, the Bank continues to improve governance, analytics, technology, and awareness to help customers transact with confidence and to make it more difficult for fraudsters to exploit systems.

The Financial Crime Intelligence function draws its mandate from the Bank's commitment to ethical conduct, regulatory compliance, and customer trust. Our fraud risk management strategy is founded on sustained investment in advanced controls, data intelligence, analytics, AI-enabled detection, and proactive risk management. Rather than merely mitigating risk, we aim to position fraud prevention as a significant differentiator for the Bank.

During fiscal 2026, the Bank reinforced its fraud prevention framework by implementing customer-controlled digital security features, zero-trust onboarding procedures,

layered authentication protocols, 24/7 real-time transaction monitoring, enterprise analytics, and ecosystem-level interventions to combat scams, phishing, and cybercrime. Additionally, the Bank continued investing in more robust Anti-Money Laundering (AML) monitoring and enhanced due diligence through AI-driven and workflow-led systems.

### Six pillars of the Fraud Prevention Framework

Customer empowerment and control



Zero-trust onboarding and identity verification



Robust authentication and access security



Real-time transaction monitoring



Data-driven analytics and automation



Ecosystem-level fraud prevention





# Building resilience in a changing world

As the operating environment grows more complex, resilience becomes defined by strong judgement and governance. At Axis Bank, we see risk management as a strategic lever for sustainable growth, enabling us to anticipate emerging risks, respond with agility, and advance with confidence and responsibility.

In an environment characterised by regulatory change, rapid digital transformation, evolving customer behaviours and climate change, our approach to risk management remains proactive, disciplined, and thoroughly integrated into decision-making processes.

## Risk Management Framework

Our approach to risk management extends beyond merely safeguarding assets; it aims to reinforce confidence in each decision. Founded on clearly articulated governance structures, comprehensive policies, disciplined oversight, and collective accountability, our Risk Management Framework empowers the Bank to anticipate uncertainties, respond proactively, and pursue opportunities with responsibility.

The framework facilitates the proactive identification, evaluation, monitoring, and mitigation of risks across the organisation. Supported by an independent Risk function and strict Board oversight, this framework enhances resilience across the Bank's business units, operational processes, and digital ecosystem.

## Risk Governance Structure

The Board of Directors maintains overarching responsibility for risk oversight. This obligation is exercised directly through the Board's Risk Management Committee (RMC), which serves as the primary authority for risk governance at the Board level. The RMC is supported by an independent Risk function led by the Chief Risk Officer (CRO), ensuring risk considerations remain integrated into strategic and operational decision-making.

At the executive level, specialised committees provide targeted oversight across critical risk domains. These include the Credit Risk Management Committee, Operational Risk Management Committee, Asset and Liability Management Committee, Information Systems Security Committee, Central Outsourcing Committee, Business Continuity Planning Management Committee, APEX Committee, Subsidiary Governance Committee, and Enterprise & Group Risk Management Committee. Collectively, these committees promote enterprise-wide vigilance, prompt escalation, and disciplined implementation of authorised policies and frameworks.



Board of Directors Ultimate Oversight



Risk Management Committee Primary Risk Governance



Chief Risk Officer (CRO) and Independent Risk Function Strategic &amp; Operational Integration



Executive Level Committees

Credit Risk Management  
Committee (CRMC)Information Systems Security  
Committee (ISSC)

Apex Committee

Operational Risk Management  
Committee (ORMC)

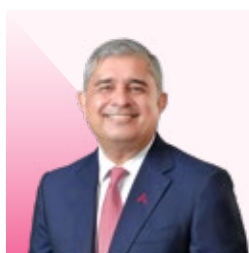
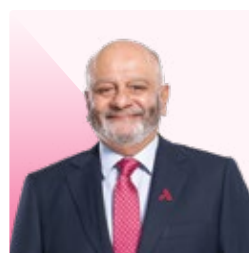
Central Outsourcing Committee (COC)

Subsidiary Governance Committee (SGC)

Asset & Liability Management  
Committee (ALCO)Business Continuity Planning  
Management Committee (BCPMC)Enterprise & Group Risk Management  
Committee (EGRMC)

Enterprise-Wide Risk Visibility | Timeline Escalation | Disciplined Execution

## Risk Management Committee members

**G. Padmanabhan**Chairperson,  
Independent Director**Amitabh Chaudhry**Managing Director  
& CEO**Girish Paranjpe**Member,  
Independent Director**Pranam Wahi**Member,  
Independent Director**Munish Sharda**Member,  
Executive Director

### Key achievements of RMC in fiscal 2026

- ▶ Enhanced governance around risk appetite
- ▶ Stress testing framework
- ▶ Strengthened cybersecurity
- ▶ Enhanced monitoring for unsecured lending, including models
- ▶ Regulatory reporting enhancement
- ▶ Risk & compliance culture

### Key focus areas for fiscal 2027

- ▶ Process simplification
- ▶ Ensuring cybersecurity
- ▶ More focus on unsecured lending, Bharat & Digital
- ▶ AI-led processes and technology
- ▶ Risk & compliance culture

Proactive management of these issues will contribute to credit-led growth in the retail space while maintaining a necessary focus on cybersecurity, technological resilience, and the embedding of sustainability through a robust risk culture.

## Foundational pillars of Risk Management

### Risk philosophy

At Axis Bank, risk management is regarded as a collective responsibility. We acknowledge that trust is priceless; consequently, adherence to compliance standards, integrity, and safeguarding stakeholder interests are imperative. This understanding cultivates a culture where prudent behaviour and responsible development coexist harmoniously.



### Risk appetite and policies

A clearly defined risk appetite, approved by the RMC and the Board, supports informed decision-making across the organisation. Board-approved policies transparently define our risk-taking boundaries, while executive committees and the Risk Management Department ensure disciplined implementation.



### Risk identification and mitigation

The Risk Management Department monitors emerging risks vigilantly and reports them through established mechanisms such as ICAAP and risk dashboards. In close coordination with business units, it facilitates prompt mitigation measures and promotes greater ownership of risk in daily operations.



### Risk culture

A robust risk culture is reinforced at all levels of the Bank. The Board and senior management lead by example, while the Compliance function and Risk Management Department help embed accountability, transparency, and openness across the enterprise.



## Managing material risks with discipline and depth

Our Risk Management Framework is designed to address material risks proactively through clear accountability, defined methodologies, and regular review. Across financial and non-financial risks alike, our objective is to protect balance sheet strength, preserve stakeholder confidence, and support responsible growth in a changing operating environment.

### Credit Risk

Credit risk is the potential financial loss arising when a counterparty, such as a customer, borrower, or security issuer, fails to fulfil contractual obligations. Our credit risk management aims to maintain asset quality and control concentration risk across both individual exposures and the overall portfolio.



#### Capitals impacted



#### Risk status



#### UN SDGs impacted



#### Mitigation measures

**Wholesale Banking:** Internal ratings form the core of our risk management, guiding risk acceptance, setting exposure limits, supporting sanction approvals, informing pricing, and determining review cycles.

**Retail portfolio:** Product-specific scorecards are employed for retail clients, including small businesses and small agricultural borrowers. An independent validation team rigorously assesses these credit models to ensure strong discriminatory power, accurate calibration, and sustained performance over time.

### Market Risk

Market risk stems from potential losses in both on- and off-balance sheet positions due to movement and volatility in market prices, which can affect the Bank's earnings and capital. Key drivers include changes in interest rates, equity prices, and foreign exchange rates. This risk primarily stems from our trading and investment activities, conducted for both client facilitation and proprietary purposes.



#### Capitals impacted



#### Risk status



#### UN SDGs impacted



#### Mitigation measures

**Comprehensive framework:** The Bank's market risk management framework is guided by well-defined policies and processes for identifying, measuring, monitoring, and reporting exposures within its risk appetite.

**Independent oversight:** RMD monitors portfolios independently, ensuring adherence to risk limits and timely reporting of deviations.

**Measures:** The Bank uses statistical tools like VaR, stress tests, back tests, and scenario analyses, along with non-statistical measures like position limits, mark-to-market (MTM) evaluations, and stop-loss limits to manage risk.

**VaR methodology:** VaR is calculated through historical simulation at 99% confidence over a one-day horizon, based on 250 days of data, and supplemented with regular backtesting and stress tests.



Increase in Risk



No change



Liquidity Risk

Liquidity refers to a bank's ability to finance asset growth and fulfil expected and unexpected cash and collateral obligations at a reasonable cost. Liquidity risk arises when the bank cannot meet these obligations without compromising its financial condition.



Capitals impacted



Risk status



UN SDGs impacted



Mitigation measures

**Comprehensive framework:** The Bank's Asset Liability Management (ALM) Policy details a comprehensive liquidity risk management system, supported by supplementary policies on intraday liquidity, stress testing, contingency funding, and branch-level liquidity.

**Monitoring & oversight:** Liquidity profiles are assessed through static and dynamic gap analyses, key ratios, and stress testing, with continuous supervision by the ALCO and the RMC.

**Regulatory adherence:** The Bank complies with RBI guidelines and Basel III requirements, such as the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR), ensuring metrics remain within regulatory norms and the Bank's risk appetite.

Operational Risk

Operational risks can arise from inadequate or missing controls within internal processes, personnel management, and systems, as well as from external events or a combination of these factors.



Capitals impacted



Risk status



UN SDGs impacted



Mitigation measures

**Comprehensive ORM Policy and governance:** A structured Operational Risk Management (ORM) Policy guides proactive risk identification, assessment, mitigation, and risk monitoring, reinforced by a clear governance framework.

**Evaluation and Committee oversight:** All new products, processes, and changes undergo rigorous risk assessment by the Operational Risk team, with support from Product/Change Management Committees and the Outsourcing Committee. The Information System

Security Committee oversees risks related to information systems.

**Measurement system and continuous enhancement:** A dedicated Operational Risk Measurement System documents, assesses, and periodically reviews risks and controls across all business lines.

## Information and Cyber Security Risks

Information and cybersecurity risks for banks arise from the possibility of unauthorised access, manipulation, or theft of sensitive data and assets. Cybersecurity breaches, whether through hacking, phishing, or malware, can disrupt services, compromise customer information, and erode trust in the Bank's operations. Strong security measures, such as encryption, multi-factor authentication, and regular audits, protect the institution and its customers from evolving cyber threats.



### Capitals impacted



### Risk status



### UN SDGs impacted



### Mitigation measures

#### Robust framework and governance:

The Bank has established a comprehensive information and cyber security framework to address risks arising from unauthorised access, misuse, manipulation, or loss of sensitive data and digital assets. Oversight is maintained by the Information System Security Committee in accordance with defined policies, standards, and oversight mechanisms aligned to recognised regulatory and industry frameworks, including NIST, ISO/IEC 27001, ISO/IEC 27017 (cloud security controls), ISO/IEC 27018 (protection of personally identifiable information in cloud environments), ISO/IEC 27034 (application security), ISO/IEC 42001 (AI management systems), and PCI DSS. These frameworks ensure alignment with evolving threat scenarios, emerging technologies, and regulatory expectations.

#### Proactive security measures:

The Bank has implemented a combination of technical and administrative controls to mitigate cybersecurity risks and

protect the confidentiality, integrity, and availability of systems and data. These include strong access controls, encryption, secure configuration standards, and identity and authentication mechanisms. Prior to deployment of IT infrastructure or applications, security reviews, vulnerability assessments, and penetration testing are conducted to identify and address weaknesses.

#### Defence-in-Depth and 24x7 Monitoring:

A layered defence-in-depth approach is adopted, supported by continuous monitoring through 24x7 Security Operations Centres (SOC). This enables timely detection and response to cyber threats and suspicious activities, thereby reducing the likelihood and impact of service disruption, data compromise, and cybersecurity incidents. The Bank also engages with regulators and industry bodies to strengthen cyber resilience and implement recommended security measures.



Increase in Risk



No change

Climate Risk

Climate risks broadly fall into two categories:

**Physical Risks:** This category includes both chronic and acute impacts of climate change. Chronic risks involve long-term changes in temperature, precipitation patterns, agricultural productivity, and sea levels, whereas acute risks encompass more immediate events, such as heat waves, floods, cyclones, and wildfires.

**Transition Risks:** These arise from shifts in policy, regulation, technology, or consumer preferences as the world moves toward a low-carbon future.



Capitals impacted



Risk status



UN SDGs impacted



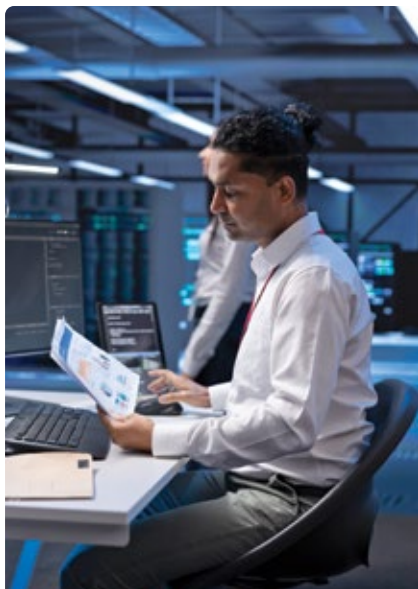
Mitigation Measures

**Global framework alignment and climate risk integration:** The Bank publishes TCFD-aligned disclosures in line with RBI guidelines, recognising climate risk as a factor that impacts credit, operational, market, reputational, and liquidity risks. Through scenario analyses and stress testing, we monitor physical and transition risks, with the oversight of the ESG Committee.

**Robust governance and strategic oversight:** Since 2021, the ESG Committee has guided the Bank's approach to climate and ESG risks, focusing on high-transition-risk sectors and natural hazards to strengthen risk management and resilience across retail, rural, and SME portfolios.

**Building capabilities and fostering a climate-conscious culture:** Our Climate Risk Dashboards and ESG e-modules, along with specialised training, promote climate awareness. Partnership with industry bodies and regulators helps safeguard operations and advance the Bank's broader sustainability goals.

## Other components of Risk Management



### Internal Audit

The Bank's Internal Audit function independently assesses internal controls, governance mechanisms, and risk management practices and reports to the Board on compliance with internal and regulatory guidelines. Guided by the RBI's Risk-Based Internal Audit standards, the function maintains a strategic focus on emerging risks while enhancing its effectiveness through technology-enabled audits and continuous capability development.



### Business Continuity Management

Business Continuity is managed by the Business Continuity Planning Management Committee, which guarantees effective implementation and testing of essential internal operations. Regular exercises and scenario-based reviews help prepare the Bank for disruptions and ensure continuous service and operational resilience.



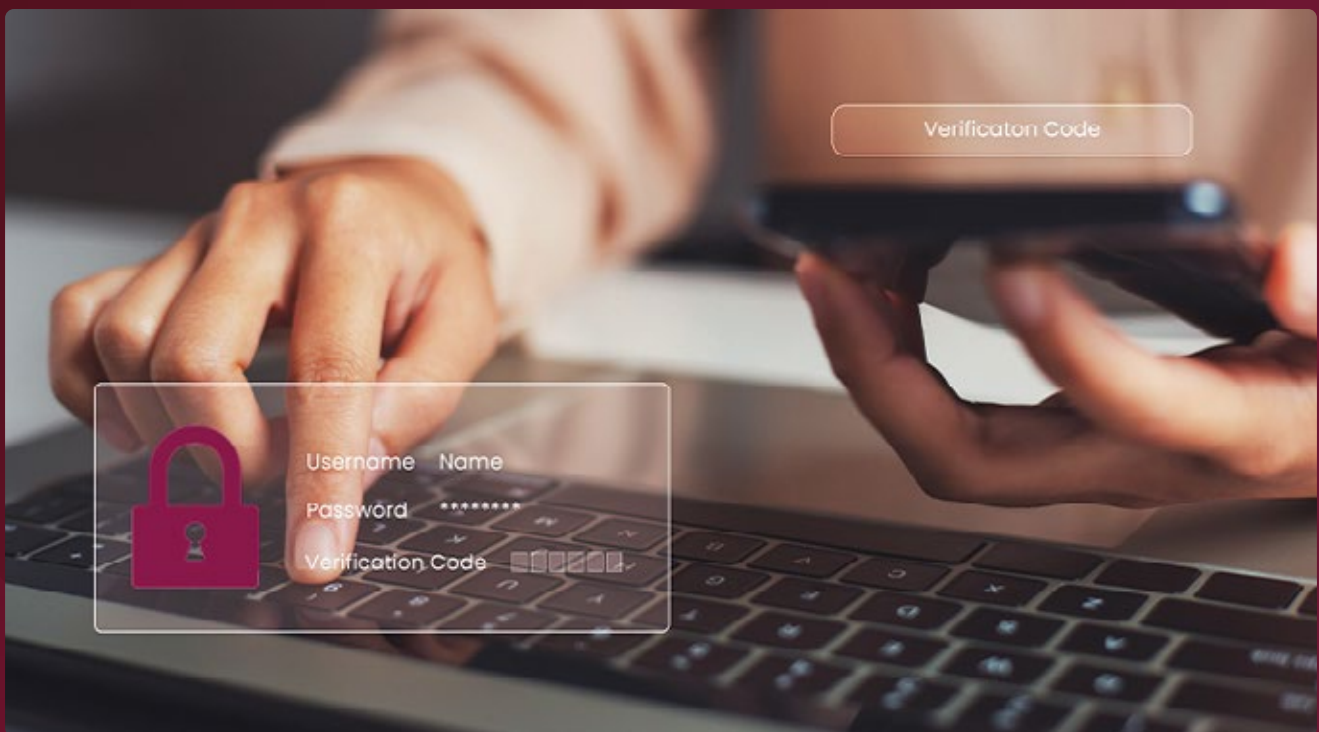
### Fraud Detection and Mitigation

Guided by a comprehensive Fraud Risk Management Policy, the Bank maintains robust processes and systems to prevent, detect, investigate, and respond to fraud risks. Real-time transaction monitoring, enterprise-wide AML systems, prompt alert generation, and dedicated fraud management platforms enhance cross-channel surveillance and enable timely intervention.



# Security you can bank on

At Axis Bank, openness in banking is anchored in uncompromising security. Our cybersecurity and data privacy framework ensures that while digital engagement deepens, customer trust remains protected through strong governance, intelligent controls and resilient systems.



## Material Issues Linkage



## Capital Linkage



## UN SDGs Linkage



During fiscal 2026, the Bank bolstered its core infrastructure of trust and security by improving fraud prevention, enhancing authentication across digital touchpoints, tightening governance around in-house technology development and data platforms. These initiatives, which increased cyber resilience across enterprise systems, helped minimise risk, boost reliability, and ensure that customer data remains protected, well-governed and compliant with evolving regulatory standards.

Our approach is rooted in the conviction that openness in banking must always be supported by rigorous control, vigilance, and accountability. As digital engagement expands through mobile banking, internet banking, payments, APIs, AI-driven services, and cloud-enabled platforms, we continue to incorporate security, privacy, and resilience into every design. By integrating these baseline requirements into our cloud-enabled platforms, we ensure that innovation never comes at the expense of safety.

### Trust, secured at scale

Security and privacy are treated as baseline requirements across all technology operations. Policy-led controls such as role-based access, advanced encryption, and auditable logs help the Bank ensure that digital engagement is both protected and transparent. These measures, alongside stronger authentication, governed data flows, and responsible AI practices, help the Bank deliver digital experiences that are secure, seamless, and dependable.

## Security in action



### High-reliability payments

A commitment to high-reliability infrastructure supports our strong performance in the UPI ecosystem, with high market share and near-zero UPI technical decline.

### Responsible AI leadership

First BFSI organisation to secure ISO/IEC 42001:2023 certification, validating our leadership in responsible AI and robust technology governance.

### Stronger digital authentication

Risk-based checks now strengthen authentication across major digital journeys.



### Governed data foundation

A unified DataMart and centralised servicing of critical data are improving consistency, quality, and control.

### Cyber resilience in action

We have fortified our enterprise defence through enhanced monitoring, automated SOC playbooks, and stronger controls over identity, access, and privileged operations.

### Secure ecosystem expansion

Centralised API control, stronger encryption, and governed inventory management are reinforcing secure data exchange.

## How cyber resilience is engineered across the enterprise

The Bank's cybersecurity employs a layered defence-in-depth model that incorporates policies, technology, governance, and continuous assurance. In an evolving threat landscape, we are proactively enhancing detection, response, and recovery while maintaining oversight across technology, third-party, and customer systems. Cybersecurity and data protection are vital and guided by policies on identity, access management, network security, encryption, monitoring, and data use to ensure compliance with regulations and the Bank's data protection obligations.

In fiscal 2026, the Bank's cyber defence saw major advancements with improved threat detection, automated incident response, vulnerability management, data controls, and governance. Measures such as endpoint hardening, network segmentation, analytics, and monitoring controls have provided enhanced visibility and faster response times. Cyber resilience was further fortified by a Zero Trust security model, which combined continuous monitoring, automated SOC playbooks and privileged access controls to reduce attack surface and threats. To ensure peak readiness, we conduct regular simulations, breach testing, and threat hunting to keep our defences robust.

### Board and management oversight

#### Board-level oversight

- ▶ IT and Digital Strategy Committee
- ▶ Risk Management Committee

#### Management oversight

- ▶ Information System Security Committee
- ▶ Senior management reviews cyber risks, assurance, and compliance

#### Execution and assurance

- ▶ Security Operations Centre
- ▶ Technology, Risk, and Business teams
- ▶ Periodic audits
- ▶ KRI-based monitoring
- ▶ Structured cyber risk reporting

#### How cybersecurity became more robust in fiscal 2026

- ▶ Greater automation in incident response
- ▶ Expanded detection through threat hunting and simulations
- ▶ Tighter control over privileged operations and identity
- ▶ Stronger visibility through micro-segmentation and analytics
- ▶ Deeper oversight across third-party technology providers and cloud environments

### Resilience by design

- ▶ **Zero-Trust in action:** Attack surface reduction, stronger visibility, and better protection against modern threats
- ▶ **Continuous monitoring:** Automated SOC playbooks and always-on security monitoring strengthen response readiness
- ▶ **Advanced testing:** Red teaming, breach-and-attack simulations, and proactive threat hunting expand detection coverage
- ▶ **Cloud and third-party control:** Risk-based onboarding, continuous assessments, and automated external monitoring via cybersecurity rating agencies

## How security is embedded into every digital journey

As customer journeys become more digital and real-time, security must be integrated into the interaction. In fiscal 2026, the Bank upgraded mobile and internet banking with advanced monitoring, an intuitive interface, and new safety tools that give customers more control. With the development of key modules, such as mobile PIN and Safety Centre, entirely in-house, we have reduced reliance on external providers while improving governance, operational agility, and security. Risk-based authentication now supports core digital activities, building trust during onboarding, access, and transactions.

In the Payments domain, the Bank has achieved a high degree of reliability and security within the UPI ecosystem, with near-zero technical failures. AI-driven fraud detection and device biometric checks enhance safety. Additionally, the deployment of Smart Payout APIs enables secure, automated disbursements, improving control and customer experience.

AI-powered service tools speed up query resolution, secure interactions, and improve compliance through voice-enabled workflows and CRM integrations. AI tools also help identify risks early, reduce vulnerabilities, and automate remediation under a strict governance framework.

The Bank strengthens operational reliability with regular disaster recovery drills, Site Reliability Engineering (SRE) practices, automated testing, Infrastructure-as-Code, and centralised log analytics, reducing downtime and improving resilience.

### Key advancements in fiscal 2026

- ▶ **Safer Digital Experiences:** New safety features across mobile and internet banking give customers more control over security settings
- ▶ **Secure Payments at Scale:** Strong UPI performance, with high reliability, high market share, and near-zero technical decline
- ▶ **AI with Accountability:** AI-based bots, voice-enabled workflows, and AI-supported development tools are improving service, security, and compliance
- ▶ **Operational Resilience:** Regular disaster recovery drills, SRE practices, automated testing, and Infrastructure-as-Code are improving continuity and stability
- ▶ **Technology Recognition:** Recognised at the Infosys Finacle Innovation Awards 2025 and ICC Emerging Asia Banking Awards for Best Bank in AI and ML Implementation

## Privacy by design. Compliance by discipline. Trust by practice.

The Bank is continuously enhancing controls, governance, and accountability to protect data in a connected environment. Data protection is strengthened through encryption, data minimisation, tokenisation, and better consent management. Data classification, retention governance, and lineage support responsible data handling. Compliance with data protection laws is ensured through controlled access, API security, and privacy assessments, including the Digital Personal Data Protection framework.

A unified DataMart and improved data tracking ensure consistency, reduce errors, and enhance reporting. Data exchange is safeguarded through strengthened API security, with unified authentication and encryption. Secure coding, automated testing, and modernisation of contact centres and lending platforms further bolster application security and enable a Zero Operations model using low-code, no-code, and AI tools.

The Bank aligns with RBI, SEBI, CERT-In, and global standards, including ISO 27001, ISO 27017, ISO 27034, ISO 27018, NIST CSF, and PCI DSS. We achieved ISO/IEC 42001:2023 certification in fiscal 2026, bolstering our approach to responsible AI governance and security.

### Backed by Certifications

- ▶ ISO 27001:2022 – Information Security Management
- ▶ ISO 27017:2015 – Cloud Security
- ▶ ISO 27034:2011 – Application Security Management
- ▶ ISO 27018:2025 – PII Protection in Public Cloud
- ▶ PCI DSS v4.0.1
- ▶ ISO/IEC 42001:2023 – Artificial Intelligence Management Systems

### Recognition

The Bank's Information Security function received industry recognition at the IBA CISO Summit & Citations 2025 for:

- ▶ Cyber Security Incident Response Maturity
- ▶ Cyber Security Compliance Champion
- ▶ Cyber Security Metrics & Reporting Excellence





# Shaping the future of financial services

We actively contribute to policy and industry dialogue to strengthen the resilience, inclusiveness, and future-readiness of the financial sector. Through strategic engagement with industry bodies, policymakers, academia, and global platforms, Axis Bank continues to offer informed perspectives on issues shaping banking, regulation, digital transformation, sustainability and economic growth.



## Material Issues Linkage

M14

## Capital Linkage



## UN SDGs Linkage



## From engagement to influence

During fiscal 2026, the Bank intensified its advocacy and outreach initiatives by actively participating in leading national and international forums. Axis Bank effectively executed the annual work plan of the FICCI National Banking Committee, under the stewardship of Amitabh Chaudhry, the Bank's MD & CEO, who brought together senior executives from across the BFSI industry. The Bank's spokespersons and subject-matter experts also served on a broad spectrum of industry committees, working groups, and policy consultations. Amitabh Chaudhry also served as Senior Vice President of ASSOCHAM throughout the year. The Bank's policy engagement encompassed regulatory submissions, review inputs, thought leadership perspectives, authored articles and active involvement in industry dialogues.

## Key policy submissions and institutional engagements

The Bank's policy advocacy during the year covered a wide set of issues relevant to banking and the broader economy. Through its leadership of industry bodies, the Bank provided its recommendations, sectoral insights and structured inputs on regulatory, economic, technological, and sustainability matters.

### FICCI

The Bank sustained strong engagement with FICCI during the year through policy submissions, committee participation, and contributions to working groups across key priority areas, such as

- ▶ Draft recommendations on the notified rules under the Digital Personal Data Protection Act from a BFSI perspective
- ▶ Inputs on the RBI framework for co-lending arrangements
- ▶ Participation in policy dialogue on the role of financial institutions in disaster risk reduction
- ▶ Submissions to the Parliamentary Committee on the future of banking
- ▶ Inputs on India's Climate Finance Taxonomy
- ▶ Contributions to compendiums on aspirational districts and AI vision
- ▶ Draft recommendations on GST rate rationalisation and the pre-budget memorandum for fiscal 2027
- ▶ Inputs on asset classification, provisioning, and income recognition norms
- ▶ Engagement on India-US trade and tariff-related matters
- ▶ Ongoing work under the FICCI DPDP Act Sub-Committee, including development of common personally identifiable information (PII) and privacy impact frameworks

### CII

Through the Confederation of Indian Industry II, the Bank contributed research-based inputs and case studies, including:

- ▶ Submission of inputs on India's Climate Finance Taxonomy

- ▶ Contribution of a case study for the CII compendium on accelerating progress in aspirational districts

### ASSOCHAM

Axis Bank's engagement with ASSOCHAM focused on macroeconomic dialogue, contribution of policy perspectives, and thought leadership interactions, including:

- ▶ Policy inputs for meetings with the Governor, Reserve Bank of India
- ▶ Submissions and perspectives ahead of Monetary Policy Committee meetings
- ▶ Thought leadership interactions with academic institutions
- ▶ Statements and insights on economic growth, GDP trends, trade agreements, GST reforms, and tariff-related developments
- ▶ Pre- and post-Union Budget interactions across leading business media platforms
- ▶ Participation in ASSOCHAM Media Connect and foundation-day engagements
- ▶ Contribution to ASSOCHAM communication and publications on India's growth and inclusion agenda

### World Economic Forum and other platforms

- ▶ Publication of a thought leadership blog article focused on intelligent industries
- ▶ Inputs to global and regional benchmarking and league-table exercises
- ▶ Participation in DEI workshops in collaboration with industry chambers
- ▶ Development of a joint technology case study, highlighting digital transformation initiatives

## Leadership representation across industry platforms

The Bank's contribution to policy and industry dialogue is strengthened by the active participation of its leaders across influential committees, councils, and advisory platforms. During fiscal 2026, senior leaders represented the Bank across forums on banking, treasury, digital business, marketing, human resources, DEI, legal, sustainability, CSR, and public policy.

## Representation on industry platforms in fiscal 2026

### Amitabh Chaudhry

#### MD & CEO

- ▶ Chairman, FICCI National Banking Committee
- ▶ Senior Vice President, ASSOCHAM
- ▶ Chairman, Finance and Audit Committee, ASSOCHAM
- ▶ Member, Managing Committee, IBA
- ▶ Member, CII Davos Steering Committee
- ▶ Author/Contributor, World Economic Forum

### Rajkamal Vempati

#### Head Human Resources

- ▶ Member, Advisory Board, Centre of Gender Equality and Inclusive Leadership, XLRI
- ▶ Member, CII National HR Council
- ▶ Chair, FICCI HR Committee

### Sameer Shetty

#### Head DBAT & Strategic Programs

- ▶ Member, FICCI Working Group on Banks – FinTech Partnership
- ▶ Member, CII National Committee on FinTech
- ▶ Member, Steering Committee, ASSOCHAM International Fintech Festival

### Abhejit Agarwal

#### SVP & Head – Sustainability and CSR

- ▶ Member, FICCI Task Force on ESG
- ▶ Member, CII Climate Change Council
- ▶ Member, CII Net Zero Council
- ▶ Member, WEF Steering Committee on Sustainable Finance

### Damini Marwah

#### Group Chief Legal Counsel and Chief Ethics Officer

- ▶ Member, ASSOCHAM Steering Committee on IBC and Valuation
- ▶ Member, CII National Committee on Regulatory Affairs
- ▶ Lead, FICCI Working Group on DPDP Act

### Dhruvi Shah

#### Executive Trustee and CEO – Axis Bank Foundation

- ▶ Member, FICCI Task Force on Climate Change and Sustainable Agriculture
- ▶ Member, CSR Committee, Bombay Chamber of Commerce and Industry
- ▶ Member, CII Council on Women Empowerment and Inclusion

### Neeraj Gambhir

#### Executive Director – Treasury/Global Markets

- ▶ Member, FICCI National Banking Committee
- ▶ Board Member, FIMMDA
- ▶ Member, RBI Committee on Treasury and Global Markets

## Presence in public forums and institutional platforms

In addition to committee representation and policy submissions, the Bank's leaders actively shaped public dialogue through participation in leading conferences, seminars, and institutional forums. These engagements enabled the Bank to share perspectives on banking transformation, AI, economic developments, leadership, inclusion, sustainability and CSR partnerships.

## Representation at key conferences and seminars in fiscal 2026

| Speaker          | Organiser | Event                                | Topic                                                                          |
|------------------|-----------|--------------------------------------|--------------------------------------------------------------------------------|
| Amitabh Chaudhry | FICCI     | FIBAC 2025                           | CEO's Panel – Charting New Frontiers                                           |
| Subrat Mohanty   | IAMAI     | GFF 2025                             | Can AI Manage Black Swan Events and How?                                       |
| Damini Marwah    | ET Legal  | ET Global Legal Convention 2026      | Women in Leadership – Dismantling Barriers to Partnership and Power            |
| Neelkanth Mishra | FICCI     | Banking Committee Members Roundtable | Impact of Tariffs and US-Iran War on the Indian Economy and the Banking Sector |
| Harish Iyer      | ET Edge   | Global DEI Alliance Summit 2025      | Pride and Prejudice: The Economic Case for LGBTQIA+ Inclusion                  |
| Dhruvi Shah      | NEWS      | Investing in Nature                  | Ensuring Sustainability through Partnerships                                   |
| Abhejit Agarwal  | FICCI     | FICCI CSR Summit and Awards          | Innovating on the Edge – Impactful CSR Partnerships in Northeast India         |

### Membership fees paid in fiscal 2026

(Name of the Institution: Amount paid)

- ▶ ASSOCHAM: ₹1,50,000
- ▶ FICCI: ₹1,50,000
- ▶ CII: ₹3,30,000
- ▶ BCCI: ₹90,000
- ▶ IBA: ₹88,50,000
- ▶ World Economic Forum: ₹1,99,00,000

Exclusive of applicable taxes





At Axis Bank, lasting value is created through the continuous interplay of our six capitals. Each capital strengthens, supports and, at times, draws upon the others, shaping how we allocate resources, manage risks, deepen relationships and deliver outcomes across stakeholder groups.

This interconnected approach enables us to bring together financial strength, digital capability, physical reach, talent, governance discipline, stakeholder trust and environmental stewardship in a cohesive manner. Guided by our GPS strategy and the ‘One Axis’ approach, we assess these interdependencies and trade-offs to ensure that our decisions remain balanced, resilient and aligned with long-term value creation. The following matrix illustrates how actions and investments across one capital influence outcomes across the others, helping us build a Bank that is more customer-focused, inclusive, future-ready and sustainable.

| From/To Capitals                                                                                               | Financial                                                                                                                                                                                                                                                                              | Manufactured                                                                                                                                                                                                                                                     | Intellectual                                                                                                                                                                                                                                      | Human                                                                                                                                                                                                                                                                                      | Social and Relationship                                                                                                                                                                                  | Natural                                                                                                                                                                                                      |
|----------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <br>Financial                 | Strong capital position supported resilient performance, with shareholder funds of ₹2,041.94 billion, deposits of ₹13,358.34 billion, total assets of ₹18,868.50 billion, operating profit of ₹428.17 billion, CRAR of 16.42% and net NPA of 0.37%.                                    | Capital was deployed to deepen the phygital network, expanded presence by adding 400 new branches, thus enabled growth in digital channels and rural infrastructure.                                                                                             | ₹4,000+ crores of technology OPEX strengthened digital platforms, AI-led enablement, analytics, cybersecurity and scalable customer journeys across Retail, Wholesale and One Axis ecosystems.                                                    | Investments in talent, learning and employee enablement supported a 1.01 lakh+ workforce, investment of ₹122.66 billion as employee expenses, 2,431 GIGA employees and future-ready capability building.                                                                                   | Financial resources enabled ₹5.3 billion CSR expenditure, supported ~54 million customers, strengthened customer engagement and helped positively impact over 21 lakh lives through focused CSR efforts. | Scaled green lending portfolio to ₹45,511 crores. Strategic climate financing partnership of \$500 million loan for financing green and blue projects.                                                       |
| <br>Manufactured              | The Bank's physical distributions via branch, ATM, AVC, BCBO and Bharat network and digital distributions supported deposit mobilisation, retail advances (▲8% y-o-y), agri loan book (▲4% y-o-y) and wider customer acquisition.                                                      | The physical and digital footprint scaled to 6,278 domestic branches (including DBU and extension counters), 151 specialised branches, 310 BCBOs, 12,796 ATMs/CDMs, 8 AVCs and presence across 712 districts.                                                    | Integration of branches, AVCs, WhatsApp Banking, Open, <i>neo</i> and Aha! enabled 78 fully digitised product journeys, 250+ DIY services and scalable omnichannel delivery.                                                                      | High-touch infrastructure enabled frontline, branch, virtual and relationship teams to serve customers across locations, supported by 1,591 Virtual Relationship Managers and distributed working models.                                                                                  | Bharat-focused infrastructure enabled last-mile access through 2,924 Bharat Banking branches, 50,000+ new accounts via BCBOs and 16 lakh+ AePS transactions.                                             | Green buildings, centralised energy management, solar power, renewable procurement and resource-efficient facilities helped lower the operational footprint of physical infrastructure.                      |
| <br>Intellectual            | Digital capabilities strengthened transaction intensity and income opportunities, with 10.9 billion mobile banking transactions (▲17% y-o-y), ₹30.1 trillion mobile banking spends, ~36% UPI Payer PSP market share and transaction banking revenue contributing to 20% of total fees. | Proprietary platforms such as Open, <i>neo</i> , Aha!, WhatsApp Banking and API-based ecosystems converted physical reach and enabled an integrated phygital delivery model.                                                                                     | The Bank strengthened its intellectual capital through responsible AI governance, centralised API controls, governed DataMart, cybersecurity architecture, 4.8 app ratings and 250+ digital services. 71% service requests are adopted digitally. | Open Learning Lab, 11+ Skill Factories, BYOC, LOYO, LOTD, Adi, Kaleidoscope and Siddhi enhanced employee learning, customer context and frontline productivity.                                                                                                                            | SPARSH, AI-enabled service platforms and customer feedback loops improved customer experience, contributing to a Retail NPS score of 159 on an indexed baseline of 100.                                  | Digital banking reduced paper usage, saving 34.76 million sheets and avoiding ~3,336.52 tCO <sub>2</sub> e emissions from not printing paper; ESG rating models supported responsible portfolio evaluation.  |
| <br>Human                   | With 1.01 lakhs+ employee base, profit per employee of ₹0.24 crores, strong frontline execution and risk-aware culture supported growth, productivity and disciplined financial outcomes.                                                                                              | Branch Banking officers, Bharat Banking teams, relationship managers, VRMs and operations networked and powered the Bank's extensive branch network and digital service infrastructure.                                                                          | 100,921 employees accessed learning, completing 6.7 million+ learning hours; 500 All Stars were trained in customer, digital and AI skills, while 200 Astros joined the Enterprise AI evangelist program.                                         | Human capital was strengthened through 30.11% workforce diversity, 37% women among new hires, 95.5% mandatory compliance training completion and expanded wellness support.                                                                                                                | Employees translated <i>dil se open</i> into customer and community outcomes through SPARSH, relationship-led engagement, CSR implementation, grievance redressal and customer-first service delivery.   | Employee awareness, risk training, ESG capability building and digital adoption supported climate-conscious operations, responsible lending and energy, paper and waste reduction initiatives.               |
| <br>Social and Relationship | Trust-based relationships with customers (~54 million), investors, regulators and partners supported deposit mobilisation, fee opportunities, cross-sell and long-term investor confidence.                                                                                            | Stakeholder expectations for access and convenience shaped phygital expansion across 3,327 cities, Bharat markets, ~21,000 CSC VLE networks and government-linked service channels.                                                                              | Customer feedback, fintech partnerships, One Axis collaboration and digital ecosystem engagement shaped innovations across WhatsApp Banking, <i>neo</i> for corporates, co-branded cards, UPI and AI-enabled service platforms.                   | Employee listening and engagement platforms strengthened culture, with Amber engaging 45,000+ employees through 87,000+ chats and HResponse handling ~1.35 lakh employee queries. Adi with its first-time-right responses to HR queries has ingested more than 1,400 FAQs and 52 policies. | CSR and stakeholder programs on financial literacy reach 2.6 lakh people Mission 4 Million reached 2.76 million rural households across 33,517 villages in 32 States and Union Territories.              | Community and CSR programs supported climate resilience, natural resource management, and habitat restoration, including 4.16 million trees planted across 9 geographies.                                    |
| <br>Natural                 | Climate-conscious financing and transition opportunities strengthened long-term resilience, with ₹61,348 crores positive-impact lending, \$500 million green/blue financing partnership and disciplined exposure management for carbon-intensive sectors.                              | Energy-efficient infrastructure, renewable power procurement, solar installations, CEMS and green building practices improved the environmental performance of offices, branches and data centres. Renewable energy comprised 6.26% of total energy consumption. | ESG policy for lending, in-house ESG rating models, climate risk assessment, stress testing, scenario analysis and TCFD-aligned practices deepened climate-related decision-making capabilities.                                                  | Climate, ESG and responsible banking priorities shaped employee capability, operational discipline and awareness around resource conservation, compliance and sustainable finance.                                                                                                         | Sustainable livelihoods, health, WASH initiatives, and tree plantation programs strengthened community resilience and reinforced trust with local stakeholders.                                          | Natural capital outcomes included 910.83 TJ total energy consumption, 57.01 TJ renewable energy use, 9,625.70 tCO <sub>2</sub> e emissions avoided, 230.79 MT dry waste recycled, 46.18 MT e-waste recycled. |

# Moments that define us

**Banker of the Year Award to Amitabh Chaudhry,  
MD & CEO of Axis Bank at the FE Best Bank Awards 2025**



**ICAI's Gold Shield for 'Excellence in Financial Reporting for 2024-25' in the Private Sector Banks Category**



**SKOCH Award 2025 for Contactless Strategy in Bounce Collections (Silver)**





**ETBFSI Exceller Awards 2025** in the 'Innovative SME Policy/Product of the Year (Digital Merchant Cash Advance Loans)' category



Recognition in the 2<sup>nd</sup> edition of **Annual BFSI Service Quality Excellence Awards 2026** for the category 'Best Omni-Channel Experience Strategy'



**Cloudera Data Impact Awards 2025 (APAC)** under the category 'Operational Excellence for Open Data Lakehouse & Iceberg Innovation (Project: Self-serve Feature Store Framework)'



**The Economic Times Global Legal Awards 2025-26** in the 'Best In-House Legal Team of the Year BFSI (Banks)' category





BEST PRIVATE BANK – DIGITALLY EMPOWERING RMS

WINNER

Global Private Banking Innovation Awards 2025 for 'Best Private Bank for Digitally Empowering RMs'



BEST LEARNING & DEVELOPMENT PROGRAM BY A PRIVATE BANK

HIGHLY ACCLAIMED

Global Private Banking Innovation Awards 2025 for Best Learning & Development Program by a Private Bank



BEST PRIVATE BANK FOR UHNW CLIENTS - SOUTH ASIA

WINNER

Global Private Banking Innovation Awards 2025 for Best Private Bank for UHNW Clients (South Asia)



BEST PRIVATE BANK FOR MILLENNIALS

WINNER

Global Private Banking Innovation Awards 2025 for Best Private Bank for Millennials



BEST NEXT-GENERATION OFFERING

WINNER

Global Private Banking Innovation Awards 2025 for Best Next-Generation Offering



The Asset Triple A Digital Finance Awards 2026



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# Board's report

## Dear Members,

Your Board of Directors (the "**Board**") is pleased to present its 32<sup>nd</sup> Board's report on the performance of Axis Bank Limited (the "**Bank**") together with the audited financial statements for fiscal year 2026.

## Financial Performance and State of the Bank's Affairs

The Bank provides a complete suite of banking products and financial services covering retail banking, wholesale banking and treasury operations and is the third largest private sector bank in India in terms of total assets, based on public filings of private sector banks. The Bank's total assets increased 17% year-on-year ("**Y-o-Y**") from ₹1,609,930 crores as at 31 March, 2025 to ₹1,886,850 crores as at 31 March, 2026. Furthermore, total deposits increased 14% Y-o-Y from ₹1,172,952 crores as at 31 March, 2025 to ₹1,335,834 crores as at 31 March, 2026 and total advances increased 19% Y-o-Y from ₹1,040,811 crores as at 31 March, 2025 to ₹1,233,570 crores as at 31 March, 2026.

Operating revenue increased by 3% Y-o-Y to ₹82,179 crores in fiscal 2026. Net Interest Income ("**NI**") increased 3% to ₹56,048 crores in fiscal 2026. Non-interest income consisting of fee, trading and other income increased by 3% to ₹26,131 crores in fiscal 2026. Operating expenses grew by 5% to ₹39,362 crores in fiscal 2026. As a result, the operating profit grew by 2% to ₹42,817 crores. Provisions and contingencies increased by 71% to ₹13,263 crores in fiscal 2026. Net profit stood at ₹24,457 crores in fiscal 2026.

The financial highlights (standalone) for the year under review, are presented below:

| Particulars                                                           | (₹ in crores)    |                  |              |
|-----------------------------------------------------------------------|------------------|------------------|--------------|
|                                                                       | 2025-26          | 2024-25          | Growth       |
| <b>Balance sheet:</b>                                                 |                  |                  |              |
| <b>Deposits</b>                                                       | <b>1,335,834</b> | <b>1,172,952</b> | <b>14%</b>   |
| Savings bank deposits                                                 | 344,136          | 311,389          | 11%          |
| Current account deposits                                              | 184,776          | 166,799          | 11%          |
| Term deposits                                                         | 806,922          | 694,764          | 16%          |
| <b>Advances</b>                                                       | <b>1,233,570</b> | <b>1,040,811</b> | <b>19%</b>   |
| Retail advances                                                       | 673,468          | 622,897          | 8%           |
| Corporate advances                                                    | 412,943          | 299,393          | 38%          |
| Small and Medium Enterprise (SME) advances                            | 147,159          | 118,521          | 24%          |
| <b>Total assets / liabilities</b>                                     | <b>1,886,850</b> | <b>1,609,930</b> | <b>17%</b>   |
| <b>Profit &amp; loss account:</b>                                     |                  |                  |              |
| <b>Net interest income</b>                                            | <b>56,048</b>    | <b>54,348</b>    | <b>3%</b>    |
| <b>Other income</b>                                                   | <b>26,131</b>    | <b>25,257</b>    | <b>3%</b>    |
| - Fee income                                                          | 24,444           | 22,504           | 9%           |
| - Trading profit <sup>1</sup>                                         | 1,374            | 2,059            | (33%)        |
| - Miscellaneous income                                                | 313              | 694              | (55%)        |
| <b>Operating expenses</b>                                             | <b>39,362</b>    | <b>37,500</b>    | <b>5%</b>    |
| <b>Operating profit</b>                                               | <b>42,817</b>    | <b>42,105</b>    | <b>2%</b>    |
| Provisions and contingencies (other than tax)                         | 13,263           | 7,759            | 71%          |
| <b>Profit before tax</b>                                              | <b>29,554</b>    | <b>34,346</b>    | <b>(14%)</b> |
| Provision for tax                                                     | 5,097            | 7,973            | (36%)        |
| <b>Net profit</b>                                                     | <b>24,457</b>    | <b>26,373</b>    | <b>(7%)</b>  |
| Balance in profit and loss account brought forward from previous year | 78,238           | 60,254           | -            |
| <b>Amount available for appropriation</b>                             | <b>102,695</b>   | <b>86,627</b>    | <b>-</b>     |

| Particulars                                  | 2025-26       | 2024-25       | Growth |
|----------------------------------------------|---------------|---------------|--------|
| <b>Appropriations</b>                        |               |               |        |
| Transfer to statutory reserve                | 6,114         | 6,593         | -      |
| Transfer to capital reserve                  | 507           | 214           | -      |
| Transfer to special reserve                  | 977           | 1,025         | -      |
| Transfer to investment fluctuation reserve   | 136           | 248           | -      |
| Dividend paid                                | 310           | 309           | -      |
| <b>Surplus carried over to balance sheet</b> | <b>94,651</b> | <b>78,238</b> | -      |

<sup>1</sup> Excluding merchant exchange profit.

## Key Performance Indicators

| Key Performance Indicators                                                                      | 2025-26 | 2024-25 |
|-------------------------------------------------------------------------------------------------|---------|---------|
| Interest income as a % of average assets <sup>1</sup>                                           | 7.52    | 8.10    |
| Non-interest income as a % of average assets <sup>1</sup>                                       | 1.55    | 1.67    |
| Net interest margin (%)                                                                         | 3.69    | 3.98    |
| Return on average net worth (%)                                                                 | 13.15   | 16.52   |
| Operating profit as a % of average assets <sup>1</sup>                                          | 2.53    | 2.78    |
| Return on average assets <sup>1</sup> (%)                                                       | 1.45    | 1.74    |
| Profit per employee <sup>2</sup> (₹ in lakhs)                                                   | 23.79   | 25.45   |
| Business (Deposits less inter-bank deposits + advances) per employee <sup>2</sup> (₹ in crores) | 24.48   | 20.88   |
| Net non-performing assets as a % of net customer assets <sup>3</sup>                            | 0.37    | 0.33    |

<sup>1</sup> Average assets represent average of total assets as reported to the RBI in Form X under Section 27 of the Banking Regulation Act, 1949 during the year.

<sup>2</sup> Productivity ratios are based on average number of employees for the year.

<sup>3</sup> Customer assets include advances and credit substitutes.

Previous fiscal year's figures have been re-grouped wherever necessary.

## Financial Performance of the Group

Subsidiaries of the Bank continued to deliver steady performance. The domestic subsidiaries, collectively, reported a net profit of ₹2,051 crores in fiscal 2026, translating into a return on investment of 54%. Consolidated net profit of the group for fiscal 2026 stood at ₹26,385 crores, decreasing 6% Y-o-Y. Consolidated return on equity for fiscal 2026 stood at 13.59%, with subsidiaries contributing 44 bps.

## Divergence in Asset Classification and Provisioning for NPAs

In terms of the Reserve Bank of India (the "RBI") guidelines, banks are required to disclose the divergence in asset classification and provisioning, consequent to the RBI's annual supervisory process, in the notes to the financial statements. The disclosure is required if either or both of the following conditions are satisfied: (a) the additional provisioning for NPAs as assessed by the RBI exceeds 5% of the reported profit before provisions and contingencies for the reference period; and (b) the additional gross NPAs as identified by the RBI exceeds 5% of the published incremental gross NPAs for the reference period.

Based on the above, no disclosure on divergence in asset classification and provisioning for NPAs is required with respect to RBI's annual supervisory process for fiscal 2025.

## Dividend

In accordance with Regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the "SEBI Listing Regulations"), the Bank has formulated and adopted a Dividend Declaration Policy, which was reviewed by the Board. The said Policy is available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

During the year under review, the Board reviewed and amended the Dividend Declaration Policy, *inter alia*, to reflect the revised norms notified by the RBI on 10 March, 2026, for declaration of dividend on aspects such as Board oversight requirements, eligibility criteria, quantum of dividend payable and reporting requirement. The revision is effective from fiscal 2027. Further, the Bank has been in compliance with its Dividend Declaration Policy during the past three fiscal years.

In view of the overall performance of the Bank, while retaining capital to support future growth and in line with the Dividend Declaration Policy, the Board at its meeting held on 25 April, 2026, recommended a final dividend of ₹1/- per equity share of ₹2/- each fully paid (i.e., 50% of the face value), subject to approval of the members at the ensuing 32<sup>nd</sup> Annual General Meeting (the “**AGM**”). Upon approval, and in compliance with regulatory guidelines, the dividend will be paid to the members whose names appear in the register of members of the Bank and in the statement of beneficiary position furnished by the National Securities Depository Limited and the Central Depository Services (India) Limited as on the record date i.e., Friday, 10 July, 2026. The total dividend payout will be approximately ₹310 crores resulting in a payout of 1.27% of the standalone profit after tax of the Bank. Additional shares issued by the Bank pursuant to exercise of stock options / stock units, until the record date shall also be eligible for such proposed dividend. The total dividend payout shall stand modified accordingly. In terms of the provisions of the Income Tax Act, 2025, dividend income is taxable in the hands of the members and therefore will be subject to deduction of applicable tax.

In terms of Accounting Standard (“**AS**”) - 4 ‘Contingencies and Events Occurring After the Balance Sheet Date’ as notified by the Ministry of Corporate Affairs (the “**MCA**”) under Section 133 of the Companies Act, 2013 (the “**Act**”) read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021, such proposed dividend has not been recognised as a liability as on 31 March, 2026.

### Integrated Annual Report

For fiscal 2026, the Bank continues to voluntarily publish the Integrated Annual Report based on the International Integrated Reporting Framework (“**IIRC**”) and SEBI’s guidelines on Integrated reporting. This report covers aspects such as Bank’s strategy, governance framework, performance, risk management and prospects of value creation based on the six forms of capitals viz., financial capital, intellectual capital, manufactured capital, human capital, social and relationship capital, and natural capital.

### Capital Structure

#### Share Capital

During fiscal 2026, the Bank issued and allotted 10,803,572 equity shares of ₹2/- each, pursuant to exercise of stock options / stock units by the Whole-Time Directors / employees of the Bank and of its subsidiary companies, under the Bank’s Employee Stock Option Scheme, 2000-01 and Employee Stock Unit Scheme, 2022.

Consequent to the above, the total issued and paid-up equity share capital of the Bank increased by ₹2.16 crores to ₹621.63 crores as on 31 March, 2026, *vis-à-vis* ₹619.47 crores, as on 31 March, 2025. The equity shares issued under the above schemes rank *pari-passu* with the existing equity shares of the Bank.

Apart from the above, the Bank did not raise any additional equity share capital during the year.

#### Debt Instruments

On 26 November, 2025, the Bank issued and allotted 500,000 fully paid, senior, rated, listed, unsecured, taxable, redeemable, long term non-convertible debentures (Series-9 *infra*) of face value of ₹100,000 each, aggregating to ₹5,000 crores, at a coupon rate of 7.27% per annum on a private placement basis for enhancing long term resources for funding infrastructure and affordable housing. The aforesaid debentures shall be redeemed at par on maturity on 26 November, 2035.

The Audit Committee (the “**AC**”) at its meeting held on 26 January, 2026, has reviewed and confirmed that the Bank has utilised the said funds for the above-mentioned purposes.

On 30 September, 2025, the Bank redeemed unsecured, redeemable, non-convertible subordinated debentures (Basel - III compliant tier II debentures) (Series-23) amounting to ₹1,500 crores. Further, on 30 October, 2025, the Bank also redeemed senior, unsecured, redeemable, non-convertible debentures (Series-2 *infra*) amounting to ₹3,000 crores.





### Capital Adequacy Ratio

The Bank's overall Capital Adequacy Ratio ("CAR") under Basel III stood at 16.42% at the end of fiscal 2026, well above the benchmark requirement of 11.50% stipulated by the RBI. Of this, the Common Equity Tier 1 ("CET 1") CAR was 14.38% (against minimum regulatory requirement of 8.00%) and Tier I CAR was 14.78% (against minimum regulatory requirement of 9.50%). As on 31 March, 2026, the Bank's Tier II CAR under Basel III stood at 1.64%.

### Ratings of various Debt Instruments

The details of credit ratings obtained by the Bank along with any revisions thereto, if any, during fiscal 2026, for all the debt instruments outstanding as on 31 March, 2026, are provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

### Subsidiaries, Joint Ventures and Associates

Details of subsidiary and associate companies as on 31 March, 2026 are tabulated below:

| Sr. No. | Name of the Company                                 | Subsidiary / Associate | Business Activity                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Percentage stake held by the group                                          |
|---------|-----------------------------------------------------|------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| 1.      | Axis Capital Limited                                | Subsidiary             | Services relating to investment banking, institutional broking and equity research services, investment manager services to AIFs and research analyst.                                                                                                                                                                                                                                                                                                                                                                                                      | 100                                                                         |
| 2.      | Axis Finance Limited <sup>1</sup>                   | Subsidiary             | Non-Banking Financial Company (NBFC) offering loans to corporates, MSME and retail customers.                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 100                                                                         |
| 3.      | Axis Securities Limited                             | Subsidiary             | Retail broking services, investment advisory services and research analyst.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 100                                                                         |
| 4.      | Axis Trustee Services Limited                       | Subsidiary             | Trusteeship activities and agency & administration services.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 100                                                                         |
| 5.      | Freecharge Payment Technologies Private Limited     | Subsidiary             | Payment gateway and payment aggregation services.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 100                                                                         |
| 6.      | Axis UK Limited <sup>2</sup>                        | Subsidiary             | -                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 100                                                                         |
| 7.      | Freecharge Business and Technology Services Limited | Subsidiary             | Business correspondent and technology service provider to the Bank.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 100                                                                         |
| 8.      | Axis Capital USA, LLC                               | Step down subsidiary   | Enables U.S. institutional clients to access Indian capital markets by chaperoning arrangement and distributing research in compliance with Securities Exchange Commission (SEC) and Financial Industry Regulatory Authority (FINRA).                                                                                                                                                                                                                                                                                                                       | 100<br>(held by Axis Capital Limited)                                       |
| 9.      | Axis Asset Management Company Limited               | Subsidiary             | Managing investment of the scheme(s) launched by Axis Mutual Fund, Alternative Investment Fund - Category II & III and portfolios under portfolio management services. The company is also registered with International Financial Services Centers Authority (IFSCA) as 'Registered Fund Management Entity (Retail)' and provides non-binding investment advisory services to offshore investors (like FPIs) towards their investments in the Indian securities market. Research activity pursuant to the fund management activity, and advisory services. | 75                                                                          |
| 10.     | Axis Mutual Fund Trustee Limited                    | Subsidiary             | Trustee for the mutual fund business.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 75                                                                          |
| 11.     | A.Treds Limited                                     | Subsidiary             | Facilitating financing of trade receivables.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 67                                                                          |
| 12.     | Axis Pension Fund Management Limited                | Step down subsidiary   | Pension fund management business under the National Pension System.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 60.02<br>(Axis Asset Management Company Limited-51, Axis Bank Limited-9.02) |

| Sr. No. | Name of the Company                          | Subsidiary / Associate | Business Activity                                      | Percentage stake held by the group                                                                |
|---------|----------------------------------------------|------------------------|--------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| 13.     | Axis Max Life Insurance Limited <sup>3</sup> | Associate              | Life insurance and Annuity Service Provider under NPS. | 19.02<br>(Axis Bank Limited-16.23,<br>Axis Capital Limited-1.86,<br>Axis Securities Limited-0.93) |

<sup>1</sup> The Bank has received an approval from the RBI to infuse ₹1,500 crores in Axis Finance Limited ("AFL") in one or more tranches before 31 March, 2027. Further, AFL has approved a proposal for preferential issue of equity shares to Kedaara Pearl Holding and Kedaara Capital Fund IV AIF, subject to receipt of necessary regulatory approvals. Upon completion of the proposed preferential issue, the Bank will hold 94.92% of the equity shares of AFL.

<sup>2</sup> The Company entered liquidation on 9 December, 2024.

<sup>3</sup> The Bank has received an approval from the RBI to increase the Bank and its subsidiaries stake, in aggregate, to 19.99% in Axis Max Life Insurance Limited ("AMLI"). Further, the Board of Directors of AMLI and its holding company, Max Financial Services Limited ("MFSL"), have granted in-principle approval for a proposed amalgamation of MFSL with AMLI, subject to receipt of necessary regulatory approvals.

As on 31 March, 2026, the Bank did not have any joint venture company.

The financial position and performance of each of the Bank's key subsidiary companies is given in the Management Discussion & Analysis Report, which forms part of this Integrated Annual Report.

### Consolidated Financial Statements

In accordance with the provisions of Section 129(3) of the Act, read with Rule 8 of the Companies (Accounts) Rules, 2014, as amended, the Bank has prepared its consolidated financial statements, which forms part of this Integrated Annual Report. The statement in form AOC-1 containing the salient features of the financial statements of the subsidiary companies and associate company of the Bank, also forms part of this Integrated Annual Report.

In accordance with the third proviso to Section 136(1) of the Act, the Integrated Annual Report of the Bank, containing standalone financial statements and the consolidated financial statements and all other documents required to be attached thereto is available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/shareholders-information/annual-reports>.

Further, in accordance with the fourth proviso to the said section, the audited financial statements of each of the subsidiary companies are available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/shareholders-information/annual-reports>. The said financial statements will be available for inspection by the members of the Bank and trustees of debenture holders at the registered office of the Bank during business hours on all working days except Saturdays, Sundays, bank holidays and national holidays. Any member interested in obtaining a physical copy of the said financial statements can send an email to the Company Secretary of the Bank at [shareholders@axis.bank.in](mailto:shareholders@axis.bank.in).

### Corporate Governance

The Bank is committed to upholding the highest standards of corporate governance and it constantly benchmarks itself with the best national and global governance and disclosure practices.

The Report on Corporate Governance for fiscal 2026 along with General Shareholder Information forms part of this Integrated Annual Report. M/s. M M Nissim & Co. LLP, Chartered Accountants (ICAI Firm Registration No. 107122W / W100672), one of the Joint Statutory Auditors of the Bank, has issued a certificate confirming compliance with the provisions of corporate governance by the Bank for fiscal 2026, as stipulated in Regulations 17 to 27 and clauses (b) to (i) of Regulation 46(2) and paragraphs C, D and E of Schedule V to the SEBI Listing Regulations. The said certificate is attached along with the Report on Corporate Governance, which forms part of this Integrated Annual Report.

The corporate governance framework of the Bank incorporates all the mandatory requirements as prescribed in the SEBI Listing Regulations. The Bank has also adopted the non-mandatory requirements recommended in the SEBI Listing Regulations, as detailed in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

## Management's Discussion and Analysis Report

The Management's Discussion and Analysis Report as stipulated under Regulation 34(2)(e) of the SEBI Listing Regulations, forms part of this Integrated Annual Report.

## Board of Directors

### Appointment and Re-appointment of Directors

During the year, pursuant to the recommendation of the Nomination and Remuneration Committee (the "NRC"), the Board appointed / re-appointed (based on performance evaluation) the following Directors:

1. Neeraj Gambhir was appointed as a Whole-Time Director (designated as an Executive Director) of the Bank by the Board at its meeting held on 18 July, 2025, with effect from (i) 4 August, 2025, or (ii) the date of approval of his appointment by the RBI, whichever is later. The said appointment was approved by the RBI for a period of three years from the date of its letter i.e., 20 October, 2025 up to 19 October, 2028 (both days inclusive). He is liable to retire by rotation. The said appointment was approved by the members of the Bank *vide* postal ballot on 18 January, 2026.
2. Malavika R. Harita was appointed as an Independent Director of the Bank by the Board at its meeting held on 18 December, 2025, for a period of four years, with effect from 18 December, 2025 up to 17 December, 2029 (both days inclusive), not liable to retire by rotation. The said appointment was approved by the members of the Bank *vide* postal ballot on 18 January, 2026.
3. Subrat Mohanty was re-appointed as a Whole-Time Director (designated as an Executive Director) of the Bank by the Board at its meeting held on 27 January, 2026, for a further period of three years, with effect from 17 August, 2026 up to 16 August, 2029 (both days inclusive), liable to retire by rotation, subject to the approval of the RBI and the members of the Bank. As on the date of this report, the approval of the RBI for the said re-appointment is awaited.

Further, Subrat Mohanty, Executive Director of the Bank, is liable to retire by rotation at the ensuing AGM, and being eligible seeks re-appointment. The said re-appointment is subject to the approval of the members of the Bank.

4. P. N. Prasad has been re-appointed as an Independent Director of the Bank by the Board at its meeting held on 25 April, 2026, for a further period of four years, with effect from 20 October, 2026 up to 19 October, 2030 (both days inclusive), not liable to retire by rotation, subject to the approval of the members of the Bank.
5. N. S. Vishwanathan has been re-appointed as an Independent Director of the Bank by the Board at its meeting held on 25 April, 2026, for a further period of four years, with effect from 30 May, 2027 up to 29 May, 2031 (both days inclusive), not liable to retire by rotation, subject to the approval of the members of the Bank.

Further, N. S. Vishwanathan was re-appointed as the Non-Executive (Part-time) Chairman of the Bank by the Board at its meeting held on 25 April, 2026, for a further period of three years, with effect from 27 October, 2026 up to 26 October, 2029 (both days inclusive), subject to the approval of the RBI and the members of the Bank. The Bank is in the process of submitting an application to the RBI for seeking approval for the said re-appointment.

The Board was of the opinion that Malavika R. Harita, P. N. Prasad and N. S. Vishwanathan have the integrity, expertise and requisite experience, which is beneficial to the business interest of the Bank. Further, they are in compliance with the provisions of the Companies (Appointment and Qualification of Directors) Rules, 2014, with respect to enrolling their respective name in the online databank of Independent Directors and qualifying the online proficiency self-assessment test for Independent Directors. The Board recommends re-appointment of Subrat Mohanty, P. N. Prasad and N. S. Vishwanathan, for the approval of the members of the Bank at the ensuing 32<sup>nd</sup> AGM. Brief profiles of the said Directors have been annexed to the said Notice.

None of the Bank's Directors are disqualified from being appointed as a director as specified in Section 164 of the Act. All Directors have further confirmed that they are not debarred from holding the office of a Director under any order from SEBI or any other such authority.

### Resignation / Retirement of Directors

1. Prof. S. Mahendra Dev, who was re-appointed as an Independent Director by the members of the Bank for a further period of four years, with effect from 14 June, 2025 up to 13 June, 2029 (both days inclusive), resigned as an Independent Director of the Bank, with effect from the close of business hours of 5 June, 2025, owing to his appointment as the Chairman of Economic Advisory Council to the Prime Minister of India, which is a full-time position.
2. Rajiv Anand ceased to be a Whole-Time Director (designated as Deputy Managing Director) of the Bank with effect from the close of business hours of 3 August, 2025, due to his retirement from the services of the Bank.

The Board places on record its deep appreciation for the guidance and invaluable contributions rendered by Prof. S. Mahendra Dev and Rajiv Anand, during their tenure with the Bank.

### Key Managerial Personnel

During the year, following changes took place in the Key Managerial Personnel ("KMP") of the Bank:

1. Rajiv Anand ceased to be a Whole-Time Director (designated as Deputy Managing Director) and KMP of the Bank with effect from the close of business hours of 3 August, 2025, due to his retirement from the services of the Bank.
2. Neeraj Gambhir was appointed as an Executive Director and a KMP of the Bank with effect from 20 October, 2025.

As on the date of this report, following are the KMP's as per Section 203(1) read with Section 2(51) of the Act and Rule 8 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

| Name of the KMP  | Designation                              |
|------------------|------------------------------------------|
| Amitabh Chaudhry | Managing Director & CEO                  |
| Subrat Mohanty   | Executive Director                       |
| Munish Sharda    | Executive Director                       |
| Neeraj Gambhir   | Executive Director                       |
| Puneet Sharma    | Chief Financial Officer                  |
| Sandeep Poddar   | Company Secretary and Compliance Officer |

### Selection and Appointment of Directors

The selection and appointment of Directors of the Bank is done in accordance with the applicable provisions of the Act, rules made thereunder, the Banking Regulation Act, 1949, the guidelines issued by the RBI and the relevant provisions of the SEBI Listing Regulations. The Bank has formulated and adopted various policies with respect to selection and appointment of Directors viz., Succession Planning Policy for the Board and Key Officials of the Bank, Policy on 'fit and proper' criteria for Directors of the Bank, Policy on Board Diversity and Policy on Training of Directors, the details of which are provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

### Declaration of Independence

All the Independent Directors of the Bank have confirmed that they meet the criteria prescribed for independence under the provisions of Section 149(6) of the Act and Regulation 16(1)(b) of the SEBI Listing Regulations and continue to comply with the Code of Conduct laid down under Schedule IV of the Act.

The Board has taken on record the declaration and confirmation submitted by the Independent Directors and in the opinion of the Board, the Independent Directors fulfil the conditions prescribed under the Act and the SEBI Listing Regulations, and are independent of the management of the Bank. There has been no change in the circumstances affecting their status as Independent Directors of the Bank. In the opinion of the Board, the Independent Directors are competent, experienced, proficient and possess necessary expertise and integrity to discharge their duties and functions as Independent Directors. The names of all Independent Directors are included in the databank of Independent Directors maintained with the Indian Institute of Corporate Affairs.



## Board Performance Evaluation

The Act and the SEBI Listing Regulations provide for evaluation of the performance of the Board, its Committees, individual Directors and the Chairperson of a Company.

The Bank has institutionalized the board performance evaluation process. The NRC annually reviews and approves the criteria and the mechanism for carrying out the exercise effectively.

The methodology used for the annual board performance evaluation, the outcome, progress made over last year and the proposed actions for implementation are provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

## Directors' Responsibility Statement

In terms of Section 134(3)(c) and 134(5) of the Act, the Directors hereby state that:

- a) the applicable accounting standards have been followed in the preparation of the annual accounts for fiscal 2026.
- b) accounting policies have been selected and applied consistently, and judgments and estimates made are reasonable and prudent so as to give a true and fair view of the state of affairs of the Bank as at 31 March, 2026 and of the profit of the Bank for the year ended on that date.
- c) proper and sufficient care has been taken for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Bank and for preventing and detecting fraud and other irregularities.
- d) the annual accounts have been prepared on a going concern basis.
- e) adequate internal financial controls to be followed by the Bank have been laid down and they are operating effectively.
- f) proper and adequate systems have been devised to ensure compliance with the provisions of all applicable laws and these systems are operating effectively.

## Meetings of the Board / Committees

During fiscal 2026, nine meetings of the Board were held. Details of Board meetings, Board composition, Committee meetings and Committee composition are provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

## Audit Committee

The composition, role and functions of the Audit Committee of the Board of the Bank ("ACB") is provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

During fiscal 2026, the Board has accepted all the recommendations made by the ACB and hence, no further explanation towards this is required to be provided in this report.

## Related Party Transactions

During fiscal 2026, all the related party transactions were entered in the ordinary course of business of the Bank and on an arm's length basis. Accordingly, there were no transactions entered during the fiscal year that fall under the scope of Section 188(1) of the Act, hence, form AOC-2 is not applicable to the Bank.

The details of related party transactions are provided in note no. 2.5 of schedule 18 to the standalone financial statements and in note no. 1.8 of schedule 18 to the consolidated financial statements.

### Whistle Blower Policy and Vigil Mechanism

The Bank has formulated and adopted a Whistle Blower Policy and Vigil Mechanism, details of which have been provided in the Report on Corporate Governance which forms part of this Integrated Annual Report.

### Adequacy of Internal Financial Controls related to Financial Statements

The Bank has laid down a system of internal financial controls with reference to its financial statements. The integrity and reliability of the internal control systems are achieved through clear policies and procedures, process automation, training and development of employees, and an organisation structure that segregates responsibilities. These controls are reviewed and tested by the internal audit team to ensure the accuracy and completeness of the accounting records and the preparation of reliable financial statements.

The internal financial controls of the Bank with respect to the financial statements are adequate and are operating effectively.

### Plan and Status of Ind AS implementation

The RBI had issued a circular in February 2016 requiring banks to implement Indian Accounting Standards ("Ind AS") and prepare standalone and consolidated Ind AS financial statements with effect from 1 April, 2018. Banks were also required to report the comparative financial statements for fiscal 2018, to be published along with the financial statements for the year beginning 1 April, 2018. However, the RBI in its press release issued on 5 April, 2018 deferred the applicability of Ind AS by one year (i.e., 1 April, 2019) for scheduled commercial banks. Further, RBI through a circular issued in March 2019 has deferred the implementation of Ind AS till further notice, which has also been stipulated in the RBI (Commercial Banks - Financial Statements: Presentation and Disclosures) Directions, 2025 dated 28 November, 2025.

During fiscal 2017, the Bank had undertaken a preliminary diagnostic analysis of the GAAP differences between Indian GAAP vis-à-vis Ind AS. The Bank has also identified and evaluated data gaps, processes and system changes required to implement Ind AS. The Bank is in the process of implementing necessary changes in its IT systems wherever required and other processes in a phased manner. The Bank is also submitting proforma Ind AS financial statements to the RBI on a half-yearly basis.

In line with the RBI guidelines on Ind AS implementation, the Bank has formed a Steering Committee comprising of members from the concerned functional areas, headed by the Executive Director. The Steering Committee reviews the proforma Ind AS financial statements and provides guidance on critical areas of implementation on a periodic basis. A progress report on the status of Ind AS implementation in the Bank is presented to the ACB and the Board on a quarterly basis. Accounting impact on the application of Ind AS shall be recognised as and when it becomes statutorily applicable to banks and in the manner so prescribed.

### Remuneration Policy

The Bank has formulated and adopted a Remuneration Policy for its Non-Executive Chairman and Non-Executive Directors and a Remuneration Policy for its Managing Director & CEO, Whole-Time Directors, material risk takers, control function staff and other employees of the Bank, in terms of the relevant provisions of Section 178 of the Act, the relevant rules made thereunder, the SEBI Listing Regulations and guidelines / circulars issued by the RBI.

The details of the said policies have been provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report. The said policies are available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance> in terms of the SEBI Listing Regulations.

### Share Based Employee Benefits

In order to enhance employee motivation, create a retention mechanism, usher in an 'owner-manager' culture, align the interest of the key executives / employees with that of the shareholders in driving long-term value creation for the Bank, achieve greater synergy between the Bank and its subsidiary and associate companies and enable employees to participate in the Bank's long-term growth and financial success, the following share based employee benefit schemes have been implemented by the Bank:

- Axis Bank Employee Stock Option Scheme, 2000-01 ("ESOS")
- Axis Bank Employee Stock Unit Scheme, 2022 ("ESUS")

The aforesaid ESOS and ESUS are in compliance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 [the “**SEBI (SBEB and SE) Regulations**”]. A certificate from the Secretarial Auditors of the Bank confirming that the ESOS and ESUS have been implemented in accordance with the SEBI (SBEB and SE) Regulations and in accordance with the resolutions passed by the members of the Bank, will be placed at the ensuing AGM.

Disclosure as mandated under the provisions of Regulation 14 of the SEBI (SBEB and SE) Regulations, is available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

The above-mentioned schemes are also available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

### Particulars of Employees

The information required pursuant to Section 197 of the Act read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, in respect of Directors / employees of the Bank, is attached as **Annexure 1** to this report.

Further, the statement containing particulars of employees as required under Section 197(12) of the Act read with Rule 5(2) and 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, is given in an Annexure and forms part of this Report. In accordance with the provisions of Section 136(1) of the Act, this Integrated Annual Report excluding the aforesaid information, is being sent to the members of the Bank and others entitled thereto. The said information is available for inspection by the members at the registered office of the Bank during business hours up to the date of the ensuing AGM. Any member interested in obtaining a copy thereof, may write to the Company Secretary of the Bank.

### Information under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013

The Bank has formulated and adopted a Policy on prevention of sexual harassment of women at workplace. The Bank has complied with the provisions relating to the constitution of internal committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The information relating to complaints received, redressed and pending for more than 90 days during fiscal 2026 is provided in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

### Maternity Benefit Act, 1961

The Bank confirms compliance with the provisions of the Maternity Benefit Act, 1961, to the extent applicable to its employees.

### Auditors

#### Statutory Auditors

M/s. M M Nissim & Co. LLP, Chartered Accountants (ICAI Firm Registration No. 107122W / W100672) and M/s. KKC & Associates LLP, Chartered Accountants (ICAI Firm Registration No. 105146W / W100621) were appointed as the Joint Statutory Auditors of the Bank at the 30<sup>th</sup> AGM, to hold office from the conclusion of the 30<sup>th</sup> AGM until the conclusion of the 33<sup>rd</sup> AGM, on such terms and conditions, including remuneration, as may be approved by the ACB, subject to the approval of the RBI every year.

There are no qualifications, reservations, adverse remarks or disclaimers made in the statutory auditors' report which forms part of this Integrated Annual Report.

In accordance with the RBI guidelines, the Bank has framed a Policy on 'Appointment of Statutory Central Auditors' and has also identified internal set of evaluation criteria for assessing the audit firms in terms of experience, eligibility and independence.

## Secretarial Auditors

M/s. Bhandari & Associates, Company Secretaries (Firm Registration No. P1981MH043700 and Peer Review Certificate No. 6157/2024), were appointed as the Secretarial Auditors of the Bank at the 31<sup>st</sup> AGM, for a term of five consecutive years, commencing from fiscal 2026 to fiscal 2030, on such terms and conditions, including remuneration, as may be approved by the ACB.

There are no qualifications, reservations, adverse remarks or disclaimers made by the Secretarial Auditors of the Bank, in their report. The Secretarial audit report for fiscal 2026 is attached as **Annexure 2** to this report.

In terms of the SEBI circular relating to Annual Secretarial Compliance Report, the Bank has appointed the Secretarial Auditors, for issuing the aforesaid report for fiscal 2026. The Bank will submit the Annual Secretarial Compliance Report to the stock exchanges within the prescribed statutory timelines.

The Bank has voluntarily adopted a Policy on 'Appointment of Secretarial Auditors', duly approved by the Board, on the recommendations of the ACB, which, *inter alia*, provides for the selection, appointment and rotation of Secretarial Auditors.

## Disclosure under Foreign Exchange Management Act, 1999

During fiscal 2026, the Bank did not qualify as a Foreign Owned or Controlled Company ("FOCC"). Accordingly, the requirement to obtain a certificate from the Statutory Auditors under the FEMA framework was not applicable.

## Certificate of Non-Disqualification of Directors

In terms of Regulation 34(3) read with Schedule V of the SEBI Listing Regulations, the Bank has obtained a certificate from M/s. Bhandari & Associates, Company Secretaries, confirming that none of the Directors on the Board of the Bank have been debarred or disqualified from being appointed or continuing as Directors of the Bank either by the SEBI or the MCA or any other statutory / regulatory authorities. The said certificate is attached as **Annexure 3** to this report.

## Reporting of Frauds by Auditors

Pursuant to Section 143(12) of the Act, and circular issued by the National Financial Reporting Authority dated 26 June, 2023, there were five instances amounting to ₹11.91 crores of frauds committed during fiscal 2026, by the officers or employees of the Bank and reported by the Statutory Auditors to the ACB.

The details required under Rule 13(4) of the Companies (Audit and Auditors) Rules, 2014, as amended from time to time, are as under:

| Sr. No. | Nature of the fraud with description                                                                                                                                                                                                                           | Amount involved (in ₹ crores) | Remedial actions taken                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.      | <b>Misappropriation of funds and criminal breach of trust</b><br><br>Bank staff misappropriated funds by facilitating unauthorized cash withdrawals and cash payments from the branch vault through fraudulent transactions and suppression of cash shortages. | 5.24                          | <ul style="list-style-type: none"> <li>Police complaint was filed in the matter. The involved branch officials were arrested by police and subsequently released on bail. The matter continues to be <i>sub judice</i>.</li> <li>Stringent disciplinary action taken against the involved staff including termination of service.</li> <li>Fraud Monitoring Return ("FMR") reported to the RBI.</li> <li>Out of the total amount involved, ₹5 crores seized by police authorities was released to the Bank pursuant to court orders.</li> <li>Insurance claim has been submitted for the balance amount of ₹0.24 crore.</li> <li>Vigilance Awareness communications reinforcing zero tolerance for unethical behaviour, including misappropriation, forgery, corruption, and emphasizing the Whistle Blower reporting obligation have been disseminated.</li> </ul> |



| Sr. No. | Nature of the fraud with description                                                                                                                                                                                                                                                                                                                                                                                         | Amount involved (in ₹ crores) | Remedial actions taken                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2.      | <b>Misappropriation of funds and criminal breach of trust</b><br><br>Bank staff duped multiple customers by gaining their trust under the pretext of assisting them to conduct banking services online. Bank staff used their mobile devices / internet banking to digitally avail overdrafts, personal loans, and other loans and fraudulent debits from customer accounts by using the customers confidential credentials. | 1.03                          | <ul style="list-style-type: none"> <li>Police complaint was filed in the matter leading to arrest of involved branch official and the matter continues to be <i>sub judice</i>.</li> <li>FMR reported to the RBI and subsequent updates reported to the RBI via FMR Update Application ("FUA").</li> <li>Insurance claim has been submitted.</li> <li>Customers are advised through various channels and campaigns, not to share confidential information such as OTPs, passwords, or their mobile handsets with anyone, to prevent misuse of funds or accounts.</li> </ul>                                                                                                                                                                                                                                                            |
| 3.      | <b>Misappropriation of funds and criminal breach of trust</b><br><br>Bank staff misappropriated customer funds by executing multiple fraudulent debit transactions in the Savings and OD accounts of the customers through forged signatures on cheques and unauthorised liquidation of customer FD's.                                                                                                                       | 2.05                          | <ul style="list-style-type: none"> <li>Police complaint was filed in the matter leading to arrest of branch officials involved in the fraud.</li> <li>Stringent disciplinary action taken against the involved staff including termination of service.</li> <li>FMR reported to the RBI and subsequent updates reported to the RBI via FUA.</li> <li>Insurance claim has been submitted.</li> <li>Bank has proactively credited affected customer accounts after a thorough investigation and verification, in order to restore customer trust and ensuring minimal disruption in service.</li> <li>Vigilance Awareness communications reinforcing zero tolerance for unethical behaviour, including misappropriation, forgery, corruption, and emphasizing the Whistle Blower reporting obligation have been disseminated.</li> </ul> |
| 4.      | <b>Signature forgery</b><br><br>Forgery of customers signature in customer request forms for mobile number and e-mail ID updation and thereafter, transferring the funds fraudulently to third party accounts.                                                                                                                                                                                                               | 2.26                          | <ul style="list-style-type: none"> <li>Police complaint was filed and the matter is <i>sub judice</i>.</li> <li>Stringent disciplinary action taken against the involved staff including termination of service.</li> <li>FMR reported to the RBI.</li> <li>The entire amount of ₹2.26 crores has been refunded to the accounts of the customer.</li> <li>Advisory has since been rolled out to branch employees for strict adherence to the extant circulars and guidelines of the Bank.</li> </ul>                                                                                                                                                                                                                                                                                                                                   |
| 5.      | <b>Misappropriation of funds and criminal breach of trust</b><br><br>Branch Operations Head in connivance with the Teller, without due authorization withdrew cash from the teller counter for personal use and misappropriated the said cash. Further, funds were fraudulently withdrawn from the accounts of several customers under the pretext of investment and misappropriated.                                        | 1.33                          | <ul style="list-style-type: none"> <li>Stringent disciplinary action taken against the staff involved including termination of service.</li> <li>Police complaint was filed in the matter. The involved branch official was arrested and subsequently released on bail and the matter continues to be <i>sub judice</i>.</li> <li>FMR reported to the RBI.</li> <li>Insurance claim has been submitted.</li> <li>The Bank has proactively credited the misappropriated amounts to the affected customer accounts post a thorough investigation and verification, ensuring restoration of the customer's trust and minimal disruption in service.</li> <li>Advisory has since been rolled out to the branch employees for strict adherence to the extant circulars and guidelines of the Bank.</li> </ul>                               |

During fiscal 2026, pursuant to Section 143(12) of the Act, the Secretarial Auditors of the Bank have not reported any instances of frauds committed in the Bank by its officers or its employees.

### Secretarial Standards

The Bank is in compliance with the applicable Secretarial Standards, i.e., SS-1 and SS-2, relating to 'Meetings of the Board of Directors' and 'General Meetings', respectively, issued by the ICSI. The Bank has also voluntarily adopted the recommendatory Secretarial Standards, i.e., SS-3 and SS-4 relating to 'Dividend' and 'Report of the Board of Directors', respectively, issued by the ICSI.

### Risk Management

Pursuant to Regulation 21 of the SEBI Listing Regulations, the Bank has constituted the Risk Management Committee of the Board which is chaired by an Independent Director. The details of the said Committee and its terms of reference are set out in the Report on Corporate Governance, which forms part of this Integrated Annual Report.

The Bank has formulated and adopted a robust risk management framework. Whilst the Board is responsible for framing, implementing and monitoring the risk management framework, it has delegated its powers relating to monitoring, reviewing and identification of elements of risks associated with the business of the Bank to the said Committee. The details of the risk management framework and issues related thereto have been disclosed in the Management's Discussion and Analysis Report, which forms part of this Integrated Annual Report.

### Corporate Social Responsibility

The Bank has been formally undertaking Corporate Social Responsibility ("**CSR**") activities since 2006, with the founding of Axis Bank Foundation ("**ABF**"). With the introduction of Section 135 of the Act making CSR mandatory, the Bank expanded its spectrum of activities to undertake interventions across India in identified themes, directly, through ABF and through credible implementation partners.

Pursuant to the provisions of Section 135 of the Act, read with the Companies (Corporate Social Responsibility Policy) Rules, 2014 ("**CSR Rules**"), as amended from time to time, the Bank has constituted the CSR Committee of the Board which is chaired by an Independent Director.

The Bank formulated and adopted a CSR Policy which provides the focus areas (in accordance with Schedule VII of the Act) under which various developmental initiatives are undertaken.

The composition of the CSR Committee, CSR Policy and projects / programs approved by the Board are available on the website of the Bank at <https://www.axis.bank.in/csr>.

The Annual Report on CSR activities of the Bank during fiscal 2026, in accordance with the CSR Rules, is attached as **Annexure 4** to this report. Further details on CSR activities also form part of this Integrated Annual Report.

### Business Responsibility and Sustainability Report

In terms of Regulation 34(2)(f) of the SEBI Listing Regulations, top 1,000 listed entities based on their market capitalization as on 31 March, every year, were required to submit Business Responsibility Report ("**BRR**"), as a part of their annual report.

In November 2018, the MCA constituted a committee to revise the National Voluntary Guidelines ("**NVG**") on which the BRR was based, which were subsequently revised and released as the National Guidelines on Responsible Business Conduct ("**NGRBC**") in 2019. Further, the BRR was aligned to the NGRBC, and renamed and released as the Business Responsibility and Sustainability Report ("**BRSR**") in 2021.

SEBI's master circular dated 30 January, 2026, stipulates the format of BRSR to include BRSR Core which is a set of key performance indicators / metrics under nine ESG attributes. SEBI further mandated the top 150 listed companies (by market capitalization) to undertake a reasonable assurance of the BRSR Core from fiscal 2024.

The Bank's BRSR for fiscal 2026 along with the reasonable assurance statement from SGS India Private Limited is available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/shareholders-information/business-responsibility-report>.

## Conservation of energy, technology absorption, foreign exchange earnings and outgo

The particulars as prescribed under Section 134(3)(m) of the Act, read with Rule 8(3) of the Companies (Accounts) Rules, 2014 is attached as **Annexure 5** to this report.

## Annual Return

The annual return in form MGT-7 as on 31 March, 2026, as mandated under the provisions of Section 92(3) read with Section 134(3)(a) of the Act, has been uploaded on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/shareholders-information/annual-return>.

## Other Disclosures

- **Change in the nature of business:** There has been no change in the nature of business of the Bank.
- **Significant and material order passed by regulators or courts or tribunals impacting the going concern status and future operations of the Bank:** There were no significant and / or material orders passed by any regulator, court or tribunals against the Bank, which could impact its going concern status or future operations.
- **Deposits:** Being a banking company, the disclosures relating to deposits as required under Rule 8(5)(v) & (vi) of the Companies (Accounts) Rules, 2014, read with Sections 73 and 74 of the Act, are not applicable.
- **Material changes and commitments affecting the financial position of the Bank:** There were no material changes and commitments affecting the financial position of the Bank, between the end of the fiscal year to which the financial statements relate and the date of this report.
- **Particulars of loans, guarantees and investments:** Pursuant to Section 186(11) of the Act, the provisions of Section 186 of the Act, except sub-section (1), do not apply to a loan made, guarantee given, or security provided by a banking company in the ordinary course of its business. The particulars of investments made by the Bank are disclosed in schedule 8 of the financial statements as per the applicable provisions of the Banking Regulation Act, 1949.
- **Maintenance of cost records:** Being a banking company, provisions of Section 148(1) of the Act, relating to maintenance of cost records, is not applicable.
- **Proceedings under Insolvency and Bankruptcy Code, 2016:** There is no application or proceeding pending against the Bank under the Insolvency and Bankruptcy Code, 2016 during the year under review.
- **One-Time Settlement:** There was no instance of one-time settlement with any other Bank or financial institution during the year under review.

## Annexures

The following statements / reports / certificates are annexed to the Board's report:

1. Disclosures pursuant to Section 197(12) read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.
2. Secretarial Audit Report pursuant to Section 204 of the Act and Regulation 24A of the SEBI Listing Regulations.
3. Certificate from Secretarial Auditor on non-disqualification of Directors pursuant to Regulation 34(3) read with Schedule V of the SEBI Listing Regulations.
4. Annual Report on CSR activities of the Bank for fiscal 2026.
5. The particulars of Conservation of Energy, Technology Absorption, and Foreign Exchange Earnings and Outgo as prescribed under Section 134(3)(m) of the Act, read with Rule 8(3) of the Companies (Accounts) Rules, 2014.

### Acknowledgements and Appreciations

The Board places on record its gratitude to the Government of India, RBI, MCA, SEBI, other statutory and regulatory authorities, financial institutions, stock exchanges, registrar to an issue and share transfer agent, debenture trustees, depositories and correspondent banks for their ongoing support and guidance.

The Board would also like to extend its sincere gratitude to each of its valued customers for the continued patronage and to all the members of the Bank for their ongoing support.

The Board also expresses its heartfelt thanks and appreciation to each employee and their families for their continued commitment towards the Bank and its customers, who by exhibiting strong work ethics, professionalism, teamwork and initiatives, helped the Bank continue to serve its depositors and customers and reinforce its customer centric reputation despite the challenging environment.

**For and on behalf of the Board of Directors**

**N. S. Vishwanathan**

Independent Director and Part-time Chairman  
(DIN: 09568559)

Place: Mumbai  
Date: 25 April, 2026





## Annexure 1

## DISCLOSURE ON REMUNERATION

[Pursuant to Section 197(12) of the Companies Act, 2013 read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

- (i) **The ratio of the remuneration of each Director of the Bank to the median remuneration of the employees of the Bank for the fiscal 2026 and the percentage increase in remuneration of each Director, Chief Financial Officer, Chief Executive Officer and Company Secretary or Manager, if any, in the fiscal 2026, is as under:**

| Name of the Directors              | Designation                                 | Ratio of remuneration to median remuneration of all employees <sup>^</sup> | % increase in the remuneration in fiscal 2026 |
|------------------------------------|---------------------------------------------|----------------------------------------------------------------------------|-----------------------------------------------|
| N. S. Vishwanathan                 | Independent Director and Part-time Chairman | 8.5                                                                        | NA                                            |
| Girish Paranjpe                    | Independent Director                        | 9.4                                                                        | NA                                            |
| Meena Ganesh                       | Independent Director                        | 9.0                                                                        | NA                                            |
| G. Padmanabhan                     | Independent Director                        | 7.0                                                                        | NA                                            |
| Prof. S. Mahendra Dev <sup>*</sup> | Independent Director                        | 1.6                                                                        | NA                                            |
| P. N. Prasad                       | Independent Director                        | 8.4                                                                        | NA                                            |
| CH SS Mallikarjunarao              | Independent Director                        | 7.9                                                                        | NA                                            |
| Pranam Wahi                        | Independent Director                        | 8.3                                                                        | NA                                            |
| Malavika R. Harita <sup>#</sup>    | Independent Director                        | 1.8                                                                        | NA                                            |
| Mini Ipe                           | Non-Executive Nominee Director              | 9.7                                                                        | NA                                            |
| Amitabh Chaudhry                   | Managing Director & CEO                     | 101.9                                                                      | 5.30                                          |
| Rajiv Anand <sup>@</sup>           | Deputy Managing Director                    | 24.1                                                                       | NA                                            |
| Subrat Mohanty                     | Executive Director                          | 54.1                                                                       | 6.50                                          |
| Munish Sharda                      | Executive Director                          | 53.6                                                                       | 6.50                                          |
| Neeraj Gambhir <sup>§</sup>        | Executive Director                          | 41.4                                                                       | NA                                            |
| Puneet Sharma                      | Chief Financial Officer                     | 34.4                                                                       | 7.76                                          |
| Sandeep Poddar                     | Company Secretary                           | 17.8                                                                       | 1.28                                          |

<sup>\*</sup> Resigned as an Independent Director of the Bank w.e.f. the close of business hours of 5 June, 2025.

<sup>#</sup> Appointed as an Independent Director of the Bank for a period of four years w.e.f. 18 December, 2025 up to 17 December, 2029 (both days inclusive).

<sup>@</sup> Retired as the Whole-Time Director (designated as Deputy Managing Director) of the Bank w.e.f. the close of business hours of 3 August, 2025.

<sup>§</sup> Appointed as an Executive Director of the Bank for a period of three years w.e.f. 20 October, 2025 up to 19 October, 2028 (both days inclusive).

<sup>^</sup> All confirmed employees (excluding front line sales force), as on 31 March, 2026 have been considered.

- The Bank has considered the annualized fixed pay for computation of ratios and percentage increase in remuneration. Fixed pay includes salary, allowances, retiral benefits as well as value of perquisites as approved by the RBI. Variable pay has been excluded from the same. Further, the remuneration for the Directors for calculation of median have been considered based on the period of office held by them during fiscal 2026.
- All the Independent Directors and Non-Executive Nominee Director of the Bank were paid sitting fees of ₹100,000 for every meeting of the Board, Nomination and Remuneration Committee, Audit Committee, Committee of Directors, Risk Management Committee, IT & Digital Strategy Committee and Customer Service Committee, attended by them. In respect of other Committees of the Board, sitting fees of ₹75,000 was paid to the Directors. Further, all the Independent Directors of the Bank were paid sitting fees of ₹100,000 for attending every meeting of the Independent Directors. In accordance with the RBI (Commercial Bank – Governance) Directions, 2025, the Bank paid fixed remuneration to its Non-Executive Nominee Director and Independent Directors (except the Independent Part-time Chairman) within the limit of ₹27 lakhs as approved by the members of the Bank vide postal ballot on 10 May, 2024.

**(ii) The percentage increase in the median remuneration of the employees of the Bank during fiscal 2026:**

The median remuneration of employees of the Bank increased by 1.65% in fiscal 2026, as compared to fiscal 2025.

**(iii) The number of permanent employees on the rolls of the Bank as on 31 March, 2026:**

The Bank had 101,337 permanent employees on its rolls as on 31 March, 2026.

**(iv) Average percentile increase already made in the salaries of employees of the Bank other than its managerial personnel during the last fiscal year and its comparison with the percentile increase in the managerial remuneration ("KMPs") and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration:**

- Average remuneration increase for non-managerial personnel of the Bank during fiscal 2026 was 10.3%.
- The average remuneration increase for the managerial personnel (KMPs) of the Bank was 5.47%.
- The difference in average remuneration is on account of annual fixed pay increase for non-managerial personnel.

**(v) Affirmation that the remuneration is as per the Remuneration Policy of the Bank:**

It is hereby affirmed that the remuneration paid during fiscal 2026, is in accordance with the Remuneration Policy of the Bank.

**For and on behalf of the Board of Directors**

**N. S. Vishwanathan**

Independent Director and Part-time Chairman  
(DIN: 09568559)

Place: Mumbai

Date: 25 April, 2026



**FORM NO. MR-3**  
**SECRETARIAL AUDIT REPORT**  
**FOR THE FINANCIAL YEAR ENDED 31 MARCH, 2026**

[Pursuant to Section 204(1) of the Companies Act, 2013 and  
 Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,  
 The Members,  
**AXIS BANK LIMITED**  
 CIN: L65110GJ1993PLC020769

We have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Axis Bank Limited** (hereinafter called the "**Bank**"). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts / statutory compliances and expressing our opinion thereon.

Based on our verification of the Bank's books, papers, minute books, forms and returns filed and other records maintained by the Bank and also the information provided by the Bank, its officers, agents and authorized representatives during the conduct of Secretarial Audit, we hereby report that in our opinion, the Bank has, during the audit period covering the financial year ended **31 March, 2026** complied with the statutory provisions listed hereunder and also that the Bank has proper Board-processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Bank for the financial year ended 31 March, 2026 according to the provisions of:

- i. The Companies Act, 2013 ("**Act**") and the rules made thereunder;
- ii. The Securities Contracts (Regulation) Act, 1956 ("**SCRA**") and the rules made thereunder;
- iii. The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- iv. Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;
- v. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ("**SEBI Act**"):-
  - a. The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("**SEBI Listing Regulations**");
  - b. The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
  - c. The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
  - d. The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018#;
  - e. The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021;
  - f. The Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021;
  - g. The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 2025#;
  - h. The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021#;
  - i. The Securities and Exchange Board of India (Buy-back of Securities) Regulations, 2018#;
  - j. The Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018;

- k. The Securities and Exchange Board of India (Merchant Bankers) Regulation, 1992;
- l. The Securities and Exchange Board of India (Bankers to an Issue) Regulations, 1994;
- m. The Securities and Exchange Board of India (Custodian) Regulations, 1996;
- n. The Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019; and
- o. The Securities and Exchange Board of India (Intermediaries) Regulations, 2008.

# The Regulations or Guidelines, as the case may be, were not applicable to the Bank for the period under review.

The list of Acts, Laws and Regulations specifically applicable to the Bank are given below:

- vi. The Banking Regulation Act, 1949 read with applicable circulars / notifications / guidelines issued by the Reserve Bank of India from time to time.

We have also examined compliance with the applicable clauses of the Secretarial Standards 1 and 2 issued by The Institute of Company Secretaries of India.

During the period under review, the Bank has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above, to the extent applicable.

We report that, during the period under review, there have been instances where penalties were imposed by the Reserve Bank of India and other statutory / judicial authorities, and such penalties have been paid by the Bank.

### **We further report that –**

The Board of Directors of the Bank is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice was given to all directors to schedule the Board and Committee Meetings, agenda and detailed notes on agenda were sent at least seven days in advance for meetings other than those held at shorter notice and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

During the period under review, decisions were carried through unanimously and no dissenting views were observed, while reviewing the minutes.

**We further report that** there are adequate systems and processes in the Bank commensurate with the size and operations of the Bank to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

**We further report that** during the audit period, the Bank has undertaken the following events / actions –

1. Members' approval was obtained at the 31<sup>st</sup> Annual General Meeting ("AGM") held on 25 July, 2025 for:
  - a. enhancement of borrowing limit of up to ₹300,000/- crores under Section 180 (1)(c) of the Act;
  - b. borrowing / raising of funds denominated in Indian rupees or any other permitted foreign currency, by issue of debt securities on a private placement basis up to an amount of ₹35,000/- crores in domestic and / or overseas markets within the overall borrowing limits of the Bank;
  - c. raising of funds by issue of equity shares / depository receipts and / or any other instruments or securities representing either equity shares and / or convertible securities linked to equity shares for an amount of up to ₹20,000/- crores.
2. The Committee of Whole-Time Directors of the Bank on 26 November, 2025 has approved the allotment of 500,000 Fully Paid, Senior, Rated, Listed, Unsecured, Taxable, Redeemable, Long Term Non-Convertible Debenture (Series – 9) of face value of ₹100,000/- each ("Debentures") at par aggregating to ₹5,000/- crores at a coupon rate of 7.27% p.a. payable annually, on a private placement basis.





3. The Bank has redeemed Unsecured and Redeemable Non-Convertible Subordinated Debentures (Series - 23) aggregating to ₹1,500/- crores having ISIN INE238A08377 on 30 September, 2025 and Senior, Unsecured, Redeemable Non-Convertible Debentures (Series - 2 Infra) aggregating to ₹3,000/- crores having ISIN INE238A08385 on 30 October, 2025.
4. The Bank has allotted 108,03,572 equity shares under its Employee Stock Option / Unit Scheme.

For **Bhandari & Associates**

Company Secretaries

Unique Identification No.: P1981MH043700

Peer Review Certificate No.: 6157/2024

**Manisha Maheshwari**

Partner

FCS No.: 13272; C P No.: 11031

ICSI UDIN: F013272H000195344

Mumbai | 25 April, 2026

This report is to be read with our letter of even date which is annexed as Annexure 'A' and forms an integral part of this report.

**'Annexure A'**

To,

The Members,

**AXIS BANK LIMITED**

CIN: L65110GJ1993PLC020769

Our Secretarial Audit Report for the financial year ended **31 March, 2026** of even date is to be read along with this letter.

1. Maintenance of secretarial records is the responsibility of the management of the Bank. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Bank.
4. Wherever required, we have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Bank nor of the efficacy or effectiveness with which the management has conducted the affairs of the Bank.

For **Bhandari & Associates**

Company Secretaries

Unique Identification No.: P1981MH043700

Peer Review Certificate No.: 6157/2024

**Manisha Maheshwari**

Partner

FCS No.: 13272; C P No.: 11031

ICSI UDIN: F013272H000195344

Mumbai | 25 April, 2026

## Annexure 3

**CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS**

[Pursuant to Regulation 34(3) and clause (10)(i) of Para C of Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015]

To,  
The Members,  
**Axis Bank Limited**  
Trishul, 3<sup>rd</sup> Floor,  
Opp. Samartheshwar Temple,  
Law Garden, Ellisbridge,  
Ahmedabad – 380 006  
Gujarat.

We have examined the relevant registers, records, forms, returns and disclosures received from the Directors of **Axis Bank Limited** having Corporate Identity Number ("**CIN**") : L65110GJ1993PLC020769 and having registered office at Trishul, 3<sup>rd</sup> Floor, Opp. Samartheshwar Temple, Law Garden, Ellisbridge, Ahmedabad – 380 006, Gujarat (hereinafter referred to as the "**Bank**"), produced before us by the Bank for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with clause 10(i) of Para C of Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In our opinion and to the best of our information and according to the verifications (including Directors Identification Number ("**DIN**") status at the portal [www.mca.gov.in](http://www.mca.gov.in)) as considered necessary and explanations furnished to us by the Bank & its officers, we hereby certify that none of the Directors on the Board of the Bank as stated below for the financial year ended 31 March, 2026, have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs, or any such other Statutory Authority.

| Sr. No. | Name of Director                | DIN      | Date of appointment in the Bank |
|---------|---------------------------------|----------|---------------------------------|
| 1.      | Subramanian Nurani Vishwanathan | 09568559 | 30.05.2023                      |
| 2.      | Girish Paranjpe                 | 02172725 | 02.11.2018                      |
| 3.      | Meena Ganesh                    | 00528252 | 01.08.2020                      |
| 4.      | G. Padmanabhan                  | 07130908 | 28.10.2020                      |
| 5.      | P. N. Prasad                    | 07430506 | 20.10.2022                      |
| 6.      | CH S. S. Mallikarjunarao        | 07667641 | 01.02.2023                      |
| 7.      | Pranam Wahi                     | 00031914 | 15.02.2024                      |
| 8.      | Mini Ipe                        | 07791184 | 29.07.2023                      |
| 9.      | Subrat Mohanty                  | 08679444 | 17.08.2023                      |
| 10.     | Munish Sharda                   | 06796060 | 27.02.2024                      |
| 11.     | Amitabh Chaudhry                | 00531120 | 01.01.2019                      |
| 12.     | Neeraj Gambhir                  | 00257375 | 20.10.2025                      |
| 13.     | Malavika R. Harita              | 09005600 | 18.12.2025                      |

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the management of the Bank. Our responsibility is to express an opinion based on our verification. This certificate is neither an assurance as to the future viability of the Bank nor of the efficiency or effectiveness with which the management has conducted the affairs of the Bank.

For **Bhandari & Associates**

Company Secretaries

Unique Identification No.: P1981MH043700

Peer Review Certificate No.: 6157/2024

**Manisha Maheshwari**

Partner

FCS No.: 13272; C P No.: 11031

ICSI UDIN: F013272H000195388

Mumbai | 25 April, 2026

## ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY ACTIVITIES

[Pursuant to Section 135 of the Companies Act, 2013 and Companies (Corporate Social Responsibility Policy) Rules, 2014]

- Brief outline on CSR Policy of the Bank:** The Corporate Social Responsibility ("CSR") philosophy is to make meaningful and measurable contributions to the inclusive, equitable and sustainable development of India. The Bank strives to support those from socially, economically, or physically excluded and disadvantaged communities, and strengthen the country's development ecosystem. The Bank has adopted an integrated approach that focuses on creating opportunities for secure and sustainable livelihoods, improving the quality of and access to education, strengthening financial inclusion and financial literacy amongst unbanked and underbanked sections of society, supporting environmental sustainability, and providing humanitarian support and relief where needed.

During the year under review, no revision was made to the CSR Policy of the Bank.

- Composition of CSR Committee:**

| Sr. No. | Name of Director                   | Designation / Nature of Directorship        | Number of meetings of CSR Committee held during the year | Number of meetings of CSR Committee attended during the year |
|---------|------------------------------------|---------------------------------------------|----------------------------------------------------------|--------------------------------------------------------------|
| 1.      | N. S. Vishwanathan, Chairman       | Independent Director and Part-time Chairman | 5                                                        | 5/5                                                          |
| 2.      | Prof. S. Mahendra Dev <sup>1</sup> | Independent Director                        | 5                                                        | Not applicable                                               |
| 3.      | Rajiv Anand <sup>2</sup>           | Executive Director                          | 5                                                        | 2/2                                                          |
| 4.      | Meena Ganesh                       | Independent Director                        | 5                                                        | 5/5                                                          |
| 5.      | Munish Sharda                      | Executive Director                          | 5                                                        | 5/5                                                          |
| 6.      | Malavika R. Harita <sup>3</sup>    | Independent Director                        | 5                                                        | 1/1                                                          |
| 7.      | Neeraj Gambhir <sup>4</sup>        | Executive Director                          | 5                                                        | 0/1*                                                         |

<sup>1</sup> Ceased to be a member w.e.f. close of business hours of 5 June, 2025.

<sup>2</sup> Ceased to be a member w.e.f. close of business hours of 3 August, 2025.

<sup>3</sup> Appointed as a member w.e.f. 18 December, 2025.

<sup>4</sup> Appointed as a member w.e.f. 18 December, 2025.

\* Leave of absence was granted to Neeraj Gambhir from attending the meeting due to a prior professional commitment.

- Provide the web-link(s) where Composition of CSR Committee, CSR Policy and CSR Projects approved by the Board are disclosed on the website of the Bank:**

<https://www.axis.bank.in/csr>

- Provide the executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of Rule 8, if applicable:**

An impact assessment was conducted through a third-party agency on our eligible projects under Financial Literacy & Financial Inclusion, Humanitarian & Relief, Healthcare & Nutrition, Environmental Sustainability and Education themes, respectively, in accordance with sub-rule (3)(a) of Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014. A summary of these assessments is provided below, and the complete assessment reports are available on the Bank's website at <https://www.axis.bank.in/csr>.

### Impact Assessment Project 1

#### Building Flood Resilient Community Program, Majuli, Assam | FY 2022-24

Axis Bank, in partnership with Ayang Trust, implemented a flood resilience and disaster risk reduction program in Majuli Island, Assam to strengthen community preparedness and reduce flood vulnerabilities. The initiative improved access to safe drinking water, sanitation, mobility, and emergency shelter while building local response capacity. Key interventions included 20 raised handpumps, 10 community rescue shelters, 14 flood boats, 1,441 household water filters, and formation of 10 DRR committees, supported by a CSR outlay of ₹2.17 crores.



An OECD-DAC-aligned impact assessment using mixed methods (household surveys, interviews, focused group discussion ("FGDs"), and observations) covered 101 stakeholders to evaluate relevance, effectiveness, sustainability, and improvements in safety and preparedness.

#### Key Findings:

1. **Safe Drinking Water Access:** 80% of households reported daily access to safe drinking water during floods; 100% households received water filters.
2. **Flood Shelter Utilization:** 83% respondents used community rescue shelters for safe shelter and sanitation.
3. **Evacuation Efficiency:** 73% households reduced evacuation time to under 30 minutes due to accessible, community-managed boats.
4. **Health Outcomes:** Over 90% reported lower incidence of water-and flood-related diseases.
5. **Community Preparedness:** 100% found DRR committee information timely and useful; 87% participated in multiple mock drills.
6. **Migration Reduction:** No households reported seasonal migration post intervention, indicating improved resilience.

Overall, the partnership has strengthened resilience in Majuli's high-risk riverine landscape by combining resilient infrastructure with community-led systems. Families are safer, better connected, and more prepared during floods, supported by improved WASH access and reduced health risks. Enhanced mobility and shelters enable quicker, safer evacuation and recovery, while addressing gaps like shelter congestion can further improve emergency response. The model shows strong potential for replication in similar flood-prone regions.

## Impact Assessment Project 2

### Supporting Pediatric Cardiac Surgeries Program | FY 2023-24

Axis Bank, in partnership with the Sri Sathya Sai Health & Education Trust, supported free pediatric cardiac surgeries for children with congenital heart disease across Chhattisgarh, Haryana, and Maharashtra, ensuring end-to-end care for economically vulnerable families. Between January and March 2024, 175 children were treated under the initiative, supported by a CSR outlay of ₹2.62 crores. An OECD-DAC-aligned impact assessment using mixed methods (desk reviews, 94 caregiver interviews, medical consultations, and case studies) evaluated relevance, effectiveness, efficiency, impact, and sustainability, along with improvements in child health and family well-being.

#### Key Findings:

1. **Clinical Success:** 97% surgical success rate with 94% reporting no post-surgical complications.
2. **Child Health Improvement:** 90% of caregivers reported significant improvement in children's health indicators such as energy levels and physical activity.
3. **Education Outcomes:** 90% school-age children who missed school days due to health-related challenges resumed regular school.
4. **Financial Protection:** 97% of families reported reduced medical expenses; 43% incurred zero post-surgery costs.
5. **Caregiver Livelihoods:** 78% of caregivers reported a sharp reduction in workdays lost post-intervention.
6. **Equity & Reach:** Majority of beneficiary families earned below ₹30,000 per month, indicating strong outreach to vulnerable households.

Overall, the partnership demonstrates a high impact, equitable healthcare model addressing critical gaps in pediatric cardiac care. It has enabled rapid recovery, improved quality of life, and protected families from catastrophic health expenditure. Children are able to resume normal routines quickly, reflecting strong program relevance and impact. With robust clinical capacity and follow-up systems, the model shows strong scalability potential across under-served regions.

### Impact Assessment Project 3

#### Museum of Solutions Program, Mumbai | FY 2021-24

Axis Bank, in partnership with the JSW Foundation, supported the development of the Museum of Solutions (MuSo)-India's first experiential children's museum promoting STEAM learning, sustainability, and alignment with the UN SDGs through inclusive, child-centric design. The project enhanced learning through interactive exhibits and hands-on activities, including for children with disabilities, supported by a ₹5 crores CSR grant for LEED-certified infrastructure. An OECD-DAC-aligned impact assessment using mixed methods (desk reviews, field visits, surveys, FGDs, and interviews) engaged over 150 stakeholders to evaluate relevance, effectiveness, and sustainability.

#### Key Findings:

1. **Reach and Inclusion:** Since inception, the museum recorded over 1.8 lakhs visitors, including more than 60,000 children and approximately 1,000 children with disabilities.
2. **Learning Engagement:** 88% of children found exhibits very interesting, while 56% fully engaged in hands-on learning activities.
3. **Learning Retention:** 90% of children reported confidence in applying museum learnings in daily life and classroom environments.
4. **User Satisfaction:** 77% of children expressed very high satisfaction with the overall museum experience.
5. **Comparative Advantage:** Among children who had visited other museums, 80% rated MuSo better in terms of interactivity and quality of facilities.
6. **Sustainability and Outreach:** 86% of children indicated willingness to recommend the museum to peers and family, supporting sustained footfall and outreach.

Overall, the partnership with the JSW Foundation has enabled MuSo to deliver transformative, hands-on learning that builds 21 century skills and complements formal curricula in an engaging, experiential environment. Its inclusive design expands access for under-resourced schools and children with disabilities, ensuring equitable exposure to STEAM and sustainability concepts. The museum's interactive approach allows children to learn sustainability by doing, fostering deeper understanding and behavioural shifts. Introducing structured post-visit learning materials can further strengthen knowledge retention and classroom integration. The model has strong potential to enhance and scale urban learning ecosystems across India.

### Impact Assessment Project 4

#### Axis Bank Shiksha Se Samriddhi Program | FY 2023-24

Axis Bank, in partnership with Microsave Consulting India, implemented Shiksha Se Samriddhi, a financial literacy program in Muzaffarpur (Bihar) and Jeypore (Odisha) to build financial knowledge, confidence, and positive financial behaviour through a blended classroom-plus-IVR model. The initiative reached 10,594 beneficiaries through 145 classroom sessions and 11 IVR modules, supported by flipbooks, flashcards, AV aids, and budgeting tools. Content was persona-based and locally contextual, focusing on budgeting, savings, digital payments, and banking awareness. With a CSR outlay of ₹2.10 crores, an OECD-DAC-aligned impact assessment using mixed methods (interviews, FGDs, and KIs) engaged 369 stakeholders to evaluate relevance, effectiveness, efficiency, impact, sustainability, and behavioural change.

#### Key Findings:

1. **Financial behaviour & budgeting:** 79% participants now prepare household budgets (69% Bihar, 89% Odisha), indicating improved financial planning.
2. **Digital payments adoption & household spillover:** 77% encouraged at least one family member to adopt digital payments; usage shifted from 100% cash to 69% cash with occasional digital use.

3. **IVR effectiveness & learning retention:** 95% respondents reported IVR messages were clear and easy to understand, validating the blended classroom-IVR delivery model.
4. **Financial awareness & confidence:** 57% reported improved account awareness; 62% better understanding of banking products; confidence gaps reduced (76% partially resolved, 24% fully resolved).
5. **Sustainability gap:** Despite improved awareness, only 4% participants accessed government schemes or credit linked to their bank accounts, highlighting the need for stronger scheme and product linkage support.

Overall, the partnership has driven measurable behaviour change in household financial management and digital usage, especially among rural women. The blended model enhances retention, with IVR reinforcing learning beyond sessions. Beneficiaries report greater confidence in engaging with formal banking, reducing reliance on informal channels. With targeted support on UPI adoption, scheme access, and credit linkages, the program can deepen financial empowerment and strengthen inclusion outcomes across low-income communities.

## Impact Assessment Project 5

### Solar Cold Storage System, Nagaland | FY 2022-24

Axis Bank, in partnership with the Investment & Development Authority of Nagaland ("IDAN"), supported installation of solar-powered cold storage units across 16 remote, electricity-constrained locations in Nagaland (December 2022–March 2024) to reduce post-harvest losses and improve market access for smallholder farmers. By enabling storage of perishable produce, the project aimed to minimize spoilage, enhance price realization and stabilize incomes, supported by a CSR outlay of ₹5.21 crores. An OECD-DAC-aligned impact assessment using mixed methods (60 surveys and 10 interviews across four districts) evaluated relevance, effectiveness, efficiency, sustainability, utilization and long-term viability.

#### Key Findings:

1. **Post-harvest loss reduction:** Earlier, 54.2% farmers reported losses of 26–50% and 6.3% above 50%; post intervention, ~80% limited losses to 1–10%, with over 40% reducing losses below 5%.
2. **System reliability and performance:** 91.7% of farmers reported no technical issues with the systems. Cooling performance was rated good or excellent by more than 95% of users, reflecting strong operational reliability of the solar-powered units.
3. **Storage capacity utilization:** 81.3% of farmers never faced unavailability due to full capacity. Capacity constraints were mainly observed at high-demand sites with smaller units (5 MT), particularly in Mokokchung.
4. **Income and market outcomes:** Reduced spoilage and short-term storage (one–three days) enabled farmers to avoid distress selling, improve market timing, and secure better price realization—leading to enhanced income stability.
5. **User satisfaction and sustainability:** 86.7% of farmers indicated they would definitely recommend the facility, showing high satisfaction, strong acceptance, and strong likelihood of sustained and repeated usage across seasons.

Overall, our partnership with IDAN has strengthened farm-level resilience by ensuring reliable cold-chain access that reduces losses and improves incomes. The solar design delivers consistent performance in low-grid areas, while community-managed operations foster ownership and effective utilization. With capacity expansion and hybrid backup support, the model can deliver greater value and scale as a climate-resilient solution across similar geographies.

## Impact Assessment Project 6

### Axis Bank Financial Literacy for Youth (FLY) Program | FY 2022-24

Axis Bank, in partnership with the National Institute of Securities Markets ("NISM"), implemented the Financial Literacy for Youth (FLY) Program to strengthen financial knowledge, responsible money management, digital finance awareness, and career orientation among college students across India. Between February 2023 and March 2024, the program reached over 37,000 students across 393 colleges in 17 states, covering budgeting, savings, investments, mutual funds, digital payments, risk awareness, and careers in the securities market. The initiative was supported by a CSR outlay

of ₹2.46 crores. As required under CSR norms, an impact assessment using a mixed method approach aligned to the OECD-DAC framework included 320 structured surveys and 10 in-depth interviews to assess relevance, effectiveness, efficiency, impact, sustainability, and state-wise variations in outcomes.

### Key Findings:

1. **Financial knowledge and awareness:** 69% of students correctly differentiated saving vs. investing, 74% identified equity as a high-risk / high-return product, and 75% recognized SEBI as the market regulator, showing strong conceptual gains.
2. **Behavioural change in money management:** About 70% of students tracked expenses or budgeted, and 68% saved money in the last year, indicating early adoption of disciplined financial habits, especially in Haryana and Uttar Pradesh.
3. **Digital finance usage and safety:** Nearly 89% of students had opened a bank or payment account and 74% used UPI or wallets regularly. Digital safety awareness was high, though 34% faced transaction issues, mainly in Bihar and Madhya Pradesh.
4. **Career orientation and aspirations:** Over 80% of students showed increased interest in finance-sector careers, and 72.5% were willing to pursue NISM certification, reflecting strong career motivation.
5. **Delivery quality and efficiency:** Trainer quality and bilingual delivery were well appreciated, but short one-two days sessions and large batch sizes in some colleges limited interaction and depth of learning.
6. **Sustainability and institutional acceptance:** Students continued budgeting and saving after training, and colleges were open to hosting future batches. However, low completion rates (27%) and delays in issuing certificates (~50%) may affect long-term motivation.

Overall, the partnership with NISM has effectively equipped youth with practical money-management skills and strong digital-safety awareness that they can apply immediately. Students demonstrated sharp increases in confidence and curiosity toward finance-sector careers, reflecting meaningful aspiration shifts. Strengthening hands-on demonstrations and adopting uncompressed training formats will enhance learning depth and retention. Streamlining the certification process will reinforce credibility and improve employability signaling for participants. The program model is robust, scalable, and well-suited for expansion across college campuses nationwide.

## Impact Assessment Project 7

### Miyawaki Tree Plantation Project, Navi Mumbai | FY 2021-24

Axis Bank, in partnership with Green Yatra Trust, implemented a Miyawaki urban afforestation initiative in Navi Mumbai to restore degraded public green spaces and enhance biodiversity, climate resilience, and ecosystem services, aligned with SDGs 11, 13, 15, and 17. Supported by a ₹1.5 crores CSR outlay, the project planted 25,000 saplings across three municipal gardens using the high-density Miyawaki method to rapidly improve urban green cover. An impact assessment, aligned with the IUCN NbS Global Standard and RBM framework, used mixed methods including field surveys, biodiversity assessments, soil testing, and community interactions to evaluate ecological and social outcomes.

### Key Findings:

1. **Survival and establishment:** Of the 25,000 saplings planted, approximately 19,450 survived, resulting in a weighted survival rate of 77.8% after two years of maintenance, indicating strong establishment under urban conditions.
2. **Biodiversity enhancement:** 56 species planted across four layers; four threatened species included; 30+ faunal species recorded, showing early habitat recovery.
3. **Climate mitigation:** Rapid biomass growth was observed within ~2.5 years, with canopy heights of 10–12 m and average girths of ~30 cm. At mid-thinning stage (~5 years), the combined carbon sequestration potential is estimated at ~100,000 kg CO<sub>2</sub> per year, demonstrating strong climate mitigation contribution.
4. **Ecosystem services:** Miyawaki plots showed two-four times higher soil percolation rates and soil temperatures 3–5°C lower than control areas, indicating improved groundwater recharge, urban cooling, and microclimate regulation.

5. **Air-quality co-benefits:** Analysis of nearby AQI data (2022–24) showed improvement in nine out of 12 months, with more pronounced reductions during winter; while not solely attributable to the plantations, trends are consistent with increased dense green cover.
6. **Economic efficiency:** With a total CSR grant of ₹1.5 crores (including plantation, two years of maintenance and monitoring), suggesting good value for money when assessed against ecological outcomes rather than planting numbers alone.
7. **User access and governance:** The plantations remain open, accessible public green spaces, implemented on municipal land with formal approvals and handover to NMMC, supporting long-term stewardship and institutional sustainability.
8. **Scalability and sustainability:** Highly replicable Nature-based Solution aligned with urban climate and biodiversity priorities.

Overall, the partnership has enabled rapid creation of dense, climate-resilient urban forests with strong ecological outcomes. High survival, fast growth, and early biodiversity gains demonstrate effectiveness of the Miyawaki method. The plantations are already delivering measurable ecosystem services—cooling, improved soil health, water percolation, and air-quality benefits—enhancing urban livability. With robust governance and public accessibility, the model offers a scalable, high impact solution for urban climate and biodiversity action.

## Impact Assessment Project 8

### Axis Sachetna (Financial & Health Literacy Program) | FY 2023-24

Axis Bank implemented short, local-language video modules on Financial and Health Literacy to improve women's awareness on budgeting, savings, insurance, formal banking, and preventive health practices. The curriculum covered budgeting, savings, DBT, RuPay, PMJDY, PMSBY, and PMJJBY, along with hygiene behaviours such as handwashing and safe drinking water. Implemented by Qness Corp, the program reached 11.46 lakhs women across 20 states with a CSR outlay of ₹25 crores. An OECD-DAC-aligned impact assessment using structured surveys (with proportionate sampling and matched controls) evaluated knowledge recall, financial behaviours, insurance awareness, DBT usage, and hygiene practices.

#### Key Findings:

1. **High recall of financial messages:** Over 88% of participants recalled core financial literacy messages, compared to 15–16% among the control group. Recall of PMSBY insurance messaging was particularly high at 98.6%, versus 15.4% among control group.
2. **Improved household financial management:** Nearly 89.7% of participants reported tracking household income and expenditure, compared to 40.3% of control respondents. 64.8% began this practice after watching the video, indicating strong attribution to the intervention. Similarly, 68.3% began estimating monthly savings post-training, while 62.7% of control respondents had no estimate of savings.
3. **Deeper engagement with formal banking:** While savings account ownership was already high, participants showed greater depth of engagement, with higher multi-bank relationships (8.4% vs. 1.6%), significantly higher awareness of RuPay debit card benefits (96% vs. 69.5%), and greater individual card ownership among women.
4. **Improved awareness and uptake of DBT:** Only 3.7% of participants were unaware of DBT benefits, compared to 28.1% of control group. 64.6% gained awareness after program exposure, and 86.2% reported receiving DBT benefits, compared to 66.1% among control group, alongside far fewer “don't know” responses.
5. **Stronger insurance coverage:** Nearly all participants (99%) recognised the importance of health and life insurance. Comprehensive family health insurance coverage stood at 64.0% among participants, compared to 40.7% among controls, driven largely by government schemes, particularly Ayushman Bharat. Life insurance coverage was also higher (65.9% vs. 44.6%).
6. **Sustained health and hygiene outcomes:** Recall of health and hygiene messaging was 92.5% among participants, compared to 16.3% among control group. Over 90% agreed that the videos helped improve their lifestyle, with strong reported adoption of preventive practices.



7. **Consistency across years:** Findings reaffirm trends from earlier assessments, demonstrating sustained learning, translation from awareness to action, and positive impacts on income stability, reduced health expenditure, financial confidence, and community-level spillovers.

Overall, the initiative has delivered strong improvements in women's financial behaviours, banking engagement, and preventive health practices. High recall and clear behavioural shifts—well above control groups—demonstrate strong attribution to the short video format. The program has strengthened financial confidence, improved DBT access, and increased insurance uptake, contributing to greater household security. Health awareness has translated into sustained behaviour change, making the model highly cost-efficient, scalable, and effective across geographies, with scope for deeper impact through continued reinforcement and community dissemination.

### Impact Assessment Project 9

#### Axis Bank Scholars Program (Ashoka University) | FY 2020-25

Axis Bank partnered with Ashoka University to implement the Ashoka Scholars Program, a ₹4.5 crores initiative supporting access to high-quality higher education for 30 meritorious female undergraduate students across 14 states, with a focus on increasing women's participation in STEM and quantitative disciplines. Launched in 2020, the program provides 50%–100% tuition support for students from economically constrained, often single-income households, with selection based on rigorous needs assessment. An OECD-DAC-aligned impact assessment using mixed methods (20 surveys and eight KIIs) evaluated relevance, effectiveness, equity, academic outcomes, and socio-economic benefits. The report includes the latest cohort up to fiscal 2025.

The report is inclusive of the last cohort of students who progressed to the academic year of fiscal 2025.

#### Key Findings:

1. **Critical Enabler of Access:** The scholarship was essential for university entry, with most scholars confirming they could not have attended Ashoka without financial aid. It directly prevented educational drop-offs and ensured deserving women entered a high quality academic environment.
2. **Significant Financial Stress Reduction:** 56% reported moderate and 44% high reduction in financial burden; families avoided loans and asset liquidation.
3. **Improved Academic Focus & Performance:** Reduced financial pressure enabled stronger academic focus, and research engagement; scholars reported clearer academic direction.
4. **Enhanced Professional Exposure & Opportunities:** Students accessed high-value internships, research assistantships, and industry projects that significantly strengthened employability. Such opportunities would not have been accessible in most public institutions.
5. **Strong Psychosocial Transformation:** Access to internships, research roles, and industry projects significantly improved employability and made the students exponentially more confident.
6. **Promising Alumni Outcomes:** Alumni outcomes show upward mobility—64% employed, 36% pursuing higher studies, with salary ranges between ₹7–22 lakhs per annum. These outcomes indicate strong long-term return on investment and career readiness.
7. **Creation of Social Capital & Mentorship Networks:** Students benefited from mentorship by faculty, peers, and alumni, improving academic decision-making, career navigation, and long-term aspiration building. These networks continue to support graduates beyond university.
8. **Identified Barriers in Application & Coverage:** Short documentation windows (five-seven days), intrusive financial disclosures, and technical access challenges posed entry barriers for disadvantaged applicants. Partial-aid scholars (50–65% waiver) continued to face residual financial stress.

Overall, the partnership has enabled high-potential women to access world-class education otherwise unattainable, significantly reducing financial stress and improving academic and career outcomes. Strong psychosocial gains and mentorship networks support long-term mobility and impact. With refinements in application processes and increased support for partial-aid students, the model demonstrates strong potential for scalable gender-equity outcomes.

## Impact Assessment Project 10

### Axis Bank Dementia Day Care Centre Program | FY 2022-24

Axis Bank, in partnership with Dignity Foundation, supports Dementia Day Care Centres ("DDCs") in Pune and Delhi NCR with a ₹1.09 crores outlay, providing structured, multidisciplinary care for elderly individuals with dementia while offering respite to caregivers. Services include physiotherapy, occupational therapy, cognitive stimulation, recreational activities, nutritious meals, and assisted transport. An OECD-DAC-aligned impact assessment using surveys, interviews, and field evaluations examined relevance, effectiveness, efficiency, impact, and sustainability.

#### Key Findings:

1. **Significant Reduction in Caregiver Burden:** Caregivers gained approximately seven hours of daily respite ( $\approx 50$  hours / week) as patients spent six-seven hours at the centre with safe pickup / drop services. This substantially reduced continuous care giving pressure for nuclear families.
2. **High Satisfaction with Quality of Care:** 100% of caregivers reported very high satisfaction with therapeutic care, staff behaviour, hygiene, and overall environment. They especially appreciated the caregivers' patience, empathy, and respectful handling of dementia patients.
3. **Positive Improvements in Patient Health & Functionality:** 67% of caregivers reported improvements in patients' mood, independence, treatment adherence, and physical activity. Patients were described as calmer, more energetic, and more engaged in structured routines.
4. **Enhanced Emotional & Social Well-being:** Patients showed improved emotional stability and reduced irritability, supported by engaging activities such as brain games, music therapy, art and craft, group games, and physiotherapy—strengthening cognitive and social stimulation.
5. **High Convenience & Accessibility for Families:** Caregivers found the centre's location highly convenient, and the pickup / drop service was seen as a major enabler, particularly for working caregivers balancing employment and care giving responsibilities.
6. **Strong Therapeutic Value from Multidisciplinary Care:** The structured combination of physiotherapy, occupational therapy, cognitive stimulation, yoga / meditation, and social interaction aligned with dementia-care best practices and the 4Rs—Reassure, Redirect, Respect, Routine.
7. **No Financial Stress Despite Program Fees:** Although families spent ₹17,500 per month, all caregivers reported that the program did not create financial strain. Many expressed willingness to pay more for expanded services, including weekend shifts.
8. **Major Gaps in Communication & Documentation:** Despite high satisfaction with care, 100% of caregivers were dissatisfied with weak communication systems, irregular updates, inconsistent progress reports, and inadequate documentation—identified as the program's biggest operational weakness.

Overall, the partnership with Dignity Foundation has established a high-impact dementia care model that improves patient well-being while significantly reducing caregiver burden. The multidisciplinary approach enhances functionality, mood, and social engagement, while reliable respite, safe transport, and supportive care enable families to balance responsibilities. High caregiver satisfaction reflects strong delivery, though improving communication and reporting systems can further strengthen effectiveness and trust.

5. (a) **Average net profit of the Bank as per sub-section (5) of Section 135:** ₹26,474.59 crores  
 (b) **Two percent of average net profit of the Bank as per sub-section (5) of Section 135:** ₹529.49 crores  
 (c) **Surplus arising out of the CSR projects or programmes or activities of the previous financial years:** Nil  
 (d) **Amount required to be set-off for the financial year, if any:** Not applicable  
 (e) **Total CSR obligation for the financial year [(b)+(c)-(d)]:** ₹529.49 crores
6. (a) **Amount spent on CSR projects (both Ongoing Project and other than Ongoing Project):** ₹420.35 crores

- (b) Amount spent in Administrative Overheads: ₹0.71 crore
- (c) Amount spent on Impact Assessment, if applicable: ₹0.60 crore
- (d) Total amount spent for the financial year [(a)+(b)+(c)]: ₹421.66 crores
- (e) CSR amount spent or unspent for the financial year:

| Total amount spent for the financial year (₹ in crores) | Amount Unspent (₹ in crores)                                                          |                                                                      |                                                                                                                     |        |                  |
|---------------------------------------------------------|---------------------------------------------------------------------------------------|----------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|--------|------------------|
|                                                         | Total amount transferred to Unspent CSR Account as per sub-section (6) of Section 135 |                                                                      | Amount transferred to any fund specified under Schedule VII as per second proviso to sub-section (5) of Section 135 |        |                  |
|                                                         | Amount                                                                                | Date of transfer                                                     | Name of the fund                                                                                                    | Amount | Date of transfer |
| 421.66                                                  | 108.45                                                                                | 17 April, 2026<br>18 April, 2026<br>20 April, 2026<br>21 April, 2026 | Not applicable                                                                                                      | Nil    | Not applicable   |

- (f) Excess amount for set-off, if any:

| Sr. No. | Particular                                                                                                  | Amount (₹ in crores) |
|---------|-------------------------------------------------------------------------------------------------------------|----------------------|
| (1)     | (2)                                                                                                         | (3)                  |
| (i)     | Two percent of average net profit of the Bank as per sub-section (5) of Section 135                         | 529.49               |
| (ii)    | Total amount spent for the financial year                                                                   | 530.11               |
| (iii)   | Excess amount spent for the financial year [(ii)-(i)]                                                       | 0.62                 |
| (iv)    | Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any | Nil                  |
| (v)     | Amount available for set-off in succeeding financial years [(iii)-(iv)]                                     | 0.62                 |

**7. Details of Unspent Corporate Social Responsibility amount for the preceding three financial years:**

| 1       | 2                           | 3                                                                                            | 4                                                                                        | 5                                                | 6                                                                                                                            |                  | 7                                                                        | 8                  |
|---------|-----------------------------|----------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|--------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|------------------|--------------------------------------------------------------------------|--------------------|
| Sr. No. | Preceding financial year(s) | Amount transferred to Unspent CSR Account under sub-section (6) of Section 135 (₹ in crores) | Balance amount in Unspent CSR Account under sub-section (6) of Section 135 (₹ in crores) | Amount spent in the financial year (₹ in crores) | Amount transferred to a fund as specified under Schedule VII as per second proviso to sub-section (5) of Section 135, if any |                  | Amount remaining to be spent in succeeding financial years (₹ in crores) | Deficiency, if any |
|         |                             |                                                                                              |                                                                                          |                                                  | Amount (₹ in crores)                                                                                                         | Date of Transfer |                                                                          |                    |
| 1       | Fiscal 2023                 | 29.61                                                                                        | Nil                                                                                      | 2.61                                             | Nil                                                                                                                          | Not applicable   | Nil                                                                      | Nil                |
| 2       | Fiscal 2024                 | 51.24                                                                                        | Nil                                                                                      | 0.89*                                            | Nil                                                                                                                          | Not applicable   | Nil                                                                      | Nil                |
| 3       | Fiscal 2025                 | 139.65                                                                                       | 0.03                                                                                     | 139.62                                           | Nil                                                                                                                          | Not applicable   | 0.03                                                                     | Nil                |

\* An amount of ₹0.89 crore was received from the NGO partners as an unspent amount and the same has been subsequently spent by the NGO partners during the current financial year.

**8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the financial year:**

☐ Yes ☒ No

If yes, enter the number of capital assets created / acquired: Not applicable.

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the financial year: Not applicable.

**9. Specify the reason(s), if the Bank has failed to spend two per cent of the average net profit as per sub-section (5) of Section 135: Not applicable.**

**Amitabh Chaudhry**

Managing Director & CEO  
(DIN: 00531120)

Place: Mumbai  
Date: 25 April, 2026

**N. S. Vishwanathan**

Chairman of CSR Committee  
(DIN: 09568559)

## Annexure 5

**CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO**

[Pursuant to Section 134(3)(m) of the Companies Act, 2013 and Rule 8(3) of the Companies (Accounts) Rules, 2014]

**Conservation of Energy****The steps taken by the Bank or impact on conservation of energy:**

- a) Availability of Electrical vehicle charging facility at large buildings i.e., Axis House, Mumbai, Andheri MIDC & Axis House, Noida.
- b) Lithium based battery backup is provided for all new UPS installations and existing replacement.
- c) Inverter based air conditioning machines with green refrigerant gas (R32 / R410A) is provided for all new installations and existing replacements.
- d) Replacement of conventional lights with LED lights is provided in all branches / offices.
- e) Centralized energy management system ("**CEMS**") is operational in 600 branches to monitor and control energy consumption.
- f) Daily re-cycling capacity of 110 kiloliters ("**KL**") of water through sewage treatment plant available at Axis House, Mumbai.
- g) Availability of annual rainwater harvesting capacity of approximately 2000 KL at Axis House, Mumbai.
- h) Savings of water consumption by use of sensors / bio-blocks in urinals at selected large offices.

**The steps taken by the Bank for utilising alternate sources of energy:**

- a) Solar power purchased under power purchase agreement ("**PPA**") model for the Bank's business continuity centre (data centre), Bengaluru.
- b) Solar on ground installations aggregating 2MW.
- c) Three large offices in Mumbai i.e., Axis House Mumbai, MIDC Andheri and the Ruby premises are operational on 100% renewal green energy.

**Capital Investments on energy conservation equipment:**

- a) Replacement of conventional lights with LED lights at existing set up and new branches estimated at approximately ₹3.55 crores per annum.
- b) Yearly cost of approximately ₹3.22 crores towards centralised energy management services project.

**Technology Absorption****1. Efforts made towards Technology Absorption and benefits derived therefrom:**

The Bank continues to advance technology-led business initiatives to simplify and enhance customer banking experience, supported by sustained innovation and adoption efforts during fiscal 2026.

- a) **Artificial Intelligence (AI):** The Bank continues to strengthen its AI journey by advancing digital transformation and innovation by enhancing customer service and technology delivery through AI-enabled service capabilities, integrated voice streaming, and strengthened compliance controls. The Bank is improving software delivery efficiency through AI-assisted development, enabling faster release cycles, higher code throughput, earlier risk detection, and automated remediation. Through AI, the Bank intends to drive operational efficiency and revenue growth by improving employee productivity; enable real-time risk and compliance monitoring, accelerate business responses, and empower instant, self-service insights and query resolution. Furthermore, the Bank has integrated Generative AI into its operations through the implementation of Axis Deep Intelligence (ADI), a Gen-AI-based internal chatbot. Deployed at enterprise scale, ADI supports over 84,000 employees and resolves more than 81% of employee queries at the branch level. Adoption has been strong, with an average of 33,000 monthly unique users and nearly 32 lakhs queries processed.

- b) **'OPEN' Mobile Banking:** The Bank continues to strengthen its Mobile Banking platform, which now provides over 250 features. The platform has received strong customer endorsement, reflected in ratings of 4.8 on the iOS App Store based on over 0.36 million reviews and 4.7 on the Google Play Store from more than 3.4 million reviews. Ongoing enhancement of channel capabilities has driven a higher proportion of service requests through digital channels, resulting in monthly active users exceeding 15 million. The Mobile Banking application has surpassed 35 million registered users. The Bank remains focused on sustaining its leadership position and maintaining higher app store ratings through FY27.
- c) **Digital Payments:** The Bank continued to deliver robust performance within the UPI ecosystem, supported by a Virtual Payment Address (VPA) base of 2,448 million and the ability to process approximately 15.5 million merchant transactions per day on the UPI platform. The Bank has retained the leadership position in the UPI Payer Payment Service Provider (PSP) segment, with an estimated market share of 39%. The Bank also continues to maintain lowest UPI technical decline rates among peer institutions, highlighting the strength, stability, and reliability of its UPI infrastructure. Furthermore, the Bank has emerged as a leader in Central Bank for Digital Currency ("CBDC") with over 1 million registered customers and over 10 million transactions, and the CBDC adoption has grown annually by ~50%. The WhatsApp banking platform now serves more than 30 million users, executing 100+ campaigns and over 40 million communications. Additionally, the Bank strengthened its wholesale and corporate banking digital capabilities through successful migration to a comprehensive Investment Banking technology suite, launched key platforms and rolled out of Neo for Markets on mobile, and rationalisation of channels within Neo for Corporates.
- d) **Lending Transformation:** Adoption reached 94-100% in Bharat Banking products and 84% by volume in Small Business Banking ("SBB") Working Capital, supporting diversified business coverage across new, used, salaried, and hybrid customer segments, with market share in Tractor & Farming Equipment increasing by approximately 75% Y-o-Y.
- e) **Enterprise Core:** The Bank continued to strengthen Finacle as the enterprise core, enabling scalable growth, and higher levels of straight through processing across retail and corporate businesses. Platform modernization and tighter digital integrations improved operational resilience, cost efficiency, and consistency of customer experience across channels. The Bank achieved large-scale branch transformation with Finacle branch upgrade across 5,983 branches and 174 back-offices migrated to the upgraded version, supporting asset and liability services on the modernized platform.

The Bank expanded digital lending across Bharat Banking, SBB Working Capital, and Retail Home Loans, achieving strong adoption across products. This enabled diversified coverage across new, used, salaried, and hybrid customer segments, while strengthening market position in Tractor and Farming Equipment.

The Bank's upgraded Murex platform strengthened the resilience and scalability of treasury and markets operations, aligned to the Platform and Resiliency strategy. Enhanced platform stability, controls, and integration readiness enabled uninterrupted performance across market cycles.

- f) **Integration:** The Bank has strengthened its API security framework through the implementation of Aadhaar-seeding controls, Enterprise Service Bus (ESB)-level encryption, and Aadhaar Enabled Payment System (AePS) compliance, supported by enhanced monitoring and integration of the API inventory with change-management processes. API adoption continues to scale, with approximately a 9% month-on-month increase in request volumes, supported by over 951 partner APIs, more than 970 partner onboardings, and over 2,874 internal APIs. In parallel, the developer portal has expanded its reach, offering 650+ APIs to a growing community of over 6,770 developers.
- g) **Enterprise Architecture and Cloud:** The Bank strengthened its digital core by managing over 17 AI applications and platforms to support key initiatives such as the Lending Transformation through co-solutioning microservices. The CI / CD pipeline scaled to over 150 applications, while cloud DevOps achieved 99.99% availability, ensuring compliance with the RBI and SEBI SBOM requirements. The Bank enabled AI-supported software development lifecycle (AI-SDLC) for over 35 applications. Furthermore, the Bank delivered outcomes by establishing an enterprise-grade open-source cloud data Lakehouse, alongside automated vulnerability management and chaos engineering to strengthen security and resiliency.





- h) **Infrastructure Resiliency:** The Bank operates a centralized IT infrastructure across two primary data centers located in different seismic zones in Mumbai and Bengaluru, along with a near disaster recovery (DR) data center in Bengaluru. The data center architecture has been modernized and is now built for scale, with enhanced capabilities, modular expansion provisions, and additional capacity and space to support future business growth and technology adoption. These data centers are interconnected through wide area network connectivity and multi protocol label switching (MPLS) to support application delivery across domestic and international branches. The facilities adhere to industry benchmarking standards and are designed to maintain high availability. The Bank's cluster based DR drills further ensure data privacy and security through encrypted and access controlled failover mechanisms, DPDP compliant data handling practices, continuous threat monitoring, and preservation of customer controlled security configurations.
- i) **Cyber Security:** The Bank continues to uphold the highest standards of data security and remains focused on strengthening its cyber security capabilities through ongoing investments. A comprehensive and holistic cyber security program is in place, supported by a robust Cyber Security Policy and supporting standards aligned with best practices and applicable regulatory requirements. The Bank's cyber security governance and operating framework is based on the National Institute of Standards and Technology (NIST) and ISO 27001 standards and is structured around the core pillars of Govern, Identify, Protect, Detect, Respond, and Recover.

The Bank maintains compliance with global information security and data protection standards, including ISO 27001:2022 for Information Security Management Systems, ISO 27017:2015 for Cloud Security, ISO 27034:2021 for Software Development and Application Security (Letter of Recognition), and Payment Card Industry Data Security Standard (PCI DSS) version 4.0.1. The Bank is also certified under ISO 27018:2025, which governs the protection of Personally Identifiable Information (PII) in cloud environments.

During the year, the Bank additionally achieved ISO / IEC 42001:2023 certification, the international standard for Artificial Intelligence Management Systems (AIMS), reinforcing its commitment to responsible, secure, and well-governed adoption of AI technologies. This comprehensive certification framework underscores the strength of the Bank's cyber security posture and the robustness of its security and AI governance controls across its IT and application landscape. Axis Bank is the first bank globally to be certified under the ISO / IEC 42001 Artificial Intelligence Management System standard.

The Bank operates 24x7 Security Operations Centre (SOC) and Cyber Security Operations Centre to ensure continuous monitoring and response. All digital products of the Bank are actively monitored across the dark net and deep web to detect potential threats and data exposure risks. The Bank consistently maintains a strong BitSight security rating of 810 out of 900 (with 820 being the maximum achievable score), placing it ahead of Banking and Financial Services institutions tracked by BitSight and reflecting a well-controlled and resilient external security posture.

Cyber security control deployed by the Bank have resulted in: (a) Improved reliability and security of digital products through enhanced controls and continuous monitoring, (b) Reduction in potential operational losses by preventing cyber security incidents, minimizing recovery costs, and improving response efficiency, (c) Strengthened secure product development practices aligned to global frameworks (NIST, ISO standards), ensuring security-by-design, and, (d) Enhanced protection of customer data and trust through adherence to recognized security and data privacy standards.

## 2. Details of imported technology (imported during the last three years) reckoned from the beginning of the fiscal year is as follows:

### a) The details of technology imported:

- (i) No hardware procurements have been made in foreign currency.
- (ii) Several software licenses and upgrades across cards and payments and fund services - capital markets, have been procured over the past three financial years.

**b) The year of import:**

The details are provided below:

| Year         | Currency | Expenditure         |
|--------------|----------|---------------------|
| Fiscal 2024  | USD      | 480,000.00          |
| Fiscal 2025  | USD      | 2,188,211.30        |
| Fiscal 2026  | USD      | 460,000.00          |
| <b>Total</b> |          | <b>3,128,211.30</b> |

**c) Whether the technology has been fully absorbed:**

All licenses procured have been put to use.

**d) If not fully absorbed, areas where absorption has not taken place, and the reasons thereof:**

Not applicable

**3. The expenditure incurred on research and development:**

Nil

**Foreign exchange earnings and outgo**

For fiscal 2026, for the domestic operations, the Bank had a net foreign exchange gain arising on all exchange / derivatives transactions of ₹2,540.38 crores and the foreign exchange outgo towards the operating and capital expenditure was ₹273.31 crores.

**For and on behalf of the Board of Directors**

**N. S. Vishwanathan**

Independent Director and Part-time Chairman  
(DIN: 09568559)

Place: Mumbai

Date: 25 April, 2026

# Management's discussion and analysis

## MACRO-ECONOMIC ENVIRONMENT

The domestic economy was primed to enjoy a few more years of above-trend growth, given significant slack below the pre-2020 growth trajectory, especially with a significantly slower pace of fiscal consolidation, easy monetary conditions, and regulatory easing with a focus on ease of doing business. However, the West Asia conflict has thrown up a multi-dimensional shock: commodity prices and availability. Uncertainty around business conditions, and higher global costs of capital are also likely to be seen, driving greater caution and a holding back of consumption as well as investment activity. Nor is the end of the conflict likely to fully reverse these trends, with developments in geopolitics suggestive of further conflicts where major powers take sides down the road. All-in, these developments lead to reduced savings, higher costs of goods and services, and higher costs of capital.

### India Economy

The global landscape is likely to hit both long-term and short-term growth domestically. Short-term, tighter inputs and greater uncertainty will stall otherwise strong recovery trends, while a less value chain friendly global environment with higher costs of capital will likely hold back longer term trends. We already see continued financial outflows with high domestic savings flowing out, in response to falling global savings and higher interest rates-these are likely a natural driver of raising domestic rates to converge with global real levels, drive higher inflation, and lower long-term growth.

As against this, nimble policymaking and the use of countercyclical buffers can support both short and long-term growth. The budget's focus on electronics and technology, accessibility to resource-rich areas, focus on biopharma and services exports where tariff focus has been light, increased defence capex, and a focus on urban infra are all part of this mix, adding to the existing focus on macro and micro-infrastructure. Additionally, India has also rapidly moved to close bilateral trade agreements with complementarity as the focus - resulting in over 70% of exports now covered by deals. While the global environment will likely remain inherently unpredictable, these steps will help build the foundation for stabler, well-positioned growth.

### Banking system trends and linkages

Positive trends also reflect on the banking sector in general, and well-managed banks in particular: Stronger and higher quality growth along with policy predictability have helped credit growth pick up over an increasingly diversified base - with MSMEs, services, NBFCs and retail. Additionally, this growth has been towards higher quality assets, with innovations in appraisal also better able to identify new avenues adding onto positive quality migration. Trends have resulted in continued declines in industry credit costs and a high level of capital adequacy. Evidence from past input price shocks suggests a pickup in working-capital linked credit in the medium term - though higher effective lending costs might hold up progress here.

Fiscal 2027 will also likely see good banking growth. Already, demand for debt capital has been strong, and tends to grow further with higher input costs, as well as government measures to support credit quality through guarantee schemes. This is added to by higher nominal growth, tracking past trends during periods of high inflation. Buffers in terms of capital are for now adequate, but the time to look to rebuild these might come in at some point as conditions move away from the existent.

### Medium-term growth

We have been championing the above trend growth seen with low inflation and imbalances indicative of domestic slack, with GDP around 10% below pre-pandemic trends. However, this slack might be drained by the defacto financial tightening driven by global developments, while higher prices and a weaker REER also imports inflation. To an extent, fiscal policy around investments and productivity could raise long-term potential growth, while revenue spending in the form of subsidies and other support measures can support the near term.

With these trends, we continue to see longer term growth of around 7%, but running hot above this now seems more challenging.

### Structured forward-looking drivers

We are looking at a less open world, with past periods of geopolitical competition seeing high commodity prices, high fiscal spending, financial suppression, segmentation of value chains and financial flow channels, and lower productivity growth especially for countries that stake out geopolitical neutrality. These trends impose less supportive global conditions and can spur domestic measures to help mitigate conditions. However, absent these, growth domestically might slow notably with reversal of some capital account measures and an increase in the government share of growth.

## OVERVIEW OF FINANCIAL PERFORMANCE

### Operating performance

| Particulars                  | (₹ in crores) |               |              |
|------------------------------|---------------|---------------|--------------|
|                              | 2025-26       | 2024-25       | % change     |
| Net interest income          | 56,048        | 54,348        | 3%           |
| Non-interest income          | 26,131        | 25,257        | 3%           |
| <b>Operative revenue</b>     | <b>82,179</b> | <b>79,605</b> | <b>3%</b>    |
| Operating expenses           | 39,362        | 37,500        | 5%           |
| <b>Operating profit</b>      | <b>42,817</b> | <b>42,105</b> | <b>2%</b>    |
| Provisions and contingencies | 13,263        | 7,759         | 71%          |
| <b>Profit before tax</b>     | <b>29,554</b> | <b>34,346</b> | <b>(14%)</b> |
| Provision for tax            | 5,097         | 7,973         | (36%)        |
| <b>Net profit</b>            | <b>24,457</b> | <b>26,373</b> | <b>(7%)</b>  |

Operating revenue increased by 3% Y-o-Y (year-on-year) from ₹79,605 crores in fiscal 2025 to ₹82,179 crores in fiscal 2026. Net interest income (NII) increased by 3% from ₹54,348 crores in fiscal 2025 to ₹56,048 crores in fiscal 2026. Non-interest income consisting of fee, trading and other income increased by 3% from ₹25,257 crores in fiscal 2025 to ₹26,131 crores in fiscal 2026. Operating expense increased by 5% from ₹37,500 crores in fiscal 2025 to ₹39,362 crores in fiscal 2026. As a result, the operating profit increased by 2% to ₹42,817 crores from ₹42,105 crores reported last year. Provisions and contingencies increased by 71% from ₹7,759 crores in fiscal 2025 to ₹13,263 crores in fiscal 2026 mainly due to increase in provision on non-performing loans, additional one-time provision of ₹2,001 crores made under prudent provisioning framework for standard assets and provision of ₹1,231 crores made towards certain set of declassified PSL loans basis an RBI advisory. Provision for tax stood at ₹5,097 crores. Consequently, net profit decreased by 7% Y-o-Y from ₹26,373 crores in fiscal 2025 to ₹24,457 crores in fiscal 2026.

### Net interest income

| Particulars                                                     | (₹ in crores)    |                  |            |
|-----------------------------------------------------------------|------------------|------------------|------------|
|                                                                 | 2025-26          | 2024-25          | % change   |
| Interest on loans                                               | 99,508           | 97,200           | 2%         |
| Interest on investments                                         | 25,300           | 22,928           | 10%        |
| Other interest income                                           | 2,224            | 2,549            | (13%)      |
| <b>Interest income</b>                                          | <b>1,27,032</b>  | <b>122,677</b>   | <b>4%</b>  |
| Interest on deposits                                            | 56,544           | 53,902           | 5%         |
| Other interest expense                                          | 14,440           | 14,427           | 0.1%       |
| <b>Interest expense</b>                                         | <b>70,984</b>    | <b>68,329</b>    | <b>4%</b>  |
| <b>Net interest income</b>                                      | <b>56,048</b>    | <b>54,348</b>    | <b>3%</b>  |
| Average interest earning assets <sup>1</sup>                    | <b>1,516,383</b> | <b>1,364,266</b> | <b>11%</b> |
| Average Current Account and Savings Account (CASA) <sup>1</sup> | 441,149          | 413,419          | 7%         |
| Net interest margin (NIM)                                       | 3.69%            | 3.98%            |            |
| Yield on assets                                                 | 8.38%            | 8.99%            |            |
| Yield on advances                                               | 9.10%            | 9.86%            |            |
| Yield on investments                                            | 6.65%            | 6.84%            |            |
| Cost of funds                                                   | 5.16%            | 5.46%            |            |
| Cost of deposits                                                | 4.85%            | 5.12%            |            |

<sup>1</sup> computed on daily average basis

NII constituted 68% of the operating revenue and increased by 3% from ₹54,348 crores in fiscal 2025 to ₹56,048 crores in fiscal 2026. Yield on assets decreased by 61 bps primarily due to repricing of floating rate loans, linked to external benchmark rates such as repo as notified by RBI. Repo rate has decreased from 6.25% to 5.25%. Cost of funds also decreased by 30 bps. As a result, the NIM decreased by 29 bps Y-o-Y to 3.69% in fiscal 2026.

During this period, the yield on interest earning assets decreased from 8.99% in fiscal 2025 to 8.38% in fiscal 2026. The yield on advances decreased by 76 bps from 9.86% in fiscal 2025 to 9.10% in fiscal 2026. The decrease in yield on advances is mainly due to decrease in repo rate and higher interest reversals due to higher slippages in fiscal 2026 as compared to fiscal 2025. ~73% of the loans of the Bank are floating rate loans, linked to external/internal benchmark rates. The yield on investments decreased by 19 bps during fiscal 2026.

Repricing of term and saving deposits during the course of fiscal 2026 has led to the decrease in cost of funds by 30 bps from 5.46% in fiscal 2025 to 5.16% in fiscal 2026. Cost of deposits decreased to 4.85% from 5.12% last fiscal mainly due to decrease in funding cost of term deposits and savings deposits. Daily average CASA ratio as a proportion to deposits decreased by 146 bps in fiscal 2026 to 38% from 39% in fiscal 2025.

Performance of the Bank against the key drivers for the NIM improvement journey of the Bank in fiscal 2026 is as follows:

- Improvement in Balance Sheet mix: loans and investments comprised 89% of total assets as at the end of fiscal 2026;
- INR denominated loans comprised 96% of total advances at the end of fiscal 2026;
- Retail and CBG advances comprised 67% of total advances as at 31 March 2026;
- Balance outstanding in low-yielding priority sector shortfall deposits decreased by ₹5,761 crores Y-o-Y with priority sector short fall deposits comprising 0.46% of total assets as at 31 March 2026 as compared to 0.90% at 31 March 2025;
- Quality of liabilities at 31 March 2026 measured by outflow rate stood at 28.8%.

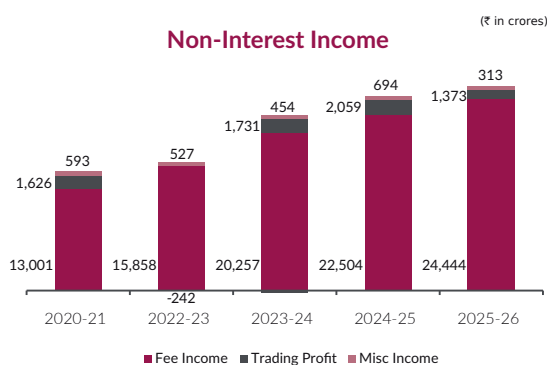
The Bank earned interest on income tax refund of ₹64 crores in fiscal 2026 as compared to ₹369 crores in fiscal 2025. The receipt, amount and timing of such income depends on the nature and determinations by tax authorities and is hence neither consistent nor predictable.

### Non-interest income

| Particulars                | 2025-26       | 2024-25       | % change  |
|----------------------------|---------------|---------------|-----------|
| Fee income                 | 24,444        | 22,504        | 9%        |
| Trading profit             | 1,374         | 2,059         | (33)%     |
| Miscellaneous income       | 313           | 694           | (55)%     |
| <b>Non-interest income</b> | <b>26,131</b> | <b>25,257</b> | <b>3%</b> |

Non-interest income comprising fees, trading profit and miscellaneous income increased by 3% to ₹26,131 crores in fiscal 2026 from ₹25,257 crores last year and constituted 32% of the operating revenue of the Bank.

Fee income increased by 9% to ₹24,444 crores from ₹22,504 crores last year and continued to remain a significant part of the Bank's non-interest income. It constituted 94% of non-interest income and contributed 30% to the operating revenue in fiscal 2026. Growth in reported fee income was mainly on account of increase in business across segments.





Segmental composition of fee income continued to remain stable Y-o-Y as under -

| Particulars        | 2025-26 | 2024-25 |
|--------------------|---------|---------|
| Retail Banking     | 72%     | 72%     |
| Wholesale Banking  | 25%     | 25%     |
| Commercial Banking | 3%      | 3%      |

Retail Banking fees constituted 72% of the total fee income of the Bank in fiscal 2026 and grew strongly at 8% on a Y-o-Y basis. Fees from retail cards grew 6% Y-o-Y in fiscal 2026 while retail non-card fees grew by 8%.

Fee income derived from the Wholesale Banking segment has increased Y-o-Y at 10% of the Bank's total fee income. Within Wholesale Banking, granular transaction banking fees grew 10% Y-o-Y. Fee income from the Bank's CBG (Commercial Banking Group) that lends to small and medium enterprises accounted for 3% of the Bank's total fee income for fiscal 2026 and fiscal 2025 and grew strongly at 17% Y-o-Y.

During fiscal 2026, trading profits without considering impact of mark-to-market gain/(loss) on revaluation of investments increased by 66% to ₹2,250 crores from ₹1,359 crores last year mainly on account of higher profits on the SLR portfolio and foreign exchange gain. This is after netting off the MTM losses on forex and derivative contracts in fiscal 2026 due to impact of tightening of foreign exchange rules regarding net open position, non-deliverable forwards etc. by RBI.

The Bank recognised mark-to-market loss on revaluation of investments of ₹875 crores in fiscal 2026 as compared to a mark-to-market gain on revaluation of investments of ₹701 crores in fiscal 2025, due to headwinds in markets at year end arising from geopolitical conflicts.

The Bank's miscellaneous income in fiscal 2026 stood at ₹313 crores compared to ₹694 crores in fiscal 2025, comprising mainly income from display of publicity material amounting to ₹185 crores as compared to ₹258 crores in fiscal 2025.

### Operating revenue

The operating revenue of the Bank increased by 3% to ₹82,179 crores from ₹79,605 crores last year. The core income streams (NII and fees) constituted 98% of the operating revenue, reflecting the stability of the Bank's earnings.

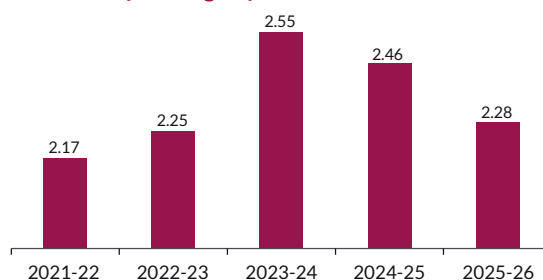
### Operating expenses

| Particulars                | 2025-26       | 2024-25       | (₹ in crores)<br>% change |
|----------------------------|---------------|---------------|---------------------------|
| Staff cost                 | 12,266        | 12,193        | 1%                        |
| Depreciation               | 1,809         | 1,699         | 6%                        |
| Other operating expenses   | 25,287        | 23,608        | 7%                        |
| <b>Operating expenses</b>  | <b>39,362</b> | <b>37,500</b> | <b>5%</b>                 |
| <b>Cost : Income Ratio</b> | <b>47.90%</b> | <b>47.11%</b> |                           |
| <b>Cost : Asset Ratio</b>  | <b>2.28%</b>  | <b>2.46%</b>  |                           |

Y-o-Y growth rate in operating expenses moderated to 5% in fiscal 2026 as compared to 6% in fiscal 2025 with operating expenses increasing to ₹39,362 crores from ₹37,500 crores last year. The Bank continued to invest in technology and human capital for supporting the existing and new businesses. 30% of total cost increase was on account of investments in technology and future growth, 21% of the total cost increase was volume linked and balance 49% was business as usual expenses which was partially offset by reduction in integration costs.

Staff cost remained stable at ₹12,266 crores in fiscal 2026 as compared to ₹12,193 crores in fiscal 2025. The Bank's employee strength at the end of fiscal 2026 was at 101,337, which is a decline of 3% as compared to 104,453 employees as at the end of fiscal 2025.

### Operating Expenses to Assets %



On 21 November 2025, the Government of India consolidated 29 existing labour laws into a unified framework of four Labour Codes (including the Code on Social Security, 2020), collectively referred to as the 'New Labour Codes'. Since Q3 of fiscal 2021, based on a prudent internal policy, the Bank has been consistently provisioning for gratuity liability, in anticipation of the implementation of the Code on Social Security, 2020. In Q3 of Fiscal 2026, the Bank performed a preliminary assessment of the financial impact of the New Labour Codes based on the draft Central Rules and FAQs published by the Ministry of Labour and Employment, in line with the guidance from the Institute of Chartered Accountants of India and charged to its Profit and Loss Account an amount of ₹25.44 crores towards gratuity, primarily due to changes in the wage definition. The Bank will continue to monitor the finalization of Central and State rules relating to the New Labour Codes and adjust its estimates and provisions in subsequent reporting periods for gratuity and other aspects of the New Labour Codes, in accordance with applicable accounting standards.

Other operating expenses increased by 7% from ₹25,307 crores in fiscal 2025 to ₹27,096 crores in fiscal 2026. The increase is primarily due to statutory expenses attributable to PSLC, CSR and DICGC premium. There has also been an increase in volume linked costs coming from rising business volumes and investments in technology to support future business growth. Rate of increase in expenses has moderated in fiscal 2026 to 5% as compared to 6% in fiscal 2025.

The Operating Expenses to Assets ratio decreased by 18 bps to 2.28% for fiscal 2026 as compared to 2.46% last year.

### Operating profit

During fiscal 2026, the operating profit of the Bank increased by 2% to ₹42,817 crores from ₹42,105 crores last year on account of steady growth in operating revenues, partially offset by a moderated growth in operating expenses.

### Provisions and contingencies

| Particulars                                                                  | (₹ in crores) |              |            |
|------------------------------------------------------------------------------|---------------|--------------|------------|
|                                                                              | 2025-26       | 2024-25      | % change   |
| Provision for non-performing assets                                          | 13,026        | 11,356       | 15%        |
| Recoveries from written off accounts                                         | (3,542)       | (3,809)      | -          |
| Provision for restructured assets                                            | 2             | (1)          | -          |
| Other Provisions                                                             |               |              |            |
| • Provision for country risk                                                 | 25            | 11           | 141%       |
| • Provision for standard assets including unhedged foreign currency exposure | 2,049         | 11           | -          |
| • Additional provision for delay in implementation of resolution plan        | (18)          | (38)         | -          |
| • Provision for COVID-19 and MSME Restructuring                              | (195)         | (143)        | -          |
| • Provision for other contingencies                                          | 1,916         | 372          | 414%       |
| <b>Total Provision and contingencies</b>                                     | <b>13,263</b> | <b>7,759</b> | <b>71%</b> |

During fiscal 2026, provisions (other than provisions for tax) increased 71% Y-o-Y to ₹13,263 crores from ₹7,759 crores last year. Key items of provisions are explained below -

#### Provisions for non-performing assets and Recoveries from written off accounts:

The gross slippages increased from ₹19,474 crores in fiscal 2025 to ₹24,577 crores in fiscal 2026. Prudent application of technical parameters for recognizing slippages and consequent upgrades has led to the additions of ₹7,158 crores to gross NPAs and ₹2,809 crores to net NPAs for the year ended 31 March 2026 ("Technical Impact"). Technical Impact is largely restricted to cash credit and overdraft products and one-time settled accounts. The Bank provided ₹13,026 crores towards non-performing assets compared to ₹11,356 crores last year.

The Bank's recoveries from written off accounts in fiscal 2026 were lower, amounting to ₹3,542 crores as against ₹3,809 crores in fiscal 2025.

#### Other provisions:

- Provisions for standard assets:

The Bank made a provision of ₹2,049 crores for standard assets including unhedged foreign currency exposure compared to ₹11 crores last year.

- During fiscal 2026, the Bank made a provision for standard assets of ₹657 crores as against a provision of ₹66 crores made in fiscal 2025 on account of increase in advances.
- During fiscal 2026, the Bank also made a provision of ₹161 crores in fiscal 2026 as compared to write-back of ₹55 crores made in fiscal 2025 for unhedged foreign currency exposure.
- During the year ended 31 March 2026, following an RBI advisory, post its FY25 annual inspection, the Bank in Q2FY26 made an additional one-time standard asset provision of ₹1,231 crores for declassified PSL loans. The customer terms remain unchanged. This provision will be written back to the P&L upon all the declassified loans being made compliant, recovered or closed in the normal course, not later than March 31, 2028. No divergence in asset quality or NPA provisioning was identified in the said annual inspection.
- During fiscal 2026, the Bank had a write-back in provision ₹18 crores in fiscal 2026 as compared to write-back of ₹38 crores in fiscal 2025 pursuant to implementation of resolution plan in certain accounts.
- During fiscal 2026, there was a write-back of ₹195 crores in provision for loans subjected to COVID-19 and MSME restructuring mainly on account of slippages and recoveries, as compared to a write back in provision of ₹143 crores in fiscal 2025.

### Provisions for other contingencies:

- During fiscal 2026, the Bank took the initiative to further strengthen its balance sheet by voluntarily enhancing its prudent provisioning framework for standard assets. In line with this framework, an additional one-time provision of ₹2,001 crores was made during the quarter. This measure is entirely prudent and does not indicate any concerns regarding asset quality or adverse credit developments in the Bank's loan or investment portfolio as of the reporting date.

As at the end of fiscal 2026, the cumulative non-NPA provisions held by the Bank amounted to ₹15,473 crores with a standard asset coverage ratio (all non-NPA provisions / standard assets) of 1.26%.

### Provision for tax

Provision for tax for fiscal 2026 stood at ₹5,097 crores as compared to ₹7,973 crores for last year.

In the fiscal year 2023, the Bank acquired Citibank's India Consumer Business from Citibank N.A. (acting through its branch in India) ("CBNA") and the NBFC Consumer Business from Citicorp Finance (India) Limited ("CFIL") collectively referred to as Citi India Consumer Business on a going concern basis. In accordance with an independent valuer's report, intangibles (excluding goodwill) amounting to ₹8,714.24 crores were recognised in the Bank's financial statements. Despite retaining access to and business use of these assets, as a prudent measure aimed at protecting its capacity to pay dividends, the Bank opted to fully amortise these intangibles through the Profit and Loss account in Fiscal 2023. Furthermore, the Bank elected not to create any deferred tax asset in Fiscal 2023 on such intangibles, nor did the Bank consider the deductibility on the said intangibles while providing for current tax in the books until the regular tax assessment for the said financial year was completed. During the year ended 31 March 2026, following the conclusion of regular assessment proceedings by the income tax authorities, tax depreciation on these intangibles was allowed. As a result, the tax expense for Fiscal 2026 is lower by ₹2,193.20 crores, which includes the reversal of excess tax provisions made in prior years amounting to ₹1,129.80 crores, reduction of current year's tax expense by ₹265.85 crores and recognition of a deferred tax asset of ₹797.55 crores.

### Net profit

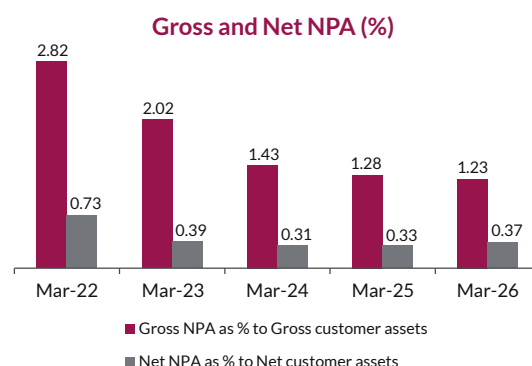
Net profit for fiscal 2026 decreased by 7% Y-o-Y to ₹24,457 crores as compared to the net profit of ₹26,373 crores last year.

### Asset Quality Parameters

The Bank added ₹24,577 crores to Gross NPAs during fiscal 2026 with the ratio of Gross NPAs to gross customer assets declining to 1.23% at the end of March 2026 from 1.28% as at the end of March 2025. The Bank added ₹14,009 crores to Net NPAs after adjusting for recoveries and upgradations of ₹3,109 crores and ₹7,459 crores, respectively and the Bank's Net NPA ratio (Net NPAs as percentage of net customer assets) increased marginally to 0.37% from 0.33%. Prudent application of technical parameters for recognizing slippages and consequent upgrades has led to the additions of ₹7,158 crores to gross NPAs and ₹2,809 crores to net NPAs. The Bank's provision coverage ratio excluding prudential write-offs during the fiscal stood at 70%. The Bank's accumulated prudential write-off pool stood at ₹44,631 crores as at end of fiscal 2026.

During the fiscal, the quantum of low rated pool of BB and below accounts (excluding investments and non-fund based exposure) decreased and stood at ₹1,774 crores as compared to ₹2,548 crores at the end of fiscal 2025. The aggregate outstanding in such low rated pool of BB and below investments and non-fund based accounts was ₹833 crores and ₹706 crores respectively as at the end of March 2026.

The fund based outstanding of standard loans under COVID -19 resolution scheme at 31 March 2026 stood at ₹958 crores or 0.07% of gross customer assets. There is no outstanding with respect to linked non-fund based outstanding for which there has been no change in original terms. Outstanding restructured loans under the MSME scheme stood at ₹105 crores. The Bank holds a provision of ₹197 crores on these restructured assets.



### Key ratios

| Particulars                      | 2025-26 | 2024-25 |
|----------------------------------|---------|---------|
| Basic earnings per share (₹)     | 78.82   | 85.28   |
| Diluted earnings per share (₹)   | 78.31   | 84.77   |
| Book value per share (₹)         | 656.96  | 576.67  |
| Return on equity (%)             | 13.15%  | 16.52%  |
| Return on assets (%)             | 1.45%   | 1.74%   |
| Net interest margin (%)          | 3.69%   | 3.98%   |
| Profit per employee (₹ lakh)     | 23.79   | 25.45   |
| Loan to Deposit ratio (Domestic) | 91.45%  | 88.47%  |
| Loan to Deposit ratio (Global)   | 92.34%  | 88.73%  |

Technical Impact has impacted the reported values of gross slippages, net slippages, credit costs, NPA ratios, ROA% and ROE%, hence are not comparable on a like-for-like basis to previous year.

Basic Earnings per Share (EPS) was ₹78.82 compared to ₹85.28 last year, while the Diluted EPS was ₹78.31 compared to ₹84.77 last year.

Return on Equity (RoE) was 13.15% for fiscal 2026 as compared to 16.52% in fiscal 2025. Return on Assets (RoA) was 1.45% in fiscal 2026 from 1.74% last year. Book Value per Share increased by 14% to ₹656.96 from ₹576.67 last year while profit per employee decreased marginally at ₹23.79 Lakhs per employee.

Loan to Deposit (CD) ratio of the Bank as on 31 March 2026 was at 92.34% with a domestic CD ratio of 91.45%.

### Balance Sheet parameters

#### Assets

| Particulars                     | 2025-26          | 2024-25          | (₹ in crores)<br>% change |
|---------------------------------|------------------|------------------|---------------------------|
| <b>Cash and bank balances</b>   | <b>1,04,903</b>  | <b>99,732</b>    | <b>5%</b>                 |
| Government securities           | 3,73,899         | 308,076          | 21%                       |
| Other securities                | 71,134           | 88,066           | (19%)                     |
| <b>Total investments</b>        | <b>4,45,033</b>  | <b>396,142</b>   | <b>12%</b>                |
| Retail advances                 | 6,73,468         | 622,897          | 8%                        |
| Corporate advances              | 4,12,943         | 299,393          | 38%                       |
| SME advances                    | 1,47,159         | 118,521          | 24%                       |
| <b>Total advances</b>           | <b>12,33,570</b> | <b>1,040,811</b> | <b>19%</b>                |
| <b>Fixed assets</b>             | <b>6,549</b>     | <b>6,292</b>     | <b>4%</b>                 |
| <b>Other assets<sup>1</sup></b> | <b>96,795</b>    | <b>66,953</b>    | <b>45%</b>                |
| <b>Total assets</b>             | <b>18,86,850</b> | <b>1,609,930</b> | <b>17%</b>                |

<sup>1</sup> includes Priority Sector Lending deposits of ₹8,690 crores (previous year ₹14,450 crores)

Total assets increased by 17% to ₹18,86,850 crores as on 31 March 2026 from ₹1,609,930 crores as on 31 March 2025, driven by 19% growth in advances and 12% growth in investments.

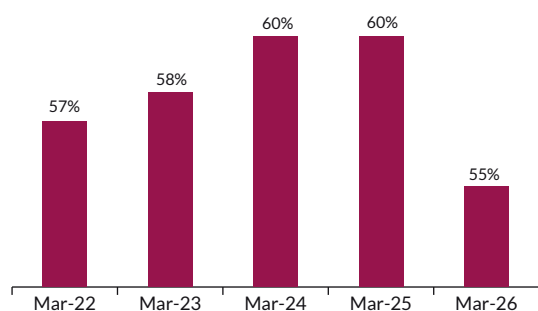
## Advances

Total advances of the Bank as on 31 March 2026 increased by 19% to ₹12,33,570 crores from ₹10,40,811 crores as on 31 March 2025. Retail advances comprised 55% of total advances and grew by 8% to ₹6,73,468 crores, corporate advances comprised 33% of total advances and grew by 38% to ₹4,12,943 crores and SME advances constituted 12% of total advances and grew by 24% to ₹1,47,159 crores.

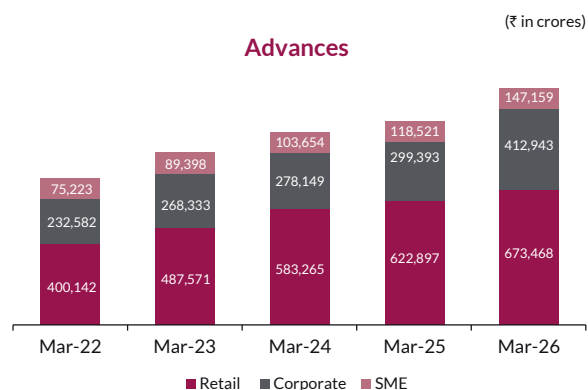
Domestic advances of the Bank as on 31 March 2026 grew by 18% to ₹11,88,744 crores from ₹1,011,101 crores as on 31 March 2025. Further, domestic corporate advances of the Bank as on 31 March 2026 increased by 36% to ₹3,70,028 crores from ₹2,71,471 crores as on 31 March 2025.

The retail lending growth was led by Small Banking Business (SBB) and Bharat banking loans (rural lending). Home loans remain the largest retail segment and accounted for 26% of retail loans, rural lending (Bharat Banking) 15%, loans against property (LAP) 13%, personal loans (PL) and credit cards(CC) were 19%, auto loans 9% and Small Business Banking (SBB) at 12%, while non-schematic loans comprising loan against deposits and other loans accounted for 6%.

### Retail Advances as % to Total Advances



### Advances



## Investments

The investment portfolio of the Bank grew by 12% to ₹4,45,033 crores. Investments in Government and other approved securities, increased by 21% to ₹3,73,899 crores. Other investments, including corporate debt securities, decreased by 19% to ₹71,134 crores. 81% of the government securities have been classified in the HTM category, while 25% of the bonds and debentures portfolio has been classified in the AFS category.

## Other Assets

Other assets of the Bank as on 31 March 2026 increased to ₹96,795 crores from ₹66,953 crores as on 31 March 2025, primarily on account of increase in Mark-to-Market (MTM) asset on forex and derivative contracts amounting to ₹48,477 crores as on 31 March 2026 as compared to ₹20,496 crores as on 31 March 2025 which was partially offset by a decrease in Priority Sector Shortfall deposits from ₹14,450 crores as on 31 March 2025 to ₹8,690 crores on 31 March 2026.

## Liabilities and shareholders' funds

| Particulars                             | (₹ in crores)    |                  |            |
|-----------------------------------------|------------------|------------------|------------|
|                                         | 2025-26          | 2024-25          | % change   |
| Capital                                 | 622              | 619              | 0.3%       |
| Reserves and Surplus                    | 2,03,573         | 177,998          | 14%        |
| <b>Total shareholder's funds</b>        | <b>2,04,194</b>  | <b>178,617</b>   | <b>14%</b> |
| Employee stock option outstanding (net) | 1,342            | 1,108            | 21%        |
| <b>Deposits</b>                         | <b>13,35,834</b> | <b>1,172,952</b> | <b>14%</b> |
| • Current account deposits              | 1,84,776         | 166,799          | 11%        |
| • Savings bank deposits                 | 3,44,136         | 311,389          | 11%        |



(₹ in crores)

| Particulars                                      | 2025-26          | 2024-25          | % change   |
|--------------------------------------------------|------------------|------------------|------------|
| • <b>CASA</b>                                    | <b>5,28,912</b>  | <b>478,188</b>   | <b>11%</b> |
| • Retail term deposits                           | 4,38,917         | 383,563          | 14%        |
| • Non-retail term deposits                       | 3,68,005         | 311,201          | 18%        |
| • <b>Total term deposits</b>                     | <b>8,06,922</b>  | <b>694,764</b>   | <b>16%</b> |
| <b>Borrowings</b>                                | <b>2,35,271</b>  | <b>184,147</b>   | <b>28%</b> |
| • In India                                       | 1,86,103         | 149,839          | 24%        |
| •   • Infra bonds                                | 22,551           | 20,551           | 10%        |
| • Outside India                                  | 49,168           | 34,308           | 43%        |
| <b>Other liabilities and provisions</b>          | <b>1,10,209</b>  | <b>73,106</b>    | <b>51%</b> |
| <b>Total liabilities and shareholders' funds</b> | <b>18,86,850</b> | <b>1,609,930</b> | <b>17%</b> |

### Shareholder's funds

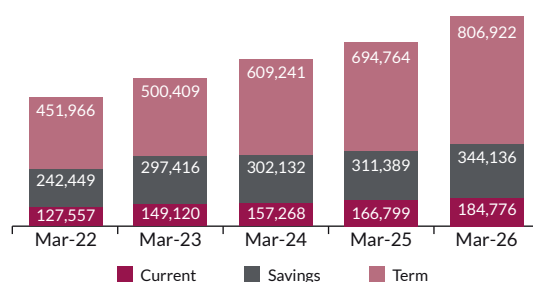
Shareholder's funds of the Bank increased from ₹1,78,617 crores as on 31 March 2025 to ₹2,04,194 crores as on 31 March 2026. This is mainly on account of profits earned during fiscal 2026.

### Deposits

The total deposits of the Bank increased by 14% to ₹13,35,834 crores against ₹11,72,952 crores last year. Savings Bank deposits reported a growth of 11% to ₹3,44,136 crores, while Current Account deposits reported increase of 11% to ₹1,84,776 crores. As on 31 March 2026, low-cost CASA deposits stood at ₹5,28,912 crores and constituted 40% of total deposits. On a daily average basis, Savings Bank deposits, increased by 6% to ₹3,02,567 crores, while Current Account deposits grew by 8% to ₹1,38,582 crores. The percentage share of CASA in total deposits, on a daily average basis, was at 38% compared to 39% last year.

### Deposits

(₹ in crores)



### Borrowings

The total borrowings of the Bank increased by 28% from ₹1,84,147 crores in fiscal 2025 to ₹2,35,271 crores in fiscal 2026. The Bank has issued debt instrument amounting to ₹5,000 crores in the form of "long-term bonds against Infrastructure and affordable housing" (Infrastructure bonds) in India.

### Other Liabilities and provisions

Other liabilities of the Bank increased by 51% over the year to ₹1,10,209 crores as on 31 March 2026 from ₹73,106 crores as on 31 March 2025, which is mainly on account of increase in Mark-to-Market (MTM) liability on forex and derivative contracts to ₹45,827 crores as compared to ₹19,929 crores last year.

### Contingent Liability

| Particulars                                                           | 2025-26          | 2024-25          | % change    |
|-----------------------------------------------------------------------|------------------|------------------|-------------|
| <b>Claims against the Bank not acknowledged as debts</b>              | <b>1,911</b>     | <b>1,477</b>     | <b>29%</b>  |
| <b>Liability for partly paid investments</b>                          | <b>145</b>       | <b>127</b>       | <b>14%</b>  |
| <b>Liability on account of outstanding forward exchange contracts</b> | <b>1,421,102</b> | <b>1,256,589</b> | <b>13%</b>  |
| <b>Liability on account of outstanding derivative contracts:</b>      | <b>1,267,665</b> | <b>1,369,593</b> | <b>(7%)</b> |

| Particulars                                                                           | (₹ in crores)    |                  |            |
|---------------------------------------------------------------------------------------|------------------|------------------|------------|
|                                                                                       | 2025-26          | 2024-25          | % change   |
| • Interest Rate Swaps, Currency Swaps, Forward Rate Agreement & Interest Rate Futures | 1,190,196        | 1,236,293        | (4%)       |
| • Foreign Currency Options                                                            | 77,468           | 133,300          | (42%)      |
| <b>Guarantees given on behalf of constituents</b>                                     | <b>168,717</b>   | <b>141,189</b>   | <b>19%</b> |
| • In India                                                                            | 145,290          | 121,699          | 19%        |
| • Outside India                                                                       | 23,427           | 19,490           | 20%        |
| <b>Acceptances, endorsements and other obligations</b>                                | <b>71,093</b>    | <b>55,341</b>    | <b>28%</b> |
| <b>Other items for which the Bank is contingently liable</b>                          | <b>98,900</b>    | <b>51,332</b>    | <b>93%</b> |
| <b>Total</b>                                                                          | <b>3,029,533</b> | <b>2,875,648</b> | <b>5%</b>  |

### Capital Management

The Bank continues its endeavour for greater capital efficiency and shoring up its capital adequacy to enhance shareholder value.

The Bank's overall capital adequacy ratio (CAR) under Basel III stood at 16.42% at the end of fiscal 2026, well above the benchmark requirement of 11.50% stipulated by Reserve Bank of India (RBI). Of this, the Common Equity Tier I (CET I) CAR was 14.38% (against minimum regulatory requirement of 8.00%) and Tier I CAR was 14.78% (against minimum regulatory requirement of 9.50%). As on March 31, 2026, the Bank's Tier II CAR under Basel III stood at 1.64%.

The organic business of the Bank consumed 29 bps (net) of CET I in fiscal 2026.

| Movement of CET I during fiscal 2026 |  | %      |
|--------------------------------------|--|--------|
| <b>CET-1 as on 31 March 2025</b>     |  | 14.67  |
| Accretion                            |  | 1.87   |
| Consumption                          |  | (2.16) |
| <b>CET-1 as on 31 March 2026</b>     |  | 14.38  |

The Bank's Risk Weighted Assets (RWA) to Asset ratio as at the end of fiscal 2026 was 72%. The Bank's capital position continues to be strong and is sufficiently robust for it to pursue growth opportunities with adequate liquidity buffers.

The following table sets forth the capital, risk-weighted assets and capital adequacy ratios computed as on 31 March 2026 and 31 March 2025 in accordance with the applicable RBI guidelines under Basel III.

| Particulars                                                               | (₹ in crores)    |                  |
|---------------------------------------------------------------------------|------------------|------------------|
|                                                                           | 2025-26          | 2024-25          |
| <b>Tier I capital</b>                                                     | <b>200,032</b>   | <b>173,944</b>   |
| <b>Tier II capital</b>                                                    | <b>22,252</b>    | <b>23,113</b>    |
| Out of which                                                              |                  |                  |
| • Tier II capital instruments                                             | 13,000           | 14,846           |
| • Other eligible for Tier II capital                                      | 9,252            | 8,267            |
| <b>Total capital qualifying for computation of capital adequacy ratio</b> | <b>222,284</b>   | <b>197,057</b>   |
| <b>Total risk-weighted assets and contingencies</b>                       | <b>1,353,452</b> | <b>1,154,075</b> |
| <b>Total capital adequacy ratio</b>                                       | <b>16.42%</b>    | <b>17.07%</b>    |
| Out of above                                                              |                  |                  |
| • Common equity tier I capital ratio                                      | 14.38%           | 14.67%           |
| • Tier I capital ratio                                                    | 14.78%           | 15.07%           |
| • Tier II capital ratio                                                   | 1.64%            | 2.00%            |



## BUSINESS OVERVIEW

In 2019, we launched our 'Growth Profitability and Sustainability' strategy, also known as the 'House of GPS'. Over the years, as part of annual reviews of the House of GPS, we have added areas of distinctiveness, key themes for the Bank to focus on and other changes to reflect the priorities of the Bank and accounting for the changing environment. The House of GPS, as it stands today, continues to reflect our aspirations and remain relevant. Our overall strategy, and specific business and function strategies, are aligned with our core philosophy of GPS –

- **Growth:** Accelerate deposits growth, focus on profitable advances, achievement of leadership positions across our focus areas, drive One Axis-led growth across the Group and scale-up of subsidiaries and Axis Digital Bank
- **Profitability:** Focus on profitability and NIM, growth in fee income, improve operating efficiency, optimise costs, strengthen collections infrastructure and maintain control over credit cost
- **Sustainability:** Strengthen governance across the Group with an integrated assurance approach to enhance risk management, robust audit and compliance culture, retain high-quality talent, strengthen underwriting, technology and analytical capabilities and a robust operations platform

As part of the GPS initiatives, under the 'One Axis' vision, we are focused on creating a 'one-stop' solution for banking needs by integrating the strengths of the subsidiaries with the Bank.

Focus on granular, risk-adjusted, higher-yielding segments has enabled us to deliver on our ROE aspirations and control credit costs. Our best-in-class mobile banking application, digital/analytical capabilities, and emerging technology, such as generative AI, gives us the right to win in digital banking. The Bank focuses on reimagining end-to-end journeys, transforming the core, and becoming a partner of choice for ecosystems. While the macro-economic environment continues to evolve amidst geo-political uncertainties, India remains a bright economic spot, giving us an incredible opportunity to tap into the growing capex / infrastructure/investment boom. We have a self-sustaining capital structure adequate to fund organic growth. Our transformation projects have enabled us to reach closer to our GPS ambitions – 'Neo' (offers end-to-end digital journeys with DIY onboarding, for banking as well as beyond-banking needs of MSMEs), 'Siddhi' (a super app that empowers our colleagues to engage seamlessly with customers), granularisation and premiumisation of liability franchise, focus on cost optimisation, drive collection transformation and set up next generation collection architecture for the Bank. We have also started yielding visible results due to our investments in long-term 'distinctiveness' drivers – 'Axis 2.0' (becoming India's Best Tech Bank), Bharat Banking (tapping the high growth potential in rural and semi-urban markets), 'Sparsh' (customer obsession program to aid improvement in NPS rankings).

We remain committed to our GPS strategy of working towards Growth, Profitability and Sustainability over the medium-term and aim to become a resilient, all-weather franchise.

### Retail Banking

Over the past decade, the Bank has built a strong and scalable Retail Banking franchise that remains a core pillar of its growth strategy. Anchored in a customer-first philosophy, differentiated product capabilities, and an extensive phygital distribution network, the Retail franchise continues to address the evolving financial needs of a diverse customer base across life stages and segments.

The Bank's Retail Banking business offers a comprehensive suite of products and services spanning deposits, payments, wealth management, and lending, catering to retail customers, small businesses, non-resident Indians (NRIs), and retail institutions. These offerings are supported by increasingly digital-first, secure, and intuitive platforms that enhance convenience, accessibility, and customer engagement. During fiscal 2026, the Retail Banking segment contributed 55% to the Bank's advances and 72% to the Bank's fee income.

On the liabilities side, the Bank provides a wide range of solutions, including savings and current accounts, term deposits (fixed and recurring), and customised deposit products tailored to varying customer preferences and liquidity requirements. Retail lending spans home loans, loans against property, automobile and two-wheeler loans, commercial vehicle loans, personal loans, gold loans, education loans, credit cards, small business banking loans, and agriculture loans, among others enabling the Bank to participate across a broad spectrum credit demand segments.

Beyond core banking products, the Retail Banking franchise offers an integrated ecosystem of services, including debit and credit cards, forex cards, bill payments, and wealth management solutions. The Bank also distributes third-party financial products such as mutual funds, life and non-life insurance, Government bonds, and other investment products, enabling customers to meet their savings, investment, and protection needs through a single, trusted platform.

The Retail strategy continues to focus on deepening customer relationships by increasing wallet share, acquiring high-quality new customers, and delivering a consistently superior customer experience. Central to this strategy is a lifecycle-based engagement model, supported by advanced data analytics and technology capabilities that enable deeper customer insights, targeted engagement, and timely, relevant product offerings. During fiscal 2026, the Bank accelerated its digitisation agenda across sales, service, and branch operations, leveraging automation, analytics, and streamlined processes to enhance operational efficiency and turnaround times. These initiatives are driving a more seamless, intelligent, and responsive banking experience across channels.

With a strong liability franchise, a diversified product portfolio, and a robust digital and analytics backbone, the Bank believes it is well positioned to sustainably capture long-term growth opportunities in India's retail financial services landscape.

### Retail Deposits

The Bank's deposit franchise continued to strengthen during fiscal 2026, supported by robust customer acquisition funnels, an expanded distribution footprint, differentiated product propositions, and sustained momentum in the Salary and Burgundy segments.

The Existing-to-Bank (ETB) franchise exhibited steady growth over the past year, with the ETB Savings Account (SA) book increasing by 3.13% since March 2025, led by broad-based growth across segments. Ongoing process improvements and digitisation initiatives enabled a reduction of over 50% in turnaround time for SA account opening, significantly enhancing the customer onboarding experience. Further, the introduction of a personalised engagement calendar through Siddhi for quarterly customer connects improved overall customer contactability to 80%. The Bank also delivered a 5% improvement in servicing through Straight Through Processing (STP), driven by targeted product enhancements such as facial authentication.

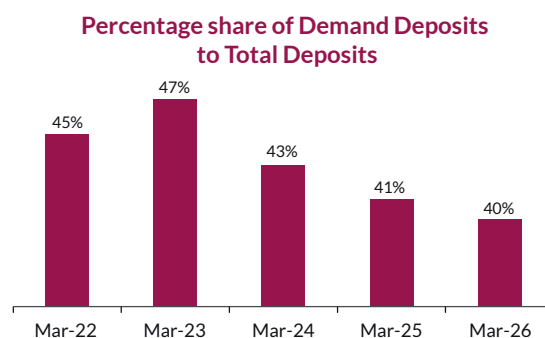
The Bank continues to sharpen its strategic focus on deposit premiumisation, with an emphasis on increasing the share of premium accounts in new acquisitions and deepening engagement with affluent and emerging affluent customer segments. This calibrated approach involves strengthening premium product propositions while progressively moderating dependence on lower-variant offerings in metro and urban markets.

This strategic repositioning reflects evolving market dynamics and underscores the Bank's objective of enhancing profitability, strengthening brand differentiation, and improving the overall quality of the deposit franchise. The Bank remains focused on expanding its premium product suite, leveraging technology-led capabilities, and delivering superior, seamless customer experiences to support sustainable long-term growth.

In parallel, the Bank has undertaken targeted process simplification initiatives aimed at eliminating friction points, strengthening end-to-end digital journeys, and enhancing service capabilities across channels, including phone banking. These measures have contributed to improved customer outcomes and a reduction in service-related complaints. As at the end of fiscal 2026, the Bank maintained a stable CASA mix, with CASA deposits constituting 40% of total deposits.

The Bank also continued to enhance its corporate salary and worksite engagement model, reimagining worksites beyond the traditional helpdesk approach. Strategic brand partnerships with leading electric two-wheeler manufacturers, multinational electronics companies, and consumer durable players enabled deeper employee engagement and strengthened presence across corporate ecosystems and induction programs.

The Bank remains committed to strengthening its fraud prevention framework and regulatory safeguards, supported by continued investments in robust onboarding controls. Customer onboarding processes have been fortified through



multi-layered verification mechanisms, including comprehensive validation using NSDL and UIDAI databases, end-to-end authentication of contact details, enhanced customer risk profiling, and a re-engineered geo-tagging framework to improve the accuracy and reliability of address verification.

Digital banking continues to play a pivotal role in reinforcing the Bank's retail liabilities franchise. By enabling frictionless and scalable onboarding, delivering personalised propositions, and driving data-led customer engagement, digital capabilities are enhancing acquisition efficiency and deepening customer relationships. The integration of savings, investment, and lending solutions into a unified digital ecosystem is further strengthening relationship value, fostering long-term customer loyalty, and increasing share of wallet.

As part of its customer experience-led transformation agenda, the Bank launched a Lean Digital Savings Account onboarding journey for existing asset and payments customers. This offering leverages pre-filled demographic and Know Your Customer (KYC) information, requiring customers to provide only incremental details along with initial funding, thereby significantly reducing onboarding effort and turnaround time. In the assisted mobile onboarding space, the Bank has emerged as an early adopter of UIDAI's facial recognition-based KYC solution, enabling secure and seamless onboarding through Aadhaar-based authentication. Additionally, a real-time savings account application tracker was introduced, providing customers with end-to-end visibility from application submission through account activation, thereby enhancing transparency and customer confidence.

The Bank also maintained a strong focus on retail term deposits during fiscal 2026, leveraging its robust acquisition channels to onboard new individual customers. This was supported by a comprehensive revamp of digital deposit journeys, including the ability to book fixed deposits using external funds and invest in non-callable fixed deposits through digital channels. Further, individual current account customers can now seamlessly book fixed deposits via WhatsApp, enhancing convenience and accessibility. As a result of these initiatives, total term deposits recorded a year-on-year growth of 16% in fiscal 2026.

### Branch Banking

The Bank's physical network expansion strategy is anchored in enhancing accessibility and fostering deeper customer relationships. Over the years, this has enabled the development of a geographically diversified branch footprint across the country. Branch additions are driven by detailed assessments of customer segments and population characteristics, aligned with the Bank's Retail Banking objectives. Expansion remains balanced across metropolitan, urban, semi-urban, and rural locations, enabling stronger district-level engagement through a focused micro-market framework.

During fiscal 2026, the Bank crossed the milestone of 6,000 branches, supported by the addition of 400 branches during the year. As at March 31, 2026, the Bank operated 6,739 banking outlets, comprising 6,265 branches, 3 Digital Banking Units, 10 extension counters, 151 specialised lending branches, and 310 Business Correspondent and Banking Outlets (BCBO). This expansion reflects the Bank's sustained focus on enhancing access to banking services across diverse geographies.

The branch network is complemented by an extensive infrastructure of 12,796 ATMs and cash recyclers. In addition to facilitating cash withdrawals and deposits, these touchpoints support self-service banking and fulfilment requirements. The Bank's physical presence spans 712 districts across 28 states and 7 Union Territories, underscoring its pan-India reach.

The Bank promotes a fair and equitable relationship between the Bank and its customers. The Bank treats all customers fairly and does not discriminate customers on any grounds such as gender, age, religion, caste, literacy, economic status, or physical disability. To cater to the needs of "persons with disabilities", the Bank has enabled its ATMs with braille keypad and talking functionality (voice guidance). In respect of Bank branches which are not easily accessible, ramps are constructed wherever feasible, for facilitating access to persons with disabilities. Adequate seating arrangements and support for banking services are provided. Certain large offices have special equipment, such as wheelchairs for ease of movement. We also provide doorstep banking for ease of operations for senior citizens and persons with disabilities. Customers in need of assistance can contact the designated officer at their branch or may bring it to the notice of the Nodal Officer.

In line with its focus on enhancing customer convenience and accessibility, the Bank offers doorstep banking services to senior citizens and persons with disabilities, enabling easier access to essential banking transactions. Customers may avail these services through their respective branches or escalate concerns, if required, to the designated Nodal Officer.



## Retail Lending

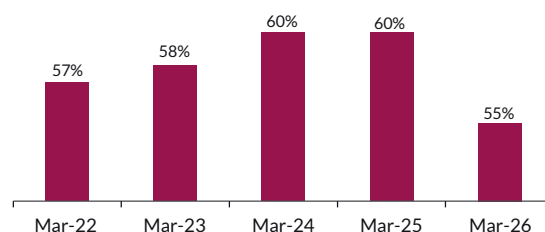
Retail lending in India is undergoing a significant technology-driven transformation, marked by a decisive shift towards digital-first operating models. The Bank is well positioned to capitalise on this evolving landscape.

The Bank's retail loan book remains well diversified, delivering healthy and profitable growth across products and quality customer segments. This performance is underpinned by enhanced digital journeys, targeted customer programs, deeper ecosystem partnerships, and increased internal sourcing, supported by strengthened risk management frameworks.

Together, these capabilities provide a robust foundation for scaling retail lending sustainably across product segments.

*Siddhi*, the Bank's in-house, industry-first comprehensive mobile platform, continues to support the frontline retail lending team by enabling faster loan application processing, providing a holistic customer view, and driving a disciplined sales rhythm to enhance productivity.

Retail Advances as % to Total Advances



## Mortgage

The Mortgages business, comprising Home Loans and Loans Against Property (LAP), delivered steady growth during fiscal 2026, supported by improved profitability. The Salesforce Dot Com (SFDC) platform for Home Loans is in the process of achieving full adoption across all Retail Asset Centres (RACs), enhancing process efficiency and consistency.

The Bank also introduced enhanced programs under the Asha Home Loan segment and launched an industry-first digital platform for the builder ecosystem. These initiatives have strengthened operational efficiency while improving transparency across stakeholder interactions.

## Consumer loans

The Personal Loans business continued to gain momentum, driven by superior end-to-end digital journeys that enhance customer onboarding and improve sourcing channel efficiency. The business primarily onboards customers through internal channels, with ongoing refinement of sourcing criteria and proactive risk interventions based on early risk indicators.

In Education Loans, the Bank remains focused on scaling this strategically important segment, given its potential to establish long-term, relationship-driven engagement early in a customer's financial lifecycle. The Bank's positioning in this segment is supported by seamless digital onboarding journeys, expanded institutional coverage, a strengthened distribution network, and tailored programs for specific customer segments.

## Wheels

The Bank continues to invest in digital platforms to enhance resource productivity, enable frictionless processing, and deliver best-in-class turnaround times, thereby strengthening its position as a preferred financing partner. Focus remains on sourcing quality customers and optimising portfolio mix across commercial vehicles, commercial equipment, passenger vehicles, and two-wheelers through prudent counterparty selection based on income assessment, bureau performance, and banking behaviour markers.

The Bank has established partnerships with leading electric vehicle (EV) original equipment manufacturers (OEMs) to strengthen its presence in the rapidly growing EV financing segment, reinforcing its commitment to innovative, customer-centric financing solutions aligned with emerging mobility trends.

In parallel, the Bank continues to expand its branch network and enhance digital sourcing platforms across urban and rural markets, while deepening dealer relationships to support sustainable business growth.

## Bharat Banking

India's rural and semi-urban (RuSu) markets continue to play a pivotal role in the country's economic transformation. Rising rural consumption, increasing mechanisation in agriculture, improved connectivity, and accelerating adoption of digital financial services are expanding opportunities across these geographies. Government-led initiatives to promote financial inclusion, strengthen rural infrastructure, and formalise credit flows have further accelerated the integration of rural economies with the formal financial system.

Aligned with the Bank's commitment to inclusive growth, Bharat Banking continues to deepen its presence across RuSu markets by expanding distribution, strengthening ecosystem partnerships, and leveraging technology-enabled delivery models. The Bank's approach remains centred on building strong linkages across the "Farm to Folk" ecosystem, serving farmers, agri value-chain participants, rural entrepreneurs, and micro-enterprises through a comprehensive suite of financial solutions.

During fiscal 2026, the Bank further strengthened its distribution footprint across rural and semi-urban markets. The Bharat Banking network expanded to 2,924 branches, reinforcing the Bank's presence across key rural clusters and emerging geographies. This physical network is complemented by a network of 20,922 Common Service Centre (CSC) Village Level Entrepreneurs (VLEs), which play a critical role in enabling last-mile service delivery and improving access to banking services in remote locations.

The Bank continues to build strong ecosystem partnerships with large corporates, agri-tech companies, financial technology firms, and participants across the agricultural value chain. These collaborations enhance market access, enable entry into new customer segments, and support the delivery of tailored credit and deposit solutions aligned with evolving rural customer needs.

Bharat Banking maintained a steady growth trajectory during fiscal 2026, with advances growing by 4% year-on-year, supported by strong momentum across key rural lending segments such as Gold Loans, Tractor Finance, and Microfinance, which have outperformed industry growth trends. On the liabilities side, deposits from Bharat branches grew by 13% year-on-year, reflecting continued focus on relationship-led deposit mobilisation.

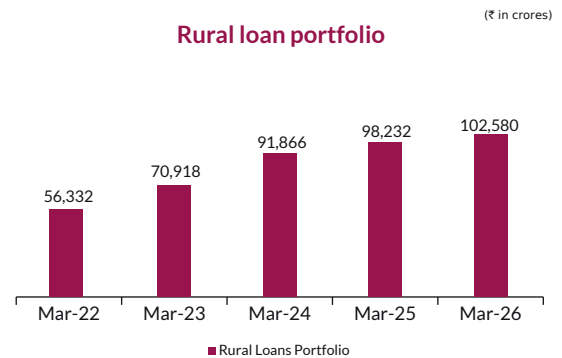
The Bank also strengthened its engagement across key rural economic ecosystems, particularly agricultural mandis, which serve as critical hubs for rural trade and financial flows. During fiscal 2026, the Bank expanded its presence to 899 mandis, enabling deeper engagement with farmers, traders, and allied stakeholders across the agricultural value chain. This ecosystem-led approach supports both asset and liability growth while reinforcing the Bank's local market presence.

Product innovation continues to be a key focus area within Bharat Banking. During fiscal 2026, the Bank introduced offerings tailored to rural customer needs, including Overdraft on Gold through UPI, and enhanced product variants such as MSME Gold and Agri Gold with revised features. Within the microfinance segment, the Bank launched Self-Help Group (SHG) financing, expanding its support to community-based financing structures and women-led enterprises.

Bharat Banking remains a key contributor to the Bank's Priority Sector Lending (PSL) strategy and its broader objective of driving inclusive and sustainable economic growth.

Customer engagement initiatives continue to strengthen relationship depth and cross-sell. The Bank's "Connecting the Dots" (CTD) customer referral program progressed to Phase 3 during fiscal 2026, achieving over 16,000 conversions during the year. The program has been further expanded through deeper integration across Bharat and non-Bharat branches, enabling broader participation and improved customer acquisition.

Technology continues to be a critical enabler of operational efficiency and customer experience in Bharat Banking. During fiscal 2026, the Bank strengthened its digital capabilities, with adoption of "Siddhi," the Bank's CRM platform, exceeding 95% across the field workforce. The Bank also expanded the deployment of AI-driven tools to enhance productivity, lead management, and customer engagement. In addition, Salesforce (SFDC) has been fully implemented across key verticals such as Tractor Finance and Micro (Unsecured), improving underwriting efficiency, reducing turnaround times, and enhancing customer journeys.



The Bank continues to strengthen its collections framework across RuSu markets through a balanced approach combining digital infrastructure with on-ground engagement models. Data-driven monitoring and advanced analytics are being leveraged to improve recovery efficiency. Within the microfinance portfolio, fiscal 2026 witnessed a reversal in bounce rates in line with broader industry trends, supported by improved collection performance and enhanced portfolio stability.

Driving financial inclusion remains a core pillar of the Bank's Bharat Banking strategy. The Bank continues to support Government initiatives such as Pradhan Mantri Jan Dhan Yojana (PMJDY) through its branch network, Business Correspondent (BC) partners, and CSC VLE ecosystem. The Bank is also leveraging co-origination partnerships in microfinance to expand credit access for underserved rural households.

The Bank continues to scale its efforts under Social Security Schemes (SSS), including insurance and pension offerings aimed at improving financial resilience among rural households. The integration of digital onboarding journeys has enabled smoother customer enrolment and enhanced service delivery across these schemes.

The Bank remains committed to maintaining robust risk management and compliance frameworks across its rural portfolio. Expansion across Bharat Banking continues in a calibrated manner, supported by prudent underwriting standards, agile policy frameworks, and strong monitoring mechanisms. The Bank also ensures adherence to evolving regulatory guidelines related to agriculture lending, co-lending structures, and MSME financing.

Going forward, Bharat Banking will continue to focus on expanding its presence in underserved markets, strengthening ecosystem partnerships, and leveraging technology to deliver seamless financial solutions across rural India. With its strong distribution network, digital capabilities, and ecosystem-led approach, the Bank is well positioned to drive sustainable growth across both assets and liabilities while contributing to the broader agenda of financial inclusion and rural economic development.

### Priority Sector Lending

Priority Sector Lending (PSL) remains a core pillar of the Bank's commitment to driving inclusive and sustainable economic growth. It continues to shape the Bank's strategy to expand credit access across underserved segments of the economy. In fiscal 2026, the Bank successfully achieved its overall PSL targets and sub-targets, demonstrating a robust internal framework for meeting regulatory requirements.

During the fiscal 2026, the Bank undertook sustained efforts to deepen its presence across priority sectors identified by the Reserve Bank of India (RBI). Focused initiatives were implemented to scale credit deployment across key areas such as agriculture, micro, small and medium enterprises (MSMEs), and affordable housing. These efforts were aimed at enhancing credit penetration, supporting income-generating economic activity, and addressing structural financing gaps across both rural and urban markets.

The agriculture sector, which continues to face limited and uneven access to formal credit, remains a key focus area for the Bank. Growth in agriculture advances forms an integral part of the Bank's Bharat Banking strategy. During fiscal 2026, the Bank strengthened its presence in rural markets through technology-led initiatives and expansion of its distribution network. The Bank continues to enhance credit delivery across the agriculture value chain, supporting farmers and enabling sustainable ecosystem development. Its product suite includes crop loans under Kisan Credit Card (KCC), investment credit for farm infrastructure, financing for farm mechanisation, and loans for allied activities. These offerings are tailored to meet the needs of small and marginal farmers and support compliance with PSL sub-targets relating to agriculture.

The Bank continued to expand its reach through various initiatives aimed at improving access to credit for income-generating activities aligned to the needs of local communities while widening the reach and support for financial inclusion. Focus remained on scaling small-ticket lending within rural ecosystems, including crop loans for small and marginal farmers and microfinance lending to women borrowers from low-income households, while maintaining a prudent risk approach. Individual loans extended to graduating microfinance borrowers to support business expansion, along with financing for small MSME units linked to the agriculture ecosystem, remained key growth drivers.

These efforts were complemented by enhancements in digital and process capabilities, enabling timely and efficient credit delivery across priority segments. Alongside expanding credit flow, the Bank strengthened its internal systems and control framework to enable effective monitoring of credit utilisation and portfolio quality.



As part of its broader approach to strengthening the rural and semi-urban economy, the Bank provides financing to food and agri-processors, rural MSMEs, and participants across corporate supply chains through a suite of need-based products. Both Retail and Commercial Banking segments maintain a focused approach to MSME lending, which is a critical component of PSL. By expanding credit access to these enterprises, the Bank supports entrepreneurship, job creation, and economic resilience in rural and semi-urban regions.

The Bank continues to leverage partnerships with Non-Banking Financial Companies (NBFCs) to extend credit to priority sector borrowers, enabling deeper penetration into underserved geographies and customer segments. Co-lending arrangements with select NBFCs and Microfinance Institutions (MFIs) remain an important lever for building PSL advances, combining complementary strengths such as customer reach, product expertise, and risk-sharing mechanisms. In parallel, the Bank continues to explore alternate structures such as securitisation and lending to NBFCs and MFIs for onward lending, to further enhance credit flow to priority sectors.

These initiatives collectively support the Bank's objective of strengthening its PSL portfolio in a calibrated and sustainable manner, while contributing meaningfully to the broader agenda of financial inclusion and economic development.

### **Retail Payments**

The payments landscape continued to evolve during fiscal 2026, driven by rapid digitisation, changing customer behaviour, and evolving industry guidelines. Cards and Unified Payments Interface (UPI) remained central to non-cash transactions, alongside rising competition across issuers, acquirers, and platform providers. Customers increasingly gravitated towards simple, reliable, and high-frequency payment modes, with heightened expectations around seamless experiences, consistency of service, and transparency across payment journeys.

Against this backdrop, the Bank focused on strengthening its Cards and Payments franchise while pursuing calibrated growth aligned with portfolio quality, operating discipline, and long-term sustainability. Management emphasis remained on balancing scale with engagement, and growth with risk and cost considerations. This approach is reflected in a 4% growth in the cards portfolio, 21% growth in UPI Third Party Application Provider (TPAP) partnerships, and 19% growth in merchant terminals during fiscal 2026.

### **Credit Cards**

In credit cards, the Bank focused on calibrated customer acquisition, improving activation rates, and sustaining portfolio quality. The Bank strengthened its partnership ecosystem through new card launches with Google Pay Flex, Supermoney, and Indigo, and commenced new acquisition under the Axis Bank Horizon Credit Card, with a focus on travel-led value propositions.

Key initiatives during fiscal 2026 included the expansion of EMI-led propositions through "Always-on EMI," with EMI-led spends accounting for 10% of total spends. This was complemented by enhancements to digital fulfilment journeys on the Axis Bank mobile application and strengthened merchant partnerships to drive affordability-led offerings. These initiatives contributed to a 25% year-on-year growth in EMI transactions during fiscal 2026.

The Bank continued to adopt a technology-first approach, enabling fully integrated API-led onboarding and card issuance journeys, push provisioning capabilities through the mobile application, and seamless single-click EMI functionality to enhance customer experience. Alongside acquisition, the Bank focused on deepening engagement within the existing customer base through lifecycle-based personalised offers, instant nudges, and portfolio upgrade programs aimed at improving utilisation and strengthening customer relationships.

In parallel, the Bank strengthened its underwriting and monitoring frameworks, with tighter sourcing guardrails and enhanced lifecycle interventions to support portfolio stability. These actions reflected management's response to evolving portfolio performance trends, with tighter sourcing guardrails and enhanced monitoring supporting improved portfolio outcomes. Operational efficiency and servicing consistency across the card lifecycle remained key areas of focus.

### **Merchant Acquiring**

The Merchant Acquiring business continued to scale through targeted distribution and aggregator partnerships, with the Bank regaining leadership in terminal base with a market share of 22%. The Bank also became the first acquirer to go live with Amazon under the Payment Aggregator model.

Growth was supported by expansion of the terminal base and increased penetration across merchant segments and geographies. Management focus remained on improving operating efficiency and deepening merchant relationships beyond transaction acquiring, with an emphasis on positioning the Bank as the primary banking partner for merchants.

Cross-sell of deposits and lending to merchants continued to be a key lever for enhancing overall relationship value. During fiscal 2026, initiatives focused on improving merchant onboarding journeys, settlement processes, and service consistency, supporting deeper engagement while maintaining discipline on pricing and operating costs.

### **UPI and Digital Payments**

In UPI, the Bank prioritised sustaining scale and reliability amid evolving industry incentive structures. Focus areas included strengthening partnerships, improving transaction success rates, and identifying monetisation opportunities aligned with prevailing guidelines. The Bank strengthened its leadership in the UPI Payer Payment Service Provider (PSP) market, achieving a market share of ~36%.

UPI continued to serve as a high-engagement platform, driving frequent customer interactions and acting as a key touchpoint within the broader digital ecosystem. This was reflected in 45% growth in UPI transaction volumes during fiscal 2026. Innovation remained a key focus, with initiatives such as biometric authentication for UPI transactions and enablement of additional account types on UPI applications supporting sustained organic growth.

The Bank operates a hybrid infrastructure model, offering both on-premise and cloud-based connectivity to TPAPs and aggregators based on partner requirements. This scalable and resilient architecture has supported strong transaction reliability, resulting in lower technical declines relative to peer banks.

Strong UPI partnerships, combined with the “One Axis” approach, enabled deeper engagement with salary account relationships and strengthened the Bank’s position as a preferred partner for corporate payouts. This focus contributed to leadership in UPI and IMPS payout volumes.

### **Technology, Operations, and Customer Experience**

During fiscal 2026, management focus remained on strengthening operational resilience as transaction volumes scaled. Enhancements to monitoring frameworks and response mechanisms supported consistent system performance, particularly during peak usage periods.

Technology investments were directed towards enhancing processing capacity, strengthening API integrations, and improving system resilience across cards, acquiring, and UPI platforms. Digital issuance, real-time decisioning, and self-service capabilities contributed to faster turnaround times and improved customer experience, while simplification of customer journeys reduced reliance on assisted channels. Continued focus on platform stability and scalability supported consistent performance across high-volume payment environments.

Customer experience remained a key priority, with initiatives focused on reducing friction across journeys, enhancing communication clarity, and enabling faster issue resolution. Increased digital containment, strengthened assisted service models, and proactive interventions contributed to improvements in customer satisfaction metrics. These efforts were complemented by a continued focus on consistency of execution across channels as the business scaled.

### **Governance and Controls**

The Bank further strengthened its governance and control framework across Cards and Payments. Enhancements to onboarding checks, transaction monitoring systems, and observation closure processes were implemented in response to evolving regulatory guidelines and internal assurance feedback. Structured review mechanisms, combined with regular engagement with assurance functions and proactive issue identification, supported timely remediation and reinforced first-line accountability.

### **Outlook**

Going forward, the Bank will continue to focus on disciplined growth, improved unit economics, and deeper customer engagement across Cards and Payments. Key priorities include enhancing digital adoption, strengthening partnership-led distribution, and leveraging data and analytics to maximise lifecycle value, while maintaining robust governance and control standards as the franchise continues to scale.



### **Retail Forex and Remittance business**

Cross-border payments remain a key pillar of the Bank's international banking franchise, supporting retail, SME, and corporate customers with secure, compliant, and efficient foreign exchange solutions. During fiscal 2026, the Bank operated in a dynamic global macroeconomic environment characterised by currency volatility, evolving regulatory frameworks, and an accelerating shift towards digital-first customer preferences. The Bank processed forex transactions aggregating USD 5.2 billion (~₹47,000 crores) during fiscal 2026.

While inward remittance flows remained stable and resilient, outward remittances and the Forex Card portfolio witnessed moderation compared to the previous financial year. In response, the Bank undertook calibrated strategic initiatives to reposition these segments for sustainable growth, while strengthening risk governance and enhancing operational efficiency.

In October 2025, the Reserve Bank of India (RBI) integrated the CCIL (Clearing Corporation of India Limited) FX Retail platform with Bharat Connect (formerly BBPS), enabling retail customers to purchase foreign exchange for remittances, forex cards, and currency notes through leading digital applications. This initiative facilitates access to competitive real-time FX Retail rates through a fully digital and transparent customer experience. The Bank emerged as an early adopter of this platform, supporting the next phase of India's retail FX ecosystem.

#### ***Inward Remittances***

During fiscal 2026, the Bank reinforced its position as a trusted partner for inward cross-border remittances, leveraging its established correspondent banking network to enable seamless credit of funds across geographies. Focused efforts were undertaken to enhance straight-through processing (STP) levels from ~40% to ~56%, enabling faster credit to beneficiary accounts. To further improve customer experience, documentation requirements for non-STP transactions were streamlined. The Bank continues to invest in technology and process optimisation to drive higher levels of automation and scalability.

#### ***Outward Remittances***

The Bank offers a comprehensive suite of outward remittance solutions, including education fee payments, medical remittances, family maintenance transfers, capital account transactions, and other permissible cross-border payments, in compliance with prevailing regulatory guidelines. During fiscal 2026, outward remittance flows moderated, largely reflecting evolving regulatory dynamics and geopolitical developments impacting overseas education and travel-related transactions.

In response, the Bank initiated strategic recalibration measures and strengthened collaborations with fintech partners to drive cross-border flows, transitioning from a transaction-led approach to a more integrated, ecosystem-driven model. Digitisation remains central to this strategy, with ~83% of outward remittance transactions processed through digital channels, enhancing speed, convenience, and transparency for customers.

The Bank continues to prioritise robust risk management and regulatory compliance while delivering seamless and cost-efficient international fund transfer solutions.

#### ***Forex Cards***

The Forex Card portfolio witnessed moderation during fiscal 2026, reflecting tempered outbound travel demand, pricing pressures, and increasing adoption of alternative digital payment solutions. Notwithstanding near-term contraction, Forex Cards remain a strategically important offering, providing customers with a secure and convenient alternative to cash for international travel, business, and education-related expenses.

Product enhancements remained a key priority, including strengthened multi-currency offerings, contactless capabilities, enhanced fraud monitoring and transaction security frameworks, and improved turnaround times for issuance and reloads.

The Bank is repositioning its Forex Card proposition through sharper customer segmentation, expansion of digital distribution channels, and targeted cross-sell initiatives across affluent and student segments.

### **Technology, Risk, and Outlook**

The Bank continues to invest in the technology-led transformation of its cross-border payments ecosystem. Strategic priorities include deeper API integrations, enhanced compliance automation, corridor expansion, and improved digital customer journeys enabled by data and analytics.

With increasing global mobility and cross-border financial flows, the Bank remains well positioned to capture emerging opportunities across retail foreign exchange and remittance businesses, while maintaining high standards of compliance, security, and service excellence.

### Third-Party Distribution

The Third-Party Products business continues to be a key pillar of the Bank's diversified fee income model. Through a comprehensive suite of investment and protection solutions, the Bank enables customers to meet their financial goals across life stages while strengthening long-term relationships.

During fiscal 2026, the Third-Party Distribution business focused on deepening customer penetration, expanding partner ecosystems, and leveraging digital capabilities to deliver a seamless advisory and transaction experience. The Bank operates a multi-partner distribution model, offering curated products across life insurance, health insurance, general insurance, mutual funds, and alternative investment products.

Through partnerships with leading insurance providers, the Bank offers a comprehensive range of risk protection solutions tailored to diverse income segments and customer risk profiles.

As at March 31, 2026, the Bank's mutual fund Assets Under Management (AUM) stood at ₹91,326 crores. The Bank continues to be among the leading banking distributors in the industry, servicing a mutual fund customer base of ~1.25 million as at March 31, 2026.

The Bank continued to be one of the largest Bancassurance player in terms of both Life and Non-Life Insurance volume among private Banks with an annual fee growth of 18% in Life Insurance and 9% in Non-Life insurance in fiscal 2026.

The Bank's dedicated in-house research desk plays a key role in identifying and curating mutual fund schemes based on rigorous qualitative and quantitative evaluation parameters. The Bank currently distributes schemes from 27 Asset Management Companies (AMCs) through its extensive branch network and digital channels, aligning offerings with customers' lifecycle needs and investment preferences.

The Bank also offers online and offline trading services in collaboration with Axis Securities Limited under the Axis Direct platform. Through its branch network, the Bank has sourced ~5.84 million customers for Axis Direct, with around 6.93 lakh customers added during fiscal 2026.

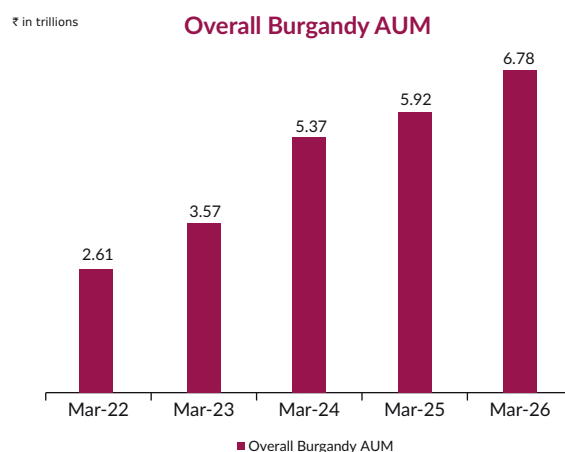
With a strong customer franchise, a diversified product portfolio, and a technology-enabled advisory model, the Third-Party Distribution business is well positioned to drive sustainable fee income growth while enhancing customer lifetime value.

### Wealth Management

The Bank's Wealth Management business continued to demonstrate steady scale expansion and consistent growth during fiscal 2026. Under the Burgundy franchise, the Bank managed wealth assets of ₹6.78 trillion as at March 2026, reflecting the depth of client trust and the strength of its franchise.

Anchored in the 'One Axis' ecosystem—integrating banking, wealth management, asset management, investment banking, and capital markets—the Bank offers one of the most comprehensive propositions for high net worth (HNI) and ultra-high net worth (UHN) clients in India. This integrated model enables the delivery of a broad suite of solutions tailored to clients' financial aspirations, investment preferences, and risk profiles.

Recognising the distinct wealth management needs of diverse customer segments—including affluent professionals, first-generation entrepreneurs, business families, senior citizens, and non-resident Indians (NRIs)—the Bank remains focused on supporting clients across their wealth creation and preservation journeys. Its open architecture model provides curated access to a wide range of investment solutions, including Portfolio Management Services (PMS), Alternative Investment Funds (AIFs), mutual funds, fixed income instruments, and alternative assets.





During fiscal 2026, the Bank further strengthened its product platform by adding two mutual fund Asset Management Companies (AMCs) and 20 PMS/AIF partners, enhancing both the breadth and quality of investment offerings available to clients.

The Bank's proposition is supported by a dedicated team of wealth specialists and investment professionals with deep expertise across asset classes. This is complemented by in-house economic research capabilities and partnerships across the Axis ecosystem, enabling the design of customised investment strategies aligned to clients' evolving financial goals.

As Indian investors increasingly diversify globally, the Bank continues to strengthen its international wealth platform through GIFT City. This enables efficient access to India-focused investment opportunities for NRI clients while supporting resident clients in diversifying across global markets through structured solutions designed to optimise geographic risk allocation.

In line with evolving customer preferences, the Bank continues to enhance digitally enabled investment journeys. Through 'Open', its flagship mobile banking platform, clients can seamlessly invest across asset classes including NPS, mutual funds, insurance, and sovereign bonds. Digital channels contributed over ₹8,055 crores in mutual fund gross sales during fiscal 2026, reflecting strong adoption and engagement.

During fiscal 2026, the Bank launched its NextGen online investment platform, offering a more intuitive and efficient experience across both web and mobile channels. Early adoption trends have been encouraging, contributing to an enhanced customer investment journey.

### **Affluent Banking**

The Burgundy franchise continues to strengthen its position as a comprehensive offering for HNI and emerging affluent clients. During fiscal 2026, the Bank further enhanced its value proposition through an integrated suite of banking, investment, and insurance solutions, powered by digital capabilities and a highly skilled relationship management workforce.

The affluent banking franchise is supported by a network of over 580 Relationship Managers, 485 Premium Service Managers, and 20 Wealth Specialists across more than 350 branches. This expanding footprint has enabled deeper penetration into Tier-2 and Tier-3 markets, where demand for curated wealth and investment solutions is growing.

The NRI segment remains a key strategic priority within the Bank's premiumisation agenda. The Bank provides personalised banking, investment, and service experiences to NRI clients through integrated digital and remote channels. In addition to core banking solutions, NRI customers are offered a broad range of India focused investment products through our digital platforms. The segment is supported by more than 480 dedicated Relationship Managers and over 400 virtual Relationship Managers, enabling consistent and high-quality engagement across geographies.

Overall, fiscal 2026 reflected continued expansion, capability enhancement, and franchise strengthening within the affluent banking business. The Bank remains focused on investing in people, platforms, and partnerships to address the evolving financial needs of affluent and globally connected clients. The franchise remains committed to delivering a differentiated, seamless, and future ready wealth experience.

### **Private Banking**

Burgundy Private, the Bank's private banking franchise catering to UHNI and HNI clients, completed six years of operations during fiscal 2026. The business continues to scale, managing client assets of over ₹2.4 trillion across more than 16,000 families, including 40 of the Forbes 100 richest Indians, with a presence across 52 cities.

During fiscal 2026, the Bank expanded the Burgundy Private proposition to 10 additional Tier-2 cities, aligned with its strategy to tap the growing UHNI population in these markets. The franchise continues to benefit from strong operational synergies across the 'One Axis' ecosystem, delivering incremental value to clients.

Burgundy Private has continued to receive international recognition for service excellence, including awards such as 'India's Best for Next-Gen' at the Euromoney Global Private Banking Awards 2025 for the third consecutive year, and 'Best Private Bank for HNWIs' at The Asset Triple A Awards 2025. During fiscal 2026, the franchise received nine awards across five platforms.

Burgundy Private Partners are at the centre of ensuring that our clients "Experience the Power of One". The people strength in our private banking arm has grown to more than 250 vintaged Burgundy Private Partners with an average working experience

of over 15 years. They are ably supported by a well-trained team of more than 125 Service Partners to ensure superior service delivery. The 1:2 Service Partner to Partner ratio, which is among the best in the industry, is part of our strategy to ensure service delivery is always prioritised. Burgundy Private clients benefit from the expertise of our dedicated team of Investment Counsellors and Insurance Specialists, who are certified and trained for the purpose.

'Burgundy Private Experiences', our flagship program which brings to our clients curated events across various genres such as music, arts, dining, and thought leadership has built an identity of its own and our clients look forward to being invited to such events. In Fiscal 2026, the Bank organised 51 exclusive events covering 21 cities, which helped 1,500+ Burgundy Private clients get together to network with like-minded patrons.

Burgundy Private franchise has been consistently pursuing excellence and has been dedicated to enhancing service delivery in Private Banking, with customer centricity at the centre. The Bank has successfully established a strong brand identity for Burgundy Private, defined by credibility and lasting recognition through strategic partnerships. With the growth that India is witnessing in the wealth management space, Burgundy Private is well poised to deliver strong growth in the coming years.

### Digital Banking

Digital Banking remains a core strategic focus area and a key differentiator for the Bank. As an early mover in launching a dedicated "Digital Bank," the Bank has, over the past several years, made sustained investments in building in-house, proprietary digital-native capabilities. These investments have enabled end-to-end digital journeys across products and services, supporting the Bank's broader digital consumer lending ambitions.

During fiscal 2026, digital banking continued to play a central role in enhancing customer engagement across both retail and wholesale segments, with digital platforms emerging as the primary mode of interaction for a wide range of banking needs. The Bank's efforts remained focused on driving growth through increased adoption, deeper engagement, and consistent customer experience. Digital channels supported rising transaction volumes and increasing complexity in a stable and controlled manner, reinforcing operational resilience as digital adoption accelerated. Strengthened core journeys and growing self-service adoption enabled scalability and efficiency, supporting long-term value creation.

The Bank's digital ecosystem spans end-to-end journeys across retail and corporate banking, delivered through mobile and internet banking platforms, WhatsApp, APIs, and corporate digital platforms. The operating model integrates direct digital journeys led by the Digital Business and Transformation function with assisted digital journeys enabled by relationship managers and branch teams. This hybrid model allows customers to seamlessly transition between self-service and assisted channels while enhancing productivity and service quality. Together, these channels support a wide range of customer needs across payments, deposits, lending, servicing, and engagement.

Payments continue to serve as a foundational element within the Bank's digital ecosystem, representing one of the most frequent customer interaction points. Digital platforms support high-volume, always-on transaction activity across retail and wholesale segments. During fiscal 2026, digital payments have grown, reflecting the increasing role of digital channels in customers' daily financial activities. Reliability, continuity, and consistent performance remain critical to sustaining customer trust as transaction intensity continues to increase.

The Bank further strengthened its digital servicing capabilities, with an increasing proportion of routine service requests being fulfilled through digital workflows. Approximately 70% of branch service requests were enabled digitally during fiscal 2026, contributing to faster turnaround times and improved service consistency. Enhanced automation and straight-through processing (STP) capabilities have reduced manual intervention, enabling faster outcomes while maintaining robust controls. This shift has driven greater adoption of self-service journeys, allowing frontline teams to focus on higher-value interactions and exception management.

As digital usage deepened, the Bank placed strong emphasis on enhancing security and customer trust. Several customer-centric initiatives were introduced during fiscal 2026. Features such as 'FD Lock' were launched to safeguard deposits by restricting premature digital closures, while Mobile App-based OTP authentication reduced reliance on SMS-based verification, mitigating risks such as SIM swap fraud. A digital face authentication framework was implemented across select journeys to enable secure identity verification. Additionally, the "Safety Centre" within the mobile application was enhanced, allowing customers to manage account security settings, control transaction permissions, login access, and authentication preferences, and to take immediate action in case of suspected fraud.



The Bank also strengthened customer engagement capabilities through initiatives aimed at improving financial awareness and well-being. 'My Money', the personal finance management feature within the mobile application, enables customers to access a consolidated view of balances, spending patterns, credit behaviour, and investments. Features such as net worth tracking, categorised spending insights, and personalised recommendations support informed financial decision-making.

Digital lending capabilities were further expanded across retail and small business segments. The Bank offers a wide range of digital lending solutions, including personal loans, business loans, overdrafts against deposits, loans against securities, home loans, vehicle loans, and working capital financing. These journeys are delivered through both direct digital and assisted models, with continued emphasis on improving conversion rates, enhancing customer experience, and maintaining prudent underwriting standards.

On the wholesale side, 'Neo', the Bank's digital banking platform for corporate clients, continued to see increased adoption and deeper engagement. The platform integrates payments, trade finance, forex, treasury, and servicing capabilities into a unified interface, enabling clients to manage financial operations seamlessly. API-based integrations allow corporates to embed banking services into their internal systems, improving efficiency, automation, and control over financial processes.

The Bank also continued to enhance its digital reach and engagement through improvements to its customer-facing platforms. A redesigned website with improved navigation, performance, and content structure was launched, facilitating easier access to information. Content-led engagement initiatives such as 'Open Dialogue' and the Learning Hub were further scaled, fostering informed customer interactions. The Bank also expanded its presence across social media platforms to improve accessibility and relevance.

Customer experience remained a central focus across digital channels. The Bank's mobile banking application, 'Open', continued to receive strong customer feedback, with average ratings of 4.8 on both Google Play Store and Apple App Store as at 31 March 2026. This reflects sustained improvements in usability, reliability, and platform performance.

As digital adoption continues to accelerate, digital platforms form an integral and resilient layer of the Bank's operating model. With a growing share of customer interactions being handled digitally across retail and wholesale segments, ongoing investments in platforms, journeys, and operating models will continue to strengthen scalability, reliability, and customer trust.

### **Performance of Digital Banking Units**

Digital Banking Units (DBUs) play a pivotal role in advancing Axis Bank's digital transformation agenda by delivering banking services through a robust, paperless and technology-driven infrastructure. These units act as enablers in expanding the Bank's digital footprint, complimenting traditional brick-and-mortar formats while promoting seamless, self-service banking experiences.

In line with the Government of India's vision announced during FY23 to establish 75 DBUs across 75 districts, Axis Bank operationalized its DBUs in Bhilwara and Bundi (Rajasthan) and Itarsi (Madhya Pradesh) in October 2022. As on March 31, 2026, Axis Bank operates three DBUs, continuing to strengthen digital adoption

The number of deposit accounts including saving bank accounts, current accounts and term deposit accounts sourced through DBU was 1,042 in fiscal 2026. The Bank also originated 22 loans processed through DBU in fiscal 2026.

### **Wholesale Banking and products**

The Bank stands as a leading and all-encompassing Wholesale Banking franchise in the country, addressing every banking need of the Corporates. We are building on our strong foundation with distinct, innovative strategies that differentiate us in a competitive landscape and set the stage for next-year growth.

Throughout the fiscal year 2026, our focus remained on fostering deeper client relationships and delivering comprehensive banking solutions. By leveraging our 'One Axis' approach across different business segments and subsidiaries, we successfully encompassed the entire corporate value chain.

The Wholesale Coverage Group offers a wide array of products and services such as cash credit facilities, demand and short-term loans, project finance, export credit, trade services, forex and derivative solutions, payment and cash management



systems, tax payments, salary accounts, trust services, commercial and credit cards, and much more. Backed by a dedicated Wholesale Banking Products team, we provide customized solutions to meet the diverse financing needs of our clients.

The Bank's Wholesale Coverage serves diverse customer segments ranging from SMEs, Start-ups, Large and mid-corporates, MNCs, Financial institutions and intermediaries, PSUs and Government departments through its sharpened coverage structure, as follows:

- **Mid-Corporates & Medium Enterprises Group (MEG):** focuses on fast growing enterprises and MSMEs
- **Large Corporates:** Covers India's leading corporates and conglomerates, delivering integrated solutions across lending, treasury, trade, cash management and capital market linkages under the One Axis framework.
- **Focused Segmental Coverage:** Covering PSUs, Government-owned entities, Multinational companies, Start-ups, Real Economy corporates (Infrastructure and real estate companies) and Financial institutions

### Wholesale Banking Coverage Group

The Wholesale Banking Coverage Group (WBCG) remains a key pillar of the Bank's wholesale banking strategy, offering an integrated suite of solutions across lending, liabilities, transaction banking, trade, foreign exchange (FX), capital markets, custody, and digital channels. Through the 'One Axis' framework, the Group delivers end-to-end solutions that support client working capital cycles, investment requirements, treasury management, and overall cash flow optimisation

### Business Performance Review

During fiscal 2026, WBCG continued to rebalance its franchise towards transaction-led and fee-based revenue streams, while strengthening liability mobilisation in a competitive funding environment. Current account, escrow, and payroll propositions were further deepened across corporate client segments, supporting improvement in self-funded ratios.

Asset growth remained calibrated and aligned to sectoral trends, portfolio concentration norms, and the Bank's risk appetite. Asset quality was resilient, supported by enhanced early warning systems, market intelligence capabilities, and strengthened credit governance frameworks.

Non-credit income was driven by higher Cash Management Services (CMS) volumes, increased trade flows, foreign exchange activity linked to sponsor-led and cross-border transactions, and escrow flows from capital markets and real estate ecosystems. Productivity improvements were achieved through the adoption of digital Credit Appraisal Memorandum (CAM) workflows, enhanced ecosystem mapping, and closer cross-functional collaboration.

### Strategic Progress and Operating Priorities

Liability led Growth — Focused initiatives deepened CA balances, scaled digital collections, expanded payroll relationships and integrated CMS offerings through APIs (Application Programming Interface and ERP (Enterprise Resource Planning) connectors.

Strengthening Non-credit Revenues — Stable fee income was driven by cash management, FX, trade finance, custody and escrow solutions.

Digital and AI Integration — Automation of credit workflows, AI-enabled monitoring, CRM driven analytics and digital onboarding enhanced efficiency, speed and governance.

Risk Management and Portfolio Discipline — Enhanced portfolio surveillance, automated triggers, stronger collateral discipline and improved stress testing frameworks supported calibrated risk outcomes.

### Sectoral Highlights

WBCG maintained broad-based engagement across key sectors, including manufacturing and industrials, renewables and energy transition, infrastructure and real estate, technology and digital commerce, and financial sponsors. Expansion remained selective and aligned with the Bank's risk-return framework and portfolio diversification objectives.

### **Medium Enterprise Group**

The Medium Enterprise Group (MEG) is an integral part of the Bank's Wholesale and Commercial Banking strategy, serving fast-scaling, professionally managed enterprises through a relationship-led and integrated operating model.

MEG combines sectoral expertise, transaction banking capabilities, and digital platforms to deliver customised financial solutions across the business lifecycle, supported by the 'One Axis' framework and the Bank's 'Dil Se Open' philosophy.

With a pan-India presence, strong regional connect, and disciplined underwriting practices, MEG has delivered consistent growth in both advances and deposits. More than 75% of the portfolio qualifies under Priority Sector Lending, reflecting the Group's alignment with the Bank's PSL objectives.

A granular and well-diversified portfolio, supported by ongoing digitisation initiatives—including straight-through processing (STP)-enabled renewals—has strengthened operational efficiency, profitability, and customer experience within the MEG franchise.

### **Commercial Banking Coverage Group (CBG)**

The Commercial Banking Coverage Group (CBG) is a key business franchise and a strategic growth engine for the Bank, playing a critical role in driving Micro, Small and Medium Enterprise (MSME) lending, strengthening Priority Sector Lending (PSL), and supporting overall profitability and balance sheet composition.

CBG serves the evolving needs of MSMEs across their end-to-end value chain, spanning credit, trade and foreign exchange solutions, liabilities, and transaction banking services. The franchise also offers tailored banking propositions for business owners and their employees, enabling a comprehensive and integrated financial ecosystem across the business lifecycle.

The MSME sector continues to be a cornerstone of the Indian economy, demonstrating resilience and adaptability in a dynamic operating environment. In this context, CBG remains focused on addressing diverse MSME requirements through customer-centric, digital-first, and innovation-led solutions. The franchise continues to strengthen its positioning as a "one-stop MSME solutions provider," supported by best-in-class digital platforms, customised offerings, and a robust credit delivery framework.

Enhanced digital capabilities, including platforms such as 'Neo' and digitised renewal journeys, have streamlined servicing and improved turnaround times. Relationship managers, supported by real-time insights and advanced analytics, enable proactive and personalised engagement with customers, strengthening relationship depth and service quality.

As of March 2026, the CBG book stands at ₹147,159 crores. CBG continues to be an important contributor to the Bank's PSL strategy, generating stable and high-quality priority sector assets.

### **Wholesale Banking Products**

The Bank has strengthened its position as a transaction bank of choice across current accounts, cash management, and trade and supply chain finance, supported by continued market share gains. The Bank remains focused on delivering differentiated and integrated transaction banking solutions to clients across corporate, commercial banking, financial institutions, and government segments.

As part of its wholesale digital agenda, 'NEO by Axis Bank' represents the Bank's strategic commitment to building a leading digital transaction banking franchise. The platform offers a comprehensive suite of capabilities, including API banking, Corporate Internet Banking, host-to-host integrations, and strategic ecosystem partnerships.

The Bank continues to develop solutions aligned with varying levels of client digital maturity, enabling seamless adoption across segments. In addition to a robust API suite that enables corporates to integrate enterprise resource planning (ERP) systems with the Bank, a Corporate Developer Portal has been launched to empower digitally advanced clients with self-integration capabilities through a do-it-yourself model.

### **Cash Management**

The Bank offers comprehensive cash management solutions across customer segments and continues to maintain a leadership position in transaction volumes across NEFT and IMPS platforms. Its API Banking suite has been further strengthened to support high transaction processing speeds, catering to digitally advanced clients.

The Bank provides account statements in multiple customised formats across various transmission modes, including APIs, enabling straight-through processing (STP) and seamless reconciliation within client ERP systems.

The Bank is authorised to collect Direct Taxes, Goods and Services Tax (GST), and Customs duties, and has enabled digital payment processing through cards and UPI for GST and CBDT collections. Additionally, the Bank is integrated with the Public Financial Management System (PFMS) for government disbursements and has enabled state tax collections across multiple states.

The Bank is progressively improving on its leadership position in Bharat Connect (earlier known as BBPS) ecosystem and has been amongst the first movers to launch “EV Recharge” category in BBPS along with an industry first instant bill generation capability for utility customers. The Bank continues its dominant position in terms of number of biller onboarding and highest number of transactions amongst private banks and has been leading the way for piloting new initiatives with NBBL, billers & fintech partners.

### **Commercial Cards**

The Commercial Cards business continued to drive innovation by offering tailored payment solutions that enable businesses to optimise cash flows, improve expense management, and enhance working capital efficiency. During fiscal 2026, the Bank further strengthened its digital proposition by enhancing end-to-end issuance and servicing journeys, while expanding the use of commercial cards across business and statutory payment use cases.

A key focus area was strengthening capabilities in B2B and statutory payments through direct integration with platforms such as GST and CBDT portals, enabling seamless and secure tax payments via commercial cards. Supported by robust technology infrastructure and strategic ecosystem partnerships, the Commercial Cards platform continues to play a critical role in enabling efficient corporate payment solutions.

### **Trade and Supply Chain Finance**

The Bank offers a comprehensive suite of trade and supply chain finance (SCF) solutions across domestic and cross-border requirements, delivered through both its branch network and digitally integrated platforms. A dedicated team of product and sales specialists supports clients across exports, imports, guarantees, and liquidity management requirements.

During fiscal 2026, the trade business focused on strengthening cross-border flows by deepening engagement with existing clients and leveraging opportunities across key India-linked trade corridors. The launch of export factoring is expected to support incremental trade flows, enhance revenue streams, and strengthen client relationships.

In supply chain finance, the Bank continued to scale integrated lifecycle solutions, building a balanced portfolio mix spanning granular dealer and vendor financing as well as large structured corporate programs. This approach has driven strong growth in the SCF portfolio and supports the Bank's ambition to further strengthen its position in this segment.

### **Current Account**

The Bank's continued focus on its transaction banking proposition supported steady growth in current account balances during fiscal 2026. The Current Account (CA) franchise emphasised service excellence to drive client retention and deepen relationships, supported by enhanced adoption of self-service capabilities and streamlined customer journeys, including re-KYC processes.

To further strengthen service delivery, dedicated CA service desks were operationalised across multiple locations, alongside the launch of the 'Infinity' CA onboarding platform, enabling faster and more seamless client onboarding. In addition, WhatsApp Banking capabilities were extended to current account customers, facilitating convenient access to key account information and service requests.

The Bank also launched UPI services for current account customers, enabling eligible business entities—including corporates, partnerships, LLPs, and trusts—to initiate UPI transactions in line with regulatory guidelines, thereby expanding digital payment capabilities.

**Treasury & Markets**

The Bank's Treasury & Markets function encompasses Asset-Liability Management (ALM), Foreign Exchange Trading (including currency derivatives and bullion), Interest Rate Trading (including rupee derivatives), Primary Dealership, Non-SLR Trading (including equities), Debt Capital Markets (DCM – domestic and international), Treasury Sales, Loan Syndication, and Treasury Technology & Governance.

The ALM function is responsible for managing statutory and regulatory liquidity requirements, including the Cash Reserve Ratio (CRR), Statutory Liquidity Ratio (SLR), Liquidity Coverage Ratio (LCR), and Net Stable Funding Ratio (NSFR). The function also oversees the Bank's liquidity, interest rate, and foreign exchange risk exposures in line with the frameworks and guidance established by the Asset-Liability Committee (ALCO).

The Foreign Exchange Trading Group is an active participant in domestic and international currency and derivatives markets, undertaking both proprietary trading and market-making activities across a wide range of foreign exchange products.

The Interest Rate Trading (IRT) desk plays a critical role in market-making and trading across Government Securities (G-Secs), Overnight Index Swaps (OIS), and other interest rate-linked instruments. As a Primary Dealer, the Bank meets its regulatory obligations with respect to underwriting, bidding participation, success ratios, and turnover in Government Securities and Treasury Bill auctions.

The corporate bond and equity trading desk undertakes investments across primary and secondary markets, including corporate bonds, commercial paper, certificates of deposit, and equity instruments.

**Debt Capital Markets and Syndication**

The Bank continues to maintain a leadership position in Debt Capital Markets (DCM), ranking #1 in calendar year 2025, following its return to the top position in 2024. The Bank has also demonstrated sustained performance, having held the #1 arranger position for 16 consecutive years up to calendar year 2022.

The Bank's international DCM franchise continues to expand, with mandates from leading corporates for offshore bond issuances, including a track record of arranging Environmental, Social, and Governance (ESG)-compliant transactions.

The Loan Syndication desk plays a key role in arranging financing solutions for corporate clients across domestic and international markets, operating on underwriting, arranger, and best-efforts basis. The desk also undertakes secondary loan market activities, contributing to portfolio optimisation and balance sheet risk management.

**Treasury Sales and Client Solutions**

Treasury Sales, part of the Bank's Fixed Income, Currency, and Commodities (FICC) franchise, works in conjunction with coverage teams to deliver customised treasury solutions, including risk management and hedging strategies for a diversified client base. The team offers a wide suite of foreign exchange and derivatives products, supported by strong structuring capabilities and execution expertise.

The business also leads the Bank's digital markets platform, 'Neo for Markets', which integrates client engagement with execution capabilities and supports the delivery of differentiated treasury solutions.

**Technology, Governance, and Risk Management**

The Treasury Technology & Governance (TTG) function oversees technology implementations across treasury operations and ensures a robust governance framework for all products and activities. The function plays a critical role in ensuring that new products and market activities are consistent with internal risk policies and regulatory guidelines.

### **SPARSH: Embedding Customer Obsession as a Distinctive Capability**

SPARSH continues to be a core enterprise priority and a key area of distinctiveness for the Bank. It reflects the Bank's structured approach to strengthening customer experience, deepening trust and embedding customer obsession into the way the organisation operates.

Over the years, SPARSH has evolved into a comprehensive framework anchored in 4 areas: crafting delight journeys, embedding SPARSH values, measuring and acting on customer feedback, and building institutional capabilities. This framework enables the Bank to listen with intent, strengthen key journeys and reinforce ownership across customer touchpoints.

A defining element of SPARSH is the emphasis on leadership ownership of customer outcomes. The Bank continues to encourage direct engagement between leaders, frontline teams and customers, ensuring that customer needs and experiences guide decision-making and execution across levels.

SPARSH also focuses on embedding customer centric behaviours into everyday execution. Through daily ownership rituals, regular cadences, recognition and platform enabled support, the Bank continues to reinforce behaviours that help teams listen with intent, act with speed and take greater ownership of customer outcomes.

During the year, the Bank continued to deepen customer engagement across priority cohorts, including Senior Citizens and NRIs, through structured listening and focused interventions. These efforts support the Bank's broader agenda of building more trusted, relationship led and customer need led experiences.

The Bank also continued to strengthen digital and institutional capabilities through platforms such as Adi and Kaleidoscope. These capabilities support employees with faster access to relevant information, improved visibility of customer relationships and more consistent customer conversations across channels. They also enable the Bank to use technology more effectively to support frontline teams, improve response quality and strengthen customer engagement at scale.

SPARSH is embedded across the Bank's branch network, digital channels, customer touchpoints and employee base, and continues to be supported by governance mechanisms that reinforce accountability and execution discipline.

Going forward, SPARSH will continue to play an important role in strengthening customer trust, deepening relationships and building differentiated customer delight moments. It remains a distinctive capability for the Bank, bringing together leadership ownership, customer listening and insight, governance and technology to deliver sustainable value.

### **Business Intelligence Unit**

The Business Intelligence Unit (BIU) is a core enterprise capability that anchors the Bank's data-led transformation agenda. Operating at scale across businesses, BIU enables consistent, analytics-driven decision-making to support growth, strengthen risk outcomes, enhance customer experience, and improve operational efficiency. BIU solutions are embedded across key functional areas - including marketing, risk, fraud, compliance, collections, financial crime, strategy, and operations—spanning retail, cards, deposits, wholesale, and commercial banking.

BIU brings together a diverse talent base of over 650 professionals across data engineering, advanced analytics, data science, and generative AI. Over recent years, the Unit has continued to mature its operating model through sharper capability segmentation, stronger role clarity in emerging disciplines such as machine learning (ML) engineering and data stewardship, and structured enterprise-wide skill frameworks. These investments have enhanced execution consistency, reduced reliance on bespoke delivery, and improved the scalability of analytics outcomes across the organisation.

Analytics, ML, and generative AI are increasingly embedded into frontline and management decision processes. BIU has played a central role in advancing the Bank's data and analytics platform through continued adoption of cloud-enabled data platforms, scalable lakehouse architectures, API-driven services, and modern analytical tooling. Alignment of priority workloads with the Bank's hybrid cloud strategy has enhanced resilience, flexibility, and the ability to industrialise analytics use cases at pace.

The Bank's data architecture supports more than 2,000 active analytical and decisioning use cases, processing high volumes of data on a daily basis. This environment is underpinned by strong data governance, quality controls, and a unified customer master, enabling improved data consistency, deeper cross-business insights, and enhanced regulatory readiness. These foundations position the Bank to respond effectively to evolving data privacy and compliance requirements, including the Digital Personal Data Protection Act (DPDPA), while continuing to support innovation.



During fiscal 2026, BIU focused on scaling analytics into repeatable, enterprise-level value. Decision optimisation capabilities were expanded across pricing, credit, collections, and marketing, enabling data-driven trade-offs under real-world constraints. Enhancements in ML engineering reduced model development and deployment timelines, accelerating value realisation. In parallel, targeted generative AI initiatives progressed to automate knowledge-intensive workflows, improve employee productivity, and enhance customer and frontline experiences—establishing a strong platform for sustained, data-enabled growth.

### Information Technology and Cyber security

The Information Technology (IT) department's vision is to power the Bank with an always on, secure, and AI-focused technology foundation that transforms strategy into outcomes at scale. The plan is to deliver this by reimagining customer and employee journeys, improving operational efficiency straight through the agentic automation, and strengthening digital and data capabilities including AI-assisted analytics, consent native data and master data management. The Bank will continue to reinforce trust through higher standards of security and reliability-anchored in core modernization, zero trust posture and real-time observability-while driving cost efficiency and improved returns through digital infrastructure and cloud/automation efficiency.

The Bank continues to strengthen its AI journey in alignment with the GPS strategy (Growth, Profitability, Sustainability), advancing digital transformation and innovation under a robust governance framework to ensure scalable, secure, and customer-centric outcomes. AI capabilities are being enhanced across customer servicing and technology delivery through AI-enabled service bots, integrated voice streaming, and strengthened compliance controls. In parallel, software delivery efficiency is being improved through AI-assisted development, enabling faster release cycles, higher code throughput, earlier risk detection, and automated remediation. Governance is being further reinforced through AI-based control checks and stringent policies that promote responsible, compliant, and well-managed use of models across the enterprise.

The Mobile banking platform has been rated 4.8 each on the iOS App Store and Google Play Store from ~0.36 million and ~3.4 million reviews respectively. The Mobile Banking application now has 31 million registered users as of March 2026 and enhanced its channel capabilities by increasing the volume of service requests, with a rise in monthly active users to over ~16 million. The WhatsApp banking platform now serves more than 40 million customers over 50 million communications with new features including corporate account services and comprehensive statement journeys.

The Bank continued to demonstrate strong performance in the UPI ecosystem (as of March 2026), with a VPA base of 2,610 million and supporting ~14.3 million merchant transactions per day on the UPI platform. The Bank has secured the leading position in the UPI Payer PSP segment with an estimated market share by volume improving from 30% in February 2025 to ~36% in March 2026. In addition, the Bank has introduced a robust UPI stack, enabling customized offerings across Software Development Kit, Intent, Collect, and Pay solutions, along with new functionalities such as UPI AutoPay. The Bank also maintains one of the lowest UPI technical decline rates among peer banks, reflecting strong platform stability and reliability.

The Bank has emerged as a leader in Central Bank Digital Currency (CBDC) innovation, with 1 million+ registered customers and 10 million+ transactions, CBDC adoption has grown by nearly 50% from October 2025 to March 2026. As the preferred RBI partner for the Government led Programmable CBDC initiative, the Bank is actively collaborating with multiple ministries and government bodies to drive focused use cases. In the wholesale CBDC space, the Bank has also taken the lead, becoming the first institution to go live with CD tokenization initiatives. Going forward, the Bank aims to strengthen government partnerships, broaden CBDC ecosystem integrations, and connect with Third-Party Application Providers to accelerate mainstream adoption and ecosystem growth.

The Bank has strengthened API security through Aadhaar-seeding controls, Enterprise Service Bus-level encryption, and Aadhaar Enabled Payment System (AePS) compliance, alongside enhanced monitoring and integration of the API inventory into change-management processes. A centralized control layer now governs all API gateways, ensuring uniform authentication and consistent policy enforcement. As of March 2026, API usage has continued to annually grow at ~17% in monthly request volumes, supported by over 1,012 partner APIs, over 1,076 partner onboardings, and more than 3,160 internal APIs. The developer portal has also expanded, offering 669+ APIs to over 6,884 developers.

The Bank has strengthened infrastructure resiliency through cluster-based disaster recovery (DR) drills and the adoption of Site Reliability Engineering (SRE) practices to enable secure and timely recovery during disruptions. It operates a centralized

IT setup across two primary data centres in Mumbai and Bengaluru (in different seismic zones), supported by a near DR facility in Bengaluru; this modernised architecture is designed for scale with modular expansion and added capacity, and is interconnected via Wide Area Network (WAN) and Multiprotocol Label Switching (MPLS) for application delivery across domestic and international branches. The Bank is also improving deployment consistency and reducing configuration risk through automated testing and Infrastructure as Code, while reinforcing data protection with encrypted, access controlled failover, Digital Personal Data Protection (DPDP) aligned handling, and continuous threat monitoring.

The Bank has established an enterprise-wide cyber security program to address the security of information assets and data. The program is governed through an Information Security and Cyber security Policy and associated Standards aligned with recognised industry frameworks and applicable regulatory requirements. The cybersecurity framework is aligned to the National Institute of Standards and Technology (NIST) and ISO 27001 standards and is implemented across the functional domains of Govern, Identify, Protect, Detect, Respond and Recover.

The Bank maintains conformance with recognised international standards, including ISO 27001:2022 (Information Security Management System), ISO 27017:2015 (Information Security Controls for Cloud Services), ISO 27034:2021 (Application Security – Letter of Recognition), and the Payment Card Industry Data Security Standard (PCI DSS) version 4.0.1. The Bank is also certified under ISO 27018 for the protection of Personally Identifiable Information (PII) in cloud environments. During the period Fiscal 2026, the Bank achieved certification under ISO/IEC 42001:2023 for Artificial Intelligence Management Systems, establishing a formal governance framework for the use of Artificial Intelligence within the organisation. These certifications demonstrate defined security and governance controls across IT infrastructure, applications, cloud deployments, and AI-enabled systems.

The Bank operates a 24x7 Security Operations Centre (SOC) supported by cybersecurity monitoring, detection, and incident response processes. Continuous monitoring is carried out across the Bank's digital channels, including monitoring of the dark web and deep web for indicators of potential data exposure and cyber threats. The Bank's external cyber risk posture is assessed using independent rating mechanisms, with a BitSight score of 810 out of 900 reported during the period.

The Bank's external cyber risk posture is assessed using independent third-party security rating mechanisms. During the reporting period, the Bank recorded a BitSight security rating of 810 out of 900. BitSight ratings are based on continuous external observations of an organisation's publicly visible security indicators across defined risk domains, including vulnerabilities, network security, data breach indicators, and security hygiene factors.

To safeguard its information assets against unauthorized access, data loss, cyber attacks and other threats, the Bank has deployed a wide range of preventive, detective and response controls, including:

- Network micro segmentation to minimize the cyberattack surface.
- A robust Enterprise Security Governance Framework ensuring oversight, compliance and monitoring.
- Advanced endpoint security and Data Leakage Prevention (DLP) measures.
- Email security controls to protect against phishing and targeted attacks.
- Continuous security monitoring and threat intelligence for proactive detection and mitigation.
- Enhanced monitoring for remote users to detect unauthorized access and data exfiltration.
- Strong access controls, including federated identity and network access management.
- A 24x7 SOC collaborating with regulatory bodies to strengthen cyber defence.
- Secure by design principles, such as DevSecOps and ISO-aligned security testing practices, are implemented.
- ZeroTrust-based secure remote access to support workforce flexibility and sustainability.
- On-premise infrastructure security tools enabling patch management and file integrity monitoring.
- Comprehensive network security controls including Web Application Firewalls (WAF) and DDoS protection.
- Cloud security measures, including encryption and compliance controls supporting the Bank's cloud first strategy.
- Rigorous security and compliance assessment of SaaS and PaaS service providers.

The Bank has established a comprehensive Information & Cybersecurity resilient framework. Strategic oversight is provided by the Board, the Risk Management Committee and the Information Technology & Digital Strategy Committee. At the executive level, the Information System Security Committee oversees cybersecurity initiatives to ensure that controls remain commensurate with the risks and threats applicable to the Bank and its information assets.

### **Awards and Recognition**

During Fiscal 2026, the Bank's Information Security function received industry recognition for excellence in cyber defence and governance, including awards at the IBA (Indian Bank's Association) CISO Summit & Citations 2025 for:

- Cybersecurity Incident Response Maturity
- Cybersecurity Compliance Champion
- Cybersecurity Metrics & Reporting Excellence

These recognitions underscore the Bank's commitment to maintaining a secure, trusted, and compliant digital environment for all stakeholders.

### **Risk**

The risk management objective of the Bank is to ensure that the Bank operates in a risk – sensitive manner within the parameters of the Board approved Risk Appetite Statement and the concerns of Risk Department, while balancing the tradeoff between risk and return. In order to achieve this objective, the Bank has ensured at the outset the following enablers

- Robust risk governance from the top
- An independent risk management function
- Board approved risk appetite
- Focus on risk culture

### **Risk Governance**

The Board is the apex Governance body on all matters of risk management. The Board of Directors exercises its oversight over risk management both directly and through its Committees, namely the Risk Management Committee, the Audit Committee of the Board, the Special Committee on Monitoring Bank Frauds and the IT & Digital Strategy Committee. While the Board reviews risk management matters on a quarterly basis, including approval of risk policies, risk profile, stress testing, risk policies, key & emerging risks etc., the Risk Management Committee oversees these matters in greater detail and depth and approves the Risk Appetite Statement of the Bank.

Executive Risk committees are constituted to look at specific areas of risk and are mandated by the Risk Management Committee of the Bank. Till fiscal year 2026 these were: Credit Risk Management Committee (CRMC), Asset Liability Management Committee (ALCO), Operational Risk Management Committee (ORMC), Information Systems Security Committee (ISSC), Central Outsourcing Committee (COC), BCP & Crisis Management Committee (BCPMC), Apex Committee, Subsidiary Governance Committee (SGC) and Enterprise & Group Risk Management Committee (EGRMC). The Risk Management Committee of the Bank exercises oversight on these committees through review of their minutes and a review of the risk profile reviewed in these committees.

### **Independent risk management function**

An independent risk management function offers assurance to the Board that risks are being taken and managed in line with the overall risk appetite of the Bank and the risk management policies of the Bank approved by the Risk Management Committee and the Board.

In order to ensure independence, the following enablers are in place:

- Risk function is headed by a Chief Risk Officer who is appointed by the Board of Directors and reports to the Risk Management Committee with additional reporting to the MD & CEO of the Bank.

- The Chief Risk Officer does not have any business targets nor does this officer have any other role like operations, technology etc.
- The Chief Risk Officer has direct access to the Risk Management Committee of the Board and meets the committee one on one on a quarterly basis without any other officers of the Bank being present.
- The Risk function under the Chief Risk Officer is part of various decision-making bodies. For example, Risk function is a permanent invitee to all credit sanctioning committees in the wholesale banking space. Risk function convenes and conducts meetings of executive risk committees etc.
- The Risk function is well staffed in terms of people and has independent access to data needed to support its working.

The Risk Department, while discharging its role, first lays down risk policies which are then approved by the Board of Directors, and then monitors the risk profile of the Bank across various components of risk in line with these policies and also informs and escalates matters of concern to the appropriate levels of management.

### ***Risk Appetite***

The overall risk appetite and philosophy of the Bank is approved by the Risk Management Committee of the Bank. The Risk Appetite Statement and the framework thereof provides guidance to the management on the desired level of risk for various types of risks in the long-term and helps steer critical portfolio decisions. The Risk Appetite is set at the Bank level and is cascaded into the business units for driving decisions at an operational level. It is monitored by the Risk Department which reports on the adherence thereto to the senior management and also to the Risk Management Committee.

### ***Risk Culture***

A robust operational risk and compliance culture is the cornerstone for risk management in any institution. In the Bank, Risk Department along with Compliance Department has put in place an action plan to strengthen the risk and compliance culture. This includes various initiatives such as

- Training and awareness programs
- Strengthening staff accountability framework
- Clarity on roles and responsibilities of the front line staff
- Tone from the top through communication from the MD & CEO

### ***Risk Architecture***

The risk architecture is composed, for every type of risk, of elements of –

- Governance with executive risk committee oversight
- Risk policies to provide guidance
- Tools for measuring risk level
- Monitoring of risk profile
- Reporting for actioning

A summary of these facets of the key risks is provided here:



| Risk Type      | Definition                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Approach to risk management                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Credit Risk    | Credit risk is the risk of financial loss if a customer, borrower, issuer of securities that the Bank holds, or any other counterparty fails to meet its contractual obligations. Credit risk arises from all transactions that give rise to actual, contingent, or potential claims against any counterparty, customer, borrower or obligor.                                                                                                                                                                                           | The goal of credit risk management is to maintain asset quality and concentrations at individual exposures as well as at the portfolio level. Internal rating forms the core of the risk management process for wholesale lending businesses with internal ratings determining the acceptability of risk, maximum exposure ceiling, sanctioning authority, pricing decisions and review frequency. For the retail portfolio including small businesses and small agriculture borrowers, the Bank uses different product-specific scorecards. Credit models used for risk estimation are assessed for their discriminatory power, calibration accuracy and stability, independently by a validation team. Both credit and market risk expertise are combined to manage risks arising out of traded credit products such as bonds and market related off-balance sheet transactions.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Market risk    | Market risk is the risk of losses in 'on and off-balance sheet' positions arising from the movements in market price as well as the volatilities of those changes, which may impact the Bank's earnings and capital. The risk may pertain to interest rate related instruments (interest rate risk), equities (equity price risk) and foreign exchange rate risk (currency risk). Market risk for the Bank emanates from its trading and investment activities, which are undertaken both for the customers and on a proprietary basis. | The Bank adopts a comprehensive approach to market risk management for its banking book as well as its trading book for both its domestic and overseas operations. The market risk management framework of the Bank covers inputs regarding the extent of market risk exposures, the performance of portfolios vis-à-vis the market risk limits and comparable benchmarks which provide guidance to the business in optimizing the risk-adjusted rate of return of the Bank's trading and investment portfolio. Market risk management is guided by clearly laid down policies, guidelines, processes and systems for the identification, measurement, monitoring and reporting of exposures against various risk limits set in accordance with the risk appetite of the Bank. Risk Department independently monitors the Bank's investment and trading portfolio in terms of risk limits stipulated in the Market Risk Management Policy and board approved Market Risk Appetite and reports deviations, if any, to the appropriate authorities as laid down in the policy and in the Risk Appetite Statement. The Bank utilizes both statistical as well as non-statistical measures for the market risk management of its trading and investment portfolios. The statistical measures include Value at Risk (VaR), stress tests, back tests and scenario analysis while position limits, marked-to-market (MTM), stop-loss limits, trigger limits, gaps and sensitivities (duration, PVB, option greeks) are used as non-statistical measures of market risk management. The Bank follows a historical simulation approach to calculate Value at Risk (VaR) with a 99% confidence level for a one-day holding period in a time horizon of 250 days. VaR models for different portfolios are back tested on an ongoing basis and the results are used to maintain and improve the efficacy of the model. VaR measurements are supplemented with a series of stress tests and sensitivity analyses as per a well laid out stress testing framework. |
| Liquidity risk | Liquidity is a bank's capacity to fund increase in assets and meet both expected and unexpected cash and collateral obligations at a reasonable cost and without incurring unacceptable losses. Liquidity risk is the inability of a bank to meet such obligations as they become due, without adversely affecting the Bank's financial condition.                                                                                                                                                                                      | The Asset Liability Management (ALM) Policy of the Bank stipulates a broad framework for liquidity risk management to ensure that the Bank is in a position to meet its liquidity obligations as well as to withstand a period of liquidity stress from bank-level factors, market-wide factors or a combination of both. The ALM policy captures the liquidity risk appetite of the Bank and related governance structures as defined in the Risk Appetite Statement. The ALM policy is supplemented by other liquidity policies relating to intraday liquidity, stress testing, contingency funding plan and liquidity policies for each of the overseas branches. The liquidity profile of the Bank is monitored for both domestic as well as overseas operations on a static as well as on a dynamic basis by using the gap analysis technique supplemented by monitoring of key liquidity ratios and conduct of liquidity stress tests periodically. Periodical liquidity positions and liquidity stress results are reviewed by the Bank's ALCO and the Risk Management Committee of the Board. The Bank has integrated liquidity risk management guidelines issued by RBI pursuant to the Basel III framework on liquidity standards in its asset liability management framework. These include the intraday liquidity management and the Liquidity Coverage Ratio (LCR). The Bank maintains LCR/NSFR in accordance with the RBI guidelines and the defined risk appetite of the Bank.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |



| Risk Type        | Definition                                                                                                                                                                                                                                                        | Approach to risk management                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Operational risk | Operational risks may emanate from inadequate and/or missing controls in internal processes, people and systems or from external events or a combination of all the four.                                                                                         | <p><b>Core operational risk:</b></p> <p>The Bank has in place an Operational Risk Management (ORM) Policy to manage the operational risk in an effective, efficient and proactive manner. The policy aims at assessing and measuring the magnitude of risks, monitoring and mitigating them through a well-defined framework and governance structure. The Bank has set up a comprehensive Operational Risk Measurement System for documenting, assessing, and periodic monitoring of various risks and controls linked to various processes across all business lines.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|                  | <p>Operational risk manifests in the form of-</p> <ul style="list-style-type: none"> <li>• Core process risk</li> <li>• Change management risk</li> <li>• Outsourcing risk</li> <li>• Continuity risk</li> <li>• Information &amp; cyber security risk</li> </ul> | <p><b>Change management risk:</b></p> <p>All new products and processes, as well as changes in existing products and processes are subjected to risk evaluation by the Operational Risk team. The overall responsibility of new products is vested with the Risk Department through the Bank's Product Management Committee and Change Management Committee.</p> <p><b>Outsourcing risk:</b></p> <p>Outsourcing arrangements are examined and approved by the Bank's Outsourcing Committee after due recommendations from the Operational Risk team.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|                  |                                                                                                                                                                                                                                                                   | <p><b>Business continuity risk:</b></p> <p>The Business Continuity Planning Management Committee (BCPMC) exercises oversight on the implementation of the approved Business Continuity Plan (BCP) framework which has been put in place to ensure continuity of service to its large customer base. The effectiveness of the approved Business Continuity Plan (BCP) framework is tested for all identified critical internal activities to ensure readiness to meet various contingency scenarios. The learning from the BCP exercises are used as inputs to further refine the framework. With effective Business Continuity Plan in place, the Bank has effectively managed to run its operations by adapting to various continuity/mitigation plans.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|                  |                                                                                                                                                                                                                                                                   | <p><b>Information security risk:</b></p> <p>The Bank pursues a holistic Information and cyber security program with a comprehensive Information Security policy, Cyber Security policy and standards based on industry best practices with compliance to regulatory guidelines. These policies are aligned with the regulatory directives on Information and Cyber security and with global best practices like NIST, ISO27001:2013, PCI DSS etc. The governance framework is in place at executive level with Information System Security Committee constituting key business functions meeting at least once in a quarter to assess the threat landscape and validate the controls enforced in the Bank commensurate with the cyber risks. The Bank has invested in strong technical and administrative controls to proactively prevent, detect and contain and respond any suspicious activity. The Bank is compliant to ISO27001 standard and PCI DSS standard. The Bank conducts various assessments to identify and remediate risks before any application and/or IT infrastructure component is deployed. These assessments include Application security, vulnerability assessment, penetration testing, security architecture review data security assessment etc. The Bank also has adopted defense in depth methodology to protect its valuable assets from intrusion by malicious actors. The Bank has 24 x 7 Security Operation Center (SOC) to keep vigil on its digital assets and coordinates with RBI, Indian Computer Emergency Response Team (CERT-IN), National Critical Information Infrastructure Protection Centre (NCIIPC), National Payments Corporation Of India (NPCI) etc. for implementation of their recommendation to strengthen its defense against cyber-attacks. The Information System Security Committee of the Bank provides directions for mitigating operational risk in the information systems. Over the year, the Bank has focused on strengthening the operational and information security risk frameworks by implementing several initiatives.</p> |

### Subsidiary Governance

As a financial conglomerate, the Bank has established a robust framework and governance processes for oversight of its subsidiaries, approved by the Board and the Risk Management Committee. The Subsidiary Governance Department (SGD) plays a central role in implementing this framework and ensuring consistent governance across the Group.

SGD's responsibilities include:

- Ensuring alignment of group-wide policies and best practices of the Bank with Subsidiary policies
- Facilitating regular engagement with subsidiaries and relevant internal stakeholders, including group assurance functions of the Bank for review of governance standards and compliance status of each of the subsidiaries
- Providing periodic updates to executive committees and Board sub-committees on governance matters of group entities of Bank:

### Oversight and Governance Structure

Subsidiary governance is subject to oversight across executive and Board- sub committees as follows:

Executive committees:

- Subsidiary Governance Committee (SGC)
- Enterprise Risk Management Committee (EGRMC)

Board and its Sub-committees:

- Board of Directors
- Audit Committee of the Board (ACB)
- Risk Management Committee (RMC)
- Customer Service Committee of the Board (CSCB)

These forums review governance matters on a regular basis and receive updates from group assurance functions and SGD, on a periodic basis, ensuring continuous oversight and guidance where required.

### Compliance

The Bank maintains a strong and independent Compliance Function, which plays a critical role in safeguarding its integrity and reputation by ensuring adherence to applicable laws, regulatory requirements, and internal policies. The Bank has established a comprehensive compliance framework designed to promote a culture of ethical conduct, transparency, and accountability across all business and operational units.

### Compliance Framework and Independence

The Compliance Department operates independently and is responsible for identifying, assessing, monitoring, and mitigating compliance risks across the organisation. It works closely with business units to provide guidance on regulatory requirements and to ensure that products, processes, and services remain aligned with applicable regulatory frameworks.

The Bank follows a **three lines-of-defence model**, comprising:

- **First line:** Business units responsible for managing risks within their operations
- **Second line:** Risk and Compliance functions providing oversight and guidance
- **Third line:** Internal Audit providing independent assurance

This structure ensures integrated assurance and robust governance over compliance risks.

### **Strengthening Compliance Capabilities**

During fiscal 2026, the Bank continued to enhance its compliance framework through:

- Strengthening regulatory monitoring mechanisms
- Enhancing policy governance and review processes
- Reinforcing compliance culture through leadership communication (“tone from the top”)
- Conducting targeted training and awareness programs

The Compliance Function also ensured prompt and transparent communication with regulators, actively monitored regulatory developments, and implemented guidelines in a timely and comprehensive manner. Periodic compliance risk assessments were undertaken, with appropriate mitigation actions implemented.

### **Technology and Process Enhancements**

The Bank undertook several initiatives to strengthen compliance monitoring and execution, including:

- Enhancing AML transaction monitoring and Enhanced Due Diligence (EDD) processes through analytics, automation, and AI-enabled workflows
- Strengthening compliance testing frameworks and expanding automation across processes
- Deploying workflow-based tracking mechanisms for improved monitoring and accountability
- Strengthening resource deployment through dedicated compliance officers for every business in the Bank

Additional frameworks implemented include:

- **Compliance Risk Assessment (CRA) framework**
- **Remedial Action Framework** for establishing staff accountability for regulatory violations, if any
- **CARO (Compliance and Risk Officers)** model to enable self-identification and remediation by the first line of defence

These initiatives have enhanced control effectiveness, reduced operational errors, and strengthened accountability across the organisation.

### **Group-wide Compliance and Customer Protection**

As part of enhanced group oversight, the Bank has established a robust Group Compliance structure to ensure consistent compliance standards across subsidiaries and business units.

The Bank remains committed to enterprise-wide compliance and risk management, with a continued focus on:

- Customer protection and fair practices
- Strengthening grievance redressal mechanisms
- Enhancing transparency and disclosures
- Responsible lending practices
- Strengthening digital payment security controls and data protection, including alignment with evolving data privacy regulations.

### **Internal Audit**

The Internal Audit function of the Bank operates independently under the supervision of the Audit Committee of the Board, which reviews & evaluates the efficacy and performance of the internal audit function. The audit policy, strategy and plan for carrying out audits across functions of the Bank and the Axis Group are approved by the Audit Committee of the Board. Further, audit policy, strategy and plan are reviewed regularly to factor in inputs received from regulatory guidance, changes

in regulations, business landscape & emerging areas of business and risks, learnings from various operational failures, risk incidents, frauds, etc., in a dynamic manner.

The Internal Audit function provides an independent assurance to the Board of Directors and Senior Management on the quality and efficacy of the internal controls, risk management systems, governance systems and processes in place on an on-going basis. This is provided to primarily ensure that business and non-business functions are following both internal and regulatory guidelines and processes.

In line with the RBI's guidelines on Risk Based Internal Audit (RBIA), the Bank has adopted a risk based internal audit policy. The Risk Based Internal Audit policy has been designed factoring regulatory guidelines and international best practices. The policy has a well-defined architecture for conducting Risk Based Internal Audit which articulates the audit strategy which focuses on both existing as well as emerging business risks. Inputs such as organization structure, business expansion including opening of new units, and new products and processes are key to identification of a comprehensive audit universe for the audit planning exercise. The audit frequencies are in congruence with the overall risk profile of each unit which is audited. Further, concurrent audits, off-site monitoring, sustenance audits and thematic & snap audits have been integrated into the internal audit process to make the function more robust. The Audit function highlights risks and recommended improvements in operational processes, design elements and policies.

Emerging technologies like artificial intelligence are deployed to harness enhanced efficiency and effectiveness in performance of audits. Automated checks and tests have been developed across various audit functions including retail, wholesale, treasury and operations. Automated checks also help augment testing as part of thematic audits, information security audit, revenue audit and concurrent audit, offsite monitoring etc. to independently evaluate the adequacy and effectiveness of internal controls on an ongoing basis and to proactively recommend enhancements to the process owners. The Internal Audit function has mix of resources with expertise in technology and functional skill for effectively conducting various types of audits. The Internal Audit function continuously strives to enhance its effectiveness & efficiency through internal reviews and external evaluations, and augmenting skill sets of the audit resources for making Internal Audit Function agile and responsive towards the emerging and strategic risks.

Internal Audit framework for subsidiaries has been further strengthened under the Group governance framework with audit policy, as applicable, and is supplemented by structured engagement, oversight on audit activities and monitoring of related KRIs.

## Corporate Social Responsibility (CSR) & Sustainability

### CSR

The Bank's CSR agenda is rooted in a simple promise: when communities thrive, progress becomes lasting. In Fiscal 2026, the Bank stayed focused on those who need support the most—women, children, small farmers, youth, and vulnerable households—especially across Aspirational Districts, remote geographies, and the North-East. Oversight from the CSR Committee of the Board continued to guide our priorities and ensure full compliance with Section 135 of the Companies Act, 2013. The Bank implemented projects directly, with trusted partners, and through Axis Bank Foundation (ABF), the Bank's strategic CSR arm.

The Bank's 'OPEN' philosophy continues to guide how we think, act, and serve—helping us build meaningful, long-term impact in the communities we work with

### ***Sustainable Livelihoods – Building Resilience, One Household at a Time***

Axis Bank Foundation advanced its longstanding livelihoods mission, partnering with grassroots organisations to strengthen incomes for rural households. The Bank worked alongside small and marginal farmers, women's self-help groups, landless workers, and young people stepping into first-generation enterprises. The focus was practical: better production practices, diversified income streams, stronger collective action, and market access that is fair and predictable.

As of 31 March 2026, ABF's sustainable livelihoods program had supported 2.76 million households across 32 states/UTs, including 7 lakh+ households reached this year. Behind each number is a steady journey—from basic training to confident entrepreneurship; from subsistence to surplus; from uncertainty to plans for the future.

### ***Education – Opening Doors to Hope and Possibility***

In Fiscal 2026, our education initiatives reached ~13.7 lakh students, ~2.3 lakh teachers and numerous school support systems across some of India's most underserved and remote geographies. Through classroom level support, teacher capacity building, leadership development, residential coaching, and higher education scholarships, we worked to strengthen learning environments end to end—ensuring that children not only stay in school, but learn confidently, progress meaningfully, and unlock opportunities that shape brighter futures.

### ***Axis DilSe®: Reaching the Last Mile***

Axis DilSe® continued to bring the promise of quality learning to ~92,000 students in some of India's most remote and challenging locations. The Bank strengthened learning environments with age-appropriate materials, libraries, digital access, and mentoring support for teachers—so that children not only return to school, but also stay, learn, and aspire. The program remained deeply engaged across parts of the NorthEast and eastern India, with a special focus on schools that have historically lacked resources.

### ***Education Ecosystem Strengthening***

Through collaborations with experienced education partners and government institutions, the Bank supported teacher capacity-building, remedial learning, competency-based instruction, and school leadership. In Fiscal 2026, 10,000+ government schools were supported and children benefited from structured interventions that improve foundational learning and grade level competencies.

The Bank supported the holistic development of ~250 children and young adults with disabilities and from marginalised backgrounds by strengthening personal and social capabilities through drama and creative arts in partnership with Create Foundation.

### ***Centres of Excellence for Youth***

In partnership with the Indian Army and NIEDO, fully residential Centres of Excellence continued to mentor talented youth from vulnerable backgrounds—especially across the NorthEast—towards national competitive examinations. During fiscal 2026, the Bank renewed support for existing centres and operationalized a new Centre of Excellence in Nagaland, enabling ~600 students to receive rigorous academic coaching, lifeskills training, and career guidance—turning potential into real opportunity.

### ***Scholarships for Higher Education***

The Bank continued its focus on access and equity through scholarships at leading universities, with a special emphasis on women in STEM and students from low-income families. In Fiscal 2026, ~3,500 scholars were supported—each a first-generation story of determination, talent, and a brighter horizon.

In parallel, the Bank strengthened the social development ecosystem by supporting higher education in developmental management. By enabling professionals and practitioners to build advanced capabilities in areas such as public systems, social sector leadership, and evidence based program management, this intervention contributes to stronger institutions, more effective service delivery, and longterm sectoral impact beyond individual programs.

### ***Environment – Restoring Natural Systems, Strengthening Community Wellbeing***

#### ***Tree Plantation & Urban Green Patches***

The Bank continued its multi-year commitment to expand green cover by planting ~15 lakh saplings and restoring ~3000 hectares of land. Urban pockets received dense, community-managed green patches, while rural sites focused on species that aid soil health, water retention, and long-term survivability.

#### ***Habitat & Agroforestry Restoration***

The interventions supported agroforestry, soil and water conservation, and biodiversity restoration—particularly in buffer zones of national parks and wildlife sanctuaries. The aim was twofold: healthier ecosystems and safer livelihoods for families living near forests, including efforts to reduce human–wildlife conflict.



### **Climate Resilience & Rural Infrastructure**

The Bank continued collaborative work that strengthens local resilience in climate-vulnerable regions—such as solar-powered cold-chain units that reduce postharvest losses, and flood-resilience measures in riverine islands—so that communities can withstand climate shocks with dignity.

### **Humanitarian Response – Showing Up When It Matters Most**

When disasters strike, the first needs are urgent: safety, food, water, and medical access. During fiscal 2026, the Bank supported relief operations across 3 states, working with on-ground partners to provide essential supplies, temporary shelter, and early rehabilitation. In total, ~6,000 individuals received timely support that bridged the gap between crisis and recovery.

The Bank supported the strengthening of childcare and protection systems by building institutional capacities and improving outcomes for ~500 children in institutional care in partnership with Catalysts for Social Action in Chhattisgarh. The initiative focuses on system level reforms, enabling safer transitions, long-term wellbeing, and sustainable impact for vulnerable children.

### **Financial Literacy & Inclusion: Powering Households to Participate, Plan, and Prosper**

Axis Bank advanced financial inclusion and financial literacy through pan India interventions spanning multiple states, directly reaching ~2.6 lakh individuals in fiscal 2026. The initiatives covered ~1.60 lakh women, and were delivered through ~2,200 structured financial literacy and awareness sessions, FI camps, and hands on digital training for SHGs. Together with facilitation of banking, insurance, and pension services, these efforts strengthened last mile access, promoted cashless adoption, and built sustained confidence in formal financial systems among underserved communities.

### **Sports – Turning Potential into Performance**

Continuing its support to sports as a key thematic focus area, the Bank's partnership with the Foundation for Promotion of Sports and Games (FPSG) towards the Olympic Gold Quest (OGQ) program supported ~500 athletes and para-athletes across 10 Olympic and 8 Paralympic disciplines.

The Axis Bank Judo Development Program, implemented in partnership with the Inspire Institute of Sport (IIS), continued to provide foundational judo training to 560 young judokas in Manipur, with a focus on nurturing grassroots talent in the discipline. In addition, the program supported 47 female judokas with world-class training at the world-class IIS campus in Vijayanagar, Karnataka, with a targeted objective of achieving podium finishes at the LA 2028 Olympic Games. These judokas were awarded full scholarships to study and train at the IIS campus.

During fiscal 2026, the Bank also partnered with the Lakshya Shooting Club (LSC) to establish the state-of-the-art 'Axis Bank-Lakshya Shooting Club High Performance Centre (HPC)' in Navi Mumbai. The Centre, dedicated exclusively to the shooting discipline, is designed to provide world-class infrastructure, comprehensive athlete development programs, and community engagement initiatives. It aims to nurture emerging shooters, groom Olympic-level elite athletes, and create an open and inclusive platform for scouting and developing future talent in the discipline.

### **Governance, Assurance & Learning**

Strong governance remained the backbone of the Bank's CSR. The CSR Committee set direction, while rigorous due diligence, monitoring, and outcome tracking ensured that each rupee served a clear purpose and every partnership stood up to scrutiny. The Bank continued to disclose details as per statutory requirements and to incorporate field learnings into program design—so the work remains relevant, transparent, and accountable.

### **The Road Ahead**

The Bank's CSR agenda in Fiscal 2026 continued to reflect a simple but powerful belief—that meaningful change occurs when we walk alongside communities and commit for the long term.

As we move forward, the Bank remains guided by purpose, empathy, and the conviction that every child, household, and community deserve the opportunity to thrive.

### ESG

Environment, Social, and Governance (ESG) considerations form an integral part of the Bank's long-term strategy and operational approach. The Bank continues to ensure that its strategic decision making and operational actions remain firmly aligned with its Purpose Statement - Banking that leads to a more inclusive and equitable economy, thriving community and a healthier planet'.

The Bank had become the first Indian bank in fiscal 2022 to establish a standalone Board level ESG Committee, enabling the Bank to align its diverse priorities and activities under a unified and cohesive ESG agenda. Under the Committee's guidance, the Bank took a series of ESG aligned commitments with implementation driven by the relevant verticals across the organization. These commitments are aligned with key United Nations Sustainable Development Goals (SDGs) and support India's climate objectives under the Paris Agreement. Performance against these commitments is reviewed quarterly by the ESG Committee of the Board, and the targets are revised based on the progress achieved. During fiscal 2026, the ESG Committee of the Board met four times to review progress against these commitments, oversee related initiatives, and provide strategic direction on emerging ESG priorities. The Bank's ESG aligned actions, performance highlights, and progress on commitments during fiscal 2026 are detailed in the Integrated Annual Report, which is prepared in accordance with the Integrated Reporting Council (IIRC) and Global Reporting Initiative (GRI) reporting frameworks.

Towards its commitment of achieving incremental wholesale lending of INR 60,000 crores in sectors with positive Environment and Social impact by 2030, as included in the Bank's Sustainable Financing Framework, the Bank has achieved INR 61,348 crores of incremental lending as of 31 March 2026 thereby achieving its target. As against an internal commitment taken by the Bank to scale down its exposure to coal mining and trading, and thermal power sectors, the Bank's exposure is well within the targeted cap as part of the glide path. The Bank's total Wholesale lending portfolio in the 'green' sectors stood at INR 45,511 crores as of 31 March 2026.

The Bank has formed strategic partnerships with OEMs to support steady growth in EV penetration in line with its ESG goals. During fiscal 2026, the Bank has revised its EV lending targets - increasing the EV share in the two-wheeler loan portfolio from 6% to 8%, and in the four-wheeler passenger loan portfolio from 4% to 7% (Percentage EV share in rupee terms) by 2027. As of 31 March 2026, the Bank has achieved an incremental lending of 9.01% in Two-Wheeler electric vehicle and 7.2% in Four-Wheeler passenger segment electric vehicle. The Bank is also actively scaling its ESG aligned retail products including solar rooftop loans for SMEs and green home loans.

Under the ESG Committee's oversight, the Bank has been actively working towards strengthening its climate risk management capabilities at the enterprise level. The Bank continues to embed ESG- and climate-related risks and opportunities into its annual Internal Capital Adequacy Assessment Process (ICAAP). The Bank has also significantly strengthened its ESG Policy for Lending that integrates environmental and social risk assessment into its credit appraisal for Wholesale Banking. The updated Policy now mandatorily requires scrutiny of proposals in sectors identified as hazardous, such as coal mining, thermal power and hazardous chemicals. Notably, key proposals discussed at the Board's Committee of Directors now include an assessment under the ESG Policy for Lending.

The Bank continues to implement an ESG Rating Model for select clients in the Wholesale Banking business vertical. The Model, developed in-house, includes more than 80 parameters across the three pillars of E, S and G and went live in March 2024 for select sectors. Notably, the Bank has also published its first ESG Risk dashboard, that has also been presented to the Board's Risk Management Committee. As part of the said dashboard, the Bank has also developed a hazard heat map for identified sectors, including its Retail Mortgages, Rural, and MSME lending verticals. Additionally, the dashboard also includes an assessment of the transition risk in sectors identified as having "high" transition risk, including iron and steel, cement, and fertilizers and agrochemicals. During fiscal 2026, the Bank's Risk and Wholesale Underwriting verticals participated in a two-day Climate Risk training by Indian and international experts as part of a UK Government program.

The Bank continues its focus on Diversity, Equity, and Inclusion (DE&I). Towards its commitment to achieve 30% representation of women in its workforce by fiscal 2027, the Bank recorded a steady and intentional increase in hiring diversity during fiscal 2026, resulting in overall workforce diversity reaching 30.1%, with 37% of new hires being women. This disciplined and deliberate approach enabled the Bank to achieve the milestone a full year ahead of its stated, reflecting strong leadership ownership across business and support verticals.

Alongside hiring outcomes, the Bank continued to strengthen representation within teams. The focus on Women in Every Team translated into a steady improvement, with over 67% of teams now having women representation, reinforcing the belief that participation at the team level strengthens conversations, broadens perspectives, and improves everyday decision-making.

To support this shift, the Bank strengthened its inclusion architecture through Gateway to Inclusion, anchored in a renewed focus on a common language for DE&I. The updated framework emphasizes Everyday Inclusion—embedding inclusive behaviours into routine leadership interactions, team dynamics, and people processes, rather than positioning inclusion as a standalone initiative.

The Bank continued to strengthen women's participation in frontline and revenue generating roles through the Women in Sales employee resource group. This platform focuses on capability building, mentoring, and peer learning, enabling continuity and confidence across critical sales roles. Complementing this, the Bank adopted a skills first lens as a core organising principle; treating capability as the foundation for opportunity. This approach shaped efforts ranging from the creation of skill factories aligned to emerging roles, to enabling internal role movements and career transitions through platforms such as Thrive, supporting progression across functions and career stages within Axis.

The year was particularly significant for research and thought leadership, reinforcing the Bank's role in shaping evidence based conversations on participation. The release of Pink Capital: The Spectrum of Queer Money marked an industry first; a qualitative study that examines how the queer community earns, spends and saves money. By positioning LGBTQIA+ individuals as active economic participants; workers, savers, entrepreneurs, investors, and borrowers; the report reframes inclusion as an issue of financial participation and system design. This was complemented by The Missing Half: Women and India's Growth Challenge, which examines women's workforce participation as a structural and economic imperative, highlighting how job design, continuity, mobility, and progression influence outcomes. Together, these bodies of work reflect the Bank's belief that participation improves when institutions design deliberately for it.

The Bank also continued to strengthen inclusion for employees and customers from the LGBTQIA+ community through the ComeAsYouAre Charter, which institutionalises progressive policies spanning inclusive benefits, equitable leave frameworks, and systems that respect self-affirmed gender identity. Pride365 continued to evolve as a platform for community building, allyship, and advocacy across diverse identities within the queer spectrum.

Recognising that inclusion is closely linked to wellbeing, the Bank strengthened its focus on mental wellness through peer led and accessible support mechanisms. Initiatives such as Wellness Sherpas, trained to act as emotional first aid providers, alongside regular monthly mental wellness discussions, helped reinforce psychological safety and wellbeing as foundational enablers of an inclusive workplace.

Beyond internal efforts, the Bank furthered its ecosystem impact. Axis Women in Motion continued its grassroots engagement across towns, hinterlands, and talukas, encouraging women to participate as independent economic entities. With a strong focus on the student ecosystem, the Axis DE&I Curriculum on Building and Leading Inclusive Organisations was delivered across 18 academic institutes during fiscal 2026. In total, 54 DE&I curriculum sessions have been delivered till date, equipping students with the perspectives required to shape inclusive workplaces early in their careers.

This fiscal year, Axis ViBE (Varsity of Inclusive Business Enterprises) continued to champion robust DE&I practices across the broader corporate ecosystem. Through Axis ViBE, the Bank engaged 157 corporates, fostering shared learning and reinforcing inclusion as a business imperative across organisations.

During fiscal 2026, the Bank significantly scaled up its participation in and contribution to thought leadership and advocacy around the topics of ESG, climate change, financial inclusion, diversity, and sustainable finance, among others. The Bank's senior leaders are members of key committees on these topics at Federation of Indian Chambers of Commerce and Industry (FICCI), Confederation of Indian Industry (CII), Indian Banks' Association (IBA), Ministry of Corporate Affairs (MCA), among others, as well as at the market regulators including SEBI.

The Bank continues to deliver steady performance at key ESG assessment and recognition platforms. The Bank was on the FTSE4Good Index for the ninth consecutive year in 2025. The Bank maintains improved its MSCI ESG rating from 'A' to 'AA' and is scored C in the CDP. The Bank has improved its S&P Global ESG score to 60 and has an improved ESG Risk Rating of 18.4 as

of last full update - March 2026 by Sustainalytics. The Bank is among Top 10 constituents of S&P BSE CARBONEX Index, MSCI India ESG Leaders Index and the Nifty100 ESG Sector Leaders Index.

### **Human Resources**

At Axis Bank, human capital is a core enabler of sustainable value creation, with our people bringing our purpose to life. The Bank remains committed to fostering a safe, inclusive, and employee centric workplace that supports agility, career mobility, continuous learning, and holistic wellbeing across a multigenerational workforce.

#### ***Strengthening Organizational Capability***

The Bank has built a robust learning ecosystem that enables employees to continuously upskill, adapt to evolving roles, and take ownership of their growth. In Fiscal 2026, the Bank delivered over 5 million learning hours to 100,000+ employees through 11+ capability factories offering deep, role specific training across critical and emerging domains via structured Beginner to Advanced pathways. The Bank further strengthened a pull based learning culture through initiatives such as Learning On Your Own (LOYO) and the Build Your Own Career (BYOC) framework, while Learning of the Day (LOTD) embedded bite sized, personalised learning directly into daily workflows-enabling consistent, habit based learning at scale.

The Bank's talent strategy prioritises building leadership from within by leveraging strong internal talent pools. In Fiscal 2026, the Bank launched All Stars, an industry first talent identification program for frontline sales employees, selecting 500+ high potential employees for intensive bootcamps to prepare them for larger roles and complex portfolios. The Bank also inducted the third cohort of ASTROS, reinforcing our focus on leadership development across the Bank. Complementing this, our senior leadership mentoring program saw active participation from 304 mentees and 73 mentors during fiscal 2026.

#### ***Embedding Values to Drive Organisational Excellence***

At Axis Bank, our five core values – ownership, teamwork, transparency, ethics, and customer centricity, anchor our culture and guide how the Bank serves customers and work as One Axis. These values underpin a high performance environment where behaviours are demonstrated with consistency and intent. In Fiscal 2026, the Bank sharpened leadership ownership of culture through the introduction of 54 Department led Culture Councils, supported by a strong network of over 2,600 Axis Value Realisers who champion our values across the organisation. Reflecting the strength and maturity of our people practices, the Bank was certified as a Top Employer by the Top Employers Institute in Fiscal 2026 – the only Indian private sector bank to receive this recognition.

#### ***Internal Talent – A Growth Engine***

Our internal talent mobility program, thrive, continues to enable structured career growth by opening up meaningful progression opportunities for employees. In Fiscal 2026, more than 7,300 employees progressed to new roles within Axis Bank. Additionally, by linking internal movements to promotion pathways, the Bank accelerated career advancement, enabling fast track promotions of up to one year ahead of standard tenure eligibility.

#### ***Expanding Campus Hiring & Early Career Programs***

The Bank continues to invest in and scale its capabilities to meet its key skill and talent needs through structured campus programs and partnerships to attract top talent. Our flagship campus hiring initiatives include AHEAD, which recruits from Tier 1 B-schools like IIMs; Aspire, which targets talent from new IIMs and IITs; ABLe, which engages postgraduates from Tier 2 B-schools; The Bank leads, a specialized diversity hiring program for women leaders from premier institutes; ASA (Axis Sales Academy), a hire-train-deploy model for freshers to get a headstart into banking sales; ARISE, an open program to hire young talent from diverse disciplines, enhancing skills diversity and ABYB, a flagship program for training and on-boarding young bankers. In Fiscal 2026, the Bank also launched Axis Moves, the largest corporate competition in the bank's history, with over 21,000+ students participating from top MBA and engineering institutions in the country that drove a marked increase in campus brand visibility and preference.

**Rewarding Excellence, Driving Impact**

Our meritocracy-driven culture was further strengthened in Fiscal 2026 through focus on quality of feedback at mid-year and introduction of RetrACE - our employee grievance platform at the mid-year check-in as well.

Through our recognition programs, the Bank celebrated excellence across the Bank. Our flagship Champions Awards honoured 117 employees, while the quarterly Anchors initiative recognised everyday excellence among 3,183 employees. We also marked longservice milestones for over 7,000 employees through the OGs program, including 105 employees completing 25, 30, and 35 years of service, and honoured 20 retirees through Retiring with Pride for their lasting contributions.

**Championing a Diverse, Inclusive and Equitable Workplace**

The Bank achieved its 30% women representation milestone by Fiscal 2026, a year ahead of plan. Its approach to people practices extends beyond the organisation; shaping leadership capability, influencing participation, and informing decision-making across institutions and society at large. This is supported by the publication of research grounded in both evidence and lived experiences, including studies on women's workforce participation and on how LGBTQIA+ people earn, spend and save, enabling more informed and durable outcomes.

**Prioritising Employee Well being**

At Axis Bank, caring for our people is a fundamental responsibility. The Bank continues to design a balanced, supportive, and sustainable work environment, recognising that access to health and wellbeing is a critical enabler of long-term performance. During fiscal 2026, The Bank strengthened its employee wellbeing framework through a combination of preventive healthcare, enhanced medical coverage, and everyday wellness initiatives ranging from ergonomics and physical movement to nutrition – integrating wellbeing seamlessly into the flow of work. Further, our mental wellness framework provided accessible, confidential, and inclusive support through professional counselling over 2,500 hours, diverse therapeutic approaches, and shared learning initiatives. Support was extended beyond employees to families, while peer-led interventions such as the Wellness Sherpa program strengthened everyday emotional support. Together, these efforts reinforced a holistic approach to wellbeing, recognising its critical role in employee resilience, engagement, and sustained performance.

**Embracing the Future of Work**

Through GIGA, the Bank is redefining workforce flexibility, with more than 2,500 employees operating in remote roles. The expanded GIGA Freelancer program engaged 70+ specialists for niche projects, achieving a balanced gender representation. Our Hybrid Work Model is firmly embedded, with non-branch employees attending office twice weekly.

**Conclusion**

The Bank continues to build an inclusive, high-performance workplace that places people at the centre while strengthening leadership depth and organisational capability. During fiscal 2026, the Bank advanced our people strategy by attracting diverse talent, building future ready skills, and reinforcing values and ownership mantras, supported by technology enabled listening, learning, and HR platforms that enhance employee experience. Together, these efforts underscore our belief that sustainable performance is driven by empowered people and a strong culture of accountability. Looking ahead, the Bank remains focused on nurturing a resilient, purpose driven workforce that enables ethical banking, creates shared value, and supports the Bank's continued transformation.

**Subsidiary Performance**

The Bank's subsidiaries are integral to the "One Axis" strategy and play a pivotal role in advancing the Bank's objectives across the three strategic vectors of Growth, Profitability and Sustainability. Over a relatively short period, the Bank has built a comprehensive subsidiaries platform spanning a wide range of financial services, with several entities having established leadership positions in their respective segments. Axis Capital continues to maintain its leadership position in the ECM segment. Axis Mutual Fund maintained its position as the AMC amongst the Top 10 players and is now the eighth largest player with ~4.4% share in the industry AUM, Axis Finance has grown its AUM at a 35% CAGR in last 5 years while delivering healthy returns.



The Bank continues to focus on further scaling up the subsidiaries so that they attain meaningful size and market share in their respective businesses. During fiscal 2026, the Bank's subsidiaries delivered strong performance with reported total income of ₹9,606 crores and earnings of ₹2,051 crores up 16% Y-o-Y.

### Axis Capital Limited

Axis Capital, the Bank's full service investment banking and institutional equities franchise, is a leader in the equity and equity linked transactions over the past decade. The firm delivered another strong year, recording the highest number of transactions with 61 deals executed across Equity Capital Markets (ECM) and Advisory (non ECM) businesses. This included 44 ECM transactions (IPOs, QIPs, InvITs, REITs, OFS and Rights Issues) and 17 Advisory transactions (M&A, Private Equity and Pre IPO). Axis Capital's earnings increased by 61% and contributed 13% to the total earnings of the subsidiaries.

### Axis Asset Management Limited

Axis AMC, that had ~13.9 million client folios as at end of 31 March, 2026 and contributed 29% to the total earnings of the subsidiaries. The Company manages 89 mutual fund schemes with a closing AUM of ₹321,335 crores as compared to closing AUM of ₹305,717 crores as on March 31, 2025 and was ranked 8<sup>th</sup> amongst the mutual fund Industry in India. The AUM under Axis pension fund management stood at ₹16,118 crores as on 31 March, 2026.

### Axis Securities Limited

The retail brokerage firm reported 11% growth in cumulative client base to 7.09 million. Axis Securities' earnings de-grew 13% as compared to previous period, and contributed 18% to total subsidiaries' earnings. The subsidiary achieved a trading volume of ₹24,909,624 crores thereby registering a growth of 21% in fiscal 2026.

### Axis Finance Limited

Axis Finance Limited, the Bank's NBFC has been diversifying its loan book mix and has made significant investments to grow its Retail and MSME team with the objective of becoming an enterprise focused lending company. During fiscal 2026, Axis Finance introduced two new businesses, Disha Home Loans and the MSME Retail Banking Group, as part of its strategy to further diversify the portfolio. Within the very first year of launch, Disha Home Loans crossed a loan book milestone of ₹1,000 crore, underscoring the franchise's strong execution capabilities. Axis Finance's earnings increased by 19% Y-o-Y and contributed 39% to total subsidiaries' earnings. Axis Finance remains well capitalized with Capital Adequacy Ratio of 19.65%. Its asset quality metrics remain stable with net NPA at 0.36% as of 31 March 2026.

### Freecharge Payments Technologies Private Limited

Freecharge Payment Technologies Pvt. Ltd. (FCPTL) continues to strengthen its position as a trusted digital payments partner by delivering secure, scalable, and future-ready Payment infrastructure across UPI, cards, net banking, and BBPS. Serving banks, NBFCs, enterprises, government entities, and digital businesses, the platform emphasizes high standards of security, compliance (including PCI-DSS and ISO), and reliability.

A key milestone during fiscal 2026 was the successful demerger effective 1 January 2026, resulting in two focused entities: FCPTL, dedicated to payment solutions, and Freecharge Business & Technology Services Ltd. (FBTSL), operating as a Business Correspondent and technology services provider to Axis Bank. This restructuring enhances regulatory alignment with the Payment Aggregator framework, and enables sharper operational focus for Freecharge businesses.

During fiscal 2026, Freecharge introduced several product and technology enhancements, including a next-generation enterprise merchant app, expanded settlement options, and strengthened fraud prevention through its in-house TRIMS platform. Freecharge continued investments in platform scalability, performance, and UPI innovations such as success rate optimization and CBDC acceptance, supported strong business momentum and improved merchant experience. The overall GMV rose to ₹42,828 crores, 20.8% Growth YoY and achieved a net revenue of ~₹51.50 crores. Moving ahead, Freecharge will focus on regulatory readiness, especially for the Payment Aggregator license, while expanding across key sectors like BFSI, government, utilities, and digital commerce. The company also aims to enhance success rates, deepen risk and reconciliation capabilities, and leverage next-generation technologies, including GenAI, to drive innovation across customer support, product development, and merchant integrations.



### Freecharge Business & Technology Services Ltd.

Freecharge Business & Technology Services Ltd ("FreechargeBiz") operates as a dual-engine platform, driving financial inclusion and digital enablement across Bharat through its two core pillars — Business Correspondent ("BC") activities and a Technology Service Provider ("TSP") for Axis Bank. Through its BC model, the business enables last-mile access to credit and banking services for merchants and underserved segments, while its technology capabilities power scalable, efficient, and compliant digital journeys for the Bank.

In Fiscal 2026, post demerger of BC and TSP activities from Freecharge Payment Technologies Pvt. Ltd, FreechargeBiz now operates with a sharper focus on Business Correspondent-led distribution for micro and small businesses and technology services for the Axis Bank. This realignment has strengthened operational clarity, enhanced regulatory alignment, and enabled more focused execution across both pillars.

Under its BC activities, FreechargeBiz has built a strong merchant-led distribution network across Tier 2, Tier 3, and rural markets, expanding access to unsecured business loans, micro business loans, and MFI products tailored to underserved customers and a robust consumer APP providing UPI solution to consumers

As a TSP, FreechargeBiz plays a critical role in enabling digital infrastructure for the Bank, supporting scalable lending and servicing journeys. With AI-led interventions, modernised systems, and reduced backend dependencies, the platform has driven faster processing cycles, improved operational efficiency, and strengthened compliance across workflows.

Performance during the year remained strong, with the business expanding to 220 branches in fiscal 2026 from 100 in fiscal 2025, while disbursements exceeded ₹600 crores with a closing AUM of ₹610 crores. Customer satisfaction in assisted channels remained above 90%, supported by AI-led service interventions, alongside significant improvements in turnaround times and collection efficiency driven by technology and process enhancements.

### A.TReDs Limited

A.TReDs Limited, the Bank's subsidiary that was set up in partnership with M-Junction, was one of the three entities initially allowed by RBI to set up the Trade Receivables Discounting System (TReDS), an electronic platform for facilitating cash flows for MSMEs. The Bank's digital invoice discounting platform 'Invoicemart' has set a new benchmark by facilitating financing of MSME invoices of more than ₹2,78,000 crores . It currently has over 66,660 + participants on the platform and has e-discounted more than 56 lakh invoices since start of its operation from July 2017.

### SAFE HARBOR

Except for the historical information contained herein, statements in this Annual Report which contain words or phrases such as "will", "aim", "will likely result", "would", "believe", "may", "expect", "will continue", "anticipate", "estimate", "intend", "plan", "contemplate", "seek to", "future", "objective", "goal", "strategy", "philosophy", "project", "should", "will pursue" and similar expressions or variations of such expressions may constitute "forward-looking statements". These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include but are not limited to our ability to successfully implement our strategy, future levels of non-performing loans, our growth and expansion, the adequacy of our allowance for credit losses, our provisioning policies, technological changes, investment income, cash flow projections, our exposure to market risks as well as other risks. Axis Bank Limited undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof.

## INDEPENDENT AUDITOR'S CERTIFICATE ON CORPORATE GOVERNANCE

To  
THE MEMBERS OF AXIS BANK LIMITED

### Independent Auditor's Certificate on Compliance with the Corporate Governance requirements under SEBI Listing Regulation

1. We, M M NISSIM & CO LLP, Chartered Accountants, hereinafter referred to as "Joint Statutory Auditors" have been requested by Axis Bank Limited (the "**Bank**"), having its registered office at the 'Trishul', 3<sup>rd</sup> Floor, Opp. Samartheshwar Temple, Law Garden, Ellisbridge, Ahmedabad 380 006 to issue a certificate on compliance with the conditions of corporate governance, as required under Part E of Schedule V of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the "**SEBI Listing Regulations**").
2. We have examined the compliance of conditions of Corporate Governance by the Bank, for the year ended 31 March, 2026, as stipulated in Regulations 17 to 27 and clauses (b) to (i) of Regulation 46(2) and Paras C, D and E of Schedule V of the SEBI Listing Regulations as amended from time to time (the "**Corporate Governance Regulations**").

### MANAGEMENT'S RESPONSIBILITY

3. The compliance of Corporate Governance Regulations is the responsibility of the Bank's Management, including the preparation and maintenance of all the relevant records and documents. This responsibility includes the design, implementation and maintenance of internal control and procedures to ensure compliance with the Corporate Governance Regulations.

### AUDITORS' RESPONSIBILITY

4. Our examination is limited to examine the procedures and implementation thereof adopted by the Bank for ensuring compliance of the Corporate Governance Regulations. It is neither an audit nor an expression of opinion on the Financial Statements of the Bank.
5. Pursuant to the requirements of the Corporate Governance Regulations, it is our responsibility to provide a reasonable assurance whether the Bank has complied with the Corporate Governance Regulations for the year ended 31 March, 2026.
6. We conducted our examination of the above corporate governance compliance by the Bank in accordance with the Guidance Note on Reports or Certificates for Special Purposes (Revised 2016) and Guidance Note on Certification of Corporate Governance both issued by the Institute of the Chartered Accountants of India (the "**ICAI**"), in so far as applicable for the purpose of this certificate.
7. We have complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements.
8. For the purpose of this certificate, we have examined the books of accounts and other relevant records and documents maintained by the Bank.

### OPINION

9. Based on our examination of the relevant records and according to the information and explanations provided to us and the representations provided by the Management, we certify that the Bank has complied with the Corporate Governance Regulations during the year ended 31 March, 2026.
10. We state that such compliance is neither an assurance as to the future viability of the Bank nor the efficiency or effectiveness with which the Management has conducted the affairs of the Bank.



## RESTRICTIONS ON USE

The Certificate is addressed and provided to the Members of the Bank solely for the purpose to enable the Bank to comply with the requirement of the Corporate Governance Regulations and it should not be used by any other person or for any other purpose. Accordingly, we do not accept or assume any liability or any duty of care for any other purpose or to any other person to whom this certificate is shown or into whose hands may come without our prior consent in writing. We have no responsibility to update this Certificate for any event or circumstances occurring after the date of this Certificate.

For **M M NISSIM & CO LLP**

Chartered Accountants

Firm Registration No.: 107122W/W100672

**Sanjay Khemani**

Partner

Membership No.: 044577

ICAI UDIN: 26044577KTNBZZ5637

Mumbai, 25 April, 2026

Certificate No.: MMN/C/2026-27/Apr/045

# Report on Corporate Governance

(Part of the Board's Report for the fiscal 2026)

## I. Philosophy on Code of Governance

Axis Bank Limited (the “**Bank**”) recognises its role as a responsible corporate citizen and endeavors to adopt and maintain the highest standards of corporate governance.

The Bank's philosophy on corporate governance is to promote the culture of customer centricity, ownership, integrity, sustainability, transparency and ethics, which enables the Bank to conduct itself in the right way while dealing with all its stakeholders.

The Bank has a robust governance structure in place, led by an independent and diverse Board of Directors (the “**Board**”). The Board believes in prompt and clear communication to its stakeholders, which is reflected in the internal functioning at the Bank.

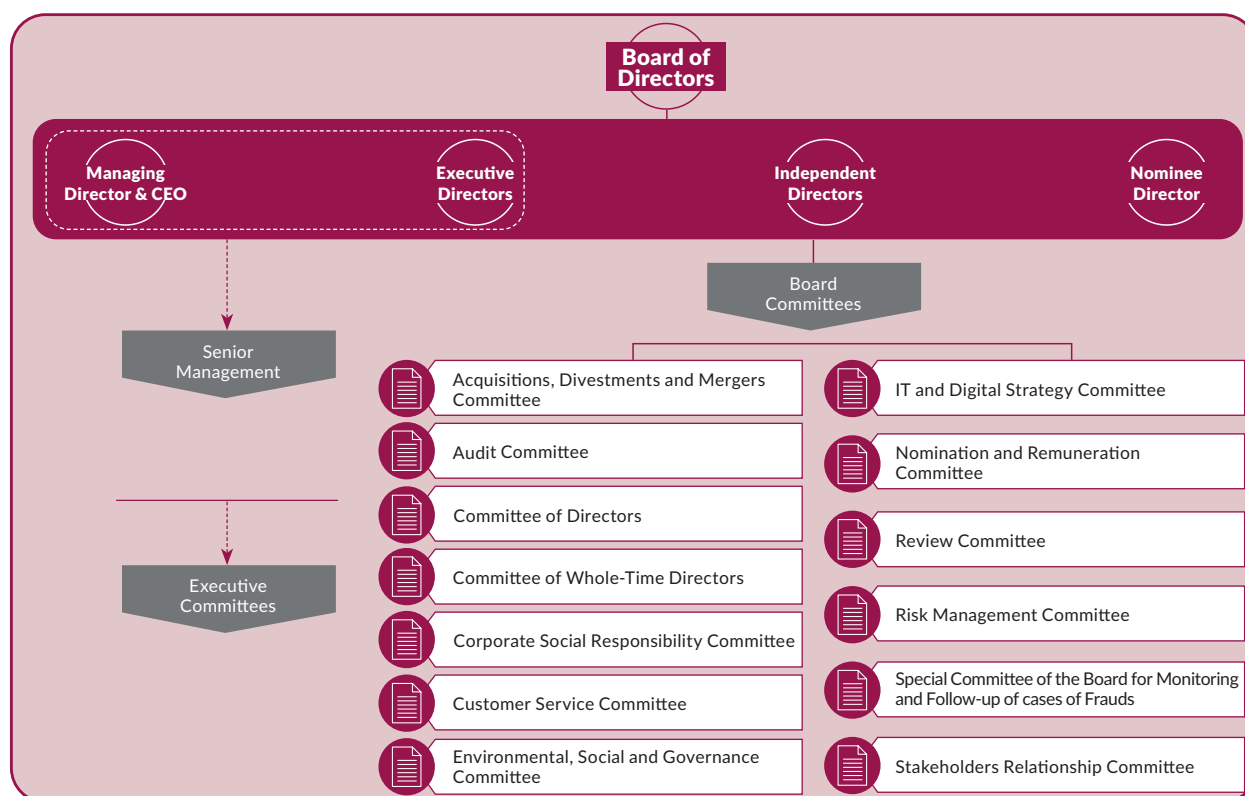
The Bank believes in going beyond the law, to uphold the best-in-class corporate governance practices. In order to protect the interest of all its stakeholders, the Bank has a strong compliance and risk management framework and it continuously reviews its practices and processes, considering the dynamic environment it operates in.

## II. Governance Structure of the Bank

The Directors on the Board are appointed by the members of the Bank. The Board oversees the standards of corporate governance at the Bank. The Managing Director & CEO reports to the Board, and the Executive Directors report to the Managing Director & CEO of the Bank, thereby establishing a multi-tiered governance structure enabling a strong balance between strategic guidance, independent oversight, disciplined execution and operational accountability.

The Board has constituted various board level Committees for a more focused review of specific matters. The Bank has also constituted various Executive Committees to, *inter alia*, deal with routine, operational and administrative matters, as well as to review various matters prior to their submission to the Board / Committees.

Diagrammatic representation of the governance structure of the Bank:





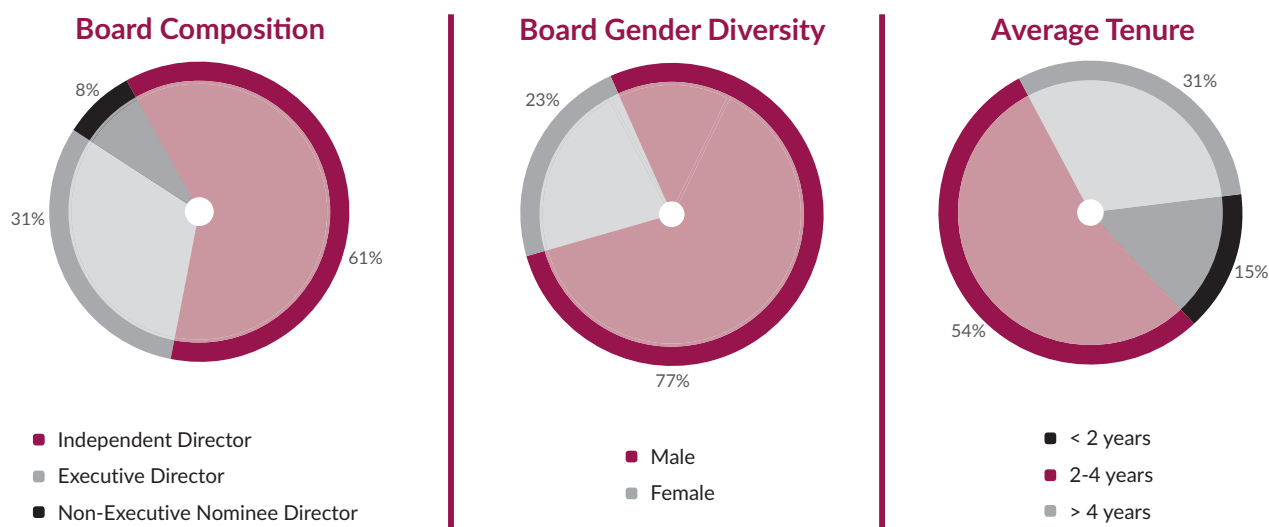
### III. Board of Directors

#### Size and composition of the Board

The composition of the Board is governed by the relevant provisions of the Companies Act, 2013 (the “**Act**”) and relevant rules made thereunder, the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the “**SEBI Listing Regulations**”), the Banking Regulation Act, 1949, the guidelines issued by the Reserve Bank of India (the “**RBI**”), as amended, from time to time and the Articles of Association of the Bank (the “**extant laws**”).

The Board has an optimum combination of Executive and Non-Executive Directors with Independent Directors constituting more than one-half i.e., 61.54% of its total strength. As on 31 March, 2026, the Board had 13 Directors, comprising of Managing Director & CEO, three Executive Directors, eight Independent Directors and one Nominee Director of Life Insurance Corporation of India (“**LIC**”), promoter of the Bank. The Board is led by an Independent Director and Part-time Chairman. The Board has three women Directors of whom two are Independent Directors.

None of the Directors are related to each other. All the Independent Directors of the Bank have confirmed that they meet the criteria prescribed for independence under the provisions of Section 149(6) of the Act and Regulation 16(1)(b) of the SEBI Listing Regulations. In the opinion of the Board, all the Independent Directors fulfill the conditions specified under the said norms and are independent of the management.



#### Board Effectiveness

The Bank lays emphasis on evaluating the role of the Board in the aspects relating to strategic planning, human resource, audit, risk and compliance, governance, relationship with executive management, flow of information, board functioning, induction and professional development, customer grievance and protection, and financial inclusion.

#### Databank of Independent Directors

All the Independent Directors of the Bank are in compliance with provisions of the Companies (Appointment and Qualification of Directors) Rules, 2014, with respect to enrolling their name in the online databank of Independent Directors and qualifying the online proficiency self-assessment test for Independent Directors, as applicable.

**Information about the Directors including age, tenure of appointment, details of directorship, number of membership / chairpersonship in the Board are as follows:**

| Sr. No. | Name, category, DIN and age of the Director                                                               | Date of first appointment        | End date of current term         | Directorship in other listed company(ies) and category of directorship <sup>1</sup>                                                                                         | Number of directorship in other unlisted companies |                              | Number of memberships (including chairpersonships) in board committees <sup>3</sup> | Equity shareholding in the Bank |
|---------|-----------------------------------------------------------------------------------------------------------|----------------------------------|----------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------|------------------------------|-------------------------------------------------------------------------------------|---------------------------------|
|         |                                                                                                           |                                  |                                  |                                                                                                                                                                             | Indian public limited companies                    | Other companies <sup>2</sup> |                                                                                     |                                 |
| 1.      | N. S. Vishwanathan<br>Independent Director<br>Part-time Chairman <sup>4</sup><br>DIN: 09568559<br>Age: 67 | 30 May, 2023<br>27 October, 2023 | 29 May, 2027<br>26 October, 2026 | Nil                                                                                                                                                                         | 1                                                  | 2                            | 1(0)                                                                                | Nil                             |
| 2.      | Amitabh Chaudhry<br>Managing Director & CEO<br>DIN: 00531120<br>Age: 61                                   | 1 January, 2019                  | 31 December, 2027                | Axis Finance Limited <sup>9</sup> ,<br>Non-Executive<br>Non-Independent.                                                                                                    | 2                                                  | Nil                          | Nil                                                                                 | Nil                             |
| 3.      | Girish Paranjpe<br>Independent Director<br>DIN: 02172725<br>Age: 68                                       | 2 November, 2018                 | 1 November, 2026                 | Crisil Limited,<br>Independent.<br>Mphasis Limited,<br>Independent.<br>Axis Max Life Insurance<br>Limited <sup>9</sup> ,<br>Independent.                                    | Nil                                                | 4                            | 4(2)                                                                                | Nil                             |
| 4.      | Meena Ganesh<br>Independent Director<br>DIN: 00528252<br>Age: 62                                          | 1 August, 2020                   | 31 July, 2028                    | Pfizer Limited,<br>Independent.<br>Pidilite Industries Limited,<br>Independent.<br>Hitachi Energy India<br>Limited,<br>Independent.<br>Orkla India Limited,<br>Independent. | Nil                                                | 7                            | 6(2)                                                                                | Nil                             |
| 5.      | G. Padmanabhan<br>Independent Director<br>DIN: 07130908<br>Age: 70                                        | 28 October, 2020                 | 27 October, 2028                 | Haldyn Glass Limited,<br>Independent.<br>Ion Exchange (India) Limited,<br>Independent.                                                                                      | 1                                                  | Nil                          | 1(0)                                                                                | Nil                             |
| 6.      | P. N. Prasad<br>Independent Director <sup>5</sup><br>DIN: 07430506<br>Age: 65                             | 20 October, 2022                 | 19 October, 2026                 | Styrenix Performance<br>Materials Limited,<br>Independent.<br>Indo Borax & Chemicals<br>Limited,<br>Independent.                                                            | 2                                                  | 1                            | 4(1)                                                                                | 130                             |
| 7.      | CH SS Mallikarjunarao<br>Independent Director<br>DIN: 07667641<br>Age: 64                                 | 1 February, 2023                 | 31 January, 2027                 | Nil                                                                                                                                                                         | 2                                                  | 1                            | 2(1)                                                                                | 20                              |
| 8.      | Mini Ipe<br>Non-Executive<br>Nominee Director -<br>LIC (shareholder)<br>DIN: 07791184<br>Age: 62          | 29 July, 2023                    | 28 July, 2031                    | PTC India Limited,<br>Independent.<br>PTC India Financial Services<br>Limited,<br>Independent.                                                                              | Nil                                                | 1                            | 3(1)                                                                                | Nil                             |
| 9.      | Pranam Wahi<br>Independent Director<br>DIN: 00031914<br>Age: 67                                           | 15 February, 2024                | 14 February, 2028                | DCM Shriram Limited,<br>Independent.                                                                                                                                        | Nil                                                | Nil                          | 1(0)                                                                                | Nil                             |
| 10.     | Malavika R. Harita<br>Independent Director <sup>6</sup><br>DIN: 09005600<br>Age: 67                       | 18 December, 2025                | 17 December, 2029                | Symphony Limited,<br>Independent.                                                                                                                                           | Nil                                                | 2                            | 2(1)                                                                                | Nil                             |
| 11.     | Subrat Mohanty<br>Executive Director <sup>7</sup><br>DIN: 08679444<br>Age: 49                             | 17 August, 2023                  | 16 August, 2026                  | Axis Max Life Insurance<br>Limited <sup>9</sup> ,<br>Non-Executive<br>Non-Independent.                                                                                      | 2                                                  | 1                            | Nil                                                                                 | 770                             |
| 12.     | Munish Sharda<br>Executive Director<br>DIN: 06796060<br>Age: 55                                           | 27 February, 2024                | 26 February, 2027                | Axis Max Life Insurance<br>Limited <sup>9</sup> ,<br>Non-Executive<br>Non-Independent.                                                                                      | 1                                                  | Nil                          | 1(0)                                                                                | 569                             |
| 13.     | Neeraj Gambhir<br>Executive Director <sup>8</sup><br>DIN: 00257375<br>Age: 53                             | 20 October, 2025                 | 19 October, 2028                 | Nil                                                                                                                                                                         | 2                                                  | 3                            | Nil                                                                                 | 37,500                          |

<sup>1</sup> None of the Independent Directors of the Bank serve as an Independent Director in more than seven listed companies or as a Whole-Time Director in any listed company including high value debt listed company.

<sup>2</sup> Includes foreign companies, private companies and Section 8 companies.

<sup>3</sup> Includes only memberships of the Audit Committee and Stakeholders Relationship Committee in Indian public limited companies other than Axis Bank. Figures in brackets represent number of chairpersonship of the said committees, as per the disclosure received from the concerned Director.

<sup>4</sup> The Board at its meeting held on 25 April, 2026, has re-appointed N. S. Vishwanathan as an Independent Director of the Bank for a further period of four years, w.e.f. 30 May, 2027 up to 29 May, 2031 (both days inclusive), subject to approval of the members of the Bank, and as the Non-Executive (Part-time) Chairman of the Bank for a further period of three years, w.e.f. 27 October, 2026 up to 26 October, 2029 (both days inclusive), subject to approval of the members of the Bank and the RBI.

<sup>5</sup> The Board at its meeting held on 25 April, 2026, has re-appointed P. N. Prasad as an Independent Director of the Bank for a further period of four years, w.e.f. 20 October, 2026 up to 19 October, 2030 (both days inclusive), subject to approval of the members of the Bank.

<sup>6</sup> Malavika R. Harita was appointed as an Independent Director of the Bank for a period of four years w.e.f. 18 December, 2025 up to 17 December, 2029 (both days inclusive).

<sup>7</sup> The Board at its meeting held on 27 January, 2026, has re-appointed Subrat Mohanty as a Whole-Time Director (designated as an Executive Director) of the Bank for a further period of three years, w.e.f. 17 August, 2026 up to 16 August, 2029 (both days inclusive), subject to approval of the members of the Bank and the RBI.

<sup>8</sup> Neeraj Gambhir was appointed as a Whole-Time Director (designated as an Executive Director) of the Bank for a period of three years w.e.f. 20 October, 2025 up to 19 October, 2028 (both days inclusive).

<sup>9</sup> High value debt listed company.

All Directors of the Bank have submitted forms / declarations / undertakings as required under the extant laws. Pursuant to review of the said forms / declarations / undertakings as submitted by the Directors of the Bank, the Nomination and Remuneration Committee (the “NRC”) and the Board of the Bank confirmed that all the Directors are in compliance with the applicable norms and are fit and proper to continue as Directors of the Bank.

### Selection and Appointment of Directors

The selection and appointment of Directors of the Bank is done in accordance with the extant laws. The Bank has formulated and adopted various policies viz. Succession Planning Policy, Policy on ‘fit and proper’ criteria, Policy on Board Diversity and Policy on Training for Board of Directors. These policies deal with processes relating to selection, appointment, induction and continuing training of Directors. Details of these are provided below:

### Succession Planning Policy for the Board and Key Officials of the Bank

The Bank has formulated and adopted a Succession Planning Policy for the Board and key officials of the Bank (the “policy”), which has been reviewed by the NRC and the Board of the Bank.

The objective of the said policy is to, *inter alia*, assess, identify and nominate suitable candidates to fill vacancies that may arise for positions of the Non-Executive Part-time Chairperson, Independent Directors, Managing Director & CEO, Whole-Time Directors, Senior Management, Key Managerial Personnel and other key officials of the Bank from time to time. The aforesaid policy also seeks to plan for succession of the said roles and to fill any vacancies that may arise out of impending move or retirement or resignation or sudden exit or for any reason whatsoever in such roles. The policy also aims to identify the competency requirements for the aforesaid positions, identify potential candidates and develop required competencies through planned training, development and learning initiatives. The Bank does not have a succession planning process for Non-Executive (Nominee) Directors, since they are nominated by Public Financial Institutions / Institutional Investors and are appointed pursuant to the right to nominate a Director on the Board of the Bank, in terms of the Articles of Association of the Bank or in terms of the Shareholders Agreement entered into by them with the Bank.

The said policy also provides for the course of action to be initiated in case of delay or non-receipt of regulatory / statutory approvals, relating to appointment / re-appointment of the Managing Director & CEO or Whole-Time Directors or in case of a sudden vacancy in the position of the Managing Director & CEO or Whole-Time Directors, caused due to death or permanent incapacitation or for any other reason whatsoever.

The NRC considers the profile, skill set, experience, expertise, functional capabilities, disqualifications and other relevant information and adherence to the regulators’ fit and proper norms, before making appropriate recommendations to the Board relating to the appointment / re-appointment of a Director. This is designed to provide the Board with Directors who have diverse knowledge, practical experience and requisite set of skills to serve the business interests of the Bank and enhance the overall effectiveness of the Board.

Wherever necessary, the NRC engages the services of an external consultant / expert, to identify and assess the suitability of candidates for the post of Director of the Bank.

During fiscal 2026, the Board reviewed and amended the said policy, *inter alia*, to refine definition and criteria for 'critical' roles and to introduce new clause on risk mitigation levers to support proactive decision-making through structured deliberation.

### Policy on 'fit and proper' criteria for Directors of the Bank

The Bank has formulated and adopted a policy on 'fit and proper' criteria for the Directors of the Bank (the "**policy**"). In terms of the said policy, the NRC assesses and confirms to the Board, the 'fit and proper' status of the Director as per the extant laws, before considering his / her candidature for appointment / re-appointment as a Director of the Bank and annually i.e., as at 31 March every year. The primary objective of the policy is to provide a framework to enable the Bank to ensure that persons who are being considered for appointment / re-appointment as Directors of the Bank are compliant with the fit and proper norms, as it is the key criteria on the basis of which, the candidature of person shall be assessed and confirmed by the NRC, before it recommends the candidature of such person for being appointed / re-appointed as a Director of the Bank, for the approval of the Board.

The Directors of the Bank individually sign a deed of covenant which binds them to discharge their responsibilities to the best of their abilities, in order to be eligible for being appointed / re-appointed as a Director.

The Bank obtains a declaration and undertaking on an annual basis on the 'fit and proper' criteria in accordance with the applicable RBI Regulations and the Insurance Regulatory and Development Authority of India (Registration of Corporate Agent) Regulations, 2015, from all the Directors.

During fiscal 2026, the Board reviewed and amended the said policy, *inter alia*, to align the same with the extant laws.

### Policy on Board Diversity

The Bank recognises and embraces the importance of a diverse Board and is endowed with appropriate balance of skills, expertise, experience, and perspectives thereby ensuring effective board governance. The Board has reviewed and adopted the policy on Board Diversity (the "**policy**"), which sets out its approach to ensure diversity, and to enhance its effectiveness while discharging its fiduciary obligations towards the shareholders of the Bank. The policy is available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>. During fiscal 2026, the Board also reviewed the said policy, in line with the extant laws.

In terms of Schedule V of the SEBI Listing Regulations and in the context of the Bank's business(es) and sector(s), the Board has identified the following mandated core skills / expertise / competencies for it to function effectively:

|                                 |                                  |
|---------------------------------|----------------------------------|
| • Accountancy                   | • Human Resources                |
| • Agriculture and Rural Economy | • Information Technology         |
| • Banking                       | • Law                            |
| • Business Management           | • Payment and Settlement Systems |
| • Co-operation                  | • Risk Management                |
| • Economics                     | • Small-Scale Industry           |
| • Finance                       |                                  |

The Board has also specified direct and indirect criteria to determine the skill sets of the Directors. The details of Director wise core skills / expertise / competencies are as follows:

| Sr. No.                 | Name of the Director  | Total experience (in years) | Skills / Expertise / Competence                                                                                                                                                                                                                                                                                                                              |
|-------------------------|-----------------------|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.                      | N. S. Vishwanathan    | 45                          | Banking   Economics   Human Resources   Risk Management   Information Technology   Payment and Settlement Systems   Co-operation   Non-Banking and Co-operative Banking Regulation and Supervision   Internal Governance, Internal Control and Internal Audit   Supervision of Securities Market                                                             |
| 2.                      | Amitabh Chaudhry      | 39                          | Finance   Banking   Business Management   Information Technology   Human Resources   Risk Management   Accountancy   Insurance   Customer Service                                                                                                                                                                                                            |
| 3.                      | Girish Paranjpe       | 41                          | Accountancy   Finance   Business Management   Information Technology   Human Resources                                                                                                                                                                                                                                                                       |
| 4.                      | Meena Ganesh          | 41                          | Technology Consulting   Business Management   Human Resources   Finance   Entrepreneurship (BPO, Education and Health Care Services)                                                                                                                                                                                                                         |
| 5.                      | G. Padmanabhan        | 47                          | Banking   Information Technology   Payment and Settlement Systems   Risk Management   Economics   Finance   Supervision of Foreign Exchange / Securities Markets in India   Customer Service                                                                                                                                                                 |
| 6.                      | P. N. Prasad          | 43                          | Core Commercial Banking   Risk Management   Human Resources   Agriculture and Rural Economy   Small Scale Industry   Corporate Banking - Project Finance & Structuring   Stressed Asset Management   Strategic Planning   Client Relationship   Trade Finance   Alternative Investments   International Banking   Audit and Compliance   Treasury Management |
| 7.                      | CH SS Mallikarjunarao | 41                          | Accountancy   Banking   Small Scale Industry   Agriculture and Rural Economy   Risk Management   Finance   Business Management   Information Technology   Human Resources   Insurance                                                                                                                                                                        |
| 8.                      | Mini Ipe              | 40                          | Accountancy   Finance   Law   Information Technology   Human Resources   Risk Management   Business Management   Insurance   Customer Service   Marketing   Stressed Asset Management                                                                                                                                                                        |
| 9.                      | Pranam Wahi           | 44                          | Accountancy   Banking   Finance   Risk Management   Business Management   Human Resources   Audit   Treasury Management                                                                                                                                                                                                                                      |
| 10.                     | Malavika R. Harita    | 43                          | Finance   Human Resources   Business Management   Marketing, Communication, Advertisement and Brand Consultancy   Entrepreneurship   Learning & Development   Strategic Planning                                                                                                                                                                             |
| 11.                     | Subrat Mohanty        | 26                          | Information Technology   Business Management   Finance   Banking   Payment and Settlement Systems   Insurance   Strategic Planning   Customer Service                                                                                                                                                                                                        |
| 12.                     | Munish Sharda         | 34                          | Agriculture and Rural Economy   Banking   Finance   Law   Information Technology   Human Resources   Risk Management   Business Management   Insurance                                                                                                                                                                                                       |
| 13.                     | Neeraj Gambhir        | 30                          | Banking   Finance   Information Technology   Business Management   Payment and Settlement Systems   Human Resources   Risk Management   Trade Finance   International Banking   Treasury Management   Fixed Income and Structured Finance   Capital Markets                                                                                                  |
| <b>Total Experience</b> |                       | <b>514</b>                  |                                                                                                                                                                                                                                                                                                                                                              |

Brief Profile of the Directors of the Bank is available on the website of the Bank at <https://www.axis.bank.in/about-us>.

### Familiarisation and Training for the Board

The Bank has formulated and adopted a policy on training for Board of Directors of the Bank (the “**policy**”) which aims at providing timely and wholesome orientation and training to its Directors, to ensure that they are well versed with the business, regulatory and operational aspects of banking. This enhances the knowledge and effectiveness of the Directors, both individually and collectively, as members of the Board / Committees.



The said policy provides guidelines with respect to:

- (a) Induction programme for new Directors;
- (b) Familiarisation programme and Continuous Education and Learning Programme for Directors.

During fiscal 2026, the Board also reviewed the said policy, in line with the extant laws.

### **Induction programme for new Directors**

The Bank conducts induction programme for new Directors through one-to-one meetings with the Managing Director & CEO, Executive Directors and other members of the senior management on matters such as businesses, credit underwriting, finance, business strategy, risk management, compliance, internal audit, human resources, information technology / cyber security, marketing & corporate communication, environment, social & governance and corporate social responsibility, legal, treasury, investor relations, corporate real estate service, subsidiary governance and board process. They are also provided with the induction manual including the governance policies, codes and charters.

On appointment, the Independent Directors are issued a letter of appointment setting out the terms and conditions relating to the appointment and their duties and responsibilities under applicable laws. The format of said letter is available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

### **Familiarisation programme and Continuous Education and Learning Programme ("CELP") for Directors**

The Bank conducts familiarisation programme and CELP for all its Directors including Independent Directors covering the matters as specified under Regulation 25(7) of the SEBI Listing Regulations.

These familiarisation programmes and CELP are conducted through a combination of experts from within the Bank and / or external agencies with in-depth expertise in various areas, taking into consideration the business requirement of the Bank, the existing skill sets of the Directors and recommendations made by them. Such sessions enable the Directors to obtain an insight on contemporary matters and changes therein.

Eight such programmes were organized for 7.5 hours during fiscal 2026, details for which are as under:

1. Board Governance - View from the regulator
2. Cybersecurity and Infosec and session on Risk Management (Fraud Risk or Climate Risk, etc.)
3. Global economic outlook and geopolitical events: impact on India and Banking
4. Session on emerging technologies
5. Session on Risk Management (Fraud Risk or Climate Risk, etc.)
6. Annual update on AML for Board of Directors
7. Opportunities in the payments ecosystem
8. Perspective on AI and its implications.

The details of the programmes conducted and attendance of Directors are available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

### **Duties and Responsibilities of the Board**

The role of the Board is to provide effective guidance and oversight to the management of the Bank so that it delivers enduring sustainable value and is fully compliant with the extant laws and functions in an ethical and efficient manner.

The responsibilities of the Board, *inter alia*, include overseeing the functioning of the Bank, reviewing compliance of all laws applicable to the Bank and efficacy of internal control systems / processes and framing, implementing and monitoring the risk management plan of the Bank.

The Board is also responsible for approving the strategic decisions, plans and priorities for the Bank, monitoring corporate performance against business plans, reviewing and approving the Bank's financial and operating performance on a periodic basis, overseeing the Bank's corporate governance framework and supervising the succession planning process for its Directors and senior management.

The Board spends considerable time perusing the information provided to them which facilitates informed decision making and effective participation at its meetings, leading to higher board effectiveness. Apart from quarterly review of the performance of the Bank, the Board meets once a year specifically to review the long-term strategy of the Bank. The Board oversees the actions and results of the management to ensure that the long-term objectives of enhancing shareholder's value are met. The Board also has the discretion to engage the services of external experts / advisors, as deemed appropriate.

The duties and responsibilities of the Board have been set out in the charter formulated and adopted by the Bank, in terms of the extant laws. During fiscal 2026, the Board also reviewed and approved amendments to its charter, in line with the extant laws.

### **Role of Independent Directors**

N. S. Vishwanathan, Girish Paranjpe, Meena Ganesh, G. Padmanabhan, P. N. Prasad, CH SS Mallikarjunarao, Pranam Wahi and Malavika R. Harita are the Independent Directors of the Bank. The role of an Independent Director is to help in bringing an independent judgment in the Board's deliberations, especially on the issues pertaining to strategy, performance, risk management, human resources, governance, key appointments, and standards of conduct.

Independent Directors bring an unbiased view in evaluating performance of the Board and management and review management's performance in meeting their goals and objectives. Independent Directors safeguard the interests of all the stakeholders, particularly the minority shareholders.

### **Role of Independent Chairman**

N. S. Vishwanathan, Independent Director and Part-time Chairman of the Bank plays a critical role in managing and facilitating effective functioning of the Board. He presides over meetings of the shareholders of the Bank, Board and select Board Committees.

### **Role of Managing Director & CEO**

Amitabh Chaudhry is the Managing Director & CEO of the Bank. He reports to the Board of the Bank and is vested with powers of managing the affairs of the Bank, within the overall superintendence, control, guidance, and direction of the Board.

As the Managing Director & CEO of the Bank, he has the requisite delegated authority to perform all such acts, deeds, matters and things, which he may consider necessary or appropriate to perform, in the business interest of the Bank.

### **Role of Executive Directors**

Subrat Mohanty, Munish Sharda and Neeraj Gambhir, are the Executive Directors of the Bank and report to the Managing Director & CEO of the Bank.

Subrat Mohanty is responsible for banking operations & transformation and leads the retail & wholesale banking operations, information technology, business intelligence, digital banking and certain other corporate functions at the Bank, including strategy, process excellence, customer experience.

Munish Sharda is responsible for overseeing a comprehensive portfolio that includes retail assets, retail liabilities, branch banking, and the commercial banking group.

Neeraj Gambhir is responsible for overseeing the Bank's treasury & markets function, wholesale banking products (WBP), fraud control, business economics research, internal vigilance, ethics.

Amitabh Chaudhry, Subrat Mohanty, Munish Sharda and Neeraj Gambhir are the key managerial personnel of the Bank, in terms of the provisions of Section 203(1) read with Section 2(51) of the Act and Rule 8 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

#### IV. Meetings of the Board / Committees

##### **Schedule of the meetings**

The schedule of the meetings of the Board / Committees and the Annual General Meeting of the Bank to be held during the next fiscal, is finalised and circulated in advance to the Board.

##### **Framework for conduct of meetings of the Board / Committees**

The Bank has formulated and adopted a framework for conduct of meetings of the Board / Committees of the Bank.

The said framework provides guidance on matters relating to administration of meetings by ensuring standardization in the formats used for preparation of agenda index, agenda notes, minutes and circular resolutions and adopting best practices from a compliance and governance perspective.

##### **Agenda for the meetings**

The RBI *vide* RBI (Commercial Banks - Governance) Directions, 2025 dated 28 November, 2025 has prescribed 'seven critical themes' to be reviewed by the Board namely business strategy, risk, financial reports and their integrity, compliance, customer protection, financial inclusion and human resources. The agenda for Board meetings, *inter alia*, include matters aligned with the Bank's business priorities, strategic objectives, and operational requirements as well as matters forming part of the said critical themes stipulated by the RBI, along with those required under the provisions of the extant laws.

The agenda for the meetings of the Board / Committees is prepared and finalised in consultation with the chairperson of the Board / respective Committees. The agenda notes and presentations for the meetings of the Board / Committees are sent to the members of the Board / Committees in advance to enable them to read and comprehend the matters to be dealt with and seek further information / clarification, as may be required. The agenda notes / presentations are presented in a manner, to facilitate informed decision making.

The members of the Board / Committees are free to recommend inclusion of any matter as part of the agenda for the said meetings.

##### **Availability of information to the Board**

Meetings follow structured agenda notes and background papers, circulated through a web-based portal, aligning with the Bank's green initiative. In addition to all items required pursuant to extant applicable regulations, updates cover diverse areas such as business & operations, risk management, CSR activities, and ESG initiatives, alongside other details like minutes of meetings, senior management appointments, subsidiary governance, strategic matters and regulatory compliance.

##### **Post-meeting follow-up mechanism**

Important decisions taken and suggestions provided by the Board and its Committees are communicated to the relevant departments for their information and necessary action. The actionables arising out of the meetings of the Board / Committees are thereafter dealt with in accordance with the Bank's framework for monitoring and implementation of directions of the Board / Committees.

##### **Framework for monitoring and implementation of the directions of the Board**

The Bank has formulated and adopted a framework for monitoring and implementation of directions of the Board / Committees. During fiscal 2026, the Board reviewed the aforesaid framework. The framework is in line with the Banks' commitment to adopt and adhere to enhanced governance standards and to define a set of principles for identification of actionable and the process for its monitoring, review and reporting to the Board / Committees.

In terms of this framework, actionables emanating from the deliberations at the meetings and actionables emanating from the agenda notes are periodically monitored and reviewed until their closure. Subrat Mohanty, Executive Director, periodically reviews the open actionables. The consolidated status of actionables relating to the Board / Committees, is also reviewed by the Board, on a quarterly basis.

### **Annual Board Strategy Meet**

The Bank believes that the annual strategy planning process provides a structured environment, formal as well as informal, to focus on longer term direction, purpose and strategy of the Bank. Every year, the planning cycle starts with detailed discussions at senior management taking stock of the priorities during the middle of the year and initiating conversations for the next year priorities. This year, basis inputs from the senior leadership and Board, certain strategic priorities / areas have been identified. Each of the strategic priorities / areas were owned by at least one of the Management Committee member and had a Board mentor / guide assigned to it. Basis guidance from the Board, a detailed project plan to address the strategic areas was presented at the Board strategy meeting. Each of these areas with finalised project plans are now implemented as individual projects by the Bank during the year.

Further, at the three-day strategy meet, the Board is able to reflect on and challenge managements' assumptions and the thinking around the changing risk environment, strategic planning, financial planning, review ongoing initiatives, assess risks to strategy execution, and discuss the need for new strategic programs to achieve long-term objectives. This meet provides a platform for Directors to contribute towards strategic initiatives and gain insights into the execution and other challenges faced within specific business segments. Senior management delivers detailed presentations on key business segments and subsidiaries, fostering discussions on strategic issues and competitive differentiation.

### **Minutes of the meetings**

The draft minutes are sent within 15 days from the date of the conclusion of the meetings to the members of the Board / Committees, for their comments. The minutes after incorporating the comments / suggestions, if any, received from the members of the Board / Committees are placed at the next meeting for noting and signing by the Chairperson of the respective / previous meeting. The Bank has adopted a Guidance, Challenge and Instruction ("**GCI**") framework, in terms of which it circulates to the Directors a statement containing Guidance, Challenge and Instruction arising from the deliberations at the meetings of the Board / Committees, along with the minutes.

In case of business exigencies or urgency of matters, resolutions are also passed by the Board / Committees through circulation with the approval of the respective chairperson. The resolution passed by circulation is noted at the next meeting of the Board / Committees.

### **Conduct of meetings**

The meetings of the Board / Committees during fiscal 2026, were generally held at the Bank's corporate office in Mumbai. Video-conference ("**VC**") facility was also provided in case any Director was unable to attend the meeting physically.

During fiscal 2026, nine meetings of the Board were held on 24 April, 2025, 19 June, 2025, 17 July, 2025, 15 October, 2025, 25 October, 2025, 26 November, 2025, 18 December, 2025, 26 January, 2026 and 22 March, 2026.

The quarterly Board meetings for considering financial results were held over a two-day period, conducted in-person. During fiscal 2026, the Annual Board Strategy meeting was held from 22 March, 2026 to 24 March, 2026.

The gap between two Board meetings did not exceed the prescribed limit of 120 days. The requisite quorum was present throughout and at all the meetings of the Board held during fiscal 2026.

All the statutory recommendations made by the Committees during fiscal 2026 have been duly considered and approved by the Board.

The details of the Board meetings attended during fiscal 2026 and attendance at the 31<sup>st</sup> Annual General Meeting of the Bank ("AGM"), are given below:

| Sr. No. | Name of the Directors              | Board meetings attended during fiscal 2026 | % of attendance | Attendance at last AGM (25 July, 2025) |
|---------|------------------------------------|--------------------------------------------|-----------------|----------------------------------------|
| 1.      | N. S. Vishwanathan                 | 9/9                                        | 100             | Yes                                    |
| 2.      | Amitabh Chaudhry                   | 9/9                                        | 100             | Yes                                    |
| 3.      | Girish Paranjpe                    | 9/9                                        | 100             | Yes                                    |
| 4.      | Meena Ganesh                       | 9/9                                        | 100             | Yes                                    |
| 5.      | G. Padmanabhan                     | 9/9                                        | 100             | Yes                                    |
| 6.      | Prof. S. Mahendra Dev <sup>1</sup> | 1/1                                        | 100             | NA                                     |
| 7.      | P. N. Prasad                       | 9/9                                        | 100             | Yes                                    |
| 8.      | CH SS Mallikarjunarao              | 9/9                                        | 100             | Yes                                    |
| 9.      | Mini Ipe                           | 9/9                                        | 100             | Yes                                    |
| 10.     | Pranam Wahi                        | 9/9                                        | 100             | Yes                                    |
| 11.     | Malavika R. Harita <sup>2</sup>    | 2/2                                        | 100             | NA                                     |
| 12.     | Rajiv Anand <sup>3</sup>           | 3/3                                        | 100             | Yes                                    |
| 13.     | Subrat Mohanty                     | 9/9                                        | 100             | Yes                                    |
| 14.     | Munish Sharda                      | 9/9                                        | 100             | Yes                                    |
| 15.     | Neeraj Gambhir <sup>4</sup>        | 4/5*                                       | 80              | NA                                     |

<sup>1</sup> Resigned as an Independent Director of the Bank w.e.f. the close of business hours of 5 June, 2025.

<sup>2</sup> Appointed as an Independent Director of the Bank w.e.f. 18 December, 2025.

<sup>3</sup> Retired as Whole-Time Director (designated as Deputy Managing Director) of the Bank w.e.f. the close of business hours of 3 August, 2025.

<sup>4</sup> Appointed as an Executive Director of the Bank w.e.f. 20 October, 2025.

\* Leave of absence was granted to Neeraj Gambhir from attending the meeting due to a prior professional commitment.

### Resignation of Independent Director

During fiscal 2026, Prof. S. Mahendra Dev, resigned as an Independent Director of the Bank with effect from the close of business hours of 5 June, 2025, owing to his appointment as the Chairman of Economic Advisory Council to the Prime Minister of India, which is a full-time position.

Further, he confirmed that there are no other material reasons for his resignation beyond those stated above.

### Board Committees

The Board also functions through various Committees constituted to deal with specific matters as mandated under the extant laws. The charter of the Board Committees is subject to an annual review by the Board, pursuant to changes in the extant laws or to meet the business requirements of the Bank.

As on 31 March, 2026, the Board has 13 Committees, details and composition of which are as follows:

| Sr. No. | Name of the Committees                                                                   |
|---------|------------------------------------------------------------------------------------------|
| 1.      | Acquisitions, Divestments and Mergers Committee ("ADAM")                                 |
| 2.      | Audit Committee ("AC")                                                                   |
| 3.      | Committee of Directors ("COD")                                                           |
| 4.      | Committee of Whole-Time Directors ("COWTD")                                              |
| 5.      | Corporate Social Responsibility Committee ("CSR")                                        |
| 6.      | Customer Service Committee ("CSC")                                                       |
| 7.      | Environmental, Social and Governance Committee ("ESG")                                   |
| 8.      | IT and Digital Strategy Committee ("ITDSC")                                              |
| 9.      | Nomination and Remuneration Committee ("NRC")                                            |
| 10.     | Review Committee ("RC")                                                                  |
| 11.     | Risk Management Committee ("RMC")                                                        |
| 12.     | Special Committee of the Board for Monitoring and Follow-up of cases of Frauds ("SCBMF") |
| 13.     | Stakeholders Relationship Committee ("SRC")                                              |

Out of 13 Committees, 10 are chaired by Independent Directors. The remaining three i.e., SCBMF is chaired by a Non-Executive Director, and RC & COWTD are chaired by the Managing Director & CEO.



## Composition of Committees:

|       | Independent Directors |                 |              |                |              |                       |             |                    | Non-Executive Director | Whole-Time Directors |                |               |                |
|-------|-----------------------|-----------------|--------------|----------------|--------------|-----------------------|-------------|--------------------|------------------------|----------------------|----------------|---------------|----------------|
|       | N. S. Vishwanathan    | Girish Paranjpe | Meena Ganesh | G. Padmanabhan | P. N. Prasad | CH SS Mallikarjunarao | Pranam Wahi | Malavika R. Harita | Mini Ipe               | Amitabh Chaudhry     | Subrat Mohanty | Munish Sharda | Neeraj Gambhir |
| ADAM  |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| AC    |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| COD   |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| COWTD |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| CSR   |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| CSC   |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| ESG   |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| ITDSC |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| NRC   |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| RC    |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| RMC   |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| SCBMF |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |
| SRC   |                       |                 |              |                |              |                       |             |                    |                        |                      |                |               |                |

Chairperson
 Member

With reference to the RBI (Commercial Banks - Governance) Directions, 2025 dated 28 November, 2025, Girish Paranjpe, Independent Director is a common member between the RMC and the NRC. The above common membership is in compliance with the RBI guidelines.

Brief description of charter of the Committees, their composition and attendance of the members at the meetings held during fiscal 2026, are detailed as under:

### 1. Acquisitions, Divestments and Mergers Committee

#### Composition and attendance

The Acquisitions, Divestments and Mergers Committee of the Board of the Bank ("ADAM") comprises of five members out of which three are Independent Directors.

| Name of the members | Position | Attendance       |
|---------------------|----------|------------------|
| N. S. Vishwanathan  | Chairman | 6/6              |
| Amitabh Chaudhry    | Member   | 6/6              |
| Meena Ganesh        | Member   | 5/6 <sup>#</sup> |
| Subrat Mohanty      | Member   | 5/6 <sup>*</sup> |
| Pranam Wahi         | Member   | 6/6              |

<sup>#</sup> Leave of absence was granted to Meena Ganesh from attending the meeting due to personal reason.

<sup>\*</sup> Leave of absence was granted to Subrat Mohanty from attending the meeting since he was on annual block leave.

#### Quorum

Three members or 1/3<sup>rd</sup> of the total strength of the ADAM, whichever is higher.

### Brief description of the Charter

- The objective of the Committee is to consider any proposals relating to mergers, acquisitions and strategic investments and divestments and recommend / approve them in terms of the charter.
- Business takeover / acquisition (as distinct from the normal purchase of loans / investment portfolios, purchase of assets, etc.)
- Strategic investments: acquisition of greater than 25% stake in a company or acquisition of stake in a company where the proportion is 25% or lower but where the Bank intends to have management participation. Equity / Equity linked investment in a company / Limited Liability Partnership ("LLP") / entity / body corporates (other than in subsidiary / group entity(ies)) if the overall amount is in excess of ₹500 crores in one or more tranches. Equity / Equity linked investment in subsidiary company / group entity(ies) (existing or proposed) if the proposed investment amount is in excess of ₹500 crores per transaction.
- Strategic divestments: Sale of an existing business of the Bank (as distinct from the sale of assets in the normal course of business, sale of assets to ARCs and fixed assets). Sale of greater than 25% stake in a company / LLP / entity / body corporates / subsidiary company of the Bank or Equity / Equity linked divestment in a company / LLP / entity / body corporates / subsidiary company if the amount of disinvestment is in excess of ₹500 crores per transaction or sale of less than 25% stake in a company / LLP / entity / body corporates / subsidiary company of the Bank but where the Bank intends to give-up management participation which was earlier approved by the Committee.

### Meetings

During fiscal 2026, six meetings of ADAM were held on 1 May, 2025, 14 October, 2025, 20 December, 2025, 27 January, 2026, 11 February, 2026 and 18 March, 2026.

## 2. Audit Committee

### Composition and attendance

The Audit Committee of the Board of the Bank ("ACB") comprises of four members, out of which three are Independent Directors and one is a Non-Executive Nominee Director. The members of the ACB are financially literate.

| Name of the members                | Position | Attendance |
|------------------------------------|----------|------------|
| Girish Paranjpe                    | Chairman | 17/17      |
| Prof. S. Mahendra Dev <sup>1</sup> | Member   | 3/3        |
| Meena Ganesh                       | Member   | 17/17      |
| Mini Ipe                           | Member   | 17/17      |
| Pranam Wahi                        | Member   | 17/17      |

<sup>1</sup> Ceased to be a member w.e.f. close of business hours of 5 June, 2025.

The Company Secretary of the Bank acts as the secretary of this Committee.

### Quorum

Three members and at least 2/3<sup>rd</sup> of the members attending the meeting of the ACB shall be Independent Directors.

### Brief description of the Charter

- Provide direction and to oversee the operation of the audit function.
- Review the internal audit system with special emphasis on its quality and effectiveness.
- Review the risk assessment report, risk mitigation plan, scrutiny reports issued by the RBI and any other domestic / overseas regulators and forensic audit reports by external agencies, if any, and the status of compliance with the same.

- d) Review the concurrent audit system of the Bank (including the appointment of concurrent auditors).
- e) Recommend to the Board, the appointment of Secretarial Auditors of the Bank.
- f) Recommend to the Board, the appointment, re-appointment, remuneration and terms of appointment of the Statutory Auditors of the Bank.
- g) Approve payments to Statutory Auditors for any other services rendered by them.
- h) Oversee the Bank's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible.
- i) Review, with the management, the quarterly financial statements of the Bank (standalone and on a consolidated basis, in terms of the relevant provisions of the SEBI Listing Regulations) before it is recommended for the approval of the Board.
- j) Oversee the implementation of compliance policy and group compliance policy and review the compliance function on a half-yearly and annual basis ensuring that all compliance issues are resolved effectively.
- k) Review functioning of the whistle blower and vigilance mechanism.
- l) All related party transactions and subsequent material modifications shall require prior approval of the ACB in accordance with the SEBI Listing Regulations, as amended from time to time.
- m) Review the performance of information systems audit and the critical issues highlighted during the information systems audit and provide appropriate guidance to the Bank's management.
- n) Review the status of compliance with the provisions of the securities dealing code, on an annual basis and to verify that the systems for internal control are adequate and are operating effectively.
- o) Review and approve the appointment and removal of the Group Chief Compliance Officer ("**GCCO**"), Group Chief Audit Executive ("**GCAE**"), Chief of Internal Vigilance ("**CIV**") and / or any change in the incumbency of GCCO, GCAE, CIV of the Bank, along with the reasons for such change.
- p) Review all matters as specified by the RBI *vide* circular dated 10 November, 2010 on Calendar of Reviews and notifications, if any, issued from time to time in this regard.

The GCCO and GCAE of the Bank directly report to the ACB. They also meet the ACB on one-to-one basis, without the presence of the senior management, on a quarterly basis. The Committee also meets the credit rating agencies at least once in a year, to discuss issues including related party transactions, internal financial control and any items, which have a bearing on rating of the instruments issued by the Bank.

The ACB discusses the key highlights of the quarterly and annual financial results of the Bank, internal financial controls, branch audits and control findings, with the Joint Statutory Auditors, before recommending the same to the Board, for their approval. Joint Statutory Auditors have attended the meetings of the ACB held during fiscal 2026, for review of the quarterly / half-yearly / annual financial results of the Bank.

The ACB also meets with the Joint Statutory Auditors, without the presence of any executives of the Bank.

### Meetings

During fiscal 2026, 17 meetings of ACB were held on 21 April, 2025, 24 April, 2025, 16 May, 2025, 13 June, 2025, 24 June, 2025, 17 July, 2025, 25 July, 2025, 21 August, 2025, 4 September, 2025, 23 September, 2025, 10 October, 2025, 15 October, 2025, 18 November, 2025, 18 December, 2025, 26 January, 2026, 23 February, 2026 and 18 March, 2026.

### 3. Committee of Directors

#### Composition and attendance

The Committee of Directors of the Board of the Bank ("**COD**") comprises of four members out of which three are Independent Directors.

| Name of the members                | Position | Attendance |
|------------------------------------|----------|------------|
| P. N. Prasad                       | Chairman | 15/15      |
| Rajiv Anand <sup>1</sup>           | Member   | 5/5        |
| CH SS Mallikarjunarao              | Member   | 15/15      |
| Prof. S. Mahendra Dev <sup>2</sup> | Member   | 3/3        |
| Mini Ipe <sup>3</sup>              | Member   | 9/9        |
| Neeraj Gambhir <sup>4</sup>        | Member   | 5/6*       |
| Malavika R. Harita <sup>5</sup>    | Member   | 3/3        |

<sup>1</sup> Ceased to be a member w.e.f. close of business hours of 3 August, 2025.

<sup>2</sup> Ceased to be a member w.e.f. close of business hours of 5 June, 2025.

<sup>3</sup> Appointed as a member w.e.f. 19 June, 2025 and ceased to be a member w.e.f. 18 December, 2025.

<sup>4</sup> Appointed as a member w.e.f. 20 October, 2025.

<sup>5</sup> Appointed as a member w.e.f. 18 December, 2025.

\* Leave of absence was granted to Neeraj Gambhir from attending the meeting due to a prior professional commitment.

#### Quorum

Three members or 1/3<sup>rd</sup> of the total strength of the COD, whichever is higher, with presence of at least two Independent Directors.

#### Brief description of the Charter

- Review loans sanctioned by the Senior Management Committee, provide approvals for loans as per the limits stipulated in the corporate credit policy of the Bank, as amended from time to time, and to discuss strategic issues in relation to credit policy and review the quality of the credit portfolio of the Bank.
- Monitor the exposures (both credit and investments) of the Bank and to consider and approve one time compromise settlement proposals, in respect of loan accounts which have been written off.
- Approve treasury related investments and disinvestments as mentioned in the domestic investment policy, overseas investment policy and market risk management policy of the Bank, as amended from time to time.
- Review and approve proposals relating to grant of loans and advances, investments, award of contract or arrangement to related parties.
- Review, note and approve proposals relating to the Bank's business / operations covering all its departments and business segments.

#### Meetings

During fiscal 2026, 15 meetings of COD were held on 23 April, 2025, 27 May, 2025, 2 June, 2025, 23 June, 2025, 24 July, 2025, 26 August, 2025, 17 September, 2025, 10 October, 2025, 17 October, 2025, 21 November, 2025, 9 December, 2025, 17 December, 2025, 30 January, 2026, 17 February, 2026 and 13 March, 2026.

## 4. Committee of Whole-Time Directors

### Composition and attendance

The Committee of Whole-Time Directors of the Board of the Bank ("**COWTD**") comprises of four members.

| Name of the members         | Position | Attendance |
|-----------------------------|----------|------------|
| Amitabh Chaudhry            | Chairman | 12/12      |
| Rajiv Anand <sup>1</sup>    | Member   | 4/4        |
| Subrat Mohanty              | Member   | 12/12      |
| Munish Sharda               | Member   | 11/12*     |
| Neeraj Gambhir <sup>2</sup> | Member   | 5/5        |

<sup>1</sup> Ceased to be a member w.e.f. close of business hours of 3 August, 2025.

<sup>2</sup> Appointed as a member w.e.f. 20 October, 2025.

\* Leave of absence was granted to Munish Sharda from attending the meeting due to a prior professional commitment.

### Quorum

If the COWTD consists of three or less members, 100% of the strength of the COWTD. If the COWTD consists of more than three members, three members or 1/3<sup>rd</sup> of the total strength of the COWTD, whichever is higher.

### Brief description of the Charter

- Issuance of general / special power of attorney to various officials of the Bank and the subsidiary companies of the Bank to do such acts, deeds, matters and things as may be considered necessary or appropriate for and on behalf of the Bank.
- Approve the allotment of equity shares pursuant to exercise of stock option / unit by eligible employees / Directors of the Bank and that of its subsidiary companies, in terms of the relevant employee stock option scheme(s) of the Bank.
- Approve the allotment of debt securities issued by the Bank, including, but not limited to long term bonds, green bonds, non-convertible debentures, perpetual debt instruments, Tier II capital bonds or such other debt securities as may be permitted under the RBI guidelines.
- Discuss matters, *inter alia*, relating to the operations, strategies, business opportunities relating to the Bank and / or that of its subsidiaries.
- Approve strategic and other investments and divestments up to ₹500 crores in a company / LLP / entity / body corporates in one or more tranche.
- Review and approve any proposals on investment and divestments in the share capital of the existing / proposed subsidiary / group entity(ies) up to ₹500 crores per transaction.
- Any other matter as may be authorised by the Board / Committees or required to be done pursuant to any laws, rules, regulations or any internal policies of the Bank.

### Meetings

During fiscal 2026, 12 meetings of COWTD were held on 17 April, 2025, 19 May, 2025, 17 June, 2025, 11 July, 2025, 18 August, 2025, 23 September, 2025, 14 October, 2025, 17 November, 2025, 15 December, 2025, 12 January, 2026, 16 February, 2026 and 13 March, 2026.



## 5. Corporate Social Responsibility

### Composition and attendance

The Corporate Social Responsibility Committee of the Board of the Bank ("**CSR Committee**") comprises of five members out of which three are Independent Directors.

| Name of the members                | Designation | Attendance |
|------------------------------------|-------------|------------|
| N. S. Vishwanathan                 | Chairman    | 5/5        |
| Prof. S. Mahendra Dev <sup>1</sup> | Member      | NA         |
| Rajiv Anand <sup>2</sup>           | Member      | 2/2        |
| Meena Ganesh                       | Member      | 5/5        |
| Munish Sharda                      | Member      | 5/5        |
| Malavika R. Harita <sup>3</sup>    | Member      | 1/1        |
| Neeraj Gambhir <sup>4</sup>        | Member      | 0/1*       |

<sup>1</sup> Ceased to be a member w.e.f. close of business hours of 5 June, 2025.

<sup>2</sup> Ceased to be a member w.e.f. close of business hours of 3 August, 2025.

<sup>3</sup> Appointed as a member w.e.f. 18 December, 2025.

<sup>4</sup> Appointed as a member w.e.f. 18 December, 2025.

\* Leave of absence was granted to Neeraj Gambhir from attending the meeting due to a prior professional commitment.

### Quorum

Three members or 1/3<sup>rd</sup> of the total strength of the CSR Committee, whichever is higher.

### Brief description of the Charter

- Formulate and recommend to the Board, the CSR strategy, themes, focus areas and review mechanism including the CSR policy of the Bank.
- Review and approve, the CSR projects / programmes to be undertaken by the Bank either directly or through Axis Bank Foundation ("**ABF**") or through implementation partners as deemed suitable, during the fiscal year and specify modalities for its execution and implementation schedules for the same, in terms of the CSR policy of the Bank.
- Review and approve the funds to be allocated for the CSR projects / programmes to be undertaken by the Bank during the fiscal year, in terms of the CSR policy of the Bank, subject to compliance with Section 135(5) of the Act.
- Review implementation of the CSR policy and annual action plan, such that the CSR project(s) / programme(s) that are being proposed to be undertaken are aligned to the Bank's social, environmental and economic activities to the extent possible.

### Meetings

During fiscal 2026, five meetings of CSR Committee were held on 18 June, 2025, 16 July, 2025, 11 September, 2025, 10 December, 2025 and 5 March, 2026.

## 6. Customer Service Committee

### Composition and attendance

The Customer Service Committee of the Board of the Bank ("**CSC**") comprises of five members out of which two are Independent Directors.

| Name of the members | Position | Attendance |
|---------------------|----------|------------|
| P. N. Prasad        | Chairman | 5/5        |
| G. Padmanabhan      | Member   | 5/5        |
| Amitabh Chaudhry    | Member   | 5/5        |
| Mini Ipe            | Member   | 5/5        |
| Subrat Mohanty      | Member   | 5/5        |

### Quorum

Three members or 1/3<sup>rd</sup> of total strength of the CSC, whichever is higher, out of which at least one member shall be an Independent Director of the Bank.

### Brief description of the Charter

- Review customer feedback received during Standing Committee on Customer Service and customer metrics that were reviewed.
- Review complaints and quality of service provided by the Bank & its subsidiaries to ensure a robust grievance redressal mechanism.
- Review of Banking Ombudsman Awards and remedial action for Systemic Issues.
- Review of customer service policies annually and / or adopt new policies based on the RBI directives.
- Review progress on other regulatory matters.
- Review any specific directive received from the RBI and status of implementation.
- Review of revised charges / fees and annual review of existing charges / fees, etc.
- Review the initiatives taken by the Bank to enhance customer experience.

### Meetings

During fiscal 2026, five meetings of CSC were held on 6 June, 2025, 25 September, 2025, 25 November, 2025, 12 December, 2025 and 12 March, 2026.

## 7. Environmental, Social and Governance (ESG) Committee

### Composition and attendance

The Environmental, Social and Governance Committee of the Board of the Bank (“ESG”) comprises of four members out of which three are Independent Directors.

| Name of the members                | Position | Attendance |
|------------------------------------|----------|------------|
| Pranam Wahi <sup>1</sup>           | Chairman | 4/4        |
| Prof. S. Mahendra Dev <sup>2</sup> | Chairman | NA         |
| Amitabh Chaudhry                   | Member   | 4/4        |
| G. Padmanabhan                     | Member   | 4/4        |
| Malavika R. Harita <sup>3</sup>    | Member   | 1/1        |

<sup>1</sup> Appointed as a member and Chairman w.e.f. 19 June, 2025.

<sup>2</sup> Ceased to be member w.e.f. close of business hours of 5 June, 2025.

<sup>3</sup> Appointed as a member w.e.f. 18 December, 2025.

### Quorum

Three members or 1/3<sup>rd</sup> of the total strength of the ESG Committee, whichever is higher.

### Brief description of the Charter

- Guide and assist in setting the Bank’s general strategy with respect to ESG matters.
- Consider and bring to the attention of the Board and / or management, current, and emerging ESG topics that may be material to the Bank or its stakeholders.
- To take note and advise the Board or management, as appropriate, on any significant stakeholder concerns relating to ESG matters.
- Review the Bank’s ESG-aligned strategy, policies, practices, and disclosures for consistency with respect to applicable regulations.
- Advise and assist the management in the adoption of ESG performance metrics, targets, and other such commitments, and monitor the Bank’s progress.

### Meetings

During fiscal 2026, four meetings of ESG Committee were held on 25 June, 2025, 17 September, 2025, 3 December, 2025 and 11 March, 2026.

## 8. IT and Digital Strategy Committee

### Composition and attendance

The IT and Digital Strategy Committee of the Board of the Bank ("ITDSC") comprises of five members out of which three are Independent Directors.

| Name of the members   | Position | Attendance |
|-----------------------|----------|------------|
| CH SS Mallikarjunarao | Chairman | 5/5        |
| G. Padmanabhan        | Member   | 5/5        |
| Girish Paranjpe       | Member   | 5/5        |
| Amitabh Chaudhry      | Member   | 5/5        |
| Subrat Mohanty        | Member   | 5/5        |

### Quorum

Three members or 1/3<sup>rd</sup> of total strength of ITDSC, whichever is higher.

### Brief description of the Charter

- Approving IT strategy and policies and ensuring that IT strategy is aligned with business strategy.
- Review of IT and cyber security incidents / frauds.
- Assessing if IT architecture has been designed to derive maximum business value from IT.
- Ensure that the Bank has put in place processes for assessing and managing IT and cybersecurity risks.
- Exercise oversight to ensure effective functioning of the IT Operations of the Bank.
- Review on an annual basis, the Business Continuity Plan ("BCP") / Disaster Recovery ("DR") Plan of the Bank and exercise oversight over the efficacy of the BCP / DR process adopted by the Bank and recommend measures for its improvement.
- Review the progress made by the Bank on the digital banking front.

### Meetings

During fiscal 2026, five meetings of ITDSC were held on 6 June, 2025, 8 September, 2025, 8 December, 2025, 27 January, 2026 and 12 March, 2026.

## 9. Nomination and Remuneration Committee

### Composition and attendance

The Nomination and Remuneration Committee of the Board of the Bank ("NRC") comprises of four members, out of which three are Independent Directors.

| Name of the members | Position    | Attendance |
|---------------------|-------------|------------|
| Meena Ganesh        | Chairperson | 11/11      |
| Girish Paranjpe     | Member      | 11/11      |
| N. S. Vishwanathan  | Member      | 11/11      |
| Mini Ipe            | Member      | 11/11      |

### Quorum

Three members. At least half of the members attending the meeting of the NRC shall be Independent Directors, of which one shall be a member of the RMC.

### Brief description of the Charter

- a) Evaluate efficacy of the Talent Management and Succession Planning process adopted by the Bank and suggest suitable course of action, if any, relating to vacancies that would be required to be filled at Board, senior management and key managerial personnel, functional head level, critical role holders on account of retirement / resignation / expiry of term of the chairperson, the directors, senior management, key managerial personnel, functional heads and the critical role holders.
- b) Set the goals, objectives and performance benchmarks for the Bank, Whole-Time Directors & senior management.
- c) Review and recommend for the approval of the Board, the overall remuneration framework and associated policies of the Bank.
- d) Review the structure, size, composition and diversity of the Board and make necessary recommendations to the Board with regard to any changes in its composition as deemed necessary in accordance with the extant norms and formulate and review the policy on board diversity.
- e) Carry out evaluation of performance of individual and Independent Directors, the Board as a whole and the Committees thereof and based on the outcome of such performance evaluation, decide whether to re-appoint the Director and assignment of additional roles, responsibilities and his / her remuneration.
- f) Consider and approve the grant of stock options to eligible employees of the Bank including the Managing Director & CEO, other Whole-Time Directors and senior management and eligible employees of the subsidiary companies of the Bank, in terms of the Employees Stock Option Scheme formulated and adopted by the Bank under the relevant provisions of the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021, as amended from time to time.
- g) Review adequacy and appropriateness of HR strategy of the Bank in the broader areas of code of conduct, culture and ethics, conflict of interest, succession planning, talent management, performance management, remuneration and HR risk management.

### Meetings

During fiscal 2026, 11 meetings of NRC were held on 23 April, 2025, 25 April, 2025, 13 June, 2025, 16 July, 2025, 18 July, 2025, 3 October, 2025, 14 October, 2025, 26 November, 2025, 18 December, 2025, 14 January, 2026 and 20 March, 2026.

## 10. Review Committee

### Composition and attendance

The Review Committee of the Board of the Bank ("RC") comprises of three members out of which two are Independent Directors.

| Name of the members   | Position | Attendance |
|-----------------------|----------|------------|
| Amitabh Chaudhry      | Chairman | 7/7        |
| P. N. Prasad          | Member   | 7/7        |
| CH SS Mallikarjunarao | Member   | 7/7        |

### Quorum

Three members or 2/3<sup>rd</sup> of total strength of the RC, whichever is higher.

### Brief description of the Charter

- a) Consider the proposal of the Identification Committee along with the written representation received for classification of a borrower / guarantor / promoter / director / persons who are in charge and responsible for the management of the affairs of the entity, as a wilful defaulter.

- b) To put in place a system for proper and timely classification of borrowers as wilful defaulters and review the efficacy of the said system, at least on an annual basis.
- c) The accounts of borrowers who have been classified as wilful defaulters shall be reviewed by the RC at least on a half-yearly basis and a report thereon shall be placed before the Board, for its review and noting.

### Meetings

During fiscal 2026, seven meetings of RC were held on 25 July, 2025, 26 August, 2025, 10 October, 2025, 21 November, 2025, 17 December, 2025, 30 January, 2026 and 16 March, 2026.

## 11. Risk Management Committee

### Composition and attendance

The Risk Management Committee of the Board of the Bank ("**RMC**") comprises of five members out of which three are Independent Directors.

| Name of the members | Position | Attendance |
|---------------------|----------|------------|
| G. Padmanabhan      | Chairman | 6/6        |
| Amitabh Chaudhry    | Member   | 6/6        |
| Girish Paranjpe     | Member   | 6/6        |
| Pranam Wahi         | Member   | 6/6        |
| Munish Sharda       | Member   | 6/6        |

### Quorum

Three members or 1/3<sup>rd</sup> of the total strength of RMC, whichever is higher. At least half of the members attending the meeting of the RMC shall be Independent Directors, of which at least one member shall have professional expertise / qualification in risk management.

### Brief description of the Charter

- a) Framing and governing the risk strategy and approving and reviewing the risk appetite of the Bank.
- b) Ensure that sound policies, procedures and practices are in place to manage its risks.
- c) Establishing a framework to set and monitor limits across risk categories such as credit risk, market risk, operational risk, etc. in order to ensure that the risk profile is adequately diversified.
- d) Review the risk management plan with respect to cyber security and monitor the implementation of the measures recommended by the ITDSC of the Bank, to mitigate any risk arising therefrom.
- e) Review the appointment, removal and terms of remuneration of the Chief Risk Officer ("**CRO**") of the Bank.

The CRO reports to the Managing Director & CEO of the Bank. The CRO is independent of the business lines and is actively involved in key decision-making processes that impact the risk profile of the Bank. The CRO also meets the RMC without the presence of executives of the Bank. The Bank has a policy defining the roles and responsibilities of the CRO, in line with the guidelines issued by the RBI.

### Meetings

During fiscal 2026, six meetings of RMC were held on 22 April, 2025, 18 June, 2025, 14 July, 2025, 13 October, 2025, 26 November, 2025 and 16 January, 2026.



## 12. Special Committee of the Board for Monitoring and Follow-up of cases of Frauds

### Composition and attendance

The Special Committee of the Board for Monitoring and Follow-up of cases of Frauds ("SCBMF") comprises of five members out of which three are Independent Directors.

| Name of the members                | Position    | Attendance |
|------------------------------------|-------------|------------|
| Mini Ipe                           | Chairperson | 5/5        |
| Amitabh Chaudhry                   | Member      | 5/5        |
| Prof. S. Mahendra Dev <sup>1</sup> | Member      | 1/1        |
| P. N. Prasad                       | Member      | 5/5        |
| N. S. Vishwanathan,                | Member      | 5/5        |
| Malavika R. Harita <sup>2</sup>    | Member      | 1/1        |

<sup>1</sup> Ceased to be a member w.e.f. close of business hours of 5 June, 2025.

<sup>2</sup> Appointed as a member w.e.f. 18 December, 2025.

### Quorum

Three members with at least two being a Non-Executive Director.

### Brief description of the Charter

- Oversee the effectiveness of the fraud risk management in the Bank, including fraud monitoring and fraud investigations and make suggestions for improvement.
- Review and monitor cases of frauds, including root cause analysis, efficacy of the remedial action taken to prevent recurrence and suggest mitigating measures for strengthening the internal controls, risk management framework and minimising the incidence of frauds.
- Review the cases remaining in red-flagged status beyond 180 days together with adequate reasoning / justification thereof.
- Identify the reasons for delay, in detection and classification and / or reporting, if any, of frauds to top management of the Bank and the RBI.

### Meetings

During fiscal 2026, five meetings of SCBMF were held on 8 May, 2025, 13 June, 2025, 11 September, 2025, 10 December, 2025 and 13 March, 2026.

## 13. Stakeholders Relationship Committee

### Composition and attendance

The Stakeholders Relationship Committee of the Board of the Bank ("SRC") comprises of four members out of which two are Independent Directors.

| Name of the members         | Position | Attendance |
|-----------------------------|----------|------------|
| CH SS Mallikarjunarao       | Chairman | 2/2        |
| Rajiv Anand <sup>1</sup>    | Member   | 1/1        |
| P. N. Prasad                | Member   | 2/2        |
| Munish Sharda               | Member   | 2/2        |
| Neeraj Gambhir <sup>2</sup> | Member   | NA         |

<sup>1</sup> Ceased to be a member w.e.f. close of business hours of 3 August, 2025.

<sup>2</sup> Appointed as a member w.e.f. 18 December, 2025.

Sandeep Poddar, Company Secretary of the Bank, is appointed as the Compliance Officer in terms of Regulation 6 of the SEBI Listing Regulations. He also acts as the secretary of this Committee.

### Quorum

Three members or 1/3<sup>rd</sup> of the total strength of the SRC, whichever is higher.

### Brief description of the Charter

- a) Consider and resolve the grievances of the security holders of the Bank.
- b) Review of complaints received from the investors in respect of transfer / transmission of shares and debentures of the Bank, non-receipt of annual report of the Bank, non-receipt of declared dividends and interest on debentures, delay in receipt of new / duplicate certificates, general meetings, etc. and the status of its redressal.
- c) Review the measures taken for effective exercise of voting rights by shareholders.
- d) Review adherence to the service standards adopted by the Bank in respect of various services being rendered by the Registrar to an Issue & Share Transfer Agent.
- e) Review of the various measures and initiatives taken by the Bank for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants / annual reports / statutory notices by the shareholders of the Bank.

### Meetings

During fiscal 2026, two meetings of SRC were held on 27 May, 2025 and 21 November, 2025.

### Management Committee

The Management Committee ("MANCOM") has been constituted as part of the governance and administrative structure of the Bank. The MANCOM comprises of the Managing Director & CEO, Executive Directors, and other senior leaders, as appointed from time to time.

The MANCOM meets regularly to review matters, *inter alia*, relating to business strategy & business performance, financial reports & integrity, risk, compliance, customer experience & marketing, financial inclusion, human capital and any other matters considered important by the MANCOM including those specified under various policies of the Bank.

### Separate meeting of Independent Directors

During fiscal 2026, the Independent Directors of the Bank met on 25 April, 2025, 17 July, 2025, 15 October, 2025, and 26 January, 2026, without the presence of Whole-Time Directors and other members of management. During these meetings, the Independent Directors discussed various performance, operational and governance aspects of the Bank and Board performance evaluation.

Thereafter, the Independent Directors at its meeting held on 24 April, 2026, discussed the report of the Board performance evaluation exercise for fiscal 2026 and evaluated the performance of the Non-Independent Directors, the Board as a whole and the Chairperson of the Bank and assessed the quality, quantity and timeliness of flow of information between the management and the Board, in accordance with Paragraph VII to Schedule IV of the Act.

## V. Board Performance Evaluation

The Bank believes that the annual performance evaluation of the Board plays a vital role in enhancing the Board's effectiveness. The performance evaluation of Board, its Committees, Chairperson and individual Directors was done in compliance with the provisions of the Act and the SEBI Listing Regulations.

The NRC finalized the parameters, methodology and mechanism for conducting the Board performance evaluation for fiscal 2026. The questionnaire related to Board evaluation was reviewed and finalized and the structured online questionnaires were deployed for the said evaluation. To enhance objectivity and ensure confidentiality an independent external agency was engaged to conduct the performance evaluation through an online tool thereby ensuring a seamless execution and facilitating a candid participation of every Director.

The independent external agency also had one-on-one discussion with all the Directors with respect to their response to the questionnaire.

### Board Evaluation

The Board was evaluated on parameters such as governance, strategic planning, audit, risk and compliance, human resource, Board's relationship with executive management, customer grievance / protection, financial inclusion, Board functioning, induction and professional development and flow of information.

### Committee Evaluation

All the 13 Board Committees were individually evaluated on a common questionnaire as well as a tailored questionnaire depending upon the mandate of each Committee. The Committees were evaluated based on criteria such as composition and quality (qualifications, skills, experience and knowledge of members), discharge of responsibilities, planning of meetings to ensure adequate time is provided for significant and emerging items, independent functioning of the Committee, comprehensiveness of agenda papers and minutes, quality of deliberation and discussion at meetings, contribution of members, action taken reports, communication between the Committee members and management, directions and instructions provided by the Committee resulting in major improvements in the Bank's functioning, etc. Further, in respect to certain Committees, feedback was taken from all the Directors with respect to their effectiveness and areas of improvement.

### Chairperson Evaluation

Chairperson performance evaluation was based on parameters covering ability to steer the meetings and discussions, impartiality, encouraging dissent, facilitating consensus building, interaction with Committee chairs, leveraging expertise of all Board members and providing guidance to the Bank on strategic & critical matters.

### Individual Directors

Individual Director's effectiveness was based on parameters such as knowledge and expertise, active participation and contribution during meetings, preparation for meetings and keeping oneself abreast of matters, collaborative relationship with other Directors, leadership, openness to others' input and acceptance of constructive feedback, uninhibited participation in meetings and willingness to bring forth their insights and integrity.

### Outcome of Evaluation

The outcome of the said performance evaluation was reviewed by the NRC at its meeting held on 23 April, 2026 and by the Independent Directors at its meeting held on 24 April, 2026. The Board also reviewed the performance evaluation report, outcome and action areas at its meeting held on 25 April, 2026.

The disclosure in terms of SEBI Master Circular dated 30 January, 2026, on 'Board evaluation', is detailed as under:

1. Observations of Board evaluation carried out for the year: Five observations emanated from the Board performance evaluation for fiscal 2026, which are detailed as under:
  - a) There must be induction process for whole-time directors to enable them to migrate from just being an executive to an executive board member.
  - b) The Board should spend more time on strategy.
  - c) There should be an efficient way of handling issues which are discussed at multiple Committees and Board.
  - d) CELP needs to be properly planned and calendarized throughout the year.
  - e) The Board should spend more time on assessing business performance and challenging management in this regard.
2. Previous year's observations and actions taken: Eight observations had emanated from the Board performance evaluation for fiscal 2025. These related to:
  - a) Making the agenda notes for Board and Committees concise without compromising on the material information for better prioritization and focussed discussions.

- b) Issues such as strategic oversight on business performance, market trends and underperforming areas, be given priority.
- c) Focus and identify issues in enhancing financial inclusion and not just priority sector lending.
- d) Drive programs to enhance risk and compliance culture across all levels and explore advanced tech tools and AI for early detection in fraud-prone areas.
- e) CSR Committee to consider periodic site visits to assess on-ground effectiveness of CSR efforts.
- f) Focus on grievance handling to reduce escalations to internal ombudsmen.
- g) Integrate ESG and climate agenda into long-term strategy.
- h) Common agenda items being placed to multiple Board Committees that oversee assurance functions be discussed in a joint meeting which is attended by the members of all those Committees.

The Bank has acted upon the said observations, which have been reviewed by the NRC and the Board.

3. Proposed actions based on current year observations: The Bank has accepted all the observations made by the Board emanating from the Board performance evaluation for fiscal 2026. The status of compliance with the said observations will be reviewed by the NRC and the Board during the course of fiscal 2027.

## VI. Remuneration Policy

The Bank's remuneration practices are underpinned by principles of meritocracy and fairness. The Bank strives to maintain strong focus in the areas of compensation governance and ensures the compensation systems are in line with emerging compensation regulations as applicable. The remuneration system strives to maintain the ability to attract, retain, reward and motivate talent in order to enable the Bank to attain its strategic objectives within the increasingly competitive context in which it operates. The Bank's pay-for-performance approach strives to ensure that both internal and external equity are in line with the emerging market trends.

The Bank has formulated and adopted a remuneration policy for Non-Executive Chairperson and Non-Executive Directors of the Bank which provides guidelines for payment of remuneration to the Non-Executive Chairperson and Non-Executive Directors of the Bank.

The Bank has also formulated a remuneration policy for Managing Director & CEO, Whole-Time Directors, material risk takers, control function staff and other employees of the Bank, in terms of the provisions of the Act, SEBI Listing Regulations and RBI (Commercial Banks - Governance) Directions, 2025. This remuneration policy, *inter alia*, contains guidelines relating to compensation structure consisting of fixed pay, variable pay, employee stock options, compensation revision cycle and framework regarding malus / clawback. During fiscal 2026, the Board reviewed both the policies and amended the Remuneration Policy for its Non-Executive Chairman and Non-Executive Directors, *inter alia*, to align with extant laws.

The above policies are available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

The remuneration paid to all the employees / Managing Director & CEO / Whole-Time Directors of the Bank, for fiscal 2026, is in accordance with the aforesaid remuneration policy.

## VII. Remuneration of Directors

### A. Executive / Whole-Time Directors

The details of remuneration paid to Managing Director & CEO, erstwhile Deputy Managing Director and Executive Directors during fiscal 2026, is as under:

(in ₹)

| Particulars                          | Amitabh Chaudhry<br>[01.04.2025 to<br>31.03.2026]     | Rajiv Anand<br>[01.04.2025 to<br>03.08.2025] <sup>1</sup> | Subrat Mohanty<br>[01.04.2025 to<br>31.03.2026]       | Munish Sharda<br>[01.04.2025 to<br>31.03.2026]        | Neeraj Gambhir<br>[20.10.2025 to<br>31.03.2026] <sup>2</sup> |
|--------------------------------------|-------------------------------------------------------|-----------------------------------------------------------|-------------------------------------------------------|-------------------------------------------------------|--------------------------------------------------------------|
| Salary (Basic)                       | 50,522,928                                            | 10,159,369                                                | 25,211,268                                            | 25,211,268                                            | 10,182,113                                                   |
| Leave fare concession facility       | 999,996                                               | 187,767                                                   | 549,996                                               | 549,996                                               | 259,165                                                      |
| House rent allowance                 | 14,034,144                                            | 3,352,591                                                 | 8,319,720                                             | 8,319,720                                             | 3,426,956                                                    |
| Variable pay (2024-25)               | 10,604,177                                            | 11,384,001                                                | 10,049,552                                            | 7,235,677                                             | 9,811,110                                                    |
| Variable pay (2023-24)               | 3,456,265                                             | 3,943,808                                                 | 3,227,339                                             | 3,083,989                                             | 3,157,834                                                    |
| Variable pay (2022-23)               | 3,300,000                                             | 3,712,500                                                 | 2,743,291                                             | 3,149,981                                             | 2,298,777                                                    |
| Variable pay (2021-22)               | 3,264,000                                             | 3,638,000                                                 | 1,982,843                                             | 1,273,664                                             | 2,420,744                                                    |
| Superannuation allowance / fund      | 5,052,292                                             | 1,015,939                                                 | 2,521,128                                             | 2,521,128                                             | 978,884                                                      |
| Utility allowance                    | 375,000                                               | 45,065                                                    | 132,000                                               | 132,000                                               | 59,258                                                       |
| Perquisites* (excluding ESOP)        | 11,378,863                                            | 5,917,143                                                 | 5,259,158                                             | 5,219,307                                             | 999,320                                                      |
| Other allowances                     | -                                                     | 1,036,035                                                 | 1,298,000                                             | 326,152                                               | -                                                            |
| Provident fund (Bank's Contribution) | 12% of Basic                                          | 12% of Basic                                              | 12% of Basic                                          | 12% of Basic                                          | 12% of Basic                                                 |
| Gratuity                             | One month's salary for each completed year of service | One month's salary for each completed year of service     | One month's salary for each completed year of service | One month's salary for each completed year of service | One month's salary for each completed year of service        |

<sup>1</sup> Retired as Whole-Time Director (designated as Deputy Managing Director) of the Bank w.e.f. the close of business hours of 3 August, 2025.

<sup>2</sup> Appointed as an Executive Director of the Bank w.e.f. 20 October, 2025.

\* Perquisites (evaluated as per Income Tax Rules, wherever applicable, or otherwise at actual cost to the Bank) such as Bank's furnished accommodation, electricity, water and furnishings, club fees, personal accident insurance, loans, use of car and telephone at residence, medical reimbursement, travelling and halting allowances, newspapers and periodicals and others were provided in accordance with the Rules of the Bank.

1. Amitabh Chaudhry, Rajiv Anand, Subrat Mohanty and Munish Sharda were granted 262,685, 185,537, 158,886 and 108,377 stock options, respectively, for fiscal 2025. The approval for the grants were received from the RBI in fiscal 2026.

The stock options were granted at ₹1,207.1 per share which was the closing market price prevailing on the day prior to the date of grant on the National Stock Exchange of India Limited (the "NSE").

The vesting schedule for the said stock options is spread over four years @ 25% every year (commencing on expiry of one year from the date of grant).

2. The Bank as a policy, does not pay any severance fees to its Whole-Time Directors. The tenure of the office of Whole-Time Directors is for a period of three years from the date of their respective appointment / re-appointment, as approved by the RBI and the same can be terminated by either party by giving three months' notice in writing. The termination of services shall be in compliance with the provisions of Section 35B of the Banking Regulation Act, 1949.
3. The Whole-Time Directors of the Bank are not entitled to receive any sitting fees from the Bank or from its subsidiary companies, for attending meetings of the Board and its Committees. Further, they do not receive any remuneration from any of the subsidiary companies of the Bank.



4. The proposals for revision in remuneration of Amitabh Chaudhry, Subrat Mohanty and Munish Sharda were approved by the members of the Bank at the 31<sup>st</sup> AGM. All the proposals were passed as ordinary resolutions which received 99.29% of votes in favour of the proposal. The proposal for appointment of Neeraj Gambhir for a period of three years w.e.f. 20 October, 2025 up to 19 October, 2028 and his remuneration was approved by the members of the Bank *vide* postal ballot on 18 January, 2026 and was passed as an ordinary resolution which received 98.77% of votes in favour of the proposal.

#### B. Independent / Nominee Directors

The remuneration framework for the Independent and Nominee Directors of the Bank has been meticulously structured to ensure compliance with regulatory standards and to recognize the vital contribution of these Directors towards the governance and strategic direction of the Bank.

**Sitting Fees:** All the Independent and Nominee Directors of the Bank were paid sitting fees of ₹100,000 for every meeting of the Board, NRC, ACB, COD, CSC, RMC and ITDSC attended by them. In respect of meetings of other Committees of the Board, they were paid sitting fees of ₹75,000 for every meeting attended by them. Further, all the Independent Directors of the Bank were paid sitting fees of ₹100,000 for attending every meeting of the Independent Directors.

**Fixed Remuneration:** In accordance with the RBI (Commercial Banks - Governance) Directions, 2025, as amended from time to time, the Bank paid fixed remuneration to its Non-Executive Directors (except the Independent Part-time Chairman) within the limit of ₹27 lakhs as approved by the members of the Bank.

**Reimbursements and other Entitlements:** All Directors are eligible for reimbursement of expenses incurred while performing their official duties. The Bank does not grant stock options to its Independent or Nominee Directors.

**Non-Executive Part-time Chairman:** In addition to sitting fees and remuneration, N. S. Vishwanathan, Non-Executive Part-time Chairman, is entitled to use of Bank's car for official and private purposes, travel, stay and other expenses for official purposes.

**Payment of Remuneration to Non-Executive (Nominee of LIC, Promoter) Director:** The sitting fees to Mini Ipe was paid to her, whereas fixed remuneration was paid to Life Insurance Corporation of India ("LIC"), as per advice from LIC.

There were no other pecuniary relationships or transactions of Non-Executive Directors *vis-a-vis* the Bank (except banking transactions in the ordinary course of business and on arm's length basis) during fiscal 2026.

The details of the remuneration paid to Independent Directors and Nominee Director during fiscal 2026, are as under:

(in ₹)

| Sr. No. | Name of the Directors              | Designation                                 | Sitting Fees      | Fixed Remuneration |
|---------|------------------------------------|---------------------------------------------|-------------------|--------------------|
| 1.      | N. S. Vishwanathan                 | Independent Director and Part-time Chairman | 3,600,000         | 3,500,000          |
| 2.      | Girish Paranjpe                    | Independent Director                        | 5,200,000         | 2,700,000          |
| 3.      | Meena Ganesh                       | Independent Director                        | 4,850,000         | 2,700,000          |
| 4.      | G. Padmanabhan                     | Independent Director                        | 3,200,000         | 2,700,000          |
| 5.      | Prof. S. Mahendra Dev <sup>1</sup> | Independent Director                        | 875,000           | 487,500            |
| 6.      | P. N. Prasad                       | Independent Director                        | 4,350,000         | 2,700,000          |
| 7.      | CH SS Mallikarjunarao              | Independent Director                        | 3,975,000         | 2,700,000          |
| 8.      | Mini Ipe                           | Non-Executive Nominee Director              | 5,475,000         | 2,700,000          |
| 9.      | Pranam Wahi                        | Independent Director                        | 4,350,000         | 2,656,667          |
| 10.     | Malavika R. Harita <sup>2</sup>    | Independent Director                        | 825,000           | 719,086            |
|         | <b>Total</b>                       |                                             | <b>36,700,000</b> | <b>23,563,253</b>  |

<sup>1</sup> Resigned as an Independent Director of the Bank w.e.f. the close of business hours of 5 June, 2025.

<sup>2</sup> Appointed as an Independent Director of the Bank w.e.f. 18 December, 2025.

## VIII. Fees paid to Statutory Auditors

The details of fees for all services availed by the Bank and its subsidiary companies, on a consolidated basis, from the Joint Statutory Auditors, M/s. M M Nissim & Co. LLP and M/s. KKC & Associates LLP and all entities in the network firm / network entity of which the aforesaid Joint Statutory Auditors are part thereof, during fiscal 2026, is as under:

|         |                                                               | (in ₹)              |
|---------|---------------------------------------------------------------|---------------------|
| Sr. No. | Particulars                                                   | Amount <sup>1</sup> |
| 1.      | Audit Fees                                                    | 49,500,000          |
| 2.      | Fees for certification and other attest services <sup>2</sup> | 18,897,851          |
| 3.      | Non-Audit Fees                                                | -                   |
|         | <b>Total</b>                                                  | <b>68,397,851</b>   |

<sup>1</sup> The above fees excludes taxes, clerkage fees and out-of-pocket expenses.

<sup>2</sup> The services of the Statutory Auditors have been obtained during the normal course of business for compliance with statutes and the guidelines of various regulators like SEBI, RBI etc., which specifically require the statutory auditor to undertake these activities and are not in the nature of management assurance. These also includes fees paid for services rendered in connection with update of the Bank's MTN Program document.

<sup>3</sup> No services have been availed by the subsidiaries of the Bank from any of the Joint Statutory Auditors.

<sup>4</sup> The said fees have been reviewed and approved by the Audit Committee of the Bank.

## IX. Details of utilisation of funds raised through Preferential Allotment or Qualified Institutional Placement

During fiscal 2026, the Bank has not raised any funds through preferential allotment or qualified institutional placement of equity shares pursuant to Regulation 32(7A) of the SEBI Listing Regulations.

## X. Disclosure in terms of the sexual harassment of women at Workplace (Prevention, Prohibition and Redressal) Act, 2013

The Bank has formulated and adopted a policy on prevention of sexual harassment at workplace (the “**policy**”) and takes all necessary measures to ensure a harassment-free workplace. The Bank believes that all employees, including other individuals who are dealing with the Bank have the right to be treated with dignity. The abridged version of the policy is available on the Bank's website at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

A Central Internal Committee (“**CIC**”) has been instituted for redressal of complaints and to prevent sexual harassment. Additionally, four Regional Internal Committees (“**RIC**”) have been constituted to facilitate investigations at four regions (north, south, east and west) of the Bank.

The CIC is empowered to take appropriate disciplinary action against the employee(s) who is found to have violated the norms prescribed under the said policy.

The following is the summary of sexual harassment complaints received, pending and disposed of by the Bank, during fiscal 2026:

| Particulars                                                            | No. of complaints |
|------------------------------------------------------------------------|-------------------|
| Number of complaints pending at the start of the fiscal year           | 12                |
| Number of complaints of sexual harassment filed during the fiscal year | 49                |
| Number of complaints disposed of during the fiscal year                | 51                |
| Number of complaints pending as on the end of the fiscal year          | 10                |
| Number of cases pending for more than 90 days                          | 0                 |

Number of workshops / awareness programmes conducted against sexual harassment: 43

Nature of action taken by the Employer or District Officer: As per the Bank's Code of Conduct & Ethics.

### XI. Employee Accidental Deaths

During fiscal 2026, there was no instance of employee accident or accidental death at workplace.

### XII. Whistleblower Policy & Vigil Mechanism

The Whistleblower channel provides a secure way for employees for reporting serious concerns such as fraud, corruption, misappropriation of funds, accounting irregularities, violations of laws or internal policies, etc.

This Whistleblower policy (the “**policy**”) gives Whistleblower(s) a platform to report their concerns / grievances without fear of retribution or vengeful action from the persons against whom the Protected Disclosure was submitted, in addition to providing for requisite actions to be taken on a Protected Disclosure being received by the Bank.

Complete protection is given to the Whistleblower against retaliation or retribution consequent upon his / her having reported a Protected Disclosure. In the event the Whistleblower experiences any such incidents, the Whistleblower should immediately report the same as specified in the policy. The Bank will take steps to minimize difficulties that a Whistleblower may face in the submission of a Protected Disclosure. If the offences are committed by senior management, the policy enables the Banks staff to request concerns to the ACB.

The Bank’s policy meets the requirements with all the applicable rules and regulations, including (a) Act, (b) SEBI Listing Regulations, (c) the RBI scheme on ‘Protected Disclosures Scheme for Private Sector and Foreign Banks’, and RBI Master Directions on Fraud Risk Management in Commercial Banks (including Regional Rural Banks) and All India Financial Institutions.

To ensure smooth flow and management of complaints under the policy, a web-based application - ‘<https://whistleblower.axis.bank.in>’ is available for filing protected disclosures, including anonymous whistleblower complaints containing specific and verifiable information, without fear of revelation of identity. The policy contains provisions for protecting whistleblowers from any unfair action prejudicial to their interest.

The Bank has not denied access to any of its employees to the Chairman of the ACB. The policy contains adequate provisions for protecting whistleblowers from unfair termination and other unfair prejudicial and employment practices.

A quarterly report on the findings under the said policy is submitted to the ACB for information.

Total whistleblower complaints received by the Bank in fiscal 2026: 607.

No. of whistleblower complaints pending resolution as on 31 March, 2026: 172.

The details of the abridged version of the policy are available on the Bank’s website at <https://www.axis.bank.in/code-of-commitment>.

### XIII. Subsidiary Companies

As on 31 March, 2026, the Bank does not have any unlisted Indian subsidiary company, which could be deemed to be a material subsidiary, in terms of Regulation 16(1)(c) read with Regulation 24(1) of the SEBI Listing Regulations. All matters relating to subsidiary governance is overseen by the Board and Board Committees and operationalized under the aegis of Subsidiary Governance Committee (“**SGC**”) of the Bank. The SGC meets at least once every quarter and further as and when required.

The minutes of the meetings of the Board of all unlisted subsidiary companies of the Bank are tabled at the meetings of the Board of the Bank. The minutes of the meetings of the ACB of unlisted subsidiary companies of the Bank are tabled at the meetings of the ACB of the Bank. A snapshot of the customer complaints which are received by subsidiary companies of the Bank along with the remedial measures are placed before the CSC of the Bank.

ACB reviews the investments made by subsidiaries. Further, it also evaluates the statement of all significant transactions and arrangements entered by subsidiary companies and the compliances of each materially significant subsidiary on a periodic basis.

The RBI has identified Axis Group as a Financial Conglomerate (“**FC**”) under the Inter Regulatory Forum (“**IRF**”) mechanism which necessitates continuous oversight on subsidiary companies. The oversight on Bank’s subsidiaries is an essential element for the implementation of well aligned corporate governance principles across group entities. It assists in integration of “One Axis” theme of the Bank, by sharing uniform practices across the Group and building up synergy in common practices thereby creating value and investor confidence.

The Bank has put in place a comprehensive subsidiary engagement framework encompassing functional alignment in multiple areas viz. Risk, Compliance, Audit, Finance, Corporate Secretarial, Human Resources, Information Technology and Legal as well as more integrative domains viz. Cyber Security, Brand Usage and Marketing, Corporate Communication and Ethics with the end objective of delivering ‘One Axis’ across the Group.

#### XIV. Policy for Determining Material Subsidiaries

As required under Regulation 16(1)(c) of the SEBI Listing Regulations, the Bank has formulated and adopted a policy for determining material subsidiaries (the “**policy**”). During the year, the policy was reviewed by the RMC and the Board, in line with extant laws. The same policy has been hosted on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

#### XV. Directors and Officers Insurance

The Bank has a Directors and Officers Insurance policy in place which protects the Directors and Officers of the Bank from any claims for any actual or alleged breach of their fiduciary duties.

#### XVI. Insider Trading

The Bank has a securities dealing code and the code of practices and procedures for fair disclosure of unpublished price sensitive information (“**UPSI**”) of the Bank, in line with the SEBI (Prohibition of Insider Trading) Regulations, 2015 (the “**Insider Trading Regulations**”), as amended from time to time.

The securities dealing code of the Bank comprises of Chapter A which is applicable to ‘designated persons’ and their immediate relatives for trading in securities of the Bank and Chapter B which is applicable to ‘persons designated for restricted list’ and their immediate relatives for trading in securities of Listed Client Companies (“**LCC**”) and units of schemes of Client Mutual Fund (“**CMF**”).

The Bank in the ordinary course of its business, is likely to be entrusted with UPSI by LCC & CMF, hence it is expected to discharge its fiduciary obligations by maintaining confidentiality of such UPSI, in the interest of such LCC & CMF, and in compliance with the Insider Trading Regulations. The Compliance Officer has taken necessary steps to restrict the persons designated under restricted list from trading in securities of such LCCs and units of schemes of CMFs.

The Bank has adequate and effective systems, internal controls and processes, to ensure compliance with the provisions of the securities dealing code, the code of practices and procedures for fair disclosure of UPSI and the Insider Trading Regulations. The Bank conducts awareness programmes and circulates Do’s and Dont’s, for the designated persons, from time to time. During fiscal 2026, the Board also reviewed and approved amendments to the said codes, in line with the extant laws.

The Compliance Officer of the Bank provides violation reports to the ACB on a quarterly basis. On an annual basis, ACB reviews the compliance with the provisions of Insider Trading Regulations and verifies that the systems for internal control are adequate and are operating effectively.

The Bank has also formulated and adopted the policy for determination of materiality of events / information (the “**policy**”), in terms of Regulation 30 of the SEBI Listing Regulations. During fiscal 2026, the Board reviewed and approved the amendments to the policy, in line with the extant laws.

The policy for determination of materiality of events / information and the code of practices and procedures for fair disclosure of UPSI of the Bank have been uploaded on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance> in compliance with the said Regulations.

## XVII. Compliance Certificate

Pursuant to Regulation 17(3) of the SEBI Listing Regulations, a quarterly confirmation on laws applicable to the Bank is obtained from the relevant heads of departments by the compliance department. A report duly signed by the Chief Compliance Officer of the Bank confirming compliances with applicable laws, is placed before the ACB and the Board on a quarterly basis.

## XVIII. CEO & CFO Certification

A certificate issued by Amitabh Chaudhry, Managing Director & CEO, and Puneet Sharma, Chief Financial Officer of the Bank, for fiscal 2026, was placed before the Board at its meeting held on 25 April, 2026, in terms of Regulation 17(8) of the SEBI Listing Regulations. The said certificate is attached as **Annexure 1** to this report.

## XIX. Directors E-KYC

The Ministry of Corporate Affairs (the “MCA”) vide amendment to the Companies (Appointment and Qualification of Directors) Rules, 2014, mandated registration of KYC of all the Directors through e-form DIR-3 KYC Web. All Directors of the Bank have complied with the aforesaid requirement.

## XX. Other Disclosures

### Related Party Transactions

All related party transactions (“RPTs”) and subsequent modifications, if any, thereto are placed before the ACB for review and approval. Prior omnibus approval is obtained for RPTs for transactions which are of repetitive nature and entered in the ordinary course of business and are at arm’s length. RPTs executed pursuant to requisite approvals, are reviewed on a quarterly basis.

During fiscal 2026, the Bank has not entered into any materially significant transactions with its related parties which could lead to potential conflict of interest between the Bank and these parties, other than transactions entered into with them in the ordinary course of its business.

The policy on related party transactions is available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

### Particulars of Senior Management

As of 31 March, 2026, the Bank had following senior management personnel as defined under Regulation 16(1)(d) of the SEBI Listing Regulations:

| Name              | Designation                                              |
|-------------------|----------------------------------------------------------|
| Anand Viswanathan | Group Chief Risk Officer                                 |
| Anoop Manohar     | Marketing and Corporate Communications                   |
| Anuranjan Kumar   | Group Chief Compliance Officer                           |
| Arnika Dixit      | Affluent Business, Cards and Payments                    |
| Bipin Saraf       | Bharat Banking                                           |
| Kedar Joshi       | Group Chief Audit Executive                              |
| Prashant Joshi    | Chief Credit Officer                                     |
| Puneet Sharma     | Chief Financial Officer                                  |
| Rajkamal Vempati  | Human Resources                                          |
| Sameer Shetty     | Digital Business and Transformation & Strategic Programs |
| Sandeep Poddar    | Company Secretary and Compliance Officer                 |
| Vijay Mulbagal    | Wholesale Banking Coverage & Sustainability              |



## Changes in Senior Management

During fiscal 2026, following were the changes in the senior management personnel of the Bank:

| Sr. No. | Name of Employee    | Designation                                               | Date of change                 | Type of change |
|---------|---------------------|-----------------------------------------------------------|--------------------------------|----------------|
| 1.      | Sameer Shetty       | Digital Business and Transformation & Strategic Programs  | 1 April, 2025                  | Appointment    |
| 2.      | Bipin Saraf         | Bharat Banking                                            | 1 April, 2025                  | Appointment    |
| 3.      | Bimal Bhattacharyya | Interim Chief Audit Executive                             | 23 June, 2025                  | Cessation      |
| 4.      | Kedar Joshi         | Group Chief Audit Executive                               | 23 June, 2025                  | Appointment    |
| 5.      | Anoop Manohar       | Marketing and Corporate Communications                    | 4 August, 2025                 | Appointment    |
| 6.      | Arjun Chowdhry      | Affluent Banking, Retail Lending, NRI, Cards and Payments | 31 August, 2025 <sup>#</sup>   | Cessation      |
| 7.      | Arnika Dixit        | Affluent Business, Cards and Payments                     | 1 September, 2025              | Appointment    |
| 8.      | Neeraj Gambhir      | Treasury & Markets and Wholesale Banking Products         | 19 October, 2025 <sup>*</sup>  | Cessation      |
| 9.      | Amit Talgeri        | Chief Risk Officer                                        | 31 December, 2025 <sup>#</sup> | Cessation      |
| 10.     | Anand Viswanathan   | Group Chief Risk Officer                                  | 1 January, 2026                | Appointment    |

\* Neeraj Gambhir has been appointed as an Executive Director of the Bank for a period of three years w.e.f. 20 October, 2025 up to 19 October, 2028 (both days inclusive) and consequently ceased to be a senior management personnel of the Bank w.e.f. close of the business hours of 19 October, 2025.

<sup>#</sup> Ceased w.e.f. the close of business hours of the respective dates as mentioned.

## Transactions of Senior Management

The members of the senior management of the Bank have affirmed that they have not entered into any material, financial or commercial transaction wherein they have personal interest and which may potentially conflict with the interest of the Bank at large.

## Instances of Non-Compliance

There were no instances of non-compliance by the Bank or penalties and strictures imposed by the stock exchange(s) or SEBI or other statutory authorities on any matter related to capital markets during the last three years, except the following:

- (i) SEBI had carried out inspection of the Designated Depository Participant (“DDP”) activities of the Bank for fiscal 2021. During the inspection, SEBI observed that the designated Compliance Officer was undertaking operational activity by acting as a checker, there was no employee other than the Compliance Officer for carrying out DDP operations from April 2021 to June 2021. SEBI also observed that there were discrepancy in the report of DDP and NSDL, operational manual was not updated, KYC review was not done for two clients and fees were collected from FPI prior to receipt of application. In view of the above, SEBI issued an administrative warning on 9 March, 2023, which was received by the Bank on 21 April, 2023. The Bank has taken corrective actions and submitted its response to SEBI on 27 April, 2023.
- (ii) SEBI carried out inspection of the Custodian activities of the Bank for fiscal 2022 and issued administrative warning on 28 August, 2023 based on the observations made during the inspection. The Bank has taken necessary actions and submitted its response to SEBI on 12 September, 2023.
- (iii) SEBI has issued letter dated 4 February, 2025 to the Bank as a DDP on advisory on timely submission of reports through SEBI Intermediary Portal. There were two instances of delay in filing of report on SEBI SI portal as mentioned in SEBI advisory letter. In both the instances initial report filing was done by CCMO / DDP Team within the SEBI specified deadline on SEBI SI Portal. In one instance, after consultation with SEBI on approach / criteria the report was revised and in coordination with SEBI and after re-opening of SI Portal by SEBI, the report was refiled on SEBI portal (post due date). In another instance, based on internal audit department observation, the report was revised and refiled on SEBI SI portal (post due date) after requesting and re-opening of SI Portal by SEBI. While re-opening the SI Portal by SEBI in December 2024, no objections were raised by SEBI, however, subsequently SEBI has sent a letter dated 4 February, 2025 advising Bank not to repeat instance of filing of periodic reports with a delay for the month of January 2025 and onwards. An additional check by way of the concurrent audit (external auditor) has been put in place who will independently validate the report prior to filing of report on SEBI SI Portal.

- (iv) SEBI had carried out inspection of the Depository Participant (“DP”) activities of the Bank in July 2024 and issued deficiency letter on 31 December, 2024 (the letter was recalled by SEBI and revised letter was received on 20 February, 2025 with same date of 31 December, 2024) based on the observations made during the inspection. The Bank has taken necessary actions and submitted its response to SEBI on 18 March, 2025.
- (v) SEBI carried out inspection of the Custodian activities of the Bank for fiscal 2025 in February 2026 and issued advisory letter on 27 March, 2026. The advisory is related to two instances wherein SEBI has observed lack of detailed documentation in the Custody operations manual. The Bank has taken necessary actions and submitted its response to SEBI on 24 April, 2026.

### **Certificate on non-disqualification of Directors**

M/s. Bhandari & Associates, Company Secretaries, Secretarial Auditors has certified that none of the Directors of the Bank have been debarred or disqualified from being appointed or continuing as a director of the Bank by SEBI / MCA or any other statutory / regulatory authority. The said certificate is annexed to the Board’s report.

### **Compliance with governance norms**

The Bank is in compliance with Regulations 17 to 27 and clauses (b) to (i) of Regulation 46(2) and paragraphs C, D and E of Schedule V of the SEBI Listing Regulations. Further, the Bank has also complied with all the mandatory requirements, as prescribed under the SEBI Listing Regulations relating to corporate governance.

Except for sending half-yearly financial results to the shareholders, the Bank has adopted all the other non-mandatory requirements mentioned in Part E of the Schedule II of the SEBI Listing Regulations, detailed as under:

- (i) Maintenance of Chairperson’s office at the Bank’s expense and reimbursement of expenses incurred by the Non-Executive Chairperson in performance of his duties.
- (ii) Separate post of Chairperson and Managing Director & CEO.
- (iii) Regime of financial statements with unmodified audit opinion.
- (iv) Chief Audit Executive directly reporting to the ACB.
- (vi) Holding at least two meetings of Independent Directors in a financial year, without the presence of Non-Independent Directors and members of the management.

The Bank has obtained a certificate from its Joint Statutory Auditors, M M Nissim & Co. LLP (Registration No. 107122W / W100672), Chartered Accountants, Mumbai, confirming that the Bank has complied with the provisions of Corporate Governance for fiscal 2026, as stipulated in Regulations 17 to 27 and clauses (b) to (i) of Regulation 46(2) and paragraphs C, D and E of Schedule V of the SEBI Listing Regulations. The said certificate is annexed at the start of this report.

The Bank has not been informed of any agreement under Regulation 30A(1) read with clause 5A of paragraph A of Part A of Schedule III of the SEBI Listing Regulations during fiscal 2026. Accordingly, there is no requirement for disclosing the same.

### **Codes of Conduct**

The Board has formulated and adopted the code of conduct and conflict of interest norms for the Board of Directors, and the code of conduct and ethics of the Bank, in terms of Regulation 17(5) of the SEBI Listing Regulations relating to corporate governance together referred to as the codes.

The code of conduct and ethics of the Bank reflects the Bank's commitment to integrity and the highest standards of ethical practices. It defines the standards of conduct that is expected of all employees in order that the right decisions are taken in performing their roles and responsibilities across various functions in the Bank.

The code of conduct and ethics of the Bank is intended to be the charter for day-to-day work, to enable employees to make the right decisions and, therefore, serves to (1) underline the fundamental commitment to compliance with regulatory guidelines and laws of the land, and (2) set forth basic parameters of ethical and acceptable social behavior.

The Bank's core values have been articulated as: customer centricity, ethics, transparency, teamwork and ownership and these define the manner in which we deal with our stakeholders.

Every employee annually affirms to abide by the code of conduct and ethics of the Bank. Further, the aforesaid codes require employees, including the senior management of the Bank, to maintain highest levels of professional and personal integrity to avoid situations in which an individual's personal interest may conflict with either the interest of the Bank or that of its stakeholders. Prior approvals are required to be sought before accepting any position of responsibility, with or without remuneration, in any other organisation.

The said codes have been hosted on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/corporate-governance> in compliance with the SEBI Listing Regulations.

The certificate issued by the Managing Director & CEO of the Bank confirming that all the Directors and members of the senior management of the Bank have affirmed compliance with the said codes as applicable to them is attached as **Annexure 2** to this report.

### Compliance

The Bank has a 'Governance Compliance Manager' ("**GCM**") system in place to track and monitor the implementation of Regulations applicable to the Bank.

The changes in regulatory guidelines or new regulatory guidelines are tracked and updated in GCM system. These are then disseminated along with action points to the respective units / departments for implementation.

The compliance department conducts independent assessment of status of compliance as well as compliance risk for all the units across the Bank & reports to the ACB as well as to the Board, at regular intervals.

### Sustainability

The Bank continues to embed material ESG considerations into its long-term value-creation strategy for stakeholders. As the first Indian bank to constitute an ESG Committee of the Board in 2021, the Bank has been able to integrate diverse ESG-related initiatives under a cohesive governance framework. Its purpose - banking for an equitable and inclusive economy, thriving communities, and a healthier planet - guides its approach as a responsible financial institution. Under the oversight of the ESG Committee, the Bank is strengthening its business practices in line with the global climate agenda and the Sustainable Development Goals. Key policies, including the ESG Policy for Lending and the Sustainable Financing Framework, provide structured oversight for sustainable financing and risk management. The Bank continues to report its ESG performance in alignment with leading international frameworks such as the Global Reporting Initiative ("**GRI**") Standards, the Integrated Reporting ("**IR**") Framework, and the Taskforce on Climate-related Financial disclosures ("**TCFD**") recommendations. During fiscal 2026, the Bank reviewed its electric vehicle ("**EV**") lending portfolio in line with the guidance of the ESG Committee and revised its commitment targets for the two-wheeler and four-wheeler. The revised targets were determined following a comprehensive assessment of the Bank's EV lending performance and in consideration of the Government's continued policy impetus for the sector.

### **Vendor Processes and Supplier Code of Conduct**

The Bank follows a vendor onboarding policy outlining the vendor identification and selection processes. A vendor onboarding platform is integrated on the website of the Bank that provides them with a fair opportunity to apply to the Bank with their respective proposals. Post receipt of such application of interest, the vendors are evaluated for selection based on the principles and processes formulated.

The Bank has also formulated a Supplier Code of Conduct (the “**Code**”) which aims to articulate the minimum standards of conduct and ethical principles that the Bank expects all its suppliers to imbibe and comply with.

The Code provides for reporting of concerns by suppliers. The Bank has also developed an online mechanism for reporting of concerns by its suppliers. With this practice, the Bank lays the foundation for building and retaining business relationships based on ethical values to realize sustainable economic, social and environmental benefits.

**For and on behalf of the Board of Directors**

**N. S. Vishwanathan**

Independent Director and Part-time Chairman  
(DIN: 09568559)

Place: Mumbai

Date: 25 April, 2026

## Annexure 1

**CEO / CFO CERTIFICATION AS PER REGULATION 17(8) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015**

The Board of Directors  
Axis Bank Limited

In terms of Regulation 17(8) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we certify that:

- a) We have reviewed the audited financial statements and the cash flow statement for the year ended 31 March, 2026 and that to the best of our knowledge and belief:
  - (i) These financial statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
  - (ii) These financial statements together present a true and fair view of the Bank's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
- b) There are, to the best of our knowledge and belief, no transactions entered into by the Bank during the year that are fraudulent, illegal or violative of the Bank's code of conduct.
- c) We accept responsibility for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Bank pertaining to financial reporting and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.
- d) We have indicated to the auditors and the Audit Committee:
  - (i) significant changes in internal control over financial reporting during the year;
  - (ii) significant changes in accounting policies during the year and that the same have been disclosed in the notes to the audited financial statements; and
  - (iii) instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the Bank's internal control system over financial reporting.

**Amitabh Chaudhry**  
Managing Director & CEO

**Puneet Sharma**  
Chief Financial Officer

Place: Mumbai  
Date: 25 April, 2026



**Annexure 2**

**COMPLIANCE WITH THE CODE OF CONDUCT AND CONFLICT OF INTEREST NORMS IN RESPECT  
OF BOARD OF DIRECTORS AND THE CODE OF CONDUCT AND ETHICS OF THE BANK, FOR THE  
FISCAL 2026**

I confirm that for the year under review, all the Directors and members of the senior management of the Bank, have affirmed compliance with the said codes, as applicable to them.

**Amitabh Chaudhry**  
Managing Director & CEO

Place: Mumbai  
Date: 25 April, 2026

## General Shareholder Information

[Pursuant to Regulation 34(3) and Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the “SEBI Listing Regulations”)]

### Contact Information

| Registered Office                                                                                                                                                                                                                                                                                                                                                           | Corporate Office                                                                                                                                                                                                                                                                                                                                         | Registrar to an Issue & Share Transfer Agent                                                                                                                                                                                                                                                                                                                                                                                             |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Axis Bank Limited</b><br>[CIN: L65110GJ1993PLC020769]<br>'Trishul', 3 <sup>rd</sup> Floor, Opp. Samartheshwar Temple,<br>Law Garden, Ellisbridge,<br>Ahmedabad – 380 006,<br>Gujarat<br>Tel. no.: +91 79 6630 6161<br>Email: <a href="mailto:shareholders@axis.bank.in">shareholders@axis.bank.in</a><br>Website: <a href="http://www.axis.bank.in">www.axis.bank.in</a> | <b>Axis Bank Limited</b><br>'Axis House',<br>Pandurang Budhkar Marg, Worli,<br>Mumbai – 400 025,<br>Maharashtra<br>Tel. no.: +91 22 2425 2525<br>Fax no.: +91 22 2425 1800<br>Email: <a href="mailto:shareholders@axis.bank.in">shareholders@axis.bank.in</a><br>Website: <a href="http://www.axis.bank.in">www.axis.bank.in</a>                         | <b>Kfin Technologies Limited (“KFIN”)</b><br>Unit: Axis Bank Limited<br>Selenium Building, Tower – B,<br>Plot nos. 31 & 32,<br>Financial District, Nanakramguda,<br>Serilingampally, Hyderabad – 500 032,<br>Telangana<br>Tel. no.: +91 40 7961 5565<br>Toll free no.: 1800 3094 001<br>Email: <a href="mailto:einward.ris@kfintech.com">einward.ris@kfintech.com</a><br>Website: <a href="http://www.kfintech.com">www.kfintech.com</a> |
| Debenture Trustees                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                          | Depository for Global Depository Receipts                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>IDBI Trusteeship Services Limited</b><br>Universal Insurance Building, Ground Floor,<br>Sir P. M. Road, Fort,<br>Mumbai – 400 001,<br>Maharashtra<br>Tel. no.: +91 22 4080 7000<br>Email: <a href="mailto:itsl@idbitrustee.com">itsl@idbitrustee.com</a><br>Website: <a href="http://www.idbitrustee.com">www.idbitrustee.com</a>                                        | <b>SBICAP Trustee Company Limited</b><br>Mistry Bhavan, 4 <sup>th</sup> Floor,<br>122 Dinshaw Vachha Road,<br>Churchgate, Mumbai – 400 020,<br>Maharashtra<br>Tel. no.: +91 22 4302 5555<br>Email: <a href="mailto:enquiry@sbicaptrustee.com">enquiry@sbicaptrustee.com</a><br>Website: <a href="http://www.sbicaptrustee.com">www.sbicaptrustee.com</a> | <b>The Bank of New York Mellon (“BNYM”)</b><br>240 Greenwich Street<br>New York - 10286,<br>United States<br>Tel. no.: +1 212 495 1784<br>Website: <a href="http://www.adrbnymellon.com">www.adrbnymellon.com</a>                                                                                                                                                                                                                        |

| 32 <sup>nd</sup> Annual General Meeting (“32 <sup>nd</sup> AGM”) |                                                                             | Dividend                     |                                                                                                        |
|------------------------------------------------------------------|-----------------------------------------------------------------------------|------------------------------|--------------------------------------------------------------------------------------------------------|
| <b>Day / Date / Time</b>                                         | Friday, 31 July, 2026, 10:00 a.m.                                           | <b>Dividend Amount</b>       | ₹1 per share                                                                                           |
| <b>Mode</b>                                                      | Video Conferencing                                                          | <b>Record Date</b>           | Friday, 10 July, 2026                                                                                  |
| <b>E-voting Dates</b>                                            | Monday, 27 July, 2026 (9:00 a.m.) to<br>Thursday, 30 July, 2026 (5:00 p.m.) | <b>Dividend Payment Date</b> | The dividend, if approved, will be paid<br>within 30 days from the date of the<br>32 <sup>nd</sup> AGM |
| <b>Financial Year</b>                                            | 1 April to 31 March                                                         |                              |                                                                                                        |

### Meeting Calendar

| Purpose                                                                                                                       | Tentative Date              |
|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| Unaudited financial results (standalone and consolidated) of the Bank, for the quarter ending 30 June, 2026                   | Third week of July, 2026    |
| Unaudited financial results (standalone and consolidated) of the Bank, for the quarter / half year ending 30 September, 2026  | Third week of October, 2026 |
| Unaudited financial results (standalone and consolidated) of the Bank, for the quarter / nine months ending 31 December, 2026 | Third week of January, 2027 |
| Audited financial results (standalone and consolidated) of the Bank, for the financial year ending 31 March, 2027             | Last week of April, 2027    |

## Listing on Stock Exchanges

### Equity Shares

| Details of Stock Exchange                                                                                                                                                                                                          | ISIN         | Stock Exchange Codes | Reuters Codes | Bloomberg Codes |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|----------------------|---------------|-----------------|
| <b>BSE Limited</b><br>Phiroze Jeejeebhoy Towers,<br>Dalal Street, Mumbai - 400 001, Maharashtra<br>Website: <a href="http://www.bseindia.com">www.bseindia.com</a>                                                                 | INE238A01034 | 532215               | BSE - AXBK.BO | BSE - AXSB IN   |
| <b>National Stock Exchange of India Limited</b><br>Exchange Plaza, Plot no. C/1, G Block,<br>Bandra-Kurla Complex, Bandra (E),<br>Mumbai - 400 051, Maharashtra<br>Website: <a href="http://www.nseindia.com">www.nseindia.com</a> | INE238A01034 | AXISBANK             | NSE - AXBK.NS | NSE - AXSB IS   |

The equity shares of the Bank have not been suspended from trading on the said stock exchanges or by any regulatory or statutory authority.

### Global Depository Receipts ("GDR") / American Depository Receipts ("ADR")

| Details of Stock Exchange                                                                                                                                                              | Stock Exchange Code | ISIN         |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|--------------|
| <b>London Stock Exchange</b><br>10 Paternoster Square,<br>London, EC4M 7LS,<br>United Kingdom<br>Website: <a href="http://www.londonstockexchange.com">www.londonstockexchange.com</a> | AXB                 | US05462W1099 |

- One GDR is represented by five underlying equity shares.
- Allotments were made in April 2005, May 2005, July 2005 and September 2009. No GDR / ADR issuances in fiscal 2026.
- Outstanding as on 31 March, 2026: 99,353,105.

In terms of the second supplemental agreement dated 5 February, 2026 amending and restating the Deposit Agreement between the Bank and BNYM, GDR holders can vote on the GDRs held by them subject to compliance with Section 12B of the Banking Regulation Act, 1949. In this regard, BNYM will issue a notice to the GDR holders specifying the record date, timelines, instructions relating to voting, etc.

Post review of voting instruction by the Bank, BNYM shall vote on the basis of the voting instructions received by them from the GDR holders in such manner as prescribed in the aforesaid agreement.

### Debt Securities

| Description                                                                      | Details of Stock Exchange                                                                                                                                                                                                          | Stock Exchange Code |          | ISIN         |
|----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|----------|--------------|
|                                                                                  |                                                                                                                                                                                                                                    | BSE Code            | NSE Code |              |
| Non-Convertible Debt Instruments in the form of Tier II and Infrastructure Bonds | <b>BSE Limited</b><br>Phiroze Jeejeebhoy Towers,<br>Dalal Street,<br>Mumbai - 400 001, Maharashtra<br>Website: <a href="http://www.bseindia.com">www.bseindia.com</a>                                                              | 959227              | AXBK27   | INE238A08468 |
|                                                                                  |                                                                                                                                                                                                                                    | 954048              | AXBK26   | INE238A08393 |
|                                                                                  |                                                                                                                                                                                                                                    | 956607              | AXBK27   | INE238A08435 |
|                                                                                  |                                                                                                                                                                                                                                    | 955282              | AXBK26   | INE238A08419 |
|                                                                                  |                                                                                                                                                                                                                                    | 974420              | AXBK32   | INE238A08484 |
|                                                                                  | <b>National Stock Exchange of India Limited</b><br>Exchange Plaza, Plot no. C/1, G Block,<br>Bandra-Kurla Complex, Bandra (E),<br>Mumbai - 400 051, Maharashtra<br>Website: <a href="http://www.nseindia.com">www.nseindia.com</a> | 973667              | AXBK31   | INE238A08476 |
|                                                                                  |                                                                                                                                                                                                                                    | 958469              | AXBK28   | INE238A08450 |
|                                                                                  |                                                                                                                                                                                                                                    | 975476              | AXBK34   | INE238A08492 |
|                                                                                  |                                                                                                                                                                                                                                    | 975988              | AXBK34   | INE238A08500 |
|                                                                                  |                                                                                                                                                                                                                                    | 977320              | AXBK35   | INE238A08518 |

| Description | Details of Stock Exchange                                                                                                                                                                                                                                                                                                  | Stock Exchange Code |
|-------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| MTN Bonds   | <b>London Stock Exchange</b><br>10 Paternoster Square,<br>London, EC4M 7LS, United Kingdom<br>Website: <a href="http://www.londonstockexchange.com">www.londonstockexchange.com</a>                                                                                                                                        | AXB                 |
|             | <b>Singapore Stock Exchange</b><br>Singapore Exchange Securities Trading Limited<br>(SGXNet Services Operations)<br>2 Shenton Way, #02-02, SGX Centre 1,<br>Singapore - 068804<br>Website: <a href="http://www.sgx.com">www.sgx.com</a>                                                                                    | -                   |
|             | <b>India International Exchange (IFSC) Limited</b><br>1 <sup>st</sup> Floor, Unit no. 101, The Signature,<br>Building no. 13B, Road 1C, Zone 1, GIFT SEZ,<br>GIFT City Gandhinagar, Gujarat - 382 050<br>Website: <a href="http://www.indiainx.com">www.indiainx.com</a>                                                   | -                   |
|             | <b>NSE IFSC Limited</b><br>Unit no. 1201, Brigade International Financial Centre,<br>12 <sup>th</sup> Floor, Block -14, Road 1 C, Zone 1,<br>GIFT SEZ, Gandhinagar, Gujarat - 382 355<br>Website: <a href="http://www.nseindia.com/nse-international-exchange/about">www.nseindia.com/nse-international-exchange/about</a> | -                   |

### Convertible Warrants

As on 31 March, 2026, the Bank has no outstanding warrants pending for conversion.

### Listing Fee

The Bank has paid annual listing fees for fiscal 2026 to the stock exchanges.

### Depositories

The National Securities Depository Limited (the “**NSDL**”) and the Central Depository Services (India) Limited (the “**CDSL**”) are the depositories for the equity shares of the Bank. The Bank has paid annual custodian fees for fiscal 2026 to the depositories.

### Payment of Dividend

In terms of Regulation 12 and Schedule I of the SEBI Listing Regulations, every listed entity is required to mandatorily make all payments to members, including dividend, by using any Reserve Bank of India (“**RBI**”) approved electronic mode of payment viz., direct credit, real time gross settlement (“**RTGS**”), national electronic fund transfer (“**NEFT**”), electronic clearing service (“**ECS**”), etc. The Bank would be entitled to use the bank account details of the members available with the depository participants / KFIN to facilitate payment through electronic mode.

All members of the Bank holding equity shares in electronic form are requested to provide details relating to their bank account number, including nine-digit MICR code and 11-digit IFSC code, email address and mobile numbers to their depository participants.

All members of the Bank holding equity shares in physical form are requested to provide details relating to their bank account number, including nine-digit MICR code and 11-digit IFSC code, email address and mobile numbers to KFIN at Selenium Building, Tower - B, Plot nos. 31 & 32, Financial District, Nanakramguda, Serilingampally, Hyderabad - 500 032, Telangana, by quoting their folio number in form ISR-1 and attaching copy of the bank statement duly attested by the bank manager or original cancelled cheque leaf of the said bank account and a self-attested copy of their PAN card.

The Securities and Exchange Board of India (the “**SEBI**”) vide its master circular dated 6 February, 2026 has mandated that holders of physical securities, whose folio(s) are not updated with any of the KYC details viz. PAN, contact details (Postal Address with PIN and Mobile Number), bank account details and specimen signature, shall be eligible for any payment including dividend, interest or redemption in respect of such folios, only through electronic mode. Accordingly, dividend payable to members holding shares in physical mode, whose KYC details are not updated shall be withheld by the Bank. Members are therefore advised to update their KYC details on priority, if not done already.

### Unclaimed Dividend

Pursuant to the provisions of Section 125 read with 124(5) of the Companies Act, 2013 (the “**Act**”) and the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 (the “**IEPF Rules**”), the Bank is required to transfer the amount of dividend lying unclaimed for a period of seven consecutive financial years from the date of its transfer to the unpaid dividend account to the Investor Education and Protection Fund (the “**IEPF**”).

The details of the unclaimed dividend as on 31 March, 2026 and the last date for claiming the same prior to its transfer to the IEPF are as under:

| Financial Year | Unclaimed dividend as on<br>31 March, 2026<br>(in ₹) | Percentage to total<br>dividend declared | Date of declaration of<br>dividend | Last date for claiming dividend<br>prior to its transfer to the IEPF |
|----------------|------------------------------------------------------|------------------------------------------|------------------------------------|----------------------------------------------------------------------|
| 2018-19        | 1,549,863                                            | 0.06                                     | 20 July, 2019                      | 25 August, 2026                                                      |
| 2019-20        |                                                      | No dividend declared                     |                                    |                                                                      |
| 2020-21        |                                                      | No dividend declared                     |                                    |                                                                      |
| 2021-22        | 1,792,471                                            | 0.06                                     | 29 July, 2022                      | 4 September, 2029                                                    |
| 2022-23        | 1,959,052                                            | 0.06                                     | 28 July, 2023                      | 3 September, 2030                                                    |
| 2023-24        | 2,637,820                                            | 0.09                                     | 26 July, 2024                      | 1 September, 2031                                                    |
| 2024-25        | 2,576,315                                            | 0.08                                     | 25 July, 2025                      | 31 August, 2032                                                      |
| <b>Total</b>   | <b>10,515,521</b>                                    |                                          |                                    |                                                                      |

Members of the Bank are requested to verify details of their unclaimed dividends in respect of fiscal 2019, fiscal 2022, fiscal 2023, fiscal 2024 and fiscal 2025 and lodge their claim with KFIN, prior to the date of its transfer to the IEPF. Members may write to KFIN at [inward.ris@kfintech.com](mailto:inward.ris@kfintech.com) for any assistance, in this regard.

In its endeavour to reduce the quantum of unclaimed dividend, the Bank has sent reminder in the month of June 2025 to all the members whose dividend was lying in the unclaimed dividend account. These reminders were also supported with requisite forms and papers to simplify the claim process and to facilitate a seamless transfer.

Further, in fiscal 2026, the Bank reached out to few contactable shareholders whose dividend was unclaimed with the assistance of skip tracing unit of the Bank, providing guidance to them on the dividend claim process.

### Transfer of underlying equity shares to the IEPF

Pursuant to the provisions of Sections 124 and 125 of the Act and the relevant provisions of the IEPF Rules, the equity shares of the Bank on which dividend has not been claimed for seven consecutive years are liable to be transferred by the Bank to the IEPF.

The Bank has till 31 March, 2026, transferred 1,402,191 underlying equity shares to the IEPF.

As on 31 March, 2026 there are 3,21,420 shares on which dividend (declared in FY 2018-19) has remained unpaid / unclaimed for a period of seven consecutive years. These shares shall be due for transfer to the IEPF in September 2026.

### Guidelines to claim dividends / shares transferred to IEPF

The detailed guidelines for claiming dividends / shares which have been transferred to the IEPF in accordance with the IEPF Rules are mentioned in the investor's FAQs available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/investor-faqs>.



## Dematerialisation of Shares

The equity shares of the Bank are traded on BSE Limited and National Stock Exchange of India Limited.

|              | No. of Folios  | No. of Shares        | % to Total (Shares) |
|--------------|----------------|----------------------|---------------------|
| Physical     | 2,767          | 2,391,064            | 0.08                |
| Demat        | 886,974        | 3,105,781,574        | 99.92               |
| <b>Total</b> | <b>889,741</b> | <b>3,108,172,638</b> | <b>100</b>          |

During the last three fiscal years, no equity shares of the Bank held in physical form were transferred.

During fiscal 2026, the Bank has undertaken initiatives to encourage its members holding shares in physical form to dematerialise their holdings. Letters were sent to such members in the month of June 2025 sensitising them on the benefits of dematerialisation.

## Unclaimed Suspense Account

New share certificates issued in fiscal 2015 consequent to the sub-division of shares of the Bank having face value of ₹10/- each into five fully paid-up shares of face value of ₹2/- each, which remained unclaimed in the custody of the RTA were transferred to Unclaimed Suspense Account of the Bank.

In terms of Regulation 39(4) read with Schedule VI of the SEBI Listing Regulations, the Bank had sent three reminders to the members whose physical share certificates remained unclaimed requesting them to claim their shares, before transferring the said shares to the Unclaimed Suspense Account. The Bank *vide* these letters also requested the members to update their KYC details with the RTA.

Details in accordance with Regulation 34(3) and Part F of Schedule V to the SEBI Listing Regulations are as follows:

| Particulars                                                                                                            | No. of Shareholders | No. of Shares |
|------------------------------------------------------------------------------------------------------------------------|---------------------|---------------|
| Aggregate number of shareholders and the outstanding shares in the suspense account lying at the beginning of the year | 139                 | 109,005       |
| Number of shareholders who approached the Bank for transfer of shares from suspense account during the year            | 6                   | 3,500         |
| Number of shareholders to whom shares were transferred from suspense account during the year**                         | 6                   | 3,500         |
| Aggregate number of shareholders and the outstanding shares in the suspense account lying at the end of the year       | 133                 | 105,505       |

\*\*During the year no shares were transferred to IEPF in accordance with the IEPF Rules.

Note: Voting rights on these shares were / will remain frozen till the rightful owner of such shares claims the shares.

## Distribution of Shareholding

The distribution of shareholding of the Bank as on 31 March, 2026, is detailed as under:

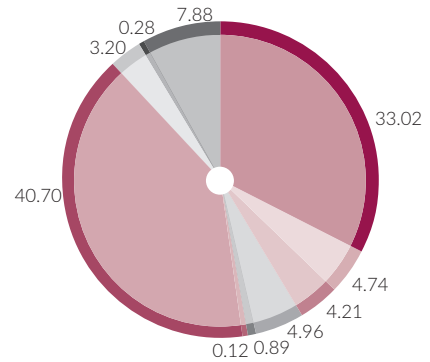
| Sr. No. | Category         | Electronic Form |                      |              | Physical Form  |                  |             | Total          |                      |             |
|---------|------------------|-----------------|----------------------|--------------|----------------|------------------|-------------|----------------|----------------------|-------------|
|         |                  | No. of Holders  | No. of Shares        | % to Equity  | No. of Holders | No. of Shares    | % to Equity | No. of Holders | No. of Shares        | % to Equity |
| 1.      | 1 - 5000         | 881,660         | 90,123,720           | 2.90         | 2,755          | 2,281,258        | 0.08        | 884,415        | 92,404,978           | 2.98        |
| 2.      | 5001 - 10000     | 1,806           | 13,000,666           | 0.42         | 9              | 68,200           | 0.00        | 1,815          | 13,068,866           | 0.42        |
| 3.      | 10001 - 20000    | 949             | 13,650,575           | 0.44         | 3              | 41,606           | 0.00        | 952            | 136,92,181           | 0.44        |
| 4.      | 20001 - 30000    | 325             | 8,009,922            | 0.26         | -              | -                | -           | 325            | 8,009,922            | 0.26        |
| 5.      | 30001 - 40000    | 222             | 7,745,399            | 0.25         | -              | -                | -           | 222            | 7,745,399            | 0.25        |
| 6.      | 40001 - 50000    | 162             | 7,297,445            | 0.23         | -              | -                | -           | 162            | 7,297,445            | 0.23        |
| 7.      | 50001 - 100000   | 404             | 29,281,534           | 0.94         | -              | -                | -           | 404            | 29,281,534           | 0.94        |
| 8.      | 100001 and above | 1,446           | 2,936,672,313        | 94.48        | -              | -                | -           | 1,446          | 2,936,672,313        | 94.48       |
|         | <b>Total</b>     | <b>886,974</b>  | <b>3,105,781,574</b> | <b>99.92</b> | <b>2,767</b>   | <b>2,391,064</b> | <b>0.08</b> | <b>889,741</b> | <b>3,108,172,638</b> | <b>100</b>  |

1. The number of shareholders is based on the number of folios.

## Shareholding Pattern

Category wise shareholding pattern of the Bank as on 31 March, 2026 is detailed as under:

| Legends                          | Category                                     | No. of Shares        | Percentage    |
|----------------------------------|----------------------------------------------|----------------------|---------------|
| <b>(A) Promoters</b>             |                                              |                      |               |
|                                  | Life Insurance Corporation of India          | 244,860,645          | 7.88          |
|                                  | <b>Total Promoter Holding (A)</b>            | <b>244,860,645</b>   | <b>7.88</b>   |
| <b>(B) Domestic Shareholders</b> |                                              |                      |               |
|                                  | Mutual Funds                                 | 1,026,415,304        | 33.02         |
|                                  | Insurance                                    | 147,464,056          | 4.74          |
|                                  | Banks / AIFs / NBFCs / Pension Funds         | 130,836,554          | 4.21          |
|                                  | Indian Residents                             | 154,035,061          | 4.96          |
|                                  | Body Corporates                              | 27,598,839           | 0.89          |
|                                  | Others                                       | 3,686,137            | 0.12          |
|                                  | <b>Total Domestic Holding (B)</b>            | <b>1,490,035,951</b> | <b>47.94</b>  |
| <b>(C) Foreign Shareholders</b>  |                                              |                      |               |
|                                  | FPIs / FIIs                                  | 1,265,185,571        | 40.70         |
|                                  | GDRs                                         | 99,353,105           | 3.20          |
|                                  | NRIs / Foreign Nationals / Foreign Companies | 8,737,366            | 0.28          |
|                                  | <b>Total Foreign Holding (C)</b>             | <b>1,373,276,042</b> | <b>44.18</b>  |
|                                  | <b>Total</b>                                 | <b>3,108,172,638</b> | <b>100.00</b> |



Shareholders holding more than 1% equity share capital of the Bank as on 31 March, 2026, are as under:

| Sr. No. | Name of the Shareholder                                       | No. of Shares | Percentage |
|---------|---------------------------------------------------------------|---------------|------------|
| 1.      | Life Insurance Corporation of India                           | 244,860,645   | 7.88       |
| 2.      | ICICI Prudential Mutual Fund through its various schemes      | 176,622,808   | 5.68       |
| 3.      | SBI Mutual Fund through its various schemes                   | 176,285,930   | 5.67       |
| 4.      | HDFC Mutual Fund through its various schemes                  | 152,846,955   | 4.92       |
| 5.      | The Bank of New York Mellon, DR (GDRs)                        | 99,353,105    | 3.20       |
| 6.      | Nippon Mutual Fund through its various schemes                | 98,896,844    | 3.18       |
| 7.      | NPS Trust through its various schemes                         | 86,771,599    | 2.79       |
| 8.      | Dodge and Cox International Stock Fund                        | 66,840,650    | 2.15       |
| 9.      | UTI Mutual Fund through its various schemes                   | 57,906,177    | 1.86       |
| 10.     | Government Pension Fund Global                                | 56,074,641    | 1.80       |
| 11.     | Kotak Mutual Fund through its various schemes                 | 53,234,077    | 1.71       |
| 12.     | Government of Singapore                                       | 52,746,672    | 1.70       |
| 13.     | Mirae Asset Mutual Fund through its various schemes           | 43,604,384    | 1.40       |
| 14.     | Aditya Birla Sun Life Mutual Fund through its various schemes | 40,620,055    | 1.31       |
| 15.     | DSP Mutual Fund through its various schemes                   | 37,682,258    | 1.21       |
| 16.     | Parag Parikh Mutual Fund through its various schemes          | 35,685,339    | 1.15       |
| 17.     | SBI Life Insurance Co. Ltd.                                   | 34,905,502    | 1.12       |
| 18.     | Vanguard Total International Stock Index Fund                 | 33,528,702    | 1.08       |
| 19.     | Franklin India through its various schemes                    | 31,936,743    | 1.03       |
| 20.     | Vanguard Emerging Markets Stock Index Fund                    | 31,728,886    | 1.02       |

- The above shareholding is on the basis of PAN.
- Sr. Nos. 2 to 11 represent the top 10 public shareholders of the Bank as on 31 March, 2026.

## Credit Ratings

The details of the credit ratings obtained by the Bank in respect of all debt instruments issued by it and outstanding as on 31 March, 2026 along with outlook are as under:

| Sr. No. | Type of Security        | ICRA           |               |         |                       | CARE Ratings   |               |         |               | CRISIL         |            |         |                       | India Ratings  |         |         |               |
|---------|-------------------------|----------------|---------------|---------|-----------------------|----------------|---------------|---------|---------------|----------------|------------|---------|-----------------------|----------------|---------|---------|---------------|
|         |                         | Date of Rating | Credit Rating | Outlook | Rating Action         | Date of Rating | Credit Rating | Outlook | Rating Action | Date of Rating | Credit     | Outlook | Rating Action         | Date of Rating | Credit  | Outlook | Rating Action |
| 1.      | Certificate of Deposits | 20-Jun-25      | ICRA A1+      | -       | Reaffirmed            | -              | -             | -       | -             | 14-July-25     | CRISIL A1+ | -       | Reaffirmed            | -              | -       | -       | -             |
| 2.      | Infrastructure bond     | 20-Jun-25      | ICRA AAA      | Stable  | Reaffirmed & Assigned | 22-Sep-25      | CARE AAA      | Stable  | Reaffirmed    | 14-July-25     | CRISIL AAA | Stable  | Reaffirmed & Assigned | 29-Sep-25      | IND AAA | Stable  | Reaffirmed    |
| 3.      | Tier II (Basel III)     | 20-Jun-25      | ICRA AAA      | Stable  | Reaffirmed            | 22-Sep-25      | CARE AAA      | Stable  | Reaffirmed    | 14-July-25     | CRISIL AAA | Stable  | Reaffirmed            | 29-Sep-25      | IND AAA | Stable  | Reaffirmed    |
| 4.      | Tier I (Basel III)      | 20-Jun-25      | ICRA AA+      | Stable  | Reaffirmed            | -              | -             | -       | -             | 14-July-25     | CRISIL AA+ | Stable  | Reaffirmed            | 29-Sep-25      | IND AA+ | Stable  | Reaffirmed    |
| 5.      | Fixed Deposit           | 20-Jun-25      | ICRA AAA      | Stable  | Reaffirmed            | -              | -             | -       | -             | -              | -          | -       | -                     | 29-Sep-25      | IND AAA | Stable  | Reaffirmed    |

Ratings for MTN (senior unsecured) securities have been reaffirmed at Baa3 with Stable outlook by Moody's Investors Service and BBB with Stable outlook by S&P Global Ratings.

## Investor Services

KFIN has been entrusted with the task of administering all aspects relating to investor services for and on behalf of the Bank. KFIN has appropriate systems to ensure that requisite service is provided to the investors of the Bank in accordance with applicable corporate and securities laws as per the adopted service standards.

Investors are requested to write to the Bank or to KFIN for availing any services or may send their correspondence / complaints to [shareholders@axis.bank.in](mailto:shareholders@axis.bank.in) or [einward.ris@kfintech.com](mailto:einward.ris@kfintech.com).

Members can contact KFIN for redressal of queries by visiting <https://kprism.kfintech.com> for query registration through free identity registration process. Members can submit their queries on the above website which would generate a registration number. For accessing the status / response to the query submitted, the grievance registration number can be used at the option 'click here to track your grievance' after 24 hours.

## Investor Correspondence / Complaints

The details of the investor complaints received and redressed by the Bank during fiscal 2026 are as under:

| Received from statutory / regulatory authorities | No. of complaints received in fiscal 2026 | No. of complaints unresolved as on 31 March, 2026 |
|--------------------------------------------------|-------------------------------------------|---------------------------------------------------|
| SEBI SCORES                                      | 41                                        | 0                                                 |
| Stock exchanges                                  | 5                                         | 0                                                 |
| NSDL / CDSL                                      | 0                                         | 0                                                 |
| Ministry of Corporate Affairs ("MCA")            | 0                                         | 0                                                 |
| RBI                                              | 0                                         | 0                                                 |
| Total no. of complaints received                 | 46                                        | 0                                                 |
| Total no. of complaints redressed                | 46                                        | 0                                                 |

The Bank had attended to all the complaints, and no complaints were pending or remained unresolved to the satisfaction of the members as on 31 March, 2026.

During fiscal 2026, the Bank received 3,041 investor correspondence(s) as provided herein below, from its investors, capital market intermediaries, by post, web-based query redressal system of KFIN and through emails, *inter alia*, in respect of the services relating to the securities issued by the Bank:

| Nature of Correspondence                          | Pending as on<br>1 April, 2025 | Received     | Replied      | Pending as on<br>31 March, 2026 |
|---------------------------------------------------|--------------------------------|--------------|--------------|---------------------------------|
| Non-receipt and revalidation of dividend warrants | 3                              | 1,368        | 1,371        | 0                               |
| Change in address                                 | 0                              | 5            | 5            | 0                               |
| Incorporation of ECS details                      | 0                              | 29           | 29           | 0                               |
| Change / correction in name                       | 0                              | 368          | 368          | 0                               |
| Change in bank mandate                            | 0                              | 10           | 10           | 0                               |
| Registration of nominee                           | 0                              | 27           | 27           | 0                               |
| Others*                                           | 5                              | 1,234        | 1,239        | 0                               |
| <b>Total</b>                                      | <b>8</b>                       | <b>3,041</b> | <b>3,049</b> | <b>0</b>                        |

\* Nature of correspondence in the category "Others" includes request for physical copy of annual report, claim for unclaimed shares / dividend, transmission of shares, etc.

The statement highlighting the status of the investor correspondence(s) / complaint(s) received and redressed by the Bank during fiscal 2026 was tabled at the meetings of the Stakeholders Relationship Committee / Board of Directors (the "**Board**") of the Bank for their review and noting.

## Process for requests related to physical shares

Pursuant to Regulation 40 of the SEBI Listing Regulations, as amended from time to time, the transfer, transmission and transposition of securities of listed companies held in physical form shall be effected only in demat mode. Further, SEBI vide its circular no. SEBI/HO/MIRSD/MIRSD\_RTAMB/P/CIR/2022/8 dated 25 January, 2022, has made it mandatory for listed companies to issue shares only in demat form while processing investor service requests viz., issue of duplicate securities certificate, claim from Unclaimed Suspense Account, renewal / exchange of securities certificate, endorsement, sub-division / splitting of securities certificate, consolidation of securities certificates / folios, transmission and transposition.

SEBI vide its circular no. HO/38/13/(3)2026-MIRSD-POD/I/3763/2026 dated 30 January, 2026 effective from 2 April, 2026, has further strengthened the framework for investor servicing by enabling direct credit of securities into the dematerialisation account of the investor. Under the revised framework, securities arising from investor service requests such as issuance of duplicate certificates, transmission, transposition, claims from unclaimed suspense accounts and corporate actions shall be directly credited in dematerialised form to the investor's demat account by the issuer company / RTA, after completion of the prescribed due diligence, instead of issue of physical letter of confirmation. The revised process significantly reduces the timeline for credit of securities and eliminates risks associated with loss or misuse of physical letter of confirmation. Further, letter of confirmation issued prior to the effective date shall remain valid for dematerialisation within the prescribed timelines.

Accordingly, members are advised to request for such services by submitting a duly filled and signed form ISR-4 along with documents as applicable, the format of is available on the Bank's website at <https://www.axis.bank.in/shareholders-corner/investor-faqs>.

Further, SEBI vide its circular no. HO/38/13/11(2)2026-MIRSD-POD/I/3750/2026 dated 30 January, 2026, has introduced a special window for a period of one year from 5 February, 2026 to 4 February, 2027 for transfer and dematerialisation of eligible physical securities that were sold or purchased prior to 1 April, 2019, with an objective to facilitate ease of investment and secure investors' rights in securities held in physical form. The window is applicable both for fresh lodgements as well as for transfer requests which were earlier rejected, returned or not processed due to deficiencies in documentation or process. The securities transferred under this framework shall be credited exclusively in dematerialised form to the transferee's demat account and shall be subject to a lock-in period of one year from the date of registration of transfer.

## Shareholder Handbook / Shareholder Services

Members are requested to refer to the investor's handbook available on the Bank's website at <https://www.axis.bank.in/shareholders-corner/investor-faqs> for rights of members, procedures related to transfer, dematerialisation, transmission, nomination in respect of shareholding, change of address, unclaimed / unpaid dividend, refund from IEPF, updation of KYC details, etc.

### **Investor Awareness Initiative - “Saksham Niveshak”**

Our Bank actively participated in the “Saksham Niveshak” campaign, a nationwide investor awareness initiative jointly undertaken by SEBI and the IEPF Authority. The campaign aimed to enhance investor awareness and facilitate the claiming of unclaimed dividends and equity shares, while promoting ease of doing investment.

As part of the campaign, the Bank undertook multiple investor outreach measures, including publication of newspaper advertisements, dissemination of information through its official website, and social media communication, to reach shareholders whose dividends and / or shares remained unclaimed. These communications encouraged shareholders to update their KYC details and follow the prescribed process for claiming their entitlements. The Bank in co-ordination with KFIN, provided guidance to shareholders, addressed their queries in a timely manner, with a view to facilitating resolution and safeguarding investor interests.

### **Dispute Resolution**

#### **Arbitration Mechanism:**

As per SEBI master circular no. HO/38/13/(4)2026-MIRSD-POD/I/4298/2026 dated 6 February, 2026, in case of claims or disputes arising between the shareholders / investors of the Bank and the RTAs, the RTAs shall be subjected to the stock exchange arbitration mechanism. The arbitration mechanism shall be initiated post exhausting all actions for resolution of complaints including those received through SCORES portal.

#### **Online Dispute Resolution:**

In terms of SEBI master circular no. SEBI/HO/OIAE/OIAE\_IAD-3/P/CIR/2023/195 dated 28 December, 2023 investors can register their complaint in case of disputes arising in the Indian Securities Market against the Bank / RTA, on Online Dispute Resolution Portal (<https://smartodr.in/login>) by harnessing online conciliation and / or online arbitration. The aforesaid circular is available on the website of the Bank. Members may access the same at <https://www.axis.bank.in/shareholders-corner/investor-faqs>.

### **Nomination Facility**

Section 72 of the Act provides that every holder of securities of a company may at any time nominate in the prescribed manner any person in whom the securities shall vest, in the event of death. Where the securities are held by more than one person jointly, the joint holders may together nominate any person in whom all the rights in the securities shall vest, in the event of death of all the joint holders.

In view of the above, the members are encouraged to avail of the nomination facility. The relevant nomination form can be downloaded from the website of the Bank at <https://www.axis.bank.in/shareholders-corner/investor-faqs> or members may write to the Bank or to KFIN for the same.

Further, SEBI in its master circular no. HO/38/13/(4)2026-MIRSD-POD/I/4298/2026 dated 6 February, 2026, prescribes measures to streamline the transmission of securities from a nominee to the legal heir, with a view to enhancing investor convenience and ensuring regulatory and tax alignment. SEBI has reiterated that a nominee acts as a trustee of the securities of the deceased investor and is required to facilitate transmission to the legal heir as per the succession plan.

Please note that the nomination shall automatically be rescinded on transfer / transmission / dematerialisation of the securities.

### **Green Initiatives**

In terms of Rule 18 of the Companies (Management and Administration) Rules, 2014, a company may send a copy of the notice through electronic mode to those members who have registered their email address(es) either with their depository participants (“DP”) or with the company. Further, as per Regulation 36(1)(a) of the SEBI Listing Regulations, the listed entity is required to send soft copies of its annual report to all those members who have registered their email address(es) for this purpose.



In case of members whose email address has changed and is not updated with the Bank / RTA, the aforesaid documents would be sent to the email address available in the records of the Bank / RTA and the same shall be deemed to have been delivered in compliance with the provisions of the Act and the SEBI Listing Regulations. Therefore, members are requested to register their email address or any change thereof with their DP (in case of shares held in electronic form) or with KFIN (in case of shares held in physical form) at the earliest.

Further, in terms of MCA Circular no. 03/2025 dated 22 September, 2025, the Integrated Annual Report containing the Standalone and Consolidated Financial Statements for fiscal 2026, the Board's report, the Auditors' report and other documents required to be attached thereto along with the notice convening the 32<sup>nd</sup> AGM is being sent only through electronic mode to those members who have registered their email address(es) with the KFIN or their respective DPs, as the case may be. Accordingly, no physical copy of the notice of the 32<sup>nd</sup> AGM and the Integrated Annual Report for fiscal 2026 is being sent to members who have not registered their email address(es) with the KFIN. Further, as per Regulation 36(1)(b) of the SEBI Listing Regulations, the Bank is sending, at the latest available postal address, a letter providing the web-link, including the exact path, where complete details of the Integrated Annual Report is available to those member(s) who have not registered their email address.

Any member who still wishes to receive a physical copy of the Integrated Annual Report is requested to write to [einward.ris@kfintech.com](mailto:einward.ris@kfintech.com) or [shareholders@axis.bank.in](mailto:shareholders@axis.bank.in) quoting his / her DP ID and Client ID / folio number as the case may be, to enable the Bank to provide physical copy of the said documents free of cost. Please note that the said documents are also uploaded on the Bank's website at <https://www.axis.bank.in/shareholders-corner/shareholders-information>.

### Means of Communication

**Quarterly / Annual Results:** The unaudited / audited financial results of the Bank are reviewed and approved by the Board and disclosed to the stock exchanges in accordance with Regulation 30 of the SEBI Listing Regulations. The results of the Bank are simultaneously also made available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/financial-results-and-other-presentation> and published in Business Standard, Mint (all editions) and Sandesh (Ahmedabad edition), the day after they are disclosed to the stock exchanges.

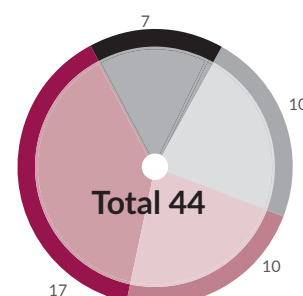
**Investor Presentations:** Detailed presentations are published for the Bank's quarterly, half-yearly as well as annual financial results. The Bank also arranges post quarterly earnings conference calls for market participants, which is the key platform to share the Bank's view on various aspects related to the sector, the Bank and its financials. These presentations, audio recordings, video recordings (if any), and transcripts of the earnings conference call are available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/other-information/quarterly-results> and are also intimated to the stock exchanges within the prescribed timelines.

The Bank also holds regular interactions (meetings, roadshows, etc.) with its institutional shareholders and market participants based on publicly available information. The Bank provides advance intimation about the quarterly earnings conference calls and group meetings to the stock exchanges. The Bank also provides the schedule of investors / analysts with whom interaction will take place along with the link of the presentation referred during the group meetings to the stock exchanges in accordance with the SEBI Listing Regulations. During fiscal 2026 the Bank participated in 44 group meetings and interacted with 687 investors and analysts at these group meetings.

**Official Press Releases:** Official press releases are available on the website of the Bank at <https://www.axis.bank.in/about-us/press-releases>.

**Compliance Reports, Corporate Announcements, Material Information and Updates:** The Bank disseminates requisite corporate announcements under the SEBI Listing Regulations including the quarterly shareholding pattern, corporate governance report etc., electronically through designated portals of the stock exchanges and on its website at <https://www.axis.bank.in/shareholders-corner/corporate-governance>.

Analysts / Institutional Investors meets during fiscal 2026



■ Quarter 1 ■ Quarter 2 ■ Quarter 3 ■ Quarter 4

**Integrated Annual Report:** The Integrated Annual Report of the Bank containing, *inter alia*, the Annual Audited Financial Statements (standalone and consolidated), the Board's Report, Auditors' Report, Management Discussion and Analysis Report and other important information is circulated to the members and others entitled thereto and is also made available on the website of the Bank at <https://www.axis.bank.in/shareholders-corner/shareholders-information/annual-reports>.

**Letters / Emails to Investors:** The Bank addressed various investor-centric letters / emails / post on social media to its members during the year. This includes reminders for claiming unclaimed / unpaid dividend from the Bank, dematerialisation of shares, updation of KYC, email address(es), PAN and bank account details.

**Designated exclusive email address:** The Bank has designated the following email address exclusively for investor servicing: [shareholders@axis.bank.in](mailto:shareholders@axis.bank.in).

**Shareholders' Feedback Survey:** During fiscal 2026, the Bank sought feedback from members on various matters relating to investor services and annual report. The Bank has also initiated sending shareholder satisfaction survey link on a monthly basis to all those shareholders of the Bank who had interacted with KFIN for resolution of their queries / complaints. The Bank monitors the response received on the shareholder satisfaction survey and takes necessary steps as required.

### Evaluation of RTA Services

With a view to enhance and improve shareholder experience, the Stakeholders Relationship Committee of the Board of the Bank, formally adopted 'Guidelines to evaluate the services of Registrar & Transfer Agent of the Bank'. These guidelines lay down parameters for annual performance evaluation of the RTA. During fiscal 2026, evaluation was carried out in accordance with the said guidelines.

### General Meetings

The details of the previous three Annual General Meetings ("AGMs") and summary of the special resolutions passed therein, are as under:

| AGM              | Day and Date             | Time          | Location                                          | Special Resolutions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|------------------|--------------------------|---------------|---------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 29 <sup>th</sup> | Friday,<br>28 July, 2023 | 10:00<br>a.m. | Held through<br>video<br>conferencing<br>facility | <p><b>Resolution no. 4</b> - Appointment of N. S. Vishwanathan (DIN: 09568559) as an Independent Director of the Bank for a period of four years, with effect from 30 May, 2023 up to 29 May, 2027 (both days inclusive).</p> <p><b>Resolution no. 9</b> - Alteration to the Articles of Association of the Bank to insert a new clause in terms of the Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) (Amendment) Regulations, 2023 dated 2 February, 2023, for appointment of a director nominated by debenture trustees in the event of default as prescribed under Regulation 15(1)(e) of the Securities and Exchange Board of India (Debenture Trustees) Regulations, 1993, within one month from the date of receipt of such nomination.</p> <p><b>Resolution no. 10</b> - Borrowing / raising of funds in Indian rupees or any other permitted foreign currency, by issue of debt securities on a private placement basis for an amount of up to ₹35,000 crores.</p> |
| 30 <sup>th</sup> | Friday,<br>26 July, 2024 | 10:00<br>a.m. | Held through<br>video<br>conferencing<br>facility | <p><b>Resolution no. 6</b> - Re-appointment of Meena Ganesh (DIN: 00528252) as an Independent Director of the Bank for a period of four years, with effect from 1 August, 2024 up to 31 July, 2028 (both days inclusive).</p> <p><b>Resolution no. 7</b> - Re-appointment of G. Padmanabhan (DIN: 07130908) as an Independent Director of the Bank for a period of four years, with effect from 28 October, 2024 up to 27 October, 2028 (both days inclusive).</p> <p><b>Resolution no. 13</b> - Borrowing / raising of funds in Indian rupees / foreign currency, by issue of debt securities on a private placement basis for an amount of up to ₹35,000 crores.</p> <p><b>Resolution no. 14</b> - Raising of funds by issue of equity shares / depository receipts and / or any other instruments or securities representing either equity shares and / or convertible securities linked to equity shares for an amount of up to ₹20,000 crores.</p>                                                               |

| AGM              | Day and Date             | Time          | Location                                          | Special Resolutions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|------------------|--------------------------|---------------|---------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 31 <sup>st</sup> | Friday,<br>25 July, 2025 | 10:00<br>a.m. | Held through<br>video<br>conferencing<br>facility | <p><b>Resolution no. 8</b> – Enhancement of borrowing limit of the Bank up to ₹300,000 crores under Section 180 (1)(c) of the Companies Act, 2013.</p> <p><b>Resolution no. 9</b> – Borrowing / raising of funds in Indian rupees / foreign currency, by issue of debt securities on a private placement basis for an amount of up to ₹35,000 crores.</p> <p><b>Resolution no. 10</b> – Raising of funds by issue of equity shares / depository receipts and / or any other instruments or securities representing either equity shares and / or convertible securities linked to equity shares for an amount of up to ₹ 20,000 crores.</p> |

None of the businesses proposed to be transacted at the ensuing AGM require passing of resolution through postal ballot. Further, during the last three years, no resolutions have been rejected by the members.

### Procedure for Postal Ballot

The postal ballot process was conducted in accordance with the provisions of Sections 110 and 108 of the Act read with Rules 22 and 20 of the Companies (Management and Administration) Rules, 2014.

MCA vide its circulars has permitted companies to conduct postal ballots by sending the notice in electronic form. Accordingly, physical copies of the notice along with postal ballot form and pre-paid business reply envelopes were not sent to the members for the postal ballots conducted during the year. Members were requested to convey their assent or dissent through remote e-voting only. Copies of the postal ballot notice were hosted on the website of the Bank, websites of the stock exchanges (i.e., BSE Limited and National Stock Exchange of India Limited) at [www.bseindia.com](http://www.bseindia.com) and [www.nseindia.com](http://www.nseindia.com), respectively, and on the website of our e-voting agency i.e., NSDL at <https://www.evoting.nsdl.com>. An advertisement was also published in the newspapers informing about completion of dispatch of the postal ballot notice and other details.

Voting rights were reckoned on the paid-up value of the shares registered in the names of the members as on the cut-off date.

A Scrutinizer was appointed by the Bank for conducting the postal ballot process in a fair and transparent manner. The Scrutinizer submitted his report to the Chairman and the results of the voting were disclosed to the stock exchanges, were published on the websites of the Bank and of the e-voting agency, and were also displayed at the registered office and at the corporate office of the Bank.

Details of special resolution passed through Postal Ballot during fiscal 2026, are as under:

| Date of Postal Ballot Notice | Scrutinizer                                                                                                                                                      | Date of Approval | Link for Postal Ballot Notice and Results                                                                                                                                             | Special Resolutions passed through Postal Ballot                                                                                                                                                                                                                      | No. of Votes in Favour         | No. of Votes Against    | % of Votes in Favour | % of Votes Against |
|------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|-------------------------|----------------------|--------------------|
| 2 April, 2025                | CS KVS Subramanyam, Practising Company Secretary (Membership No. FCS 5400 and Certificate of Practice No. 4815), Senior Partner of Ahalada Rao, V and Associates | 2 May, 2025      | <a href="https://www.axis.bank.in/shareholders-corner/shareholders-information/postal-ballot">https://www.axis.bank.in/shareholders-corner/shareholders-information/postal-ballot</a> | Re-appointment of Prof. S. Mahendra Dev (DIN: 06519869) as an Independent Director of the Bank.                                                                                                                                                                       | 2,554,290,613                  | 26,498,790              | 98.9732              | 1.0268             |
| 18 December, 2025            | CS KVS Subramanyam, Practising Company Secretary (Membership No. FCS 5400 and Certificate of Practice No. 4815), Senior Partner of Ahalada Rao, V and Associates | 18 January, 2026 | <a href="https://www.axis.bank.in/shareholders-corner/shareholders-information/postal-ballot">https://www.axis.bank.in/shareholders-corner/shareholders-information/postal-ballot</a> | 1) Appointment of Neeraj Gambhir (DIN: 00257375) as a Director and Whole-Time Director (designated as an Executive Director) of the Bank and payment of remuneration.<br>2) Appointment of Malavika R. Harita (DIN: 09005600) as an Independent Director of the Bank. | 2,476,726,194<br>2,505,477,577 | 30,776,140<br>2,024,157 | 98.7726<br>99.9193   | 1.2274<br>0.0807   |

### Additional information on Directors seeking appointment / re-appointment at the ensuing AGM

The details of Directors seeking appointment / re-appointment at the ensuing AGM in terms of Regulation 36(3) of the SEBI Listing Regulations is provided in the notice of the ensuing 32<sup>nd</sup> AGM of the Bank.

### Commodity Price Risk or Foreign Exchange Risk and Hedging Activities

The details with respect to commodity price risk in terms of SEBI circular no. SEBI/HO/CFD/CMD1/CIR/P/2018/0000000141 dated 15 November, 2018 is as follows:

1. Risk management policy with respect to commodities including through hedging: Foreign Exchange Risk, including bullion, is managed through Net Overnight Open Position (NOOP) limit, as specified in the Bank's market risk management policy.

The Bank does not assume exposure to any commodity other than Gold and Silver. Exposure to Gold and Silver is undertaken solely on a back-to-back basis to facilitate customer requirements and does not involve proprietary or trading positions. The Bank provides pricing and hedging solutions for Gold Metal Loans (GML) to jewellery customers. All such exposures are fully covered on a back-to-back basis with approved gold suppliers. Accordingly, the Bank did not carry any trading positions in Gold or Silver during the year and does not have exposure to any other commodity.

2. Exposure of the Bank to commodity and commodity risks faced by the Bank during the fiscal year is given below:
  - a) Total exposure of the Bank to commodities in INR: Nil as on 31 March, 2026.
  - b) Exposure of the Bank to various commodities: Nil as on 31 March, 2026.
  - c) Commodity risks faced by the Bank during the year and how they have been managed: The Bank did not carry any net exposure in Gold and Silver, and does not have exposure to any other commodity.

### Plant Locations

Being a banking company registered under the Banking Regulation Act, 1949, the provisions relating to disclosure of details relating to plant location are not applicable to the Bank.

The Bank operates through a network of branches spread across the length and breadth of the country. As on 31 March, 2026, the Bank had a network of 6,265 branches, 3 digital banking units, 10 extension counters and 12,796 ATMs and cash recycler machines.

The list of branches is available on the website of the Bank at <https://branch.axis.bank.in/>.

**For and on behalf of the Board of Directors**

**N. S. Vishwanathan**

Independent Director and Part-time Chairman  
(DIN: 09568559)

Place: Mumbai

Date: 25 April, 2026

# Business Responsibility and Sustainability Report

As at 31 March, 2026

As per SEBI Circular No. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 dated 10 May, 2021 on 'Business Responsibility and Sustainability Reporting by listed entities', the Bank has published the Business Responsibility and Sustainability Report (BRSR) for fiscal 2026.

Further, as per SEBI Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 dated 12 July, 2023 on 'BRSR Core - Framework for Assurance and ESG disclosures for Value Chain', the BRSR Core has been externally assured by SGS India Private Limited (SGS India) for which 'Reasonable Assurance' was provided.

The Bank's BRSR for fiscal 2026 along with the Assurance Statement has been hosted on the Bank's website:

<https://www.axis.bank.in/shareholders-corner/shareholders-information/business-responsibility-report>



# Independent Auditor's Report

To  
The Members of Axis Bank Limited  
**Report on the audit of the Standalone Financial Statements**

## Opinion

1. We have audited the accompanying Standalone Financial Statements of Axis Bank Limited ('the Bank'), which comprise the Standalone Balance Sheet as at 31 March 2026, the Standalone Profit And Loss Account, and the Standalone Cash Flow Statement for the year ended on that date, and notes to the Standalone Financial Statements, including a summary of the significant accounting policies and other explanatory information ('the Standalone Financial Statements').
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Banking Regulation Act, 1949, as well as the Companies Act, 2013 ('the Act') and circulars and guidelines issued by the Reserve Bank of India ('the RBI'), in the manner so required for banking companies and give a true and fair view in conformity with the Accounting Standards prescribed under section 133 of the Act, read with the Companies (Accounting Standards) Rules, 2021 ('AS') and other accounting principles generally accepted in India, of the State of Affairs of the Bank as at 31 March 2026, and its profit and its Cash Flows for the year ended on that date.

## Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing ('SAs') specified under section 143(10) of the Act. Our responsibilities under those SAs are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Bank, in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act, and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

## Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment were of most significance in our audit of the Standalone Financial Statements of the current year. These matters were addressed in the context of our audit of the Standalone Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the Key Audit Matters:

| Key Audit Matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1. Information Technology (IT) Systems and controls over financial reporting</b><br><br>As the Bank operates on core banking solution across its branches and asset centres, the reliability and security of Information Technology ("IT") systems plays a key role in the business operations. Since large volume of transactions are processed daily, the IT controls are required to ensure that applications process data as expected and that changes are made in an appropriate manner.<br><br>IT infrastructure is critical for smooth functioning and accurate accounting and financial reporting process. | In assessing the controls over the IT systems of the Bank, we involved our technology specialists to understand the IT control environment, IT infrastructure and IT systems.<br><br>We conducted an assessment and identified key IT systems that are critical for accounting and financial reporting process and are relevant for our audit and tested their internal controls. In particular: <ul style="list-style-type: none"> <li>• We obtained an understanding of the Bank's IT control environment and key changes during the audit period that may be relevant to the audit;</li> <li>• We tested the design, implementation and operating effectiveness of the Bank's General IT controls over the key IT systems that are critical to accounting and financial reporting. This included evaluation of Bank's controls for user access management, program change management, database management, network operations, incident management and other IT operations performed by the Bank during the period of audit;</li> </ul> |

Due to the pervasive nature and complexity of the IT environment, we have ascertained key IT systems used in financial reporting process and its related controls as a key audit matter.

- We tested key automated and manual business cycle controls and logic for system generated reports relevant to the audit; and
- We also tested compensating controls and performed alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the financial statements.

### 2. Income Recognition, Asset Classification and Provisioning on Advances (IRAC) as per the regulatory requirements

Total Loans and Advances (Net of Provision) as at 31 March 2026: INR 12,33,569.88 crore

Provision for NPAs as at 31 March 2026: INR 10,677.32 crore

Refer Schedule 9, Schedule 17(4.3) and Schedule 18(1) - Note 1.4

The Bank is required to comply with the Master Circular issued by the Reserve Bank of India ('RBI') on 'Prudential Norms for Income Recognition, Asset Classification and Provisioning pertaining to Advances' (the 'IRAC norms') and amendments thereto ("RBI guidelines") which prescribes the norms for identification and classification of Non-performing Assets ('NPAs') and the minimum provision required for such assets.

The Bank is also required to apply its judgement to determine the identification and provision required against NPAs considering various quantitative as well as qualitative factors.

As the identification of and provisioning against NPAs requires considerable level of management estimation, application of various regulatory requirements and its significance to the overall audit due to stakeholder and regulatory focus, we have identified this as a key audit matter.

Our audit approach included testing the design, operating effectiveness of internal controls and substantive audit procedures in respect of income recognition, asset classification and provisioning pertaining to advances. In particular:

- We have evaluated and understood the Bank's internal control system in adhering to the RBI guidelines;
- We have analysed and understood key IT systems/ applications used and tested the design and implementation and operational effectiveness of relevant controls in relation to income recognition, asset classification, viz., standard, sub-standard, doubtful and loss with reference to RBI guidelines and provisioning pertaining to advances; and
- We test checked advances to examine the validity and accuracy of the recorded amounts, provision for NPAs, and compliance with IRAC norms of RBI.
- Assessed appropriateness & the adequacy of disclosures as per RBI guidelines relating to NPAs

### Other Information

5. The Bank's Board of Directors are responsible for the other information. The other information comprises the information included in the Bank's Annual Report but does not include the Standalone Financial Statements and our auditor's report thereon. The Other Information included is expected to be made available to us after the date of this auditor's report.
6. Our opinion on the Standalone Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.
7. In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.
8. When we read the other information, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

### Responsibilities of Management and Those Charged with Governance for the Standalone Financial Statements

9. The Bank's Management and Board of Directors are responsible for the matters stated in section 134(5) of the Act, with respect to the preparation of these Standalone Financial Statements that give a true and fair view of the State of Affairs,

Profit and Cash Flows of the Bank in accordance with the Accounting Standards specified under section 133 of the Act read with the Companies (Accounting Standards) Rules, 2021, and other accounting principles generally accepted in India and provisions of section 29 of the Banking Regulation Act, 1949 and circulars, guidelines and directions issued by the RBI from time to time ('RBI Guidelines'). This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act and the RBI Guidelines for safeguarding of the assets of the Bank and for preventing and detecting frauds and other irregularities; selection of the appropriate accounting software for ensuring compliance with applicable laws and regulations including those related to retention of audit logs; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

10. In preparing the Standalone Financial Statements, the Management and the Board of Directors are responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management and the Board of Directors either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.
11. The Board of Directors is also responsible for overseeing the Bank's financial reporting process.

### **Auditor's Responsibilities for the Audit of the Standalone Financial Statements**

12. Our objectives are to obtain reasonable assurance about whether the Standalone Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.
13. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
  - 13.1. Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
  - 13.2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) the Act, we are also responsible for expressing our opinion on whether the Bank has adequate internal financial controls with reference to Standalone Financial Statements and the operating effectiveness of such controls.
  - 13.3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management.
  - 13.4. Conclude on the appropriateness of the Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Standalone Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
  - 13.5. Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

14. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
15. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
16. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Financial Statements for the current year and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

### Report on Other Legal and Regulatory Requirements

17. In our opinion, the Standalone Balance Sheet and the Standalone Profit and Loss account have been drawn up in accordance with the provisions of section 29 of the Banking Regulation Act, 1949 and section 133 of the Act and relevant rules issued thereunder.
18. As required by sub-section (3) of section 30 of the Banking Regulation Act, 1949, based on our audit we report that:
  - 18.1. We have sought and obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit and have found them to be satisfactory;
  - 18.2. The transactions of the Bank, which have come to our notice during the course of our audit, have been within the powers of the Bank; and
  - 18.3. Since the key operations of the Bank are automated with the key applications integrated to the core banking system, the audit is carried out centrally, as all the necessary records and data required for the purposes of our audit are available therein. We have visited 67 branches (including credit units) to examine the records maintained at such branches for the purpose of our audit.
19. Further, as required by Section 143(3) of the Act based on our audit we report, to the extent applicable, that:
  - 19.1. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
  - 19.2. In our opinion, proper books of accounts as required by law have been kept by the Bank, so far as it appears from our examination of those books.
  - 19.3. The Standalone Balance Sheet, the Standalone Profit And Loss Account, and the Standalone Cash Flow Statement dealt with by this Report are in agreement with the books of account.
  - 19.4. In our opinion, the aforesaid Standalone Financial Statements comply with the Accounting Standards specified under Section 133 of the Act read with the relevant rules thereunder to the extent they are not inconsistent with the accounting policies prescribed by the RBI.
  - 19.5. On the basis of the written representations received from the directors as on 31 March 2026 taken on record by the Board of Directors, none of the directors are disqualified as on 31 March 2026 from being appointed as a director in terms of Section 164(2) of the Act.
  - 19.6. With respect to the adequacy of the internal financial controls with reference to the Standalone Financial Statements of the Bank and the operating effectiveness of such controls, refer to our separate Report in 'Annexure A'.
  - 19.7. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended; The Bank is a Banking Company as defined under Banking Regulation Act, 1949. Accordingly, the requirements prescribed under Section 197 of the Act, do not apply.



20. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us:
- 20.1. The Bank has disclosed the impact of pending litigations on its financial position in its Standalone Financial Statements - Refer Schedule 12 - Contingent Liabilities to the Standalone Financial Statements.
- 20.2. The Bank has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts - Refer Schedule 5 and 12 read with Note No. 2.14 of Schedule 18 to the Standalone Financial Statements.
- 20.3. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Bank.
- 20.4. The Management has represented, to best of their knowledge and belief, that no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Bank to or in any other person(s) or entity(ies), including foreign entities ('Intermediaries'), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Bank ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- 20.5. The Management has represented, to best of their knowledge and belief, that no funds have been received by the Bank from any person(s) or entity(ies), including foreign entities ('Funding Parties'), with the understanding, whether recorded in writing or otherwise, that the Bank shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- 20.6. Based on such audit procedures, that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representation under sub-clause (i) and (ii) of Rule 11(e), as provided under para 20.4 and 20.5 above, contain any material misstatement.
- 20.7. In our opinion and according to the information and explanations given to us, the dividend declared and / or paid during the year by the Bank is in compliance with Section 123 of the Act.
- 20.8. Based on our examination which included test checks, the Bank has used various accounting software for maintaining its books of account which have feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with.

Additionally, the audit trail has been preserved by the Bank as per the statutory requirements for record retention.

**For M M Nissim & Co LLP**

Chartered Accountants

Firm Registration Number: 107122W/W100672

**For KKC & Associates LLP**

Chartered Accountants

(formerly Khimji Kunverji & Co LLP)

Firm Registration Number: 105146W/W100621

**Sanjay Khemani**

Partner

ICAI Membership No.: 044577

UDIN: 26044577RMRTEV6829

Place: Mumbai

Date: 25 April, 2026

**Gautam Shah**

Partner

ICAI Membership No.: 117348

UDIN: 26117348CBRZGH1088

Place: Mumbai

Date: 25 April, 2026



### **Annexure 'A' to the Independent Auditors' report on the Standalone Financial Statements of Axis Bank Limited for the year ended 31 March 2026**

(Referred to in paragraph '19.6' under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

### **Report on the Internal Financial Controls with reference to the aforesaid Standalone Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act').**

#### **Opinion**

1. We have audited the internal financial controls with reference to the Standalone Financial Statements of Axis Bank Limited ('the Bank') as at 31 March 2026 in conjunction with our audit of the Standalone Financial Statements of the Bank for the year ended on that date.
2. In our opinion, the Bank has, in all material respects, an adequate internal financial controls with reference to the Standalone Financial Statements and such internal financial controls were operating effectively as at 31 March 2026, based on the internal controls over financial reporting criteria established by the Bank considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('the Guidance Note').

#### **Management's responsibility for Internal Financial Controls**

3. The Bank's Management is responsible for establishing and maintaining internal financial controls based on the internal controls over financial reporting criteria established by the Bank considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Bank's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

#### **Auditor's responsibility**

4. Our responsibility is to express an opinion on the Bank's internal financial controls with reference to the Standalone Financial Statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing ('SA'), prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to the Standalone Financial Statements. Those SAs and the Guidance Note require that we comply with the ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to the Standalone Financial Statements were established and maintained and whether such controls operated effectively in all material respects.
5. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the Standalone Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to the Standalone Financial Statements included obtaining an understanding of internal financial controls with reference to the Standalone Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error.
6. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Bank's internal financial controls with reference to the Standalone Financial Statements.

#### **Meaning of Internal Financial Controls with reference to the Standalone Financial Statements**

7. A bank's internal financial controls with reference to the Standalone Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone Financial Statements for external purposes in accordance with generally accepted accounting principles. A bank's internal financial controls with reference to the Standalone Financial Statements include those policies and procedures that



- (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Bank;
- (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone Financial Statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Bank are being made only in accordance with authorisations of Management and Directors of the Bank; and
- (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Bank's assets that could have a material effect on the Standalone Financial Statements.

#### **Inherent Limitations of Internal Financial Controls with reference to the Standalone Financial Statements**

8. Because of the inherent limitations of internal financial controls with reference to the Standalone Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to the Standalone Financial Statements to future periods are subject to the risk that the internal financial controls with reference to the Standalone Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

#### **For M M Nissim & Co LLP**

Chartered Accountants

Firm Registration Number: 107122W/W100672

#### **For KKC & Associates LLP**

Chartered Accountants

(formerly Khimji Kunverji & Co LLP)

Firm Registration Number: 105146W/W100621

#### **Sanjay Khemani**

Partner

ICAI Membership No.: 044577

UDIN: 26044577RMRTEV6829

Place: Mumbai

Date: 25 April, 2026

#### **Gautam Shah**

Partner

ICAI Membership No.: 117348

UDIN: 26117348CBRZGH1088

Place: Mumbai

Date: 25 April, 2026

# Standalone Balance Sheet

As on 31 March , 2026

|                                                        | Schedule No. | As on<br>31-03-2026   | (₹ in Thousands)<br>As on<br>31-03-2025 |
|--------------------------------------------------------|--------------|-----------------------|-----------------------------------------|
| <b>Capital and Liabilities</b>                         |              |                       |                                         |
| Capital                                                | 1            | 6,216,345             | 6,194,738                               |
| Employees' Stock Options/Units Outstanding             | 1A           | 13,421,554            | 11,081,826                              |
| Reserves & Surplus                                     | 2            | 2,035,726,288         | 1,779,974,715                           |
| Deposits                                               | 3            | 13,358,339,715        | 11,729,520,224                          |
| Borrowings                                             | 4            | 2,352,706,087         | 1,841,465,165                           |
| Other Liabilities and Provisions                       | 5            | 1,102,088,853         | 731,062,125                             |
| <b>Total capital and liabilities</b>                   |              | <b>18,868,498,842</b> | <b>16,099,298,793</b>                   |
| <b>Assets</b>                                          |              |                       |                                         |
| Cash and Balances with Reserve Bank of India           | 6            | 786,273,607           | 736,384,369                             |
| Balances with Banks and Money at Call and Short Notice | 7            | 262,753,247           | 260,936,555                             |
| Investments                                            | 8            | 4,450,327,985         | 3,961,417,941                           |
| Advances                                               | 9            | 12,335,698,765        | 10,408,113,203                          |
| Fixed Assets                                           | 10           | 65,493,616            | 62,916,985                              |
| Other Assets                                           | 11           | 967,951,622           | 669,529,740                             |
| <b>Total Assets</b>                                    |              | <b>18,868,498,842</b> | <b>16,099,298,793</b>                   |
| Contingent Liabilities                                 | 12           | 30,295,329,230        | 28,756,480,920                          |
| Bills for Collection                                   |              | 902,828,498           | 769,311,985                             |
| Significant Accounting Policies and Notes to Accounts  | 17 & 18      |                       |                                         |

Schedules referred to above form an integral part of the Standalone Balance Sheet

In terms of our report attached.

**For M M Nissim & Co LLP**ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants**Sanjay Khemani**Partner  
Membership No.: 044577**For KKC & Associates LLP**ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants**Gautam Shah**Partner  
Membership No.: 117348

Date: 25 April, 2026

Place: Mumbai

**Amitabh Chaudhry**Managing Director & CEO  
DIN: 00531120**Meena Ganesh**Director  
DIN: 00528252**Sandeep Poddar**

Company Secretary

**Girish Paranjpe**Director  
DIN: 02172725**Mini Ipe**Director  
DIN: 07791184**For Axis Bank Ltd.****N. S. Vishwanathan**Independent Director &  
Part-time Chairman  
DIN: 09568559**Pranam Wahi**Director  
DIN: 00031914**Puneet Sharma**

Chief Financial Officer



# Standalone Profit and Loss Account

For the year ended 31 March, 2026

|                                                                 | Schedule No.     | Year ended 31-03-2026 | (₹ in Thousands)<br>Year ended 31-03-2025 |
|-----------------------------------------------------------------|------------------|-----------------------|-------------------------------------------|
| <b>I Income</b>                                                 |                  |                       |                                           |
| Interest earned                                                 | 13               | 1,270,322,334         | 1,226,770,401                             |
| Other income                                                    | 14               | 261,308,471           | 252,570,562                               |
| <b>Total Income</b>                                             |                  | <b>1,531,630,805</b>  | <b>1,479,340,963</b>                      |
| <b>II Expenditure</b>                                           |                  |                       |                                           |
| Interest expended                                               | 15               | 709,841,940           | 683,292,212                               |
| Operating expenses                                              | 16               | 393,620,784           | 374,999,428                               |
| Provisions and contingencies                                    | 18 (1.15)(e)     | 183,601,530           | 157,314,504                               |
| <b>Total Expenditure</b>                                        |                  | <b>1,287,064,254</b>  | <b>1,215,606,144</b>                      |
| <b>III Net Profit For The Year (I - II)</b>                     |                  | <b>244,566,551</b>    | <b>263,734,819</b>                        |
| Balance In Profit & Loss Account Brought Forward                |                  | 782,380,015           | 602,540,556                               |
| <b>IV Amount Available For Appropriation/Transfers</b>          |                  | <b>1,026,946,566</b>  | <b>866,275,375</b>                        |
| <b>V Appropriations/Transfers:</b>                              |                  |                       |                                           |
| Transfer to Statutory Reserve                                   |                  | 61,141,638            | 65,933,705                                |
| Transfer to Capital Reserve                                     | 18 (1.1)(b)(iii) | 5,065,244             | 2,143,457                                 |
| Transfer to Special Reserve                                     | 18 (1.1)(b)(iv)  | 9,768,100             | 10,247,300                                |
| Transfer to Investment Fluctuation Reserve                      | 18 (1.1)(b)(vii) | 1,360,000             | 2,480,000                                 |
| Dividend paid during the year                                   | 18 (2.3)         | 3,101,351             | 3,090,898                                 |
| Balance carried over to Balance Sheet                           |                  | 946,510,233           | 782,380,015                               |
| <b>Total</b>                                                    |                  | <b>1,026,946,566</b>  | <b>866,275,375</b>                        |
| <b>VI Earnings Per Equity Share (Face Value ₹2/- Per Share)</b> | 18 (2.1)         |                       |                                           |
| Basic (In ₹)                                                    |                  | 78.82                 | 85.28                                     |
| Diluted (In ₹)                                                  |                  | 78.31                 | 84.77                                     |
| Significant Accounting Policies And Notes To Accounts           | 17 & 18          |                       |                                           |

Schedules referred to above form an integral part of the Standalone Profit and Loss Account

In terms of our report attached.

## For M M Nissim & Co LLP

ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants

## Sanjay Khemani

Partner  
Membership No.: 044577

## For KKC & Associates LLP

ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants

## Gautam Shah

Partner  
Membership No.: 117348

Date: 25 April, 2026  
Place: Mumbai

## Amitabh Chaudhry

Managing Director & CEO  
DIN: 00531120

## Meena Ganesh

Director  
DIN: 00528252

## Sandeep Poddar

Company Secretary

## Girish Paranjpe

Director  
DIN: 02172725

## Mini Ipe

Director  
DIN: 07791184

## For Axis Bank Ltd.

## N. S. Vishwanathan

Independent Director &  
Part-time Chairman  
DIN: 09568559

## Pranam Wahi

Director  
DIN: 00031914

## Puneet Sharma

Chief Financial Officer

# Cash Flow Statement

For the year ended 31 March, 2026

(₹ in Thousands)

|                                                                                                       |       | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|-------------------------------------------------------------------------------------------------------|-------|--------------------------|--------------------------|
| <b>Cash flow from/(used in) operating activities</b>                                                  |       |                          |                          |
| <b>Net profit before taxes</b>                                                                        |       | 295,539,785              | 343,465,780              |
| <b>Adjustments for:</b>                                                                               |       |                          |                          |
| Depreciation and amortisation on fixed assets, intangibles and goodwill                               |       | 18,089,783               | 16,991,363               |
| Mark-to-Market (gain)/loss on investments                                                             |       | 8,752,762                | (7,005,061)              |
| Amortisation of premium/discount on investments                                                       |       | 9,309,214                | 6,516,018                |
| Provision for Non-Performing Assets (including bad debts)/Restructured assets                         |       | 130,279,929              | 113,552,817              |
| Provision on standard assets and other contingencies                                                  |       | 37,770,154               | 2,123,792                |
| Profit/(Loss) on sale of land, buildings and other assets (net)                                       |       | (35,293)                 | 94,480                   |
| Dividend from Subsidiaries                                                                            |       | (150,000)                | (245,813)                |
| Employee stock options/units expense                                                                  |       | 4,435,821                | 4,239,758                |
|                                                                                                       | (i)   | <b>503,992,155</b>       | <b>479,733,134</b>       |
| <b>Adjustments for:</b>                                                                               |       |                          |                          |
| (Increase)/Decrease in investments                                                                    |       | (73,779,604)             | (128,697,328)            |
| (Increase)/Decrease in advances                                                                       |       | (2,057,188,684)          | (873,215,213)            |
| Increase /(Decrease) in deposits                                                                      |       | 1,628,819,491            | 1,043,106,304            |
| (Increase)/Decrease in other assets                                                                   |       | (281,203,401)            | (63,156,749)             |
| Increase/(Decrease) in other liabilities & provisions                                                 |       | 338,242,292              | 111,223,567              |
|                                                                                                       | (ii)  | <b>(445,109,906)</b>     | <b>89,260,581</b>        |
| Direct taxes paid (net of refunds)                                                                    | (iii) | (72,183,105)             | (74,871,691)             |
| <b>Net cash flow from/(used in) operating activities (i)+(ii)+(iii)</b>                               | (A)   | <b>(13,300,856)</b>      | <b>494,122,024</b>       |
| <b>Cash flow from/(used in) investing activities</b>                                                  |       |                          |                          |
| Purchase of fixed assets                                                                              |       | (21,179,995)             | (23,281,607)             |
| (Increase)/Decrease in Held to Maturity investments                                                   |       | (437,573,214)            | (471,701,030)            |
| Increase in investment in Subsidiaries/Associate                                                      |       | (300,000)                | (28,755,602)             |
| Decrease in investment in Subsidiaries                                                                |       | -                        | 3,292,773                |
| Proceeds from sale of fixed assets                                                                    |       | 479,908                  | 112,141                  |
| Dividend from Subsidiaries                                                                            |       | 150,000                  | 245,813                  |
| <b>Net cash from/(used in) investing activities</b>                                                   | (B)   | <b>(458,423,301)</b>     | <b>(520,087,512)</b>     |
| <b>Cash flow from/(used in) financing activities</b>                                                  |       |                          |                          |
| Proceeds from issue of subordinated debt, Additional Tier I instruments                               |       | -                        | -                        |
| Repayment of subordinated debt, Additional Tier I instruments                                         |       | (8,527,500)              | (8,264,500)              |
| Increase/(Decrease) in borrowings (other than subordinated debt, Additional Tier I instruments (net)) |       | 519,768,422              | (118,387,839)            |
| Proceeds from issue of share capital                                                                  |       | 21,607                   | 21,597                   |
| Proceeds from share premium (net of share issue expenses)                                             |       | 6,787,212                | 6,837,089                |
| Payment of dividend                                                                                   |       | (3,101,351)              | (3,090,898)              |
| <b>Net cash generated from/(used in) financing activities</b>                                         | (C)   | <b>514,948,390</b>       | <b>(122,884,551)</b>     |
| Effect of exchange fluctuation translation reserve                                                    | (D)   | 8,481,697                | 1,627,089                |



(₹ in Thousands)

|                                                                                                                                           | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|-------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|
| <b>Net increase in cash and cash equivalents (A)+(B)+(C)+(D)</b>                                                                          | <b>51,705,930</b>        | <b>(147,222,950)</b>     |
| Cash and cash equivalents at the beginning of the year                                                                                    | 997,320,924              | 1,144,543,874            |
| <b>Cash and cash equivalents at the end of the year</b>                                                                                   | <b>1,049,026,854</b>     | <b>997,320,924</b>       |
| Notes to the Cash Flow Statement:                                                                                                         |                          |                          |
| 1. Cash and cash equivalents includes the following                                                                                       |                          |                          |
| Cash and Balances with Reserve Bank of India (Refer Schedule 6)                                                                           | 786,273,607              | 736,384,369              |
| Balances with Banks and Money at Call and Short Notice (Refer Schedule 7)                                                                 | 262,753,247              | 260,936,555              |
| Cash and cash equivalents at the end of the year                                                                                          | <b>1,049,026,854</b>     | <b>997,320,924</b>       |
| 2. Amount of Corporate Social Responsibility related expenses spent during the year in cash ₹421.66 crores (previous year ₹286.92 crores) |                          |                          |

In terms of our report attached.

**For M M Nissim & Co LLP**

ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants

**Sanjay Khemani**

Partner  
Membership No.: 044577

**For KKC & Associates LLP**

ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants

**Gautam Shah**

Partner  
Membership No.: 117348

Date: 25 April, 2026

Place: Mumbai

**Amitabh Chaudhry**

Managing Director & CEO  
DIN: 00531120

**Meena Ganesh**

Director  
DIN: 00528252

**Sandeep Poddar**

Company Secretary

**Girish Paranjpe**

Director  
DIN: 02172725

**Mini Ipe**

Director  
DIN: 07791184

**For Axis Bank Ltd.**

**N. S. Vishwanathan**

Independent Director &  
Part-time Chairman  
DIN: 09568559

**Pranam Wahi**

Director  
DIN: 00031914

**Puneet Sharma**

Chief Financial Officer

# Schedules forming part of the Balance Sheet

As on 31 March, 2026

## Schedule 1 - Capital

|                                                                                        | As on<br>31-03-2026 | (₹ in Thousands)<br>As on<br>31-03-2025 |
|----------------------------------------------------------------------------------------|---------------------|-----------------------------------------|
| <b>Authorised Capital</b>                                                              |                     |                                         |
| 4,250,000,000 (Previous year - 4,250,000,000) Equity Shares of ₹2/- each               | 8,500,000           | 8,500,000                               |
| <b>Issued, Subscribed and Paid-up Capital</b>                                          |                     |                                         |
| 3,108,172,638 (Previous year - 3,097,369,066) Equity Shares of ₹2/- each fully paid-up | 6,216,345           | 6,194,738                               |

## Schedule 1A - Employees' Stock Options/Units Outstanding

|                                         | As on<br>31-03-2026 | (₹ in Thousands)<br>As on<br>31-03-2025 |
|-----------------------------------------|---------------------|-----------------------------------------|
| I. Opening Balance                      | 11,081,826          | 8,265,768                               |
| Additions during the year <sup>1</sup>  | 4,435,821           | 4,239,659                               |
| Deductions during the year <sup>2</sup> | (2,096,093)         | (1,423,601)                             |
| <b>Closing Balance</b>                  | <b>13,421,554</b>   | <b>11,081,826</b>                       |

- Represents cost of employee stock options/units recognised in P&L during the year of ₹357.38 crores (previous year ₹365.79 crores) and cost of employee stock options/units of ₹86.20 crores (previous year ₹58.18 crores) recovered from group entities
- Represents amount transferred to Share Premium on account of exercise of employee stock options/units and to General Reserve on lapse of employee stock options

## Schedule 2 - Reserves And Surplus

|                                                             | As on<br>31-03-2026 | (₹ in Thousands)<br>As on<br>31-03-2025 |
|-------------------------------------------------------------|---------------------|-----------------------------------------|
| <b>I. Statutory Reserve</b>                                 |                     |                                         |
| Opening Balance                                             | 332,590,717         | 266,657,012                             |
| Additions during the year                                   | 61,141,638          | 65,933,705                              |
| Deductions during the year                                  | -                   | -                                       |
| <b>Closing Balance</b>                                      | <b>393,732,355</b>  | <b>332,590,717</b>                      |
| <b>II. Capital Reserve</b>                                  |                     |                                         |
| Opening Balance                                             | 41,439,284          | 39,295,827                              |
| Additions during the year [Refer Schedule 18 (1.1)(b)(iii)] | 5,065,244           | 2,143,457                               |
| Deductions during the year                                  | -                   | -                                       |
| <b>Closing Balance</b>                                      | <b>46,504,528</b>   | <b>41,439,284</b>                       |
| <b>III. Share Premium Account</b>                           |                     |                                         |
| Opening Balance                                             | 533,155,613         | 524,974,613                             |
| Additions during the year                                   | 8,857,826           | 8,181,000                               |
| Less: Share issue expenses                                  | -                   | -                                       |
| <b>Closing Balance</b>                                      | <b>542,013,439</b>  | <b>533,155,613</b>                      |
| <b>IV. Revenue And Other Reserves</b>                       |                     |                                         |
| <b>(A) Special Reserve</b>                                  |                     |                                         |
| Opening Balance                                             | 34,430,500          | 24,183,200                              |
| Additions during the year [Refer Schedule 18 (1.1)(b)(iv)]  | 9,768,100           | 10,247,300                              |
| Deductions during the year                                  | -                   | -                                       |
| <b>Closing Balance</b>                                      | <b>44,198,600</b>   | <b>34,430,500</b>                       |



# Schedules forming part of the Balance Sheet

As on 31 March, 2026

|                                                                           | As on<br>31-03-2026  | As on<br>31-03-2025  |
|---------------------------------------------------------------------------|----------------------|----------------------|
| (₹ in Thousands)                                                          |                      |                      |
| <b>(B) Investment Reserve Account</b>                                     |                      |                      |
| Opening balance                                                           | -                    | 2,422,869            |
| Additions during the year                                                 | -                    | -                    |
| Deductions during the year [Refer Schedule 18 (1.1)(b)(v)]                | -                    | (2,422,869)          |
| <b>Closing Balance</b>                                                    | <b>-</b>             | <b>-</b>             |
| <b>(C) General Reserve</b>                                                |                      |                      |
| Opening Balance                                                           | 18,262,417           | 3,581,141            |
| Additions during the year [Refer Schedule 18 (1.1)(b)(vi)]                | 25,925               | 14,681,276           |
| Deductions during the year                                                | -                    | -                    |
| <b>Closing Balance</b>                                                    | <b>18,288,342</b>    | <b>18,262,417</b>    |
| <b>(D) Foreign Currency Translation Reserve [Refer Schedule 17 (4.7)]</b> |                      |                      |
| Opening Balance                                                           | 7,538,720            | 5,911,631            |
| Additions during the year                                                 | 8,481,251            | 1,627,089            |
| Deductions during the year                                                | -                    | -                    |
| <b>Closing Balance</b>                                                    | <b>16,019,971</b>    | <b>7,538,720</b>     |
| <b>(E) Investment Fluctuation Reserve</b>                                 |                      |                      |
| Opening Balance                                                           | 29,090,000           | 26,610,000           |
| Additions during the year [Refer Schedule 18 (1.1)(b)(vii)]               | 1,360,000            | 2,480,000            |
| Deductions during the year                                                | -                    | -                    |
| <b>Closing Balance</b>                                                    | <b>30,450,000</b>    | <b>29,090,000</b>    |
| <b>(F) Available For Sale (AFS) Reserve</b>                               |                      |                      |
| Opening Balance                                                           | 1,103,859            | -                    |
| Additions during the year [Refer Schedule 18 (1.1)(b)(viii)]              | -                    | 1,103,859            |
| Deductions during the year [Refer Schedule 18 (1.1)(b)(viii)]             | (3,009,923)          | -                    |
| <b>Closing Balance</b>                                                    | <b>(1,906,064)</b>   | <b>1,103,859</b>     |
| <b>(G) Cash Flow Hedge Reserve</b>                                        |                      |                      |
| Opening Balance                                                           | (16,410)             | -                    |
| Additions during the year                                                 | -                    | -                    |
| Deductions during the year [Refer Schedule 18 (1.1)(b)(ix)]               | (68,706)             | (16,410)             |
| <b>Closing Balance</b>                                                    | <b>(85,116)</b>      | <b>(16,410)</b>      |
| <b>V. Balance In Profit &amp; Loss Account</b>                            | <b>946,510,233</b>   | <b>782,380,015</b>   |
| <b>Total</b>                                                              | <b>2,035,726,288</b> | <b>1,779,974,715</b> |

## Schedule 3 - Deposits

|                                               | As on<br>31-03-2026   | As on<br>31-03-2025   |
|-----------------------------------------------|-----------------------|-----------------------|
| (₹ in Thousands)                              |                       |                       |
| <b>A. I. Demand Deposits</b>                  |                       |                       |
| (i) From banks                                | 53,577,897            | 41,841,735            |
| (ii) From others                              | 1,794,183,291         | 1,626,145,104         |
| <b>II. Savings Bank Deposits</b>              | <b>3,441,360,029</b>  | <b>3,113,893,251</b>  |
| <b>III. Term Deposits</b>                     |                       |                       |
| (i) From banks                                | 480,219,391           | 458,515,937           |
| (ii) From others                              | 7,588,999,107         | 6,489,124,197         |
| <b>Total (I, II And III)<sup>1</sup></b>      | <b>13,358,339,715</b> | <b>11,729,520,224</b> |
| <b>B. I. Deposits of branches in India</b>    | <b>12,998,865,679</b> | <b>11,429,290,806</b> |
| <b>II. Deposits of branches outside India</b> | <b>359,474,036</b>    | <b>300,229,418</b>    |
| <b>Total (I And II)<sup>1</sup></b>           | <b>13,358,339,715</b> | <b>11,729,520,224</b> |

1 Includes deposits under lien amounting to ₹137,683.71 crores (previous year ₹102,032.84 crores)

# Schedules forming part of the Balance Sheet

As on 31 March, 2026

## Schedule 4 - Borrowings

(₹ in Thousands)

|                                                  | As on<br>31-03-2026  | As on<br>31-03-2025  |
|--------------------------------------------------|----------------------|----------------------|
| <b>I. Borrowings in India</b>                    |                      |                      |
| (i) Reserve Bank of India                        | -                    | -                    |
| (ii) Other banks <sup>1</sup>                    | 20,599,046           | 7,351,709            |
| (iii) Other institutions & agencies <sup>2</sup> | 1,840,430,248        | 1,491,036,832        |
| <b>II. Borrowings outside India<sup>3</sup></b>  | 491,676,793          | 343,076,624          |
| <b>TOTAL</b>                                     | <b>2,352,706,087</b> | <b>1,841,465,165</b> |
| Secured borrowings included in I & II above      | 16,938,946           | 5,251,709            |

- Borrowings from other banks include Subordinated Debt of ₹15.00 crores (previous year ₹15.00 crores) in the nature of Non-Convertible Debentures [Also refer Schedule 18 (1.1)(a)]
- Borrowings from other institutions & agencies include Subordinated Debt of ₹21,215.00 crores (previous year ₹22,715.00 crores) in the nature of Non-Convertible Debentures [Also refer Schedule 18 (1.1)(a)]
- Borrowings outside India include Additional Tier I Bonds in the nature of Perpetual Debt amounting to \$600 million (₹5,690.10 crores); {previous year \$600 million (₹5,128.50 crores)} [Also refer Schedule 18 (1.1)(a)]

## Schedule 5 - Other Liabilities and Provisions

(₹ in Thousands)

|                                                                                       | As on<br>31-03-2026  | As on<br>31-03-2025 |
|---------------------------------------------------------------------------------------|----------------------|---------------------|
| <b>I. Bills payable</b>                                                               | 69,339,352           | 61,937,960          |
| <b>II. Inter-office adjustments (net)</b>                                             | -                    | -                   |
| <b>III. Interest accrued</b>                                                          | 60,918,843           | 33,198,444          |
| <b>IV. General provision against standard assets</b>                                  | 69,398,739           | 50,218,680          |
| <b>V. MTM loss on forex &amp; derivative contracts</b>                                | 458,269,080          | 199,285,425         |
| <b>VI. Provision for tax (net)</b>                                                    | 5,776,203            | 10,779,912          |
| <b>VII. Others (including provisions) [Refer Schedule 18 (1.15)(k) and 18 (2.10)]</b> | 438,386,636          | 375,641,704         |
| <b>TOTAL</b>                                                                          | <b>1,102,088,853</b> | <b>731,062,125</b>  |

## Schedule 6 - Cash and Balances with Reserve Bank of India

(₹ in Thousands)

|                                                                                    | As on<br>31-03-2026 | As on<br>31-03-2025 |
|------------------------------------------------------------------------------------|---------------------|---------------------|
| <b>I. Cash in hand (including foreign currency notes)</b>                          | 67,584,579          | 80,739,346          |
| <b>II. Balances with Reserve Bank of India</b>                                     |                     |                     |
| (i) in Current Account                                                             | 400,909,028         | 446,235,023         |
| (ii) in Other Accounts (includes reverse repo under Liquidity Adjustment Facility) | 317,780,000         | 209,410,000         |
| <b>TOTAL</b>                                                                       | <b>786,273,607</b>  | <b>736,384,369</b>  |

# Schedules forming part of the Balance Sheet

As on 31 March, 2026

## Schedule 7 - Balances with Banks and Money at Call and Short Notice

(₹ in Thousands)

|                                     | As on<br>31-03-2026 | As on<br>31-03-2025 |
|-------------------------------------|---------------------|---------------------|
| <b>I. In India</b>                  |                     |                     |
| (i) Balance with Banks              |                     |                     |
| (a) in Current Accounts             | 1,276,521           | 897,301             |
| (b) in Other Deposit Accounts       | 75,931              | 1,075,931           |
| (ii) Money at Call and Short Notice |                     |                     |
| (a) With banks                      | -                   | -                   |
| (b) With other institutions         | 19,575,349          | 45,043,141          |
| <b>TOTAL (i and ii)</b>             | <b>20,927,801</b>   | <b>47,016,373</b>   |
| <b>II. Outside India</b>            |                     |                     |
| (i) in Current Accounts             | 28,351,861          | 45,312,197          |
| (ii) in Other Deposit Accounts      | 101,568,285         | 119,545,335         |
| (iii) Money at Call & Short Notice  | 111,905,300         | 49,062,650          |
| <b>TOTAL (i, ii and iii)</b>        | <b>241,825,446</b>  | <b>213,920,182</b>  |
| <b>GRAND TOTAL (I+II)</b>           | <b>262,753,247</b>  | <b>260,936,555</b>  |

## Schedule 8 - Investments

(₹ in Thousands)

|                                                                                                                                                                                                                                         | As on<br>31-03-2026  | As on<br>31-03-2025  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|----------------------|
| <b>I. Investments in India in -</b>                                                                                                                                                                                                     |                      |                      |
| (i) Government Securities <sup>1</sup>                                                                                                                                                                                                  | 3,497,122,398        | 2,926,402,418        |
| (ii) Other approved securities                                                                                                                                                                                                          | -                    | -                    |
| (iii) Shares                                                                                                                                                                                                                            | 22,916,491           | 25,697,393           |
| (iv) Debentures and Bonds                                                                                                                                                                                                               | 503,859,991          | 729,593,786          |
| (v) Subsidiaries/Joint Ventures/Associates                                                                                                                                                                                              | 65,226,913           | 64,926,913           |
| (vi) Others                                                                                                                                                                                                                             | 113,585,564          | 56,825,987           |
| [include investments in Mutual Funds, Security Receipts, Alternative Investment Funds, Venture Capital Funds, Real Estate Investment Trusts, Infrastructure Investment Trusts, Pass Through Certificates and Private Equity Fund (LLP)] |                      |                      |
| <b>Total Investments in India</b>                                                                                                                                                                                                       | <b>4,202,711,357</b> | <b>3,803,446,497</b> |
| <b>II. Investments outside India in -</b>                                                                                                                                                                                               |                      |                      |
| (i) Government Securities (including local authorities)                                                                                                                                                                                 | 241,865,393          | 154,352,666          |
| (ii) Subsidiaries/Joint Ventures abroad                                                                                                                                                                                                 | 30,209               | 30,209               |
| (iii) Others (include Equity Shares and Bonds)                                                                                                                                                                                          | 5,721,026            | 3,588,569            |
| <b>Total Investments outside India</b>                                                                                                                                                                                                  | <b>247,616,628</b>   | <b>157,971,444</b>   |
| <b>GRAND TOTAL (I+II)</b>                                                                                                                                                                                                               | <b>4,450,327,985</b> | <b>3,961,417,941</b> |

1. Includes securities of face value ₹1,25,648.67 crores (previous year ₹1,70,046.36 crores) pledged for availment of fund transfer facility, clearing facility, repo contracts and margin requirements



# Schedules forming part of the Balance Sheet

As on 31 March, 2026

## Schedule 9 - Advances

(₹ in Thousands)

|                                                                          | As on<br>31-03-2026   | As on<br>31-03-2025   |
|--------------------------------------------------------------------------|-----------------------|-----------------------|
| A. (i) Bills purchased and discounted                                    | 267,759,512           | 168,182,349           |
| (ii) Cash credits, overdrafts and loans repayable on demand <sup>1</sup> | 3,615,667,661         | 3,235,795,300         |
| (iii) Term loans                                                         | 8,452,271,592         | 7,004,135,554         |
| <b>TOTAL (i, ii and iii)</b>                                             | <b>12,335,698,765</b> | <b>10,408,113,203</b> |
| B. (i) Secured by tangible assets <sup>2</sup>                           | 8,969,319,749         | 7,563,191,860         |
| (ii) Covered by Bank/Government Guarantees <sup>3</sup>                  | 13,857,094            | 18,317,573            |
| (iii) Unsecured                                                          | 3,352,521,922         | 2,826,603,770         |
| <b>TOTAL (i, ii and iii)</b>                                             | <b>12,335,698,765</b> | <b>10,408,113,203</b> |
| C. I. Advances in India                                                  |                       |                       |
| (i) Priority Sector                                                      | 4,431,434,799         | 3,845,589,259         |
| (ii) Public Sector                                                       | 129,151,470           | 120,805,783           |
| (iii) Banks                                                              | 121,480,967           | 157,444,059           |
| (iv) Others                                                              | 7,205,374,214         | 5,987,166,756         |
| <b>TOTAL (i, ii, iii and iv)</b>                                         | <b>11,887,441,450</b> | <b>10,111,005,857</b> |
| II. Advances Outside India                                               |                       |                       |
| (i) Due from banks                                                       | 48,970,470            | 3,376,263             |
| (ii) Due from others -                                                   |                       |                       |
| (a) Bills purchased and discounted                                       | 103,399,075           | 64,067,482            |
| (b) Syndicated loans                                                     | -                     | -                     |
| (c) Others                                                               | 295,887,770           | 229,663,601           |
| <b>TOTAL (i and ii)</b>                                                  | <b>448,257,315</b>    | <b>297,107,346</b>    |
| <b>GRAND TOTAL (CI+CII)</b>                                              | <b>12,335,698,765</b> | <b>10,408,113,203</b> |

1. Net of borrowings under Inter-Bank Participation Certificate (IBPC) ₹18,287.86 crores (previous year ₹20,192.94 crores), includes lending under IBPC ₹14,500 crores (previous year ₹1,350.00 crores)
2. Includes advances against Book Debts
3. Includes advances against L/Cs issued by other banks

# Schedules forming part of the Balance Sheet

As on 31 March, 2026

## Schedule 10 - Fixed Assets

(₹ in Thousands)

|                                                                                    | As on<br>31-03-2026 | As on<br>31-03-2025 |
|------------------------------------------------------------------------------------|---------------------|---------------------|
| <b>I. Premises</b>                                                                 |                     |                     |
| <b>Gross Block</b>                                                                 |                     |                     |
| At cost as on 31 March of the preceding year                                       | 20,221,464          | 20,221,464          |
| Additions during the year                                                          | -                   | -                   |
| Deductions during the year                                                         | -                   | -                   |
| <b>TOTAL</b>                                                                       | <b>20,221,464</b>   | <b>20,221,464</b>   |
| <b>Depreciation</b>                                                                |                     |                     |
| As on 31 March of the preceding year                                               | 3,323,940           | 3,042,034           |
| Charge for the year                                                                | 281,906             | 281,906             |
| Deductions during the year                                                         | -                   | -                   |
| Depreciation to date                                                               | <b>3,605,846</b>    | <b>3,323,940</b>    |
| <b>Net Block</b>                                                                   | <b>16,615,618</b>   | <b>16,897,524</b>   |
| <b>II. Other fixed assets (including furniture &amp; fixtures and intangibles)</b> |                     |                     |
| <b>Gross Block</b>                                                                 |                     |                     |
| At cost as on 31 March of the preceding year                                       | 255,921,358         | 237,839,446         |
| Additions during the year <sup>1</sup>                                             | 19,590,607          | 24,693,117          |
| Deductions during the year                                                         | (16,493,907)        | (6,611,205)         |
| <b>TOTAL</b>                                                                       | <b>259,018,058</b>  | <b>255,921,358</b>  |
| <b>Depreciation</b>                                                                |                     |                     |
| As on 31 March of the preceding year                                               | 210,913,842         | 200,596,581         |
| Charge for the year                                                                | 17,807,877          | 16,709,457          |
| Deductions during the year                                                         | (15,980,333)        | (6,392,196)         |
| Depreciation to date                                                               | <b>212,741,386</b>  | <b>210,913,842</b>  |
| <b>Net Block</b>                                                                   | <b>46,276,672</b>   | <b>45,007,516</b>   |
| <b>III. CAPITAL WORK-IN-PROGRESS (including capital advances)</b>                  | <b>2,601,326</b>    | <b>1,011,945</b>    |
| <b>GRAND TOTAL (I+II+III)</b>                                                      | <b>65,493,616</b>   | <b>62,916,985</b>   |

1. includes movement on account of exchange rate fluctuation

# Schedules forming part of the Balance Sheet

As on 31 March, 2026

## Schedule 11 - Other Assets

(₹ in Thousands)

|                                                                       | As on<br>31-03-2026 | As on<br>31-03-2025 |
|-----------------------------------------------------------------------|---------------------|---------------------|
| I. Inter-office adjustments (net)                                     | -                   | -                   |
| II. Interest Accrued                                                  | 135,885,126         | 139,696,834         |
| III. Tax paid in advance/tax deducted at source (net of provisions)   | 8,633,856           | 11,053,461          |
| IV. Stationery and stamps                                             | 29,773              | 34,647              |
| V. Non-banking assets acquired in satisfaction of claims <sup>1</sup> | -                   | -                   |
| VI. MTM gain on forex & derivative contracts                          | 484,770,125         | 204,964,200         |
| VII. Others <sup>2,3</sup> [Refer Schedule 18 (1.15)(I)]              | 338,632,742         | 313,780,598         |
| <b>TOTAL</b>                                                          | <b>967,951,622</b>  | <b>669,529,740</b>  |

- Represents balance net of provision of ₹1,855.85 crores (previous year ₹1,855.85 crores) on Land held as non-banking asset
- Includes deferred tax assets of ₹6,489.55 crores (previous year ₹4,441.01 crores) [Refer Schedule 18 (2.8)]
- Includes Priority Sector Shortfall Deposits of ₹8,689.52 crores (previous year ₹14,450.47 crores)

## Schedule 12 - Contingent Liabilities

(₹ in Thousands)

|                                                                                  | As on<br>31-03-2026   | As on<br>31-03-2025   |
|----------------------------------------------------------------------------------|-----------------------|-----------------------|
| I. Claims against the Bank not acknowledged as debts                             | 19,113,547            | 14,772,169            |
| II. Liability for partly paid investments                                        | 1,448,501             | 1,266,410             |
| III. Liability on account of outstanding forward exchange contracts <sup>1</sup> | 14,211,016,883        | 12,565,884,623        |
| IV. Liability on account of outstanding derivative contracts <sup>1</sup>        | 12,676,646,735        | 13,695,933,799        |
| V. Guarantees given on behalf of constituents                                    |                       |                       |
| (a) In India                                                                     | 1,452,901,884         | 1,216,989,034         |
| (b) Outside India                                                                | 234,269,278           | 194,901,126           |
| VI. Acceptances, endorsements and other obligations                              | 710,934,618           | 553,414,271           |
| VII. Other items for which the Bank is contingently liable                       | 988,997,784           | 513,319,488           |
| <b>GRAND TOTAL</b> [Refer Schedule 18 (2.14)]                                    | <b>30,295,329,230</b> | <b>28,756,480,920</b> |

- Represents notional amount

# Schedules forming part of the Profit and Loss Account

As on 31 March, 2026

## Schedule 13 - Interest Earned

(₹ in Thousands)

|                                                                                 | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|---------------------------------------------------------------------------------|--------------------------|--------------------------|
| I. Interest/discount on advances/bills                                          | 995,081,884              | 972,002,671              |
| II. Income on investments                                                       | 252,997,981              | 229,283,393              |
| III. Interest on balances with Reserve Bank of India and other inter-bank funds | 12,735,014               | 12,362,220               |
| IV. Others                                                                      | 9,507,455                | 13,122,117               |
| <b>TOTAL</b>                                                                    | <b>1,270,322,334</b>     | <b>1,226,770,401</b>     |

## Schedule 14 - Other Income

(₹ in Thousands)

|                                                                                                             | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|-------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|
| I. Commission, exchange and brokerage                                                                       | 225,365,094              | 205,450,773              |
| II. Profit/(Loss) on sale of investments (net)                                                              | 16,138,796               | 12,842,508               |
| III. Profit/(Loss) on revaluation of investments (net)                                                      | (8,752,762)              | 7,005,061                |
| IV. Profit/(Loss) on sale of land, buildings and other assets (net) <sup>1</sup>                            | 35,293                   | (94,480)                 |
| V. Profit/(Loss) on exchange/derivative transactions (net)                                                  | 25,425,493               | 21,627,818               |
| VI. Income earned by way of dividends etc. from subsidiaries/companies and/or joint venture abroad/in India | 150,000                  | 245,813                  |
| VII. Miscellaneous Income [Refer Schedule 18 (1.15)(m)]                                                     | 2,946,557                | 5,493,069                |
| <b>TOTAL</b>                                                                                                | <b>261,308,471</b>       | <b>252,570,562</b>       |

1. includes provision for diminution in value of fixed assets

## Schedule 15 - Interest Expended

(₹ in Thousands)

|                                                             | As on<br>31-03-2026 | As on<br>31-03-2025 |
|-------------------------------------------------------------|---------------------|---------------------|
| I. Interest on deposits                                     | 565,441,071         | 539,016,849         |
| II. Interest on Reserve Bank of India/Inter-bank borrowings | 15,803,236          | 20,559,565          |
| III. Others                                                 | 128,597,633         | 123,715,798         |
| <b>TOTAL</b>                                                | <b>709,841,940</b>  | <b>683,292,212</b>  |

## Schedule 16 - Operating Expenses

(₹ in Thousands)

|                                             | As on<br>31-03-2026 | As on<br>31-03-2025 |
|---------------------------------------------|---------------------|---------------------|
| I. Payments to and provisions for employees | 122,659,216         | 121,927,882         |
| II. Rent, taxes and lighting                | 21,131,730          | 20,118,560          |
| III. Printing and stationery                | 2,392,336           | 3,705,398           |
| IV. Advertisement and publicity             | 1,090,459           | 1,219,803           |
| V. Depreciation on bank's property          | 18,089,783          | 16,991,363          |
| VI. Directors' fees, allowance and expenses | 61,783              | 62,475              |
| VII. Auditors' fees and expenses            | 54,542              | 44,292              |
| VIII. Law charges                           | 2,203,592           | 2,077,090           |
| IX. Postage, telegrams, telephones etc.     | 3,802,173           | 4,291,675           |
| X. Repairs and maintenance                  | 25,312,895          | 21,678,459          |
| XI. Insurance                               | 19,875,010          | 17,862,954          |
| XII. Other expenditure <sup>1</sup>         | 176,947,265         | 165,019,477         |
| <b>TOTAL</b>                                | <b>393,620,784</b>  | <b>374,999,428</b>  |

1. Includes commission paid to direct selling agents, charges paid to network partners, cashback expenses, fees paid for purchase of Priority Sector Lending Certificates, professional fees, technology expenses, business promotion expenses and miscellaneous expenses

## 17 Significant Accounting Policies to the Standalone Financial Statements

for the year ended 31 March, 2026

### 1. Background

Axis Bank Limited ('the Bank') was incorporated in 1993 and provides a complete suite of banking and financial services including retail banking, wholesale banking and treasury operations. The Bank is primarily governed by the Banking Regulation Act, 1949. As on 31 March 2026, the Bank has overseas branches at Singapore, DIFC - Dubai and an Offshore Banking Unit at the International Financial Service Centre (IFSC), Gujarat International Finance Tec-City (GIFT City), Gandhinagar, India.

### 2. Basis of preparation

The standalone financial statements ('financial statements') have been prepared and presented under the historical cost convention on the accrual basis of accounting in accordance with the generally accepted accounting principles in India, unless otherwise stated by the Reserve Bank of India ('RBI'), to comply with the statutory requirements prescribed under the Third Schedule of the Banking Regulation Act, 1949, the circulars, notifications, guidelines and directives issued by the RBI from time to time and the Accounting Standards notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021 to the extent applicable and practices generally prevalent in the banking industry in India. Accounting policies applied have been consistent with the previous year except otherwise stated.

### 3. Use of estimates

The preparation of the financial statements in conformity with the generally accepted accounting principles requires the Management to make estimates and assumptions that affect the reported amounts of assets and liabilities (including contingent liabilities) at the date of the financial statements, revenues and expenses during the reporting period. Actual results could differ from those estimates. The Management believes that the estimates and assumptions used in the preparation of the financial statements are prudent and reasonable. Any revisions, as and when carried out, to the accounting estimates are recognised prospectively in the current and future periods.

### 4. Significant accounting policies

#### 4.1 Investments

##### Classification

In accordance with the RBI guidelines, investments (except investments in subsidiaries, joint ventures and associates) are classified at the time of acquisition as:

- Held to Maturity ('HTM');
- Available for Sale ('AFS') and
- Fair Value through Profit and Loss (FVTPL) with Held for Trading (HFT) as a separate investment subcategory within FVTPL.

##### Classification of Investments in the Balance sheet

For disclosure in the Balance Sheet, investments in India are classified under six categories - Government Securities, Other Approved Securities, Shares, Debentures and Bonds, Investment in Subsidiaries/Joint Ventures/Associates and Others. Investments made outside India are classified under three categories - Government Securities, Subsidiaries and/or Joint Ventures abroad and Others.

All investments are accounted for on settlement date, except investments in equity shares which are accounted for on trade date.



### i. Held to Maturity ('HTM')

The Bank classifies investments as HTM, if both of the following conditions are met:

- The investment is acquired with the intention and objective of holding it to maturity, i.e., the financial assets are held with an objective to collect the contractual cash flows; and
- The contractual terms of the investment give rise to cash flows that are solely payments of principal and interest on principal outstanding ('SPPI criterion') on specified dates.

### ii. Available for Sale ('AFS')

The Bank classifies investments as AFS, if both the following conditions are met:

- The investment is acquired with an objective which is achieved by both collecting contractual cash flows and selling securities; and
- The contractual terms of the investment give rise to cash flows that meet SPPI criterion on specified dates.

The Bank, upon initial recognition, may make an irrevocable election to classify an equity instrument as an AFS that is not held with the objective of trading.

### iii. Fair Value through Profit and Loss (FVTPL)

The investments that are not classified as HTM or AFS are classified as FVTPL. The Bank classifies investments in FVTPL category as either FVTPL-Held for Trading ('HFT') or FVTPL Non-HFT. Any investment held by the Bank for one or more of the following purposes is, when it is first recognised on its books, designated as a FVTPL HFT:

- short-term resale;
- profiting from short-term price movements;
- locking in arbitrage profits; or
- hedging risks that arise from instruments meeting all of the above

Investments in listed equities, trading-related repo-style transactions, instruments resulting from market-making activities, equity investments in a fund are included in FVTPL HFT category. Investments in unlisted equities are included in FVTPL Non-HFT category.

All other investments forming part of FVTPL category are classified as FVTPL Non-HFT.

### Investments in Subsidiaries, Associates and Joint Ventures

All investments in subsidiaries, associates and joint ventures held by Bank are classified under this category separately from the aforesaid investment categories.

### Initial recognition

The Bank measures all investments at fair value on initial recognition. Unless facts and circumstances suggest that the fair value is materially different from the acquisition cost, it is presumed that the acquisition cost is the fair value. Any discount or premium on the investments under HTM category is amortised over the remaining life of the instrument on a constant yield basis.

### i. Acquisition cost

Costs incurred at the time of acquisition, pertaining to investments, such as brokerage, commission etc. are charged to the Profit and Loss Account. Broken period interest is charged to the Profit and Loss Account. Cost of investments is computed based on the weighted average cost method.

### ii. Day 1 gain/loss

Day 1 Gain/loss is the difference between the fair value at initial recognition and acquisition cost. Any Day 1 gain/loss arising on quoted investments is recognized in the Profit and Loss Account. Any Day 1 loss arising

from Level 3 investments is recognised immediately. Any Day 1 gains arising from Level 3 investments is deferred. In the case of debt instruments, the Day 1 gain is amortized on a straight-line basis up to the maturity date (or earliest call date for perpetual instruments), while for unquoted equity instruments, the gain is set aside as a liability until the security is listed or derecognised.

### iii. Subsequent measurement

#### a. Investments classified under the HTM category

Investments held in HTM category are carried at cost and are not Mark-to-Market (MTM) after initial recognition. The amortised amount is reflected under item II 'Income on Investments' of Schedule 13: 'Interest Earned' with a contra in Schedule 8: 'Investments'.

Realised gains on sale of investments in HTM category are recognised in the Profit and Loss Account and subsequently appropriated to the Capital Reserve Account (net of taxes and transfer to statutory reserves) in accordance with the RBI guidelines. Realised losses are recognised in the Profit and Loss Account.

#### b. Investments classified under AFS category

Investments held in AFS category are fair valued. Any discount or premium on the acquisition of debt securities under AFS is amortised over the remaining life of the instrument on a constant yield basis. The amortised amount is reflected in the financial statements under item II 'Income on Investments' of Schedule 13: 'Interest Earned' with a contra in Schedule 8: 'Investments'.

The net valuation gains and losses across all performing investments under AFS is aggregated and the net appreciation or depreciation (net of tax) is directly credited or debited to the AFS Reserve without routing through the Profit & Loss Account.

The AFS-Reserve is reckoned as Common Equity Tier (CET) 1 capital but not available for distribution of dividend and coupon on Additional Tier I instruments.

On sale or maturity of a debt instrument in AFS category, the accumulated gain/ loss for that security in the AFS Reserve is transferred from the AFS Reserve and recognized in the Profit and Loss Account.

In the case of equity instruments designated under AFS at the time of initial recognition, any gain or loss on sale of such investments is transferred from AFS Reserve to Capital Reserve in accordance with the RBI Investment Direction, 2023.

#### c. Investments classified under FVTPL category

Investments held under FVTPL category are fair valued and the net gain or loss arising on such valuation is directly credited or debited to the Profit and Loss Account. Any discount or premium on the debt securities under FVTPL category is amortised over the remaining life of the instrument. The amortised amount is reflected in the financial statements under item II 'Income on Investments' of Schedule 13: 'Interest Earned' with a contra in Schedule 8: 'Investments'.

#### d. Investments in Subsidiaries, Associates and Joint Ventures

The Bank measures all the investments (i.e., including debt and equity) in subsidiaries, associates and joint ventures at acquisition cost.

Any discount or premium on the acquisition of debt securities of subsidiaries, associates and joint ventures is amortised over the remaining life of the instrument. The amortised amount is reflected in the financial statements under item II 'Income on Investments' of Schedule 13: 'Interest Earned'.

### Valuation

The Bank determines the fair values of its investments according to the following hierarchy:

Level 1: Valuation based on quoted market price: These investments are valued with quoted prices (unadjusted) for identical instruments in active markets that the Bank can access at the measurement date.

Level 2: Valuation based on using observable inputs: These investments are valued with inputs other than quoted prices included within Level 1, that are observable, either directly or indirectly.

Level 3: Valuation technique with significant unobservable inputs: These investments are valued using valuation techniques where one or more significant inputs are unobservable.

The fair value of various types of instruments is determined as per the valuation norms laid down in RBI guidelines, as follows:

- The fair value of quoted investments (other than discounted instruments) included in the AFS and FVTPL categories is considered as available from the trades/quotes on the stock exchanges or prices, yield and spread matrix declared by the Fixed Income Money Market and Derivatives Association of India ('FIMMDA')/ Financial Benchmark India Private Limited ('FBIL'), periodically.
- Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits being discounted instruments, are valued at carrying cost which includes discount accreted over the period to maturity.
- Units of mutual funds are valued at the latest repurchase price/Net Asset Value ('NAV') declared by the mutual fund.
- Units of Venture Capital Funds ('VCF') and Unquoted Alternative Investment Fund (AIFs) are valued at Net Asset Value (NAV) declared by the funds. Where an AIF fails to carry out and disclose the valuation of its investments by an independent valuer as per the frequency mandated by SEBI (Alternative Investment Fund) Regulations, 2012, the value of its units is treated as Re. 1. In case AIF is not registered under SEBI (Alternative Investment Fund) Regulations, 2012 and the latest disclosed valuation of its investments by an independent valuer precedes the date of valuation by more than 18 months, the value of its units is treated as Re. 1.
- Investments in Subsidiaries, Associates and Joint Ventures category are assessed for impairment to determine permanent diminution, if any, in accordance with the RBI guidelines and suitable provisions are made.
- The fair value of investments where current quotations are not available, is determined in accordance with the norms prescribed by the RBI/FIMMDA/FBIL as under:
  - a) The fair value of unquoted government securities which are in the nature of Statutory Liquidity Ratio ('SLR') securities forming part of AFS, FVTPL-HFT and FVTPL Non-HFT categories are computed as per the rates published by FIMMDA/FBIL.
  - b) In case of special bonds issued by the Government of India that do not qualify for SLR purposes, unquoted bonds, debentures and preference shares where interest/dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the Yield to Maturity ('YTM') for such securities as published by FIMMDA/FBIL and suitably marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each category and credit ratings along with residual maturity issued by FIMMDA/FBIL is adopted for this purpose.
  - c) In case of bonds & debentures where interest is not received regularly (i.e. overdue beyond 90 days), the valuation is in accordance with prudential norms for provisioning as prescribed by the RBI.
  - d) Pass Through Certificates (PTCs) are valued based on yields published by FIMMDA, suitably adjusted downwards for the quality and characteristics of the underlying pool of assets in the PTCs.
  - e) Equity shares, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the company's latest Balance Sheet (not older than 18 months). In case the latest Balance Sheet is not available, the shares are valued at Re. 1 per company.
  - f) Valuation of investments in private equity funds and limited liability partnership funds is based on valuation of their underlying exposures.
  - g) Investments in listed instruments of Real Estate Investment Trust ('REIT')/Infrastructure Investment Trust ('INVIT') are valued at the closing price on the recognised stock exchange. In case the instruments

are not traded on any stock exchange for a period of 30 days, valuation is carried out based on lower of the latest NAV (not older than 1 year) submitted by the trust or the last available traded price.

- h) Investments in Government guaranteed Security Receipts ('SRs') are valued periodically by reckoning the Net Asset Value (NAV) declared by the Asset Reconstruction Company ('ARC') based on the recovery ratings received for such instruments. Any Government guaranteed SRs outstanding after the final settlement of the Government guarantee or the expiry of the guarantee period, whichever is earlier, are valued at one rupee (₹1).

Investments in other SRs are valued as per the NAV declared by the issuing ARC or net book value of loans transferred or estimated recoverable value based on Bank's internal assessment on case to case basis, whichever is lower. Investments in such Security Receipts where original maturity period has expired are valued at one rupee (₹1).

In case of investments in SRs which are backed by more than 10 percent of the stressed assets sold by the Bank, the valuation of such SRs is additionally subject to a floor of face value of the SRs reduced by the provisioning rate as per the extant asset classification and provisioning norms as applicable to the underlying loans, assuming that the loan notionally continued in the books of the Bank.

#### **Investment asset classification and provisioning**

Investments under HTM, AFS and FVTPL category are subjected to income recognition, asset classification and provisioning norms of RBI. Non-performing Investments (NPIs) are identified and provision is made thereon in the Profit and Loss account, as per the RBI guidelines. Once an investment becomes NPI, the Bank segregates it from rest of the portfolio and does not consider it for netting valuation gains and losses. An NPI investment is segregated from other investments within the same category [i.e., HTM, AFS, or FVTPL] under which it was classified at initial recognition. Interest on NPIs is not recognized in the Profit and Loss Account until received. MTM appreciation in case of NPIs over and above the book value is not recognized and ignored.

#### **Reclassification between categories**

Reclassification of investments between categories (viz. HTM, AFS and FVTPL) if any is carried out only after, prior approval of Board of Directors and RBI and the same is accounted for in accordance with the RBI guidelines.

#### **Short sales**

In accordance with the RBI guidelines, the Bank undertakes short sale transactions in Central Government dated securities. Such short positions are categorised under FVTPL category and netted off from investments in the Balance Sheet. These positions are marked-to-market along with the other securities under FVTPL portfolio and the resultant MTM gains/losses are accounted for as per the relevant RBI guidelines for valuation of investments.

## **4.2 Repurchase and reverse repurchase transactions**

### **Repurchase transactions ('Repos')**

Repurchase transactions in Government securities and corporate debt securities including those conducted under the Liquidity Adjustment Facility ('LAF') and Marginal Standby Facility ('MSF') with RBI are accounted for as collateralised borrowings. Accordingly, securities given as collateral under an agreement to repurchase them, continue to be held under the investment account and the Bank continues to accrue the coupon on the security during the repo period. Borrowing cost on such repo transactions is accounted as interest expense in "Schedule 15 – Interest Expended" in the Profit and Loss Account.

### **Reverse repurchase transactions ('Reverse repos')**

Reverse repurchase transactions with RBI with original maturity upto 14 days, including those conducted under the Liquidity Adjustment Facility ('LAF') and Standing Deposit Facility ('SDF'), are accounted for as collateralised lending under "Schedule 6 - Balances with RBI - in Other Accounts". Reverse repurchase transactions with banks and other financial institutions with original maturity upto 14 days, are accounted for as collateralised lending under

“Schedule 7 - Balances with Banks and Money at call and short notice”. Revenue on such reverse repos is accounted for as interest income under “Schedule 13 – Interest Earned – Interest on balances with Reserve Bank of India and Other Inter-bank Funds” in the Profit and Loss Account.

Reverse repos with original maturity of more than 14 days are accounted for as collateralised lending under “Schedule 9 - Advances”. Revenue on such reverse repos is accounted for as interest income under “Schedule 13 - Interest Earned – Interest/discount on advances/bills” in the Profit and Loss account.

### 4.3 Advances

#### Classification and measurement of advances

Advances are classified into performing and non-performing advances ('NPAs') as per the RBI guidelines and are stated net of bills rediscounted, inter-bank participation certificates, specific provisions made towards NPAs, interest in suspense for NPAs, claims received from Export Credit Guarantee Corporation, provisions for funded interest on term loans classified as NPAs and floating provisions. Structured collateralised foreign currency loans extended to customers and deposits received from the same customer are reported on a net basis.

The Bank transfers advances through inter-bank participation with and without risk. In accordance with the RBI guidelines, in the case of participation with risk, the aggregate amount of the participation issued by the Bank is reduced from advances and where the Bank is participating, the aggregate amount of the participation is classified under advances. In the case of participation without risk, the aggregate amount of participation issued by the Bank is classified under borrowings and where the Bank is participating, the aggregate amount of participation is shown as due from banks under advances.

#### Non-performing advances and provision on non-performing advances

NPAs are classified into sub-standard, doubtful and loss assets based on the criteria stipulated by the RBI. Advances held at the overseas branches that are identified as impaired as per host country regulations for reasons other than record of recovery, but which are standard as per the RBI guidelines, are classified as NPAs to the extent of amount outstanding in the host country. NPAs are upgraded to standard as per the extant RBI guidelines.

Provisions for NPAs are made for sub-standard and doubtful assets at rates as prescribed by the RBI with the exception of schematic retail advances, agriculture advances and advances to Commercial Banking segment. In respect of schematic retail advances, provisions are made in terms of a bucket-wise policy upon reaching specified stages of delinquency (90 days or more of delinquency) under each type of loan, which satisfies the RBI prudential norms on provisioning. Provisions in respect of Commercial Banking segment advances and agriculture advances classified into sub-standard and doubtful assets are made at rates which are higher than those prescribed by the RBI.

Provisions for advances booked in overseas branches, which are standard as per the RBI guidelines but are identified as impaired as per host country regulations for reasons other than record of recovery, are made as per the host country regulations.

In case of NPAs referred to the National Company Law Tribunal ('NCLT') under the Insolvency and Bankruptcy Code, 2016 ('IBC') where resolution plan or liquidation order has been approved by NCLT, provision is maintained at higher of the requirement under the RBI guidelines or the likely haircut as per resolution plan or liquidation order.

Loans reported as fraud are classified as loss assets, and fully provided for immediately without considering the value of security.

#### Provision on restructured assets

Restructured assets including compromise settlements where the time for payment of the agreed settlement amount exceeds three months are classified and provided for in accordance with the guidelines issued by the RBI from time to time.

In respect of advances where resolution plan has been implemented under the RBI guidelines on “Resolution Framework for COVID 19-related Stress” and “Micro, Small and Medium Enterprises (MSME) Sector – Restructuring of Advances”,



provisions are maintained as per the internal framework of the Bank at rates which are higher than those specified under the extant RBI guidelines. Restructured loans are upgraded to standard as per the extant RBI guidelines.

Provisions held on restructured assets are reported in Schedule 5 – Other Liabilities and Provisions in the Balance Sheet.

### **Write-offs and recoveries from written-off accounts**

Write-offs are carried out in accordance with the Bank's policy.

Amounts recovered against debts written off are recognised in the Profit and Loss Account as a credit to Provision and Contingencies.

### **Appropriation of funds for standard advances**

In case of Equated Monthly Instalment (EMI) based standard retail advances, funds received from customers are appropriated in the order of principal, interest and charges. In case of other standard advances, funds received from customers are appropriated in the order of charges, interest and principal.

### **Other provisions on advances classified under Schedule 5 – 'Other Liabilities and Provisions' in the Balance Sheet**

The Bank recognises additional provisions as per the RBI's guidelines on accounts in default and with aggregate exposure above the threshold limits as laid down in the guidelines where the resolution plan is not implemented within the specified timelines. These provisions are written back on satisfying the conditions for reversal as per RBI guidelines.

In respect of borrowers classified as non-cooperative or wilful defaulters, the Bank makes accelerated provisions as per the extant RBI guidelines.

In the case of one-time settlements with borrowers that are entered into but not closed as on the reporting date, the Bank makes provisions which is the higher of (i) the provision required based on asset classification; and (ii) the amount of contracted sacrifice, on a portfolio basis.

The Bank makes incremental provisioning (determined based on a time scale and on occurrence of predefined events) on all outstanding advances and investments relating to borrowers tagged as Red Flagged Accounts ('RFA').

For entities with Unhedged Foreign Currency Exposure ('UFCE'), provision is made in accordance with the guidelines issued by the RBI, which requires ascertaining the amount of UFCE, estimating the extent of likely loss and estimating the riskiness of the unhedged position. Further, incremental capital is maintained in respect of such borrower counter parties in the highest risk category, in line with stipulations by the RBI.

Upto 31 December, 2025 the Bank maintained provisions for incremental exposure of the banking system to specified borrowers beyond the Normally Permitted Lending Limit ('NPLL') in proportion to the Bank's funded exposure to the specified borrowers as per the RBI guidelines.

The Bank maintains a general provision on standard advances at the rates prescribed by the RBI. In respect of advances to stressed sectors, such general provision is made at rates higher than the regulatory minimum as per the internal policy of the Bank. The general provision on corporate standard advances internally rated 'BB and Below' or 'Unrated' and all Special Mention Accounts-2 ('SMA-2') advances as reported to Central Repository of Information on Large Credits ('CRILC'), is maintained at rates that are higher than those prescribed by RBI. In case of overseas branches, general provision on standard advances is maintained at the higher of the levels stipulated by the respective overseas regulator or by the extant RBI guidelines. The Bank also maintains general provision on positive Mark-to-Market (MTM) on derivative transactions at the rates prescribed under the extant RBI guidelines.

The Bank maintains additional specific provision on projects under implementation which have availed deferment in date of commencement of commercial operations and are classified as standard as per extant RBI guidelines.

The Bank also maintains additional provision on standard accounts in a particular borrower group where one or more entity in the group is classified as NPA, subject to the aggregate outstanding of such entities being above a certain threshold limit. Such provision is in addition to and at rates higher than the provision for standard assets as prescribed by RBI.

The Bank also maintains provision on non-funded outstanding in relation to NPAs, prudentially written off accounts, corporate standard advances internally rated 'BB and Below' or 'Unrated' and all SMA-2 advances as reported to CRILC.

Under its home loan portfolio, the Bank offers housing loans with certain features involving waiver of EMIs for a specific period subject to fulfilment of certain conditions by the borrower. The Bank makes provision against the probable loss that could be incurred in future on account of these waivers to eligible borrowers, based on actuarial valuation conducted by an independent actuary.

As approved by the Board of Directors, the Bank holds prudent provision of ₹7,013 crores towards certain standard advances and / or exposures.

#### 4.4 Country risk

In addition to the provisions required to be held according to the asset classification status, provisions are held for individual country exposure (other than for home country) as per the RBI guidelines. Such provisions are held only in respect of those countries where the net funded exposure of the Bank exceeds 1% of its total assets. For this purpose, the countries are categorized into seven risk categories namely insignificant, low, moderate, high, very high, restricted and off-credit as per internal parameters in accordance with RBI guidelines. Provision is made on exposures exceeding 180 days on a graded scale ranging from 0.25% to 100%. For exposures with contractual maturity of less than 180 days, 25% of the normal provision requirement is held. If the net funded exposure of the Bank in respect of each country does not exceed 1% of the total assets, no provision is maintained on such country exposure in accordance with RBI guidelines. Indirect exposure is reckoned at 50% of the exposure. This provision is classified under Schedule 5 – Other Liabilities and Provisions in the Balance Sheet.

#### 4.5 Securitisation and transfer of assets

##### Securitisation of Standard Assets

The Bank enters into purchase/sale of corporate and retail loans through direct assignment/Special Purpose Vehicle ('SPV'). In most cases, post securitisation, the Bank continues to service the loans transferred to the assignee/SPV. The Bank also provides credit enhancement in the form of cash collaterals and/or by subordination of cash flows to Senior Pass Through Certificate holders. In respect of credit enhancements provided or recourse obligations (projected delinquencies, future servicing etc.) accepted by the Bank, appropriate provision/disclosure is made at the time of sale in accordance with AS-29, Provisions, Contingent Liabilities and Contingent Assets as notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021. In accordance with RBI guidelines on Securitisation of Standard Assets, any loss, profit or premium realised at the time of the sale is accounted for in the Profit & Loss Account for the accounting period during which the sale is completed. However, in case of unrealised gains arising out of sale of underlying assets to the SPV, the profit is recognised in Profit and Loss Account only when such unrealised gains associated with such income is redeemed in cash.

##### Transfer of Loan Exposures

In accordance with RBI guidelines on Transfer of Loan exposures, any profit or loss arising post transfer of loans, which is realised, is accounted for and reflected in the Profit & Loss Account for the accounting period during which the transfer is completed. Loans acquired are carried at acquisition cost unless it is more than the outstanding principal at the time of the transfer, in which case the premium paid is amortised based on a straight-line method.

#### 4.6 Priority Sector Lending Certificates

The Bank enters into transactions for the sale or purchase of Priority Sector Lending Certificates ('PSLCs'). In the case of a sale transaction, the Bank sells the fulfilment of priority sector obligation and in the case of a purchase transaction the Bank buys the fulfilment of priority sector obligation through the RBI trading platform. There is no transfer of loan assets in PSLC transactions.

#### 4.7 Translation of Foreign Currency items

In respect of domestic operations, transactions denominated in foreign currencies are accounted for at the rates prevailing on the date of the transaction. Monetary foreign currency assets and liabilities are translated at the closing rates of exchange as notified by the Foreign Exchange Dealers Association of India ('FEDAI'). All profits/losses resulting from year end revaluations are recognised in the Profit and Loss Account.

Financial statements of foreign branches classified as non-integral foreign operations as per the RBI guidelines, are translated as follows:

- Assets and liabilities (both monetary and non-monetary as well as contingent liabilities) are translated at closing exchange rates notified by FEDAI at the Balance Sheet date.
- Income and expenses are translated at the rates prevailing on the date of the transactions.
- All resulting exchange differences are accumulated in a separate 'Foreign Currency Translation Reserve' (FCTR) till the disposal of the net investments. Any realised gains or losses on such disposal are recognised in the Profit and Loss Account except for those that relate to repatriation of accumulated profits which are reclassified from FCTR to 'Balance in Profit and Loss Account' under Schedule 2 – Reserves and Surplus in the Balance Sheet.

Contingent liabilities on account of forward exchange and derivative contracts, guarantees, acceptances, endorsements and other obligations denominated in foreign currencies are disclosed at closing rates of exchange notified by FEDAI.

#### 4.8 Foreign exchange and derivative contracts

Derivative transactions comprise of forward contracts, swaps, FRAs, futures and options which are disclosed as contingent liabilities. The forwards, swaps and options are categorised as trading or hedge transactions.

##### Trading derivatives

Trading derivative contracts are revalued based on actual traded and/or derived from curves published by external market sources or FBIL with the resulting unrealised gain or loss being recognised in the Profit and Loss Account and correspondingly in other assets (representing positive MTM) and in other liabilities (representing negative MTM) on a gross basis.

Outstanding forward exchange contracts including tom/spot contracts (excluding swaps undertaken to hedge foreign currency assets/liabilities and funding swaps) as at Balance Sheet date are revalued at closing spot and forward rates as applicable as notified by FEDAI/FBIL and at interpolated rates for contracts of interim maturities. Valuation is considered on present value basis by discounting the forward value till cash date using Alternative Reference Rate ('ARR') curve and converting the foreign currency amount using the respective spot rates as notified by FEDAI/FBIL. The resulting gains or losses on revaluation are included in the Profit and Loss Account.

Currency futures contracts are mark-to-market, using the daily settlement price on a trading day, which is the closing price of the respective futures contracts on that day. While the daily settlement price is computed based on the last half an hour weighted average price of such contracts, the final settlement price is taken as the RBI reference rate on the last trading day of the futures contracts or as may be specified by the relevant authority from time to time. All open positions are marked-to-market based on the settlement price and the resultant MTM profit/loss is daily settled with the exchange.

Valuation of Exchange Traded Currency Options ('ETCO') is carried out using internal pricing models and valuation of Interest Rate Futures ('IRF') is carried out on the basis of the daily settlement price of each contract provided by the exchange.

Premium on options is recognized as income/expense on expiry or early termination of the transaction.

##### Hedging derivatives including funding swaps

Foreign exchange forward contracts not intended for trading (including funding swaps), that are entered into to establish the amount of reporting currency required or available at the settlement date of a transaction, and are outstanding at the Balance Sheet date, are effectively valued at the closing spot rate. The premium or discount arising at the inception of such forward exchange contract is amortised on a straight-line basis as expense or income over the life of the contract.

For hedge transactions through other derivatives, the Bank identifies the hedged item (asset or liability) at the inception of transaction itself. The effectiveness is ascertained at the time of inception of the hedge and periodically thereafter. In case of a fair value hedge, the changes in the fair value of the hedging instruments and hedged items are recognized in the Profit and Loss Account and in case of cash flow hedges, the change in fair value of hedging instrument for the effective portion is recognised in Schedule 2- 'Reserves and Surplus' under 'Cash Flow Hedge Reserve' and the ineffective portion of an effective hedging relationship, if any, is recognised in the Profit and Loss Account. The accumulated balance in the Cash Flow Hedge Reserve, in an effective hedging relationship, is recycled in the Profit and Loss Account at the same time that the impact from the hedged item is recognised in the Profit and Loss Account.

### Provisioning

Pursuant to the RBI guidelines, any receivables under derivative contracts comprising of crystallised receivables as well as positive MTM in respect of future receivables which remain overdue for more than 90 days are reversed through the Profit and Loss account and are held in a separate suspense account under Schedule 5 – 'Other Liabilities and Provisions'.

## 4.9 Revenue recognition

Interest income is recognised on an accrual basis in accordance with AS-9, Revenue Recognition as notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014, the Companies (Accounting Standards) Rules, 2021 and the RBI guidelines, except in the case of interest income on non-performing assets where it is recognised on receipt basis as per the income recognition and asset classification norms of RBI. Any discount or premium on the investments in debt-securities is amortised as interest income over the remaining life of the instrument. Interest income on investments in PTCs is recognized on a constant yield basis.

Commission on Guarantees and Letters of Credit ('LC') is recognized on a pro-rata basis over the period of the Guarantee/ LC. Locker rent is recognized on a straight-line basis over the period of contract. Annual fee for credit cards and debit cards is recognised on a straight-line basis over the period of service. Arrangership/syndication fee is accounted for on completion of the agreed service and when the right to receive is established.

Loan processing fee is accounted for upfront when due, where the Bank is reasonably certain of ultimate collection. Penal charges on loans are recognized as income on actual realization.

Other fees and commission income are recognised when due, where the Bank is reasonably certain of ultimate collection. Payouts made to network partners and entities with co-branded arrangements, in the nature of sharing of fees or based on driver of volume/spends are netted off from the respective fee and commission income.

Dividend income is accounted on an accrual basis when the right to receive the dividend is established. Income from units of mutual funds / AIFs / VCFs is recognised on cash basis in line with regulatory guidelines.

Gain/loss on sell down of loans and advances through direct assignment is recognised at the time of sale.

Fees paid for purchase of PSLCs are amortised on straight-line basis over the tenor of the certificate as 'Other Expenditure' under Schedule 16 of the Profit and Loss Account. Fees received on sale of PSLCs are amortised on straight-line basis over the tenor of the certificate as 'Miscellaneous Income' under Schedule 14 of the Profit and Loss Account.

In accordance with RBI guidelines on sale of non-performing advances, if the sale is at a price below the net book value (i.e. book value less provisions held), the shortfall is charged to the Profit and Loss Account. If the sale is for a value higher than the net book value, the excess provision is credited to the Profit and Loss Account in the year the amounts are received.

## 4.10 Bullion

The Bank deals in bullion on a consignment basis. The difference between the amount recovered from customers and cost of bullion is accounted for at the time of sale to the customers. The Bank also deals in bullion on a borrowing and lending basis and the interest paid/received is accounted for on an accrual basis.

## 4.11 Fixed assets and depreciation

Fixed assets are carried at cost of acquisition less accumulated depreciation and impairment, if any. Cost includes initial handling and delivery charges, duties, taxes and incidental expenses related to the acquisition and installation of the

asset. Subsequent expenditure incurred on assets put to use is capitalised only when it increases the future economic benefit / functioning capability from / of such assets.

Capital work-in-progress includes cost of fixed assets that are not ready for their intended use and also includes advances paid to acquire fixed assets.

Depreciation is provided over the estimated useful life of a fixed asset on straight-line method from the date of addition. The Management believes that depreciation rates currently used, fairly reflect its estimate of the useful lives and residual values of fixed assets based on the historical experience of the Bank, though these rates in certain cases are different from those prescribed under Schedule II of the Companies Act, 2013. Whenever there is a revision of the estimated useful life of an asset, the unamortised depreciable amount is charged over the revised remaining useful life of the said asset.

| Asset                                         | Estimated useful life            | As per Companies Act, 2013 |
|-----------------------------------------------|----------------------------------|----------------------------|
| Leased Land                                   | As per the term of the agreement | -                          |
| Owned premises                                | 60 years                         | 60 years                   |
| Furniture and Fittings including interior     | 9 years to 10 years              | 10 years                   |
| Office/Electrical equipment and installations | 5 years to 10 years              | 5 years to 10 years        |
| Application software                          | 5 years                          | -                          |
| Vehicles                                      | 4 years                          | 8 years                    |
| Computer hardware including printers          | 3 years                          | 3 years                    |
| CCTV and video conferencing equipment         | 3 years                          | 5 years                    |

Assets costing less than ₹5,000 individually are fully depreciated in the year of purchase.

Depreciation on assets sold during the year is recognised on a pro-rata basis in the Profit and Loss Accounts till the date of sale.

Gains or losses arising from the retirement or disposal of fixed assets are determined as the difference between the net disposal proceeds and the carrying amount of assets and are recognised as income or expense in the Profit and Loss Account. Further, profit on sale of premises is appropriated to the Capital Reserve Account (net of taxes and transfer to Statutory Reserve) in accordance with RBI instructions.

#### 4.12 Impairment of Fixed Assets

The carrying amounts of fixed assets are reviewed at each Balance Sheet date to ascertain if there is any indication of impairment based on internal/external factors. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital. After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

#### 4.13 Non-banking assets

Non-banking assets ('NBAs') acquired in satisfaction of claims include land. In the case of land, the Bank creates provision and follows the accounting treatment as per specific RBI directions.

#### 4.14 Lease Transactions

Leases where the lessor effectively retains substantially all the risks and benefits of ownership over the lease term are classified as operating lease. Lease payments for assets taken on operating lease are recognised as an expense in the Profit and Loss Account on a straight-line basis over the lease term, unless the payments are structured to increase in line with expected general inflation to compensate for the lessor's expected inflationary cost increase. Lease income from assets given on operating lease is recognized as income in the Profit and Loss Account on a straight-line basis over the lease term.



## 4.15 Employee benefits

### Short-term employee benefits

Short-term employee benefits comprise salaries and other compensations payable for services which the employee has rendered during the period. These are recognized at the undiscounted amount in the Profit and Loss Account.

### Defined benefit plans

The Bank has defined benefit plans in the form of provident fund, gratuity and resettlement allowance. Provident Fund and Gratuity are in the nature of funded defined benefit plans and resettlement allowance is in the nature of unfunded defined benefit plan.

- **Provident Fund**

Retirement benefit in the form of provident fund is a defined benefit plan wherein the contributions are charged to the Profit and Loss Account of the year when such contributions are due and when services are rendered by the employees. Further, an actuarial valuation is conducted by an independent actuary using the Projected Unit Credit Method as at 31 March each year to determine the deficiency, if any, in the interest payable on the contributions as compared to the interest liability as per the statutory rate declared by the Central Government and the shortfall, if any, due to fluctuations in price or impairment, in the aggregate asset values of the Trust as compared to the market value. Actuarial gains/losses are immediately recognised in the Profit and Loss Account and are not deferred.

The overseas branches of the Bank and its eligible employees contribute a certain percentage of their salary towards respective government schemes as per local regulatory guidelines.

- **Gratuity**

The Bank contributes towards gratuity fund (defined benefit retirement plan) administered by various insurers for eligible employees. Under this scheme, the settlement obligation remains with the Bank, although the insurers administer the scheme and determine the contribution premium required to be paid by the Bank. The plan provides a lump sum payment to vested employees at retirement or termination of employment based on the respective employee's salary and the years of employment with the Bank. The liability with regard to the gratuity fund is recognised based on actuarial valuation conducted by an independent actuary using the Projected Unit Credit Method as at each reporting date based on certain assumptions regarding rate of interest, salary growth, mortality and staff attrition. Actuarial gains/losses are immediately recognized in the Profit and Loss Account and are not deferred.

In respect of employees at overseas branches (other than expatriates), the liability with regard to gratuity is provided on the basis of a prescribed method as per local laws, wherever applicable.

- **Resettlement Allowance**

The Bank provides for resettlement allowance liability in the form of six months' pay at the time of separation, for certain eligible employees who moved to the Bank as part of the Citibank India Consumer Business acquisition. Provision for this liability is based on an actuarial valuation conducted by an independent actuary using the Projected Unit Credit Method as at 31 March each year based on certain assumptions regarding discount rate and salary escalation rate.

### Defined Contribution plans

- **Superannuation**

Select employees of the Bank are entitled to receive retirement benefits under the Bank's superannuation scheme either under a cash-out option through salary or under a defined contribution plan. For the employees covered under the defined contribution plan, the Bank contributes annually a sum equal to 10% of the employee's eligible annual basic salary to the Life Insurance Corporation of India (LIC), which undertakes to pay the lump sum and annuity benefit payments pursuant to the scheme. Such contributions are recognised in the Profit and Loss Account in the period in which they accrue.

- **National Pension Scheme ('NPS')**

In respect of employees who opt for contribution to the NPS, the Bank contributes a certain percentage of the total basic salary of such employees to the aforesaid scheme, a defined contribution plan, which is managed and administered by pension fund management companies. Such contributions are recognised in the Profit and Loss Account in the period in which they accrue.

### 4.16 Reward points

The Bank runs a loyalty program which seeks to recognize and reward customers based on their relationship with the Bank. Under the program, eligible customers are granted loyalty points redeemable in future, subject to certain conditions. In addition, the Bank continues to grant reward points in respect of certain credit cards (not covered under the loyalty program). The Bank estimates the provision for such loyalty/reward points using an actuarial method at the Balance Sheet date through an independent actuary, basis assumptions such as redemption rate, lapse rate, discount rate, value of reward points etc. Provision for the said reward points is then made based on the actuarial valuation report as furnished by the said independent actuary.

### 4.17 Taxation

Income tax expense is the aggregate amount of current tax and deferred tax charge. Current year taxes are determined in accordance with the relevant provisions of the Income Tax Act, 1961 and considering the material principles set out in the Income Computation and Disclosure Standards to the extent applicable. Deferred income taxes reflect the impact of current year timing differences between taxable income and accounting income for the year and reversal of timing differences of earlier years.

Deferred tax is measured based on the tax rates and the tax laws enacted or substantively enacted at the Balance Sheet date. Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off assets against liabilities representing current tax and the deferred tax assets and deferred tax liabilities relate to the taxes on income levied by same governing taxation laws.

Deferred tax assets are recognised only to the extent that there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised. The impact of changes in the deferred tax assets and liabilities is recognised in the Profit and Loss Account.

Deferred tax assets are recognised and reassessed at each reporting date, based upon the Management's judgement as to whether realisation is considered as reasonably certain. Deferred tax assets are recognised on carry forward of unabsorbed depreciation and tax losses only if there is virtual certainty supported by convincing evidence that such deferred tax asset can be realised against future profits.

### 4.18 Share issue expenses

Share issue expenses are adjusted from the Share Premium Account in terms of Section 52 of the Companies Act, 2013.

### 4.19 Corporate Social Responsibility

Expenditure towards Corporate Social Responsibility is recognised in the Profit and Loss Account in accordance with the provisions of the Companies Act, 2013.

### 4.20 Earnings per share

The Bank reports basic and diluted earnings per share in accordance with AS-20, Earnings per Share, as notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021. Basic earnings per share is computed by dividing the net profit after tax by the weighted average number of equity shares outstanding for the year.

Diluted earnings per share reflects the potential dilution that could occur if securities or other contracts to issue equity shares were exercised or converted during the year. Diluted earnings per share is computed using the weighted average number of equity shares and dilutive potential equity shares outstanding at the year end except where the results are anti-dilutive.

#### 4.21 Employee stock option/unit scheme

The Employee Stock Option Scheme ('the Scheme') provides for grant of stock options on equity shares of the Bank to employees and Directors, of the Bank and its subsidiaries. Under the Scheme, options are granted at an exercise price, which is equal to the fair market price of the underlying equity shares at the date of the grant. The fair market price is the latest available closing price, prior to the date of grant, on the stock exchange on which the shares of the Bank are listed. If the shares are listed on more than one stock exchange, then the stock exchange where there is highest trading volume on the said date is considered.

Further, the Employees Stock Unit Scheme ('the ESU Scheme') provides for grant of stock units convertible into equivalent number of fully paid-up equity share(s) of the Bank to eligible employees. The stock units are granted at an exercise price as determined by the Bank and specified at the time of grant which shall not be less than the face value of the equity shares of the Bank.

As per RBI guidelines, for options/units granted after 31 March, 2021, the Bank follows the fair value method and recognizes the fair value of such options/units computed using the Black-Scholes model without reducing estimated forfeitures, as compensation expense over the vesting period. On exercise of the stock options/units, the corresponding balance under Employee Stock Options/Units Outstanding account is transferred to the Share Premium account. In respect of the options/units which expire unexercised, the balance standing to the credit of Employee Stock Options/Units Outstanding account is transferred to the General Reserve. In respect of Employee Stock Options/Units which are granted to the employees of the subsidiaries, the Bank recovers the cost from the subsidiaries over the vesting period.

#### 4.22 Provisions, contingent liabilities and contingent assets

In accordance with AS-29 "Provisions, Contingent Liabilities and Contingent Assets", provision is recognised when the Bank has a present obligation as a result of past event where it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on the best estimate required to settle the obligation at the Balance Sheet date. These are reviewed at each Balance Sheet date and adjusted to reflect the current best estimates.

A disclosure of contingent liability is made when there is:

- a possible obligation arising from a past event, the existence of which will be confirmed by occurrence or non-occurrence of one or more uncertain future events not within the control of the Bank; or
- a present obligation arising from a past event which is not recognised as it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.

When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

Contingent assets are not recognised in the financial statements. However, contingent assets are assessed continually and if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

#### 4.23 Accounting for dividend

As per AS-4 'Contingencies and Events occurring after the Balance Sheet date' as notified by the Ministry of Corporate Affairs through the Companies (Accounting Standards) Rules, 2021, the Bank does not account for proposed dividend as a liability through appropriation from the Profit and Loss Account. The same is recognised in the year of actual payout post approval of the shareholders. However, the Bank considers proposed dividend in determining capital funds in computing the capital adequacy ratio as on the reporting date.

#### 4.24 Cash and cash equivalents

Cash and cash equivalents include cash in hand, rupee digital currency, balances with RBI, balances with other banks and money at call and short notice.

#### 4.25 Segment Reporting

The disclosure relating to segment information is made in accordance with AS-17: 'Segment Reporting' and relevant guidelines issued by the RBI.

## 18 Notes forming part of the Financial Statements

For the year ended 31 March, 2026

### 1 Statutory disclosures as per RBI

#### 1.1 Regulatory Capital

##### a) Composition of Regulatory Capital

The Bank's capital to risk-weighted assets ratio ('Capital Adequacy Ratio') is calculated in accordance with the RBI guidelines on Basel III capital regulations ('Basel III'). The minimum capital ratio requirement under Basel III is as follows:

| Minimum ratio of Capital to Risk-Weighted Assets (RWAs) | % of RWA |
|---------------------------------------------------------|----------|
| Common Equity Tier 1 (CET 1)                            | 8.00     |
| Tier 1 capital                                          | 9.50     |
| Total capital                                           | 11.50    |

The capital adequacy ratio of the Bank, calculated as per the RBI guidelines (under Basel III) is set out below:

|                                                                            | 31 March, 2026      | 31 March, 2025      |
|----------------------------------------------------------------------------|---------------------|---------------------|
| (₹ in crores)                                                              |                     |                     |
| <b>Capital</b>                                                             |                     |                     |
| Common Equity Tier I (CET I)                                               | 194,606.69          | 169,352.18          |
| Additional Tier I capital                                                  | 5,425.33            | 4,591.23            |
| <b>Tier I capital</b>                                                      | <b>200,032.02</b>   | <b>173,943.41</b>   |
| Tier II capital                                                            | 22,251.88           | 23,113.44           |
| <b>Total capital (Tier I + Tier II)</b>                                    | <b>222,283.90</b>   | <b>197,056.85</b>   |
| <b>Total Risk Weighted Assets (RWAs)</b>                                   | <b>13,53,451.99</b> | <b>11,54,074.65</b> |
| <b>Capital ratios</b>                                                      |                     |                     |
| CET I                                                                      | 14.38%              | 14.67%              |
| Tier I                                                                     | 14.78%              | 15.07%              |
| Tier II                                                                    | 1.64%               | 2.00%               |
| <b>Capital to Risk Weighted Assets Ratio (CRAR)</b>                        | <b>16.42%</b>       | <b>17.07%</b>       |
| <b>Leverage Ratio</b>                                                      | 9.03%               | 9.18%               |
| <b>Percentage of the Shareholding of Government of India</b>               | Nil                 | Nil                 |
| <b>Amount of paid-up equity capital raised during the year<sup>1</sup></b> | 2.16                | 2.16                |
| <b>Amount of Non-equity Tier I capital raised during the year</b>          | -                   | -                   |
| Perpetual Non-Cumulative Preference Shares                                 | -                   | -                   |
| Perpetual Debt Instruments                                                 | -                   | -                   |
| <b>Amount of Tier II capital raised during the year</b>                    | -                   | -                   |
| Debt Capital Instruments                                                   | -                   | -                   |
| Perpetual Cumulative Preference Shares (PCPS)                              | -                   | -                   |

1. During the year ended 31 March, 2026, the Bank raised ₹680.88 crores (consisting of share capital of ₹2.16 crores and share premium of ₹678.72 crores) pursuant to the exercise of options/units under its employee stock option/units scheme (Previous year ₹685.87 crores, consisting of share capital of ₹2.16 crores and share premium of ₹683.71 crores)

During the year ended 31 March, 2026, the Bank has not raised any non-equity Basel III compliant Tier-I/Tier-II capital.

During the year ended 31 March, 2026, the Bank redeemed non-equity Basel III compliant Tier-II capital, the details of which are set out below:

| Instrument        | Capital | Date of maturity   | Period     | Coupon | Amount           |
|-------------------|---------|--------------------|------------|--------|------------------|
| Subordinated debt | Tier-II | 30 September, 2025 | 120 months | 8.50%  | ₹1,500.00 crores |

During the year ended 31 March, 2025, the Bank has not raised any non-equity Basel III compliant Tier-I/Tier-II capital.

During the year ended 31 March, 2025, the Bank redeemed non-equity Basel III compliant Tier-II capital, the details of which are set out below:

| Instrument        | Capital | Date of maturity  | Period     | Coupon | Amount         |
|-------------------|---------|-------------------|------------|--------|----------------|
| Subordinated debt | Tier-II | 12 February, 2025 | 120 months | 8.45%  | ₹850.00 crores |

## b) Capital and Reserves and Surplus

### i) Share Capital

During the years ended 31 March, 2026 and 31 March, 2025, the Bank has not raised equity capital other than through allotment of equity shares to eligible employees upon exercise of options/units under its Employees Stock Option/ Units Scheme. During the year ended 31 March, 2026, pursuant to the exercise of options/units, the Bank has raised ₹680.88 crores, consisting of share capital of ₹2.16 crores and share premium of ₹678.72 crores (Previous year ₹685.87 crores, consisting of share capital of ₹2.16 crores and share premium of ₹683.71 crores).

### ii) Draw down from Reserves

During the years ended 31 March, 2026 and 31 March, 2025 the Bank has not undertaken any drawdown from reserves.

### iii) Capital Reserve

During the year ended 31 March, 2026, the Bank appropriated ₹506.52 crores (previous year ₹214.35 crores) to the Capital Reserve, net of taxes and transfer to Statutory Reserve, being the gain on sale of HTM investments in accordance with RBI guidelines.

### iv) Special Reserve

During the year ended 31 March, 2026, the Bank appropriated ₹976.81 crores (previous year ₹1,024.73 crores) to the Special Reserve created and maintained in terms of Section 36(1)(viii) of the Income-tax Act, 1961.

### v) Investment Reserve

Effective 1<sup>st</sup> April, 2024 the Bank adopted the revised framework as detailed in RBI Master Direction on Classification, Valuation and Operation of Investment Portfolio issued on 12 September, 2023 ('RBI Investment Direction 2023'). Accordingly in the previous year, as prescribed under the transition provisions of the RBI Investment Direction 2023, the Bank transferred the balance in the Investment Reserve Account as at 31 March, 2024 of ₹242.29 crores to the General Reserve.

### vi) General Reserve

During the year ended 31 March, 2026, the Bank transferred ₹2.55 crores (previous year ₹7.98 crores) to the General Reserve from the Employee Stock Options/Units Outstanding Account, in respect of vested employee stock options/ units that have lapsed during the year. The addition to General Reserve also includes ₹0.04 crores (previous year nil) on account of exchange rate fluctuation arising on revaluation of a part of General Reserve balance held in foreign currency.

Further during the previous year ended 31 March 2025, the Bank has also transferred to the General Reserve an amount of ₹242.29 crores from the Investment Reserve and an amount of ₹1,217.86 crores (net of tax) on account of reversal of balance in provision for depreciation on investments as at 31 March, 2024 and adjustment for the difference between the carrying value of its investment portfolio as per the revised framework and the previous carrying value as at 31 March, 2024, as per the transition provisions of RBI Investment Direction 2023.

### vii) Investment Fluctuation Reserve

During the year ended 31 March, 2026, the Bank appropriated ₹136.00 crores (previous year ₹248.00 crores) to the Investment Fluctuation Reserve in accordance with RBI guidelines.



**viii) Available for Sale (AFS) Reserve**

The valuation gains and losses for the year ended 31 March, 2026, across all performing investments held under AFS category investments are aggregated and the net loss amounting to ₹300.99 crores (net of tax) (previous year net gain of ₹110.39 crores) has been directly recognised in the AFS Reserve.

**ix) Cash Flow Hedge Reserve**

During the year ended 31 March, 2026, the Bank recognised a loss of ₹6.87 crores (previous year loss of ₹1.64 crores) in the Cash Flow Hedge Reserve on derivative contracts designated as cash flow hedge.

**1.2 Asset Liability management****a) Maturity pattern of certain items of assets and liabilities<sup>1</sup>**

As at 31 March, 2026

(₹ in crores)

|                                 | Deposits <sup>2</sup> | Advances <sup>2,3</sup> | Investments <sup>2,5</sup> | Borrowings <sup>2</sup> | Foreign Currency Assets <sup>4</sup> | Foreign Currency Liabilities <sup>4</sup> |
|---------------------------------|-----------------------|-------------------------|----------------------------|-------------------------|--------------------------------------|-------------------------------------------|
| 1 day                           | 21,994.83             | 6,768.46                | 199,911.20                 | -                       | 24,026.88                            | 1,056.63                                  |
| 2 days to 7 days                | 44,811.76             | 30,376.15               | 22,287.10                  | 458.17                  | 14,734.27                            | 2,670.15                                  |
| 8 days to 14 days               | 20,682.25             | 18,358.31               | 7,782.75                   | 1,376.59                | 3,078.89                             | 2,220.47                                  |
| 15 days to 30 days              | 37,183.92             | 29,189.57               | 10,619.88                  | 5,827.19                | 5,543.21                             | 4,474.23                                  |
| 31 days and upto 2 months       | 51,176.15             | 58,247.61               | 9,559.57                   | 7,486.84                | 4,370.81                             | 6,674.27                                  |
| Over 2 months and upto 3 months | 53,159.56             | 45,478.80               | 9,534.67                   | 11,125.16               | 7,240.63                             | 12,680.61                                 |
| Over 3 months and upto 6 months | 104,013.54            | 64,010.91               | 15,543.83                  | 38,804.14               | 10,618.38                            | 31,852.35                                 |
| Over 6 months and upto 1 year   | 211,869.61            | 97,830.01               | 37,868.73                  | 50,353.68               | 11,087.16                            | 27,346.33                                 |
| Over 1 year and upto 3 years    | 109,711.05            | 275,022.17              | 23,136.02                  | 70,628.39               | 11,057.21                            | 25,417.28                                 |
| Over 3 years and upto 5 years   | 6,497.97              | 149,481.35              | 4,786.25                   | 20,039.63               | 7,249.05                             | 4,996.57                                  |
| Over 5 years                    | 674,733.33            | 458,806.54              | 103,614.74                 | 29,170.82               | 33,364.49                            | 12,590.73                                 |
| <b>Total</b>                    | <b>13,35,833.97</b>   | <b>12,33,569.88</b>     | <b>444,644.73</b>          | <b>235,270.61</b>       | <b>132,370.98</b>                    | <b>131,979.62</b>                         |

As at 31 March, 2025

(₹ in crores)

|                                 | Deposits <sup>2</sup> | Advances <sup>2,3</sup> | Investments <sup>2,5</sup> | Borrowings <sup>2</sup> | Foreign Currency Assets <sup>4</sup> | Foreign Currency Liabilities <sup>4</sup> |
|---------------------------------|-----------------------|-------------------------|----------------------------|-------------------------|--------------------------------------|-------------------------------------------|
| 1 day                           | 19,725.27             | 9,009.03                | 150,290.01                 | -                       | 18,244.42                            | 828.23                                    |
| 2 days to 7 days                | 48,390.24             | 25,386.67               | 30,356.65                  | 292.11                  | 6,405.06                             | 2,006.05                                  |
| 8 days to 14 days               | 20,856.54             | 13,050.99               | 11,706.88                  | 446.51                  | 1,161.41                             | 2,000.94                                  |
| 15 days to 30 days              | 43,916.84             | 22,683.85               | 13,959.21                  | 3,330.65                | 5,485.67                             | 4,107.89                                  |
| 31 days and upto 2 months       | 51,965.92             | 60,368.17               | 12,861.37                  | 5,628.96                | 11,184.97                            | 6,880.45                                  |
| Over 2 months and upto 3 months | 54,111.68             | 31,257.99               | 11,387.57                  | 10,203.98               | 6,908.00                             | 9,663.60                                  |
| Over 3 months and upto 6 months | 97,622.04             | 40,740.37               | 14,964.04                  | 31,003.11               | 10,743.45                            | 22,387.51                                 |
| Over 6 months and upto 1 year   | 160,994.43            | 76,796.43               | 23,495.77                  | 33,639.38               | 4,796.35                             | 16,484.63                                 |
| Over 1 year and upto 3 years    | 76,932.86             | 217,950.51              | 23,825.03                  | 67,288.90               | 4,513.33                             | 18,279.92                                 |
| Over 3 years and upto 5 years   | 5,901.19              | 121,820.19              | 3,977.25                   | 7,567.74                | 3,722.42                             | 4,085.90                                  |
| Over 5 years                    | 592,535.01            | 421,747.12              | 98,932.49                  | 24,745.18               | 25,525.34                            | 11,435.14                                 |
| <b>Total</b>                    | <b>11,72,952.02</b>   | <b>10,40,811.32</b>     | <b>395,756.27</b>          | <b>184,146.52</b>       | <b>98,690.42</b>                     | <b>98,160.26</b>                          |

1. Classification of assets and liabilities under the different maturity buckets is based on the same estimates and assumptions as used by the Bank for compiling the return submitted to the RBI, which has been relied upon by the auditors
2. Includes foreign currency balances
3. For the purpose of disclosing the maturity pattern, advances that have been subject to risk participation vide Inter-Bank Participation Certificates ('IBPCs') and Funded Risk Participation ('FRPs') have been classified in the maturity bucket corresponding to the contractual maturities of IBPC/FRP instruments
4. Maturity profile of foreign currency assets and liabilities excludes off balance sheet items
5. Listed equity investments (except strategic investments) have been considered at 50% haircut as per RBI directions

**b) Disclosure on Liquidity Coverage Ratio****Qualitative disclosure**

The Bank has adopted the Basel III framework on liquidity standards as prescribed by RBI and has put in place requisite systems and processes to enable periodical computation and reporting of the Liquidity Coverage Ratio (LCR). The mandated regulatory threshold is embedded into the Risk Appetite Statement of the Bank thus subjecting LCR maintenance to Board oversight and periodical review. The Bank computes the LCR and reports the same to the Asset Liability Management Committee (ALCO) every month for review as well as to the Risk Management Committee of the Board.

The Bank computes LCR on a daily basis and in accordance with RBI guidelines the quarterly disclosures of LCR contain data on the simple average calculated on daily observations over the quarter.

The Bank follows the criteria laid down by RBI for calculation of High Quality Liquid Assets (HQLA), gross outflows and inflows within the next 30-day period. HQLA predominantly comprises Government securities viz. Treasury Bills, Central and State Government securities. A relatively smaller part of HQLA is accounted for by the corporate bonds with mandated haircuts applied thereto.

The Bank monitors the concentration of funding sources from significant counterparties, significant instruments/products as part of the asset liability management framework. The Bank adheres to the regulatory and internal limits on Inter-bank liability and call money borrowings which form part of the ALM policy. The Bank's funding sources are fairly dispersed across sources and maturities.

Expected derivative cash outflows and inflows are calculated for outstanding contracts in accordance with laid down valuation methodologies. Cash flows, if any, from collaterals posted against derivatives are not considered.

Apart from the LCR position in all currencies put together, the Bank monitors the LCR in US Dollar currency which qualifies as a significant currency as per RBI guidelines.

The liquidity management of the Bank is undertaken by the Asset Liability Management group in the Treasury department in accordance with the Board approved policies and ALCO approved funding plans. The Risk department measures and monitors the liquidity profile of the Bank with reference to the Board approved limits, for both domestic as well as overseas operations, on a static as well as on a dynamic basis by using the gap analysis technique supplemented by monitoring of key liquidity ratios and periodical liquidity stress testing. Periodical reports are placed before the Bank's ALCO for perusal and review. As per RBI guidelines, the Bank is required to maintain a minimum of 100% of Liquidity Coverage Ratio, which was applicable for all the quarters for the financial years ending on 31 March, 2026 and 31 March, 2025.

All significant outflows and inflows determined in accordance with RBI guidelines are included in the prescribed LCR computation template.

## Quantitative disclosure

(₹ in crores)

|                                                                                | Quarter ended<br>31 March, 2026           |                                         | Quarter ended<br>31 December, 2025        |                                         | Quarter ended<br>30 September, 2025       |                                         | Quarter ended<br>30 June, 2025            |                                         |
|--------------------------------------------------------------------------------|-------------------------------------------|-----------------------------------------|-------------------------------------------|-----------------------------------------|-------------------------------------------|-----------------------------------------|-------------------------------------------|-----------------------------------------|
|                                                                                | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) |
| <b>High Quality Liquid Assets</b>                                              |                                           |                                         |                                           |                                         |                                           |                                         |                                           |                                         |
| <b>1</b> Total High Quality Liquid Assets (HQLAs)                              |                                           | 364,859.53                              |                                           | 362,100.44                              |                                           | 331,076.55                              |                                           | 309,936.00                              |
| <b>Cash Outflows</b>                                                           |                                           |                                         |                                           |                                         |                                           |                                         |                                           |                                         |
| <b>2</b> Retail Deposits and deposits from small business customers, of which: | 671,561.59                                | 64,450.25                               | 662,775.66                                | 63,425.66                               | 643,901.03                                | 59,938.10                               | 626,572.82                                | 58,352.94                               |
| (i) Stable Deposits                                                            | 54,118.26                                 | 2,705.91                                | 57,038.11                                 | 2,851.91                                | 89,040.02                                 | 4,452.00                                | 86,086.84                                 | 4,304.34                                |
| (ii) Less Stable Deposits                                                      | 617,443.34                                | 61,744.33                               | 605,737.54                                | 60,573.75                               | 554,861.01                                | 55,486.10                               | 540,485.98                                | 54,048.60                               |
| <b>3</b> Unsecured wholesale funding, of which:                                | 390,532.91                                | 239,469.79                              | 367,560.81                                | 229,653.73                              | 331,662.46                                | 204,285.93                              | 304,833.67                                | 183,974.45                              |
| (i) Operational deposits (all counterparties)                                  | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       |
| (ii) Non-operational deposits (all counterparties)                             | 390,532.91                                | 239,469.79                              | 367,560.81                                | 229,653.73                              | 331,662.46                                | 204,285.93                              | 304,833.67                                | 183,974.45                              |
| (iii) Unsecured debt                                                           | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       |
| <b>4</b> Secured wholesale funding                                             |                                           | 235.19                                  |                                           | -                                       |                                           | -                                       |                                           | 96.20                                   |
| <b>5</b> Additional requirements, of which:                                    | 80,317.17                                 | 62,516.64                               | 81,361.71                                 | 64,530.95                               | 72,735.53                                 | 57,292.25                               | 73,045.23                                 | 58,931.62                               |
| (i) Outflows related to derivative exposures and other collateral requirements | 57,115.95                                 | 57,115.95                               | 59,219.69                                 | 59,219.69                               | 52,370.66                                 | 52,370.66                               | 54,418.37                                 | 54,418.37                               |
| (ii) Outflows related to loss of funding on debt products                      | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       |
| (iii) Credit and liquidity facilities                                          | 23,201.22                                 | 5,400.69                                | 22,142.02                                 | 5,311.26                                | 20,364.86                                 | 4,921.59                                | 18,626.87                                 | 4,513.25                                |
| <b>6</b> Other contractual funding obligations                                 | 23,456.81                                 | 23,456.81                               | 27,349.65                                 | 27,349.65                               | 27,545.47                                 | 27,545.47                               | 29,256.55                                 | 29,256.55                               |
| <b>7</b> Other contingent funding obligations                                  | 7,02,484.23                               | 29,940.16                               | 687,962.34                                | 29,425.27                               | 659,175.15                                | 28,154.80                               | 627,206.40                                | 26,781.60                               |
| <b>8 Total Cash Outflows</b>                                                   |                                           | <b>4,20,068.84</b>                      |                                           | <b>414,385.26</b>                       |                                           | <b>377,216.55</b>                       |                                           | <b>357,393.36</b>                       |
| <b>Cash Inflows</b>                                                            |                                           |                                         |                                           |                                         |                                           |                                         |                                           |                                         |
| <b>9</b> Secured lending (eg. reverse repo)                                    | 1,328.96                                  | -                                       | 7,370.48                                  | 1.36                                    | 9,048.49                                  | 2.00                                    | 571.24                                    | -                                       |
| <b>10</b> Inflows from fully performing exposures                              | 89,110.19                                 | 57,355.65                               | 79,082.19                                 | 50,867.37                               | 78,871.55                                 | 52,349.42                               | 74,023.35                                 | 48,101.94                               |
| <b>11</b> Other cash inflows                                                   | 53,982.21                                 | 53,982.21                               | 55,763.42                                 | 55,763.42                               | 49,859.54                                 | 49,859.54                               | 51,920.92                                 | 51,920.92                               |
| <b>12 Total Cash Inflows</b>                                                   | <b>144,421.36</b>                         | <b>111,337.86</b>                       | <b>142,216.09</b>                         | <b>106,632.15</b>                       | <b>137,779.58</b>                         | <b>102,210.95</b>                       | <b>126,515.51</b>                         | <b>100,022.86</b>                       |
|                                                                                | Total adjusted Value                      |                                         | Total adjusted Value                      |                                         | Total adjusted Value                      |                                         | Total adjusted Value                      |                                         |
| <b>13 Total HQLA</b>                                                           |                                           | <b>3,64,859.53</b>                      |                                           | <b>362,100.44</b>                       |                                           | <b>331,076.55</b>                       |                                           | <b>309,936.00</b>                       |
| <b>14 Total Net Cash Outflows</b>                                              |                                           | <b>3,08,730.98</b>                      |                                           | <b>307,753.11</b>                       |                                           | <b>275,005.60</b>                       |                                           | <b>257,370.50</b>                       |
| <b>15 Liquidity Coverage Ratio %</b>                                           |                                           | <b>118.18%</b>                          |                                           | <b>117.66%</b>                          |                                           | <b>120.39%</b>                          |                                           | <b>120.42%</b>                          |

## Notes:

- In accordance with the RBI guidelines, the average Liquidity Coverage Ratio (LCR) is disclosed as a simple daily average. Accordingly, the average LCR for Q1 FY26, Q2 FY26, Q3 FY26 and Q4 FY26 has been computed using 91, 92, 92 and 90 daily observations, respectively
- Classification of inflows and outflows for determining the run off factors is based on the same estimates and assumptions as used by the Bank for compiling the return submitted to the RBI, which has been relied upon by the auditors

(₹ in crores)

|                                                                                | Quarter ended<br>31 March, 2025           |                                         | Quarter ended<br>31 December, 2024        |                                         | Quarter ended<br>30 September, 2024       |                                         | Quarter ended<br>30 June, 2024            |                                         |
|--------------------------------------------------------------------------------|-------------------------------------------|-----------------------------------------|-------------------------------------------|-----------------------------------------|-------------------------------------------|-----------------------------------------|-------------------------------------------|-----------------------------------------|
|                                                                                | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) | Total<br>Unweighted<br>Value<br>(average) | Total<br>Weighted<br>Value<br>(average) |
| <b>High Quality Liquid Assets</b>                                              |                                           |                                         |                                           |                                         |                                           |                                         |                                           |                                         |
| <b>1</b> Total High Quality Liquid Assets (HQLAs)                              |                                           | 299,977.69                              |                                           | 294,959.58                              |                                           | 282,668.50                              |                                           | 268,095.26                              |
| <b>Cash Outflows</b>                                                           |                                           |                                         |                                           |                                         |                                           |                                         |                                           |                                         |
| <b>2</b> Retail Deposits and deposits from small business customers, of which: | 610,744.17                                | 56,940.49                               | 606,354.20                                | 53,737.15                               | 596,714.54                                | 52,748.26                               | 587,857.21                                | 51,956.74                               |
| (i) Stable Deposits                                                            | 82,678.53                                 | 4,133.93                                | 137,965.45                                | 6,898.27                                | 138,463.84                                | 6,923.19                                | 136,579.64                                | 6,828.98                                |
| (ii) Less Stable Deposits                                                      | 528,065.64                                | 52,806.56                               | 468,388.75                                | 46,838.87                               | 458,250.70                                | 45,825.07                               | 451,277.56                                | 45,127.76                               |
| <b>3</b> Unsecured wholesale funding, of which :                               | 305,685.55                                | 1,79,597.15                             | 295,120.79                                | 173,029.00                              | 291,319.65                                | 173,208.78                              | 290,454.26                                | 158,852.28                              |
| (i) Operational deposits (all counterparties)                                  | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       | 21,290.02                                 | 5,317.34                                |
| (ii) Non-operational deposits (all counterparties)                             | 305,685.55                                | 1,79,597.15                             | 295,120.79                                | 173,029.00                              | 291,319.65                                | 173,208.78                              | 269,164.24                                | 153,534.94                              |
| (iii) Unsecured debt                                                           | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       |
| <b>4</b> Secured wholesale funding                                             |                                           | <b>115.36</b>                           |                                           | <b>0.53</b>                             |                                           | <b>8.70</b>                             |                                           | <b>0.16</b>                             |
| <b>5</b> Additional requirements, of which:                                    | 69,054.62                                 | 55,942.12                               | 64,569.90                                 | 51,748.96                               | 65,556.63                                 | 53,341.67                               | 60,386.61                                 | 47,581.30                               |
| (i) Outflows related to derivative exposures and other collateral requirements | 51,694.26                                 | 51,694.26                               | 47,934.96                                 | 47,934.96                               | 49,652.28                                 | 49,652.28                               | 44,102.31                                 | 44,102.31                               |
| (ii) Outflows related to loss of funding on debt products                      | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       | -                                         | -                                       |
| (iii) Credit and liquidity facilities                                          | 17,360.36                                 | 4,247.86                                | 16,634.94                                 | 3,814.00                                | 15,904.36                                 | 3,689.39                                | 16,284.30                                 | 3,478.99                                |
| <b>6</b> Other contractual funding obligations                                 | 32,563.04                                 | 32,563.04                               | 33,882.50                                 | 33,882.50                               | 30,155.32                                 | 30,155.32                               | 21,747.07                                 | 21,747.07                               |
| <b>7</b> Other contingent funding obligations                                  | 606,855.74                                | 25,854.97                               | 583,076.18                                | 24,912.00                               | 579,719.15                                | 24,955.40                               | 575,087.14                                | 24,771.04                               |
| <b>8 Total Cash Outflows</b>                                                   |                                           | <b>351,013.14</b>                       |                                           | <b>337,310.13</b>                       |                                           | <b>334,418.13</b>                       |                                           | <b>304,908.59</b>                       |
| <b>Cash Inflows</b>                                                            |                                           |                                         |                                           |                                         |                                           |                                         |                                           |                                         |
| <b>9</b> Secured lending (eg. reverse repo)                                    | 922.50                                    | -                                       | 851.25                                    | -                                       | 10,711.10                                 | 2.75                                    | 1,475.84                                  | 9.61                                    |
| <b>10</b> Inflows from fully performing exposures                              | 76,519.90                                 | 50,176.02                               | 70,375.55                                 | 46,142.74                               | 65,847.29                                 | 44,446.28                               | 61,175.32                                 | 42,782.03                               |
| <b>11</b> Other cash inflows                                                   | 49,495.45                                 | 49,495.45                               | 45,919.08                                 | 45,919.08                               | 46,681.80                                 | 46,681.80                               | 41,220.83                                 | 41,220.83                               |
| <b>12 Total Cash Inflows</b>                                                   | <b>126,937.86</b>                         | <b>99,671.48</b>                        | <b>117,145.88</b>                         | <b>92,061.82</b>                        | <b>123,240.18</b>                         | <b>91,130.82</b>                        | <b>103,871.99</b>                         | <b>84,012.48</b>                        |
|                                                                                | Total adjusted Value                      |                                         | Total adjusted Value                      |                                         | Total adjusted Value                      |                                         | Total adjusted Value                      |                                         |
| <b>13 Total HQLA</b>                                                           |                                           | <b>2,99,977.69</b>                      |                                           | <b>294,959.58</b>                       |                                           | <b>282,668.50</b>                       |                                           | <b>268,095.26</b>                       |
| <b>14 Total Net Cash Outflows</b>                                              |                                           | <b>2,51,341.66</b>                      |                                           | <b>245,248.32</b>                       |                                           | <b>243,287.31</b>                       |                                           | <b>220,896.11</b>                       |
| <b>15 Liquidity Coverage Ratio %</b>                                           |                                           | <b>119.35%</b>                          |                                           | <b>120.27%</b>                          |                                           | <b>116.19%</b>                          |                                           | <b>121.37%</b>                          |

**Notes:**

- In accordance with the RBI guidelines, the average Liquidity Coverage Ratio (LCR) is disclosed as a simple daily average. Accordingly, the average LCR for Q1 FY25, Q2 FY25, Q3 FY25 and Q4 FY25 has been computed using 91, 92, 92 and 90 daily observations, respectively.
- Classification of inflows and outflows for determining the run off factors is based on the same estimates and assumptions as used by the Bank for compiling the return submitted to the RBI, which has been relied upon by the auditors.

## 1.3 Investments

## a) Disclosure of carrying value of investments and fair value (composition of investment portfolio)

As at 31 March, 2026

(₹ in crores)

| Particulars                                                        | Held to Maturity (HTM) |                   | Available for Sale (AFS) | Fair Value through Profit & Loss (FVTPL) |                                | Subsidiaries, Associates & JVs |                 |
|--------------------------------------------------------------------|------------------------|-------------------|--------------------------|------------------------------------------|--------------------------------|--------------------------------|-----------------|
|                                                                    | At cost                | Fair Value        |                          | Held for trading (HFT)                   | Non-Held for Trading (Non-HFT) | At cost                        | Fair Value      |
| <b>I. Investments in India</b>                                     |                        |                   |                          |                                          |                                |                                |                 |
| (i) Government securities                                          | 301,818.25             | 296,701.16        | 27,530.58                | 20,363.41                                | -                              |                                |                 |
| (ii) Other approved securities                                     | -                      | -                 | -                        | -                                        | -                              |                                |                 |
| (iii) Shares                                                       | -                      | -                 | -                        | 1,359.09                                 | 960.21                         |                                |                 |
| (iv) Debentures and Bonds                                          | 2,042.00               | 2,069.95          | 13,152.26                | 30,114.78                                | 5,363.58                       |                                |                 |
| (v) Subsidiaries, associates and joint ventures                    |                        |                   |                          |                                          |                                | 6,522.69                       | 6,522.69*       |
| (vi) Others <sup>1</sup>                                           | -                      | -                 | 9,684.04                 | 461.10                                   | 1,213.41                       |                                |                 |
| <b>Total</b>                                                       | <b>303,860.25</b>      | <b>298,771.11</b> | <b>50,366.88</b>         | <b>52,298.38</b>                         | <b>7,537.20</b>                | <b>6,522.69</b>                | <b>6,522.69</b> |
| Less: Provisions for impairment / Non-Performing Investments (NPI) | -                      | -                 | (211.95)                 | (27.33)                                  | (74.98)                        | -                              |                 |
| <b>Net</b>                                                         | <b>303,860.25</b>      | <b>298,771.11</b> | <b>50,154.93</b>         | <b>52,271.05</b>                         | <b>7,462.22</b>                | <b>6,522.69</b>                | <b>6,522.69</b> |
| <b>II. Investments outside India</b>                               |                        |                   |                          |                                          |                                |                                |                 |
| (i) Government securities (including local authorities)            | -                      | -                 | 24,186.54                | -                                        | -                              |                                |                 |
| (ii) Subsidiaries and joint ventures                               |                        |                   |                          |                                          |                                | 3.02                           |                 |
| (iii) Others <sup>1</sup>                                          | -                      | -                 | -                        | 564.64                                   | 266.52                         |                                |                 |
| <b>Total</b>                                                       | <b>-</b>               | <b>-</b>          | <b>24,186.54</b>         | <b>564.64</b>                            | <b>266.52</b>                  | <b>3.02</b>                    |                 |
| Less: Provisions for impairment / Non-Performing Investments (NPI) | -                      | -                 | -                        | -                                        | (259.06)                       | -                              |                 |
| <b>Net</b>                                                         | <b>-</b>               | <b>-</b>          | <b>24,186.54</b>         | <b>564.64</b>                            | <b>7.46</b>                    | <b>3.02</b>                    |                 |
| <b>Total investments (I+II)</b>                                    | <b>303,860.25</b>      | <b>298,771.11</b> | <b>74,341.47</b>         | <b>52,835.69</b>                         | <b>7,469.68</b>                | <b>6,525.71</b>                | <b>6,522.69</b> |

\* represents book value

1. "Others" under Investments in India include investments in Mutual Funds, Security Receipts, Alternative Investment Funds, Venture Capital Funds, Real Estate Investment Trusts, Infrastructure Investment Trusts, Pass Through Certificates and Private Equity Fund (LLP) and "Others" under Investments outside India include investments in Equity Shares and Bonds

As at 31 March, 2025

(₹ in crores)

| Particulars                                                        | Held to Maturity (HTM) |                   | Available for Sale (AFS) | Fair Value through Profit & Loss (FVTPL) |                                | Subsidiaries, Associates & JVs |                 |
|--------------------------------------------------------------------|------------------------|-------------------|--------------------------|------------------------------------------|--------------------------------|--------------------------------|-----------------|
|                                                                    | At cost                | Fair Value        |                          | Held for trading (HFT)                   | Non-Held for Trading (Non-HFT) | At cost                        | Fair Value      |
| <b>I. Investments in India</b>                                     |                        |                   |                          |                                          |                                |                                |                 |
| (i) Government securities                                          | 258,551.22             | 262,382.28        | 13,314.05                | 20,774.97                                | -                              |                                |                 |
| (ii) Other approved securities                                     | -                      | -                 | -                        | -                                        | -                              |                                |                 |
| (iii) Shares                                                       | -                      | -                 | -                        | 1,827.19                                 | 770.20                         |                                |                 |
| (iv) Debentures and Bonds                                          | 2,460.00               | 2,503.77          | 16,883.39                | 48,794.98                                | 5,082.96                       |                                |                 |
| (v) Subsidiaries, associates and joint ventures                    |                        |                   |                          |                                          |                                | 6,492.69                       | 6,492.69*       |
| (vi) Others <sup>1</sup>                                           | -                      | -                 | 4,246.54                 | 124.35                                   | 1,311.71                       |                                |                 |
| <b>Total</b>                                                       | <b>261,011.22</b>      | <b>264,886.05</b> | <b>34,443.98</b>         | <b>71,521.49</b>                         | <b>7,164.88</b>                | <b>6,492.69</b>                | <b>6,492.69</b> |
| Less: Provisions for impairment / Non-Performing Investments (NPI) | -                      | -                 | (261.95)                 | (27.33)                                  | (0.33)                         | -                              |                 |
| <b>Net</b>                                                         | <b>261,011.22</b>      | <b>264,886.05</b> | <b>34,182.03</b>         | <b>71,494.16</b>                         | <b>7,164.55</b>                | <b>6,492.69</b>                | <b>6,492.69</b> |



As at 31 March, 2025

(₹ in crores)

| Particulars                                                        | Held to Maturity (HTM) |                   | Available for Sale (AFS) | Fair Value through Profit & Loss (FVTPL) |                                | Subsidiaries, Associates & JVs |                 |
|--------------------------------------------------------------------|------------------------|-------------------|--------------------------|------------------------------------------|--------------------------------|--------------------------------|-----------------|
|                                                                    | At cost                | Fair Value        |                          | Held for trading (HFT)                   | Non-Held for Trading (Non-HFT) | At cost                        | Fair Value      |
| <b>II. Investments outside India</b>                               |                        |                   |                          |                                          |                                |                                |                 |
| (i) Government securities (including local authorities)            | -                      | -                 | 15,435.26                | -                                        | -                              |                                |                 |
| (ii) Subsidiaries and joint ventures                               |                        |                   |                          |                                          |                                | 3.02                           |                 |
| (iii) Others <sup>1</sup>                                          | -                      | -                 | -                        | 353.79                                   | 244.38                         |                                |                 |
| <b>Total</b>                                                       | -                      | -                 | <b>15,435.26</b>         | <b>353.79</b>                            | <b>244.38</b>                  | <b>3.02</b>                    |                 |
| Less: Provisions for impairment / Non-Performing Investments (NPI) | -                      | -                 | -                        | -                                        | (239.31)                       | -                              |                 |
| <b>Net</b>                                                         | -                      | -                 | <b>15,435.26</b>         | <b>353.79</b>                            | <b>5.07</b>                    | <b>3.02</b>                    |                 |
| <b>Total investments (I+II)</b>                                    | <b>261,011.22</b>      | <b>264,886.05</b> | <b>49,617.29</b>         | <b>71,847.95</b>                         | <b>7,169.62</b>                | <b>6,495.71</b>                | <b>6,492.69</b> |

\* represents book value

1. "Others" under Investments in India include investments in Mutual Funds, Security Receipts, Alternative Investment Funds, Venture Capital Funds, Real Estate Investment Trusts, Infrastructure Investment Trusts, Pass Through Certificates and Private Equity Fund (LLP) and "Others" under Investments outside India include investments in Equity Shares and Bonds

**b) Fair Value Hierarchy of investment portfolio measured at fair value on balance sheet**

As at 31 March, 2026

(₹ in crores)

| Particulars                                             | AFS              |                  |                 |                  | FVTPL            |                  |                 |                  |
|---------------------------------------------------------|------------------|------------------|-----------------|------------------|------------------|------------------|-----------------|------------------|
|                                                         | Level 1          | Level 2          | Level 3         | Total            | Level 1          | Level 2          | Level 3         | Total            |
| <b>I. Investments in India<sup>1</sup></b>              |                  |                  |                 |                  |                  |                  |                 |                  |
| (i) Government securities                               | 23,256.68        | 4,273.90         | -               | <b>27,530.58</b> | 14,507.31        | 5,856.10         | -               | <b>20,363.41</b> |
| (ii) Other approved securities                          | -                | -                | -               | -                | -                | -                | -               | -                |
| (iii) Shares                                            | -                | -                | -               | -                | 1,339.71         | -                | 951.94          | <b>2,291.65</b>  |
| (iv) Debentures and Bonds                               | 1,268.35         | 11,383.60        | 288.36          | <b>12,940.31</b> | 25,822.52        | 9,439.15         | 142.03          | <b>35,403.70</b> |
| (v) Subsidiaries, associates and joint ventures         |                  |                  |                 |                  |                  |                  |                 |                  |
| (vi) Others <sup>2</sup>                                | -                | -                | 9,684.04        | <b>9,684.04</b>  | 436.29           | 24.80            | 1,213.42        | <b>1,674.51</b>  |
| <b>Total</b>                                            | <b>24,525.03</b> | <b>15,657.50</b> | <b>9,972.40</b> | <b>50,154.93</b> | <b>42,105.83</b> | <b>15,320.05</b> | <b>2,307.39</b> | <b>59,733.27</b> |
| <b>II. Investments outside India<sup>1</sup></b>        |                  |                  |                 |                  |                  |                  |                 |                  |
| (i) Government securities (including local authorities) | 24,186.54        | -                | -               | <b>24,186.54</b> | -                | -                | -               | -                |
| (ii) Subsidiaries, associates and joint ventures        |                  |                  |                 |                  |                  |                  |                 |                  |
| (iii) Others <sup>2</sup>                               | -                | -                | -               | -                | 564.64           | -                | 7.46            | <b>572.10</b>    |
| <b>Total</b>                                            | <b>24,186.54</b> | <b>-</b>         | <b>-</b>        | <b>24,186.54</b> | <b>564.64</b>    | <b>-</b>         | <b>7.46</b>     | <b>572.10</b>    |
| <b>Total investments (I+II)</b>                         | <b>48,711.57</b> | <b>15,657.50</b> | <b>9,972.40</b> | <b>74,341.47</b> | <b>42,670.47</b> | <b>15,320.05</b> | <b>2,314.85</b> | <b>60,305.37</b> |

1. Net of provision for non-performing investments
2. "Others" under Investments in India include investments in Mutual Funds, Security Receipts, Alternative Investment Funds, Venture Capital Funds, Real Estate Investment Trusts, Infrastructure Investment Trusts, Pass Through Certificates and Private Equity Fund (LLP) and "Others" under Investments outside India include investments in Equity Shares and Bonds
3. Level 1 securities include treasury bills and CP/CDs that are valued at cost as per RBI guidelines

As at 31 March, 2025

(₹ in crores)

| Particulars                                             | AFS              |                  |                 |                  | FVTPL            |                 |                 |                  |
|---------------------------------------------------------|------------------|------------------|-----------------|------------------|------------------|-----------------|-----------------|------------------|
|                                                         | Level 1          | Level 2          | Level 3         | Total            | Level 1          | Level 2         | Level 3         | Total            |
| <b>I. Investments in India<sup>1</sup></b>              |                  |                  |                 |                  |                  |                 |                 |                  |
| (i) Government securities                               | 10,578.92        | 2,735.13         | -               | <b>13,314.05</b> | 19,071.33        | 1,703.64        | -               | <b>20,774.97</b> |
| (ii) Other approved securities                          | -                | -                | -               | -                | -                | -               | -               | -                |
| (iii) Shares                                            | -                | -                | -               | -                | 1,799.86         | -               | 769.88          | <b>2,569.74</b>  |
| (iv) Debentures and Bonds                               | 4,392.14         | 11,690.27        | 539.03          | <b>16,621.44</b> | 45,225.77        | 8,192.05        | 460.12          | <b>53,877.94</b> |
| (v) Subsidiaries, associates and joint ventures         |                  |                  |                 |                  |                  |                 |                 |                  |
| (vi) Others <sup>2</sup>                                | -                | -                | 4,246.54        | <b>4,246.54</b>  | 124.35           | -               | 1,311.71        | <b>1,436.06</b>  |
| <b>Total</b>                                            | <b>14,791.06</b> | <b>14,425.40</b> | <b>4,785.57</b> | <b>34,182.03</b> | <b>66,221.31</b> | <b>9,895.69</b> | <b>2,541.71</b> | <b>78,658.71</b> |
| <b>II. Investments outside India<sup>1</sup></b>        |                  |                  |                 |                  |                  |                 |                 |                  |
| (i) Government securities (including local authorities) | 15,435.26        | -                | -               | <b>15,435.26</b> | -                | -               | -               | -                |
| (ii) Subsidiaries, associates and joint ventures        |                  |                  |                 |                  |                  |                 |                 |                  |
| (iii) Others <sup>2</sup>                               | -                | -                | -               | -                | 353.79           | -               | 5.07            | <b>358.86</b>    |
| <b>Total</b>                                            | <b>15,435.26</b> | <b>-</b>         | <b>-</b>        | <b>15,435.26</b> | <b>353.79</b>    | <b>-</b>        | <b>5.07</b>     | <b>358.86</b>    |
| <b>Total investments (I+II)</b>                         | <b>30,406.32</b> | <b>14,425.40</b> | <b>4,785.57</b> | <b>49,617.29</b> | <b>66,575.10</b> | <b>9,895.69</b> | <b>2,546.78</b> | <b>79,017.57</b> |

1. Net of provision for non-performing investments
2. "Others" under Investments in India include investments in Mutual Funds, Security Receipts, Alternative Investment Funds, Venture Capital Funds, Real Estate Investment Trusts, Infrastructure Investment Trusts, Pass Through Certificates and Private Equity Fund (LLP) and "Others" under Investments outside India include investments in Equity Shares and Bonds
3. Level 1 securities include treasury bills and CP/CDs that are valued at cost as per RBI guidelines

### c) Movement of Provisions for non-performing investments (NPIs) and Investment Fluctuation Reserve

(₹ in crores)

| Particulars                                                                                                                                                   | 31 March, 2026  | 31 March, 2025  |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| <b>A Movement of provisions held NPIs</b>                                                                                                                     |                 |                 |
| Opening Balance                                                                                                                                               | 528.92          | <b>782.08</b>   |
| Add/(Less): Intra-category Transfers                                                                                                                          | 87.70           | 27.33           |
| Add: Provisions made during the year*                                                                                                                         | 6.71            | (6.37)          |
| Less: Write off/ write back of excess provisions during the year (including provision in respect of Interest Capitalisation – Restructured NPA accounts)      | (9.84)          | (274.12)        |
| Closing Balance                                                                                                                                               | <b>613.49</b>   | <b>528.92</b>   |
| <b>B Movement of Investment Fluctuation Reserve (IFR)</b>                                                                                                     |                 |                 |
| Opening Balance                                                                                                                                               | 2,909.00        | 2,661.00        |
| Add : Amount transferred during the year                                                                                                                      | 136.00          | 248.00          |
| Less : Drawdown                                                                                                                                               | -               | -               |
| Closing Balance                                                                                                                                               | <b>3,045.00</b> | <b>2,909.00</b> |
| <b>C Closing Balance in IFR as a percentage of closing balance of investments in AFS and FVTPL category (net of provision for non-performing investments)</b> | <b>2.26%</b>    | <b>2.26%</b>    |

\*including exchange rate fluctuation

### d) Net gains/ (losses) on Level 3 financial instruments recognised in AFS-Reserve and Profit and Loss account

(₹ in crores)

| Particulars                            | 31 March, 2026 | 31 March, 2025 |
|----------------------------------------|----------------|----------------|
| Recognised in AFS-Reserve*             | (130.47)       | 19.41          |
| Recognised in Profit and Loss Account* | 87.24          | 266.18         |

\* represents unrealised gains/(losses) recognised during the year on level 3 financial instruments (gross of tax)

### e) Sale and transfers to/from HTM category

- i. During the years ended 31 March, 2026 and 31 March, 2025, the value of sales/transfers of securities to/from HTM category (excluding one-time transfer of securities, additional shifting of securities explicitly permitted by RBI and sales to RBI under Open Market Operations (OMO)/Government Securities Acquisition Programme (GSAP)/Conversion/Switch auctions) did not exceed 5% of the book value of investments held in HTM category at the beginning of the year.

Details of sales made out of HTM are set out below:

| (₹ in crores)                                                                                  |                |                |
|------------------------------------------------------------------------------------------------|----------------|----------------|
| Particulars                                                                                    | 31 March, 2026 | 31 March, 2025 |
| A Opening carrying value of securities in HTM                                                  | 261,011.22     | 205,756.12     |
| B Carrying value of all HTM securities sold during the year                                    | 30,999.26      | 18,119.90      |
| C Less: Carrying values of securities sold under situations exempted from regulatory limit     | 26,461.21      | 12,474.97      |
| D Carrying value of securities sold (D=B-C)                                                    | 4,538.05       | 5,644.93       |
| E Securities sold as a percentage of opening carrying value of securities in HTM (E=D÷A)       | 1.74%          | 2.74%          |
| F Amount transferred to Capital Reserve in respect of HTM securities which were sold at a gain | 506.52         | 214.35         |

### f) Reclassification between categories of investments

During the years ended 31 March, 2026 and 31 March, 2025, the Bank has not reclassified any investments from one category to another.

### g) Non-SLR investment portfolio

- i) Movement in non-performing non-SLR investments is set out below:

| (₹ in crores)                                                                                                 |                |                |
|---------------------------------------------------------------------------------------------------------------|----------------|----------------|
| Particulars                                                                                                   | 31 March, 2026 | 31 March, 2025 |
| Opening balance                                                                                               | 528.92         | 782.08         |
| Add/(Less): Intra-category Transfers                                                                          | 87.70          | 34.31          |
| Additions during the year <sup>1</sup>                                                                        | 60.68          | (2.62)         |
| Reductions during the year                                                                                    | (63.81)        | (284.85)       |
| <b>Closing balance</b>                                                                                        | <b>613.49</b>  | <b>528.92</b>  |
| Total provisions held (including provision in respect of Interest Capitalisation - Restructured NPA accounts) | 613.49         | 528.92         |

1. includes impact of exchange rate fluctuation

- ii) Issuer composition Non-SLR investments\*:

#### As at 31 March, 2026

|      |                                                                          | (₹ in crores) |                             |                                               |                                |                                 |
|------|--------------------------------------------------------------------------|---------------|-----------------------------|-----------------------------------------------|--------------------------------|---------------------------------|
| No.  | Issuer                                                                   | Total Amount  | Extent of private placement | Extent of "below investment grade" securities | Extent of "unrated" securities | Extent of "unlisted" securities |
| (1)  | (2)                                                                      | (3)           | (4)                         | (5)                                           | (6)                            | (7)                             |
| i.   | Public Sector Units                                                      | 1,822.19      | 1,344.54                    | 84.58                                         | -                              | 172.73                          |
| ii.  | Financial Institutions                                                   | 22,723.92     | 17,682.15                   | 71.33                                         | -                              | 1.86                            |
| iii. | Banks                                                                    | 11,187.28     | 10,312.02                   | -                                             | -                              | 14.79                           |
| iv.  | Private Corporates                                                       | 17,932.67     | 16,192.36                   | 247.83                                        | 208.59                         | 4,917.79                        |
| v.   | Subsidiaries/Joint Ventures/Associate                                    | 6,525.71      | 5,271.61                    | -                                             | -                              | 6,000.71                        |
| vi.  | Others                                                                   | 35,499.18     | 11,051.42                   | -                                             | -                              | 10,874.46                       |
| vii. | Mark-to-market gain/(loss) recognised over book value of the investments | 202.93        | N.A.                        | N.A.                                          | N.A.                           | N.A.                            |

**As at 31 March, 2026**

(₹ in crores)

| No.  | Issuer                                            | Total Amount     | Extent of private placement | Extent of "below investment grade" securities | Extent of "unrated" securities | Extent of "unlisted" securities |
|------|---------------------------------------------------|------------------|-----------------------------|-----------------------------------------------|--------------------------------|---------------------------------|
| (1)  | (2)                                               | (3)              | (4)                         | (5)                                           | (6)                            | (7)                             |
| viii | Provision held towards non performing investments | (573.32)         | N.A.                        | N.A.                                          | N.A.                           | N.A.                            |
|      | <b>Total</b>                                      | <b>95,320.56</b> | <b>61,854.10</b>            | <b>403.74</b>                                 | <b>208.59</b>                  | <b>21,982.34</b>                |

Amounts reported under columns (4), (5), (6) and (7) above are not mutually exclusive.

**As at 31 March, 2025**

(₹ in crores)

| No.  | Issuer                                                                   | Total Amount      | Extent of private placement | Extent of "below investment grade" securities | Extent of "unrated" securities | Extent of "unlisted" securities |
|------|--------------------------------------------------------------------------|-------------------|-----------------------------|-----------------------------------------------|--------------------------------|---------------------------------|
| (1)  | (2)                                                                      | (3)               | (4)                         | (5)                                           | (6)                            | (7)                             |
| i.   | Public Sector Units                                                      | 3,019.90          | 2,321.09                    | 84.73                                         | -                              | 172.73                          |
| ii.  | Financial Institutions                                                   | 35,773.94         | 29,424.57                   | 69.73                                         | -                              | 1.86                            |
| iii. | Banks                                                                    | 16,917.14         | 14,268.46                   | -                                             | -                              | 14.79                           |
| iv.  | Private Corporates                                                       | 20,454.59         | 17,886.66                   | 294.02                                        | 103.37                         | 4,412.76                        |
| v.   | Subsidiaries/Joint Ventures                                              | 6,495.71          | 5,921.75                    | -                                             | -                              | 6,000.71                        |
| vi.  | Others                                                                   | 20,873.58         | 5,440.05                    | -                                             | -                              | 5,315.65                        |
| vii. | Mark-to-market gain/(loss) recognised over book value of the investments | 495.61            | N.A.                        | N.A.                                          | N.A.                           | N.A.                            |
| viii | Provision held towards non performing investments                        | (528.92)          | N.A.                        | N.A.                                          | N.A.                           | N.A.                            |
|      | <b>Total</b>                                                             | <b>103,501.55</b> | <b>75,262.58</b>            | <b>448.48</b>                                 | <b>103.37</b>                  | <b>15,918.50</b>                |

Amounts reported under columns (4), (5), (6) and (7) above are not mutually exclusive.

\*excludes investments in non-SLR government securities amounting to ₹5,000.00 (previous year ₹5,000.00)

**h) Repo Transactions**

Details of securities sold/purchased under repos/reverse repos including LAF and MSF transactions (including Triparty repos and repos under Targeted Long Term Repo Operations):

**Year ended 31 March, 2026**

(₹ in crores)

|                                                                  | Minimum outstanding during the year | Maximum outstanding during the year | Daily Average outstanding during the year | As at 31 March, 2026 |
|------------------------------------------------------------------|-------------------------------------|-------------------------------------|-------------------------------------------|----------------------|
| Securities sold under repos (In face value terms)                |                                     |                                     |                                           |                      |
| i. Government Securities                                         | -                                   | 42,858.53                           | 7,561.95                                  | -                    |
| ii. Corporate debt Securities                                    | -                                   | 2,225.00                            | 574.47                                    | 2,050.00             |
| iii. Any other securities                                        | -                                   | -                                   | -                                         | -                    |
| Securities sold under repos (In market value terms)              |                                     |                                     |                                           |                      |
| i. Government Securities                                         | -                                   | 43,037.71                           | 7,687.43                                  | -                    |
| ii. Corporate debt Securities                                    | -                                   | 2,222.76                            | 572.25                                    | 2,036.79             |
| iii. Any other securities                                        | -                                   | -                                   | -                                         | -                    |
| Securities purchased under reverse repos (In face value terms)   |                                     |                                     |                                           |                      |
| i. Government Securities                                         | -                                   | 33,628.77                           | 4,603.15                                  | 1,997.45             |
| ii. Corporate debt Securities                                    | -                                   | -                                   | -                                         | -                    |
| iii. Any other securities                                        | -                                   | -                                   | -                                         | -                    |
| Securities purchased under reverse repos (In market value terms) |                                     |                                     |                                           |                      |
| i. Government Securities                                         | -                                   | 33,558.86                           | 4,532.23                                  | 1,952.35             |
| ii. Corporate debt Securities                                    | -                                   | -                                   | -                                         | -                    |
| iii. Any other securities                                        | -                                   | -                                   | -                                         | -                    |

There have been no defaults in making the same set of securities available at the time of 2<sup>nd</sup> leg settlement of the Term Reverse Repo during the year ended 31 March, 2026.

#### Year ended 31 March, 2025

(₹ in crores)

|                                                                  | Minimum<br>outstanding<br>during the year | Maximum<br>outstanding<br>during the year | Daily Average<br>outstanding<br>during the year | As at<br>31 March, 2025 |
|------------------------------------------------------------------|-------------------------------------------|-------------------------------------------|-------------------------------------------------|-------------------------|
| Securities sold under repos (In face value terms)                |                                           |                                           |                                                 |                         |
| i. Government Securities                                         | -                                         | 42,425.12                                 | 10,096.98                                       | -                       |
| ii. Corporate debt Securities                                    | -                                         | 1,040.00                                  | 173.83                                          | 640.00                  |
| iii. Any other securities                                        | -                                         | -                                         | -                                               | -                       |
| Securities sold under repos (In market value terms)              |                                           |                                           |                                                 |                         |
| i. Government Securities                                         | -                                         | 42,583.71                                 | 10,131.41                                       | -                       |
| ii. Corporate debt Securities                                    | -                                         | 1,040.62                                  | 172.41                                          | 631.69                  |
| iii. Any other securities                                        | -                                         | -                                         | -                                               | -                       |
| Securities purchased under reverse repos (In face value terms)   |                                           |                                           |                                                 |                         |
| i. Government Securities                                         | -                                         | 27,622.73                                 | 3,564.37                                        | 4,403.71                |
| ii. Corporate debt Securities                                    | -                                         | 35.00                                     | 0.51                                            | -                       |
| iii. Any other securities                                        | -                                         | -                                         | -                                               | -                       |
| Securities purchased under reverse repos (In market value terms) |                                           |                                           |                                                 |                         |
| i. Government Securities                                         | -                                         | 27,066.15                                 | 3,516.25                                        | 4,460.50                |
| ii. Corporate debt Securities                                    | -                                         | 34.62                                     | 0.50                                            | -                       |
| iii. Any other securities                                        | -                                         | -                                         | -                                               | -                       |

There have been no defaults in making the same set of securities available at the time of 2<sup>nd</sup> leg settlement of the Term Reverse Repo during the year ended 31 March, 2025.

#### i) Government Security Lending (GSL) transactions (in market value terms)

##### Year ended 31 March, 2026

(₹ in crores)

|                                                          | Minimum<br>outstanding<br>during the year | Maximum<br>outstanding<br>during the year | Daily average<br>outstanding<br>during the year | Total volume<br>of transactions<br>during the year | As at<br>31 March, 2026 |
|----------------------------------------------------------|-------------------------------------------|-------------------------------------------|-------------------------------------------------|----------------------------------------------------|-------------------------|
| Securities lent through GSL transactions                 | -                                         | -                                         | -                                               | -                                                  | -                       |
| Securities borrowed through GSL transactions             | -                                         | -                                         | -                                               | -                                                  | -                       |
| Securities placed as collateral under GSL transactions   | -                                         | -                                         | -                                               | -                                                  | -                       |
| Securities received as collateral under GSL Transactions | -                                         | -                                         | -                                               | -                                                  | -                       |

##### Year ended 31 March, 2025

(₹ in crores)

|                                                          | Minimum<br>outstanding<br>during the year | Maximum<br>outstanding<br>during the year | Daily average<br>outstanding<br>during the year | Total volume<br>of transactions<br>during the year | As at<br>31 March, 2025 |
|----------------------------------------------------------|-------------------------------------------|-------------------------------------------|-------------------------------------------------|----------------------------------------------------|-------------------------|
| Securities lent through GSL transactions                 | -                                         | -                                         | -                                               | -                                                  | -                       |
| Securities borrowed through GSL transactions             | -                                         | -                                         | -                                               | -                                                  | -                       |
| Securities placed as collateral under GSL transactions   | -                                         | -                                         | -                                               | -                                                  | -                       |
| Securities received as collateral under GSL Transactions | -                                         | -                                         | -                                               | -                                                  | -                       |



## j) Securities kept as margin (in face value terms)

| Sr. No. | Particulars                                                                                                        | (₹ in crores)     |                   |
|---------|--------------------------------------------------------------------------------------------------------------------|-------------------|-------------------|
|         |                                                                                                                    | 31 March, 2026    | 31 March, 2025    |
| i.      | Securities kept as margin with Clearing Corporation of India towards:                                              |                   |                   |
| a)      | Collateral and funds management - Member Common Collateral                                                         | 3,450.00          | 5,700.00          |
| b)      | Collateral and funds management - Tri-party Repo                                                                   | 40,500.00         | 53,150.00         |
| c)      | Default fund - Forex Forward segment                                                                               | 218.55            | 219.00            |
| d)      | Default fund - Forex Settlement segment                                                                            | 43.00             | 47.00             |
| e)      | Default fund - Forex Option segment                                                                                | 1.10              | -                 |
| f)      | Default fund - Rupee Derivatives (Guaranteed Settlement) segment                                                   | 49.25             | 44.40             |
| g)      | Default fund - Securities segment                                                                                  | 40.90             | 16.10             |
| h)      | Default fund - Tri-party repo segment                                                                              | 5.00              | 5.50              |
| ii.     | Securities kept as margin with the RBI towards:                                                                    |                   |                   |
| a)      | Real Time Gross Settlement (RTGS)                                                                                  | 40,260.41         | 45,730.41         |
| b)      | Repo constituent                                                                                                   | 40,969.61         | 65,003.10         |
| iii.    | Securities kept as margin with National Securities Clearing Corporation of India (NSCCIL) towards various segments | 105.35            | 125.35            |
| iv.     | Securities kept as margin with Indian Clearing Corporation of India (ICCL) towards capital market                  | 5.50              | 5.50              |
|         | <b>Total</b>                                                                                                       | <b>125,648.67</b> | <b>170,046.36</b> |

## 1.4 Asset Quality

## a) i) Movement in gross non-performing assets is set out below:

|                                                                                 | (₹ in crores)      |                |                    |
|---------------------------------------------------------------------------------|--------------------|----------------|--------------------|
|                                                                                 | 31 March, 2026     |                |                    |
|                                                                                 | Advances           | Investments    | Total              |
| Gross NPAs as at the beginning of the year                                      | 13,961.19          | 528.92         | 14,490.11          |
| Intra Category Transfer                                                         | (87.70)            | 87.70          | -                  |
| Additions (fresh NPAs) during the year <sup>1</sup>                             | 24,515.83          | 60.68          | 24,576.51          |
| <b>Sub-total (A)</b>                                                            | <b>38,389.32</b>   | <b>677.30</b>  | <b>39,066.62</b>   |
| Less:-                                                                          |                    |                |                    |
| (i) Upgradations                                                                | (7,445.44)         | (13.79)        | (7,459.23)         |
| (ii) Recoveries (excluding recoveries made from upgraded accounts) <sup>2</sup> | (3,099.76)         | (8.81)         | (3,108.57)         |
| (iii) Technical/Prudential Write-offs <sup>3</sup>                              | (8,467.78)         | -              | (8,467.78)         |
| (iv) Write-offs other than those under (iii) above                              | (3,906.18)         | (41.21)        | (3,947.39)         |
| <b>Sub-total (B)</b>                                                            | <b>(22,919.16)</b> | <b>(63.81)</b> | <b>(22,982.97)</b> |
| <b>Gross NPAs as at the end of the year (A-B)</b>                               | <b>15,740.16</b>   | <b>613.49</b>  | <b>16,083.65</b>   |

1. includes impact of exchange rate fluctuation

2. includes recoveries from sale of NPAs

3. represents cases where the non-performing assets remain outstanding at borrowers' loan account level but are written-off (fully or partially) by the Bank only for accounting purposes, without involving any waiver of claims against the borrower, and without prejudice to the recovery of the same

(₹ in crores)

|                                                                                 | 31 March, 2025     |                 |                    |
|---------------------------------------------------------------------------------|--------------------|-----------------|--------------------|
|                                                                                 | Advances           | Investments     | Total              |
| Gross NPAs as at the beginning of the year                                      | 14,345.04          | 782.08          | 15,127.12          |
| Intra Category Transfer                                                         | (34.31)            | 34.31           | -                  |
| Additions (fresh NPAs) during the year <sup>1</sup>                             | 19,476.28          | (2.62)          | 19,473.66          |
| <b>Sub-total (A)</b>                                                            | <b>33,787.01</b>   | <b>813.77</b>   | <b>34,600.78</b>   |
| Less:-                                                                          |                    |                 |                    |
| (i) Upgradations                                                                | (4,617.70)         | (8.88)          | (4,626.58)         |
| (ii) Recoveries (excluding recoveries made from upgraded accounts) <sup>2</sup> | (3,401.73)         | (250.09)        | (3,651.82)         |
| (iii) Technical/Prudential Write-offs <sup>3</sup>                              | (6,798.43)         | (25.88)         | (6,824.31)         |
| (iv) Write-offs other than those under (iii) above                              | (5,007.96)         | -               | (5,007.96)         |
| <b>Sub-total (B)</b>                                                            | <b>(19,825.82)</b> | <b>(284.85)</b> | <b>(20,110.67)</b> |
| <b>Gross NPAs as at the end of the year (A-B)</b>                               | <b>13,961.19</b>   | <b>528.92</b>   | <b>14,490.11</b>   |

1. includes impact of exchange rate fluctuation

2. includes recoveries from sale of NPAs

3. represents cases where the non-performing assets remain outstanding at borrowers' loan account level but are written-off (fully or partially) by the Bank only for accounting purposes, without involving any waiver of claims against the borrower, and without prejudice to the recovery of the same

**ii) Movement in provisions for non-performing assets is set out below:**

(₹ in crores)

|                                                                             | 31 March, 2026   |               |                  |
|-----------------------------------------------------------------------------|------------------|---------------|------------------|
|                                                                             | Advances         | Investments   | Total            |
| Opening balance at the beginning of the year                                | 10,272.49        | 528.92        | 10,801.41        |
| Intra-Category Transfer                                                     | (87.70)          | 87.70         | -                |
| Provisions made during the year                                             | 13,138.84        | (13.04)       | 13,125.80        |
| Effect of exchange rate fluctuation                                         | 36.19            | 19.75         | 55.94            |
| Transfer from restructuring provision                                       | -                | -             | -                |
| Provision in respect of Interest Capitalisation - Restructured NPA Accounts | (6.10)           | 40.17         | 34.07            |
| Write-offs/(write back) of excess provision                                 | (12,676.40)      | (50.01)       | (12,726.41)      |
| <b>Closing balance at the end of the year</b>                               | <b>10,677.32</b> | <b>613.49</b> | <b>11,290.81</b> |

(₹ in crores)

|                                                                             | 31 March, 2025   |               |                  |
|-----------------------------------------------------------------------------|------------------|---------------|------------------|
|                                                                             | Advances         | Investments   | Total            |
| Opening balance at the beginning of the year                                | 11,094.32        | 782.08        | 11,876.40        |
| Intra-Category Transfer                                                     | (27.33)          | 27.33         | -                |
| Provisions made during the year                                             | 12,140.26        | (1.73)        | 12,138.53        |
| Effect of exchange rate fluctuation                                         | 15.43            | (4.64)        | 10.79            |
| Transfer from restructuring provision                                       | -                | -             | -                |
| Provision in respect of Interest Capitalisation - Restructured NPA Accounts | (21.56)          | (0.13)        | (21.69)          |
| Write-offs/(write back) of excess provision                                 | (12,928.63)      | (273.99)      | (13,202.62)      |
| <b>Closing balance at the end of the year</b>                               | <b>10,272.49</b> | <b>528.92</b> | <b>10,801.41</b> |

## iii) Movement in net non-performing assets is set out below:

(₹ in crores)

|                                                                             | 31 March, 2026  |             |                 |
|-----------------------------------------------------------------------------|-----------------|-------------|-----------------|
|                                                                             | Advances        | Investments | Total           |
| Opening balance at the beginning of the year (excluding floating provision) | 3,688.70        | -           | 3,688.70        |
| Intra-Category Transfer                                                     | -               | -           | -               |
| Additions during the year                                                   | 11,376.99       | 73.72       | 11,450.71       |
| Effect of exchange rate fluctuation                                         | (36.19)         | (19.75)     | (55.94)         |
| Reductions during the year                                                  | (10,242.76)     | (13.80)     | (10,256.56)     |
| Interest Capitalisation – Restructured NPA Accounts                         | 6.10            | (40.17)     | (34.07)         |
| <b>Closing balance at the end of the year</b>                               | <b>4,792.84</b> | <b>-</b>    | <b>4,792.84</b> |
| Less :- Floating Provision                                                  | (3.25)          | -           | (3.25)          |
| <b>Net NPA at the end of the year</b>                                       | <b>4,789.59</b> | <b>-</b>    | <b>4,789.59</b> |

(₹ in crores)

|                                                                             | 31 March, 2025  |             |                 |
|-----------------------------------------------------------------------------|-----------------|-------------|-----------------|
|                                                                             | Advances        | Investments | Total           |
| Opening balance at the beginning of the year (excluding floating provision) | 3,250.72        | -           | 3,250.72        |
| Intra-Category Transfer                                                     | (6.98)          | 6.98        | -               |
| Additions during the year                                                   | 7,336.02        | (0.89)      | 7,335.13        |
| Effect of exchange rate fluctuation                                         | (15.43)         | 4.64        | (10.79)         |
| Reductions during the year                                                  | (6,897.19)      | (10.86)     | (6,908.05)      |
| Interest Capitalisation – Restructured NPA Accounts                         | 21.56           | 0.13        | 21.69           |
| <b>Closing balance at the end of the year</b>                               | <b>3,688.70</b> | <b>-</b>    | <b>3,688.70</b> |
| Less :- Floating Provision                                                  | (3.25)          | -           | (3.25)          |
| <b>Net NPA at the end of the year</b>                                       | <b>3,685.45</b> | <b>-</b>    | <b>3,685.45</b> |

## iv) Classification of advances and provisions held

For the year 31 March, 2026

(₹ in crores)

|                                                                                  | Standard                | Non-Performing  |                 |                 |                               | Total               |
|----------------------------------------------------------------------------------|-------------------------|-----------------|-----------------|-----------------|-------------------------------|---------------------|
|                                                                                  | Total Standard Advances | Sub-standard    | Doubtful        | Loss            | Total Non-Performing Advances |                     |
| <b>Gross Standard Advances and NPAs</b>                                          |                         |                 |                 |                 |                               |                     |
| <b>Opening Balance</b>                                                           | <b>10,37,125.87</b>     | <b>7,685.65</b> | <b>3,388.53</b> | <b>2,887.01</b> | <b>13,961.19</b>              | <b>10,51,087.06</b> |
| Inter-Category transfer from/(to) Investments                                    |                         |                 |                 |                 | (87.70)                       |                     |
| Add: Additions during the year                                                   |                         |                 |                 |                 | 24,515.83                     |                     |
| Less: Reductions during the year*                                                |                         |                 |                 |                 | (22,919.16)                   |                     |
| <b>Closing Balance</b>                                                           | <b>12,28,780.28</b>     | <b>8,952.18</b> | <b>4,100.55</b> | <b>2,417.43</b> | <b>15,470.16</b>              | <b>12,44,250.44</b> |
| *Reductions in Gross NPAs due to:                                                |                         |                 |                 |                 |                               |                     |
| i) Upgradation                                                                   |                         |                 |                 |                 | (7,445.44)                    |                     |
| ii) Recoveries (excluding recoveries from upgraded accounts)                     |                         |                 |                 |                 | (3,099.76)                    |                     |
| iii) Technical/Prudential Write-offs                                             |                         |                 |                 |                 | (8,467.78)                    |                     |
| iv) Write-offs other than (iii) above <sup>1</sup>                               |                         |                 |                 |                 | (3,906.18)                    |                     |
| <b>Provisions (excluding Floating Provisions)<sup>2</sup></b>                    |                         |                 |                 |                 |                               |                     |
| <b>Opening Balance of Provisions held</b>                                        | <b>4,950.06*</b>        | <b>4,752.34</b> | <b>2,633.14</b> | <b>2,887.01</b> | <b>10,272.49</b>              | <b>15,222.55</b>    |
| Inter-category transfer from/(to) Investments                                    |                         |                 |                 |                 | (87.70)                       |                     |
| Add: Fresh provisions made during the year                                       |                         |                 |                 |                 | 13,138.84                     |                     |
| Add: Provision in respect of Interest Capitalisation – Restructured NPA Accounts |                         |                 |                 |                 | (6.10)                        |                     |
| Effect of exchange rate fluctuation                                              |                         |                 |                 |                 | 36.19                         |                     |
| Transfer from restructuring provision                                            |                         |                 |                 |                 | -                             |                     |
| Less: Excess Provision reversed/ Write-off loans                                 |                         |                 |                 |                 | (12,676.40)                   |                     |
| <b>Closing Balance of Provisions held</b>                                        | <b>6,743.12*</b>        | <b>4,973.39</b> | <b>3,286.50</b> | <b>2,417.43</b> | <b>10,677.32</b>              | <b>17,420.44</b>    |

## For the year 31 March, 2026

(₹ in crores)

|                                                                                                     | Standard                | Non-Performing  |               |          | Total                         |
|-----------------------------------------------------------------------------------------------------|-------------------------|-----------------|---------------|----------|-------------------------------|
|                                                                                                     | Total Standard Advances | Sub-standard    | Doubtful      | Loss     | Total Non-Performing Advances |
| <b>Net NPAs</b>                                                                                     |                         |                 |               |          |                               |
| Opening Balance (excluding floating provision)                                                      |                         | 2,933.31        | 755.39        |          | 3,688.70                      |
| Less: Floating provision                                                                            |                         |                 |               |          | (3.25)                        |
| Inter-category transfer from/(to) Investments                                                       |                         |                 |               |          | -                             |
| Add: Fresh Additions during the year                                                                |                         |                 |               |          | 11,376.99                     |
| Interest Capitalisation – Restructured NPA Accounts                                                 |                         |                 |               |          | 6.10                          |
| Effect of exchange rate fluctuation                                                                 |                         |                 |               |          | (36.19)                       |
| Less: Reductions during the year                                                                    |                         |                 |               |          | (10,242.76)                   |
| <b>Closing Balance</b>                                                                              |                         | <b>3,978.79</b> | <b>814.05</b> | <b>-</b> | <b>4,789.59</b>               |
| <b>Floating Provisions</b>                                                                          |                         |                 |               |          |                               |
| Opening Balance                                                                                     |                         |                 |               |          | 3.25                          |
| Add: Additional provisions made during the year                                                     |                         |                 |               |          | -                             |
| Less: Amount of drawn down during the year                                                          |                         |                 |               |          | -                             |
| Closing Balance of Floating provisions                                                              |                         |                 |               |          | 3.25                          |
| <b>Technical write-offs and recoveries made thereon (includes advances, investments and others)</b> |                         |                 |               |          |                               |
| Opening balance of Technical/Prudential written-off accounts                                        |                         |                 |               |          | 42,817.64                     |
| Add: Technical/ Prudential write-offs during the year                                               |                         |                 |               |          | 8,467.78                      |
| Add: Effect of exchange rate fluctuation                                                            |                         |                 |               |          | 687.98                        |
| Less: Recoveries made from previously technical/ prudential written-off accounts during the year    |                         |                 |               |          | 2,569.64                      |
| Less: Accounts upgraded pursuant to implementation of resolution plan (change in ownership)         |                         |                 |               |          | -                             |
| Less: Sacrifice made from previously technical/ prudential written-off accounts during the year     |                         |                 |               |          | 4,773.18                      |
| <b>Closing Balance</b>                                                                              |                         |                 |               |          | <b>44,630.58</b>              |

\* represents general provision against standard assets relating to advances (Refer item 5 (IV) under schedule 5 – “Other liabilities and provision”)

- including sale of NPAs
- including provision in respect of Interest Capitalization - Restructured Accounts, in respect of NPA accounts amounting to ₹1.37 crores which is not recognized as income as per RBI guidelines

## For the year 31 March, 2025

(₹ in crores)

|                                                                                  | Standard                | Non-Performing  |                 |                 | Total                         |
|----------------------------------------------------------------------------------|-------------------------|-----------------|-----------------|-----------------|-------------------------------|
|                                                                                  | Total Standard Advances | Sub-standard    | Doubtful        | Loss            | Total Non-Performing Advances |
| <b>Gross Standard Advances and NPAs</b>                                          |                         |                 |                 |                 |                               |
| Opening Balance                                                                  | 961,820.91              | 5,212.30        | 3,888.71        | 5,244.03        | 14,345.04                     |
| Inter-Category transfer from/(to) Investments                                    |                         |                 |                 |                 | (34.31)                       |
| Add: Additions during the year                                                   |                         |                 |                 |                 | 19,476.28                     |
| Less: Reductions during the year*                                                |                         |                 |                 |                 | (19,825.82)                   |
| <b>Closing Balance</b>                                                           | <b>10,37,125.87</b>     | <b>7,685.65</b> | <b>3,388.53</b> | <b>2,887.01</b> | <b>13,961.19</b>              |
| *Reductions in Gross NPAs due to:                                                |                         |                 |                 |                 |                               |
| i) Upgradation                                                                   |                         |                 |                 |                 | (4,617.70)                    |
| ii) Recoveries (excluding recoveries from upgraded accounts) <sup>1</sup>        |                         |                 |                 |                 | (3,401.73)                    |
| iii) Technical/Prudential Write-offs                                             |                         |                 |                 |                 | (6,798.43)                    |
| iv) Write-offs other than (iii) above <sup>2</sup>                               |                         |                 |                 |                 | (5,007.96)                    |
| <b>Provisions (excluding Floating Provisions)<sup>3</sup></b>                    |                         |                 |                 |                 |                               |
| Opening Balance of Provisions held                                               | 4,900.10*               | 2,891.08        | 2,959.21        | 5,244.03        | 11,094.32                     |
| Inter-category transfer from/(to) Investments                                    |                         |                 |                 |                 | (27.33)                       |
| Add: Fresh provisions made during the year                                       |                         |                 |                 |                 | 12,140.26                     |
| Add: Provision in respect of Interest Capitalisation – Restructured NPA Accounts |                         |                 |                 |                 | (21.56)                       |
| Effect of exchange rate fluctuation                                              |                         |                 |                 |                 | 15.43                         |

For the year 31 March, 2025

(₹ in crores)

|                                                                                                     | Standard                      | Non-Performing   |                 |                 |                                      |                  |
|-----------------------------------------------------------------------------------------------------|-------------------------------|------------------|-----------------|-----------------|--------------------------------------|------------------|
|                                                                                                     | Total<br>Standard<br>Advances | Sub-<br>standard | Doubtful        | Loss            | Total Non-<br>Performing<br>Advances | Total            |
| Transfer from restructuring provision                                                               |                               |                  |                 |                 | -                                    |                  |
| Less: Excess Provision reversed/ Write-off loans                                                    |                               |                  |                 |                 | (12,928.63)                          |                  |
| <b>Closing Balance of Provisions held</b>                                                           | <b>4,950.06*</b>              | <b>4,752.34</b>  | <b>2,633.14</b> | <b>2,887.01</b> | <b>10,272.49</b>                     | <b>15,222.55</b> |
| <b>Net NPAs</b>                                                                                     |                               |                  |                 |                 |                                      |                  |
| Opening Balance (excluding floating provision)                                                      |                               | 2,321.22         | 929.50          | -               | 3,250.72                             |                  |
| Less: Floating provision                                                                            |                               |                  |                 |                 | (3.25)                               |                  |
| Inter category transfer from/(to) Investments                                                       |                               |                  |                 |                 | (6.98)                               |                  |
| Add: Fresh Additions during the year                                                                |                               |                  |                 |                 | 7,336.02                             |                  |
| Interest Capitalisation - Restructured NPA Accounts                                                 |                               |                  |                 |                 | 21.56                                |                  |
| Effect of exchange rate fluctuation                                                                 |                               |                  |                 |                 | (15.43)                              |                  |
| Less: Reductions during the year                                                                    |                               |                  |                 |                 | (6,897.19)                           |                  |
| <b>Closing Balance</b>                                                                              |                               | <b>2,933.31</b>  | <b>755.39</b>   | <b>-</b>        | <b>3,685.45</b>                      |                  |
| <b>Floating Provisions</b>                                                                          |                               |                  |                 |                 |                                      |                  |
| <b>Opening Balance</b>                                                                              |                               |                  |                 |                 |                                      | <b>3.25</b>      |
| Add: Additional provisions made during the year                                                     |                               |                  |                 |                 |                                      | -                |
| Less: Amount of drawn down during the year                                                          |                               |                  |                 |                 |                                      | -                |
| <b>Closing Balance of Floating provisions</b>                                                       |                               |                  |                 |                 |                                      | <b>3.25</b>      |
| <b>Technical write-offs and recoveries made thereon (includes advances, investments and others)</b> |                               |                  |                 |                 |                                      |                  |
| <b>Opening balance of Technical/Prudential written-off accounts</b>                                 |                               |                  |                 |                 |                                      | <b>39,683.15</b> |
| Add: Technical/ Prudential write-offs during the year                                               |                               |                  |                 |                 |                                      | 6,824.31         |
| Add: Effect of exchange rate fluctuation                                                            |                               |                  |                 |                 |                                      | 161.10           |
| Less: Recoveries made from previously technical/ prudential written-off accounts during the year    |                               |                  |                 |                 |                                      | (2,338.50)       |
| Less: Accounts upgraded pursuant to implementation of resolution plan (change in ownership)         |                               |                  |                 |                 |                                      | -                |
| Less: Sacrifice made from previously technical/ prudential written-off accounts during the year     |                               |                  |                 |                 |                                      | (1,512.42)       |
| <b>Closing Balance</b>                                                                              |                               |                  |                 |                 |                                      | <b>42,817.64</b> |

\* represents general provision against standard assets relating to advances (Refer item 5 (IV) under Schedule 5 - "Other liabilities and provision")

- includes ₹678.23 crores recovered in the form of Government guaranteed Security Receipts allotted by National Asset Reconstruction Company Limited (NARCL)
- including sale of NPAs
- including provision in respect of Interest Capitalization - Restructured Accounts, in respect of NPA accounts amounting to ₹7.47 crores which is not recognized as income as per RBI guidelines

v) Key NPA Ratios

| Ratios (in percent)                                                                       | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------------------------------|----------------|----------------|
| i. Gross non-performing advances to Gross Advances                                        | 1.24%          | 1.33%          |
| ii. Net non-performing advances to Net Advances                                           | 0.39%          | 0.35%          |
| iii. Provision Coverage ratio for non-performing assets (including prudential write offs) | 92.11%         | 93.56%         |
| iv. Gross non-performing assets as a percentage of gross customer assets <sup>1</sup>     | 1.23%          | 1.28%          |
| v. Net non-performing assets as a percentage of net customer assets <sup>1</sup>          | 0.37%          | 0.33%          |

- Customer assets include advances and credit substitutes



## b) Sector-wise advances and Gross NPAs

(₹ in crores)

| Sr. No.  | Sector                                                            | 31 March, 2026             |            |                                                  | 31 March, 2025             |            |                                                  |
|----------|-------------------------------------------------------------------|----------------------------|------------|--------------------------------------------------|----------------------------|------------|--------------------------------------------------|
|          |                                                                   | Outstanding Total Advances | Gross NPAs | % of Gross NPAs to Total Advances in that sector | Outstanding Total Advances | Gross NPAs | % of Gross NPAs to Total Advances in that sector |
| <b>A</b> | <b>Priority Sector</b>                                            |                            |            |                                                  |                            |            |                                                  |
| 1        | Agriculture and allied activities                                 | 99,776.11                  | 3,183.39   | 3.19%                                            | 106,466.79                 | 3,202.46   | 3.01%                                            |
| 2        | Advances to industries sector eligible as priority sector lending | 101,914.73                 | 1,428.89   | 1.40%                                            | 80,987.30                  | 1,199.64   | 1.48%                                            |
|          | - Chemical & Chemical products                                    | 10,185.64                  | 89.00      | 0.87%                                            | 8,243.76                   | 54.70      | 0.66%                                            |
|          | - Basic Metal & Metal Products                                    | 13,167.26                  | 169.34     | 1.29%                                            | 9,983.85                   | 168.39     | 1.69%                                            |
|          | - Infrastructure                                                  | 7,445.91                   | 103.38     | 1.39%                                            | 4,578.05                   | 43.00      | 0.94%                                            |
| 3        | Services                                                          | 96,446.94                  | 910.86     | 0.94%                                            | 72,647.23                  | 739.53     | 1.02%                                            |
|          | - Banking and Finance other than NBFCs and MFs                    | 605.44                     | 9.34       | 1.54%                                            | 702.57                     | -          | -                                                |
|          | - Non-banking financial companies (NBFCs)                         | 145.60                     | 0.51       | 0.35%                                            | 2,566.05                   | -          | -                                                |
|          | - Commercial Real Estate                                          | 22,882.47                  | 4.58       | 0.02%                                            | 13,343.06                  | 6.55       | 0.05%                                            |
|          | - Trade                                                           | 40,032.51                  | 560.86     | 1.40%                                            | 30,092.16                  | 365.64     | 1.22%                                            |
| 4        | Personal loans#                                                   | 150,426.16                 | 2,948.76   | 1.96%                                            | 128,922.81                 | 2,091.27   | 1.62%                                            |
|          | - Housing*                                                        | 85,325.75                  | 772.93     | 0.91%                                            | 70,255.25                  | 533.03     | 0.76%                                            |
|          | - Vehicle Loans                                                   | 31,234.59                  | 1,127.27   | 3.61%                                            | 29,816.43                  | 862.75     | 2.89%                                            |
|          | Sub-total (A)                                                     | 448,563.94                 | 8,471.90   | 1.89%                                            | 389,024.13                 | 7,232.90   | 1.86%                                            |
| <b>B</b> | <b>Non Priority Sector</b>                                        |                            |            |                                                  |                            |            |                                                  |
| 1        | Agriculture and allied activities                                 | 2,165.93                   | 136.76     | 6.31%                                            | 1,218.14                   | 25.65      | 2.11%                                            |
| 2        | Industry                                                          | 197,056.43                 | 1,126.83   | 0.57%                                            | 157,758.27                 | 1,938.95   | 1.23%                                            |
|          | - Chemical & Chemical products                                    | 21,910.86                  | 13.33      | 0.06%                                            | 18,900.84                  | 21.07      | 0.11%                                            |
|          | - Basic Metal & Metal Products                                    | 23,350.81                  | 13.88      | 0.06%                                            | 19,386.11                  | 35.79      | 0.18%                                            |
|          | - Infrastructure                                                  | 76,316.25                  | 162.00     | 0.21%                                            | 49,327.99                  | 526.30     | 1.07%                                            |
| 3        | Services                                                          | 185,517.24                 | 551.37     | 0.30%                                            | 148,632.26                 | 853.17     | 0.57%                                            |
|          | - Banking and Finance other than NBFCs and MFs                    | 30,175.22                  | 19.40      | 0.06%                                            | 28,244.41                  | -          | -                                                |
|          | - Non-banking financial companies (NBFCs)                         | 57,644.22                  | 0.05       | 0.00%                                            | 39,094.69                  | 30.86      | 0.08%                                            |
|          | - Commercial Real Estate                                          | 34,603.85                  | 38.91      | 0.11%                                            | 23,739.19                  | 170.82     | 0.72%                                            |
|          | - Trade                                                           | 29,012.90                  | 64.08      | 0.22%                                            | 30,444.48                  | 189.21     | 0.62%                                            |
| 4        | Personal loans#                                                   | 410,946.90                 | 5,183.29   | 1.26%                                            | 354,454.26                 | 3,910.52   | 1.10%                                            |
|          | - Housing*                                                        | 177,045.79                 | 764.04     | 0.43%                                            | 166,409.09                 | 823.07     | 0.49%                                            |
|          | - Vehicle Loans                                                   | 35,015.13                  | 975.26     | 2.79%                                            | 31,212.93                  | 997.37     | 3.20%                                            |
|          | Sub-total (B)                                                     | 795,686.50                 | 6,998.25   | 0.88%                                            | 662,062.93                 | 6,728.29   | 1.02%                                            |
|          | Total (A+B)                                                       | 1,244,250.44               | 15,470.15  | 1.24%                                            | 1,051,087.06               | 13,961.19  | 1.33%                                            |

# Personal loans includes retail advances

\* includes loans against property

Classification of advances into respective sectors is based on Sectorwise Industry Bank Credit return as submitted to RBI.

Figures in italics represent sub-sectors where the outstanding advance exceeds 10% of total outstanding advance to that sector.

## c) Amount of total assets, non-performing assets and revenue of overseas branches is given below

(₹ in crores)

| Particulars                | 31 March, 2026 | 31 March, 2025 |
|----------------------------|----------------|----------------|
| Total assets <sup>1</sup>  | 77,279.43      | 56,531.95      |
| Total NPAs (Gross)         | 607.18         | 654.98         |
| Total NPAs (Net)           | -              | -              |
| Total revenue <sup>1</sup> | 3,072.92       | 3,321.20       |

1. Represents total assets and total revenue of foreign operations (refer note no. 2.4 of Schedule 18 on information about business and geographical segments)

**d) Particulars of resolution plan and restructuring**

- i) Disclosure with regard to implementation of resolution plan as required under RBI circular for Resolution of Stressed Assets:

**As on/for the year ended 31 March, 2026**

(₹ in crores)

| Particulars                                                           | Resolution plan implemented during the year | Resolution plan not implemented within specified timelines as on 31 March, 2026 |
|-----------------------------------------------------------------------|---------------------------------------------|---------------------------------------------------------------------------------|
| No. of borrowers <sup>1</sup>                                         | 5                                           | 13                                                                              |
| Fund and non-fund based outstanding as on 31 March, 2026 <sup>2</sup> | 281.79                                      | 584.94                                                                          |
| Additional provisions held as per RBI guidelines                      | -                                           | 73.60                                                                           |

- includes prudentially written-off accounts and accounts settled pursuant to implementation of resolution plan
- excluding fund based outstanding for prudentially written off cases and outstanding in equity shares

**As on/for the year ended 31 March, 2025**

(₹ in crores)

| Particulars                                                           | Resolution plan implemented during the year | Resolution plan not implemented within specified timelines as on 31 March, 2025 |
|-----------------------------------------------------------------------|---------------------------------------------|---------------------------------------------------------------------------------|
| No. of borrowers <sup>1</sup>                                         | 3                                           | 16                                                                              |
| Fund and non-fund based outstanding as on 31 March, 2025 <sup>2</sup> | 58.57                                       | 950.81                                                                          |
| Additional provisions held as per RBI guidelines                      | -                                           | 90.40                                                                           |

- includes prudentially written-off accounts and accounts settled pursuant to implementation of resolution plan
- excluding fund based outstanding for prudentially written off cases and outstanding in equity shares

ii) Details of accounts subjected to restructuring<sup>1,2,3,4</sup>

(Numbers/₹ in crores)

|              |                             | Agriculture and allied activities |                      | Corporate (excluding MSME) |                      | Micro, Small and Medium Enterprises (MSME) <sup>5</sup> |                      | Retail (excluding agriculture and MSME) |                      | Total                |
|--------------|-----------------------------|-----------------------------------|----------------------|----------------------------|----------------------|---------------------------------------------------------|----------------------|-----------------------------------------|----------------------|----------------------|
|              |                             | As on 31 March, 2026              | As on 31 March, 2025 | As on 31 March, 2026       | As on 31 March, 2025 | As on 31 March, 2026                                    | As on 31 March, 2025 | As on 31 March, 2026                    | As on 31 March, 2025 | As on 31 March, 2025 |
| Standard     | Number of borrowers*        | 9                                 | 23                   | 1                          | 2                    | 433                                                     | 789                  | 863                                     | 1,180                | 1,306                |
|              | Gross amount                | 1.00                              | 4.44                 | 21.39                      | 68.21                | 98.15                                                   | 150.06               | 51.99                                   | 86.71                | 172.53               |
|              | Provision held              | 0.05                              | 0.22                 | 1.07                       | 3.41                 | 27.83                                                   | 43.98                | 2.60                                    | 4.34                 | 31.55                |
| Sub-standard | Number of borrowers*        | 155                               | 33                   | -                          | -                    | 15                                                      | 28                   | 2,214                                   | 242                  | 2,384                |
|              | Gross amount                | 10.47                             | 4.29                 | -                          | -                    | 1.03                                                    | 7.73                 | 33.83                                   | 24.64                | 45.33                |
|              | Provision held              | 3.16                              | 1.29                 | -                          | -                    | 0.37                                                    | 1.78                 | 31.28                                   | 14.38                | 34.81                |
| Doubtful     | Number of borrowers*        | 37                                | 30                   | 14                         | 7                    | 8,992                                                   | 9,303                | 52                                      | 18                   | 9,095                |
|              | Gross amount                | 3.58                              | 10.40                | 30.68                      | 43.99                | 15.17                                                   | 47.65                | 13.65                                   | 12.77                | 63.08                |
|              | Provision held              | 2.64                              | 8.84                 | 16.27                      | 27.92                | 11.80                                                   | 40.75                | 10.43                                   | 11.69                | 41.14                |
| Loss         | Number of borrowers*        | 10                                | 2                    | 6                          | 4                    | 2                                                       | -                    | 4                                       | 8                    | 22                   |
|              | Gross amount                | 1.07                              | 0.23                 | 102.87                     | 124.25               | 0.73                                                    | -                    | 8.61                                    | 0.61                 | 113.28               |
|              | Provision held <sup>6</sup> | 1.07                              | 0.23                 | 101.51                     | 122.92               | 0.73                                                    | -                    | 8.61                                    | 0.61                 | 111.92               |
| Total        | Number of borrowers*        | 211                               | 88                   | 21                         | 13                   | 9,442                                                   | 10,120               | 3,133                                   | 1,448                | 12,807               |
|              | Gross amount                | 16.12                             | 19.36                | 154.94                     | 236.45               | 115.08                                                  | 205.44               | 108.08                                  | 124.73               | 394.22               |
|              | Provision held <sup>6</sup> | 6.92                              | 10.58                | 118.85                     | 154.25               | 40.73                                                   | 86.51                | 52.92                                   | 31.02                | 219.42               |

\* while reporting number of borrowers, restructured accounts of same borrowers under different category are reported only under one category

1. Excludes prudentially written-off accounts
2. Excludes accounts where resolution plan is implemented under RBI Resolution Framework for Covid-19 related stress as per RBI circular dated 6 August, 2020 (Resolution Framework 1.0) and 5 May, 2021 (Resolution Framework 2.0). [Refer note 18 (1.4) (k)]
3. Includes accounts where restructuring is implemented under RBI circular for Resolution of Stressed Assets (excluding cases of change in ownership)
4. Includes compromise settlement accounts treated as restructuring pursuant to RBI guidelines on "Resolution of Stressed Assets" where the time for payment of agreed settlement amount exceeds three months
5. Includes **zero** MSME borrower accounts restructured under RBI guidelines of January, 2019 amounting to ₹Nil (Previous year Zero accounts amounting ₹Nil)
6. Excluding balance outstanding in Sundries Account (Interest Capitalization - Restructured Accounts), in respect of NPA accounts which is not recognized as income as per RBI guidelines

## e) Divergence in asset classification and provisioning

In terms of RBI guidelines, banks are required to disclose the divergences in asset classification and provisioning consequent to RBI's annual supervisory process in their notes to accounts to the financial statements. The disclosure is required if either or both of the following conditions are satisfied: (a) the additional provisioning for NPAs assessed by RBI exceeds 5% of the reported profit before provisions and contingencies for the reference period and (b) the additional Gross NPAs identified by RBI exceed 5% of the published incremental Gross NPAs for the reference period.

Based on the above, no disclosure on divergence in asset classification and provisioning for NPAs is required with respect to RBI's annual supervisory process for the year ended 31 March, 2025 and 31 March, 2024.

**f) Disclosure on transfer of loan exposures**

- i) Details of loans not in default acquired and transferred during the years ended 31 March, 2026 and 31 March, 2025 under the RBI guidelines are given below :
- a) Details of loans not in default acquired from other entities:

(₹ in crores)

| Particulars                                                      | For the year ended 31 March, 2026 |                           | For the year ended 31 March, 2025 |                           |
|------------------------------------------------------------------|-----------------------------------|---------------------------|-----------------------------------|---------------------------|
|                                                                  | Corporate                         | Retail                    | Corporate                         | Retail                    |
| Mode of acquisition                                              | Assignment and Novation           | Assignment                | Assignment                        | Assignment                |
| Aggregate Principal outstanding of loans acquired                | 5,026.47                          | 6,138.50                  | 706.30                            | 127.05                    |
| Weighted average residual maturity                               | 4.80 years                        | 11.25 years               | 7.73 years                        | 6.29 years                |
| Weighted average holding period                                  | N.A.                              | N.A.                      | N.A.                              | N.A.                      |
| Retention of beneficial economic interest by the originator      | N.A.                              | 10%                       | N.A.                              | 10%                       |
| Coverage of tangible security (for secured loans)                | 100% secured                      | Weighted average LTV ~48% | 83% secured                       | Weighted average LTV ~35% |
| Rating-wise <sup>1</sup> distribution of loans acquired by value |                                   |                           |                                   |                           |
| - A- and above                                                   | 90%                               | N.A.                      | 97%                               | N.A.                      |
| - BBB-, BBB and BBB+                                             | 10%                               | N.A.                      | 3%                                | N.A.                      |

1. Represents internal rating

- b) Details of loans not in default transferred to other entities:

(₹ in crores)

| Particulars                                                         | For the year ended 31 March, 2026 |        | For the year ended 31 March, 2025 |        |
|---------------------------------------------------------------------|-----------------------------------|--------|-----------------------------------|--------|
|                                                                     | Corporate <sup>1</sup>            | Retail | Corporate <sup>1</sup>            | Retail |
| Mode of transfer                                                    | Assignment and Novation           | -      | Assignment and Novation           | -      |
| Aggregate Principal outstanding of loans acquired                   | 24,748.61                         | -      | 16,072.15                         | -      |
| Weighted average residual maturity                                  | N.A.                              | -      | N.A.                              | -      |
| Weighted average holding period (for assignment transactions)       | 0.31 years                        | -      | 0.58 years                        | -      |
| Retention of beneficial economic interest                           | Nil                               | -      | Nil                               | -      |
| Coverage of tangible security (for secured loans)                   | 99% secured                       | -      | 100% secured                      | -      |
| Rating-wise <sup>2</sup> distribution of loans transferred by value |                                   |        |                                   |        |
| - A- and above                                                      | 93%                               | -      | 78%                               | -      |
| - BBB+                                                              | 7%                                | -      | 22%                               | -      |

1. Includes loans under syndication

2. Represents internal rating

There are no agreements to replace loans transferred to transferees or pay damages arising from any representations or warranty for any of the loans transferred during the year ended 31 March, 2026 and 31 March, 2025.

- ii) Details of stressed loans acquired and transferred during the year ended 31 March, 2026 and 31 March, 2025 under the RBI Master Direction on Transfer of Loan Exposure dated 24 September, 2021 are given below:
- a) The Bank has not acquired any stressed loans (NPA and SMA accounts) during the year ended 31 March, 2026 and 31 March, 2025.
- b) The Bank has not transferred (excluding prudentially written off accounts) any stressed loans (NPA and SMA accounts) during the year ended 31<sup>st</sup> March, 2026.

Details of stressed loans transferred (excluding prudentially written off accounts) during the year ended 31 March, 2025 are given below:

(₹ in crores)

|                                                                                       | To ARCs  |     | To permitted transferees |     | To other transferees |     |
|---------------------------------------------------------------------------------------|----------|-----|--------------------------|-----|----------------------|-----|
|                                                                                       | NPA      | SMA | NPA                      | SMA | NPA                  | SMA |
| No. of accounts                                                                       | 5        | -   | 1                        | -   | -                    | -   |
| Aggregate principal outstanding of loans transferred (on the date of transfer)        | 1,284.76 | -   | 225.00                   | -   | -                    | -   |
| Weighted average residual tenor of the loans transferred                              | N.A.     | -   | N.A.                     | -   | -                    | -   |
| Net book value of the loans transferred (at the time of transfer)                     | -        | -   | -                        | -   | -                    | -   |
| Aggregate consideration*                                                              | 1,479.76 | -   | 0.00**                   | -   | -                    | -   |
| Excess provision reversed to the profit and loss account                              | 1,127.49 | -   | -                        | -   | -                    | -   |
| Additional consideration realized in respect of accounts transferred in earlier years | -        | -   | -                        | -   | -                    | -   |

\* represents sum of cash plus redemption value of security receipts received

\*\* amount less than ₹50,000/-

- iii) The Bank has not made any investment in Security Receipts during the year ended 31<sup>st</sup> March, 2026.

Details on recovery ratings assigned to Security Receipts as on 31 March, 2026:

(₹ in crores)

| Recovery ratings | Anticipated recovery as per recovery rating % | Net Book value | Redemption value |
|------------------|-----------------------------------------------|----------------|------------------|
| RR+              | -                                             | -              | -                |
| RR1              | 121                                           | 9.20           | 9.20             |
| RR1              | 127                                           | 45.02          | 45.02            |
| RR1              | 150                                           | 22.87          | 22.87            |
| RR1              | 100                                           | 513.73         | 1,050.97         |
| RR1              | 109                                           | 162.43         | 162.43           |
| RR2              | 107                                           | -              | -                |
| <b>Total</b>     |                                               | <b>753.25</b>  | <b>1,290.49</b>  |



During year ended 31 March, 2025, the Bank has been allotted Security Receipts amounting to ₹1,215.47 crores pursuant to transfer of certain stressed loans to asset reconstruction companies. Details on recovery ratings assigned to Security Receipts as on 31 March, 2025:

| (₹ in crores)                |                                               |                |                  |
|------------------------------|-----------------------------------------------|----------------|------------------|
| Recovery ratings             | Anticipated recovery as per recovery rating % | Net Book value | Redemption value |
| RR+                          | 187                                           | -              | 2.52             |
| RR1                          | 121                                           | 17.09          | 17.09            |
| RR1                          | 127                                           | 45.02          | 45.02            |
| RR2                          | 90                                            | 3.56           | 3.56             |
| RR2                          | 77                                            | 16.62          | 16.62            |
| RR1                          | 150                                           | 40.13          | 40.13            |
| Yet to be rated <sup>1</sup> |                                               | 513.73         | 1,050.97         |
| Yet to be rated <sup>1</sup> |                                               | 164.50         | 164.50           |
| <b>Total</b>                 |                                               | <b>800.65</b>  | <b>1,340.41</b>  |

1. Recent purchase whose statutory period has not elapsed as on 31 March, 2025

- g)** The Bank has not entered into any co-lending transactions during the quarter ended 31 March, 2026 which qualify under Part B of the RBI (Commercial Banks – Transfer and Distribution of Credit Risk) Directions, 2025 which became effective from 1 January, 2026.
- h) Non-Fund Based (NFB) Credit Facilities:** During the year ended 31 March, 2026, RBI has issued directions with regard to NFB Credit Facilities (Master Direction on Commercial Banks – Credit Facilities, 2025) which shall come into force for the Bank from 1 April, 2026. Accordingly, the disclosure is not applicable for FY 2025-26.
- i) Disclosure on provisioning pertaining to fraud accounts**

| (₹ in crores)                                                                  |                                      |                                      |
|--------------------------------------------------------------------------------|--------------------------------------|--------------------------------------|
| Particulars                                                                    | For the year ended<br>31 March, 2026 | For the year ended<br>31 March, 2025 |
| Number of frauds reported during the year <sup>1,2,3,4</sup>                   | 4,098                                | 19,625                               |
| Amounts involved net of recoveries/write-offs during the year <sup>1,2,3</sup> | 275.66                               | 490.49                               |
| Provisions held at the beginning of the year                                   | 40.00                                | 51.59                                |
| Provisions made during the year                                                | 234.59                               | 307.41                               |
| Balance held in interest capitalisation accounts                               | -                                    | -                                    |
| Provisions held at the end of the year                                         | 274.59                               | 359.01                               |
| Unamortised provision debited from 'other reserves' as at the end of the year  | -                                    | -                                    |

- Includes 158 cases of frauds where claim not admitted amounting to ₹0.78 crores (previous year 17,281 cases of ₹124.35 crores), relating to digital payment related transactions
- In respect of frauds related to advances, the Bank undertakes 100% provisioning of the outstanding amount once the borrower account is classified as fraud in line with RBI guidelines. In respect of other frauds, provision is made where the claim has been admitted and the Bank is under an obligation to settle the same. In all other cases declared as fraud but where claim is not admitted, no provision is required to be made. The number of frauds reported during the year include 32 cases (excluding cases covered under note 1 above) amounting to ₹6.02 crores where claim has not been admitted by the Bank (previous year 96 cases amounting to ₹7.13 crores)
- Excluding 934 cases of advances (previous year 316 cases) amounting to ₹416.56 crores (previous year ₹409.48 crores) reported as fraud during the FY 2025-26 and which are prudentially written off as on 31 March, 2026
- Based on number of borrowers impacted in case of frauds relating to loans and advances and count of Fraud Monitoring Return (FMR) filed with RBI in other cases

## j) Disclosure related to project finance

| Sr. No. | Item Description                                                                                                                                                                                  | For the quarter ended<br>31 December, 2025 |                                                   | For the quarter ended<br>31 March, 2026 |                                                   |
|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|---------------------------------------------------|-----------------------------------------|---------------------------------------------------|
|         |                                                                                                                                                                                                   | Number of<br>accounts <sup>1</sup>         | Total outstanding <sup>1,2</sup><br>(₹ in crores) | Number of<br>accounts <sup>1</sup>      | Total outstanding <sup>1,2</sup><br>(₹ in crores) |
| 1       | Projects under implementation accounts at the beginning of the quarter                                                                                                                            | 953                                        | 23,183.17                                         | 976                                     | 25,416.00                                         |
| 1.1     | Movement in balances in a quarter for projects under implementation at the beginning of the quarter                                                                                               | -                                          | 3,491.15                                          | -                                       | 2,382.14                                          |
| 2       | Projects under implementation accounts sanctioned during the quarter                                                                                                                              | 237                                        | 1,985.26                                          | 230                                     | 1,431.26                                          |
| 2.1     | Projects under implementation accounts closed during the quarter                                                                                                                                  | -                                          | -                                                 | 28                                      | 624.00                                            |
| 3       | Projects under implementation accounts where DCCO has been achieved during the quarter                                                                                                            | 214                                        | 3,243.57                                          | 264                                     | 5,537.36                                          |
| 4       | Projects under implementation accounts at the end of the quarter (1+1.1+2-2.1-3)                                                                                                                  | 976                                        | 25,416.01                                         | 914                                     | 23,068.04                                         |
| 5       | Out of '4' – accounts in respect of which resolution process involving extension in original / extended DCCO, as the case may be, has been invoked                                                | 11                                         | 35.27                                             | 46                                      | 2,043.46                                          |
| 5.1     | Out of '5' – accounts in respect of which Resolution plan has been implemented                                                                                                                    | 11                                         | 35.27                                             | 43                                      | 1,348.33                                          |
| 5.2     | Out of '5' – accounts in respect of which Resolution plan is under implementation                                                                                                                 | -                                          | -                                                 | 3                                       | 695.13                                            |
| 5.3     | Out of '5' – accounts in respect of which Resolution plan has failed                                                                                                                              | -                                          | -                                                 | -                                       | -                                                 |
| 6       | Out of '5' – accounts in respect of which resolution process involving extension in original / extended DCCO, as the case may be, has been invoked due to change in scope and size of the project | -                                          | -                                                 | -                                       | -                                                 |
| 7       | Out of '5' – account in respect of which cost overrun associated with extension in original / extended DCCO, as the case may be, was funded                                                       | -                                          | -                                                 | -                                       | -                                                 |
| 7.1     | Out of '7' – accounts where SBCF was sanctioned during financial closure and renewed continuously                                                                                                 | -                                          | -                                                 | -                                       | -                                                 |
| 7.2     | Out of '7' – accounts where SBCF was not pre-sanctioned or renewed continuously                                                                                                                   | -                                          | -                                                 | -                                       | -                                                 |
| 8       | Out of '4' – accounts in respect of which resolution process not involving extension in original / extended DCCO, as the case may be, has been invoked                                            | -                                          | -                                                 | -                                       | -                                                 |
| 8.1     | Out of '8' – accounts in respect of which Resolution plan has been implemented                                                                                                                    | -                                          | -                                                 | -                                       | -                                                 |
| 8.2     | Out of '8' – accounts in respect of which Resolution plan is under implementation                                                                                                                 | -                                          | -                                                 | -                                       | -                                                 |
| 8.3     | Out of '8' – accounts in respect of which Resolution plan has failed                                                                                                                              | -                                          | -                                                 | -                                       | -                                                 |

1. reported values (Number and gross outstanding of loans) exclude prudentially written off cases

2. represents gross outstanding of loans

**k) Disclosure under Resolution Framework for COVID-19-related Stress**

For the year ended on 31 March, 2026

Movement in position of accounts where resolution plan is implemented under RBI Resolution Framework for Covid-19 related stress as per RBI circular dated 6 August, 2020 (Resolution Framework 1.0) and 5 May, 2021 (Resolution Framework 2.0) during the half year ended 30 September, 2025:

(₹ in crores except number of accounts)

| Type of borrower            | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 31 March, 2025 (A) <sup>1</sup> | Of (A), aggregate debt that slipped into NPA during H1 FY26 | Of (A) amount written off during H1 FY26 | Of (A) amount paid by the borrowers during H1 FY26 <sup>2</sup> | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 30 September, 2025 <sup>1</sup> |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|------------------------------------------|-----------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| Personal Loans <sup>3</sup> | 1,021.30                                                                                                                                     | 15.86                                                       | 1.64                                     | 88.74                                                           | 915.06                                                                                                                                       |
| Corporate persons           | 187.38                                                                                                                                       | -                                                           | -                                        | 30.96                                                           | 156.42                                                                                                                                       |
| Of which, MSMEs             | -                                                                                                                                            | -                                                           | -                                        | -                                                               | -                                                                                                                                            |
| Others                      | -                                                                                                                                            | -                                                           | -                                        | -                                                               | -                                                                                                                                            |
| <b>Total</b>                | <b>1,208.68</b>                                                                                                                              | <b>15.86</b>                                                | <b>1.64</b>                              | <b>119.70</b>                                                   | <b>1,071.48</b>                                                                                                                              |

1. Represents fund based outstanding balance of standard accounts
2. Represents net movement in balance outstanding
3. Personal loans represent retail advances

Movement in position of accounts where resolution plan is implemented under RBI Resolution Framework for Covid-19 related stress as per RBI circular dated 6 August, 2020 (Resolution Framework 1.0) and 5 May, 2021 (Resolution Framework 2.0) during the half year ended 31 March, 2026:

(₹ in crores except number of accounts)

| Type of borrower            | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 30 September, 2025 (A) <sup>1</sup> | Of (A), aggregate debt that slipped into NPA during H2 FY26 | Of (A) amount written off during H2 FY26 | Of (A) amount paid by the borrowers during H2 FY26 <sup>2</sup> | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 31 March, 2026 <sup>1</sup> |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|------------------------------------------|-----------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Personal Loans <sup>3</sup> | 915.06                                                                                                                                           | 6.19                                                        | 7.58                                     | 87.13                                                           | 814.16                                                                                                                                   |
| Corporate persons           | 156.42                                                                                                                                           | -                                                           | -                                        | 12.26                                                           | 144.16                                                                                                                                   |
| Of which, MSMEs             | -                                                                                                                                                | -                                                           | -                                        | -                                                               | -                                                                                                                                        |
| Others                      | -                                                                                                                                                | -                                                           | -                                        | -                                                               | -                                                                                                                                        |
| <b>Total</b>                | <b>1,071.48</b>                                                                                                                                  | <b>6.19</b>                                                 | <b>7.58</b>                              | <b>99.39</b>                                                    | <b>958.32</b>                                                                                                                            |

1. Represents fund based outstanding balance of standard accounts
2. Represents net movement in balance outstanding
3. Personal loans represent retail advances

For the year ended 31 March, 2025

Movement in position of accounts where resolution plan is implemented under RBI Resolution Framework for Covid-19 related stress as per RBI circular dated 6 August, 2020 (Resolution Framework 1.0) during the half year ended 30 September, 2024:

(₹ in crores except number of accounts)

| Type of borrower            | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 31 March, 2024 (A) <sup>1</sup> | Of (A), aggregate debt that slipped into NPA during H1 FY25 | Of (A) amount written off during H1 FY25 | Of (A) amount paid by the borrowers during H1 FY25 <sup>2</sup> | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 30 September, 2024 <sup>1</sup> |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|------------------------------------------|-----------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| Personal Loans <sup>3</sup> | 1,330.90                                                                                                                                     | 47.61                                                       | 2.04                                     | 120.32                                                          | 1,160.93                                                                                                                                     |
| Corporate persons           | 197.15                                                                                                                                       | -                                                           | -                                        | 37.76                                                           | 159.39                                                                                                                                       |
| Of which, MSMEs             | -                                                                                                                                            | -                                                           | -                                        | -                                                               | -                                                                                                                                            |
| Others                      | -                                                                                                                                            | -                                                           | -                                        | -                                                               | -                                                                                                                                            |
| <b>Total</b>                | <b>1,528.05</b>                                                                                                                              | <b>47.61</b>                                                | <b>2.04</b>                              | <b>158.08</b>                                                   | <b>1,320.32</b>                                                                                                                              |

1. Represents fund based outstanding balance of standard accounts
2. Represents net movement in balance outstanding
3. Personal loans represent retail advances

Movement in position of accounts where resolution plan is implemented under RBI Resolution Framework for Covid-19 related stress as per RBI circular dated 6 August, 2020 (Resolution Framework 1.0) and 5 May, 2021 (Resolution Framework 2.0) during the half year ended 31 March, 2025:

(₹ in crores except number of accounts)

| Type of borrower            | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 30 September, 2024 (A) <sup>1</sup> | Of (A), aggregate debt that slipped into NPA during H2 FY25 | Of (A) amount written off during H2 FY25 | Of (A) amount paid by the borrowers during H2 FY25 <sup>2</sup> | Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at 31 March, 2025 <sup>1</sup> |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|------------------------------------------|-----------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Personal Loans <sup>3</sup> | 1,160.93                                                                                                                                         | 23.73                                                       | 2.94                                     | 112.96                                                          | 1,021.30                                                                                                                                 |
| Corporate persons           | 159.39                                                                                                                                           | -                                                           | -                                        | (27.99)                                                         | 187.38                                                                                                                                   |
| Of which, MSMEs             | -                                                                                                                                                | -                                                           | -                                        | -                                                               | -                                                                                                                                        |
| Others                      | -                                                                                                                                                | -                                                           | -                                        | -                                                               | -                                                                                                                                        |
| <b>Total</b>                | <b>1,320.32</b>                                                                                                                                  | <b>23.73</b>                                                | <b>2.94</b>                              | <b>84.97</b>                                                    | <b>1,208.68</b>                                                                                                                          |

1. Represents fund based outstanding balance of standard accounts
2. Represents net movement in balance outstanding
3. Personal loans represent retail advances

- i) During the years ended 31 March, 2026 and 31 March, 2025 none of the loans and advances held at overseas branches of the Bank have been classified as NPA by any host banking regulator for reasons other than record of recovery.

## 1.5 Exposures

## a) Exposure to Real Estate sector

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |  | (₹ in crores)     |                   |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|-------------------|-------------------|
| Category                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  | 31 March, 2026    | 31 March, 2025    |
| 1) Direct Exposure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |  |                   |                   |
| (i) Residential mortgages                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |  | 231,366.73        | 217,344.83        |
| (Lending fully secured by mortgages on residential property that is or will be occupied by the borrower or that is rented. Exposure also includes non-fund based (NFB) limits)                                                                                                                                                                                                                                                                                                                              |  |                   |                   |
| - of which housing loans eligible for inclusion in priority sector advances                                                                                                                                                                                                                                                                                                                                                                                                                                 |  | 67,667.35         | 56,083.46         |
| (ii) Commercial real estate                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  | 102,202.26        | 71,495.88         |
| [Lending secured by mortgages on commercial real estate (office building, retail space, multipurpose commercial premises, multifamily residential buildings, multi tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development, and construction etc.) where the prospects for repayment and recovery depend primarily on the cashflows generated by the assets and also includes housing loans extended towards third dwelling unit. Exposures include NFB limits.] |  |                   |                   |
| (iii) Investments in Mortgage Backed Securities (MBS) and other securitised exposures -                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                   |                   |
| a. Residential                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |  | -                 | -                 |
| b. Commercial real estate                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |  | -                 | -                 |
| 2) Indirect Exposure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |  |                   |                   |
| Fund based and non-fund based exposures on National Housing Bank (NHB) and Housing Finance Companies (HFCs)                                                                                                                                                                                                                                                                                                                                                                                                 |  | 14,798.87         | 17,482.70         |
| <b>Total Exposure to Real Estate Sector</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  | <b>348,367.86</b> | <b>306,323.41</b> |

## b) Exposure to Capital Market

|                                                                                                                                                                                                                                                                                                                                                      |  | (₹ in crores)  |                |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|----------------|----------------|
| Category                                                                                                                                                                                                                                                                                                                                             |  | 31 March, 2026 | 31 March, 2025 |
| 1. Direct investments in equity shares, convertible bonds, convertible debentures and units of equity-oriented mutual funds the corpus of which is not exclusively invested in corporate debt <sup>1</sup>                                                                                                                                           |  | 4,151.54       | 4,576.42       |
| 2. Advances against shares/bonds/debentures or other securities or on clean basis to individuals for investment in shares (including IPOs/ESOPs), convertible bonds, convertible debentures, and units of equity-oriented mutual funds                                                                                                               |  | 60.00          | 11.61          |
| 3. Advances for any other purposes where shares or convertible bonds or convertible debentures or units of equity-oriented mutual funds are taken as primary security                                                                                                                                                                                |  | 2,451.55       | 2,675.40       |
| 4. Advances for any other purposes to the extent secured by the collateral security of shares or convertible bonds or convertible debentures or units of equity-oriented mutual funds i.e. where primary security other than shares/convertible bonds/convertible debentures/units of equity-oriented mutual funds does not fully cover the advances |  | 82.43          | 100.30         |
| 5. Secured and unsecured advances to stockbrokers and guarantees issued on behalf of stockbrokers and market makers                                                                                                                                                                                                                                  |  | 41,621.39      | 34,114.15      |
| 6. Loans sanctioned to corporates against the security of shares/bonds/debentures or other securities or on clean basis for meeting promoter's contribution to the equity of new companies in anticipation of raising resources                                                                                                                      |  | 13.50          | 16.90          |
| 7. Bridge loans to companies against expected equity flows/issues                                                                                                                                                                                                                                                                                    |  | 8.88           | 51.04          |
| 8. Underwriting commitments taken up in respect of primary issue of shares or convertible bonds or convertible debentures or units of equity-oriented mutual funds                                                                                                                                                                                   |  | -              | -              |



| Category                                                                                                            | (₹ in crores)    |                  |
|---------------------------------------------------------------------------------------------------------------------|------------------|------------------|
|                                                                                                                     | 31 March, 2026   | 31 March, 2025   |
| 9. Financing to stock brokers for margin trading                                                                    | -                | -                |
| 10. All exposures to Venture Capital Funds (both registered and unregistered) including capital contribution to LLP | 477.59           | 413.04           |
| <b>Total exposure to Capital Market (Total of 1 to 10)</b>                                                          | <b>48,866.88</b> | <b>41,958.86</b> |

1. excludes investment in equity shares on account of conversion of debt into equity as part of restructuring amounting to ₹465.69 crores as on 31 March, 2026 (previous year ₹210.76 crores) which are exempted from exposure to Capital Market

#### c) Details of Risk Category wise Country Exposure

| Risk Category <sup>1</sup> | (₹ in crores)                       |                                     |                                     |                                     |
|----------------------------|-------------------------------------|-------------------------------------|-------------------------------------|-------------------------------------|
|                            | Exposure (Net) as at 31 March, 2026 | Provision Held as at 31 March, 2026 | Exposure (Net) as at 31 March, 2025 | Provision Held as at 31 March, 2025 |
| Insignificant              | -                                   | -                                   | -                                   | -                                   |
| Low                        | 37,867.02                           | 69.63                               | 26,770.15                           | 44.14                               |
| Moderate                   | 1,144.83                            | -                                   | 692.33                              | -                                   |
| High                       | 204.85                              | -                                   | 32.75                               | -                                   |
| Very High                  | 755.24                              | -                                   | 45.46                               | -                                   |
| Restricted                 | 1,277.18                            | -                                   | 0.15                                | -                                   |
| Off-Credit                 | -                                   | -                                   | 0.01                                | -                                   |
| <b>Total</b>               | <b>41,249.12</b>                    | <b>69.63</b>                        | <b>27,540.85</b>                    | <b>44.14</b>                        |

1. Risk categorization is based on the methodology as internally adopted by the Bank

#### d) Unsecured Advances

| Particulars                                                                                                                                    | (₹ in crores)  |                |
|------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
|                                                                                                                                                | 31 March, 2026 | 31 March, 2025 |
| Total unsecured advances of the Bank                                                                                                           | 335,252.19     | 282,660.38     |
| Out of the above, amount of advances for which intangible securities such as charge over the rights, licenses, authority, etc. have been taken | -              | -              |
| Estimated value of such intangible securities                                                                                                  | -              | -              |

#### e) Factoring Exposures

As on 31 March, 2026, exposures under factoring stood at ₹19,057.15 crores (previous year ₹16,497.03 crores).

#### f) Disclosure on Intra-Group Exposures<sup>1</sup>

| Particulars                                                                              | (₹ in crores)  |                |
|------------------------------------------------------------------------------------------|----------------|----------------|
|                                                                                          | 31 March, 2026 | 31 March, 2025 |
| Total amount of intra-group exposures                                                    | 19,528.49      | 18,360.20      |
| Total amount of top-20 intra-group exposures                                             | 19,528.45      | 18,360.09      |
| Percentage of intra-group exposures to total exposure of the Bank on borrowers/customers | 0.92           | 1.01           |

1. Exposure includes credit exposure (funded and non-funded), derivative exposure, investment exposure (including underwriting and similar commitments) and deposits placed for meeting shortfall in Priority Sector Lending

During the years ended 31 March, 2026 and 31 March, 2025, the intra-group exposures were within the limits specified by RBI.

The above information is as certified by the Management and relied upon by the auditors.

**g) Unhedged foreign currency exposures**

The Bank has laid down the framework to manage credit risk arising out of unhedged foreign currency exposures of the borrowers. Both at the time of initial approval as well as subsequent reviews/renewals, the assessment of credit risk arising out of foreign currency exposure of the borrowers include details of imports, exports, repayments of foreign currency borrowings, as well as hedges done by the borrowers or naturally enjoyed by them vis-a-vis their intrinsic financial strength, history of hedging and losses arising out of foreign currency volatility. The extent of hedge/cover required on the total foreign currency exposure including natural hedge and hedged positions, is guided through a matrix of internal ratings. The hedging policy is applicable for existing as well as new clients with foreign currency exposures above a predefined threshold. The details of un-hedged foreign currency exposure of customers for transactions undertaken through the Bank are monitored periodically. The Bank also maintains additional provision and capital, in line with RBI guidelines.

| Particulars                                                  | (₹ in crores)  |                |
|--------------------------------------------------------------|----------------|----------------|
|                                                              | 31 March, 2026 | 31 March, 2025 |
| <b>Opening provision held as at 1<sup>st</sup> April</b>     | <b>356.57</b>  | <b>411.31</b>  |
| Provision created during the year                            | 161.44         | -              |
| Provision released during the year                           | -              | (54.74)        |
| <b>Cumulative provision held as at 31<sup>st</sup> March</b> | <b>518.01</b>  | <b>356.57</b>  |
| Incremental capital held as at 31 <sup>st</sup> March        | 2,135.00       | 1,562.07       |

**h) Loans against gold and silver collateral****i. Details of loans extended against eligible gold collateral :**

| Particulars                                                                  | As at 31 March, 2026 |                     |                                            |                   |               |
|------------------------------------------------------------------------------|----------------------|---------------------|--------------------------------------------|-------------------|---------------|
|                                                                              | Loan outstanding     |                     | Average ticket size (₹ crore) <sup>1</sup> | Average LTV ratio | Gross NPA (%) |
|                                                                              | ₹ crore              | As % of Total Loans |                                            |                   |               |
| <b>1. Opening balance of the FY [(a)+(b)]</b>                                | <b>11,283.64</b>     | <b>1.07%</b>        | <b>0.04</b>                                | <b>73.51</b>      | <b>1.00%</b>  |
| (a) Consumption loans                                                        | 3,518.64             | 0.33%               | 0.03                                       | 73.46             | 0.69%         |
| of which bullet repayment loans                                              | 2.34                 | 0.00%*              | 0.04                                       | 64.78             | 0.00%         |
| (b) Income generating loans                                                  | 7,765.00             | 0.74%               | 0.05                                       | 73.55             | 1.15%         |
| <b>2. New loans sanctioned and disbursed during the FY [(c)+(d)]</b>         | <b>23,152.98</b>     | <b>1.86%</b>        | <b>0.06</b>                                | <b>72.59</b>      |               |
| (c) Consumption loans                                                        | 13,800.81            | 1.11%               | 0.06                                       | 72.39             |               |
| of which bullet repayment loans                                              | 1,708.52             | 0.14%               | 0.06                                       | 64.47             |               |
| (d) Income generating loans                                                  | 9,352.17             | 0.75%               | 0.08                                       | 72.97             |               |
| <b>3. Renewals sanctioned and disbursed during the FY</b>                    | <b>62.42</b>         | <b>0.01%</b>        | <b>0.12</b>                                | <b>47.87</b>      |               |
| <b>4. Top-up loans sanctioned and disbursed during the FY</b>                | <b>218.15</b>        | <b>0.02%</b>        | <b>0.03</b>                                | <b>21.31</b>      |               |
| <b>5. Loans repaid during the FY<sup>2</sup> [(e)+(f)]</b>                   | <b>(17,613.20)</b>   | <b>(1.42%)</b>      | <b>0.05</b>                                |                   |               |
| (e) Consumption loans                                                        | (6,847.63)           | (0.55%)             | 0.04                                       |                   |               |
| of which bullet repayment loans                                              | (299.09)             | (0.02%)             | 0.05                                       |                   |               |
| (f) Income generating loans                                                  | (10,765.57)          | (0.87%)             | 0.06                                       |                   |               |
| <b>6. Non-Performing Loans recovered during the FY<sup>3</sup> [(g)+(h)]</b> | <b>(76.44)</b>       | <b>(0.01%)</b>      | <b>0.02</b>                                |                   |               |
| (g) Consumption loans                                                        | (26.58)              | (0.00%)*            | 0.01                                       |                   |               |
| of which bullet repayment loans                                              | (0.42)               | (0.00%)*            | 0.03                                       |                   |               |
| (h) Income generating loans                                                  | (49.85)              | (0.00%)*            | 0.02                                       |                   |               |
| <b>7. Loans written off during the FY [(i)+(j)]</b>                          | <b>(19.44)</b>       | <b>(0.00%)*</b>     | <b>0.02</b>                                |                   |               |
| (i) Consumption loans                                                        | (4.04)               | (0.00%)*            | 0.01                                       |                   |               |
| of which bullet repayment loans                                              | -                    | -                   | -                                          |                   |               |
| (j) Income generating loans                                                  | (15.40)              | (0.00%)*            | 0.04                                       |                   |               |
| <b>8. Closing balance at the end of FY [(k)+(l)]</b>                         | <b>16,945.70</b>     | <b>1.36%</b>        | <b>0.06</b>                                | <b>71.49</b>      | <b>0.50%</b>  |
| (k) Consumption loans                                                        | 10,574.65            | 0.85%               | 0.06                                       | 71.27             | 0.24%         |
| of which bullet repayment loans                                              | 1,411.36             | 0.11%               | 0.06                                       | 64.08             | 0.08%         |
| (l) Income generating loans                                                  | 6,371.04             | 0.51%               | 0.07                                       | 71.95             | 0.94%         |



\* represents values less than 0.005

1. Average Ticket Size is calculated as the total outstanding amount divided by the number of accounts
2. Represents net movement in balance outstanding after considering write offs and recoveries in non-performing loan accounts
3. Represents principal amount recovered for non-performing loans during the year

## ii. Details of gold collateral and auctions :

As at 31 March, 2026

| Sr. No | Particulars                                                                               | Value          |
|--------|-------------------------------------------------------------------------------------------|----------------|
| a.     | Unclaimed gold collateral at the end of the financial year (in grams)                     | 5,848.59       |
| b.     | Number of loan accounts in which auctions were conducted <sup>1</sup>                     | 5,099          |
| c.     | Total outstanding <sup>2</sup> in loan accounts mentioned in (b)                          | ₹74.80 crores  |
| d.     | Gold collateral acquired during the FY due to default of loans <sup>3, 4</sup> (in grams) | 2,140,305.27   |
| e.     | Gold collateral auctioned during the FY (in grams) <sup>4</sup>                           | 140,457.91     |
| f.     | Recovery made through auctions during the FY                                              | ₹132.27 crores |
| g.     | Recovery percentage:                                                                      |                |
| h.     | — as % of value of gold collateral                                                        | 92%            |
| i.     | — as % of outstanding loan                                                                | 177%           |

1. Represents number of loan accounts in which auction conducted was successful
2. Represents outstanding amount as at auction closure date
3. Represents cases for which auction notices in respect of pledged collateral were issued, including cases where the auction was subsequently not conducted for any reason
4. Represents net weight of gold collateral irrespective of caratage

The Bank has not sanctioned or disbursed any loan against silver collateral as on 31 March, 2026.

## 1.6 Exposure to Related Parties:

During the year ended 31 March, 2026, RBI has issued "Commercial Banks - Credit Risk Management, Amendment Directions 2026" which shall come into force for the Bank from 1 April, 2026. Accordingly, the disclosure on exposures to Related Parties is not applicable for FY 2025-26.

## 1.7 Concentration of deposits, advances, exposures and NPAs

### a) Concentration of deposits

(₹ in crores)

|                                                                       | 31 March, 2026 | 31 March, 2025 |
|-----------------------------------------------------------------------|----------------|----------------|
| Total deposits of twenty largest depositors                           | 109,532.61     | 113,671.66     |
| Percentage of deposits of twenty largest depositors to total deposits | 8.20           | 9.69           |

### b) Concentration of advances<sup>1</sup>

(₹ in crores)

|                                                                      | 31 March, 2026 | 31 March, 2025 |
|----------------------------------------------------------------------|----------------|----------------|
| Total advances to twenty largest borrowers                           | 172,086.55     | 150,927.19     |
| Percentage of advances to twenty largest borrowers to total advances | 8.35           | 8.63           |

1. Advances represent credit exposure (funded and non-funded) including derivative exposure as defined by RBI

**c) Concentration of exposures<sup>1</sup>**

(₹ in crores)

|                                                                                                        | 31 March, 2026 | 31 March, 2025 |
|--------------------------------------------------------------------------------------------------------|----------------|----------------|
| Total exposure to twenty largest borrowers/customers                                                   | 177,228.84     | 166,227.48     |
| Percentage of exposures to twenty largest borrowers/customers to total exposure on borrowers/customers | 8.39           | 9.17           |

1. Exposure includes credit exposure (funded and non-funded), derivative exposure, investment exposure (including underwriting and similar commitments) and deposits placed for meeting shortfall in Priority Sector Lending

**d) Concentration of NPAs**

(₹ in crores)

|                                                                                           | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------------------------------|----------------|----------------|
| Total exposure to the top twenty NPA accounts <sup>1</sup>                                | 2,227.96       | 2,817.52       |
| Percentage exposures of the twenty largest NPA exposures to total gross NPAs <sup>2</sup> | 12.19          | 17.48          |

1. Represents fund based and non-fund based outstanding and non-performing investments  
 2. Percentage is computed based on outstanding of top twenty NPA accounts to gross NPAs (excluding non-fund based outstanding)

**1.8 Derivatives****a) Details of derivative portfolio****As at 31 March, 2026**

(₹ in crores)

| Particulars                                                   | Level 1      | Level 2         | Level 3 | Total           |
|---------------------------------------------------------------|--------------|-----------------|---------|-----------------|
| <b>Interest Rate Derivatives</b>                              |              |                 |         |                 |
| MTM – Assets                                                  | -            | 7,603.77        | -       | 7,603.77        |
| MTM – Liabilities                                             | -            | (7,069.82)      | -       | (7,069.82)      |
| <b>Net Gain/ Loss recognised in Profit &amp; Loss Account</b> | -            | <b>533.95</b>   | -       | <b>533.95</b>   |
| <b>Exchange Rate Derivatives</b>                              |              |                 |         |                 |
| MTM – Assets                                                  | 196.48       | 40,676.76       | -       | 40,873.24       |
| MTM – Liabilities                                             | (135.33)     | (38,621.76)     | -       | (38,757.09)     |
| <b>Net Gain/ Loss recognised in Profit &amp; Loss Account</b> | <b>61.15</b> | <b>2,055.00</b> | -       | <b>2,116.15</b> |
| <b>Credit Risk Derivatives</b>                                |              |                 |         |                 |
| MTM – Assets                                                  | -            | -               | -       | -               |
| MTM – Liabilities                                             | -            | -               | -       | -               |
| Net Gain/ Loss recognised in Profit & Loss Account            | -            | -               | -       | -               |
| <b>Other Derivatives</b>                                      |              |                 |         |                 |
| MTM – Assets                                                  | -            | -               | -       | -               |
| MTM – Liabilities                                             | -            | -               | -       | -               |
| Net Gain/ Loss recognised in Profit & Loss Account            | -            | -               | -       | -               |
| <b>Total</b>                                                  | <b>61.15</b> | <b>2,588.95</b> | -       | <b>2,650.10</b> |

As at 31 March, 2025

(₹ in crores)

| Particulars                                                   | Level 1        | Level 2       | Level 3 | Total         |
|---------------------------------------------------------------|----------------|---------------|---------|---------------|
| <b>Interest Rate Derivatives</b>                              |                |               |         |               |
| MTM – Assets                                                  | -              | 6,582.36      | -       | 6,582.36      |
| MTM – Liabilities                                             | -              | (6,486.52)    | -       | (6,486.52)    |
| <b>Net Gain/ Loss recognised in Profit &amp; Loss Account</b> | -              | <b>95.84</b>  | -       | <b>95.84</b>  |
| <b>Exchange Rate Derivatives</b>                              |                |               |         |               |
| MTM – Assets                                                  | 8.90           | 13,904.87     | -       | 13,913.77     |
| MTM – Liabilities                                             | (22.65)        | (13,419.37)   | -       | 13,442.02     |
| <b>Net Gain/ Loss recognised in Profit &amp; Loss Account</b> | <b>(13.75)</b> | <b>485.50</b> | -       | <b>471.75</b> |
| <b>Credit Risk Derivatives</b>                                |                |               |         |               |
| MTM – Assets                                                  | -              | -             | -       | -             |
| MTM – Liabilities                                             | -              | -             | -       | -             |
| Net Gain/ Loss recognised in Profit & Loss Account            | -              | -             | -       | -             |
| <b>Other Derivatives</b>                                      |                |               |         |               |
| MTM – Assets                                                  | -              | -             | -       | -             |
| MTM – Liabilities                                             | -              | -             | -       | -             |
| Net Gain/ Loss recognised in Profit & Loss Account            | -              | -             | -       | -             |
| <b>Total</b>                                                  | <b>(13.75)</b> | <b>581.34</b> | -       | <b>567.59</b> |

**b) Disclosure in respect of Interest Rate Swaps ('IRS'), Forward Rate Agreement ('FRA') and Cross Currency Swaps ('CCS') outstanding is set out below:**

An 'IRS' is a financial contract between two parties exchanging or swapping a stream of interest payments for a 'notional principal' amount on multiple occasions during a specified period. The Bank deals in interest rate benchmarks like Mumbai Inter-Bank Offered Rate (MIBOR), Indian Government Securities Benchmark Rate (INBMK), Modified MIFOR and Alternative Reference Rates (ARR) of various currencies.

A 'FRA' is a financial contract between two parties to exchange interest payments for 'notional principal' amount on settlement date, for a specified period from start date to maturity date. Accordingly, on the settlement date cash payments based on contract rate and the settlement rate, which is the agreed bench-mark/reference rate prevailing on the settlement date, are made by the parties to one another. The benchmark used in the FRA contracts of the Bank is Bond/ARR of various currencies.

A 'CCS' is a financial contract between two parties exchanging interest payments and principal, wherein interest payments and principal in one currency would be exchanged for an equally valued interest payments and principal in another currency.

(₹ in crores)

| Sr. No. | Items                                                                                                    | As at<br>31 March, 2026 | As at<br>31 March, 2025 |
|---------|----------------------------------------------------------------------------------------------------------|-------------------------|-------------------------|
| i)      | Notional principal of swap agreements                                                                    | 1,190,053.69            | 1,236,207.65            |
| ii)     | Losses which would be incurred if counterparties failed to fulfil their obligations under the agreements | 10,707.04               | 8,390.76                |
| iii)    | Collateral required by the Bank upon entering into swaps                                                 | 2,639.99                | 3,093.63                |
| iv)     | Concentration of credit risk arising from the swaps                                                      |                         |                         |
|         | Maximum single industry exposure with Banks (previous year with Banks)                                   | 4,297.05                | 7,911.76                |
| v)      | Fair value of the swap book (hedging & trading)                                                          | (1,407.07)              | 382.48                  |



## FINANCIAL STATEMENTS

The nature and terms of the IRS as on 31 March, 2026 are set out below:

(₹ in crores)

| Nature  | Nos.          | Notional Principal  | Benchmark      | Terms                                    |
|---------|---------------|---------------------|----------------|------------------------------------------|
| Hedging | 1             | 825.06              | SOFR           | Fixed Receivable v/s Floating Payable    |
| Hedging | 4             | 1,710.40            | MIBOR          | Fixed Receivable v/s Floating Payable    |
| Trading | 2             | 209.12              | ESTR           | Fixed Receivable v/s Floating Payable    |
| Trading | 8             | 631.28              | EURIBOR        | Fixed Receivable v/s Floating Payable    |
| Trading | 10,516        | 345,379.21          | MIBOR          | Fixed Receivable v/s Floating Payable    |
| Trading | 5             | 74.20               | MIOIS          | Fixed Receivable v/s Floating Payable    |
| Trading | 862           | 64,392.75           | Modified MIFOR | Fixed Receivable v/s Floating Payable    |
| Trading | 43            | 13,548.53           | TBILL          | Fixed Receivable v/s Floating Payable    |
| Trading | 1             | 449.59              | TONAR          | Fixed Receivable v/s Floating Payable    |
| Trading | 1,280         | 110,624.64          | SOFR           | Fixed Receivable v/s Floating Payable    |
| Trading | 5             | 435.44              | ESTR           | Floating Receivable v/s Fixed Payable    |
| Trading | 7             | 1,245.93            | EURIBOR        | Floating Receivable v/s Fixed Payable    |
| Trading | 10,981        | 344,607.55          | MIBOR          | Floating Receivable v/s Fixed Payable    |
| Trading | 8             | 1,098.91            | MIOIS          | Floating Receivable v/s Fixed Payable    |
| Trading | 750           | 59,178.33           | Modified MIFOR | Floating Receivable v/s Fixed Payable    |
| Trading | 41            | 12,138.66           | TBILL          | Floating Receivable v/s Fixed Payable    |
| Trading | 5             | 551.45              | TONAR          | Floating Receivable v/s Fixed Payable    |
| Trading | 1,429         | 128,755.45          | SOFR           | Floating Receivable v/s Fixed Payable    |
| Trading | 31            | 15,339.42           | SOFR           | Floating Receivable v/s Floating Payable |
| Trading | 1             | 762.97              | ESTR           | Floating Receivable v/s Floating Payable |
|         | <b>25,980</b> | <b>1,101,958.89</b> |                |                                          |

The nature and terms of the IRS as on 31 March, 2025 are set out below:

(₹ in crores)

| Nature  | Nos.          | Notional Principal  | Benchmark      | Terms                                    |
|---------|---------------|---------------------|----------------|------------------------------------------|
| Hedging | 1             | 743.63              | SOFR           | Fixed Receivable v/s Floating Payable    |
| Trading | 5             | 767.85              | ESTR           | Fixed Receivable v/s Floating Payable    |
| Trading | 7             | 581.47              | EURIBOR        | Fixed Receivable v/s Floating Payable    |
| Trading | 11,661        | 409,717.24          | MIBOR          | Fixed Receivable v/s Floating Payable    |
| Trading | 5             | 92.41               | MIOIS          | Fixed Receivable v/s Floating Payable    |
| Trading | 740           | 58,890.24           | Modified MIFOR | Fixed Receivable v/s Floating Payable    |
| Trading | 24            | 10,092.82           | TBILL          | Fixed Receivable v/s Floating Payable    |
| Trading | 1             | 429.48              | TONAR          | Fixed Receivable v/s Floating Payable    |
| Trading | 1,016         | 85,592.41           | SOFR           | Fixed Receivable v/s Floating Payable    |
| Trading | 5             | 669.95              | ESTR           | Floating Receivable v/s Fixed Payable    |
| Trading | 7             | 1,538.42            | EURIBOR        | Floating Receivable v/s Fixed Payable    |
| Trading | 3             | 550.00              | INBMK          | Floating Receivable v/s Fixed Payable    |
| Trading | 12,378        | 414,899.02          | MIBOR          | Floating Receivable v/s Fixed Payable    |
| Trading | 6             | 344.51              | MIOIS          | Floating Receivable v/s Fixed Payable    |
| Trading | 599           | 47,167.76           | Modified MIFOR | Floating Receivable v/s Fixed Payable    |
| Trading | 24            | 9,707.97            | TBILL          | Floating Receivable v/s Fixed Payable    |
| Trading | 7             | 1,100.04            | TONAR          | Floating Receivable v/s Fixed Payable    |
| Trading | 1,165         | 99,395.94           | SOFR           | Floating Receivable v/s Fixed Payable    |
| Trading | 28            | 15,204.99           | SOFR           | Floating Receivable v/s Floating Payable |
| Trading | 1             | 644.63              | ESTR           | Floating Receivable v/s Floating Payable |
|         | <b>27,683</b> | <b>1,158,130.78</b> |                |                                          |

The nature and terms of the FRA as on 31 March, 2026 are set out below:

(₹ in crores)

| Nature  | Nos.       | Notional Principal | Benchmark | Terms                                 |
|---------|------------|--------------------|-----------|---------------------------------------|
| Trading | 275        | 6,934.62           | BOND      | Fixed Receivable v/s Floating Payable |
|         | <b>275</b> | <b>6,934.62</b>    |           |                                       |

The nature and terms of the FRA as on 31 March, 2025 are set out below:

(₹ in crores)

| Nature  | Nos.       | Notional Principal | Benchmark | Terms                                 |
|---------|------------|--------------------|-----------|---------------------------------------|
| Trading | 251        | 6,401.93           | BOND      | Fixed Receivable v/s Floating Payable |
|         | <b>251</b> | <b>6,401.93</b>    |           |                                       |

The nature and terms of the CCS as on 31 March, 2026 are set out below:

(₹ in crores)

| Nature  | Nos.       | Notional Principal | Benchmark      | Terms                                    |
|---------|------------|--------------------|----------------|------------------------------------------|
| Trading | 155        | 26,124.84          | Not Applicable | Fixed Payable v/s Fixed Receivable       |
| Trading | 3          | 51.58              | SARON          | Fixed Receivable v/s Floating Payable    |
| Trading | 1          | 544.97             | EURIBOR        | Fixed Receivable v/s Floating Payable    |
| Trading | 1          | 28.23              | TBILL          | Fixed Receivable v/s Floating Payable    |
| Trading | 1          | 15.86              | TONAR          | Fixed Receivable v/s Floating Payable    |
| Trading | 69         | 25,007.60          | SOFR           | Fixed Receivable v/s Floating Payable    |
| Trading | 2          | 33.01              | SARON          | Floating Receivable v/s Fixed Payable    |
| Trading | 17         | 983.43             | EURIBOR        | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 315.33             | MIBOR          | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 474.17             | TBILL          | Floating Receivable v/s Fixed Payable    |
| Trading | 44         | 9,817.98           | SOFR           | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 16.20              | ESTR           | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 381.48             | SOFR/EURIBOR   | Floating Receivable v/s Floating Payable |
| Trading | 3          | 730.27             | SOFR/ESTR      | Floating Receivable v/s Floating Payable |
| Trading | 1          | 75.87              | SOFR/MIBOR     | Floating Receivable v/s Floating Payable |
| Trading | 1          | 55.37              | SOFR/TONAR     | Floating Receivable v/s Floating Payable |
| Trading | 3          | 1,066.89           | TBILL/SOFR     | Floating Receivable v/s Floating Payable |
| Trading | 1          | 75.87              | MIBOR/SOFR     | Floating Receivable v/s Floating Payable |
| Trading | 1          | 47.42              | MIOS/SOFR      | Floating Receivable v/s Floating Payable |
| Trading | 11         | 1,474.68           | MODMIFOR/SOFR  | Floating Receivable v/s Floating Payable |
| Trading | 1          | 55.37              | TONAR/SOFR     | Floating Receivable v/s Floating Payable |
| Trading | 23         | 11,512.58          | Not Applicable | Fixed Receivable                         |
| Trading | 38         | 2,271.17           | Not Applicable | Fixed Payable                            |
|         | <b>380</b> | <b>81,160.17</b>   |                |                                          |

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The nature and terms of the CCS as on 31 March, 2025 are set out below:

(₹ in crores)

| Nature  | Nos.       | Notional Principal | Benchmark      | Terms                                    |
|---------|------------|--------------------|----------------|------------------------------------------|
| Trading | 139        | 24,339.23          | Not Applicable | Fixed Payable v/s Fixed Receivable       |
| Trading | 3          | 55.17              | SARON          | Fixed Receivable v/s Floating Payable    |
| Trading | 1          | 22.10              | EURIBOR        | Fixed Receivable v/s Floating Payable    |
| Trading | 1          | 34.69              | TBILL          | Fixed Receivable v/s Floating Payable    |
| Trading | 1          | 18.94              | TONAR          | Fixed Receivable v/s Floating Payable    |
| Trading | 62         | 20,551.47          | SOFR           | Fixed Receivable v/s Floating Payable    |
| Trading | 2          | 36.21              | SARON          | Floating Receivable v/s Fixed Payable    |
| Trading | 15         | 353.67             | EURIBOR        | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 213.69             | MIBOR          | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 427.38             | TBILL          | Floating Receivable v/s Fixed Payable    |
| Trading | 56         | 11,752.93          | SOFR           | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 15.47              | ESTR           | Floating Receivable v/s Fixed Payable    |
| Trading | 1          | 322.31             | SOFR/EURIBOR   | Floating Receivable v/s Floating Payable |
| Trading | 3          | 782.77             | SOFR/ESTR      | Floating Receivable v/s Floating Payable |
| Trading | 3          | 538.49             | SOFR/MIBOR     | Floating Receivable v/s Floating Payable |
| Trading | 2          | 527.18             | SOFR/TONAR     | Floating Receivable v/s Floating Payable |
| Trading | 1          | 68.38              | MIBOR/SOFR     | Floating Receivable v/s Floating Payable |
| Trading | 13         | 1,713.77           | MODMIFOR/SOFR  | Floating Receivable v/s Floating Payable |
| Trading | 2          | 270.76             | TONAR/SOFR     | Floating Receivable v/s Floating Payable |
| Trading | 19         | 8,540.00           | Not Applicable | Fixed Receivable                         |
| Trading | 22         | 1,090.33           | Not Applicable | Fixed Payable                            |
|         | <b>349</b> | <b>71,674.94</b>   |                |                                          |

### c) Exchange Traded Interest Rate Derivatives

For the year ended 31 March, 2026

(₹ in crores)

| Sr. No. | Particulars                                                                                                                        | As at<br>31 March, 2026 |
|---------|------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| i)      | Notional principal amount of exchange traded interest rate derivatives undertaken during the year                                  | -                       |
| ii)     | Notional principal amount of exchange traded interest rate derivatives outstanding as on 31 March, 2026                            | -                       |
| iii)    | Notional principal amount of exchange traded interest rate derivatives outstanding as on 31 March, 2026 and "not highly effective" | N.A.                    |
| iv)     | Mark-to-market value of exchange traded interest rate derivatives outstanding as on 31 March, 2026 and "not highly effective"      | N.A.                    |

For the year ended 31 March, 2025

(₹ in crores)

| Sr. No. | Particulars                                                                                              | As at<br>31 March, 2025 |
|---------|----------------------------------------------------------------------------------------------------------|-------------------------|
| i)      | <b>Notional principal amount of exchange traded interest rate derivatives undertaken during the year</b> |                         |
|         | US 2 years Note - June 2024                                                                              | 196.59                  |
|         | US 5 years Note - June 2024                                                                              | 17.95                   |
|         | US 10 years Note - June 2024                                                                             | 23.93                   |
|         | US 10 years Note - September 2024                                                                        | 119.67                  |
|         | US 5 years Note - December 2024                                                                          | 68.38                   |
|         | US 10 years Note - December 2024                                                                         | 51.29                   |
|         | US 5 years Note - March 2025                                                                             | 68.38                   |

|         |                                                                                                                                           | (₹ in crores)           |
|---------|-------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| Sr. No. | Particulars                                                                                                                               | As at<br>31 March, 2025 |
|         | US 10 years Note - March 2025                                                                                                             | 51.28                   |
|         | US 2 years Note - June 2025                                                                                                               | 581.23                  |
|         | US 5 years Note - June 2025                                                                                                               | 239.33                  |
|         |                                                                                                                                           | <b>1,418.03</b>         |
| ii)     | <b>Notional principal amount of exchange traded interest rate derivatives outstanding as on 31 March, 2025</b>                            | -                       |
| iii)    | <b>Notional principal amount of exchange traded interest rate derivatives outstanding as on 31 March, 2025 and "not highly effective"</b> | N.A.                    |
| iv)     | <b>Mark-to-market value of exchange traded interest rate derivatives outstanding as on 31 March, 2025 and "not highly effective"</b>      | N.A.                    |

#### d) Disclosure on risk exposure in Derivatives

##### Qualitative disclosures:

- (a) Structure and organisation for management of risk in derivatives trading, the scope and nature of risk measurement, risk reporting and risk monitoring systems, policies for hedging and/or mitigating risk and strategies and processes for monitoring the continuing effectiveness of hedges/mitigants:

Derivatives are financial instruments whose characteristics are derived from an underlying asset, or from interest and exchange rates or indices. The Bank undertakes Over the Counter (OTC) and Exchange Traded derivative transactions for Balance Sheet management and also for proprietary trading/market making whereby the Bank offers OTC derivative products to the customers to enable them to hedge their interest rate and currency risks within the prevalent regulatory guidelines.

Proprietary trading includes Exchange Traded Currency Options, Interest Rate Futures, Currency Futures and Rupee Interest Rate Swaps under different benchmarks (viz. MIBOR, Modified MIFOR, ARR and INBMK), Currency Options, Currency Swaps and Non-Deliverable derivatives. The Bank also undertakes transactions in Cross Currency Swaps, Principal Only Swaps, Coupon Only Swaps, Currency Options, Interest Rate Swaps, Exotic Derivatives, Forex Forward and Long-Term Forex Contracts (LTFX) for hedging its Balance Sheet and also offers them to its customers. These transactions expose the Bank to various risks, primarily credit, market, legal, reputation and operational risk. The Bank has adopted the following mechanism for managing risks arising out of the derivative transactions.

There is a functional separation between the Treasury Front Office, Treasury Mid-Office and Treasury Back Office to undertake derivative transactions. The customer and interbank related derivative transactions are originated by Derivative sales and Treasury Front Office team respectively which ensures compliance with the trade origination requirements as per the Bank's policy and the RBI guidelines. The Market Risk Group within the Bank's Risk Department independently identifies, measures and monitors the market risks associated with derivative transactions and appraises the Asset Liability Management Committee (ALCO) and the Risk Management Committee of the Board (RMC) on the compliance with the risk limits. The Treasury Back Office undertakes activities such as trade validation, confirmation, settlement, ISDA and related documentation, post deal documentation, accounting, valuation and other MIS reporting.

The derivative transactions are governed by the Derivative policy, Suitability and Appropriateness Policy for derivative products, Market Risk Management policy, Hedging policy and the Asset Liability Management (ALM) policy of the Bank as well as by the extant RBI guidelines. The Bank has implemented policy on customer suitability & appropriateness to ensure that derivatives transactions entered into are appropriate and suitable to the customer. The Bank has put in place a detailed process flow on documentation for customer derivative transactions for effective management of operational/reputation/compliance risk.

Various risk limits are set up and actual exposures are monitored vis-à-vis the limits allocated. These limits are set up taking into account market volatility, risk appetite, business strategy and management experience. Risk limits are in place for risk parameters viz. PV01, VaR, Stop Loss, Delta, Gamma and Vega. Actual positions are monitored

against these limits on a daily basis and breaches, if any, are dealt with in accordance with board approved Risk Appetite Statement. Risk assessment of the portfolio is undertaken periodically. The Bank ensures that the Gross PV01 (Price value of a basis point) position arising out of all non-option rupee derivative contracts are within 0.25% of net worth of the Bank as on Balance Sheet date.

Hedging transactions are undertaken by the Bank to protect the variability in the fair value or the cash flow of the underlying Balance Sheet item. These transactions are tested for hedge effectiveness and in case any transaction fails the test, the same is re-designated as a trading deal and appropriate accounting treatment is followed.

**(b) Accounting policy for recording hedge and non-hedge transactions, recognition of income, premiums and discounts, valuation of outstanding contracts:**

Derivative transactions comprise of forward contracts, swaps, FRAs, futures and options which are disclosed as contingent liabilities. These are categorised as trading or hedge transactions.

Trading derivative contracts are revalued based on actual traded and/or derived from curves published by external market sources or FBIL with the resulting unrealised gain or loss being recognised in the Profit and Loss Account and correspondingly in other assets (representing positive MTM) and in other liabilities (representing negative MTM) on a gross basis. The premium on option contracts is accounted for as per FEDAI guidelines.

The Hedging Policy of the Bank governs the use of derivatives for hedging purpose. Subject to the prevailing RBI guidelines, the Bank deals in derivatives for hedging fixed rate and floating rate coupon or foreign currency assets/liabilities. Transactions for hedging and market making purposes are recorded separately.

Foreign exchange forward contracts not intended for trading (including funding swaps), that are entered into to establish the amount of reporting currency required or available at the settlement date of a transaction, and are outstanding at the Balance Sheet date, are effectively valued at the closing spot rate. The premium or discount arising at the inception of such forward exchange contract is amortised on a straight-line basis as expense or income over the life of the contract.

For hedge transactions through other derivatives, the Bank identifies the hedged item (asset or liability) at the inception of transaction itself. The effectiveness is ascertained at the time of inception of the hedge and periodically thereafter. In case of a fair value hedge, the changes in the fair value of the hedging instruments and hedged items are recognized in the Profit and Loss Account and in case of cash flow hedges, the change in fair value of hedging instrument for the effective portion is recognised in Schedule 2 - 'Reserves and Surplus' under 'Cash Flow Hedge Reserve' and the ineffective portion of an effective hedging relationship, if any, is recognised in the Profit and Loss Account. The accumulated balance in the Cash Flow Hedge Reserve, in an effective hedging relationship, is recycled in the Profit and Loss Account at the same time that the impact from the hedged item is recognised in the Profit and Loss Account.

Derivative transactions are covered under International Swaps and Derivatives Association (ISDA) master agreements with respective counterparties. The exposure on account of derivative transactions is computed as per the RBI guidelines and is marked against the Loan Equivalent Risk (LER) limits approved for the respective counterparties.

**(c) Provisioning, collateral and credit risk mitigation:**

In accordance with RBI guidelines, any receivables (crystallised receivables and positive MTM) under derivatives contracts, which remain overdue for more than 90 days, are reversed through the Profit and Loss Account and are held in a separate Suspense account.

Collateral requirements for derivative transactions are laid down as part of credit sanction terms on a case by case basis. Such collateral requirements are determined, based on usual credit appraisal process. The Bank retains the right to terminate transactions as a risk mitigation measure in certain cases.

The credit risk in respect of customer derivative transactions is sought to be mitigated through a laid down policy on sanction of Loan Equivalent Risk (LER) limits, monitoring mechanism for LER limits and trigger events for escalation/margin calls/termination.



Quantitative disclosure on risk exposure in derivatives<sup>1</sup>:

(₹ in crores)

|         |                                                                                                  | As at 31 March, 2026           |            |           |              |                           |
|---------|--------------------------------------------------------------------------------------------------|--------------------------------|------------|-----------|--------------|---------------------------|
| Sr. No. | Particulars                                                                                      | Currency Derivatives           |            |           |              | Interest rate Derivatives |
|         |                                                                                                  | Forward Contracts <sup>4</sup> | CCS        | Options   | Total        |                           |
| 1       | <b>Derivatives (Notional Principal Amount)</b>                                                   |                                |            |           |              |                           |
|         | a) For hedging                                                                                   | 46,694.74                      | -          | -         | 46,694.74    | 2,535.46                  |
|         | b) For trading                                                                                   | 1,374,406.95                   | 81,160.17  | 77,468.45 | 1,533,035.58 | 1,106,358.05              |
| 2       | <b>Marked to Market Positions<sup>2,3</sup></b>                                                  |                                |            |           |              |                           |
|         | a) Asset (+)                                                                                     | 4,023.66                       | -          | -         | 4,023.66     | 533.96                    |
|         | b) Liability (-)                                                                                 | -                              | (1,941.03) | (42.27)   | (1,983.30)   | -                         |
| 3       | <b>Credit Exposure<sup>3</sup></b>                                                               | 54,609.10                      | 6,407.99   | 5,584.98  | 66,602.07    | 12,990.17                 |
| 4       | <b>Likely impact of one percentage change in interest rate (100*PV01) (as at 31 March, 2026)</b> |                                |            |           |              |                           |
|         | a) on hedging derivatives                                                                        | 18.49                          | -          | -         | 18.49        | 62.13                     |
|         | b) on trading derivatives                                                                        | 45.74                          | 284.65     | 16.52     | 346.91       | 936.13                    |
| 5       | <b>Maximum and Minimum of 100*PV01 observed during the year</b>                                  |                                |            |           |              |                           |
|         | a) on hedging                                                                                    |                                |            |           |              |                           |
|         | i) Minimum                                                                                       | 0.61                           | -          | -         | 0.61         | 23.19                     |
|         | ii) Maximum                                                                                      | 18.49                          | -          | -         | 18.49        | 62.13                     |
|         | b) on Trading                                                                                    |                                |            |           |              |                           |
|         | i) Minimum                                                                                       | 6.16                           | 170.82     | 5.46      | 182.44       | 847.59                    |
|         | ii) Maximum                                                                                      | 63.35                          | 294.59     | 16.52     | 374.46       | 1,142.61                  |

1. only Over The Counter derivatives included

2. represents net position

3. includes accrued interest

4. excluding Tom/Spot contracts

(₹ in crores)

|         |                                                                                                  | As at 31 March, 2025           |           |            |                     |                           |
|---------|--------------------------------------------------------------------------------------------------|--------------------------------|-----------|------------|---------------------|---------------------------|
| Sr. No. | Particulars                                                                                      | Currency Derivatives           |           |            |                     | Interest rate Derivatives |
|         |                                                                                                  | Forward Contracts <sup>4</sup> | CCS       | Options    | Total               |                           |
| 1       | <b>Derivatives (Notional Principal Amount)</b>                                                   |                                |           |            |                     |                           |
|         | a) For hedging                                                                                   | 27,881.14                      | -         | -          | <b>27,881.14</b>    | <b>743.63</b>             |
|         | b) For trading                                                                                   | 1,228,707.33                   | 71,674.94 | 133,300.09 | <b>1,433,682.36</b> | <b>1,163,789.08</b>       |
| 2       | <b>Marked to Market Positions<sup>2,3</sup></b>                                                  |                                |           |            |                     |                           |
|         | a) Asset (+)                                                                                     | -                              | 286.64    | 85.96      | <b>372.60</b>       | <b>95.84</b>              |
|         | b) Liability (-)                                                                                 | (107.97)                       | -         | -          | <b>(107.97)</b>     | <b>-</b>                  |
| 3       | <b>Credit Exposure<sup>3</sup></b>                                                               | 37,215.37                      | 7,807.39  | 4,181.19   | <b>49,203.95</b>    | <b>17,506.59</b>          |
| 4       | <b>Likely impact of one percentage change in interest rate (100*PV01) (as at 31 March, 2025)</b> |                                |           |            |                     |                           |
|         | a) on hedging derivatives                                                                        | 3.08                           | -         | -          | <b>3.08</b>         | <b>26.48</b>              |
|         | b) on trading derivatives                                                                        | 43.47                          | 235.89    | 9.48       | <b>288.84</b>       | <b>1,027.00</b>           |
| 5       | <b>Maximum and Minimum of 100*PV01 observed during the year</b>                                  |                                |           |            |                     |                           |
|         | a) on hedging                                                                                    |                                |           |            |                     |                           |
|         | i) Minimum                                                                                       | 0.19                           | -         | -          | <b>0.19</b>         | <b>26.48</b>              |
|         | ii) Maximum                                                                                      | 7.08                           | -         | -          | <b>7.08</b>         | <b>26.48</b>              |

(₹ in crores)

| Sr. No. |             | Particulars | As at 31 March, 2025           |      |         |          |                           |
|---------|-------------|-------------|--------------------------------|------|---------|----------|---------------------------|
|         |             |             | Currency Derivatives           |      |         |          | Interest rate Derivatives |
|         |             |             | Forward Contracts <sup>4</sup> | CCS  | Options | Total    |                           |
| b)      | on Trading  |             |                                |      |         |          |                           |
|         | i) Minimum  | 12.70       | 12.19                          | 3.82 | 28.71   | 601.36   |                           |
|         | ii) Maximum | 43.47       | 235.89                         | 9.65 | 289.01  | 1,027.00 |                           |

- only Over The Counter derivatives included
- only on trading derivatives and represents net position
- includes accrued interest
- excluding Tom/Spot contracts

The outstanding notional principal amount of Exchange Traded Interest Rate Futures as at 31 March, 2026 was ₹Nil crores (previous year ₹Nil crores) and the mark-to-market value was ₹Nil crores (previous year ₹Nil crores).

The outstanding notional principal amount of Exchange Traded Currency Options as at 31 March, 2026 was ₹Nil crores (previous year ₹0.03 crores) and the mark-to-market value was ₹Nil crores (previous year ₹Nil crores).

The outstanding notional principal amount of Exchange Traded Currency futures as at 31 March, 2026 was ₹142.53 crores (previous year ₹85.61 crores) and are cash settled in nature.

- d) The Bank has not undertaken any transactions in Credit Default Swaps (CDS) during the year ended 31 March, 2026 and 31 March, 2025.

### 1.9 Disclosures relating to securitisation

- i. Details of securitisation transactions undertaken by the Bank under the RBI Master Direction on Securitisation of Standard Assets, 2021 are given below:

| Sr. No. | Particulars                                                                                       | (Number/₹ in crores) |                |
|---------|---------------------------------------------------------------------------------------------------|----------------------|----------------|
|         |                                                                                                   | 31 March, 2026       | 31 March, 2025 |
| 1       | No. of SPEs holding assets for securitisation transactions originated by the Bank                 | -                    | -              |
| 2       | Total amount of securitised assets as per books of the SPEs                                       | -                    | -              |
| 3       | Total amount of exposures retained by the Bank to comply with MRR as on the date of balance sheet |                      |                |
| a)      | Off-balance sheet exposures                                                                       |                      |                |
|         | First loss                                                                                        | -                    | -              |
|         | Others                                                                                            | -                    | -              |
| b)      | On-balance sheet exposures                                                                        |                      |                |
|         | First loss                                                                                        | -                    | -              |
|         | Others                                                                                            | -                    | -              |
| 4       | Amount of exposures to securitisation transactions other than MRR                                 |                      |                |
| a)      | Off-balance sheet exposures                                                                       |                      |                |
| i)      | Exposure to own securitisations                                                                   |                      |                |
|         | First loss                                                                                        | -                    | -              |
|         | Others                                                                                            | -                    | -              |
| ii)     | Exposure to third party securitisations                                                           |                      |                |
|         | First loss                                                                                        | -                    | -              |
|         | Others                                                                                            | -                    | -              |
| b)      | On-balance sheet exposures                                                                        |                      |                |
| i)      | Exposure to own securitisations                                                                   |                      |                |
|         | First loss                                                                                        | -                    | -              |
|         | Loss                                                                                              | -                    | -              |
| ii)     | Exposure to third party securitisations                                                           |                      |                |
|         | First loss                                                                                        | -                    | -              |
|         | Others                                                                                            | -                    | -              |

(Number/₹ in crores)

| Sr. No. | Particulars                                                                                                                        | 31 March, 2026 | 31 March, 2025 |
|---------|------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| 5       | Sale consideration received for the securitised assets and gain/loss on sale on account of securitization                          | -              | -              |
| 6       | Form and quantum (outstanding value) of services provided by way of, liquidity support, post-securitisation assets servicing, etc. | -              | -              |
| 7       | Performance of facility provided                                                                                                   |                |                |
| a)      | Amount paid                                                                                                                        | -              | -              |
| b)      | Repayment received                                                                                                                 | -              | -              |
| c)      | Outstanding amount                                                                                                                 | -              | -              |
| 8       | Average default rate of portfolios observed in the past                                                                            | -              | -              |
| 9       | Amount and number of additional/ top up loan given on same underlying asset                                                        | -              | -              |
| 10      | Investor Complaints                                                                                                                |                |                |
| a)      | Directly/indirectly received                                                                                                       | -              | -              |
| b)      | Complaints outstanding                                                                                                             | -              | -              |

**1.10 The Bank has not sponsored any special purpose vehicle which is required to be consolidated in the consolidated financial statements as per accounting norms.**

**1.11 Disclosure on transfers to Depositor Education and Awareness Fund (DEA Fund)**

(₹ in crores)

| Particulars                                                       | 31 March, 2026  | 31 March, 2025  |
|-------------------------------------------------------------------|-----------------|-----------------|
| Opening balance of amounts transferred to DEA Fund                | 1,280.64        | 999.47          |
| Add : Amounts transferred to DEA Fund during the year             | 365.16          | 321.40          |
| Less : Amounts reimbursed by DEA Fund towards claims <sup>1</sup> | (53.56)         | (40.23)         |
| Closing balance of amounts transferred to DEA Fund <sup>2</sup>   | <b>1,592.24</b> | <b>1,280.64</b> |

- Excludes interest post transfer to DEA Fund
- Closing balance of amounts transferred to DEA Fund, as disclosed above, is also included under 'Schedule-12 - Contingent Liability - Other items for which Bank is contingently liable'

**1.12 Disclosure of customer complaints**

- a) Summary of information on complaints received by the Bank from customers and from Offices of Ombudsman (OBO)

|                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------------------------------------|----------------|----------------|
| <b>Complaints received by the Bank from its customers</b>                                       |                |                |
| 1. Number of complaints pending at the beginning of the year                                    | 11,143         | 20,754         |
| 2. Number of complaints received during the year                                                | 514,897        | 590,540        |
| 3. Number of complaints disposed during the year                                                | 505,324        | 600,151        |
| of 3, number of complaints rejected by the Bank* \$                                             | 152,554        | 140,802        |
| 4. Number of complaints pending at the end of the year                                          | 20,716         | 11,143         |
| <b>Maintainable complaints received by the Bank from OBOs</b>                                   |                |                |
| 5. Number of maintainable complaints received by the Bank from OBOs                             | 16,808         | 14,500         |
| of 5, Number of complaints resolved in favour of the Bank by OBO's                              | 9,106          | 7,569          |
| of 5, Number of complaints resolved through conciliation/ mediation/ advisories issued by OBO's | 7,694          | 6,928          |
| of 5, Number of complaints resolved after passing of Awards by OBO's against the Bank           | 8**            | 3              |
| 6. Number of Awards unimplemented within the stipulated time (other than those appealed)        | -              | -              |

\* Excluding 12,513 complaints resolved within one working day (previous year 21,961 complaints). Total number of complaints rejected including complaints resolved within one working day in FY 2025-26 is 165,067 (previous year 162,769 complaints)

\$ Overall cases rejected and subsequently referred to Internal Ombudsman for FY 2025-26 were 756,836 (previous year 754,281) which is aggregate of all interactions (includes Gross, Net & Other interaction types) and excludes complaints resolved within 1 working day

\*\* Out of the 8 awards, 3 were accepted by customers; 3 were issued and lapsed; 1 is under appeal by the Bank and 1 is under appeal by the customer

b) Overall complaints summary for the financial years:

| Particulars                                               | 31 March, 2026 | 31 March, 2025 |
|-----------------------------------------------------------|----------------|----------------|
| A Total number of complaints                              | 986,852        | 1,099,448      |
| B Complaints redressed by the Bank within one working day | 471,955        | 508,908        |
| C Net reportable complaints (A - B)                       | 514,897        | 590,540        |

c) Top five grounds of complaints received by the Bank from customers

For the year ended 31 March, 2026

| Grounds of complaints, (i.e. complaints relating to) | Number of complaints pending at the beginning of the year | Number of complaints received during the year | % increase/ decrease in the number of complaints received over the previous year | Number of complaints pending at the end of the year | Of 5, number of complaints pending beyond 30 working days |
|------------------------------------------------------|-----------------------------------------------------------|-----------------------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------|-----------------------------------------------------------|
| 1                                                    | 2                                                         | 3                                             | 4                                                                                | 5                                                   | 6                                                         |
| Credit cards                                         | 3,251                                                     | 171,993                                       | (30%)                                                                            | 7,233                                               | 854                                                       |
| Account opening/difficulty in operation of accounts  | 2,132                                                     | 108,698                                       | 18%                                                                              | 4,565                                               | 570                                                       |
| ATM/Debit cards                                      | 1,103                                                     | 68,340                                        | (13%)                                                                            | 1,370                                               | 179                                                       |
| Internet/Mobile/Electronic Banking                   | 1,331                                                     | 39,231                                        | (19%)                                                                            | 1,926                                               | 394                                                       |
| Loans and advances                                   | 965                                                       | 39,996                                        | 15%                                                                              | 1,885                                               | 317                                                       |
| Others                                               | 2,361                                                     | 86,639                                        | (7%)                                                                             | 3,737                                               | 548                                                       |
| <b>Total</b>                                         | <b>11,143</b>                                             | <b>514,897</b>                                | <b>(13%)</b>                                                                     | <b>20,716</b>                                       | <b>2,862</b>                                              |

For the year ended 31 March, 2025

| Grounds of complaints, (i.e. complaints relating to) | Number of complaints pending at the beginning of the year | Number of complaints received during the year | % increase/ decrease in the number of complaints received over the previous year | Number of complaints pending at the end of the year | Of 5, number of complaints pending beyond 30 working days |
|------------------------------------------------------|-----------------------------------------------------------|-----------------------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------|-----------------------------------------------------------|
| 1                                                    | 2                                                         | 3                                             | 4                                                                                | 5                                                   | 6                                                         |
| Credit cards                                         | 11,921                                                    | 244,175                                       | 7%                                                                               | 3,251                                               | 488                                                       |
| Account opening/difficulty in operation of accounts  | 2,885                                                     | 91,914                                        | (13%)                                                                            | 2,132                                               | 178                                                       |
| ATM/Debit cards                                      | 1,460                                                     | 78,112                                        | 9%                                                                               | 1,103                                               | 103                                                       |
| Internet/Mobile/Electronic Banking                   | 953                                                       | 48,389                                        | 38%                                                                              | 1,331                                               | 337                                                       |
| Loans and advances                                   | 1,260                                                     | 34,657                                        | (20%)                                                                            | 965                                                 | 150                                                       |
| Others                                               | 2,275                                                     | 93,293                                        | 22%                                                                              | 2,361                                               | 396                                                       |
| <b>Total</b>                                         | <b>20,754</b>                                             | <b>590,540</b>                                | <b>5%</b>                                                                        | <b>11,143</b>                                       | <b>1,652</b>                                              |

The above disclosures do not include complaints redressed within 1 working day and are as certified by the Management and relied upon by the auditors.

### 1.13 Details of penalty/stricture levied by RBI

Details of penalty/stricture levied by RBI during the year ended 31 March, 2026 is as under:

| Amount<br>(₹ in crores) | Reason for stricture issued/levy of penalty by RBI                                                                                  | Date of payment of penalty |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| 0.29                    | Penalty imposed for non-compliance with certain directions issued by RBI on 'Unauthorized Operation of Internal / Office Accounts'. | 07 May, 2025               |

Details of penalty/stricture levied by RBI during the year ended 31 March, 2025 is as under:

| Amount<br>(₹ in crores) | Reason for stricture issued/levy of penalty by RBI                                                                                                                                                                                                                                                        | Date of payment of penalty |
|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| 1.91                    | Penalty imposed for non-compliance with provisions of Section 19 (1) (a) of the Banking Regulation Act, 1949 and for non compliance with certain directions issued by RBI on 'Interest Rate on Deposits', 'Know Your Customer (KYC)' and 'Credit flow to agriculture-collateral free agricultural loans'. | 12 September, 2024         |

### 1.14 Disclosure on Remuneration

#### Qualitative disclosures

#### a) Information relating to the composition and mandate of the Nomination and Remuneration Committee:

##### ❖ Name, composition and mandate of the main body overseeing remuneration:

The Nomination and Remuneration Committee of the Board oversees the framing, review and implementation of the compensation policy of the Bank on behalf of the Board. The Committee works in close co-ordination with the Risk Management Committee of the Bank, in order to achieve effective alignment between remuneration and risks.

As on 31 March, 2026, the Nomination and Remuneration Committee comprised of the following Non-Executive Directors:

1. Smt. Meena Ganesh – Chairperson
2. Smt. Mini Ipe
3. Shri Girish Paranjpe
4. Shri N.S. Vishwanathan

In respect of Remuneration/HR matters, the Nomination and Remuneration Committee of the Board, functions with the following main objectives:

- a. Review and recommend to the Board for approval, the overall remuneration framework and associated policies of the Bank (including remuneration policy for Directors and Key Managerial Personnel) including the level and structure of fixed pay, variable pay, perquisites, bonus pool, stock-based compensation and any other form of compensation as may be included from time to time to all the employees of the Bank including the Managing Director & CEO (MD & CEO), other Whole-Time Directors (WTDs) and senior managers one level below the Board.
- b. Recommend to the Board the compensation payable to the Chairman of the Bank.
- c. Review and recommend to the Board for approval, the talent management and succession policy and process in the Bank for ensuring business continuity, especially at the level of MD & CEO, the other WTDs, senior managers one level below the Board and other key roles and their progression to the Board.
- d. Formulate the criteria and the manner for effective evaluation of performance of the Board as a whole, its Committees and individual directors, including independent directors of the Bank, which may be carried out either by the Committee or by the Board or with the help of an independent external agency and to review its implementation, compliance and outcomes.



- e. Review adequacy and appropriateness of HR strategy of the Bank in the broader areas of code of conduct, ethics, conflict of interest, succession planning, talent management, performance management, remuneration and HR risk management.
- f. Review and recommend to the Board for approval:
  - the creation of new positions one level below MD & CEO
  - appointments, promotions and exits of senior managers one level below the MD & CEO
- g. Set the goals, objectives and performance benchmarks for the Bank and for MD & CEO, WTDs and Group Executives for the financial year and over the medium to long term.
- h. Review the performance of the MD & CEO and other WTDs at the end of each year.
- i. Consider and approve the grant of Stock Options to the Managing Director & CEO, other Whole-Time Directors, Senior Management and other eligible employees of the Bank / subsidiary, in terms of the relevant provisions of the SEBI Regulations, as amended, from time to time.
- j. Perform such other duties as may be required to be done under any law, statute, rules, regulations etc. enacted by Government of India, Reserve Bank of India or by any other regulatory or statutory body.

- ❖ External consultants whose advice has been sought, the body by which they were commissioned, and in what areas of the remuneration process:

The Bank commissioned Aon Consulting Pvt. Limited (Aon), a globally renowned compensation benchmarking firm, to conduct market benchmarking of employee compensation. The Bank participates in the salary benchmarking survey conducted by Aon every year. Aon collects data from multiple private sector peer banks across functions, levels and roles which is then used by the Bank to assess market competitiveness of remuneration offered to employees.

- ❖ A description of the scope of the Bank's remuneration policy, including the extent to which it is applicable to branches in India and overseas:

The Committee monitors the remuneration policy for both domestic and overseas branches of the Bank on behalf of the Board. However, it does not oversee the compensation policy for subsidiaries of the Bank.

- ❖ A description of the type of employees covered and number of such employees:

Employees are categorised into following three categories from remuneration structure and administration standpoint:

### Category 1

MD & CEO and WTDs. This category includes 5\* employees.

### Category 2

All the employees in the Grade of Senior Vice President I and above engaged in the functions of Risk Control, Internal Audit and Compliance. This category includes 119\* employees.

### Category 3: Other Staff

'Other Staff' has been defined as a "group of employees whose actions have a material impact on the risk exposure of the Bank". This category includes 24\* employees.

\*represents employees in these categories during the year FY 2025-26 including employees exited from the Bank during FY 2025-26.

**b) Information relating to the design and structure of remuneration processes and the key features and objectives of remuneration policy:**

❖ An overview of the key features and objectives of remuneration policy:

The compensation philosophy of the Bank aims to attract, retain and motivate professionals in order to enable the Bank to attain its strategic objectives and develop a strong performance culture in the competitive environment in which it operates. To achieve this, the following principles are adopted:

Affordability: Pay to reflect productivity improvements to retain cost-income competitiveness

- Maintain competitiveness on fixed pay in talent market
- Pay for performance to drive meritocracy through variable pay
- Employee Stock Units (ESUs) and Employee Stock Options (ESOPs) for long-term value creation
- Benefits and perquisites to remain aligned with market practices and provide flexibility

Apart from the above, the compensation structure for MD & CEO, WTDs, Material Risk Takers and employees at the grade of Senior Vice President and above within the Assurance functions at the Bank is aligned to RBI's guidelines for sound compensation practices issued in November 2019 and addresses the general principles of:

- Effective and independent governance and monitoring of compensation
- Alignment of compensation with prudent risk-taking through well designed and consistent compensation structures
- Clear and timely disclosure to facilitate supervisory oversight by all stakeholders

Accordingly, the compensation policy for MD & CEO and WTDs seeks to:

- a) Ensure that the compensation, in terms of structure and total amount, is in line with the best practices, as well as competitive vis-à-vis that of peer banks
- b) Establish the linkage of compensation with individual performance as well as achievement of the corporate objectives of the Bank
- c) Include an appropriate variable pay component tied to the achievement of pre-established objectives in line with Bank's scorecard while ensuring that the compensation is aligned with prudent risk taking
- d) Encourage attainment of long term shareholder returns through inclusion of equity linked long-term incentives as part of compensation

Compensation is structured in terms of fixed pay, cash variable pay and share linked instruments (for selective employees), with a strong linkage of variable pay to performance. The remuneration policy of the Bank is approved by the Nomination and Remuneration Committee and the Board of Directors of the Bank. Additional approval from Shareholders and RBI is obtained specifically for compensation of MD & CEO and WTDs.

❖ Whether the remuneration committee reviewed the firm's remuneration policy during the past year, and if so, an overview of any changes that were made:

The Bank's remuneration policy was originally reviewed and approved by the Nomination and Remuneration Committee and Board of Directors in FY2021 in order to align with RBI guidelines. The remuneration policy of the Bank is reviewed annually and any changes arising therefrom are approved by the Nomination and Remuneration Committee and Board of Directors.

Key highlights of the policy are mentioned below:

- At least 50% of total compensation i.e. Fixed Pay plus Total Variable Pay shall be variable.
- Value of share linked instruments will be included in definition of 'Total Variable Pay'

- 'Total Variable Pay' for the MD & CEO/ Whole-time Directors/ Material Risk Takers of the Bank would be capped at 300% of Fixed Pay.
  - If the 'Total Variable Pay' is up to 200% of the Fixed Pay, a minimum of 50% of the Variable pay; and in case Variable Pay is above 200%, a minimum of 67% of the Variable Pay shall be paid via employee stock options.
  - Minimum 60% of the 'Total Variable Pay' shall be deferred over 3 years. If cash component is part of 'Total Variable Pay', at least 50% of the cash component of variable pay should also be deferred over 3 years. In cases where the cash component of Total Variable pay is under Rs. 25 lakh, variable pay shall not be deferred
  - All the fixed items of compensation, including retiral benefits and perquisites, will be treated as part of Fixed Pay.
  - Qualitative and quantitative criteria defined for identification of Material Risk Takers (MRTs).
  - Specific guidelines on application of malus and clawback clauses.
- ❖ A discussion of how the Bank ensures that risk, internal audit and compliance employees are remunerated independently of the businesses they oversee:
- The Bank ensures that risk, internal audit and compliance employees are remunerated independently of the businesses they oversee and is guided by the individual employee performance. The remuneration is determined on the basis of relevant risk measures included in the Balanced Scorecard / key deliverables of staff in these functions. The parameters reviewed for performance-based rewards are independent of performance of the business area they oversee and commensurate with their individual role in the Bank. Additionally, the ratio of fixed and variable compensation is weighed towards fixed compensation in case of employees in risk, internal audit, and compliance functions.
- c) Description of the ways in which current and future risks are taken into account in the remuneration processes:**
- ❖ An overview of the key risks that the Bank takes into account when implementing remuneration measures:
- The business activity of the Bank is undertaken within the limits of risk measures to achieve the financial plan. The Financial Perspective in the Bank's Balanced Score Card (BSC) contains metrics pertaining to growth, profitability and asset quality. These metrics along with other metrics in customer, internal process and compliance and people perspective are taken into account while arriving at the remuneration decisions. The metrics on internal process and compliance ensure due weightage to non-financial risk that bank may be exposed to. The Remuneration Policy also contains provisions whereby the Nomination and Remuneration Committee of the Bank may review and approve the invoking of malus and/or clawback of compensation elements pertaining to the MD & CEO, WTDs and other Material Risk Takers of the Bank, including consideration of facts on a case to case basis and application of internal and external benchmarks.
- ❖ An overview of the nature and type of key measures used to take account of these risks, including risk difficult to measure:
- The Bank has a robust system of measuring and reviewing these risks. The risk parameters are a part of the BSC used for setting of performance objectives and for measuring performance which includes, besides financial performance, adherence to internal processes, compliance and people perspectives. Weightage is placed on not only financial or quantitative achievement of objectives but also on qualitative aspects detailing how the objectives were achieved.
- ❖ A discussion of the ways in which these measures affect remuneration:
- The relevant risk measures are included in the scorecards of MD & CEO and WTDs. Inclusion of the above mentioned measures ensures that performance parameters are aligned to risk measures at the time of performance evaluation. The Nomination and Remuneration Committee takes into consideration all the above aspects while assessing organisational and individual performance and making compensation related recommendations to the Board.
- ❖ A discussion of how the nature and type of these measures have changed over the past year and reasons for the changes, as well as the impact of changes on remuneration:

The Bank continued to track key metrics across financial, customer, internal process and compliance and people perspective as part of FY26 BSC. Further, critical deliverables were included to drive progress as per the Bank's Growth, Profitability Score strategy.

**d) Description of the ways in which the Bank seeks to link performance during a performance measurement period with levels of remuneration:**

The Bank's performance management and compensation philosophies are structured to support the achievement of the Bank's on-going business objectives by rewarding achievement of objectives linked directly to its strategic business priorities. These strategic priorities are cascaded through annualised objectives to the employees.

The Bank follows the Balanced Scorecard approach in designing its performance management system. Adequate attention is given to the robust goal setting process to ensure alignment of individual objectives to support the achievement of business strategy, financial and non-financial goals across and through the organisation. The non-financial goals for employees include customer service, process improvement, adherence to risk and compliance norms, operations and process control, learning and knowledge development.

❖ An overview of main performance metrics for Bank, top level business lines and individuals:

The Bank follows a Balanced Scorecard approach for measuring performance for the Bank, top business lines and individuals.

❖ A discussion of how amounts of individual remuneration are linked to the Bank-wide and individual performance:

The Bank's remuneration practices are underpinned by principles of meritocracy and fairness. The remuneration system strives to maintain the ability to attract, retain, reward and motivate the talent in order to enable the Bank to attain its strategic objectives within the increasingly competitive context in which it operates. The Bank's pay-for-performance approach strives to ensure both internal and external equity in line with emerging market trends. However, the business model and affordability form the overarching boundary conditions.

The Bank follows a Balanced Scorecard approach for measuring performance at senior levels. The Balanced scorecard parameters for individuals are cascaded from the Bank's Balanced Scorecard. The Nomination and Remuneration Committee reviews the achievements against the set of parameters which determines the performance of the individuals.

For all other employees, performance appraisals are conducted annually and initiated by the employee with self-appraisal. The immediate supervisor reviews the appraisal ratings in a joint consultation meeting with the employee and assigns the performance rating. The final ratings are discussed by a Moderation Committee comprising of senior officials of the Bank. Both relative and absolute individual performances are considered for the moderation process. Individual fixed pay increases, variable pay, ESUs and ESOPs are linked to the final performance ratings.

❖ A discussion of the measures the Bank will in general implement to adjust remuneration in the event that performance metrics are weak:

In cases where the performance metrics are weak or not well defined to measure the performance effectively, the Bank uses discretion to reward such employees. The remuneration is then influenced by the operational performance parameters of the Bank along with individual performance achievement.

Whilst determining fixed and variable remuneration, relevant risk measures are included in scorecards of senior employees.

As a prudent measure, for Material Risk Takers, a portion of variable pay if it exceeds a certain threshold is deferred and is paid proportionately over a period of 3 years. The deferred variable pay amount of reference year would be held back in case of any misrepresentation or gross inaccuracy resulting in a wrong risk assessment.

**e) Description of the bank's policy on deferral and vesting of variable remuneration and a discussion of the bank's policy and criteria for adjusting deferred remuneration before vesting and after vesting:**

**i) Bank's policy on deferral and vesting of variable remuneration:**

For MD & CEO, WTDs and other Material Risk Takers of the Bank, minimum 60% of the Total Variable Pay (including Cash Variable Pay and Stock Options) is deferred over 3 years or such other period as prescribed by RBI where applicable. In case the cash component is part of Total Variable Pay and exceeds Rs. 25 lakhs, at least 50% of the cash component of variable pay is also deferred over 3 years or such other period as prescribed by RBI where applicable.

The Total Variable Pay for MD & CEO, WTDs and other Material Risk Takers of the Bank is subject to malus and clawback clauses, as defined in the Remuneration Policy of the Bank.

**ii) Bank's policy and criteria for adjusting deferred remuneration before vesting and after vesting through claw back arrangements:**

The Total Variable Pay for MD & CEO, WTDs and other Material Risk Takers of the Bank is subject to malus and clawback clauses, which are defined in the Remuneration Policy of the Bank. Detailed scenarios under which said clauses can be applied, such as event of an enquiry determining gross negligence or breach of integrity, or significant deterioration in financial performance are defined in the Remuneration Policy of the Bank.

**f) Description of the different forms of variable remuneration that the Bank utilizes and the rationale for using these different forms:**

❖ An overview of the forms of variable remuneration offered:

- Variable Pay: Variable Pay is linked to corporate performance, business performance and individual performance and ensures differential pay based on the performance levels of employees
- Employee Stock Options (ESOPs): ESOPs are given to selective set of employees at senior levels based on their level of performance and role. ESOP scheme has an inbuilt deferred vesting design which helps in directing long term performance orientation among employees
- Employee Stock Units (ESUs): ESUs are given to employees between the grades of AVP and SVP II based on their level of performance. The ESU scheme has an inbuilt deferred vesting design which helps in directing long term performance orientation among employees.

❖ A discussion of the use of different forms of variable remuneration including a description of the factors that determine the mix and their relative importance:

Variable pay in the form of performance based bonus is paid out annually and is linked to performance achievement against balanced performance measures and aligned with the principles of meritocracy. The proportion of variable pay in total pay shall be higher at senior management levels. The payment of all forms of variable pay is governed by the affordability of the Bank and based on profitability and cost income ratios. At senior management levels (and for certain employees with potential to cause material impact on risk exposure), a portion of variable compensation may be paid out in a deferred manner in order to drive prudent behaviour as well as long term & sustainable performance orientation. Long term variable pay is administered in the form of ESOPs and ESUs with an objective of enabling employee participation in the business as an active stakeholder and to usher in an 'owner-manager' culture. The quantum of grant of stock options is determined and approved by the Nomination and Remuneration Committee, in terms of the said Regulations and in line with best practices, subject to the approval of RBI. The current ESOP and ESU design has an inbuilt deferral intended to spread and manage risk.





### Quantitative disclosures

a) The quantitative disclosures pertaining to the MD & CEO, Whole Time Directors and Material Risk Takers for the year ended 31 March, 2026 and 31 March, 2025 are given below:

| Particulars                                                                                                                                       | 31 March, 2026                                                                     | 31 March, 2025                                                                     |
|---------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| a. i) Number of meetings held by the Remuneration Committee (main body overseeing remuneration) during the financial year                         | 11                                                                                 | 12                                                                                 |
| ii) Remuneration paid to its members (sitting fees)                                                                                               | ₹4,400,000                                                                         | ₹4,800,000                                                                         |
| b. Number of employees having received a variable remuneration award during the financial year                                                    | 27                                                                                 | 28                                                                                 |
| c. Number and total amount of sign-on/joining bonus made during the financial year                                                                |                                                                                    |                                                                                    |
| - Share-linked instruments (number of stock options granted)                                                                                      | -                                                                                  | 162,387                                                                            |
| - Fair value of share linked instruments                                                                                                          | -                                                                                  | ₹6.41 crores <sup>1</sup>                                                          |
| - Cash                                                                                                                                            | -                                                                                  | ₹0.06 crores                                                                       |
| d. Details of severance pay, in addition to accrued benefits, if any                                                                              | N.A.                                                                               | N.A.                                                                               |
| e. Total amount of outstanding deferred remuneration, split into:                                                                                 |                                                                                    |                                                                                    |
| - Cash                                                                                                                                            | ₹32.15 crores                                                                      | ₹29.88 crores                                                                      |
| - Shares                                                                                                                                          | -                                                                                  | -                                                                                  |
| - Share-linked instruments (number of unvested stock options outstanding as on 31 March and fair value of the same)                               | 3,693,046 options with a fair value of ₹135.88 crores <sup>1</sup>                 | 3,275,367 options with a fair value of ₹109.52 crores <sup>1</sup>                 |
| f. Total amount of deferred remuneration paid out in the financial year:                                                                          |                                                                                    |                                                                                    |
| - Cash                                                                                                                                            | ₹14.20 crores                                                                      | ₹11.30 crores                                                                      |
| - Share-linked instruments (number of stock options vested during the year and fair value of the same)                                            | 1,520,617 Options with a fair value of ₹47.81 crores <sup>1</sup>                  | 1,440,342 Options with a fair value of ₹38.39 crores <sup>1</sup>                  |
| g. Breakdown of amount of remuneration awards for the financial year to show fixed and variable, deferred and non-deferred, different forms used: |                                                                                    |                                                                                    |
| - Fixed                                                                                                                                           | ₹64.35 crores <sup>2</sup>                                                         | ₹70.55 crores <sup>2</sup>                                                         |
| - Variable                                                                                                                                        | ₹115.09 crores                                                                     | ₹117.41 crores                                                                     |
| - Deferred                                                                                                                                        | ₹98.62 crores                                                                      | ₹100.61 crores                                                                     |
| - of which, cash                                                                                                                                  | ₹16.47 crores <sup>1</sup>                                                         | ₹16.73 crores <sup>1</sup>                                                         |
| - of which, share-linked instruments                                                                                                              | ₹82.15 crores fair value of 2,186,752 options granted during the year <sup>1</sup> | ₹83.88 crores fair value of 2,323,007 options granted during the year <sup>1</sup> |
| - Non-deferred                                                                                                                                    | ₹16.47 crores                                                                      | ₹16.79 crores                                                                      |
| h. Total amount of outstanding deferred remuneration and retained remuneration exposed to ex-post explicit and/or implicit adjustments            | N.A.                                                                               | N.A.                                                                               |
| i. Total amount of reductions during the financial year due to ex-post explicit adjustments                                                       | N.A.                                                                               | N.A.                                                                               |
| j. Total amount of reductions during the financial year due to ex-post implicit adjustments                                                       | N.A.                                                                               | N.A.                                                                               |
| k. Number of MRT's identified                                                                                                                     | 29                                                                                 | 29                                                                                 |
| l. Number of cases where                                                                                                                          |                                                                                    |                                                                                    |
| - malus has been exercised                                                                                                                        | Nil                                                                                | Nil                                                                                |
| - clawback has been exercised                                                                                                                     | Nil                                                                                | Nil                                                                                |
| - both malus and clawback have been exercised                                                                                                     | Nil                                                                                | Nil                                                                                |

| Particulars                                                                                                                  | 31 March, 2026 | 31 March, 2025 |
|------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| m. The mean pay for the Bank as a whole (excluding sub-staff) and the deviation of the pay of each of its WTDs from the mean |                |                |
| Mean pay of the Bank <sup>3</sup>                                                                                            |                |                |
| Deviation of the pay of WTDs from the mean pay for the Bank                                                                  |                |                |
| - MD & CEO                                                                                                                   | ₹84,383,958    | ₹79,639,332    |
| - DMD                                                                                                                        | ₹57,849,972    | ₹51,751,906    |
| - WTD 1                                                                                                                      | ₹44,218,527    | ₹42,363,331    |
| - WTD 2                                                                                                                      | ₹43,775,831    | ₹41,763,292    |
| - WTD 3                                                                                                                      | ₹33,539,618    | N.A.           |

1. Fair value is the weighted average fair value of stock options computed using Black-Scholes options pricing model as on the grant date
2. Fixed pay includes basic salary, supplementary allowances, superannuation, contribution to provident fund, gratuity fund and value of perquisites. The value of perquisites is calculated as cost to the Bank
3. Mean pay is computed on annualised fixed pay of all confirmed employees (excluding frontline sales and overseas employees) as on 31 March. Fixed pay includes basic salary, supplementary allowances, superannuation, contribution to provident fund, gratuity fund and value of perquisites. The value of perquisites is calculated as cost to the Bank

Disclosure for compensation of Non-executive Directors (Except Part-time Chairman):

|                                                      | 31 March, 2026 | 31 March, 2025 |
|------------------------------------------------------|----------------|----------------|
| a. Amount of fixed remuneration paid during the year | 2.01           | 2.14           |

(₹ in crores)

### 1.15 Other Disclosures

#### a) Business ratios:

| As at                                                                                | 31 March, 2026<br>% | 31 March, 2025<br>% |
|--------------------------------------------------------------------------------------|---------------------|---------------------|
| Interest income as a percentage to working funds <sup>1</sup>                        | 7.52                | 8.10                |
| Non-interest income as a percentage to working funds <sup>1</sup>                    | 1.55                | 1.67                |
| Cost of Deposits                                                                     | 4.85                | 5.12                |
| Net Interest Margin <sup>2</sup>                                                     | 3.69                | 3.98                |
| Operating profit <sup>3</sup> as a percentage to working funds <sup>1</sup>          | 2.53                | 2.78                |
| Return on assets (based on working funds <sup>1</sup> )                              | 1.45                | 1.74                |
| Business (deposits less inter-bank deposits plus advances) per employee <sup>4</sup> | ₹24.48 crores       | ₹20.88 crores       |
| Profit per employee <sup>4</sup>                                                     | ₹0.24 crores        | ₹0.25 crores        |

1. Working funds represent average of total assets as reported to RBI in Form X under Section 27 of the Banking Regulation Act, 1949 during the year
2. Net Interest Income/Average Earning Assets. Net Interest Income = Interest Income – Interest Expense
3. Operating profit represents total income as reduced by interest expended and operating expenses
4. Productivity ratios are based on average employee numbers for the year

#### b) Bancassurance business:

| Sr. No. | Nature of Income                        | 31 March, 2026  | 31 March, 2025  |
|---------|-----------------------------------------|-----------------|-----------------|
| 1.      | For selling life insurance policies     | 3,233.81        | 2,746.91        |
| 2.      | For selling non-life insurance policies | 465.78          | 427.36          |
|         | <b>Total</b>                            | <b>3,699.59</b> | <b>3,174.27</b> |

(₹ in crores)

**c) Marketing and Distribution business:**

|              |                                        | (₹ in crores)   |                 |
|--------------|----------------------------------------|-----------------|-----------------|
| Sr. No.      | Nature of Income                       | 31 March, 2026  | 31 March, 2025  |
| 1.           | Mutual funds                           | 653.18          | 649.17          |
| 2.           | Alternate products                     | 233.16          | 206.51          |
| 3.           | Government bonds                       | 3.79            | 1.43            |
| 4.           | Fees for display of publicity material | 184.77          | 257.85          |
| 5.           | Others                                 | 49.39           | 36.21           |
| <b>Total</b> |                                        | <b>1,124.29</b> | <b>1,151.17</b> |

**d) Disclosure regarding Priority Sector Lending Certificates (PSLCs) purchased/sold by the Bank:****Details of PSLCs purchased by the Bank:**

|                               |  | (₹ in crores)    |                  |
|-------------------------------|--|------------------|------------------|
| Category                      |  | 31 March, 2026   | 31 March, 2025   |
| PSLC – Small/Marginal Farmers |  | 89,988.00        | 72,453.50        |
| <b>Total</b>                  |  | <b>89,988.00</b> | <b>72,453.50</b> |

**Details of PSLCs sold by the Bank**

|                            |  | (₹ in crores)    |                  |
|----------------------------|--|------------------|------------------|
| Category                   |  | 31 March, 2026   | 31 March, 2025   |
| PSLC – Agriculture         |  | 25.00            | 32,000.00        |
| PSLC – Micro Enterprises   |  | 68,800.00        | 35,000.00        |
| PSLC – Small/Micro Farmers |  | 2,201.00         | -                |
| PSLC – General             |  | -                | -                |
| <b>Total</b>               |  | <b>71,026.00</b> | <b>67,000.00</b> |

During the year ended 31 March, 2026, the Bank incurred a cost of ₹2,685.03 crores (previous year ₹1,589.06 crores), towards purchase of PSLCs which forms part of 'Other Expenditure' under Schedule 16 of the Profit and Loss Account. Further, during the year ended 31 March, 2026, the Bank also earned fees of ₹16.81 crores (previous year ₹196.89 crores), on sale of PSLCs which forms part of 'Miscellaneous Income' under Schedule 14 of the Profit and Loss Account.

**e) 'Provisions and contingencies' recognised in the Profit and Loss Account comprise of:**

|                                                                                                                                              |  | (₹ in crores)    |                  |
|----------------------------------------------------------------------------------------------------------------------------------------------|--|------------------|------------------|
| For the year ended                                                                                                                           |  | 31 March, 2026   | 31 March, 2025   |
| Provision for income tax <sup>1</sup>                                                                                                        |  |                  |                  |
| - Current tax                                                                                                                                |  | 6,959.90         | 7,477.20         |
| - Deferred tax [Refer note 18 (2.8)]                                                                                                         |  | (1,862.58)       | 495.90           |
|                                                                                                                                              |  | <b>5,097.32</b>  | <b>7,973.10</b>  |
| Provision for non-performing assets (including bad debts written off net of write backs and recoveries in written off accounts) <sup>2</sup> |  | 9,483.99         | 7,546.77         |
| Provision for restructured assets                                                                                                            |  | 1.83             | (0.80)           |
| Provision for Covid-19 restructuring & MSME restructuring                                                                                    |  | (195.12)         | (143.48)         |
| Provision towards standard assets <sup>3</sup>                                                                                               |  | 1,887.72         | 65.56            |
| Provision for unhedged foreign currency exposures                                                                                            |  | 161.44           | (54.74)          |
| Provision for country risk                                                                                                                   |  | 25.49            | 10.57            |
| Additional provision for delay in implementation of resolution plan                                                                          |  | (18.18)          | (38.44)          |
| Provision for probable legal cases                                                                                                           |  | 28.96            | 527.55           |
| Provision for other contingencies <sup>4</sup>                                                                                               |  | 1,886.70         | (154.64)         |
| <b>Total</b>                                                                                                                                 |  | <b>18,360.15</b> | <b>15,731.45</b> |

1. In the financial year 2022-23, the Bank acquired Citibank's India Consumer Business from Citibank N.A. (acting through its branch in India) ("CBNA") and the NBFC Consumer Business from Citicorp Finance (India) Limited ("CFIL") collectively referred to as Citi India

Consumer Business on a going concern basis. In accordance with an independent valuer's report, intangibles (excluding goodwill) amounting to ₹8,714.25 crores were recognised in the Bank's financial statements. Despite retaining access to and business use of these assets, as a prudent measure aimed at protecting its capacity to pay dividends, the Bank opted to fully amortise these intangibles through the Profit and Loss account in FY 2022-23. Furthermore, the Bank elected not to create any deferred tax asset in FY 2022-23 on such intangibles, nor did the Bank consider the deductibility on the said intangibles while providing for current tax in the books until the regular tax assessment for the said financial year was completed. During the year ended 31 March 2026, following the conclusion of regular assessment proceedings by the income tax authorities, tax depreciation on these intangibles was allowed. As a result, the tax expense for FY26 is lower by ₹2,193.20 crores, which includes the reversal of excess tax provisions made in prior years amounting to ₹1,129.80 crores, reduction of current year's tax expense by ₹265.85 crores and recognition of a deferred tax asset of ₹797.55 crores

2. Includes provision for non-performing advances of ₹12,960.31 crores (previous year ₹11,578.59 crores) and provision on non-performing investments of ₹65.86 crores (previous year provision of ₹222.51 crores), net of recoveries from written off accounts of ₹3,542.18 crores (previous year ₹3,809.31 crores)
3. During the year ended 31 March, 2026, following an RBI advisory, post its FY25 annual inspection, the Bank in Q2FY26 made an additional one-time standard asset provision of ₹1,231 crores for declassified PSL loans. The customer terms remain unchanged. This provision will be written back to the P&L upon all the declassified loans being made compliant, recovered or closed in the normal course, no later than March 31, 2028. No divergence in asset quality or NPA provisioning was identified in the said annual inspection
4. During the year, the Bank took the initiative to further strengthen its balance sheet by voluntarily enhancing its prudent provisioning framework for standard assets. In line with this framework, an additional one-time provision of ₹2,001 crores was made during the quarter. This measure is entirely prudent and does not indicate any concerns regarding asset quality or adverse credit developments in the Bank's loan or investment portfolio as of the reporting date

## f) Status of implementation of IFRS converged Indian Accounting Standards (Ind AS):

The RBI had issued a circular in February 2016 requiring banks to implement Indian Accounting Standards (Ind AS) and prepare standalone and consolidated Ind AS financial statements with effect from 1 April, 2018. Banks were also required to report the comparative financial statements for the financial year 2017-18, to be published along with the financial statement for the year beginning 1 April, 2018. However, the RBI in its press release issued on 5 April, 2018 deferred the applicability of Ind AS by one year (i.e. 1 April, 2019) for Scheduled Commercial Banks. Further, RBI in a circular issued on 22 March, 2019 has deferred the implementation of Ind AS till further notice.

During the financial year 2016-17, the Bank had undertaken a preliminary diagnostic analysis of the GAAP differences between Indian GAAP vis-a-vis Ind AS. The Bank has also identified and evaluated data gaps, processes and system changes required to implement Ind AS. The Bank is in the process of implementing necessary changes in its IT systems wherever required and other processes in a phased manner. The Bank is also submitting Proforma Ind AS financial statements to RBI on a half-yearly basis.

In line with the RBI guidelines on Ind AS implementation, the Bank has formed a Steering Committee comprising members from the concerned functional areas, headed by the Executive Director. The Steering Committee reviews the proforma Ind AS financial statements and provides guidance on critical areas of implementation on a periodic basis. A progress report on the status of Ind AS implementation in the Bank is presented to the Audit Committee and Board of Directors on a quarterly basis. Accounting impact on the application of Ind AS shall be recognized as and when it becomes statutorily applicable to banks and in the manner so prescribed.

## g) Payment of DICGC Insurance Premium

| Particulars                                     | (₹ in crores)   |                 |
|-------------------------------------------------|-----------------|-----------------|
|                                                 | 31 March, 2026  | 31 March, 2025  |
| Payment of DICGC Insurance Premium <sup>1</sup> | 1,367.78        | 1,240.30        |
| Arrears in payment of DICGC premium             | -               | -               |
| <b>Total</b>                                    | <b>1,367.78</b> | <b>1,240.30</b> |

1. Amount reported is excluding GST

## h) Disclosure on provisioning pertaining to Land held under 'Non-Banking assets acquired in satisfaction of claims'

(₹ in crores)

| Particulars                                                                                              | 31 March, 2026 | 31 March, 2025 |
|----------------------------------------------------------------------------------------------------------|----------------|----------------|
| Amount of Land held under 'Non-Banking assets acquired in satisfaction of claims' at the end of the year | 1,855.85       | 1,855.85       |
| Provision held at the beginning of the year                                                              | 1,855.85       | 1,855.85       |
| Provisions made during the year by debiting profit and loss account                                      | -              | -              |
| Provisions reversed during the year                                                                      | -              | -              |
| Provisions held at the end of the year                                                                   | 1,855.85       | 1,855.85       |
| Unamortised provision debited from 'Balance in profit and loss account' under 'Reserves and Surplus'     | -              | -              |

## i) Letters of Comfort

The Bank has not issued any Letter of Comfort (LoC) on behalf of its subsidiaries during the current and previous year.

## j) Portfolio-level information regarding the use of the green deposit funds as required under "Framework for acceptance of Green Deposits" issued by RBI :

| Particulars                                                                                                                      | 31 March, 2026 | 31 March, 2025 | Cumulative |
|----------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|------------|
| Total green deposits raised (A)                                                                                                  | -              | -              | -          |
| <b>Use of green deposit funds</b>                                                                                                |                |                |            |
| 1) Renewable Energy                                                                                                              | -              | -              | -          |
| 2) Energy Efficiency                                                                                                             | -              | -              | -          |
| 3) Clean Transportation                                                                                                          | -              | -              | -          |
| 4) Climate Change Adaptation                                                                                                     | -              | -              | -          |
| 5) Sustainable Water and Waste Management                                                                                        | -              | -              | -          |
| 6) Pollution Prevention and Control                                                                                              | -              | -              | -          |
| 7) Green Buildings                                                                                                               | -              | -              | -          |
| 8) Sustainable Management of Living Natural Resources and Land Use                                                               | -              | -              | -          |
| 9) Terrestrial and Aquatic Biodiversity Conservation                                                                             | -              | -              | -          |
| Total Green Deposit funds allocated (B = Sum of 1 to 9)                                                                          | -              | -              | -          |
| Amount of Green Deposit funds not allocated (C = A - B)                                                                          | -              | -              | -          |
| Details of the temporary allocation of green deposit proceeds pending their allocation to the eligible green activities/projects | -              | -              | -          |

## k) Details of Others (including provisions) in Other Liabilities and Provisions of Schedule 5 of Balance Sheet exceeding 1% of Total Assets

During the year ended 31 March, 2026 and 31 March, 2025, none of the items under Others (including provisions) in Other Liabilities and Provisions of Schedule 5 of the Balance Sheet have exceeded 1% of Total Assets of the Bank.

## l) Details of Others in Other Assets of Schedule 11 of Balance Sheet exceeding 1% of Total Assets

During the year ended 31 March, 2026 and 31 March, 2025, none of the items under Others in Other Assets of Schedule 11 of the Balance Sheet have exceeded 1% of Total Assets of the Bank.

## m) Miscellaneous income exceeding 1% of the total income

During the year ended 31 March, 2026 and 31 March, 2025, none of the items under miscellaneous income (Schedule 14 - Other Income) have exceeded 1% of total income of the Bank.



**n) Expenses exceeding 1% of the total income**

Details of items under other expenditure (Schedule 16 – Operating Expenses) exceeding 1% of total income of the Bank are given below:

For the year ended 31 March, 2026

| Sr. No. | Nature of Expense                                                 | (₹ in crores) |
|---------|-------------------------------------------------------------------|---------------|
| 1.      | Commission paid to Direct Sales Agents (DSA)                      | 2,843.24      |
| 2.      | Charges paid for purchase of Priority Sector Lending Certificates | 2,685.03      |
| 3.      | Charges paid to network partners                                  | 1,743.53      |
| 4.      | Cashback charges                                                  | 1,657.71      |

For the year ended 31 March, 2025

| Sr. No. | Nature of Expense                                                 | (₹ in crores) |
|---------|-------------------------------------------------------------------|---------------|
| 1.      | Commission paid to Direct Sales Agents (DSA)                      | 2,619.66      |
| 2.      | Charges paid to network partners                                  | 1,629.80      |
| 3.      | Cashback charges                                                  | 1,594.58      |
| 4.      | Charges paid for purchase of Priority Sector Lending Certificates | 1,589.06      |

**2. Other Disclosures****2.1 Earnings Per Share ('EPS')**

The details of EPS computation is set out below:

|                                                                                                                                | 31 March, 2026 | 31 March, 2025 |
|--------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| Basic and Diluted earnings for the year (Net profit after tax) (₹ in crores)                                                   | 24,456.66      | 26,373.48      |
| Basic weighted average no. of shares (in crores)                                                                               | 310.28         | 309.26         |
| Add: Equity shares for no consideration arising on grant of stock options/units under ESOP/ESU scheme (in crores)              | 2.04           | 1.84           |
| Diluted weighted average no. of shares (in crores)                                                                             | 312.32         | 311.10         |
| Basic EPS (₹)                                                                                                                  | 78.82          | 85.28          |
| Less: Effect of potential equity shares for no consideration arising on grant of stock options/units under ESOP/ESU scheme (₹) | (0.51)         | (0.51)         |
| Diluted EPS (₹)                                                                                                                | 78.31          | 84.77          |
| Nominal value of shares (₹)                                                                                                    | 2.00           | 2.00           |

Dilution of equity is on account of 20,373,612 stock options/units (previous year 18,432,380 stock options/units)

**2.2 Employee Stock Options/Units**

Over the period till 31 March 2026, pursuant to the approval of the shareholders, the Bank has framed Employee Stock Option Schemes for options aggregating 315,087,000 that vest in a graded manner over 3 to 4 years, subject to vesting conditions. The options can be exercised within five years from the date of the vesting. Further, pursuant to the approval of the shareholders in January 2023, the Bank also framed an Employee Stock Units (ESUs) Scheme aggregating to 50,000,000 units, that vest in a graded manner over 3 years, subject to vesting conditions. The ESUs can be exercised within five years from the date of the vesting. Within the respective overall ceilings of options/units, the Bank is authorised to issue options/units to eligible employees and Whole Time Directors (including those of subsidiary companies and Associate entity).

331,417,818 options and 5,112,947 ESUs have been granted under the Schemes till the previous year ended 31 March, 2025. During the year ended 31 March, 2026, pursuant to the approval of the Nomination and Remuneration Committee, the Bank granted options/units (each option representing entitlement to one equity share of the Bank) to eligible employees/directors of the Bank/subsidiary companies as set out below:



| Date of grant    | Options / ESUs | No. of options granted | Grant price<br>(₹ per option/ units) |
|------------------|----------------|------------------------|--------------------------------------|
| 25 April, 2025   | Options        | 7,197,426              | 1,207.10                             |
| 25 April, 2025   | ESUs           | 2,213,962              | 2.00                                 |
| 16 July, 2025    | Options        | 137,575                | 1,165.90                             |
| 14 January, 2026 | Options        | 103,916                | 1,262.00                             |

Stock option activity under the Scheme for the year ended 31 March, 2026 is set out below:

|                                                 | Options<br>outstanding | Range of exercise<br>prices (₹) | Weighted<br>average exercise<br>price (₹) | Weighted average<br>remaining<br>contractual life<br>(Years) |
|-------------------------------------------------|------------------------|---------------------------------|-------------------------------------------|--------------------------------------------------------------|
| <b>Outstanding at the beginning of the year</b> | <b>46,353,347</b>      | <b>488.35 to 1,291.65</b>       | <b>772.73</b>                             | <b>4.01</b>                                                  |
| Granted during the year                         | 7,438,917              | 1,165.90 to<br>1,262.00         | 1,207.10                                  | -                                                            |
| Forfeited during the year                       | (1,354,487)            | 488.35 to 1,207.10              | 1,017.76                                  | -                                                            |
| Expired during the year                         | (98,943)               | 488.35 to 757.10                | 599.82                                    | -                                                            |
| Exercised during the year                       | (9,956,984)            | 488.35 to 1,063.25              | 683.65                                    | -                                                            |
| <b>Outstanding at the end of the year</b>       | <b>42,381,850</b>      | <b>488.35 to 1,291.65</b>       | <b>862.47</b>                             | <b>3.81</b>                                                  |
| Exercisable at the end of the year              | 30,970,974             | 488.35 to 1,291.65              | 756.28                                    | 2.99                                                         |

The weighted average share price in respect of options exercised during the year was ₹1,223.70.

Stock units activity under the Scheme for the year ended 31 March, 2026 is set out below:

|                                                 | Units<br>outstanding | Exercise price (₹) | Weighted<br>average exercise<br>price (₹) | Weighted average<br>remaining<br>contractual life<br>(Years) |
|-------------------------------------------------|----------------------|--------------------|-------------------------------------------|--------------------------------------------------------------|
| <b>Outstanding at the beginning of the year</b> | <b>4,267,217</b>     | <b>2.00</b>        | <b>2.00</b>                               | <b>5.75</b>                                                  |
| Granted during the year                         | 2,213,962            | 2.00               | 2.00                                      | -                                                            |
| Forfeited during the year                       | (311,215)            | 2.00               | 2.00                                      | -                                                            |
| Expired during the year                         | -                    | 2.00               | 2.00                                      | -                                                            |
| Exercised during the year                       | (846,588)            | 2.00               | 2.00                                      | -                                                            |
| <b>Outstanding at the end of the year</b>       | <b>5,323,376</b>     | <b>2.00</b>        | <b>2.00</b>                               | <b>5.42</b>                                                  |
| Exercisable at the end of the year              | 1,759,298            | 2.00               | 2.00                                      | 4.33                                                         |

The weighted average share price in respect of units exercised during the year was ₹1,190.76.

Stock option activity under the Scheme for the year ended 31 March, 2025 is set out below:

|                                                 | Options<br>outstanding | Range of exercise<br>prices (₹) | Weighted<br>average exercise<br>price (₹) | Weighted average<br>remaining<br>contractual life<br>(Years) |
|-------------------------------------------------|------------------------|---------------------------------|-------------------------------------------|--------------------------------------------------------------|
| <b>Outstanding at the beginning of the year</b> | <b>52,199,448</b>      | <b>469.90 to 929.80</b>         | <b>712.34</b>                             | <b>4.27</b>                                                  |
| Granted during the year                         | 7,105,507              | 1,063.25 to<br>1,291.65         | 1,066.02                                  | -                                                            |
| Forfeited during the year                       | (2,455,328)            | 469.90 to 1,063.25              | 820.58                                    | -                                                            |
| Expired during the year                         | (102,753)              | 469.90 to 757.10                | 654.80                                    | -                                                            |
| Exercised during the year                       | (10,393,527)           | 469.90 to 848.80                | 659.82                                    | -                                                            |
| <b>Outstanding at the end of the year</b>       | <b>46,353,347</b>      | <b>488.35 to 1,291.65</b>       | <b>772.73</b>                             | <b>4.01</b>                                                  |
| Exercisable at the end of the year              | 34,860,694             | 488.35 to 1,063.25              | 707.90                                    | 3.32                                                         |

The weighted average share price in respect of options exercised during the year was ₹1,143.23.

Stock units activity under the Scheme for the year ended 31 March, 2025 is set out below:

|                                                 | Units<br>Outstanding | Exercise price (₹) | Weighted<br>average exercise<br>price (₹) | Weighted average<br>remaining<br>contractual life<br>(Years) |
|-------------------------------------------------|----------------------|--------------------|-------------------------------------------|--------------------------------------------------------------|
| <b>Outstanding at the beginning of the year</b> | <b>2,534,240</b>     | <b>2.00</b>        | <b>2.00</b>                               | <b>6.09</b>                                                  |
| Granted during the year                         | 2,408,870            | 2.00               | 2.00                                      | -                                                            |
| Forfeited during the year                       | (270,729)            | 2.00               | 2.00                                      | -                                                            |
| Expired during the year                         | -                    | -                  | -                                         | -                                                            |
| Exercised during the year                       | (405,164)            | 2.00               | 2.00                                      | -                                                            |
| <b>Outstanding at the end of the year</b>       | <b>4,267,217</b>     | <b>2.00</b>        | <b>2.00</b>                               | <b>5.75</b>                                                  |
| Exercisable at the end of the year              | 1,057,224            | 2.00               | 2.00                                      | 4.63                                                         |

The weighted average share price in respect of units exercised during the year was ₹1,146.05.

### Fair Value Methodology

In line with RBI clarification on Guidelines on Compensation of Whole Time Directors/Chief Executive Officers/ Material Risk Takers and Control Function Staff issued on 30 August, 2021, the Bank follows the fair value method for all share-linked instruments granted after 31 March, 2021 and consequently recognizes the fair value of options computed using the Black-Scholes model, without reducing estimated forfeitures, as a compensation expense over the vesting period. During the year, the Bank has recognised compensation cost of ₹357.38 crores (previous year ₹365.79 crores) for options/units granted to employees of the Bank and recovered ₹86.20 crores (previous year ₹58.18 crores) from group entities in respect of options/units granted to the employees and deputed staff at group entities.

The fair value of the options/units is estimated on the date of the grant using the Black-Scholes options pricing model, with the following assumptions:

|                         | 31 March, 2026   |                  | 31 March, 2025   |                  |
|-------------------------|------------------|------------------|------------------|------------------|
|                         | ESOP             | ESU              | ESOP             | ESU              |
| Dividend yield          | 0.09%-0.11%      | 0.11%            | 0.09%            | 0.09%            |
| Expected life           | 2.95-5.95 years  | 1-3 years        | 2.95-5.95 years  | 1-3 years        |
| Risk free interest rate | 5.80% to 6.28%   | 5.87% to 5.96%   | 6.85% to 7.09%   | 6.95% to 7.06%   |
| Volatility              | 21.61% to 28.38% | 22.85% to 25.51% | 24.00% to 29.15% | 19.89% to 24.01% |

Volatility is the measure of the amount by which a price has fluctuated or is expected to fluctuate during a period. The measure of volatility used in the Black-Scholes options pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. For calculating volatility, the daily volatility of the stock prices on the National Stock Exchange, over a period prior to the date of grant, corresponding with the expected life of the options has been considered.

The weighted average fair value of options granted during the year ended 31 March, 2026 is ₹369.69 (previous year ₹358.68).

The weighted average fair value of units granted during the year ended 31 March, 2026 is ₹1,202.67 (previous year ₹1,059.51).

## 2.3 Proposed Dividend

The Board of Directors, in their meeting held on 25 April, 2026 have proposed a final dividend of ₹1 per equity share amounting to ₹310.82 crores. The proposal is subject to the approval of shareholders at the Annual General Meeting. In terms of revised Accounting Standard (AS) 4 - 'Contingencies and Events occurring after the Balance sheet date' as notified by the Ministry of Corporate Affairs through the Companies (Accounting Standards) Rules, 2021, such proposed dividend has not been recognised as a liability as on 31 March, 2026.

During the year, the Bank paid final dividend of ₹1 per equity share amounting ₹310.14 crores pertaining to the previous year ended 31 March, 2025.

## 2.4 Segmental reporting

The business of the Bank is divided into four segments: Treasury, Retail Banking, Corporate/Wholesale Banking and Other Banking Business. These segments have been identified based on the RBI guidelines on Segment Reporting. The principal activities of these segments are as under:

| Segment                                            | Principal Activities                                                                                                                                                                                                                                                                                                                                                                               |
|----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Treasury                                           | Treasury operations include investments in sovereign and corporate debt, equity and mutual funds, trading operations, derivative trading and foreign exchange operations on the proprietary account and for customers. The Treasury segment also includes the central funding unit.                                                                                                                |
| Retail Banking                                     | Constitutes lending to individuals/small businesses through the branch network and other delivery channels subject to the orientation, nature of product, granularity of the exposure and the quantum thereof. Retail Banking activities also include liability products, card services, internet banking, mobile banking, ATM services, depository, financial advisory services and NRI services. |
| Digital Banking<br>(Sub-segment of Retail Banking) | In accordance with RBI circular DOR.AUT.REC.12/22.01.001/2022-23 dated 7 April 2022 on Establishment of Digital Banking Units, the Bank has presented 'Digital Banking' as a sub-segment of the Retail Banking segment.                                                                                                                                                                            |
| Corporate/Wholesale Banking                        | Includes corporate relationships not included under Retail Banking, corporate advisory services, placements and syndication, project appraisals, capital market related services and cash management services.                                                                                                                                                                                     |
| Other Banking Business                             | Includes para banking activities like third party product distribution and other banking transactions not covered under any of the above three segments.                                                                                                                                                                                                                                           |

Unallocated assets and liabilities - All items which are reckoned at an enterprise level are classified under this segment such as deferred tax, tax paid in advance net of provision, provision for other contingencies towards potential expected losses etc.

Revenues of the Treasury segment primarily consist of fees and gains or losses from trading operations and interest income on the investment portfolio. The principal expenses of the segment consist of interest expense on funds borrowed from external sources and other internal segments, premises expenses, personnel costs, other direct overheads and allocated expenses.

Revenues of the Corporate/Wholesale Banking segment consist of interest and fees earned on loans given to customers falling under this segment and fees arising from transaction services and merchant banking activities such as syndication and debenture trusteeship. Revenues of the Retail Banking segment are derived from interest earned on loans classified under this segment, fees for banking and advisory services, ATM interchange fees and cards products. Expenses of the Corporate/Wholesale Banking and Retail Banking segments primarily comprise interest expense on deposits and funds borrowed from other internal segments, infrastructure and premises expenses for operating the branch network and other delivery channels, personnel costs, other direct overheads and allocated expenses.

Segment income includes earnings from external customers and from funds transferred to the other segments. Segment result includes revenue as reduced by interest expense and operating expenses and provisions, if any, for that segment. Segment-wise income and expenses include certain allocations. Inter segment interest income and interest expense represent the transfer price received from and paid to the Central Funding Unit (CFU) respectively. For this purpose, the funds transfer pricing mechanism presently followed by the Bank, which is based on historical matched maturity and internal benchmarks, has been used by the Bank and relied upon by the Statutory Auditors. Operating expenses other than those directly attributable to segments are allocated to the segments based on an activity-based costing methodology. All activities in the Bank are segregated segment-wise and allocated to the respective segment.

Segmental results are set out below:

(₹ in crores)

|                                                               | 31 March, 2026    |                                    |                             |                                     |                         |                           |                    |
|---------------------------------------------------------------|-------------------|------------------------------------|-----------------------------|-------------------------------------|-------------------------|---------------------------|--------------------|
|                                                               | Treasury          | Corporate/<br>Wholesale<br>Banking | Retail Banking              |                                     |                         | Other Banking<br>Business | Total              |
| Segment Revenue                                               |                   |                                    | Digital Banking<br>Business | Other Retail<br>Banking<br>Business | Total Retail<br>Banking | Unallocated               |                    |
| Gross interest income (external customers)                    | 27,515.51         | 35,934.00                          | 17,007.23                   | 46,511.92                           | 63,519.15               | 63.57                     | 1,27,032.23        |
| Other income                                                  | 2,894.46          | 5,390.76                           | 8,320.69                    | 4,616.91                            | 12,937.60               | -                         | 26,130.85          |
| <b>Total income as per Profit and Loss Account</b>            | <b>30,409.97</b>  | <b>41,324.76</b>                   | <b>25,327.92</b>            | <b>51,128.83</b>                    | <b>76,456.75</b>        | <b>63.57</b>              | <b>1,53,163.08</b> |
| Add/(less) inter segment interest income                      | -                 | 8,004.44                           | 14,327.81                   | 54,309.26                           | 68,637.07               | -                         | 76,641.51          |
| <b>Total segment revenue</b>                                  | <b>30,409.97</b>  | <b>49,329.20</b>                   | <b>39,655.73</b>            | <b>1,05,438.09</b>                  | <b>1,45,093.82</b>      | <b>63.57</b>              | <b>2,29,804.59</b> |
| Less: Interest expense (external customers)                   | 17,840.88         | 1,266.32                           | 12,135.43                   | 39,741.56                           | 51,876.99               | -                         | 70,984.19          |
| Less: Inter-segment interest expense                          | 7,053.47          | 29,282.14                          | 8,027.85                    | 32,278.05                           | 40,305.90               | -                         | 76,641.51          |
| Less: Operating expenses                                      | 359.02            | 6,831.58                           | 10,038.61                   | 21,865.35                           | 31,903.96               | 267.52                    | 39,362.08          |
| <b>Operating profit</b>                                       | <b>5,156.60</b>   | <b>11,949.16</b>                   | <b>9,453.84</b>             | <b>11,553.13</b>                    | <b>21,006.97</b>        | <b>63.57</b>              | <b>42,816.81</b>   |
| Less: Provision for non-performing assets/others <sup>1</sup> | 119.92            | 743.24                             | 5,198.81                    | 7,200.84                            | 12,399.65               | 0.02                      | 13,262.83          |
| <b>Segment result</b>                                         | <b>5,036.68</b>   | <b>11,205.92</b>                   | <b>4,255.03</b>             | <b>4,352.29</b>                     | <b>8,607.32</b>         | <b>63.57</b>              | <b>29,553.98</b>   |
| Less: Provision for tax                                       | -                 | -                                  | -                           | -                                   | -                       | -                         | 5,097.32           |
| Extraordinary profit/loss                                     | -                 | -                                  | -                           | -                                   | -                       | -                         | -                  |
| <b>Net Profit</b>                                             | -                 | -                                  | -                           | -                                   | -                       | -                         | <b>24,456.66</b>   |
| Segment assets                                                | 619,567.76        | 571,029.14                         | 148,123.32                  | 538,475.89                          | 686,599.21              | 1,084.10                  | 18,86,849.88       |
| Segment liabilities                                           | 342,691.86        | 254,472.26                         | 219,472.46                  | 858,474.30                          | 10,77,946.76            | 48.50                     | 16,82,655.62       |
| <b>Net assets</b>                                             | <b>276,875.90</b> | <b>316,556.88</b>                  | <b>(71,349.14)</b>          | <b>(319,998.41)</b>                 | <b>(391,347.55)</b>     | <b>1,073.43</b>           | <b>204,194.26</b>  |
| <b>Capital expenditure for the year</b>                       | 10.97             | 394.74                             | 397.56                      | 1,124.55                            | 1,522.11                | 31.24                     | <b>1,959.06</b>    |
| <b>Depreciation on fixed assets for the year</b>              | 10.13             | 364.50                             | 367.10                      | 1,038.40                            | 1,405.50                | 28.85                     | <b>1,808.98</b>    |

1. represents material non-cash items other than depreciation





(₹ in crores)

31 March, 2025

|                                                               | Treasury          | Corporate/<br>Wholesale<br>Banking | Retail Banking              |                                     |                         | Other Banking<br>Business | Unallocated       | Total              |
|---------------------------------------------------------------|-------------------|------------------------------------|-----------------------------|-------------------------------------|-------------------------|---------------------------|-------------------|--------------------|
|                                                               |                   |                                    | Digital Banking<br>Business | Other Retail<br>Banking<br>Business | Total Retail<br>Banking |                           |                   |                    |
| <b>Segment Revenue</b>                                        |                   |                                    |                             |                                     |                         |                           |                   |                    |
| Gross interest income (external customers)                    | 25,118.44         | 33,445.55                          | 15,446.07                   | 48,298.26                           | 63,744.33               | -                         | 368.72            | 1,22,677.04        |
| Other income                                                  | 3,548.12          | 4,686.88                           | 7,685.28                    | 4,615.27                            | 12,300.55               | 4,721.51                  | -                 | 25,257.06          |
| <b>Total income as per Profit and Loss Account</b>            | <b>28,666.56</b>  | <b>38,132.43</b>                   | <b>23,131.35</b>            | <b>52,913.53</b>                    | <b>76,044.88</b>        | <b>4,721.51</b>           | <b>368.72</b>     | <b>1,47,934.10</b> |
| Add/(less) inter segment interest income                      | 1,245.89          | 8,447.91                           | 11,189.01                   | 53,694.40                           | 64,883.41               | -                         | -                 | 74,577.21          |
| <b>Total segment revenue</b>                                  | <b>29,912.45</b>  | <b>46,580.34</b>                   | <b>34,320.36</b>            | <b>1,06,607.93</b>                  | <b>1,40,928.29</b>      | <b>4,721.51</b>           | <b>368.72</b>     | <b>2,22,511.31</b> |
| Less: Interest expense (external customers)                   | 18,071.06         | 1,730.95                           | 9,215.82                    | 39,311.39                           | 48,527.21               | -                         | -                 | 68,329.22          |
| Less: Inter segment interest expense                          | 5,368.43          | 28,066.80                          | 7,164.82                    | 33,977.16                           | 41,141.98               | -                         | -                 | 74,577.21          |
| Less: Operating expenses                                      | 482.91            | 5,381.95                           | 10,151.13                   | 21,225.61                           | 31,376.74               | 258.35                    | -                 | 37,499.95          |
| <b>Operating profit</b>                                       | <b>5,990.05</b>   | <b>11,400.64</b>                   | <b>7,788.59</b>             | <b>12,093.77</b>                    | <b>19,882.36</b>        | <b>4,463.16</b>           | <b>368.72</b>     | <b>42,104.93</b>   |
| Less: Provision for non-performing assets/others <sup>1</sup> | 1,182.68          | 963.43                             | 5,590.49                    | 4,342.61                            | 9,933.10                | 0.02                      | 28.66             | 7,758.35           |
| <b>Segment result</b>                                         | <b>7,172.73</b>   | <b>12,364.07</b>                   | <b>2,198.10</b>             | <b>7,751.16</b>                     | <b>9,949.26</b>         | <b>4,463.14</b>           | <b>397.38</b>     | <b>34,346.58</b>   |
| Less: Provision for tax                                       |                   |                                    |                             |                                     |                         |                           |                   | 7,973.10           |
| Extraordinary profit/loss                                     |                   |                                    |                             |                                     |                         |                           |                   | -                  |
| <b>Net Profit</b>                                             |                   |                                    |                             |                                     |                         |                           |                   | <b>26,373.48</b>   |
| Segment assets                                                | 538,714.45        | 425,365.09                         | 127,728.56                  | 510,614.06                          | 638,342.62              | 776.74                    | 6,730.98          | 16,09,929.88       |
| Segment liabilities                                           | 261,334.83        | 232,941.73                         | 174,174.82                  | 754,850.49                          | 929,025.31              | 54.49                     | 7,956.58          | 14,31,312.94       |
| <b>Net assets</b>                                             | <b>277,379.62</b> | <b>192,423.36</b>                  | <b>(46,446.26)</b>          | <b>(244,236.43)</b>                 | <b>(290,682.69)</b>     | <b>722.25</b>             | <b>(1,225.60)</b> | <b>178,616.94</b>  |
| <b>Capital expenditure for the year</b>                       | 14.88             | 485.49                             | 458.99                      | 1,463.06                            | 1,922.04                | 46.90                     | -                 | <b>2,469.31</b>    |
| <b>Depreciation on fixed assets for the year</b>              | 10.24             | 334.07                             | 315.83                      | 1,006.72                            | 1,322.56                | 32.27                     | -                 | <b>1,699.14</b>    |

1. represents material non-cash items other than depreciation

**Geographic Segments**

(₹ in crores)

|                                           | Domestic       |                | International  |                | Total          |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                           | 31 March, 2026 | 31 March, 2025 | 31 March, 2026 | 31 March, 2025 | 31 March, 2026 | 31 March, 2025 |
| Revenue                                   | 150,090.16     | 144,612.90     | 3,072.92       | 3,321.20       | 153,163.08     | 147,934.10     |
| Assets                                    | 1,809,570.45   | 1,553,397.93   | 77,279.43      | 56,531.95      | 1,886,849.88   | 1,609,929.88   |
| Capital Expenditure for the year          | 1,956.62       | 2,462.82       | 2.44           | 6.49           | 1,959.06       | 2,469.31       |
| Depreciation on fixed assets for the year | 1,807.27       | 1,697.78       | 1.71           | 1.36           | 1,808.98       | 1,699.14       |

**2.5 Related party disclosure**

The related parties of the Bank are broadly classified as:

**a) Promoter**

The Bank has identified the following entities as its Promoter:

- Life Insurance Corporation of India (LIC)

**b) Key Management Personnel**

- Mr. Amitabh Chaudhry (MD & CEO)
- Mr. Rajiv Anand (Deputy Managing Director) (upto 2 August, 2025)
- Mr. Subrat Mohanty (Executive Director)
- Mr. Munish Sharda (Executive Director)
- Mr. Neeraj Gambhir (Executive Director) (with effect from 20 October, 2025)

**c) Relatives of Key Management Personnel**

Ms. Preeti Chaudhry, Mr. Anagh Chaudhry, Mr. Aruj Chaudhry, Mr. Aryan Chaudhry, Ms. Rajul Parekh, Ms. Chhavi Kharb, Mr. Ashok Kharb, Mr. Om Singh Chaudhry, Ms. Kusum Chaudhry, Ms. Gitanjali Anand, Ms. Tara Anand, Ms. Nandita Anand, Mr. P.L. Narain, Mr. P. Srinivas, Ms. Ratna Rao Shekar, Ms. Charu Narain, Ms. K Ramalakshmi, Ms. Smitha Mohanty, Mr. Agastya Mohanty, Mr. Rajat Mohanty, Ms. Neelima Mohanty, Mr. Narasingh Mohanty, Ms. Gitashree Mohanty, Ms. Rima Sharda, Ms. Tanya Sharda, Ms. Shashi Sharda, Mr. Rakesh Sharda, Ms. Monica Sharda, Ms. Shalini Chhabra, Ms. Vritika Gambhir, Ms. Ishya Gambhir, Ms. Anu Miglani, Mr. Rajnish Miglani, Ms. Darshan Kumari, Mr. Madan Lal Gambhir

**d) Subsidiary Companies**

- Axis Capital Limited
- Axis Trustee Services Limited
- Axis Asset Management Company Limited
- Axis Mutual Fund Trustee Limited
- Axis UK Limited (formerly Axis Bank UK Limited)
- Axis Finance Limited
- Axis Securities Limited
- A.Treds Limited
- Freecharge Payment Technologies Private Limited
- Freecharge Business and Technology Services Limited

On 17 July, 2024, the Board of Directors of Freecharge Payment Technologies Private Limited (FPTPL) approved a Scheme of Demerger ('the Scheme'). The Scheme involves the transfer of the Business Correspondence (BC) and Technology Service Provision (TSP) business from FPTPL to Freecharge Business and Technology Services Limited (FBTSL), both wholly owned subsidiaries of the Bank. As part of this process, a joint petition was filed with the National Company Law Tribunal (NCLT) Chandigarh bench on 31 July, 2024, under Section 230-232 of the Companies Act, 2013, seeking approval for the Scheme. The NCLT approved the Scheme on 10 December, 2025. Consequently, the BC and TSP business have been transferred and vested in FBTSL effective 1 January, 2026, with the appointed date being 1 July, 2024, as per the Scheme. FPTPL has completed the necessary filings with the Registrar of Companies in accordance with the NCLT order.

**e) Step down subsidiary companies**

- Axis Capital USA LLC
- Axis Pension Fund Management Limited

**f) Associate**

- Axis Max Life Insurance Limited (formerly Max Life Insurance Company Limited)

Based on RBI guidelines, details of transactions with Promoter (Life Insurance Corporation of India) and Associate (Axis Max Life Insurance Limited) are not disclosed since there is only one entity/party in the aforesaid categories.

The details of transactions of the Bank with its related parties during the year ended 31 March, 2026 are given below:

(₹ in crores)

| Items/Related Party                                              | Key Management Personnel | Relatives of Key Management Personnel <sup>#</sup> | Subsidiaries | Step down Subsidiaries | Total    |
|------------------------------------------------------------------|--------------------------|----------------------------------------------------|--------------|------------------------|----------|
| Dividend paid                                                    | 0.04                     | 0.00*                                              | -            | -                      | 0.04     |
| Dividend received                                                | -                        | -                                                  | 15.00        | -                      | 15.00    |
| Interest paid                                                    | 0.52                     | 1.03                                               | 62.97        | 0.04                   | 64.56    |
| Interest received                                                | -                        | 0.01                                               | 46.07        | -                      | 46.08    |
| Investment of the Bank                                           | -                        | -                                                  | -            | -                      | -        |
| Repayment of Share Capital by related party                      | -                        | -                                                  | -            | -                      | -        |
| Investment in non-equity instruments of related party            | -                        | -                                                  | 1,062.64     | -                      | 1,062.64 |
| Investment of related party in the Bank                          | 17.06                    | -                                                  | -            | -                      | 17.06    |
| Sale of investments                                              | -                        | -                                                  | 515.26       | -                      | 515.26   |
| Management contracts                                             | -                        | -                                                  | 10.53        | 0.57                   | 11.10    |
| Remuneration paid                                                | 27.93                    | -                                                  | -            | -                      | 27.93    |
| Swaps/Forward contracts                                          | -                        | -                                                  | 474.18       | -                      | 474.18   |
| Advance granted (net)                                            | -                        | -                                                  | 495.76       | -                      | 495.76   |
| Advance repaid                                                   | -                        | 0.01                                               | -            | -                      | 0.01     |
| Non-funded commitments (issued)                                  | -                        | -                                                  | 0.08         | -                      | 0.08     |
| Non-funded commitments (Reduction)                               | -                        | -                                                  | -            | -                      | -        |
| Purchase of loans                                                | -                        | -                                                  | -            | -                      | -        |
| Receiving of services                                            | -                        | -                                                  | 257.36       | 0.05                   | 257.41   |
| Rendering of services                                            | 0.00*                    | 0.00*                                              | 159.94       | 0.56                   | 160.50   |
| Sale/Purchase of foreign exchange currency to/from related party | 0.45                     | 0.01                                               | -            | -                      | 0.46     |
| Royalty Received                                                 | -                        | -                                                  | 13.14        | 0.02                   | 13.16    |
| Other reimbursements from related party                          | -                        | -                                                  | 91.55        | 2.47                   | 94.02    |
| Other reimbursements to related party                            | -                        | -                                                  | 4.79         | -                      | 4.79     |

<sup>#</sup> Details of transactions of the Bank with KMP and relatives of KMP are for the period during which the KMP are related parties of the Bank

\*Denotes amount less than ₹50,000/-

The balances payable to/receivable from the related parties of the Bank as on 31 March, 2026 are given below:

(₹ in crores)

| Items/Related Party                                   | Key Management Personnel | Relatives of Key Management Personnel <sup>#</sup> | Subsidiaries | Step down Subsidiaries | Total           |
|-------------------------------------------------------|--------------------------|----------------------------------------------------|--------------|------------------------|-----------------|
| Deposits with the Bank                                | 14.93                    | 17.28                                              | 2,043.60     | 1.12                   | <b>2,076.93</b> |
| Advances                                              | 0.11                     | 0.07                                               | 937.27       | -                      | <b>937.45</b>   |
| Investment of the Bank                                | -                        | -                                                  | 3,807.53     | 7.22                   | <b>3,814.75</b> |
| Investment in non-equity instruments of related party | -                        | -                                                  | 525.00       | -                      | <b>525.00</b>   |
| Investment of related party in the Bank               | 0.01                     | 0.00*                                              | -            | -                      | <b>0.01</b>     |
| Non-funded commitments                                | -                        | -                                                  | 0.33         | -                      | <b>0.33</b>     |
| Other receivables (net)                               | -                        | -                                                  | 22.60        | 0.10                   | <b>22.70</b>    |
| Other payables (net)                                  | -                        | -                                                  | 102.16       | -                      | <b>102.16</b>   |
| Swaps/Forward contracts                               | -                        | -                                                  | 474.18       | -                      | <b>474.18</b>   |

<sup>#</sup> Details of transactions of the Bank with KMP and relatives of KMP are for the period during which the KMP are related parties of the Bank

\*Denotes amount less than ₹50,000/-

The maximum balances payable to/receivable from the related parties of the Bank during the year ended 31 March, 2026 are given below:

(₹ in crores)

| Items/Related Party                                   | Key Management Personnel | Relatives of Key Management Personnel | Subsidiaries | Step down subsidiaries | Total           |
|-------------------------------------------------------|--------------------------|---------------------------------------|--------------|------------------------|-----------------|
| Deposits with the Bank                                | 22.88                    | 17.28                                 | 4,051.91     | 5.96                   | <b>4,098.03</b> |
| Advances                                              | 0.25                     | 0.20                                  | 976.11       | -                      | <b>976.56</b>   |
| Investment of the Bank                                | -                        | -                                     | 3,807.53     | 7.22                   | <b>3,814.75</b> |
| Investment of related party in the Bank               | 0.12                     | 0.00*                                 | -            | -                      | <b>0.12</b>     |
| Investment in non-equity instruments of related party | -                        | -                                     | 945.00       | -                      | <b>945.00</b>   |
| Non-funded commitments                                | -                        | -                                     | 0.33         | -                      | <b>0.33</b>     |
| Swaps/Forward Contracts                               | -                        | -                                     | 474.18       | -                      | <b>474.18</b>   |
| Other receivables (net)                               | -                        | -                                     | 27.16        | 0.10                   | <b>27.26</b>    |
| Other payables (net)                                  | -                        | -                                     | 122.01       | 0.01                   | <b>122.02</b>   |

\*Denotes amount less than ₹50,000/-

The details of transactions of the Bank with its related parties during the year ended 31 March, 2025 are given below:

(₹ in crores)

| Items/Related Party                                   | Key Management Personnel | Relatives of Key Management Personnel <sup>#</sup> | Subsidiaries | Step down Subsidiaries | Total         |
|-------------------------------------------------------|--------------------------|----------------------------------------------------|--------------|------------------------|---------------|
| Dividend paid                                         | 0.06                     | 0.00*                                              | -            | -                      | <b>0.06</b>   |
| Dividend received                                     | -                        | -                                                  | 24.58        | -                      | <b>24.58</b>  |
| Interest paid                                         | 0.38                     | 0.76                                               | 64.45        | 0.03                   | <b>65.62</b>  |
| Interest received                                     | 0.01                     | 0.00*                                              | 38.48        | -                      | <b>38.49</b>  |
| Investment of the Bank                                | -                        | -                                                  | 888.56       | -                      | <b>888.56</b> |
| Repayment of Share Capital by related party           | -                        | -                                                  | 329.28       | -                      | <b>329.28</b> |
| Investment in non-equity instruments of related party | -                        | -                                                  | 375.00       | -                      | <b>375.00</b> |
| Investment of related party in the Bank               | 53.29                    | -                                                  | -            | -                      | <b>53.29</b>  |
| Sale of investments                                   | -                        | -                                                  | 554.39       | -                      | <b>554.39</b> |
| Management contracts                                  | -                        | -                                                  | 8.20         | 0.39                   | <b>8.59</b>   |
| Remuneration paid                                     | 27.71                    | -                                                  | -            | -                      | <b>27.71</b>  |
| Swaps/Forward contracts                               | -                        | -                                                  | 3.24         | -                      | <b>3.24</b>   |
| Advance granted (net)                                 | -                        | 0.07                                               | 123.71       | -                      | <b>123.78</b> |
| Advance repaid                                        | 0.77                     | -                                                  | 0.06         | -                      | <b>0.83</b>   |

(₹ in crores)

| Items/Related Party                                              | Key Management Personnel | Relatives of Key Management Personnel <sup>#</sup> | Subsidiaries | Step down Subsidiaries | Total         |
|------------------------------------------------------------------|--------------------------|----------------------------------------------------|--------------|------------------------|---------------|
| Non-funded commitments (reduction)                               | -                        | -                                                  | 0.05         | -                      | <b>0.05</b>   |
| Purchase of loans                                                | -                        | -                                                  | 25.24        | -                      | <b>25.24</b>  |
| Receiving of services                                            | -                        | -                                                  | 186.09       | 0.05                   | <b>186.14</b> |
| Rendering of services                                            | 0.00*                    | 0.00*                                              | 202.27       | 0.42                   | <b>202.69</b> |
| Sale/Purchase of foreign exchange currency to/from related party | 0.14                     | 0.00*                                              | -            | -                      | <b>0.14</b>   |
| Royalty Received                                                 | -                        | -                                                  | 11.82        | 0.01                   | <b>11.83</b>  |
| Other reimbursements from related party                          | -                        | -                                                  | 65.75        | 1.46                   | <b>67.21</b>  |
| Other reimbursements to related party                            | -                        | -                                                  | 5.53         | -                      | <b>5.53</b>   |

<sup>#</sup> Details of transactions of the Bank with KMP and relatives of KMP are for the period during which the KMP are related parties of the Bank

\*Denotes amount less than ₹50,000/-

The balances payable to/receivable from the related parties of the Bank as on 31 March, 2025 are given below:

(₹ in crores)

| Items/Related Party                                   | Key Management Personnel | Relatives of Key Management Personnel <sup>#</sup> | Subsidiaries | Step down Subsidiaries | Total           |
|-------------------------------------------------------|--------------------------|----------------------------------------------------|--------------|------------------------|-----------------|
| Deposits with the Bank                                | 8.81                     | 14.43                                              | 2,031.06     | 0.78                   | <b>2,055.08</b> |
| Advances                                              | 0.19                     | 0.15                                               | 441.50       | -                      | <b>441.84</b>   |
| Investment of the Bank                                | -                        | -                                                  | 3,807.53     | 7.22                   | <b>3,814.75</b> |
| Investment in non-equity instruments of related party | -                        | -                                                  | 495.00       | -                      | <b>495.00</b>   |
| Investment of related party in the Bank               | 0.12                     | 0.00*                                              | -            | -                      | <b>0.12</b>     |
| Non-funded commitments                                | -                        | -                                                  | 0.25         | -                      | <b>0.25</b>     |
| Other receivables (net)                               | -                        | -                                                  | 27.16        | 0.07                   | <b>27.23</b>    |
| Other payables (net)                                  | -                        | -                                                  | 73.91        | -                      | <b>73.91</b>    |

<sup>#</sup> Details of transactions of the Bank with KMP and relatives of KMP are for the period during which the KMP are related parties of the Bank

\*Denotes amount less than ₹50,000/-

The maximum balances payable to/receivable from the related parties of the Bank during the year ended 31 March, 2025 are given below:

(₹ in crores)

| Items/Related Party                                   | Key Management Personnel | Relatives of Key Management Personnel <sup>#</sup> | Subsidiaries | Step down subsidiaries | Total           |
|-------------------------------------------------------|--------------------------|----------------------------------------------------|--------------|------------------------|-----------------|
| Deposits with the Bank                                | 22.83                    | 14.77                                              | 2,547.57     | 7.50                   | <b>2,592.67</b> |
| Advances                                              | 1.01                     | 0.23                                               | 914.73       | -                      | <b>915.97</b>   |
| Investment of the Bank                                | -                        | -                                                  | 3,816.60     | 7.22                   | <b>3,823.82</b> |
| Investment of related party in the Bank               | 0.14                     | 0.00*                                              | -            | -                      | <b>0.14</b>     |
| Investment in non-equity instruments of related party | -                        | -                                                  | 495.00       | -                      | <b>495.00</b>   |
| Non-funded commitments                                | -                        | -                                                  | 0.30         | -                      | <b>0.30</b>     |
| Other receivables (net)                               | -                        | -                                                  | 27.16        | 0.07                   | <b>27.23</b>    |
| Other payables (net)                                  | -                        | -                                                  | 135.68       | 0.03                   | <b>135.71</b>   |

\*Denotes amount less than ₹50,000/-

The transactions with Promoters and Key Management Personnel excluding those under management contracts are in the nature of the banker-customer relationship.

Details of transactions with Axis Mutual Fund, the fund floated by Axis Asset Management Company Ltd., the Bank's subsidiary has not been disclosed since the entity does not qualify as Related Party as defined under the Accounting Standard 18, Related Party Disclosure, as notified under Section 2(2) and Section 133 of the Companies Act, 2013 and as per RBI guidelines.

## FINANCIAL STATEMENTS

The significant transactions between the Bank and related parties during the year ended 31 March, 2026 and 31 March, 2025 are given below. A specific related party transaction is disclosed as a significant related party transaction wherever it exceeds 10% of the aggregate value of all related party transactions in that category:

| Particulars                                                  | (₹ in crores)  |                |
|--------------------------------------------------------------|----------------|----------------|
|                                                              | 31 March, 2026 | 31 March, 2025 |
| <b>Dividend received</b>                                     |                |                |
| Axis UK Limited                                              | -              | 10.33          |
| Axis Trustee Services Limited                                | 15.00          | 14.25          |
| <b>Dividend paid</b>                                         |                |                |
| Mr. Rajiv Anand                                              | 0.04           | 0.06           |
| <b>Interest paid</b>                                         |                |                |
| Axis Capital limited                                         | 9.31           | 8.64           |
| Axis Securities Limited                                      | 36.67          | 40.68          |
| <b>Interest received</b>                                     |                |                |
| Axis Finance Limited                                         | 39.21          | 33.70          |
| Axis Securities Limited                                      | 6.82           | 4.72           |
| <b>Investment in Subsidiaries</b>                            |                |                |
| Axis Securities Limited                                      | -              | 250.00         |
| Axis Finance Limited                                         | -              | 598.56         |
| <b>Investment in non-equity instruments of related party</b> |                |                |
| Axis Finance Limited                                         | 1,062.64       | 375.00         |
| <b>Repayment of Share Capital by related party</b>           |                |                |
| Axis UK Limited                                              | -              | 329.28         |
| <b>Investment of related party in the Bank</b>               |                |                |
| Mr. Amitabh Chaudhry                                         | 8.07           | 35.09          |
| Mr. Rajiv Anand                                              | 4.83           | 13.97          |
| Mr. Munish Sharda                                            | 2.33           | 4.23           |
| Mr. Neeraj Gambhir                                           | 1.83           | N.A.           |
| <b>Sale of investments</b>                                   |                |                |
| Axis Securities Limited                                      | 515.26         | 554.39         |
| <b>Management contracts</b>                                  |                |                |
| A.Treds Limited                                              | 4.78           | 3.28           |
| Axis Capital Limited                                         | 2.45           | 2.33           |
| Axis Trustee Services Limited                                | 3.30           | 2.25           |
| Axis Asset Management Company Limited                        | -              | 0.17           |
| <b>Remuneration paid</b>                                     |                |                |
| Mr. Amitabh Chaudhry                                         | 10.30          | 9.80           |
| Mr. Rajiv Anand                                              | 4.17           | 6.84           |
| Mr. Subrat Mohanty                                           | 6.13           | 5.63           |
| Mr. Munish Sharda                                            | 5.70           | 5.44           |
| <b>Swaps/Forward contracts</b>                               |                |                |
| Axis UK Limited                                              | -              | 3.24           |
| Axis Finance Limited                                         | 474.18         | -              |
| <b>Advance granted (net)</b>                                 |                |                |
| Axis Finance Limited                                         | 186.76         | 123.71         |
| Axis Securities Limited                                      | 309.00         | -              |
| <b>Advance repaid</b>                                        |                |                |
| Mr. Rajiv Anand                                              | -              | 0.77           |
| Mr. Rakesh Sharda                                            | 0.01           | -              |
| <b>Non-funded commitments (Issued)</b>                       |                |                |
| Axis Asset Management Company Limited                        | 0.08           | -              |
| <b>Non-funded commitments (reduction)</b>                    |                |                |
| Axis Asset Management Company Limited                        | -              | 0.05           |
| <b>Purchase of loans</b>                                     |                |                |
| Axis UK Limited                                              | -              | 25.24          |



| Particulars                                                             | (₹ in crores)  |                |
|-------------------------------------------------------------------------|----------------|----------------|
|                                                                         | 31 March, 2026 | 31 March, 2025 |
| <b>Receiving of services</b>                                            |                |                |
| Freecharge Payment Technologies Private Limited                         | 179.92         | 183.76         |
| Freecharge Business and Technology Services Limited                     | 76.05          | -              |
| Axis Securities Limited                                                 | 0.03           | 0.03           |
| <b>Rendering of services</b>                                            |                |                |
| Axis Securities Limited                                                 | 70.99          | 64.84          |
| Axis Asset Management Company Limited                                   | 22.37          | 28.78          |
| Freecharge Payment Technologies Private Limited                         | 46.24          | 87.94          |
| <b>Sale/Purchase of foreign exchange currency to/from related party</b> |                |                |
| Mr. Amitabh Chaudhry                                                    | 0.18           | 0.04           |
| Mr. Rajiv Anand                                                         | 0.01           | 0.03           |
| Mr. Subrat Mohanty                                                      | 0.11           | 0.03           |
| Mr. Munish Sharda                                                       | 0.07           | 0.04           |
| Mr. Neeraj Gambhir                                                      | 0.07           | N.A.           |
| <b>Royalty received</b>                                                 |                |                |
| Axis Asset Management Company Limited                                   | 2.30           | 2.17           |
| Axis Capital Limited                                                    | 1.15           | 1.06           |
| Axis Finance Limited                                                    | 7.62           | 6.15           |
| Axis Securities Limited                                                 | 1.97           | 2.23           |
| <b>Other reimbursements from related party</b>                          |                |                |
| Axis Securities Limited                                                 | 12.35          | 12.06          |
| Axis Capital Limited                                                    | 22.41          | 6.66           |
| Freecharge Payment Technologies Private Limited                         | 2.12           | 2.26           |
| Axis Asset Management Company Limited                                   | 45.77          | 30.06          |
| Axis Finance Limited                                                    | 3.93           | 8.45           |
| <b>Other reimbursements to related party</b>                            |                |                |
| Axis Capital Limited                                                    | 4.65           | 5.28           |
| Freecharge Payment Technologies Private Limited                         | -              | 0.02           |

\*Denotes amount less than ₹50,000/-

## 2.6 Leases

### Disclosure in respect of assets taken on operating lease

This comprises of branches, office premises/ATMs, cash deposit machines, currency chests, staff quarters, office and IT equipment.

|                                                                                                    | (₹ in crores)  |                |
|----------------------------------------------------------------------------------------------------|----------------|----------------|
|                                                                                                    | 31 March, 2026 | 31 March, 2025 |
| Future lease rentals payable as at the end of the year:                                            |                |                |
| - Not later than one year                                                                          | 1,470.37       | 1,311.87       |
| - Later than one year and not later than five years                                                | 4,799.09       | 4,200.71       |
| - Later than five years                                                                            | 5,496.47       | 4,907.75       |
| Total of minimum lease payments recognised in the Profit and Loss Account for the year             | 1,817.69       | 1,741.94       |
| Total of future minimum sub-lease payments expected to be received under non-cancellable subleases | 0.38           | 0.16           |
| Sub-lease payments recognised in the Profit and Loss Account for the year                          | 0.50           | 0.64           |

The Bank has sub-leased certain of its properties taken on lease.

There are no provisions relating to contingent rent.

The terms of renewal/purchase options and escalation clauses are those normally prevalent in similar agreements. There are generally no undue restrictions or onerous clauses in the agreements.

Disclosure in respect of assets given on operating lease

|                                                                    | 31 March, 2026 | 31 March, 2025 |
|--------------------------------------------------------------------|----------------|----------------|
| Gross carrying amount of premises at the end of the year           | 209.60         | 209.60         |
| Accumulated depreciation at the end of the year                    | 35.91          | 32.41          |
| Total depreciation charged to profit and loss account for the year | 3.49           | 3.49           |
| Future lease rentals receivable as at the end of the year:         |                |                |
| - Not later than one year                                          | 30.85          | 28.66          |
| - Later than one year and not later than five years                | 68.34          | 81.14          |
| - Later than five years                                            | 17.02          | 34.17          |

There are no provisions relating to contingent rent.

2.7 Movement in fixed assets capitalised as application software and intangibles (included in other fixed assets)

• Movement of fixed assets capitalized as application software

| Particulars                                 | 31 March, 2026  | 31 March, 2025  |
|---------------------------------------------|-----------------|-----------------|
| <b>At cost at the beginning of the year</b> | <b>4,989.12</b> | <b>3,995.01</b> |
| Additions during the year*                  | 627.24          | 1,118.13        |
| Deductions during the year                  | (867.77)        | (124.02)        |
| Accumulated depreciation as at 31 March     | (3,047.28)      | (3,214.37)      |
| <b>Closing balance as at 31 March</b>       | <b>1,701.31</b> | <b>1,774.75</b> |
| Depreciation charge for the year            | 696.98          | 659.47          |

\*includes movement on account of exchange rate fluctuation for assets denominated in foreign currency

• Movement of fixed assets capitalized as intangibles and goodwill

| Particulars                                 | 31 March, 2026   | 31 March, 2025   |
|---------------------------------------------|------------------|------------------|
| <b>At cost at the beginning of the year</b> | <b>11,932.39</b> | <b>11,932.39</b> |
| Additions during the year                   | -                | -                |
| Deductions during the year                  | -                | -                |
| Accumulated amortisation as at 31 March     | 11,932.39        | 11,932.39        |
| <b>Closing balance as at 31 March</b>       | <b>-</b>         | <b>-</b>         |
| Amortisation charge for the year            | -                | -                |

2.8 The major components of deferred tax assets and deferred tax liabilities arising out of timing differences are as under:

| As at                                                                                                     | 31 March, 2026  | 31 March, 2025  |
|-----------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| Deferred tax assets on account of provisions for loan losses                                              | 4,039.07        | 3,520.60        |
| Deferred tax assets on account of provision for employee benefits                                         | 124.43          | 136.06          |
| Deferred tax assets on Foreign Currency Translation Reserve (FCTR)                                        | 403.35          | 189.90          |
| Deferred tax asset on account of depreciation on fixed assets                                             | 713.03          | -               |
| Deferred tax assets on other items                                                                        | 2,414.34        | 1,882.51        |
| <b>Deferred tax assets</b>                                                                                | <b>7,694.22</b> | <b>5,729.07</b> |
| Deferred tax liabilities on account of depreciation on fixed assets                                       | -               | 83.20           |
| Deferred tax liability on creation of Special Reserve under Income Tax Act [Refer note 18 (1.1) (b) (iv)] | 997.36          | 863.88          |
| Deferred tax liability on transition gain on MTM of Investments                                           | 119.15          | 115.62          |

| As at                                                     | 31 March, 2026  | 31 March, 2025  |
|-----------------------------------------------------------|-----------------|-----------------|
| Deferred tax liabilities on interest on income tax refund | -               | 90.97           |
| Deferred tax liabilities on account of other items        | 88.16           | 134.39          |
| <b>Deferred tax liabilities</b>                           | <b>1,204.67</b> | <b>1,288.06</b> |
| <b>Net Deferred tax assets</b>                            | <b>6,489.55</b> | <b>4,441.01</b> |

(₹ in crores)

## 2.9 Employee Benefits

### Provident Fund

The rules of the Bank's Provident Fund administered by a Trust require that if the Board of Trustees are unable to pay interest at the rate declared for Employees' Provident Fund by the Government under para 60 of the Employees' Provident Fund Scheme, 1952 for the reason that the return on investment is less or for any other reason, then the deficiency shall be made good by the Bank.

The following tables summarises the components of net benefit expenses recognised in the Profit and Loss Account and funded status and amounts recognised in the Balance Sheet for the Provident Fund benefit plan (including staff deputed at subsidiaries).

#### Profit and Loss Account

Net employee benefit expenses (recognised in payments to and provisions for employees)

|                                                                      | 31 March, 2026 | 31 March, 2025 |
|----------------------------------------------------------------------|----------------|----------------|
| Current Service Cost*                                                | 292.50         | 288.99         |
| Interest on Defined Benefit Obligation                               | 343.36         | 324.38         |
| Expected Return on Plan Assets                                       | (427.63)       | (385.65)       |
| Net Actuarial Losses/(Gains) recognised in the year                  | 384.51         | 4.20           |
| Effect of the limit in Para 59(b) of Accounting Standard - 15        | (174.03)       | 57.07          |
| <b>Total included in "Employee Benefit Expense" [Schedule 16(I)]</b> | <b>418.71</b>  | <b>288.99</b>  |
| Actual Return on Plan Assets                                         | 190.09         | 453.51         |

(₹ in crores)

\* includes contribution of ₹0.37 crores towards staff deputed at subsidiaries (previous year ₹0.32 crores)

#### Balance Sheet

Details of provision for provident fund

|                                                                                    | 31 March, 2026  | 31 March, 2025 |
|------------------------------------------------------------------------------------|-----------------|----------------|
| Fair Value of Plan Assets                                                          | 5,458.38        | 5,178.59       |
| Present Value of Funded Obligations                                                | (5,584.59)      | (5,004.56)     |
| <b>Net Asset/(Liability)</b>                                                       | <b>(126.21)</b> | <b>174.03</b>  |
| Amount not recognized as an asset (limit in Para 59(b) of Accounting Standard -15) | -               | (174.03)       |
| <b>Net Asset/(Liability)</b>                                                       | <b>(126.21)</b> | -              |
| Liabilities                                                                        | 126.21          | -              |
| Assets                                                                             | -               | -              |
| <b>Net Asset/(Liability)</b>                                                       | <b>(126.21)</b> | -              |

(₹ in crores)

Changes in the present value of the defined benefit obligation are as follows:

|                                               | 31 March, 2026  | 31 March, 2025  |
|-----------------------------------------------|-----------------|-----------------|
| (₹ in crores)                                 |                 |                 |
| <b>Change in Defined Benefit Obligation</b>   |                 |                 |
| <b>Opening Defined Benefit Obligation</b>     | <b>5,004.56</b> | <b>4,402.55</b> |
| Current Service Cost                          | 292.50          | 288.99          |
| Interest Cost                                 | 343.36          | 324.38          |
| Actuarial Losses/(Gains)                      | 146.98          | 72.06           |
| Employees Contribution                        | 483.83          | 479.87          |
| Liability transferred from/to other companies | (55.53)         | (24.13)         |
| Benefits Paid                                 | (631.11)        | (539.16)        |
| <b>Closing Defined Benefit Obligation</b>     | <b>5,584.59</b> | <b>5,004.56</b> |

Changes in the fair value of plan assets are as follows:

|                                            | 31 March, 2026  | 31 March, 2025  |
|--------------------------------------------|-----------------|-----------------|
| (₹ in crores)                              |                 |                 |
| <b>Change in the Fair Value of Assets</b>  |                 |                 |
| <b>Opening Fair Value of Plan Assets</b>   | <b>5,178.59</b> | <b>4,519.51</b> |
| Expected Return on Plan Assets             | 427.63          | 385.65          |
| Actuarial Gains/(Losses)                   | (237.53)        | 67.86           |
| Employer contribution during the period    | 292.50          | 288.99          |
| Employee contribution during the period    | 483.83          | 479.87          |
| Assets transferred from/to other companies | (55.53)         | (24.13)         |
| Benefits Paid                              | (631.11)        | (539.16)        |
| <b>Closing Fair Value of Plan Assets</b>   | <b>5,458.38</b> | <b>5,178.59</b> |

Experience adjustments

|                                            | 31 March, 2026 | 31 March, 2025 | 31 March, 2024 | 31 March, 2023 | 31 March, 2022 |
|--------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| (₹ in crores)                              |                |                |                |                |                |
| Defined Benefit Obligations                | 5,584.59       | 5,004.56       | 4,402.55       | 3,933.75       | 3,404.21       |
| Plan Assets                                | 5,458.38       | 5,178.59       | 4,519.51       | 4,007.93       | 3,538.64       |
| Surplus/(Deficit)                          | (126.21)       | 174.03         | 116.96         | 74.18          | 134.43         |
| Experience Adjustments on Plan Liabilities | 58.96          | 38.22          | 19.59          | 17.24          | 169.83         |
| Experience Adjustments on Plan Assets      | (237.53)       | 67.86          | 36.77          | (106.74)       | 270.73         |

Major categories of plan assets (managed by Insurers) as a percentage of fair value of total plan assets

|                        | 31 March, 2026 | 31 March, 2025 |
|------------------------|----------------|----------------|
| Government securities  | 51%            | 53%            |
| Other debt instruments | 13%            | 11%            |
| Equity shares          | 13%            | 13%            |
| Others                 | 23%            | 23%            |

Principal actuarial assumptions at the Balance Sheet date

|                                                                              | 31 March, 2026 | 31 March, 2025 |
|------------------------------------------------------------------------------|----------------|----------------|
| Discount rate for the term of the obligation                                 | 6.95%          | 6.80%          |
| Average historic yield on the investment portfolio                           | 7.83%          | 8.19%          |
| Discount rate for the remaining term to maturity of the investment portfolio | 7.00%          | 6.80%          |
| Expected investment return                                                   | 7.78%          | 8.19%          |
| Guaranteed rate of return                                                    | 8.25%          | 8.25%          |

The contribution to the employee's provident fund (including Employee Pension Scheme) amounted to ₹422.12 crores for the year (previous year ₹421.12 crores) .

### Superannuation

The Bank contributed ₹11.67 crores (previous year ₹15.04 crores) to the superannuation plan for the year. In addition the Bank holds a provision of ₹23.06 crores (previous year ₹30.70 crores) for the eligible employees who had moved to the Bank as part of the Citibank India consumer business acquisition as they are entitled to receive a lumpsum corpus amount under a separate Superannuation scheme with vesting criteria of 10 years.

### National Pension Scheme (NPS)

During the year, the Bank contributed ₹25.29 crores (previous year ₹20.67 crores) to the NPS for employees who have opted for the scheme.

### Gratuity

The following tables summarises the components of net benefit expenses recognised in the Profit and Loss Account and funded status and amounts recognised in the Balance Sheet for the Gratuity benefit plan.

#### Profit and Loss Account

Net employee benefit expenses (recognised in payments to and provisions for employees)

|                                                                                                                                    | (₹ in crores)  |                |
|------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
|                                                                                                                                    | 31 March, 2026 | 31 March, 2025 |
| Current Service Cost                                                                                                               | 145.68         | 111.00         |
| Interest on Defined Benefit Obligation                                                                                             | 80.24          | 63.22          |
| Expected Return on Plan Assets                                                                                                     | (64.21)        | (50.19)        |
| Net Actuarial Losses/(Gains) recognised in the year                                                                                | (47.91)        | 7.36           |
| Losses/(gains) on Acquisition                                                                                                      | -              | -              |
| Past Service Cost                                                                                                                  | 337.82         | -              |
| <b>Sub-total</b>                                                                                                                   | 451.62         | 131.39         |
| Less: Utilisation from prudent provision made in earlier years towards probable impact on account of Code of Social Security, 2020 | (278.46)       | -              |
| <b>Total included in "Employee Benefit Expense" [Refer Schedule 16(I) and note below]</b>                                          | 173.16         | 131.39         |
| Actual Return on Plan Assets                                                                                                       | 63.98          | 64.24          |

On 21 November 2025, the Government of India consolidated 29 existing labour laws into a unified framework of four Labour Codes (including the Code on Social Security, 2020), collectively referred to as the 'New Labour Codes'. Since Q3FY21, based on an internal policy, the Bank has been consistently provisioning for gratuity liability, in anticipation of the implementation of the Code on Social Security, 2020. In Q3FY26, the Bank performed a preliminary assessment of the financial impact of the New Labour Codes based on the draft Central Rules and FAQs published by the Ministry of Labour and Employment, in line with the guidance from the Institute of Chartered Accountants of India and charged to its Profit and Loss Account an amount of ₹25.44 crores towards gratuity, primarily due to changes in the wage definition. The Bank continues to monitor the finalization of Central and State rules relating to the New Labour Codes and will adjust its estimates and provisions in subsequent reporting periods, in accordance with applicable accounting standards.

Balance Sheet

Details of provision for gratuity

|                                                                                                        | 31 March, 2026 | 31 March, 2025 |
|--------------------------------------------------------------------------------------------------------|----------------|----------------|
| Fair Value of Plan Assets                                                                              | 1,314.99       | 914.54         |
| Present Value of Funded Obligations                                                                    | (1,435.52)     | (947.96)       |
| Unrecognised past service cost                                                                         | 89.39          | -              |
| <b>Net Asset/(Liability)</b>                                                                           | <b>(31.14)</b> | <b>(33.42)</b> |
| <b>Amounts in Balance Sheet</b>                                                                        |                |                |
| Liabilities                                                                                            | 31.14          | 33.42          |
| Assets                                                                                                 | -              | -              |
| <b>Net Asset/(Liability) (included under Schedule 11 Other Assets /Schedule 5 – Other Liabilities)</b> | <b>(31.14)</b> | <b>(33.42)</b> |

Changes in the present value of the defined benefit obligation are as follows:

|                                             | 31 March, 2026  | 31 March, 2025 |
|---------------------------------------------|-----------------|----------------|
| <b>Change in Defined Benefit Obligation</b> |                 |                |
| Opening Defined Benefit Obligation          | 947.96          | 816.79         |
| Current Service Cost                        | 145.68          | 111.00         |
| Interest Cost                               | 80.24           | 63.22          |
| Actuarial Losses/(Gains)                    | (48.14)         | 21.42          |
| Past service cost                           | 427.21          | -              |
| Benefits Paid                               | (117.42)        | (64.47)        |
| <b>Closing Defined Benefit Obligation</b>   | <b>1,435.52</b> | <b>947.96</b>  |

Changes in the fair value of plan assets are as follows:

|                                           | 31 March, 2026  | 31 March, 2025 |
|-------------------------------------------|-----------------|----------------|
| <b>Change in the Fair Value of Assets</b> |                 |                |
| Opening Fair Value of Plan Assets         | 914.54          | 726.76         |
| Expected Return on Plan Assets            | 64.21           | 50.19          |
| Actuarial Gains/(Losses)                  | (0.24)          | 14.06          |
| Contributions by Employer                 | 453.90          | 188.00         |
| Benefits Paid                             | (117.42)        | (64.47)        |
| <b>Closing Fair Value of Plan Assets</b>  | <b>1,314.99</b> | <b>914.54</b>  |

Experience adjustments

|                                            | 31 March, 2026 | 31 March, 2025 | 31 March, 2024 | 31 March, 2023 | 31 March, 2022 |
|--------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| Defined Benefit Obligations                | 1,435.52       | 947.96         | 816.79         | 677.86         | 547.55         |
| Plan Assets                                | 1,314.99       | 914.54         | 726.76         | 678.09         | 559.68         |
| Surplus/(Deficit)                          | (120.53)       | (33.42)        | (90.03)        | 0.23           | 12.13          |
| Experience Adjustments on Plan Liabilities | (32.70)        | (5.36)         | 11.62          | 3.97           | 25.88          |
| Experience Adjustments on Plan Assets      | (0.24)         | 14.06          | (2.46)         | (19.73)        | 9.45           |



Major categories of plan assets (managed by Insurers) as a percentage of fair value of total plan assets

|                                                      | 31 March, 2026 | 31 March, 2025 |
|------------------------------------------------------|----------------|----------------|
| Government securities                                | 44%            | 53%            |
| Bonds, debentures and other fixed income instruments | 40%            | 38%            |
| Money market instruments                             | 5%             | 3%             |
| Equity shares                                        | 9%             | 4%             |
| Balance in bank & others                             | 2%             | 2%             |

Principal actuarial assumptions at the Balance Sheet date:

|                                        | 31 March, 2026 | 31 March, 2025 |
|----------------------------------------|----------------|----------------|
| Discount Rate                          | 6.95% p.a.     | 6.80% p.a.     |
| Expected Rate of Return on Plan Assets | 7.00% p.a.     | 7.00% p.a.     |
| Salary Escalation Rate                 | 8.00% p.a.     | 8.00% p.a.     |
| Employee Turnover                      |                |                |
| - 21 to 30 (age in years)              | 24.00%         | 24.00%         |
| - 31 to 44 (age in years)              | 14.00%         | 14.00%         |
| - 45 to 59 (age in years)              | 8.00%          | 8.00%          |

The estimates of future salary increases considered in actuarial valuation take account of inflation, seniority, promotion and other relevant factors.

The expected rate of return on plan assets is based on the average long-term rate of return expected on investments of the Fund during the estimated term of the obligations.

As the contribution expected to be paid to the plan during the annual period beginning after the balance sheet date is based on various internal/external factors, a best estimate of the contribution is not determinable.

The above information is as certified by the actuary and relied upon by the auditors.

### Resettlement allowance

#### Profit and Loss account

During the year ended 31 March, 2026, the Bank wrote back a provision of ₹1.06 crores (previous year provision of ₹0.21 crores) towards liability in respect of resettlement allowance based on actuarial valuation conducted by an independent actuary.

#### Balance Sheet

|                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------------------------------------|----------------|----------------|
|                                                                                                 |                | (₹ in crores)  |
| Current liability                                                                               | 0.46           | 0.46           |
| Non current liability                                                                           | 2.18           | 3.24           |
| <b>Net Liability as per actuarial valuation (included under Schedule 5 – Other Liabilities)</b> | <b>2.64</b>    | <b>3.70</b>    |

Principal actuarial assumptions at the Balance Sheet date:

|                           | 31 March, 2026 | 31 March, 2025 |
|---------------------------|----------------|----------------|
| Discount Rate             | 6.95% p.a.     | 6.80% p.a.     |
| Salary Escalation Rate    | 8.00% p.a.     | 8.00% p.a.     |
| Employee Turnover         |                |                |
| - 21 to 30 (age in years) | 24.00%         | 24.00%         |
| - 31 to 44 (age in years) | 14.00%         | 14.00%         |
| - 45 to 59 (age in years) | 8.00%          | 8.00%          |

The above information is as certified by the actuary and relied upon by the auditors.

## 2.10 Provisions and contingencies

- a) Movement in provision for frauds included under other liabilities is set out below:

|                                                             | (₹ in crores)  |                |
|-------------------------------------------------------------|----------------|----------------|
|                                                             | 31 March, 2026 | 31 March, 2025 |
| Opening balance at the beginning of the year                | 242.69         | 214.33         |
| Additions during the year                                   | 54.42          | 56.88          |
| Reductions on account of payments/reversals during the year | (5.41)         | (28.52)        |
| <b>Closing balance at the end of the year</b>               | <b>291.70</b>  | <b>242.69</b>  |

- b) Other liabilities include provision for reward points made on actuarial basis, the movement of which is set out below:

|                                                 | (₹ in crores)   |                 |
|-------------------------------------------------|-----------------|-----------------|
|                                                 | 31 March, 2026  | 31 March, 2025  |
| Opening provision at the beginning of the year  | 1,178.45        | 997.08          |
| Provision made during the year                  | 1,312.62        | 1,024.16        |
| Reductions during the year                      | (1,271.29)      | (842.79)        |
| <b>Closing provision at the end of the year</b> | <b>1,219.78</b> | <b>1,178.45</b> |

- c) Movement in provision for other contingencies is set out below:

|                                                               | (₹ in crores)   |                 |
|---------------------------------------------------------------|-----------------|-----------------|
|                                                               | 31 March, 2026  | 31 March, 2025  |
| Opening provision at the beginning of the year                | 7,749.71        | 7,429.46        |
| Additions during the year <sup>1,2</sup>                      | 2,331.75        | 784.19          |
| Reductions during the year                                    | (483.30)        | (463.94)        |
| <b>Closing provision at the end of the year<sup>3,4</sup></b> | <b>9,598.16</b> | <b>7,749.71</b> |

- During the year, the Bank took the initiative to further strengthen its balance sheet by voluntarily enhancing its prudent provisioning framework for standard assets. In line with this framework, an additional one-time provision of ₹2,001 crores was made. This measure is entirely prudent and does not indicate any concerns regarding asset quality or adverse credit developments in the Bank's loan or investment portfolio as of the reporting date
- Includes movement on account of exchange rate fluctuation
- Closing provision includes provision for legal cases, additional provision for delay in implementation of resolution plan, provision on AIF investments, provision held under prudent provisioning framework for standard assets and provision for other contingencies
- Includes provision of ₹7,013 crores (previous year ₹5,012 crores) held under prudent provisioning framework for standard assets

## 2.11 Small and Micro Enterprises

Under the Micro, Small and Medium Enterprises Development Act, 2006 which came into force from 2 October, 2006, certain disclosures are required to be made relating to Micro, Small and Medium enterprises. Following are the details of delayed payments to MSMED registered vendors.

|                                                                                                                                                                                                                 | (₹ in crores)  |          |                |          |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------|----------------|----------|
| Particulars                                                                                                                                                                                                     | 31 March, 2026 |          | 31 March, 2025 |          |
|                                                                                                                                                                                                                 | Principal      | Interest | Principal      | Interest |
| The principal amount and the interest due thereon remaining unpaid to any supplier                                                                                                                              | 43.58          | 0.00*    | 11.94          | 0.01     |
| The amount of interest paid by the buyer in terms of Section 16, along with the amount of the payment made to the supplier beyond the due date                                                                  | 1.76           | 0.01     | 3.07           | 0.02     |
| The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the due date during the year) but without adding the interest specified under MSMED Act, 2006 | N.A.           | N.A.     | N.A.           | N.A.     |
| The amount of interest accrued and remaining unpaid                                                                                                                                                             | N.A.           | 0.29     | N.A.           | 0.30     |

| Particulars                                                                                                                                                                                                                                                  | 31 March, 2026 |          | 31 March, 2025 |          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------|----------------|----------|
|                                                                                                                                                                                                                                                              | Principal      | Interest | Principal      | Interest |
| The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowed as a deductible expenditure under Section 23 | N.A.           | 0.29     | N.A.           | 0.30     |

\*Denotes amount less than ₹50,000/-

The above is based on the information available with the Bank which has been relied upon by the auditors.

## 2.12 Corporate Social Responsibility (CSR)

- a) Amount required to be spent by the Bank on CSR during the year ₹529.49 crores (previous year ₹425.92 crores). The details of CSR activities carried out in line with the CSR Policy of the Bank are given below:

| Particulars                                                                    | 31 March, 2026                                                                                                                                                                                                                                                                                                                                                                                 |        | 31 March, 2025                                                                                                                                                                                                                                                                                                                                                   |        |
|--------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
|                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                |        |                                                                                                                                                                                                                                                                                                                                                                  |        |
| Amount required to be spent by the Bank during the year                        |                                                                                                                                                                                                                                                                                                                                                                                                | 529.49 |                                                                                                                                                                                                                                                                                                                                                                  | 425.92 |
| Amount of expenditure incurred                                                 |                                                                                                                                                                                                                                                                                                                                                                                                | 421.66 |                                                                                                                                                                                                                                                                                                                                                                  | 286.92 |
| Accrual towards unspent obligations (shortfall) in relation to ongoing project |                                                                                                                                                                                                                                                                                                                                                                                                | 108.45 |                                                                                                                                                                                                                                                                                                                                                                  | 139.65 |
| Nature of CSR activities                                                       | <ul style="list-style-type: none"> <li>- Lives &amp; Livelihoods</li> <li>- Education</li> <li><b>Others:-</b> <ul style="list-style-type: none"> <li>- Environmental Sustainability</li> <li>- Humanitarian &amp; Relief</li> <li>- Healthcare &amp; Nutrition</li> <li>- Sports</li> <li>- Arts &amp; Culture</li> <li>- Financial Literacy &amp; Financial Inclusion</li> </ul> </li> </ul> |        | <ul style="list-style-type: none"> <li>- Lives &amp; Livelihoods</li> <li>- Education</li> <li><b>Others:-</b> <ul style="list-style-type: none"> <li>- Environmental Sustainability</li> <li>- Humanitarian &amp; Relief</li> <li>- Healthcare &amp; Nutrition</li> <li>- Sports</li> <li>- Financial Literacy &amp; Financial Inclusion</li> </ul> </li> </ul> |        |

- b) Amount spent towards CSR during the year and recognized as expense in the profit and loss account on CSR related activities is ₹530.11 crores (previous year ₹426.57 crores), which comprises of following-

|                                       | 31 March, 2026 |                                                      |        | 31 March, 2025 |                                         |        |
|---------------------------------------|----------------|------------------------------------------------------|--------|----------------|-----------------------------------------|--------|
|                                       | In cash        | Yet to be paid in cash (i.e. provision) <sup>1</sup> | Total  | In cash        | Yet to be paid in cash (i.e. provision) | Total  |
| Construction/acquisition of any asset | -              | -                                                    | -      | -              | -                                       | -      |
| On purpose other than above           | 421.66         | 108.45                                               | 530.11 | 286.92         | 139.65                                  | 426.57 |

1. Transferred to the "Axis Bank Limited-Unspent CSR Account for FY 2025-26" to be utilized towards on-going project(s)/program(s) in line with the provisions of the Companies (Corporate Social Responsibility Policy) Amendment Rules, 2021.

## c) Movement in the provision towards unspent CSR amount

| Particulars                                   | (₹ in crores)  |                |
|-----------------------------------------------|----------------|----------------|
|                                               | 31 March, 2026 | 31 March, 2025 |
| Opening balance at the beginning of the year  | 140.87         | 56.68          |
| Additions during the year                     | 108.45         | 139.65         |
| Reduction during the year                     | (140.84)       | (55.46)        |
| <b>Closing balance at the end of the year</b> | <b>108.48</b>  | <b>140.87</b>  |

**2.13 Disclosure required as per Ministry of Corporate Affairs notification dated 24 March, 2021**

During the year ended 31 March, 2026 and 31 March, 2025, other than the transactions undertaken in the normal course of banking business and in accordance with extant regulatory guidelines and Bank's internal policies, as applicable:

1. the Bank has not granted any advance/loans or investments or provided guarantee or security to any other person(s) or entities with an understanding, whether recorded in writing or otherwise, to further lend or invest on behalf of the Bank or provide guarantee or security or the like to any other person identified by the Bank.
2. the Bank has not received any funds from any person(s) or entities with an understanding, whether recorded in writing or otherwise, that the Bank shall further lend or invest or provide guarantee or security or the like in any other person on behalf of and identified by such person(s)/entities.

**2.14 Description of contingent liabilities****a) Claims against the Bank not acknowledged as debts**

These represent claims filed against the Bank in the normal course of business relating to various legal cases currently in progress. These also include demands raised by tax authorities and other statutory authorities which are disputed by the Bank. The Bank holds provision of ₹925.74 crores as on 31 March, 2026 (previous year ₹896.77 crores) towards claims assessed as probable.

**b) Liability for partly paid investments**

This represents amounts remaining unpaid towards liability for partly paid investments.

**c) Liability on account of forward exchange contracts**

The Bank enters into foreign exchange contracts, including non-deliverable forward (NDF) contracts on its own account and on OTC for customers. Forward exchange contracts are commitments to buy or sell foreign currency at a future date at the contracted rate. A non-deliverable forward contract is a currency derivatives contract to exchange cash flows between the contracted forward exchange rate and prevailing spot rates. The amount of contingent liability represents the notional principal of respective forward exchange contracts. With respect to the transactions entered into with its customers, the Bank generally enters into off-setting transactions in the inter-bank market. This results in generation of a higher number of outstanding transactions, and hence a large value of gross notional principal of the portfolio, while the net market risk is lower.

**d) Liability on account of derivative contracts**

The Bank enters into derivative contracts in the form of currency options/swaps, exchange traded currency options, Non-deliverable derivatives and interest rate/ currency futures on its own account and on OTC for customers. Currency swaps are commitments between two counterparties to exchange streams of interest payments and/or principal amounts in different currencies on specified dates over the duration of the swap at a pre-agreed exchange rate. Interest rate swaps are commitments to exchange fixed and floating interest rate cash flows. Interest rate futures are standardised, exchange-traded contracts that represent a pledge to undertake a certain interest rate transaction at a specified price, on a specified future date. Forward rate agreements (FRA) are financial contracts between two counterparties, in which a buyer will pay or receive, on the settlement date, the difference between a pre-determined fixed rate (FRA rate) and a reference interest rate, applied on a notional principal amount, for a specified forward period. A foreign currency option is an agreement between two parties in which one grants to the other the right to buy or sell a specified amount of currency at a specific price within a specified time period or at a specified future time. An Exchange Traded Currency Option contract is a standardised foreign exchange derivative contract, which gives the buyer the right, but not the obligation, to exchange money denominated in one currency into another currency at a pre-agreed exchange rate on a specified date on the date of expiry. Non-deliverable derivative means an OTC foreign exchange derivative contract in which there is no delivery of the notional amount of the underlying currencies of the contract and which is cash settled. Currency Futures contract is a standardised, exchange-traded contract, to buy or sell a certain underlying currency at a certain date in the future, at a specified price. The amount of contingent liability represents the notional principal of respective derivative contracts. With respect to the transactions entered into with its customers, the Bank generally enters into off-setting transactions in the inter-bank market. This results in generation of a higher number of outstanding transactions, and hence a large value of gross notional principal of the portfolio, while the net market risk is lower.

**e) Guarantees given on behalf of constituents**

As a part of its banking activities, the Bank issues guarantees on behalf of its customers to enhance their credit standing. Guarantees represent irrevocable assurances that the Bank will make payments in the event of the customer failing to fulfil its financial or performance obligations. These are stated net of cash margin held with the Bank as on the reporting date in Schedule 12 – Contingent Liabilities of the Balance Sheet.

**f) Acceptances, endorsements and other obligations**

These include documentary credit issued by the Bank on behalf of its customers and bills drawn by the Bank's customers that are accepted or endorsed by the Bank. These are stated net of cash margin held with the Bank as on the reporting date in Schedule 12 – Contingent Liabilities of the Balance Sheet.

**g) Other items for which the Bank is contingently liable**

Other items represent outstanding amount of bills rediscounted by the Bank, estimated amount of contracts remaining to be executed on capital account, notional principal on account of outstanding Tom/Spot foreign exchange contracts, contracts for purchase of investments where settlement is due post balance sheet date, deed of indemnity issued to liquidator of overseas subsidiary, contingent liability relating to undertakings issued towards settlements under resolution plan in respect of non-performing assets, commitments towards underwriting and investment in equity through bids under Initial Public Offering (IPO) of corporates, commitment for investment in Associate entity and amount transferred to Depositor Education and Awareness Fund (DEAF).

The Bank has a process whereby periodically all long term contracts (including derivative contracts) are assessed for material foreseeable losses. At the year end, the Bank has reviewed and recorded adequate provision as required under any law/ accounting standards for material foreseeable losses on such long term contracts (including derivative contracts) in the books of account and disclosed the same under the relevant notes in the financial statements, where applicable.

**3.** Previous year figures have been regrouped and reclassified, where necessary to conform to current year's presentation.

In terms of our report attached.

**For M M Nissim & Co LLP**

ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants

**Sanjay Khemani**

Partner  
Membership No.: 044577

**For KKC & Associates LLP**

ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants

**Gautam Shah**

Partner  
Membership No.: 117348

Date: 25 April, 2026  
Place: Mumbai

**Amitabh Chaudhry**

Managing Director & CEO  
DIN: 00531120

**Meena Ganesh**

Director  
DIN: 00528252

**Sandeep Poddar**

Company Secretary

**Girish Paranjpe**

Director  
DIN: 02172725

**Mini Ipe**

Director  
DIN: 07791184

**For Axis Bank Ltd.**

**N. S. Vishwanathan**

Independent Director &  
Part-time Chairman  
DIN: 09568559

**Pranam Wahi**

Director  
DIN: 00031914

**Puneet Sharma**

Chief Financial Officer



# Independent Auditor's Report

To  
The Members of Axis Bank Limited  
**Report on the audit of the Consolidated Financial Statements**

## Opinion

1. We have audited the accompanying Consolidated Financial Statements of Axis Bank Limited ('the Holding Company' or 'the Bank'), its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), and its associate, which comprise the Consolidated Balance Sheet as at 31 March 2026, and the Consolidated Profit and Loss Account, and the Consolidated Cash Flow Statement for the year ended on that date, and notes to the Consolidated Financial Statements, including a summary of the significant accounting policies and other explanatory information ('the Consolidated Financial Statements').
2. In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors on separate financial statements and the other financial information of such subsidiaries and associate, the aforesaid Consolidated Financial Statements give the information required by the Banking Regulation Act, 1949, as well as the Companies Act, 2013 ('the Act') and circulars and guidelines issued by the Reserve Bank of India ('RBI'), in the manner so required for banking companies and give a true and fair view in conformity with the Accounting Standards prescribed under section 133 of the Act read with the Companies (Accounting Standards) Rules, 2021 ('AS') and other accounting principles generally accepted in India, of the Consolidated State of Affairs of the Group and its associate at 31 March 2026, and its Consolidated Profit, and its Consolidated Cash Flow for the year ended on that date.

## Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing ('SAs') specified under section 143(10) of the Act. Our responsibilities under those SAs are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group and its associate in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act, and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained along with the consideration of audit reports of the other auditors referred to in the 'Other Matters' paragraph below is sufficient and appropriate to provide a basis for our opinion on the Consolidated Financial Statements.

## Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Financial Statements of the current year. These matters were addressed in the context of our audit of the Consolidated Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the Key Audit Matters:

| S. No. | Key Audit Matter                                                                                                                                                                                                                                                                                                                                                                                      | How the matter was addressed in our audit                                                                                                                                     |
|--------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.     | <b>Information Technology (IT) Systems and controls over financial reporting</b>                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                               |
|        | As the Bank operates on core banking solution across its branches and asset centres, the reliability and security of Information Technology ("IT") systems plays a key role in the business operations. Since large volume of transactions are processed daily, the IT controls are required to ensure that applications process data as expected and that changes are made in an appropriate manner. | In assessing the controls over the IT systems of the Bank, we involved our technology specialists to understand the IT control environment, IT infrastructure and IT systems. |

| S. No. | Key Audit Matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|--------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.     | <p><b>Information Technology (IT) Systems and controls over financial reporting</b></p> <p>IT infrastructure is critical for smooth functioning and accurate accounting and financial reporting process.</p> <p>Due to the pervasive nature and complexity of the IT environment, we have ascertained key IT systems used in financial reporting process and its related controls as a key audit matter.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | <p>We conducted an assessment and identified key IT systems that are critical for accounting and financial reporting process and are relevant for our audit and tested their internal controls. In particular:</p> <ul style="list-style-type: none"> <li>• We obtained an understanding of the Bank's IT control environment and key changes during the audit period that may be relevant to the audit;</li> <li>• We tested the design, implementation and operating effectiveness of the Bank's General IT controls over the key IT systems that are critical to accounting and financial reporting. This included evaluation of Bank's controls for user access management, program change management, database management, network operations, incident management and other IT operations performed by the Bank during the period of audit;</li> <li>• We tested key automated and manual business cycle controls and logic for system generated reports relevant to the audit; and</li> <li>• We also tested compensating controls and performed alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the financial statements.</li> </ul> |
| 2.     | <p><b>Income Recognition, Asset Classification and provisioning on Advances (IRAC) as per the regulatory requirements.</b></p> <p>Total Loans and Advances (Net of Provision) as at 31 March 2026: INR 12,33,569.88 crore</p> <p>Provision for NPAs as at 31 March 2026: INR 10,677.32 crore</p> <p>Refer Schedule 9, Schedule 17(4.3) and Schedule 18(1) - Note 1.4 of the Standalone Financial Statements</p> <p>The Bank is required to comply with the Master Circular issued by the Reserve Bank of India ('RBI') on 'Prudential Norms for Income Recognition, Asset Classification and Provisioning pertaining to Advances' (the 'IRAC norms') and amendments thereto ("RBI guidelines") which prescribes the norms for identification and classification of Non-performing Assets ('NPAs') and the minimum provision required for such assets.</p> <p>The Bank is also required to apply its judgement to determine the identification and provision required against NPAs considering various quantitative as well as qualitative factors.</p> <p>As the identification of and provisioning against NPAs requires considerable level of management estimation, application of various regulatory requirements and its significance to the overall audit due to stakeholder and regulatory focus, we have identified this as a key audit matter.</p> | <p>Our audit approach included testing the design, operating effectiveness of internal controls and substantive audit procedures in respect of income recognition, asset classification and provisioning pertaining to advances. In particular:</p> <ul style="list-style-type: none"> <li>• We have evaluated and understood the Bank's internal control system in adhering to the RBI guidelines;</li> <li>• We have analysed and understood key IT systems/ applications used and tested the design and implementation and operational effectiveness of relevant controls in relation to income recognition, asset classification, viz., standard, sub-standard, doubtful and loss with reference to RBI guidelines and provisioning pertaining to advances; and</li> <li>• We test checked advances to examine the validity and accuracy of the recorded amounts, provision for NPAs, and compliance with IRAC norms of RBI.</li> <li>• Assessed appropriateness &amp; the adequacy of disclosures as per RBI guidelines relating to NPAs.</li> </ul>                                                                                                                                            |

The auditors of Axis Securities Limited, vide their audit report dated 13 April 2026, have expressed an unmodified opinion on the financial statements. Based on consideration of their report, the following Key Audit Matter was included in their audit report.

| S. No. | Key Audit Matter                                                                 | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|--------|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.     | <b>Information Technology (IT) Systems and controls over financial reporting</b> | <p data-bbox="715 389 917 414"><b>Our Audit Approach:</b></p> <p data-bbox="715 433 1455 518">With the assistance of our IT Specialists, we obtained an understanding of the Company's IT Applications, databases and operating systems relevant to the financial reporting and the control environment.</p> <p data-bbox="715 536 1455 650">Our audit approach was combination of test of internal controls and substantive procedures on the areas of the IT infrastructure, which majorly focused access security (including controls over privileged access), program change controls, database management and network operations.</p> <p data-bbox="715 669 1165 694">In particular, our activity included the following:</p> <p data-bbox="715 712 1235 737"><b>General IT controls design, observation and operation</b></p> <ul data-bbox="715 756 1455 944" style="list-style-type: none"> <li>• Understood the changes made in the IT environment during the year and ascertained its effect on the financial statements controls and accounts.</li> <li>• Tested key controls operating over the information technology in relation to financial accounting and reporting systems, including system access and system change management, program development and computer operations.</li> </ul> <p data-bbox="715 963 1018 988"><b>User access controls operation:</b></p> <ul data-bbox="715 1006 1455 1168" style="list-style-type: none"> <li>• Obtained management's evaluation of the access rights granted to applications relevant to financial accounting and reporting systems and tested resolution of a sample of expectations.</li> <li>• Further, we assessed the operating effectiveness of controls over granting, removal and appropriateness of access rights.</li> </ul> <p data-bbox="715 1187 919 1212"><b>Application controls:</b></p> <ul data-bbox="715 1230 1455 1699" style="list-style-type: none"> <li>• We tested the design and operating effectiveness of automated controls critical to financial accounting and reporting.</li> <li>• For any identified deficiencies, tested the design and operating effectiveness of compensating controls and, where necessary, extended the scope of our substantive audit procedures.</li> <li>• Our tests also included testing of the compensating controls or alternate procedures to assess whether there were any unaddressed IT risks that would materiality impact the Financial Statements.</li> <li>• Considered the reports for certain applications on test check basis, as issued by the professional consultants with respect to VAPT testing done on such applications.</li> <li>• Considered the reports issued by the professional consultants with respect to Information Systems (IS) Audit and IT Infrastructure of the Company and of certain applications at group level relevant for the Company.</li> </ul> |

The auditors of Axis Finance Limited, vide their audit report dated 17 April 2026, have expressed an unmodified opinion on the financial statements. Based on consideration of their report, the following Key Audit Matter was included in their audit report.

| S. No. | Key Audit Matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.     | <p><b>Information Technology (IT) Systems and controls over financial reporting</b></p> <p>The Company's key financial accounting and reporting processes are highly dependent on the automated controls over the Company's information system, such that there exists a risk that gaps in the Information Technology General Control environment could result in a misstatement in the financial accounting and reporting records. Proper IT general and application controls are essential to ensure accurate, complete and consistent data processing for reliable financial reporting.</p> <p>Accordingly, we have considered user access management, segregation of duties and control over system change over key financial accounting and reporting systems, as a key audit matter.</p> | <p><b>Our Audit Approach:</b></p> <p>With the assistance of our IT Specialists, we obtained an understanding of the Company's IT Applications, databases and operating systems relevant to the financial reporting and the control environment.</p> <p>Our audit approach was combination of test of internal controls and substantive procedures on the areas of the IT infrastructure, which majorly focused access security (including controls over privileged access), program change controls, database management and network operations.</p> <p>In particular, our activity included the following:</p> <p><b>General IT controls design, observation and operation:</b></p> <ul style="list-style-type: none"> <li>Understood the changes made in the IT environment during the year and ascertained its effect on the financial statements controls and accounts.</li> <li>Tested key controls operating over the information technology in relation to financial accounting and reporting systems, including system access and system change management, program development and computer operations.</li> </ul> <p><b>User access controls operation:</b></p> <ul style="list-style-type: none"> <li>Obtained management's evaluation of the access rights granted to applications relevant to financial accounting and reporting systems and tested resolution of a sample of expectations.</li> <li>Further, we assessed the operating effectiveness of controls over granting, removal and appropriateness of access rights.</li> </ul> <p><b>Application controls:</b></p> <ul style="list-style-type: none"> <li>We tested the design and operating effectiveness of automated controls critical to financial accounting and reporting.</li> <li>For any identified deficiencies, tested the design and operating effectiveness of compensating controls and, where necessary, extended the scope of our substantive audit procedures.</li> <li>Our tests also included testing of the compensating controls or alternate procedures to assess whether there were any unaddressed IT risks that would materially impact the Financial Statements.</li> </ul> |

## Other Information

- The Bank's Board of Directors are responsible for the other information. The Other Information comprises the information included in the Annual Report but does not include the Consolidated Financial Statements and our Auditors' Report thereon. The Other Information is expected to be made available to us after the date of this Auditors' Report.
- Our opinion on the Consolidated Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

8. When we read the other information, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

#### **Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements**

9. The Bank's Management and Board of Directors are responsible for the preparation and presentation of these Consolidated Financial Statements in term of the requirements of the Act, that give a true and fair view of the Consolidated State of Affairs, Consolidated Profit and Consolidated Cash Flows of the Group in accordance with the Accounting Standards specified under section 133 of the Act read with the Companies (Accounting Standards) Rules, 2021, and other accounting principles generally accepted in India and provisions of section 29 of the Banking Regulation Act, 1949 and circulars and guidelines issued by the RBI from time to time ('RBI Guidelines'). The respective Board of Directors of the companies included in the Group and of its associate are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act and the RBI Guidelines for safeguarding of the assets of the Group of its associates and for preventing and detecting frauds and other irregularities; selection of the appropriate accounting software for ensuring compliance with applicable laws and regulations including those related to retention of audit logs; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of the Consolidated Financial Statements by the Management and directors of the Bank, as aforesaid.
10. In preparing the Consolidated Financial Statements, the respective Management and the Board of Directors of the companies included in the Group and of its associate are responsible for assessing the ability of each company to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management and the Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.
11. The respective Board of Directors of the companies included in the Group and of its associate are responsible for overseeing the financial reporting process of the respective companies included in the Group and associate.

#### **Auditor's Responsibilities for the Audit of the Consolidated Financial Statements**

12. Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.
13. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
  - 13.1. Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
  - 13.2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Bank has adequate internal financial controls with reference to the Consolidated Financial Statements and the operating effectiveness of such controls.
  - 13.3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management.

- 13.4. Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associate to cease to continue as a going concern.
- 13.5. Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- 13.6. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associate to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the Consolidated Financial Statements of which we are the independent auditors. For the other entities included in the Consolidated Financial Statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.
14. We communicate with those charged with governance of the Bank regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
15. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
16. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current year and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

### Other Matters

17. We did not audit the Financial Statements of nine subsidiaries and two stepdown subsidiaries, whose financial statements reflect total assets (before consolidation adjustments) of ₹65,903.06 crore as at 31 March 2026, total revenues (before consolidation adjustments) of ₹9,608.77 crore, total net profit after tax (before consolidation adjustments) of ₹2,051.19 crore and net cash inflows (before consolidation adjustments) amounting to ₹320.88 crore for the year ended on that date, as considered in the Consolidated Financial Statements. These financial statements have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, and our report in terms of section 143(3) of the Act, in so far as it relates to the aforesaid subsidiaries, is based solely on the reports of the other auditors. Further, of these subsidiaries, one subsidiary is located outside India whose financial statements have been prepared in accordance with accounting principles generally accepted in that country and which has been audited by its auditors under generally accepted auditing standards applicable in that country. The Parent's management has converted the financial statements of such subsidiary from generally accepted accounting principles applicable in that country to generally accepted accounting principles applicable in India. Our audit report in so far as it relates to the balances and affairs of such subsidiary located outside India, is based on the report of other auditor. According to the information and explanations given to us by the Management, the financial statements of this subsidiary are not material to the Group. Our opinion is not modified in respect of these matters.
18. We did not audit the financial statements of one subsidiary, whose financial statements reflect total assets (before consolidation adjustments) of ₹10.86 crore as at 31 March 2026, total revenues (before consolidation adjustments) of ₹0.16 crore, total net profit after tax (before consolidation adjustments) of ₹0.98 crore and net cash flows amounting (before consolidation adjustments) to ₹2.54 crore for the year ended on that date, as considered in the Consolidated



Financial Statements. These financial statements are unaudited and have been furnished to us by the Board of Directors and our opinion on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of this subsidiary, and our report in terms of section 143(3) of the Act in so far as it relates to the aforesaid subsidiary, is based solely on such unaudited financial statements. This subsidiary is located outside India, whose financial statements have been prepared in accordance with accounting principles generally accepted in its country. The Parent's management has converted the financial results of such subsidiary from generally accepted accounting principles applicable in its country to generally accepted accounting principles applicable in India. According to the information and explanations given to us by the management, the financial statements of this subsidiary are not material to the Group. Our opinion is not modified in respect of this matter.

19. The Consolidated Financial Statements also include the Group's share of net profit of ₹54.09 crore for the year ended 31 March 2026, as considered in the Consolidated Financial Statements, in respect of one associate based on management's best estimate in the absence of the financial information which has been relied upon by us. According to the information and explanations given to us by the Management, the financial information of the associate is not material to the group.
20. Our opinion on the Consolidated Financial Statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements certified by the Management.

#### **Report on Other Legal and Regulatory Requirements**

21. In our opinion, the Consolidated Balance Sheet and the Consolidated Profit And Loss Account have been drawn up in accordance with the provisions of section 29 of the Banking Regulation Act, 1949 and section 133 of the Act.
22. Further, as required by Section 143(3) of the Act, based on our audit and on the consideration of the reports of the other auditors on separate financial statements and other financial information of the subsidiaries and associates, we report, to the extent applicable, that:
  - 22.1. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.
  - 22.2. In our opinion, proper books of accounts as required by law relating to preparation of the aforesaid Consolidated Financial Statements have been kept so far as it appears from our examination of those books and the reports of the other auditors except for the matters stated in paragraph 23.8 below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).
  - 22.3. The Consolidated Balance Sheet, the Consolidated Profit and Loss account, and the Consolidated Cash Flow Statement dealt with by this report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements.
  - 22.4. In our opinion, the aforesaid Consolidated Financial Statements comply with the Accounting Standards specified under Section 133 of the Act read with the relevant rules thereunder to the extent they are not inconsistent with the accounting policies prescribed by the RBI.
  - 22.5. On the basis of the written representations received from the directors of the Bank as on 31 March 2026 taken on record by the Board of Directors of the Bank and the reports of the statutory auditors of its subsidiary companies incorporated in India, none of the directors of the Group companies incorporated in India are disqualified as on 31 March 2026 from being appointed as a director in terms of Section 164(2) of the Act.
  - 22.6. The observation relating to the maintenance of accounts and other matters connected therewith as stated in the paragraph 22.2 above on reporting under Section 143(3)(b) of the Act and paragraph 23.8 below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).
  - 22.7. With respect to the adequacy of internal financial controls with reference to Consolidated Financial Statements of the Bank, its subsidiary companies incorporated in India and the operating effectiveness of such controls, refer to our separate report in 'Annexure A'.

- 22.8. In our opinion and according to the information and explanation given to us and based on reports of the statutory auditors of such subsidiary companies incorporated in India which were not audited by us, except in case of an associate which is unaudited, the remuneration paid during the current year by the subsidiaries incorporated in India to its directors is in accordance with the provisions of and the limits laid down under section 197 of the Act. The remuneration paid to any director by the subsidiary companies incorporated in India is not in excess of limit laid down under section 197 of the Act. Further, since the Bank is a banking company, as defined under Banking Regulation Act, 1949, the reporting under section 197(16) in relation to whether the remuneration paid by the Bank is in accordance with the provisions of section 197 of the Act and whether any excess remuneration has been paid in accordance with the aforesaid section, is not applicable.
23. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of audit reports of other auditors on separate financial statements of such subsidiaries as noted in the 'Other Matters' paragraph:
- 23.1. The consolidated financial statements disclose the impact of pending litigations as at 31 March 2026 on the consolidated financial position of the Group, its associate – Refer Schedule 12 to the consolidated financial statements.
- 23.2. Provision has been made in the Consolidated Financial Statements, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Schedule 5 and 12 read with Note No. 1.18 of Schedule 18 to the Consolidated Financial Statements in respect of such items as it relates to the Group, its associate and the Group's share of net profit in respect of its associate.
- 23.3. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Bank and its subsidiary companies incorporated in India during the year ended 31 March 2026.
- 23.4. The respective managements of the Bank and its subsidiaries in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively, to best of their knowledge and belief, that no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Bank or any of such subsidiaries to or in any other person(s) or entity(ies), including foreign entities ('Intermediaries'), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Bank or any of such subsidiaries ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- 23.5. The respective managements of the Bank and its subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively, to best of their knowledge and belief, that no funds have been received by the Bank or any of such subsidiaries from any person(s) or entity(ies), including foreign entities ('Funding Parties'), with the understanding, whether recorded in writing or otherwise, that the Bank or any of such subsidiaries shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- 23.6. Based on such audit procedures, that have been considered reasonable and appropriate in the circumstances, performed by us and those performed by auditors of the subsidiaries incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or other auditors to believe that the representation under sub clause (i) and (ii) of Rule 11(e), as provided under para 23.4 and 23.5 above, contain any material misstatement.
- 23.7. In our opinion and according to the information and explanations given to us, the dividend declared and / or paid during the year by the Bank is in compliance with Section 123 of the Act.



- 23.8. Based on our examination, which included test checks, and that performed by the respective auditors of the subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act, except in case of an associate which is unaudited, the Bank and its subsidiaries have used various accounting software for maintaining its books of account which have a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit, we and respective auditors of the above referred subsidiaries did not come across any instance of audit trail feature being tampered with.

Additionally, the audit trail has been preserved by the Bank and above referred subsidiaries as per the statutory requirements for record retention except in case of 1 subsidiary where the respective Component auditors has reported that for the periods of previous financial year the audit trail feature was not enabled for certain software.

**For M M NISSIM & CO LLP**

Chartered Accountants

Firm Registration Number: 107122W/W100672

**For KKC & Associates LLP**

Chartered Accountants

(formerly Khimji Kunverji & Co LLP)

Firm Registration Number: 105146W/W100621

**Sanjay Khemani**

Partner

ICAI Membership No.: 044577

UDIN: 26044577VVKATV8608

Place: Mumbai

Date: 25 April, 2026

**Gautam Shah**

Partner

ICAI Membership No.: 117348

UDIN: 26117348EQKRFM7106

Place: Mumbai

Date: 25 April, 2026

## **Annexure 'A' to the Independent Auditors' report on the Consolidated Financial Statements of Axis Bank Limited for the year ended 31 March 2026**

(Referred to in paragraph '22.7' under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

### **Report on the Internal Financial Controls with reference to the aforesaid Consolidated Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')**

#### **Opinion**

1. In conjunction with our audit of the Consolidated Financial Statements of Axis Bank Limited as of and for the year ended 31 March 2026, we have audited the internal financial controls with reference to the Consolidated Financial Statements of Axis Bank Limited ('Bank') and its subsidiary companies which are companies incorporated in India, as of that date.
2. In our opinion, the Bank, and its subsidiary companies which are companies incorporated in India, have, in all material respects, an adequate internal financial controls with reference to the Consolidated Financial Statements and such internal financial controls were operating effectively as at 31 March 2026, based on the internal controls over financial reporting criteria established by the respective companies considering the essential components of such internal controls stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('the Guidance Note').

#### **Management's responsibility for Internal Financial Controls**

3. The respective Board of Directors of the Bank, its subsidiary companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls with reference to consolidated financial statements based on the internal controls over financial reporting criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

#### **Auditor's responsibility**

4. Our responsibility is to express an opinion on the Bank, its subsidiaries, which are companies incorporated in India, internal financial controls with reference to the Consolidated Financial Statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing ('SA'), prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to the Consolidated Financial Statements. Those SAs and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to the Consolidated Financial Statements were established and maintained and if such controls operated effectively in all material respects.
5. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the Consolidated Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to the Consolidated Financial Statements included obtaining an understanding of internal financial controls with reference to the Consolidated Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of the internal controls based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error.
6. We believe that the audit evidence we have obtained, and the audit evidence obtained by the other auditors in terms of their reports referred to in the 'Other Matters' paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to the Consolidated Financial Statements.



### Meaning of Internal Financial Controls with reference to the Consolidated Financial Statements

7. A company's internal financial controls with reference to the Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to the Consolidated Financial Statements includes those policies and procedures that
- (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
  - (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and
  - (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

### Inherent Limitations of Internal Financial Controls with reference to the Consolidated Financial Statements

8. Because of the inherent limitations of internal financial controls with reference to the Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to the Consolidated Financial Statements to future periods are subject to the risk that the internal financial controls with reference to the Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

### Other Matters

9. Our aforesaid report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls system with reference to the Consolidated Financial Statements in so far as it relates to nine subsidiaries and one Stepdown Subsidiary, which are companies incorporated in India, is based on the corresponding reports of the auditors of such subsidiaries.

#### For M M NISSIM & CO LLP

Chartered Accountants

Firm Registration Number: 107122W/W100672

#### For KKC & Associates LLP

Chartered Accountants

(formerly Khimji Kunverji & Co LLP)

Firm Registration Number: 105146W/W100621

#### Sanjay Khemani

Partner

ICAI Membership No.: 044577

UDIN: 26044577VVKATV8608

Place: Mumbai

Date: 25 April, 2026

#### Gautam Shah

Partner

ICAI Membership No.: 117348

UDIN: 26117348EQKRFM7106

Place: Mumbai

Date: 25 April, 2026

# Consolidated Balance Sheet

As on 31 March, 2026

(₹ in crores)

|                                                        | Schedule No. | As on 31-03-2026    | As on 31-03-2025    |
|--------------------------------------------------------|--------------|---------------------|---------------------|
| <b>Capital and Liabilities</b>                         |              |                     |                     |
| Capital                                                | 1            | 621.63              | 619.47              |
| Employees' Stock Options/Units Outstanding             | 1A           | 1,456.43            | 1,182.66            |
| Reserves & Surplus                                     | 2            | 212,957.29          | 185,433.36          |
| Minority Interest                                      | 2A           | 798.19              | 635.13              |
| Deposits                                               | 3            | 1,333,791.44        | 1,170,920.89        |
| Borrowings                                             | 4            | 280,510.62          | 220,686.75          |
| Other Liabilities and Provisions                       | 5            | 115,914.69          | 77,484.35           |
| <b>Total capital and liabilities</b>                   |              | <b>1,946,050.29</b> | <b>1,656,962.61</b> |
| <b>Assets</b>                                          |              |                     |                     |
| Cash and Balances with Reserve Bank of India           | 6            | 78,627.37           | 73,638.44           |
| Balances with Banks and Money at Call and Short Notice | 7            | 30,724.20           | 29,060.26           |
| Investments                                            | 8            | 446,422.18          | 396,685.07          |
| Advances                                               | 9            | 1,282,392.17        | 1,081,229.47        |
| Fixed Assets                                           | 10           | 6,756.03            | 6,492.08            |
| Other Assets                                           | 11           | 100,839.10          | 69,568.05           |
| Goodwill on Consolidation                              |              | 289.24              | 289.24              |
| <b>Total Assets</b>                                    |              | <b>1,946,050.29</b> | <b>1,656,962.61</b> |
| Contingent Liabilities                                 | 12           | 3,031,841.24        | 2,878,200.52        |
| Bills for Collection                                   |              | 90,282.85           | 76,931.20           |
| Significant Accounting Policies and Notes to Accounts  | 17 & 18      |                     |                     |

Schedules referred to above form an integral part of the Consolidated Balance Sheet

In terms of our report attached.

**For M M Nissim & Co LLP**ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants**Sanjay Khemani**Partner  
Membership No.: 044577**For KKC & Associates LLP**ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants**Gautam Shah**Partner  
Membership No.: 117348

Date: 25 April, 2026

Place: Mumbai

**Amitabh Chaudhry**Managing Director & CEO  
DIN: 00531120**Meena Ganesh**Director  
DIN: 00528252**Sandeep Poddar**

Company Secretary

**Girish Paranjpe**Director  
DIN: 02172725**Mini Ipe**Director  
DIN: 07791184**For Axis Bank Ltd.****N. S. Vishwanathan**Independent Director &  
Part-time Chairman  
DIN: 09568559**Pranam Wahi**Director  
DIN: 00031914**Puneet Sharma**

Chief Financial Officer





# Consolidated Profit and Loss Account

For the year ended 31 March, 2026

(₹ in crores)

|                                                                         | Schedule No. | Year ended 31-03-2026 | Year ended 31-03-2025 |
|-------------------------------------------------------------------------|--------------|-----------------------|-----------------------|
| <b>I Income</b>                                                         |              |                       |                       |
| Interest earned                                                         | 13           | 132,538.24            | 127,374.09            |
| Other income                                                            | 14           | 29,673.71             | 28,542.77             |
| <b>Total Income</b>                                                     |              | <b>162,211.95</b>     | <b>155,916.86</b>     |
| <b>II Expenditure</b>                                                   |              |                       |                       |
| Interest expended                                                       | 15           | 74,074.99             | 71,036.31             |
| Operating expenses                                                      | 16           | 42,226.41             | 39,992.04             |
| Provisions and contingencies                                            | 18 (1.1)     | 19,416.73             | 16,776.77             |
| <b>Total Expenditure</b>                                                |              | <b>135,718.13</b>     | <b>127,805.12</b>     |
| <b>III Net Profit For The Year</b>                                      |              | <b>26,493.82</b>      | <b>28,111.74</b>      |
| Share of earnings/(loss) in Associate                                   |              | 54.09                 | 79.06                 |
| Consolidated net profit for the year before deducting minority interest |              | 26,547.91             | 28,190.80             |
| Minority interest                                                       |              | (163.06)              | (135.69)              |
| <b>IV Consolidated Net Profit For The Year Attributable to Group</b>    |              | <b>26,384.85</b>      | <b>28,055.11</b>      |
| Brought forward consolidated profit/(loss) attributable to the Group    |              | 84,814.08             | 65,281.17             |
| <b>V Amount Available For Appropriation/Transfers</b>                   |              | <b>111,198.93</b>     | <b>93,336.28</b>      |
| <b>VI Appropriations/Transfers:</b>                                     |              |                       |                       |
| Transfer to Statutory Reserve                                           |              | 6,114.16              | 6,593.37              |
| Transfer to Special Reserve                                             |              | 976.81                | 1,024.73              |
| Transfer to General Reserve                                             |              | 4.07                  | 2.16                  |
| Transfer to Capital Reserve                                             |              | 506.52                | 214.35                |
| Transfer to Reserve Fund u/s 45 IC of RBI Act, 1934                     |              | 162.40                | 130.50                |
| Transfer to Reserve for Net Worth requirement                           |              | 23.65                 | -                     |
| Transfer to Investment Fluctuation Reserve                              |              | 136.00                | 248.00                |
| Dividend paid during the year                                           | 18 (1.6)     | 310.14                | 309.09                |
| Balance carried over to Consolidated Balance sheet                      |              | 102,965.18            | 84,814.08             |
| <b>Total</b>                                                            |              | <b>111,198.93</b>     | <b>93,336.28</b>      |
| <b>VII Earnings Per Equity Share (Face Value ₹2/- Per Share)</b>        | 18 (1.4)     |                       |                       |
| Basic (In ₹)                                                            |              | 85.04                 | 90.72                 |
| Diluted (In ₹)                                                          |              | 84.48                 | 90.18                 |
| Significant Accounting Policies and Notes to Accounts                   | 17 & 18      |                       |                       |

Schedules referred to above form an integral part of the Consolidated Profit and Loss Account

In terms of our report attached.

## For M M Nissim & Co LLP

ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants

## Sanjay Khemani

Partner  
Membership No.: 044577

## For KKC & Associates LLP

ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants

## Gautam Shah

Partner  
Membership No.: 117348

Date: 25 April, 2026

Place: Mumbai

## Amitabh Chaudhry

Managing Director & CEO  
DIN: 00531120

## Meena Ganesh

Director  
DIN: 00528252

## Sandeep Poddar

Company Secretary

## Girish Paranjpe

Director  
DIN: 02172725

## Mini Ipe

Director  
DIN: 07791184

## For Axis Bank Ltd.

## N. S. Vishwanathan

Independent Director &  
Part-time Chairman  
DIN: 09568559

## Pranam Wahi

Director  
DIN: 00031914

## Puneet Sharma

Chief Financial Officer

# Consolidated Cash Flow Statement

For the year Ended 31 March, 2026

(₹ in crores)

|                                                                                                       |       | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|-------------------------------------------------------------------------------------------------------|-------|--------------------------|--------------------------|
| <b>Cash flow from/(used in) operating activities</b>                                                  |       |                          |                          |
| <b>Net profit before taxes</b>                                                                        |       | 32,130.41                | 36,586.47                |
| <b>Adjustments for:</b>                                                                               |       |                          |                          |
| Depreciation and amortisation on fixed assets, intangibles and goodwill                               |       | 1,892.93                 | 1,766.97                 |
| Mark-to-Market (gain)/loss on investments                                                             |       | 875.28                   | (700.52)                 |
| Amortisation of premium/discount on investments                                                       |       | 930.92                   | 651.60                   |
| Provision for Non Performing Assets (including bad debts)/restructured assets                         |       | 13,350.18                | 11,643.69                |
| Provision on standard assets and other contingencies                                                  |       | 3856.56                  | 349.86                   |
| Profit/(Loss) on sale of land, buildings and other assets (net)                                       |       | -3.79                    | 10.29                    |
| Employee stock options/units expense                                                                  |       | 483.38                   | 430.54                   |
|                                                                                                       | (i)   | <b>53,515.87</b>         | <b>50,738.90</b>         |
| <b>Adjustments for:</b>                                                                               |       |                          |                          |
| (Increase)/Decrease in investments                                                                    |       | (8,199.98)               | (13,441.73)              |
| (Increase)/Decrease in advances                                                                       |       | (214,445.20)             | (93,762.98)              |
| Increase /(Decrease) in deposits                                                                      |       | 162,870.54               | 103,818.49               |
| (Increase)/Decrease in other assets                                                                   |       | (29,455.57)              | (5,449.90)               |
| Increase/(Decrease) in other liabilities & provisions                                                 |       | 34,013.91                | 10,628.91                |
|                                                                                                       | (ii)  | <b>(55,216.30)</b>       | <b>1,792.79</b>          |
| Direct taxes paid                                                                                     | (iii) | (6,936.28)               | (8,148.01)               |
| <b>Net cash flow from/(used in) operating activities (i)+(ii)+(iii)</b>                               | (A)   | <b>(8,636.71)</b>        | <b>44,383.68</b>         |
| <b>Cash flow from/(used in) investing activities</b>                                                  |       |                          |                          |
| Purchase of fixed assets                                                                              |       | (2,210.00)               | (2,445.54)               |
| (Increase)/Decrease in Held to Maturity investments                                                   |       | (43,757.32)              | (47,170.10)              |
| Increase in investment in Associate                                                                   |       | -                        | (1,612.00)               |
| Proceeds from sale of fixed assets                                                                    |       | 50.02                    | 12.51                    |
| <b>Net cash from/(used in) investing activities</b>                                                   | (B)   | <b>(45,917.30)</b>       | <b>(51,215.13)</b>       |
| <b>Cash flow from/(used in) financing activities</b>                                                  |       |                          |                          |
| Proceeds from issue of subordinated debt, Additional Tier I instruments                               |       | -                        | -                        |
| Repayment of subordinated debt, Additional Tier I instruments                                         |       | (852.75)                 | (826.45)                 |
| Increase/(Decrease) in borrowings (other than subordinated debt, Additional Tier I instruments (net)) |       | 60,676.62                | (6,686.35)               |
| Proceeds from issue of share capital                                                                  |       | 2.16                     | 2.16                     |
| Proceeds from share premium (net of share issue expenses)                                             |       | 678.72                   | 683.68                   |
| Payment of dividend                                                                                   |       | (310.14)                 | (309.09)                 |
| Increase in minority interest                                                                         |       | 163.06                   | 135.69                   |
| <b>Net cash generated from/(used in) financing activities</b>                                         | (C)   | <b>60,357.67</b>         | <b>(7,000.36)</b>        |



(₹ in crores)

|                                                                                                                                           |     | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|-------------------------------------------------------------------------------------------------------------------------------------------|-----|--------------------------|--------------------------|
| Effect of exchange fluctuation translation reserve                                                                                        | (D) | 849.21                   | 37.33                    |
| <b>Net increase in cash and cash equivalents (A)+(B)+(C)+(D)</b>                                                                          |     | <b>6,652.87</b>          | <b>(13,794.48)</b>       |
| Cash and cash equivalents at the beginning of the year                                                                                    |     | 102,698.70               | 116,493.18               |
| <b>Cash and cash equivalents at the end of the year</b>                                                                                   |     | <b>109,351.57</b>        | <b>102,698.70</b>        |
| Notes to the Cash Flow Statement:                                                                                                         |     |                          |                          |
| 1. Cash and cash equivalents includes the following                                                                                       |     |                          |                          |
| Cash and Balances with Reserve Bank of India (Refer Schedule 6)                                                                           |     | 78,627.37                | 73,638.44                |
| Balances with Banks and Money at Call and Short Notice (Refer Schedule 7)                                                                 |     | 30,724.20                | 29,060.26                |
| Cash and cash equivalents at the end of the year                                                                                          |     | <b>109,351.57</b>        | <b>102,698.70</b>        |
| 2. Amount of Corporate Social Responsibility related expenses spent during the year in cash ₹464.27 crores (previous year ₹324.26 crores) |     |                          |                          |

In terms of our report attached.

**For M M Nissim & Co LLP**

ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants

**Sanjay Khemani**

Partner  
Membership No.: 044577

**For KKC & Associates LLP**

ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants

**Gautam Shah**

Partner  
Membership No.: 117348

Date: 25 April, 2026  
Place: Mumbai

**Amitabh Chaudhry**

Managing Director & CEO  
DIN: 00531120

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Director  
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Company Secretary

**Girish Paranjpe**

Director  
DIN: 02172725

**Mini Ipe**

Director  
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**For Axis Bank Ltd.**

**N. S. Vishwanathan**

Independent Director &  
Part-time Chairman  
DIN: 09568559

**Pranam Wahi**

Director  
DIN: 00031914

**Puneet Sharma**

Chief Financial Officer

# Schedules forming part of the Consolidated Balance Sheet

As on 31 March, 2026

## Schedule 1 - Capital

(₹ in crores)

|                                                                                        | As on<br>31-03-2026 | As on<br>31-03-2025 |
|----------------------------------------------------------------------------------------|---------------------|---------------------|
| <b>Authorised Capital</b>                                                              |                     |                     |
| 4,250,000,000 (Previous year - 4,250,000,000) Equity Shares of ₹2/- each               | 850.00              | 850.00              |
| <b>Issued, Subscribed and Paid-up Capital</b>                                          |                     |                     |
| 3,108,172,638 (Previous year - 3,097,369,066) Equity Shares of ₹2/- each fully paid-up | 621.63              | 619.47              |

## Schedule 1A - Employees' Stock Options/Units Outstanding

(₹ in crores)

|                                         | As on<br>31-03-2026 | As on<br>31-03-2025 |
|-----------------------------------------|---------------------|---------------------|
| <b>I. Opening Balance</b>               | 1,182.66            | 894.49              |
| Additions during the year <sup>1</sup>  | 483.38              | 430.53              |
| Deductions during the year <sup>2</sup> | (209.61)            | (142.36)            |
| <b>Closing Balance</b>                  | <b>1,456.43</b>     | <b>1,182.66</b>     |

- Represents cost of employee stock options/units recognised during the year
- Represents amount transferred to share premium on account of exercise of employee stock options/units and to General Reserve on lapse of employee stock options

## Schedule 2 - Reserves And Surplus

(₹ in crores)

|                                                    | As on<br>31-03-2026 | As on<br>31-03-2025 |
|----------------------------------------------------|---------------------|---------------------|
| <b>I. Statutory Reserve</b>                        |                     |                     |
| Opening Balance                                    | 33,259.07           | 26,665.70           |
| Additions during the year                          | 6,114.16            | 6,593.37            |
| Deductions during the year                         | -                   | -                   |
| <b>Closing Balance</b>                             | <b>39,373.23</b>    | <b>33,259.07</b>    |
| <b>II. Capital Reserve</b>                         |                     |                     |
| Opening Balance                                    | 4,143.97            | 3,929.62            |
| Additions during the year                          | 506.52              | 214.35              |
| Deductions during the year                         | -                   | -                   |
| <b>Closing Balance</b>                             | <b>4,650.49</b>     | <b>4,143.97</b>     |
| <b>III. Share Premium Account</b>                  |                     |                     |
| Opening Balance                                    | 53,358.07           | 52,540.00           |
| Additions during the year                          | 885.79              | 818.10              |
| Less: Share issue expenses                         | -                   | (0.03)              |
| <b>Closing Balance</b>                             | <b>54,243.86</b>    | <b>53,358.07</b>    |
| <b>IV. Reserve Fund u/s 45 IC of RBI Act, 1934</b> |                     |                     |
| Opening Balance                                    | 685.67              | 555.17              |
| Additions during the year                          | 162.40              | 130.50              |
| Deductions during the year                         | -                   | -                   |
| <b>Closing Balance</b>                             | <b>848.07</b>       | <b>685.67</b>       |



# Schedules forming part of the Consolidated Balance Sheet

As on 31 March, 2026

|                                                                           | As on<br>31-03-2026 | (₹ in crores)<br>As on<br>31-03-2025 |
|---------------------------------------------------------------------------|---------------------|--------------------------------------|
| <b>V. Revenue and Other Reserves</b>                                      |                     |                                      |
| <b>(A) Special Reserve</b>                                                |                     |                                      |
| Opening Balance                                                           | 3,443.05            | 2,418.32                             |
| Additions during the year                                                 | 976.81              | 1,024.73                             |
| Deductions during the year                                                | -                   | -                                    |
| <b>Closing Balance</b>                                                    | <b>4,419.86</b>     | <b>3,443.05</b>                      |
| <b>(B) Investment Reserve Account</b>                                     |                     |                                      |
| Opening balance                                                           | -                   | 242.29                               |
| Additions during the year                                                 | -                   | -                                    |
| Deductions during the year                                                | -                   | (242.29)                             |
| <b>Closing Balance</b>                                                    | <b>-</b>            | <b>-</b>                             |
| <b>(C) General Reserve</b>                                                |                     |                                      |
| Opening Balance                                                           | 1,907.32            | 437.04                               |
| Additions during the year                                                 | 6.66                | 1,470.28                             |
| Deductions during the year                                                | -                   | -                                    |
| <b>Closing Balance</b>                                                    | <b>1,913.98</b>     | <b>1,907.32</b>                      |
| <b>(D) Foreign Currency Translation Reserve [Refer Schedule 17 (4.7)]</b> |                     |                                      |
| Opening Balance                                                           | 818.75              | 781.41                               |
| Additions during the year                                                 | 849.16              | 37.34                                |
| Deductions during the year                                                | -                   | -                                    |
| <b>Closing Balance</b>                                                    | <b>1,667.91</b>     | <b>818.75</b>                        |
| <b>(E) Investment Fluctuation Reserve</b>                                 |                     |                                      |
| Opening Balance                                                           | 2,909.00            | 2,661.00                             |
| Additions during the year                                                 | 136.00              | 248.00                               |
| Deductions during the year                                                | -                   | -                                    |
| <b>Closing Balance</b>                                                    | <b>3,045.00</b>     | <b>2,909.00</b>                      |
| <b>(F) Available for Sale (AFS) Reserve</b>                               |                     |                                      |
| Opening Balance                                                           | 110.39              | -                                    |
| Additions during the year                                                 | -                   | 110.39                               |
| Deductions during the year                                                | (301.00)            | -                                    |
| <b>Closing Balance</b>                                                    | <b>(190.61)</b>     | <b>110.39</b>                        |
| <b>(G) Cash Flow Hedge Reserve</b>                                        |                     |                                      |
| Opening Balance                                                           | (16.01)             | -                                    |
| Additions during the year                                                 | 12.68               | -                                    |
| Deductions during the year                                                | -                   | (16.01)                              |
| <b>Closing Balance</b>                                                    | <b>(3.33)</b>       | <b>(16.01)</b>                       |
| <b>(H) Reserve for Net Worth requirement<sup>1</sup></b>                  |                     |                                      |
| Opening Balance                                                           | -                   | -                                    |
| Additions during the year                                                 | 23.65               | -                                    |
| Deductions during the year                                                | -                   | -                                    |
| <b>Closing Balance</b>                                                    | <b>23.65</b>        | <b>-</b>                             |
| <b>VI. Balance in Profit &amp; Loss Account brought forward</b>           | <b>102,965.18</b>   | <b>84,814.08</b>                     |
| <b>Total</b>                                                              | <b>212,957.29</b>   | <b>185,433.36</b>                    |

1. For trusteeship business

# Schedules forming part of the Consolidated Balance Sheet

As on 31 March, 2026

## Schedule 2A - Minority Interest

(₹ in crores)

|                                                                                                  | As on<br>31-03-2026 | As on<br>31-03-2025 |
|--------------------------------------------------------------------------------------------------|---------------------|---------------------|
| I. Minority Interest at the date on which the parent-subsidiary relationship came into existence | 40.23               | 40.23               |
| Subsequent increase                                                                              | 757.96              | 594.90              |
| <b>Closing Minority interest</b>                                                                 | <b>798.19</b>       | <b>635.13</b>       |

## Schedule 3 - Deposits

(₹ in crores)

|                                                     | As on<br>31-03-2026 | As on<br>31-03-2025 |
|-----------------------------------------------------|---------------------|---------------------|
| A. I. Demand Deposits                               |                     |                     |
| (i) From banks                                      | 5,357.79            | 4,184.17            |
| (ii) From others                                    | 178,443.32          | 161,593.70          |
| II. Savings Bank Deposits                           | 344,136.01          | 311,389.33          |
| III. Term Deposits                                  |                     |                     |
| (i) From banks                                      | 48,021.94           | 45,851.59           |
| (ii) From others                                    | 757,832.38          | 647,902.10          |
| <b>Total (I, II And III)<sup>1</sup></b>            | <b>1,333,791.44</b> | <b>1,170,920.89</b> |
| B. I. Deposits of branches in India                 | 1,297,860.62        | 1,140,897.26        |
| II. Deposits of branches/subsidiaries outside India | 35,930.82           | 30,023.63           |
| <b>Total (I And II)<sup>1</sup></b>                 | <b>1,333,791.44</b> | <b>1,170,920.89</b> |

1. Includes deposits under lien amounting to ₹137,683.71 crores (previous year ₹101,109.57 crores)

## Schedule 4 - Borrowings

(₹ in crores)

|                                                  | As on<br>31-03-2026 | As on<br>31-03-2025 |
|--------------------------------------------------|---------------------|---------------------|
| <b>I. Borrowings in India</b>                    |                     |                     |
| (i) Reserve Bank of India                        | -                   | -                   |
| (ii) Other banks <sup>1</sup>                    | 23,442.22           | 16,285.19           |
| (iii) Other institutions & agencies <sup>2</sup> | 205,697.54          | 168,384.40          |
| <b>II. Borrowings outside India<sup>3</sup></b>  | <b>51,370.86</b>    | <b>36,017.16</b>    |
| <b>TOTAL (I and II)</b>                          | <b>280,510.62</b>   | <b>220,686.75</b>   |
| Secured borrowings included in I & II above      | 36,889.17           | 28,805.17           |

- Borrowings from other banks include Subordinated Debt of ₹20.60 crores (previous year ₹129.10 crores) in the nature of Non-Convertible Debentures [Also refer Schedule 18 (1.2)(b)]
- Borrowings from other institutions & agencies include Subordinated Debt of ₹23,979.49 crores (previous year ₹25,068.86 crores) in the nature of Non-Convertible Debentures and Perpetual Debt amounting to ₹790.00 crores (previous year ₹640.00 crores) [Also refer Schedule 18 (1.2)(b)]
- Borrowings outside India include Additional Tier I Bonds in the nature of Perpetual Debt amounting to \$600 million (₹5,690.10 crores); {previous year \$600 million (₹5,128.50 crores)} [Also refer Schedule 18 (1.2)(b)]





# Schedules forming part of the Consolidated Balance Sheet

As on 31 March, 2026

## Schedule 5 - Other Liabilities and Provisions

|                                                                | As on<br>31-03-2026 | (₹ in crores)<br>As on<br>31-03-2025 |
|----------------------------------------------------------------|---------------------|--------------------------------------|
| I. Bills payable                                               | 6,933.94            | 6,193.80                             |
| II. Inter-office adjustments (net)                             | -                   | -                                    |
| III. Interest accrued                                          | 6,618.52            | 3,810.98                             |
| IV. General provision against standard assets                  | 7,212.64            | 5,217.40                             |
| V. MTM loss on forex & derivative contracts                    | 45,826.91           | 19,928.54                            |
| VI. Provision for tax (net)                                    | 577.62              | 1,077.99                             |
| VII. Deferred tax liabilities (net)                            | 2.79                | 0.53                                 |
| VIII. Others (including provisions) [Refer Schedule 18 (1.14)] | 48,742.27           | 41,255.11                            |
| <b>TOTAL</b>                                                   | <b>115,914.69</b>   | <b>77,484.35</b>                     |

## Schedule 6 - Cash and Balances with Reserve Bank of India

|                                                                                    | As on<br>31-03-2026 | (₹ in crores)<br>As on<br>31-03-2025 |
|------------------------------------------------------------------------------------|---------------------|--------------------------------------|
| I. Cash in hand (including foreign currency notes)                                 | 6,758.46            | 8,073.94                             |
| II. Balances with Reserve Bank of India:                                           |                     |                                      |
| (i) in Current Account                                                             | 40,090.91           | 44,623.50                            |
| (ii) in Other Accounts (includes reverse repo under Liquidity Adjustment Facility) | 31,778.00           | 20,941.00                            |
| <b>TOTAL (I and II)</b>                                                            | <b>78,627.37</b>    | <b>73,638.44</b>                     |

## Schedule 7 - Balances with Banks and Money at Call and Short Notice

|                                     | As on<br>31-03-2026 | (₹ in crores)<br>As on<br>31-03-2025 |
|-------------------------------------|---------------------|--------------------------------------|
| <b>I. In India</b>                  |                     |                                      |
| (i) Balance with Banks              |                     |                                      |
| (a) in Current Accounts             | 164.05              | 102.82                               |
| (b) in Other Deposit Accounts       | 3,808.36            | 2,527.19                             |
| (ii) Money at Call and Short Notice |                     |                                      |
| (a) With banks                      | -                   | -                                    |
| (b) With other institutions         | 2,557.20            | 5,024.02                             |
| <b>TOTAL (i and ii)</b>             | <b>6,529.61</b>     | <b>7,654.03</b>                      |
| <b>II. Outside India</b>            |                     |                                      |
| (i) in Current Accounts             | 2,847.23            | 4,545.43                             |
| (ii) in Other Deposit Accounts      | 10,156.83           | 11,954.53                            |
| (iii) Money at Call & Short Notice  | 11,190.53           | 4,906.27                             |
| <b>TOTAL (i, ii and iii)</b>        | <b>24,194.59</b>    | <b>21,406.23</b>                     |
| <b>GRAND TOTAL (I+II)</b>           | <b>30,724.20</b>    | <b>29,060.26</b>                     |

# Schedules forming part of the Consolidated Balance Sheet

As on 31 March, 2026

## Schedule 8 - Investments

(₹ in crores)

|                                                                                                                                                                                                                                         | As on<br>31-03-2026 | As on<br>31-03-2025 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|---------------------|
| <b>I. Investments in India in -</b>                                                                                                                                                                                                     |                     |                     |
| (i) Government Securities <sup>1</sup>                                                                                                                                                                                                  | 350,443.18          | 293,400.66          |
| (ii) Other approved securities                                                                                                                                                                                                          | -                   | -                   |
| (iii) Shares                                                                                                                                                                                                                            | 2,300.73            | 2,745.67            |
| (iv) Debentures and Bonds                                                                                                                                                                                                               | 51,122.85           | 73,723.01           |
| (v) Associates <sup>2</sup>                                                                                                                                                                                                             | 2,677.59            | 2,623.51            |
| (vi) Others                                                                                                                                                                                                                             | 15,114.29           | 8,393.69            |
| [include investments in Mutual Funds, Security Receipts, Alternative Investment Funds, Venture Capital Funds, Real Estate Investment Trusts, Infrastructure Investment Trusts, Pass Through Certificates and Private Equity Fund (LLP)] |                     |                     |
| <b>Total Investments in India</b>                                                                                                                                                                                                       | <b>421,658.64</b>   | <b>380,886.54</b>   |
| <b>II. Investments outside India in -</b>                                                                                                                                                                                               |                     |                     |
| (i) Government Securities (including local authorities)                                                                                                                                                                                 | 24,186.54           | 15,435.27           |
| (ii) Associates                                                                                                                                                                                                                         | -                   | -                   |
| (iii) Others (include Equity Shares and Bonds)                                                                                                                                                                                          | 577.00              | 363.26              |
| <b>Total Investments outside India</b>                                                                                                                                                                                                  | <b>24,763.54</b>    | <b>15,798.53</b>    |
| <b>GRAND TOTAL (I+II)</b>                                                                                                                                                                                                               | <b>446,422.18</b>   | <b>396,685.07</b>   |
| <b>III. Investments in India</b>                                                                                                                                                                                                        |                     |                     |
| (i) Gross value of investments                                                                                                                                                                                                          | 422,495.14          | 380,436.45          |
| (ii) Aggregate of provisions for depreciation (includes provision for non-performing investments) <sup>3</sup>                                                                                                                          | (836.50)            | 450.09              |
| (iii) Net investments                                                                                                                                                                                                                   | <b>421,658.64</b>   | <b>380,886.54</b>   |
| <b>IV. Investments outside India</b>                                                                                                                                                                                                    |                     |                     |
| (i) Gross value of investments                                                                                                                                                                                                          | 25,023.92           | 16,033.99           |
| (ii) Aggregate of provisions for depreciation (includes provision for non-performing investments) <sup>3</sup>                                                                                                                          | (260.38)            | (235.46)            |
| (iii) Net investments                                                                                                                                                                                                                   | <b>24,763.54</b>    | <b>15,798.53</b>    |
| <b>GRAND TOTAL (III+IV)</b>                                                                                                                                                                                                             | <b>446,422.18</b>   | <b>396,685.07</b>   |

- Includes securities of face value ₹1,25,648.67 crores (previous year ₹1,70,046.36 crores) pledged for availment of fund transfer facility, clearing facility, repo contracts and margin requirements
- Includes goodwill on acquisition of Associate amounting to ₹1,596.73 crores (previous year ₹1,596.73 crores)
- Includes MTM gain/(loss) on investments

## Schedule 9 - Advances

(₹ in crores)

|                                                                          | As on<br>31-03-2026 | As on<br>31-03-2025 |
|--------------------------------------------------------------------------|---------------------|---------------------|
| A. (i) Bills purchased and discounted                                    | 26,775.95           | 16,818.24           |
| (ii) Cash credits, overdrafts and loans repayable on demand <sup>1</sup> | 365,713.26          | 327,319.22          |
| (iii) Term loans                                                         | 889,902.96          | 737,092.01          |
| <b>TOTAL (i, ii and iii)</b>                                             | <b>1,282,392.17</b> | <b>1,081,229.47</b> |

# Schedules forming part of the Consolidated Balance Sheet

As on 31 March, 2026

|                                                         | As on<br>31-03-2026 | (₹ in crores)<br>As on<br>31-03-2025 |
|---------------------------------------------------------|---------------------|--------------------------------------|
| B. (i) Secured by tangible assets <sup>2</sup>          | 939,177.46          | 791,209.33                           |
| (ii) Covered by Bank/Government Guarantees <sup>3</sup> | 1,460.67            | 2,028.63                             |
| (iii) Unsecured                                         | 341,754.04          | 287,991.51                           |
| <b>TOTAL (i, ii and iii)</b>                            | <b>1,282,392.17</b> | <b>1,081,229.47</b>                  |
| C. I. Advances in India                                 |                     |                                      |
| (i) Priority Sector                                     | 443,143.48          | 384,558.93                           |
| (ii) Public Sector                                      | 12,915.15           | 12,080.58                            |
| (iii) Banks                                             | 12,148.09           | 15,744.40                            |
| (iv) Others                                             | 769,359.71          | 639,134.82                           |
| <b>TOTAL (i, ii, iii and iv)</b>                        | <b>1,237,566.43</b> | <b>1,051,518.73</b>                  |
| II. Advances Outside India                              |                     |                                      |
| (i) Due from banks                                      | 4,897.05            | 337.63                               |
| (ii) Due from others -                                  |                     |                                      |
| (a) Bills purchased and discounted                      | 10,339.91           | 6,406.75                             |
| (b) Syndicated loans                                    | -                   | -                                    |
| (c) Others                                              | 29,588.78           | 22,966.36                            |
| <b>TOTAL (i and ii)</b>                                 | <b>44,825.74</b>    | <b>29,710.74</b>                     |
| <b>GRAND TOTAL [C.I.+C.II.]</b>                         | <b>1,282,392.17</b> | <b>1,081,229.47</b>                  |

- Net of borrowings under Inter Bank Participation Certificate (IBPC) ₹18,287.86 crores (previous year ₹20,192.94 crores), includes lending under IBPC ₹14,500 crores (previous year ₹1,350.00 crores)
- Includes advances against Book Debts
- Includes advances against L/Cs issued by other banks

## Schedule 10 - Fixed Assets

|                                                                                    | As on<br>31-03-2026 | (₹ in crores)<br>As on<br>31-03-2025 |
|------------------------------------------------------------------------------------|---------------------|--------------------------------------|
| <b>I. Premises</b>                                                                 |                     |                                      |
| At cost as on 31 March of the preceding year                                       | 1,812.59            | 1,812.59                             |
| Additions during the year                                                          | -                   | -                                    |
| Deductions during the year                                                         | -                   | -                                    |
| Depreciation to date                                                               | (324.68)            | (299.99)                             |
| <b>Net Block</b>                                                                   | <b>1,487.91</b>     | <b>1,512.60</b>                      |
| <b>IA. Premises under construction</b>                                             | <b>-</b>            | <b>-</b>                             |
| <b>II. Other fixed assets (including furniture &amp; fixtures and intangibles)</b> |                     |                                      |
| At cost as on 31 March of the preceding year                                       | 26,077.29           | 24,193.67                            |
| Additions during the year <sup>1</sup>                                             | 2,061.12            | 2,591.78                             |
| Deductions during the year                                                         | (1,675.74)          | (708.16)                             |
| Depreciation to date                                                               | (21,637.34)         | (21,395.58)                          |
| <b>Net Block</b>                                                                   | <b>4,825.33</b>     | <b>4,681.71</b>                      |

## Schedules forming part of the Consolidated Balance Sheet

As on 31 March, 2026

(₹ in crores)

|                                                                                  | As on<br>31-03-2026 | As on<br>31-03-2025 |
|----------------------------------------------------------------------------------|---------------------|---------------------|
| <b>IIA. Leased Assets (Premises given on lease)</b>                              |                     |                     |
| At cost as on 31 March of the preceding year                                     | 209.60              | 209.60              |
| Additions during the year including adjustments                                  | -                   | -                   |
| Deductions during the year including provisions                                  | -                   | -                   |
| Depreciation to date                                                             | (35.91)             | (32.41)             |
| <b>Net Block</b>                                                                 | <b>173.69</b>       | <b>177.19</b>       |
| <b>GRAND TOTAL (I,IA,II and IIA)</b>                                             | <b>6,486.93</b>     | <b>6,371.50</b>     |
| <b>III. Capital-Work-in progress (including Leased Assets) net of Provisions</b> | <b>269.10</b>       | <b>120.58</b>       |
| <b>GRAND TOTAL (I,IA,II,IIA and III)</b>                                         | <b>6,756.03</b>     | <b>6,492.08</b>     |

1. includes movement on account of exchange rate fluctuation

### Schedule 11 - Other Assets

(₹ in crores)

|                                                                       | As on<br>31-03-2026 | As on<br>31-03-2025 |
|-----------------------------------------------------------------------|---------------------|---------------------|
| I. Inter-office adjustments (net)                                     | -                   | -                   |
| II. Interest Accrued                                                  | 13,957.90           | 14,326.54           |
| III. Tax paid in advance/tax deducted at source (net of provisions)   | 1,002.19            | 1,200.97            |
| IV. Stationery and stamps                                             | 2.98                | 3.46                |
| V. Non banking assets acquired in satisfaction of claims <sup>1</sup> | -                   | -                   |
| VI. Deferred Tax assets (net)                                         | 6,709.79            | 4,615.16            |
| VII. MTM gain on forex & derivative contracts                         | 48,477.01           | 20,496.42           |
| VIII. Others <sup>2</sup>                                             | 30,689.23           | 28,925.50           |
| <b>TOTAL</b>                                                          | <b>100,839.10</b>   | <b>69,568.05</b>    |

1. Represents balance net of provision of ₹1,855.85 crores (previous year ₹1,855.85 crores) on Land held as non-banking asset

2. Includes Priority Sector Shortfall Deposits of ₹8,689.52 crores (previous year ₹14,450.47 crores)

### Schedule 12 - Contingent Liabilities

(₹ in crores)

|                                                                                  | As on<br>31-03-2026 | As on<br>31-03-2025 |
|----------------------------------------------------------------------------------|---------------------|---------------------|
| I. Claims against the Group not acknowledged as debts                            | 2,199.84            | 1,766.98            |
| II. Liability for partly paid investments                                        | 257.65              | 280.63              |
| III. Liability on account of outstanding forward exchange contracts <sup>1</sup> | 1,421,101.69        | 1,256,588.46        |
| IV. Liability on account of outstanding derivative contracts <sup>1</sup>        | 1,267,664.67        | 1,369,593.38        |
| V. Guarantees given on behalf of constituents                                    |                     |                     |
| (a) In India                                                                     | 145,290.19          | 121,698.90          |
| (b) Outside India                                                                | 23,426.93           | 19,490.11           |
| VI. Acceptances, endorsements and other obligations                              | 71,093.46           | 55,341.43           |
| VII. Other items for which the Group is contingently liable                      | 100,806.81          | 53,440.63           |
| <b>TOTAL [Refer Schedule 18 (1.18)]</b>                                          | <b>3,031,841.24</b> | <b>2,878,200.52</b> |

1. Represents notional amount

# Schedules forming part of the Consolidated Profit and Loss Account

For the year ended 31 March, 2026

## Schedule 13 - Interest Earned

(₹ in crores)

|                                                                                 | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|---------------------------------------------------------------------------------|--------------------------|--------------------------|
| I. Interest/discount on advances/bills                                          | 104,657.82               | 101,582.06               |
| II. Income on investments (including dividend)                                  | 25,443.75                | 23,057.01                |
| III. Interest on balances with Reserve Bank of India and other inter-bank funds | 1,273.50                 | 1,243.23                 |
| IV. Others                                                                      | 1,163.17                 | 1,491.79                 |
| <b>TOTAL</b>                                                                    | <b>132,538.24</b>        | <b>127,374.09</b>        |

## Schedule 14 - Other Income

(₹ in crores)

|                                                                                                             | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|-------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|
| I. Commission, exchange and brokerage                                                                       | 25,935.33                | 23,787.78                |
| II. Profit/(loss) on sale of land, buildings and other assets (net) <sup>1</sup>                            | 3.79                     | (10.29)                  |
| III. Profit/(loss) on exchange/derivative transactions (net)                                                | 2,545.75                 | 2,164.88                 |
| IV. Profit/(loss) on sale of investments (net)                                                              | 1,738.70                 | 1,344.70                 |
| V. Profit/(loss) on revaluation of investments (net)                                                        | (875.27)                 | 700.52                   |
| VI. Lease finance income (including management fee, overdue charges and interest on lease rent receivables) | -                        | -                        |
| VII. Miscellaneous Income                                                                                   | 325.41                   | 555.18                   |
| <b>TOTAL</b>                                                                                                | <b>29,673.71</b>         | <b>28,542.77</b>         |

1. includes provision for diminution in value of fixed assets

## Schedule 15 - Interest Expended

(₹ in crores)

|                                                             | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|-------------------------------------------------------------|--------------------------|--------------------------|
| I. Interest on deposits                                     | 56,481.10                | 53,837.24                |
| II. Interest on Reserve Bank of India/Inter-bank borrowings | 1,580.32                 | 2,055.96                 |
| III. Others                                                 | 16,013.57                | 15,143.11                |
| <b>TOTAL</b>                                                | <b>74,074.99</b>         | <b>71,036.31</b>         |

## Schedule 16 - Operating Expenses

(₹ in crores)

|                                             | Year ended<br>31-03-2026 | Year ended<br>31-03-2025 |
|---------------------------------------------|--------------------------|--------------------------|
| I. Payments to and provisions for employees | 14,006.05                | 13,661.28                |
| II. Rent, taxes and lighting                | 2,206.20                 | 2,090.16                 |
| III. Printing and stationery                | 242.47                   | 373.82                   |
| IV. Advertisement and publicity             | 164.64                   | 175.40                   |
| V. Depreciation on Group's property         |                          |                          |
| a) Other than Leased Assets                 | 1,889.45                 | 1,763.48                 |
| b) On Leased Assets                         | 3.49                     | 3.49                     |
| VI. Directors' fees, allowance and expenses | 13.38                    | 11.84                    |
| VII. Auditors' fees and expenses            | 8.27                     | 7.42                     |
| VIII. Law charges                           | 234.51                   | 212.92                   |
| IX. Postage, telegrams, telephones etc.     | 420.12                   | 467.50                   |
| X. Repairs and maintenance                  | 2,713.84                 | 2,329.69                 |
| XI. Insurance                               | 1,996.95                 | 1,794.96                 |
| XII. Other expenditure                      | 18,327.04                | 17,100.08                |
| <b>TOTAL</b>                                | <b>42,226.41</b>         | <b>39,992.04</b>         |

1. Includes commission paid to direct selling agents, charges paid to network partners, cashback expenses, fees paid for purchase of Priority Sector Lending Certificates, professional fees, technology expenses, business promotion expenses and miscellaneous expenses

## 17 Significant Accounting Policies to the Consolidated Financial Statements

for the year ended 31 March, 2026

### 1. Principles of consolidation

The consolidated financial statements comprise the financial statements of Axis Bank Limited ('the Bank'), its Subsidiaries and Associate (together 'the Group'). As on 31 March, 2026, the Bank has overseas branches at Singapore, DIFC - Dubai and an Offshore Banking Unit at the International Financial Service Centre (IFSC), Gujarat International Finance Tec-City (GIFT City), Gandhinagar, India.

The Bank consolidates its Subsidiaries in accordance with Accounting Standard ('AS') 21, Consolidated Financial Statements notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021 on a line-by-line basis by adding together the like items of assets, liabilities, income and expenditure. All significant inter-company accounts and transactions are eliminated on consolidation.

Investment in entities where the Bank has the ability to exercise significant influence are accounted for under the equity method of accounting as prescribed under Accounting Standard (AS) 23 "Accounting for investments in Associates in Consolidated Financial Statements" and the pro-rata share of their profit/(loss) is included in the consolidated Profit and Loss account.

### 2. Basis of preparation

- a) The consolidated financial statements have been prepared and presented under the historical cost convention on the accrual basis of accounting in accordance with the Generally Accepted Accounting Principles in India ('GAAP'), unless otherwise stated by the Reserve Bank of India ('RBI'), to comply with the statutory requirements prescribed under the Third Schedule of the Banking Regulation Act, 1949, the circulars, notifications, guidelines and directives issued by the RBI from time to time and the Accounting Standards notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021 to the extent applicable and practices generally prevalent in the banking industry in India. Accounting policies applied have been consistent with the previous year except otherwise stated.
- b) The consolidated financial statements present the accounts of the Bank including the following entities:

| Name                                                                    | Relation             | Country of Incorporation | Ownership Interest |
|-------------------------------------------------------------------------|----------------------|--------------------------|--------------------|
| Axis Capital Ltd.                                                       | Subsidiary           | India                    | 100.00%            |
| Axis Trustee Services Ltd.                                              | Subsidiary           | India                    | 100.00%            |
| Axis Mutual Fund Trustee Ltd.                                           | Subsidiary           | India                    | 75.00%             |
| Axis Asset Management Company Ltd.                                      | Subsidiary           | India                    | 75.00%             |
| Axis Finance Ltd.                                                       | Subsidiary           | India                    | 100.00%            |
| Axis Securities Ltd.                                                    | Subsidiary           | India                    | 100.00%            |
| Freecharge Payment Technologies Pvt. Ltd.                               | Subsidiary           | India                    | 100.00%            |
| A.Treds Ltd.                                                            | Subsidiary           | India                    | 67.00%             |
| Axis U.K. Ltd. (formerly Axis Bank UK Ltd.)                             | Subsidiary           | U.K.                     | 100.00%            |
| Freecharge Business and Technology Services Ltd.                        | Subsidiary           | India                    | 100.00%            |
| Axis Capital USA LLC                                                    | Step down subsidiary | USA                      | 100.00%            |
| Axis Pension Fund Management Ltd.                                       | Step down subsidiary | India                    | 47.27%             |
| Axis Max Life Insurance Ltd. (formerly Max Life Insurance Company Ltd.) | Associate            | India                    | 19.02%             |

- c) The financial statements of certain subsidiaries have been prepared in accordance with notified Indian Accounting Standards ('Ind-AS'). The financial statements of such subsidiaries used for consolidation are special purpose financial statements prepared in accordance with GAAP specified under section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021.
- d) The audited financial statements of the above subsidiaries/step-down subsidiaries (except for Axis U.K. Ltd.) have been drawn up to the same reporting date as that of the Bank, i.e. 31 March, 2026.



- e) The financial statements (unaudited) of the Bank's foreign subsidiary, Axis U.K. Limited ('the Company') are prepared in accordance with UK adopted international accounting standards which have been converted to Indian GAAP for the purpose of consolidated financial statements of the Group. Considering that the Company is currently under liquidation, the financial statements of the Company have been prepared on a basis other than that of a going concern. Basis the size and scale of operations of the Company, the impact of the above is not material on the financial statements/position of the Group.
- f) On 17 July, 2024, the Board of Directors of Freecharge Payment Technologies Private Limited (FPTPL) approved a Scheme of Demerger ('the Scheme'). The Scheme involves the transfer of the Business Correspondence (BC) and Technology Service Provision (TSP) business from FPTPL to Freecharge Business and Technology Services Limited (FBTSL), both wholly owned subsidiaries of the Bank. As part of this process, a joint petition was filed with the National Company Law Tribunal (NCLT) Chandigarh bench on 31 July, 2024, under Section 230-232 of the Companies Act, 2013, seeking approval for the Scheme. The NCLT approved the Scheme on 10 December, 2025. Consequently, the BC and TSP business have been transferred and vested in FBTSL effective 1 January, 2026, with the appointed date being 1 July, 2024, as per the Scheme. FPTPL has completed the necessary filings with the Registrar of Companies in accordance with the NCLT order. This transaction has no impact on the consolidated financial results for the year ended 31 March, 2026.
- g) The Group's share of net profit after tax for the year ended 31 March, 2026 as included in the consolidated financial statements in respect of the Associate entity is based on management's best estimate in the absence of financial information of such Associate.

### 3. Use of estimates

The preparation of the consolidated financial statements in conformity with the generally accepted accounting principles requires the Management to make estimates and assumptions that affect the reported amounts of assets and liabilities (including contingent liabilities) at the date of the financial statements, revenues and expenses during the reporting period. Actual results could differ from those estimates. The Management believes that the estimates and assumptions used in the preparation of the financial statements are prudent and reasonable. Any revisions, as and when carried out, to the accounting estimates are recognised prospectively in the current and future periods.

### 4. Significant accounting policies

#### 4.1 Investments

##### Axis Bank Ltd.

##### Classification

In accordance with the RBI guidelines, investments (except investments in subsidiaries, joint ventures and associates) are classified at the time of acquisition as:

- Held to Maturity ('HTM');
- Available for Sale ('AFS') and
- Fair Value through Profit and Loss (FVTPL) with Held for Trading (HFT) as a separate investment subcategory within FVTPL.

##### Classification of Investments in the Balance sheet

For disclosure in the Balance Sheet, investments in India are classified under six categories - Government Securities, Other Approved Securities, Shares, Debentures and Bonds, Investment in Subsidiaries/Joint Ventures/Associates and Others. Investments made outside India are classified under three categories - Government Securities, Subsidiaries and/or Joint Ventures abroad and Others.

All investments are accounted for on settlement date, except investments in equity shares which are accounted for on trade date.

### i. Held to Maturity ('HTM')

The Bank classifies investments as HTM, if both of the following conditions are met:

- The investment is acquired with the intention and objective of holding it to maturity, i.e., the financial assets are held with an objective to collect the contractual cash flows; **and**
- The contractual terms of the investment give rise to cash flows that are solely payments of principal and interest on principal outstanding ('SPPI criterion') on specified dates.

### ii. Available for Sale ('AFS')

The Bank classifies investments as AFS, if both the following conditions are met:

- The investment is acquired with an objective which is achieved by both collecting contractual cash flows and selling securities; **and**
- The contractual terms of the investment give rise to cash flows that meet SPPI criterion on specified dates.

The Bank, upon initial recognition, may make an irrevocable election to classify an equity instrument as an AFS that is not held with the objective of trading.

### iii. Fair Value through Profit and Loss (FVTPL)

The investments that are not classified as HTM or AFS are classified as FVTPL. The Bank classifies investments in FVTPL category as either FVTPL-Held for Trading ('HFT') or FVTPL Non-HFT. Any investment held by the Bank for one or more of the following purposes is, when it is first recognised on its books, designated as a FVTPL HFT:

- short-term resale;
- profiting from short-term price movements;
- locking in arbitrage profits; or
- hedging risks that arise from instruments meeting all of the above

Investments in listed equities, trading-related repo-style transactions, instruments resulting from market-making activities, equity investments in a fund are included in FVTPL HFT category. Investments in unlisted equities are included in FVTPL Non-HFT category.

All other investments forming part of FVTPL category are classified as FVTPL Non-HFT.

### Investments in Subsidiaries, Associates and Joint Ventures

All investments in subsidiaries, associates and joint ventures held by Bank are classified under this category separately from the aforesaid investment categories.

### Initial recognition

The Bank measures all investments at fair value on initial recognition. Unless facts and circumstances suggest that the fair value is materially different from the acquisition cost, it is presumed that the acquisition cost is the fair value. Any discount or premium on the investments under HTM category is amortised over the remaining life of the instrument on a constant yield basis.

### i. Acquisition cost

Costs incurred at the time of acquisition, pertaining to investments, such as brokerage, commission etc. are charged to the Profit and Loss Account. Broken period interest is charged to the Profit and Loss Account. Cost of investments is computed based on the weighted average cost method.

## ii. Day 1 gain/loss

Day 1 Gain/loss is the difference between the fair value at initial recognition and acquisition cost.

Any Day 1 gain/loss arising on quoted investments is recognized in the Profit and Loss Account. Any Day 1 loss arising from Level 3 investments is recognised immediately. Any Day 1 gains arising from Level 3 investments is deferred. In the case of debt instruments, the Day 1 gain is amortized on a straight-line basis up to the maturity date (or earliest call date for perpetual instruments), while for unquoted equity instruments, the gain is set aside as a liability until the security is listed or derecognised.

## iii. Subsequent measurement

### a. Investments classified under the HTM category

Investments held in HTM category are carried at cost and are not Mark-to-Market (MTM) after initial recognition. The amortised amount is reflected under item II 'Income on Investments' of Schedule 13: 'Interest Earned' with a contra in Schedule 8: 'Investments'.

Realised gains on sale of investments in HTM category are recognised in the Profit and Loss Account and subsequently appropriated to the Capital Reserve Account (net of taxes and transfer to statutory reserves) in accordance with the RBI guidelines. Realised losses are recognised in the Profit and Loss Account.

### b. Investments classified under AFS category

Investments held in AFS category are fair valued. Any discount or premium on the acquisition of debt securities under AFS is amortised over the remaining life of the instrument on a constant yield basis. The amortised amount is reflected in the financial statements under item II 'Income on Investments' of Schedule 13: 'Interest Earned' with a contra in Schedule 8: 'Investments'.

The net valuation gains and losses across all performing investments under AFS is aggregated and the net appreciation or depreciation (net of tax) is directly credited or debited to the AFS Reserve without routing through the Profit & Loss Account.

The AFS-Reserve is reckoned as Common Equity Tier (CET) 1 capital but not available for distribution of dividend and coupon on Additional Tier I instruments

On sale or maturity of a debt instrument in AFS category, the accumulated gain/ loss for that security in the AFS Reserve is transferred from the AFS Reserve and recognized in the Profit and Loss Account.

In the case of equity instruments designated under AFS at the time of initial recognition, any gain or loss on sale of such investments is transferred from AFS Reserve to Capital Reserve in accordance with the RBI Investment Direction, 2023.

### c. Investments classified under FVTPL category

Investments held under FVTPL category are fair valued and the net gain or loss arising on such valuation is directly credited or debited to the Profit and Loss Account.

Any discount or premium on the debt securities under FVTPL category is amortised over the remaining life of the instrument. The amortised amount is reflected in the financial statements under item II 'Income on Investments' of Schedule 13: 'Interest Earned' with a contra in Schedule 8: 'Investments'.

### d. Investments in Associates and Joint Ventures

The Bank measures all the investments (i.e., including debt and equity) in associates and joint ventures at acquisition cost.

Any discount or premium on the acquisition of debt securities of associates and joint ventures is amortised over the remaining life of the instrument. The amortised amount is reflected in the financial statements under item II 'Income on Investments' of Schedule 13: 'Interest Earned'.

### Valuation

The Bank determines the fair values of its investments according to the following hierarchy:

Level 1: Valuation based on quoted market price: These investments are valued with quoted prices (unadjusted) for identical instruments in active markets that the Bank can access at the measurement date.

Level 2: Valuation based on using observable inputs: These investments are valued with inputs other than quoted prices included within Level 1, that are observable, either directly or indirectly.

Level 3: Valuation technique with significant unobservable inputs: These investments are valued using valuation techniques where one or more significant inputs are unobservable.

The fair value of various types of instruments is determined as per the valuation norms laid down in RBI guidelines, as follows:

- The fair value of quoted investments (other than discounted instruments) included in the AFS and FVTPL categories is considered as available from the trades/quotes on the stock exchanges or prices, yield and spread matrix declared by the Fixed Income Money Market and Derivatives Association of India ('FIMMDA')/Financial Benchmark India Private Limited ('FBIL'), periodically.
- Treasury Bills, Exchange Funded Bills, Commercial Paper and Certificate of Deposits being discounted instruments, are valued at carrying cost which includes discount accreted over the period to maturity.
- Units of mutual funds are valued at the latest repurchase price/Net Asset Value ('NAV') declared by the mutual fund.
- Units of Venture Capital Funds ('VCF') and Unquoted Alternative Investment Fund (AIFs) are valued at Net Asset Value (NAV) declared by the funds. Where an AIF fails to carry out and disclose the valuation of its investments by an independent valuer as per the frequency mandated by SEBI (Alternative Investment Fund) Regulations, 2012 the value of its units is treated as Re. 1. In case AIF is not registered under SEBI (Alternative Investment Fund) Regulations, 2012 and the latest disclosed valuation of its investments by an independent valuer precedes the date of valuation by more than 18 months, the value of its units is treated as Re. 1.
- Investments in Associates and Joint Ventures category are assessed for impairment to determine permanent diminution, if any, in accordance with the RBI guidelines and suitable provisions are made.
- The fair value of investments where current quotations are not available, is determined in accordance with the norms prescribed by the RBI/FIMMDA/FBIL as under:
  - a) The fair value of unquoted government securities which are in the nature of Statutory Liquidity Ratio ('SLR') securities forming part of AFS, FVTPL-HFT and FVTPL Non-HFT categories are computed as per the rates published by FIMMDA/FBIL.
  - b) In case of special bonds issued by the Government of India that do not qualify for SLR purposes, unquoted bonds, debentures and preference shares where interest/dividend is received regularly (i.e. not overdue beyond 90 days), the market price is derived based on the Yield to Maturity ('YTM') for such securities as published by FIMMDA/FBIL and suitably marked up for credit risk applicable to the credit rating of the instrument. The matrix for credit risk mark-up for each category and credit ratings along with residual maturity issued by FIMMDA/FBIL is adopted for this purpose.
  - c) In case of bonds & debentures where interest is not received regularly (i.e. overdue beyond 90 days), the valuation is in accordance with prudential norms for provisioning as prescribed by the RBI.
  - d) Pass Through Certificates (PTCs) are valued based on yields published by FIMMDA, suitably adjusted downwards for the quality and characteristics of the underlying pool of assets in the PTCs.
  - e) Equity shares, for which current quotations are not available or where the shares are not quoted on the stock exchanges, are valued at break-up value (without considering revaluation reserves, if any) which is ascertained from the company's latest Balance Sheet (not older than 18 months). In case the latest Balance Sheet is not available, the shares are valued at Re. 1 per company.

- f) Valuation of investments in private equity funds and limited liability partnership funds is based on valuation of their underlying exposures.
- g) Investments in listed instruments of Real Estate Investment Trust ('REIT')/Infrastructure Investment Trust ('INVIT') are valued at the closing price on the recognised stock exchange. In case the instruments are not traded on any stock exchange for a period of 30 days, valuation is carried out based on lower of the latest NAV (not older than 1 year) submitted by the trust or last available traded price.
- h) Investments in Government guaranteed Security Receipts ('SRs') are valued periodically by reckoning the Net Asset Value (NAV) declared by the Asset Reconstruction Company ('ARC') based on the recovery ratings received for such instruments. Any Government guaranteed SRs outstanding after the final settlement of the Government guarantee or the expiry of the guarantee period, whichever is earlier, are valued at one rupee (₹1).

Investments in other SRs are valued as per the NAV declared by the issuing ARC or net book value of loans transferred or estimated recoverable value based on Bank's internal assessment on case to case basis, whichever is lower. Investments in such Security Receipts where original maturity period has expired are valued at one rupee (₹1). In case of investments in SRs which are backed by more than 10 percent of the stressed assets sold by the Bank, the valuation of such SRs is additionally subject to a floor of face value of the SRs reduced by the provisioning rate as per the extant asset classification and provisioning norms as applicable to the underlying loans, assuming that the loan notionally continued in the books of the Bank.

#### **Investment asset classification and provisioning**

Investments under HTM, AFS and FVTPL category are subjected to income recognition, asset classification and provisioning norms of RBI. Non-performing Investments (NPIs) are identified and provision is made thereon in the Profit and Loss account, as per the RBI guidelines. Once an investment become NPI, the Bank segregates it from rest of the portfolio and does not consider it for netting valuation gains and losses. A NPI investment is segregated from other investments within the same category [i.e., HTM, AFS, or FVTPL] under which it was classified at initial recognition. Interest on NPIs is not recognized in the Profit and Loss Account until received. MTM appreciation in case of NPIs over and above the book value is not recognized and ignored.

#### **Reclassification between categories**

Reclassification of investments between categories (viz. HTM, AFS and FVTPL) if any is carried out only after, prior approval of Board of Directors and RBI and the same is accounted for in accordance with the RBI guidelines.

#### **Short sales**

In accordance with the RBI guidelines, the Bank undertakes short sale transactions in Central Government dated securities. Such short positions are categorised under FVTPL category and netted off from investments in the Balance Sheet. These positions are marked-to-market along with the other securities under FVTPL portfolio and the resultant MTM gains/losses are accounted for as per the relevant RBI guidelines for valuation of investments.

#### **Subsidiaries**

Investments are initially recognised at cost which comprises purchase price and directly attributable acquisition charges such as brokerage, fees and duties.

Investments which are readily realisable and intended to be held for not more than one year from the date on which such investments are made, are classified as current investments. All other investments are classified as long term investments.

Current investments are carried in the financial statements at lower of cost and fair value determined on an individual investment basis. Any reduction in the carrying amount and any reversal of such reductions are charged or credited to the Profit and Loss Account.

Long term investments are stated at cost. Provision is made to recognise a decline, other than temporary, in the value of such investments.

On disposal of an investment, the difference between its carrying amount and net disposal proceeds is charged or credited to the Profit and Loss Account.

## 4.2 Repurchase and reverse repurchase transactions

### Axis Bank Ltd.

#### Repurchase transactions ('Repos')

Repurchase transactions in Government securities and corporate debt securities including those conducted under the Liquidity Adjustment Facility ('LAF') and Marginal Standby Facility ('MSF') with RBI are accounted for as collateralised borrowings. Accordingly, securities given as collateral under an agreement to repurchase them, continue to be held under the investment account and the Bank continues to accrue the coupon on the security during the repo period. Borrowing cost on such repo transactions is accounted as interest expense in "Schedule 15 – Interest Expended" in the Profit and Loss Account.

#### Reverse repurchase transactions ('Reverse repos')

Reverse repurchase transactions with RBI with original maturity upto 14 days, including those conducted under the Liquidity Adjustment Facility ('LAF') and Standing Deposit Facility ('SDF') are accounted for as collateralised lending under "Schedule 6 - Balances with RBI - in Other Accounts". Reverse repurchase transactions with banks and other financial institutions with original maturity upto 14 days, are accounted for as collateralised lending under "Schedule 7 - Balances with Banks and Money at call and short notice". Revenue on such reverse repos is accounted for as interest income under "Schedule 13 – Interest Earned – Interest on balances with Reserve Bank of India and Other Inter-bank Funds" in the Profit and Loss Account.

Reverse repos with original maturity of more than 14 days are accounted for as collateralised lending under "Schedule 9 - Advances". Revenue on such reverse repos is accounted for as interest income under "Schedule 13 - Interest Earned – Interest/discount on advances/bills" in the Profit and Loss account.

## 4.3 Advances

### Axis Bank Ltd.

#### Classification and measurement of advances

Advances are classified into performing and non-performing advances ('NPAs') as per the RBI guidelines and are stated net of bills rediscounted, inter-bank participation certificates, specific provisions made towards NPAs, interest in suspense for NPAs, claims received from Export Credit Guarantee Corporation, provisions for funded interest on term loans classified as NPAs and floating provisions. Structured collateralised foreign currency loans extended to customers and deposits received from the same customer are reported on a net basis.

The Bank transfers advances through inter-bank participation with and without risk. In accordance with the RBI guidelines, in the case of participation with risk, the aggregate amount of the participation issued by the Bank is reduced from advances and where the Bank is participating, the aggregate amount of the participation is classified under advances. In the case of participation without risk, the aggregate amount of participation issued by the Bank is classified under borrowings and where the Bank is participating, the aggregate amount of participation is shown as due from banks under advances.

#### Non-performing advances and provision on non-performing advances

NPAs are classified into sub-standard, doubtful and loss assets based on the criteria stipulated by the RBI. Advances held at the overseas branches that are identified as impaired as per host country regulations for reasons other than record of recovery, but which are standard as per the RBI guidelines, are classified as NPAs to the extent of amount outstanding in the host country. NPAs are upgraded to standard as per the extant RBI guidelines.

Provisions for NPAs are made for sub-standard and doubtful assets at rates as prescribed by the RBI with the exception of schematic retail advances, agriculture advances and advances to Commercial Banking segment. In respect of



schematic retail advances, provisions are made in terms of a bucket-wise policy upon reaching specified stages of delinquency (90 days or more of delinquency) under each type of loan, which satisfies the RBI prudential norms on provisioning. Provisions in respect of Commercial Banking segment advances and agriculture advances classified into sub-standard and doubtful assets are made at rates which are higher than those prescribed by the RBI.

Provisions for advances booked in overseas branches, which are standard as per the RBI guidelines but are identified as impaired as per host country regulations for reasons other than record of recovery, are made as per the host country regulations.

In case of NPAs referred to the National Company Law Tribunal ('NCLT') under the Insolvency and Bankruptcy Code, 2016 ('IBC') where resolution plan or liquidation order has been approved by NCLT, provision is maintained at higher of the requirement under the RBI guidelines or the likely haircut as per resolution plan or liquidation order.

Loans reported as fraud are classified as loss assets, and fully provided for immediately without considering the value of security.

#### **Provision on restructured assets**

Restructured assets including compromise settlements where the time for payment of the agreed settlement amount exceeds three months are classified and provided for in accordance with the guidelines issued by the RBI from time to time.

In respect of advances where resolution plan has been implemented under the RBI guidelines on "Resolution Framework for COVID 19-related Stress" and "Micro, Small and Medium Enterprises (MSME) Sector – Restructuring of Advances", provisions are maintained as per the internal framework of the Bank at rates which are higher than those specified under the extant RBI guidelines. Restructured loans are upgraded to standard as per the extant RBI guidelines.

Provisions held on restructured assets are reported in Schedule 5 – Other Liabilities and Provisions in the Balance Sheet.

#### **Write-offs and recoveries from written-off accounts**

Write-offs are carried out in accordance with the Bank's policy.

Amounts recovered against debts written off are recognised in the Profit and Loss Account as a credit to Provision and Contingencies.

#### **Appropriation of funds for standard advances**

In case of Equated Monthly Instalment (EMI) based standard retail advances, funds received from customers are appropriated in the order of principal, interest and charges. In case of other standard advances, funds received from customers are appropriated in the order of charges, interest and principal.

#### **Other provisions on advances classified under Schedule 5 – 'Other Liabilities and Provisions' in the Balance Sheet**

The Bank recognises additional provisions as per the RBI's guidelines on accounts in default and with aggregate exposure above the threshold limits as laid down in the guidelines where the resolution plan is not implemented within the specified timelines. These provisions are written back on satisfying the conditions for reversal as per RBI guidelines.

In respect of borrowers classified as non-cooperative or wilful defaulters the Bank makes accelerated provisions as per the extant RBI guidelines.

In the case of one-time settlements with borrowers that are entered into but not closed as on the reporting date, the Bank makes provisions which is the higher of (i) the provision required based on asset classification; and (ii) the amount of contracted sacrifice, on a portfolio basis.

The Bank makes incremental provisioning (determined based on a time scale and on occurrence of predefined events) on all outstanding advances and investments relating to borrowers tagged as Red Flagged Accounts ('RFA').

For entities with Unhedged Foreign Currency Exposure ('UFCE'), provision is made in accordance with the guidelines issued by the RBI, which requires ascertaining the amount of UFCE, estimating the extent of likely loss and estimating the riskiness of the unhedged position. Further, incremental capital is maintained in respect of such borrower counter parties in the highest risk category, in line with stipulations by the RBI.

Upto 31 December, 2025 the Bank maintained provisions for incremental exposure of the banking system to specified borrowers beyond the Normally Permitted Lending Limit ('NPLL') in proportion to the Bank's funded exposure to the specified borrowers as per the RBI guidelines.

The Bank maintains a general provision on standard advances at the rates prescribed by the RBI. In respect of advances to stressed sectors, such general provision is made at rates higher than the regulatory minimum as per the internal policy of the Bank. The general provision on corporate standard advances internally rated 'BB and Below' or 'Unrated' and all Special Mention Accounts-2 ('SMA-2') advances as reported to Central Repository of Information on Large Credits ('CRILC'), is maintained at rates that are higher than those prescribed by RBI. In case of overseas branches, general provision on standard advances is maintained at the higher of the levels stipulated by the respective overseas regulator or by the extant RBI guidelines. The Bank also maintains general provision on positive Mark-to-Market (MTM) on derivative transactions at the rates prescribed under the extant RBI guidelines.

The Bank maintains additional specific provision on projects under implementation which have availed deferment in date of commencement of commercial operations and are classified as standard as per extant RBI guidelines

The Bank also maintains additional provision on standard accounts in a particular borrower group where one or more entity in the group is classified as NPA, subject to the aggregate outstanding of such entities being above a certain threshold limit. Such provision is in addition to and at rates higher than the provision for standard assets as prescribed by RBI.

The Bank also maintains provision on non-funded outstanding in relation to NPAs, prudentially written off accounts, corporate standard advances internally rated 'BB and Below' or 'Unrated' and all SMA-2 advances as reported to CRILC.

Under its home loan portfolio, the Bank offers housing loans with certain features involving waiver of EMIs for a specific period subject to fulfilment of certain conditions by the borrower. The Bank makes provision against the probable loss that could be incurred in future on account of these waivers to eligible borrowers, based on actuarial valuation conducted by an independent actuary.

As approved by the Board of Directors, the Bank holds prudent provision of ₹7,013 crores towards certain standard advances and / or exposures.

### **Axis Finance Ltd.**

Advances are classified into performing and non-performing advances ('NPAs') as per the RBI guidelines and are stated net of specific provisions made towards NPAs. Further, NPAs are classified into sub-standard, doubtful and loss assets based on the criteria stipulated by the RBI.

Provisions for standard assets and NPAs are made at rates as prescribed by the Company policy which are over and above the minimum requirements under the RBI guidelines.

## **4.4 Country risk**

### **Axis Bank Ltd.**

In addition to the provisions required to be held according to the asset classification status, provisions are held for individual country exposure (other than for home country) as per the RBI guidelines. Such provisions are held only in respect of those countries where the net funded exposure of the Bank exceeds 1% of its total assets. For this purpose, the countries are categorized into seven risk categories namely insignificant, low, moderate, high, very high, restricted and off-credit as per internal parameters in accordance with RBI guidelines. Provision is made on exposures exceeding 180 days on a graded scale ranging from 0.25% to 100%. For exposures with contractual maturity of less than 180 days, 25% of the normal provision requirement is held. If the net funded exposure of the Bank in respect of each country does not exceed 1% of the total assets, no provision is maintained on such country exposure in accordance with RBI guidelines. Indirect exposure is reckoned at 50% of the exposure. This provision is classified under Schedule 5 – Other Liabilities and Provisions in the Balance Sheet.

## 4.5 Securitisation and transfer of assets

### Axis Bank Ltd.

#### Securitisation of Standard Assets

The Bank enters into purchase/sale of corporate and retail loans through direct assignment/Special Purpose Vehicle ('SPV'). In most cases, post securitisation, the Bank continues to service the loans transferred to the assignee/SPV. The Bank also provides credit enhancement in the form of cash collaterals and/or by subordination of cash flows to Senior Pass Through Certificate holders. In respect of credit enhancements provided or recourse obligations (projected delinquencies, future servicing etc.) accepted by the Bank, appropriate provision/disclosure is made at the time of sale in accordance with AS-29, Provisions, Contingent Liabilities and Contingent Assets as notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021. In accordance with RBI guidelines on Securitisation of Standard Assets, any loss, profit or premium realised at the time of the sale is accounted for in the Profit & Loss Account for the accounting period during which the sale is completed. However, in case of unrealised gains arising out of sale of underlying assets to the SPV, the profit is recognised in Profit and Loss Account only when such unrealised gains associated with such income is redeemed in cash.

#### Transfer of Loan Exposures

In accordance with RBI guidelines on Transfer of Loan exposures, any profit or loss arising post transfer of loans, which is realised, is accounted for and reflected in the Profit & Loss Account for the accounting period during which the transfer is completed. Loans acquired are carried at acquisition cost unless it is more than the outstanding principal at the time of the transfer, in which case the premium paid is amortised based on a straight line method.

### Axis Finance Limited

The Company enters into purchase/sale of corporate and retail loans through direct assignment/securitisation. The loans are recognised/derecognised in the books based on the risk and reward associated with the underlying loans in compliance with RBI guidelines.

## 4.6 Priority Sector Lending Certificates

### Axis Bank Ltd.

The Bank enters into transactions for the sale or purchase of Priority Sector Lending Certificates ('PSLCs'). In the case of a sale transaction, the Bank sells the fulfilment of priority sector obligation and in the case of a purchase transaction the Bank buys the fulfilment of priority sector obligation through the RBI trading platform. There is no transfer of loan assets in PSLC transactions.

## 4.7 Translation of Foreign Currency items

### Group

In respect of domestic operations, transactions denominated in foreign currencies are accounted for at the rates prevailing on the date of the transaction. Monetary foreign currency assets and liabilities are translated at the closing rates of exchange as notified by the Foreign Exchange Dealers Association of India ('FEDAI'). All profits/losses resulting from year end revaluations are recognised in the Profit and Loss Account.

Financial statements of foreign branches classified as non-integral foreign operations as per the RBI guidelines, are translated as follows:

- Assets and liabilities (both monetary and non-monetary as well as contingent liabilities) are translated at closing exchange rates notified by FEDAI at the Balance Sheet date.
- Income and expenses are translated at the rates prevailing on the date of the transactions.
- All resulting exchange differences are accumulated in a separate 'Foreign Currency Translation Reserve' (FCTR) till the disposal of the net investments. Any realised gains or losses on such disposal are recognised in the Profit and

Loss Account except for those that relate to repatriation of accumulated profits which are reclassified from FCTR to 'Balance in Profit and Loss Account' under Schedule 2 – Reserves and Surplus in the Balance Sheet.

Contingent liabilities on account of forward exchange and derivative contracts, guarantees, acceptances, endorsements and other obligations denominated in foreign currencies are disclosed at closing rates of exchange notified by FEDAI.

### 4.8 Foreign exchange and derivative contracts

#### Axis Bank Ltd.

Derivative transactions comprise of forward contracts, swaps, FRAs, futures and options which are disclosed as contingent liabilities. The forwards, swaps and options are categorised as trading or hedge transactions.

#### Trading derivatives

Trading derivative contracts are revalued based on actual traded and/or derived from curves published by external market sources or FBIL with the resulting unrealised gain or loss being recognised in the Profit and Loss Account and correspondingly in other assets (representing positive MTM) and in other liabilities (representing negative MTM) on a gross basis.

Outstanding forward exchange contracts including tom/spot contracts (excluding swaps undertaken to hedge foreign currency assets/liabilities and funding swaps) as at Balance Sheet date are revalued at closing spot and forward rates as applicable as notified by FEDAI/FBIL and at interpolated rates for contracts of interim maturities. Valuation is considered on present value basis by discounting the forward value till cash date using Alternative Reference Rate ('ARR') curve and converting the foreign currency amount using the respective spot rates as notified by FEDAI/FBIL. The resulting gains or losses on revaluation are included in the Profit and Loss Account.

Currency futures contracts are mark-to-market using the daily settlement price on a trading day, which is the closing price of the respective futures contracts on that day. While the daily settlement price is computed based on the last half an hour weighted average price of such contracts, the final settlement price is taken as the RBI reference rate on the last trading day of the futures contracts or as may be specified by the relevant authority from time to time. All open positions are marked-to-market based on the settlement price and the resultant MTM profit/loss is daily settled with the exchange.

Valuation of Exchange Traded Currency Options ('ETCO') is carried out using internal pricing models and valuation of Interest Rate Futures ('IRF') is carried out on the basis of the daily settlement price of each contract provided by the exchange.

Premium on options is recognized as income/expense on expiry or early termination of the transaction.

#### Hedging derivatives including funding swaps

Foreign exchange forward contracts not intended for trading (including funding swaps), that are entered into to establish the amount of reporting currency required or available at the settlement date of a transaction, and are outstanding at the Balance Sheet date, are effectively valued at the closing spot rate. The premium or discount arising at the inception of such forward exchange contract is amortised on a straight line basis as expense or income over the life of the contract.

For hedge transactions through other derivatives, the Bank identifies the hedged item (asset or liability) at the inception of transaction itself. The effectiveness is ascertained at the time of inception of the hedge and periodically thereafter. In case of a fair value hedge, the changes in the fair value of the hedging instruments and hedged items are recognized in the Profit and Loss Account and in case of cash flow hedges, the change in fair value of hedging instrument for the effective portion is recognised in Schedule 2- 'Reserves and Surplus' under 'Cash Flow Hedge Reserve' and the ineffective portion of an effective hedging relationship, if any, is recognised in the Profit and Loss Account. The accumulated balance in the Cash Flow Hedge Reserve, in an effective hedging relationship, is recycled in the Profit and Loss Account at the same time that the impact from the hedged item is recognised in the Profit and Loss Account.

### Provisioning

Pursuant to the RBI guidelines any receivables under derivative contracts comprising of crystallised receivables as well as positive MTM in respect of future receivables which remain overdue for more than 90 days are reversed through the Profit and Loss account and are held in a separate suspense account under Schedule 5 – 'Other Liabilities and Provisions'.

### Axis Finance Limited

The Company enters into forward contracts to hedge the foreign currency risk of firm commitments and highly probable forecast transactions. Derivatives are initially recognized at fair value at the date the derivative contracts are entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognized in the Profit and Loss Account immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in the Profit and Loss Account depends on the nature of the hedging relationship and the nature of the hedged item.

### Cash Flow Hedges

A cash flow hedge is a hedge of the exposure to variability in cash flows that (i) is attributable to a particular risk associated with a recognized asset or liability or a highly probable forecast transaction or a firm commitment in respect of foreign currency and (ii) could affect the statement of profit and loss. Under a cash flow hedge, the hedging instrument is measured at fair value, but any gain or loss that is determined to be an effective hedge is recognized in equity, e.g., cash flow hedge reserve. The ineffective portion of the gain or loss on the hedging instrument is recognized immediately in the Profit and Loss Account.

### Fair Value Hedges

A fair value hedge is a hedge of the exposure to changes in fair value of a recognised asset or liability or an unrecognised firm commitment, or an identified portion of such an asset, liability or firm commitment, that is attributable to a particular risk and could affect the Profit and Loss Account. When applying fair value hedge accounting, the hedging instrument is measured at fair value with changes in fair value recognised in the Profit and Loss Account. The hedged item is remeasured at fair value in respect of the hedged risk even if normally it is measured at cost, e.g., a fixed rate borrowing. Any resulting adjustment to the carrying amount of the hedged item related to the hedged risk is recognised in the Profit and Loss Account even if normally such a change may not be recognised, e.g., for inventory being hedged for fair value changes. The fair value changes of the hedged item and the hedging instrument will offset and result in no net impact in the Profit and Loss Account except for the impact of ineffectiveness.

## 4.9 Revenue recognition

### Axis Bank Ltd.

Interest income is recognised on an accrual basis in accordance with AS-9, Revenue Recognition as notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014, the Companies (Accounting Standards) Rules, 2021 and the RBI guidelines except in the case of interest income on non-performing assets where it is recognised on receipt basis as per the income recognition and asset classification norms of RBI. Any discount or premium on the investments in debt-securities is amortised as interest income over the remaining life of the instrument. Interest income on investments in PTCs is recognized on a constant yield basis.

Commission on Guarantees and Letters of Credit ('LC') is recognised on a pro-rata basis over the period of the Guarantee/LC. Locker rent is recognized on a straight-line basis over the period of contract. Annual fee for credit cards and debit cards is recognised on a straight-line basis over the period of service. Arrangership/syndication fee is accounted for on completion of the agreed service and when the right to receive is established.

Loan processing fee is accounted for upfront when due, where the Bank is reasonably certain of ultimate collection. Penal charges on loans are recognized as income on actual realization.

Other fees and commission income are recognised when due, where the Bank is reasonably certain of ultimate collection. Payouts made to network partners and entities with co-branded arrangements, in the nature of sharing of fees or based on driver of volume/spends are netted off from the respective fee and commission income.

Dividend income is accounted on an accrual basis when the right to receive the dividend is established.

Income from units of mutual funds / AIFs / VCFs is recognised on cash basis in line with regulatory guidelines.

Gain/loss on sell down of loans and advances through direct assignment is recognised at the time of sale.

Fees paid for purchase of PSLCs are amortised on straight-line basis over the tenor of the certificate as 'Other Expenditure' under Schedule 16 of the Profit and Loss Account. Fees received on sale of PSLCs are amortised on straight-line basis over the tenor of the certificate as 'Miscellaneous Income' under Schedule 14 of the Profit and Loss Account.

In accordance with RBI guidelines on sale of non-performing advances, if the sale is at a price below the net book value (i.e. book value less provisions held), the shortfall is charged to the Profit and Loss Account. If the sale is for a value higher than the net book value, the excess provision is credited to the Profit and Loss Account in the year the amounts are received.

### **Subsidiaries**

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Fee income is recognised on the basis of accrual when all the services are performed and there is reasonable certainty of ultimate collection.

Interest income is recognised on an accrual basis.

Dividend income is accounted on an accrual basis when the right to receive the dividend is established.

Income from sale of investments is determined on weighted average basis and recognised on the trade date basis.

### **Axis Capital Limited**

Brokerage income in relation to stock broking activity is recognised as per contracted rates at the execution of transactions on behalf of the customers on a trade date basis. Gains/losses on dealing in securities are recognised on a trade date basis.

Revenue from issue management, loan syndication, and financial advisory services is recognised based on the stage of completion of assignments and terms of agreement with the client.

Selling commission/brokerage generated from primary market operations i.e. procuring subscriptions from investors for public offerings of companies, mutual funds, etc. is recorded on determination of the amount due to the Company, once the allotment of securities is completed.

### **Axis Trustee Services Limited**

Annual fees for trusteeship services and servicing fees are recognised, on a straight line basis, over the period when services are performed. Initial acceptance fee for trusteeship services is recognised as and when the 'Offer Letter' for the services to be rendered is accepted by the customer.

Realised gains and losses on mutual funds are dealt with in the Profit and Loss Account. The cost of units in mutual funds sold is determined on a FIFO basis for the purpose of recording gains or losses on sale/redemption of such units.

### **Axis Asset Management Company Limited**

Management fees are recognised on accrual basis. The fees charged are in accordance with the terms of scheme information documents of respective schemes and are in line with the provisions of SEBI (Mutual Funds) Regulations, 1996 as amended from time to time.

Management fees from Portfolio Management Services, Alternate Investment Fund and Investment advisory fees-offshore are recognized on an accrual basis as per the terms of the contract with the customers.

### **Axis Mutual Fund Trustee Limited**

Trustee fee is recognised on accrual basis, at the specific amount approved by the Board of Directors of the Company, within the limits specified under the Deed of Trust, and is applied on the net assets of each scheme of Axis Mutual Fund.



### Axis Finance Limited

Interest income is recognized on an accrual basis except in the case of interest income on non-performing assets where it is recognised upon realisation, as per the income recognition and asset classification norms prescribed by the RBI.

Income on discounted instruments is recognised over the tenure of the instrument on a straight-line method.

Front end fees on processing of loans are recognised upfront as income.

### Axis Securities Limited

Business sourcing and resource management fees are recognised on accrual basis in accordance with the terms and contracts entered between the Company and counterparty.

Brokerage income on securities is recognised as per contracted rates at the execution of transactions on behalf of the customers on the trade date.

Gains/ losses on dealing in securities are recognised on a trade date basis.

Fees earned for the provision of services are recognised over time as the customer simultaneously receives and consumes the benefits, as the services are rendered. These include brokerage fees which is fixed at inception irrespective of number of transactions executed. The revenue for such contracts is recognised on consumption of benefits and the balance unutilized plan value is recognised on maturity/ validity of the plan. Lifetime subscription based revenue is recognised at a point in time and other subscriptions are recognised over period of time based on subscription period.

Selling commission/brokerage generated from primary market operations i.e. procuring subscriptions from investors for public offerings of companies, mutual funds etc. is recorded on determination of the amount due to the Company, once the allotment of securities is completed.

Depository fees are recognised on completion of the transaction.

Portfolio management fees are recognised on accrual basis based on fixed percentage of the corpus/fixed amount over the period of service.

### A.Treds Ltd.

Onboarding fee is a one-time fee and is recognised at the time of onboarding of buyer, seller or financier. Transaction fee is recurring in nature and is recognised on time proportion basis over the tenure of transaction. Transaction fee received from sellers is recognised upfront on the date of transaction. The Company follows recognition of annual fees on time proportion basis over the tenure of one year.

### Freecharge Payment Technologies Private Ltd.

Merchant Discount Rate (MDR) is recognised on the basis of successful pay-out to the respective merchants. In addition, through its own application, the Company offers its proprietary Bill Payments & Recharge service on other consumer applications managed by Partners. Revenues from the said service are recognised upon successful recharge / payment confirmation for the transactions executed.

Revenue from services i.e. sound box is recognized when the control in services is transferred as per the terms of the agreement with the merchant i.e. as and when services are rendered.

Revenue from ancillary activities like convenience fee, merchant monetization fees, issuance fees, system integration, paid coupon income, marketing fee etc. is recognised upon rendering of services.

### Axis Pension Fund Management Company Ltd.

Investment management fees are recognised on an accrual basis net of Goods and Services Tax on the daily closing assets under management across respective schemes under pension funds.

Management fees from schemes defined by the PFRDA are recognized on an accrual basis as per the terms defined by PFRDA.

Interest income on debt investments is recognised on accrual basis. Amortisation of premium or accretion of discount on debt investments is recognised over the period of maturity/holding of the investment on a straight-line basis.

#### 4.10 Scheme expenses

##### Axis Asset Management Company Ltd.

##### New fund offer expenses

Expenses relating to new fund offer of Axis Mutual Fund are charged to the Profit and Loss Account in the year in which they are incurred.

##### Commission

Commission paid on Alternate Investment Fund schemes is amortized over the minimum tenure of the scheme. The unamortized portion of the commission is carried forward as prepaid expense.

#### 4.11 Bullion

The Bank deals in bullion on a consignment basis. The difference between the amount recovered from customers and cost of bullion is accounted for at the time of sale to the customers. The Bank also deals in bullion on a borrowing and lending basis and the interest paid/received is accounted for on an accrual basis.

#### 4.12 Fixed assets and depreciation

##### Group

Fixed assets are carried at cost of acquisition less accumulated depreciation and impairment, if any. Cost includes initial handling and delivery charges, duties, taxes and incidental expenses related to the acquisition and installation of the asset. Subsequent expenditure incurred on assets put to use is capitalised only when it increases the future economic benefit / functioning capability from / of such assets.

Capital work-in-progress includes cost of fixed assets that are not ready for their intended use and also includes advances paid to acquire fixed assets.

Depreciation is provided over the estimated useful life of a fixed asset on a straight-line method from the date of addition. The Management believes that depreciation rates currently used, fairly reflect its estimate of the useful lives and residual values of fixed assets based on the historical experience of the Group, though these rates in certain cases are different from those prescribed under Schedule II of the Companies Act, 2013. Whenever there is a revision of the estimated useful life of an asset, the unamortised depreciable amount is charged over the revised remaining useful life of the said asset.

| Asset                                         | Estimated useful life            | As per Companies Act, 2013 |
|-----------------------------------------------|----------------------------------|----------------------------|
| Leased Land                                   | As per the term of the agreement | -                          |
| Owned premises                                | 60 years                         | 60 years                   |
| Furniture and Fittings including interior     | 9 years to 10 years              | 10 years                   |
| Office/Electrical equipment and installations | 5 years to 10 years              | 5 years to 10 years        |
| Application software                          | 5 years                          | -                          |
| Vehicles                                      | 4 years                          | 8 years                    |
| Computer hardware including printers          | 3 years                          | 3 years                    |
| CCTV and video conferencing equipment         | 3 years                          | 5 years                    |

Assets costing less than ₹5,000 individually are fully depreciated in the year of purchase.

Depreciation on assets sold during the year is recognised on a pro-rata basis in the Profit and Loss Accounts till the date of sale.

Gains or losses arising from the retirement or disposal of fixed assets are determined as the difference between the net disposal proceeds and the carrying amount of assets and are recognised as income or expense in the Profit and Loss Account. Further, profit on sale of premises is appropriated to the Capital Reserve Account (net of taxes and transfer to Statutory Reserve) in accordance with RBI instructions.

#### 4.13 Impairment of Fixed Assets

The carrying amounts of fixed assets are reviewed at each Balance Sheet date to ascertain if there is any indication of impairment based on internal/external factors. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital. After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

#### 4.14 Non-banking assets

##### Axis Bank Ltd.

Non-banking assets ('NBAs') acquired in satisfaction of claims include land. In the case of land, the Bank creates provision and follows the accounting treatment as per specific RBI directions.

#### 4.15 Lease Transactions

##### Group

Leases where the lessor effectively retains substantially all the risks and benefits of ownership over the lease term are classified as operating lease. Lease payments for assets taken on operating lease are recognised as an expense in the Profit and Loss Account on a straight-line basis over the lease term, unless the payments are structured to increase in line with expected general inflation to compensate for the lessor's expected inflationary cost increase. Lease income from assets given on operating lease is recognized as income in the Profit and Loss Account on a straight line basis over the lease term.

#### 4.16 Employee benefits

##### Short-term employee benefits

Short-term employee benefits comprise salaries and other compensations payable for services which the employee has rendered during the period. These are recognized at the undiscounted amount in the Profit and Loss Account.

##### Defined benefit plans

The Bank has defined benefit plans in the form of provident fund, gratuity and resettlement allowance. Provident and Gratuity are in the nature of funded defined benefit plans and resettlement allowance is in the nature of unfunded defined benefit plan.

##### ● Provident Fund

##### Axis Bank Ltd.

Retirement benefit in the form of provident fund is a defined benefit plan wherein the contributions are charged to the Profit and Loss Account of the year when such contributions are due and when services are rendered by the employees. Further, an actuarial valuation is conducted by an independent actuary using the Projected Unit Credit Method as at 31 March each year to determine the deficiency, if any, in the interest payable on the contributions as compared to the interest liability as per the statutory rate declared by the Central Government and the shortfall if any due to fluctuations in price or impairment, in the aggregate asset values of the Trust as compared to the market value. Actuarial gains/losses are immediately recognized in the Profit and Loss Account and are not deferred.

The overseas branches of the Bank and its eligible employees contribute a certain percentage of their salary towards respective government schemes as per local regulatory guidelines.

##### Subsidiaries

Retirement benefit in the form of provident fund is a defined contribution scheme with the contribution payable to the provident fund scheme recognised as an expenditure, when an employee renders the related service. The contributions are accounted for on an accrual basis and charged to the Profit & Loss Account.

- **Gratuity**

**Axis Bank Ltd.**

The Bank contributes towards gratuity fund (defined benefit retirement plan) administered by various insurers for eligible employees. Under this scheme, the settlement obligation remains with the Bank, although the insurers administer the scheme and determine the contribution premium required to be paid by the Bank. The plan provides a lump sum payment to vested employees at retirement or termination of employment based on the respective employee's salary and the years of employment with the Bank. The liability with regard to the gratuity fund is recognized based on actuarial valuation conducted by an independent actuary using the Projected Unit Credit Method as at each reporting date based on certain assumptions regarding rate of interest, salary growth, mortality and staff attrition. Actuarial gains/losses are immediately recognized in the Profit and Loss Account and are not deferred.

In respect of employees at overseas branches (other than expatriates), the liability with regard to gratuity is provided on the basis of a prescribed method as per local laws, wherever applicable.

**Subsidiaries**

Gratuity liability is a defined benefit obligation and is provided for on the basis of an actuarial valuation using Projected Unit Credit Method as at each reporting date. Actuarial gains/losses are immediately recognized in the Profit and Loss Account and are not deferred.

- **Resettlement Allowance**

**Axis Bank Ltd.**

The Bank provides for resettlement allowance liability in the form of six months' pay at the time of separation, for certain eligible employees who moved to the Bank as part of the Citibank India Consumer Business acquisition. Provision for this liability is based on an actuarial valuation conducted by an independent actuary using the Projected Unit Credit Method as at 31 March each year based on certain assumptions regarding discount rate and salary escalation rate.

- **Compensated Absences**

**Subsidiaries (Axis Capital Limited, Freecharge Payment Technologies Private Limited and Freecharge Business and Technology Services Limited)**

Accumulated leave, which is expected to be utilized within the next 12 months, is treated as short-term employee benefit. The expected cost of such absences is measured as the additional amount that is expected to be paid as a result of the unused entitlement that has accumulated at the reporting date.

Accumulated leave which is expected to be carried forward beyond twelve months is treated as long-term employee benefit for measurement purposes. Such compensated absences are provided for based on the actuarial valuation using the projected unit credit method at the year-end. Actuarial gains/losses are immediately recognised in the Profit and Loss Account and are not deferred.

**Defined Contribution plans**

- **Superannuation**

**Axis Bank Ltd.**

Select employees of the Bank are entitled to receive retirement benefits under the Bank's superannuation scheme either under a cash-out option through salary or under a defined contribution plan. For the employees covered under the defined contribution plan the Bank contributes annually a sum equal to 10% of the employee's eligible annual basic salary to the Life Insurance Corporation of India (LIC), which undertakes to pay the lump sum and annuity benefit payments pursuant to the scheme. Such contributions are recognised in the Profit and Loss Account in the period in which they accrue.

- **National Pension Scheme ('NPS')**

**Group**

In respect of employees who opt for contribution to the NPS, the Group contributes a certain percentage of the total basic salary of such employees to the aforesaid scheme, a defined contribution plan, which is managed and administered by pension fund management companies. Such contributions are recognised in the Profit and Loss Account in the period in which they accrue.

#### 4.17 Reward points

**Axis Bank Ltd.**

The Bank runs a loyalty program which seeks to recognize and reward customers based on their relationship with the Bank. Under the program, eligible customers are granted loyalty points redeemable in future, subject to certain conditions. In addition, the Bank continues to grant reward points in respect of certain credit cards (not covered under the loyalty program). The Bank estimates the provision for such loyalty/reward points using an actuarial method at the Balance Sheet date through an independent actuary, basis assumptions such as redemption rate, lapse rate, discount rate, value of reward points etc. Provision for the said reward points is then made based on the actuarial valuation report as furnished by the said independent actuary.

#### 4.18 Taxation

**Group**

Income tax expense is the aggregate amount of current tax and deferred tax charge. Current year taxes are determined in accordance with the relevant provisions of the Income Tax Act, 1961 and considering the material principles set out in the Income Computation and Disclosure Standards to the extent applicable. Deferred income taxes reflect the impact of current year timing differences between taxable income and accounting income for the year and reversal of timing differences of earlier years.

Deferred tax is measured based on the tax rates and the tax laws enacted or substantively enacted at the Balance Sheet date. Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off assets against liabilities representing current tax and the deferred tax assets and deferred tax liabilities relate to the taxes on income levied by same governing taxation laws.

Deferred tax assets are recognised only to the extent that there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised. The impact of changes in the deferred tax assets and liabilities is recognised in the Profit and Loss Account.

Deferred tax assets are recognised and reassessed at each reporting date, based upon the Management's judgement as to whether realisation is considered as reasonably certain. Deferred tax assets are recognised on carry forward of unabsorbed depreciation and tax losses only if there is virtual certainty supported by convincing evidence that such deferred tax asset can be realised against future profits.

#### 4.19 Share issue expenses

**Group**

Share issue expenses are adjusted from the Share Premium Account in terms of Section 52 of the Companies Act, 2013.

#### 4.20 Corporate Social Responsibility

**Group**

Expenditure towards Corporate Social Responsibility is recognised in the Profit and Loss Account in accordance with the provisions of the Companies Act, 2013.

#### 4.21 Earnings per share

##### Group

The Group reports basic and diluted earnings per share in accordance with AS-20, Earnings per Share, as notified under Section 133 of the Companies Act, 2013 read together with the Companies (Accounts) Rules, 2014 and the Companies (Accounting Standards) Rules, 2021. Basic earnings per share is computed by dividing the net profit after tax by the weighted average number of equity shares outstanding for the year.

Diluted earnings per share reflects the potential dilution that could occur if securities or other contracts to issue equity shares were exercised or converted during the year. Diluted earnings per share is computed using the weighted average number of equity shares and dilutive potential equity shares outstanding at the year end except where the results are anti-dilutive.

#### 4.22 Employee stock option/unit scheme

##### Axis Bank Ltd.

The Employee Stock Option Scheme ('the Scheme') provides for grant of stock options on equity shares of the Bank to employees and Directors of the Bank and its subsidiaries. Under the Scheme, options are granted at an exercise price, which is equal to the fair market price of the underlying equity shares at the date of the grant. The fair market price is the latest available closing price, prior to the date of grant, on the stock exchange on which the shares of the Bank are listed. If the shares are listed on more than one stock exchange, then the stock exchange where there is highest trading volume on the said date is considered.

Further, the Employees Stock Unit Scheme ('the ESU Scheme') provides for grant of stock units convertible into equivalent number of fully paid-up equity share(s) of the Bank to eligible employees. The stock units are granted at an exercise price as determined by the Bank and specified at the time of grant which shall not be less than the face value of the equity shares of the Bank.

As per RBI guidelines, for options/units granted after 31 March, 2021, the Bank follows the fair value method and recognizes the fair value of such options/units computed using the Black-Scholes model without reducing estimated forfeitures, as compensation expense over the vesting period. On exercise of the stock options/units, the corresponding balance under Employee Stock Options/Units Outstanding account is transferred to the Share Premium account. In respect of the options/units which expire unexercised, the balance standing to the credit of Employee Stock Options/Units Outstanding account is transferred to the General Reserve. In respect of Employee Stock Options/Units which are granted to the employees of the subsidiaries, the Bank recovers the cost from the subsidiaries over the vesting period.

##### Axis Finance Limited

On September 11, 2025, Axis Finance Ltd. (the Company) introduced its own Employee Stock Option Plan (ESOP) under which options are granted to eligible employees. The Company estimates the fair value of underlying equity shares as on the grant date using the Black-Scholes Model and amortises the same as employee compensation cost over the vesting period on a straight-line basis, based on the number of options expected to vest, with a corresponding increase in equity. In the event of cancellation or lapse of unvested options, the previously recognized cost is reversed in the Profit and Loss Account.

#### 4.23 Provisions, contingent liabilities and contingent assets

##### Group

In accordance with AS-29 "Provisions, Contingent Liabilities and Contingent Assets" provision is recognised when the Group has a present obligation as a result of past event where it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on the best estimate required to settle the obligation at the Balance Sheet date. These are reviewed at each Balance Sheet date and adjusted to reflect the current best estimates.



A disclosure of contingent liability is made when there is:

- a possible obligation arising from a past event, the existence of which will be confirmed by occurrence or non-occurrence of one or more uncertain future events not within the control of the Group; or
- a present obligation arising from a past event which is not recognised as it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.

When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

Contingent assets are not recognised in the financial statements. However, contingent assets are assessed continually and if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

### Subsidiaries

Where doubtful debt remains unrecovered till the end of the year, the same is written off and reversed from the debtors account. Specific provisions are created in certain cases where recovery is assessed as doubtful even before the due date.

## 4.24 Accounting for dividend

### Group

As per AS-4 'Contingencies and Events occurring after the Balance Sheet date' as notified by the Ministry of Corporate Affairs through the Companies (Accounting Standards) Rules, 2021, the Group does not account for proposed dividend as a liability through appropriation from the Profit and Loss Account. The same is recognised in the year of actual payout post approval of the shareholders. However, the Bank considers proposed dividend in determining capital funds in computing the capital adequacy ratio as on the reporting date.

## 4.25 Cash and cash equivalents

### Group

Cash and cash equivalents include cash in hand, rupee digital currency, balances with RBI, balances with other banks and money at call and short notice.

## 4.26 Segment Reporting

### Group

The disclosure relating to segment information is made in accordance with AS-17: 'Segment Reporting' and relevant guidelines issued by the RBI.

**18 Notes forming part of the consolidated Financial Statements**

For the year ended 31 March, 2026

**1. Disclosures****1.1 'Provisions and contingencies' recognised in the Profit and Loss Account comprise of:**

|                                                                                                                                               | (₹ in crores)    |                  |
|-----------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
| For the year ended                                                                                                                            | 31 March, 2026   | 31 March, 2025   |
| Provision for income tax <sup>1</sup>                                                                                                         |                  |                  |
| - Current tax                                                                                                                                 | 7,712.67         | 8,160.63         |
| - Deferred tax [(Refer note 18 (1.11))]                                                                                                       | (1,913.03)       | 449.79           |
|                                                                                                                                               | <b>5,799.64</b>  | <b>8,610.42</b>  |
| Provision for non-performing assets (including bad debts written off, net of write backs and recoveries in written off accounts) <sup>2</sup> | 9,758.70         | 7,817.29         |
| Provision for restructured assets                                                                                                             | 1.83             | (0.80)           |
| Provision for Covid-19 restructuring & MSME restructuring                                                                                     | (195.12)         | (143.48)         |
| Provision towards standard assets <sup>3</sup>                                                                                                | 1,964.96         | 96.12            |
| Provision for unhedged foreign currency exposures                                                                                             | 161.44           | (54.74)          |
| Provision for country risk                                                                                                                    | 25.49            | 10.57            |
| Additional provision for delay in implementation of resolution plan                                                                           | (18.18)          | (38.44)          |
| Provision for probable legal cases                                                                                                            | 28.96            | 527.55           |
| Provision for other contingencies <sup>4</sup>                                                                                                | 1,889.01         | (47.72)          |
| <b>Total</b>                                                                                                                                  | <b>19,416.73</b> | <b>16,776.77</b> |

1. In the financial year 2022-23, the Bank acquired Citibank's India Consumer Business from Citibank N.A. (acting through its branch in India) ("CBNA") and the NBFC Consumer Business from Citicorp Finance (India) Limited ("CFIL") collectively referred to as Citi India Consumer Business on a going concern basis. In accordance with an independent valuer's report, intangibles (excluding goodwill) amounting to ₹8,714.25 crores were recognised in the Bank's financial statements. Despite retaining access to and business use of these assets, as a prudent measure aimed at protecting its capacity to pay dividends, the Bank opted to fully amortise these intangibles through the Profit and Loss account in FY 2022-23. Furthermore, the Bank elected not to create any deferred tax asset in FY 2022-23 on such intangibles, nor did the Bank consider the deductibility on the said intangibles while providing for current tax in the books until the regular tax assessment for the said financial year was completed. During the year ended 31 March 2026, following the conclusion of regular assessment proceedings by the income tax authorities, tax depreciation on these intangibles was allowed. As a result, the tax expense for FY26 is lower by ₹2,193.20 crores, which includes the reversal of excess tax provisions made in prior years amounting to ₹1,129.80 crores, reduction of current year's tax expense by ₹265.85 crores and recognition of a deferred tax asset of ₹797.55 crores
2. includes provision for non-performing advances of ₹13,282.50 crores (previous year ₹11,866.99 crores) and provision on non-performing investments of ₹65.86 crores (previous year provision of ₹222.51 crores), net of recoveries from written off accounts of ₹3,589.66 crores (previous year ₹3,827.19 crores)
3. During the year ended 31 March, 2026, following an RBI advisory, post its FY25 annual inspection, the Bank in Q2FY26 made an additional one-time standard asset provision of ₹1,231 crores for declassified PSL loans. The customer terms remain unchanged. This provision will be written back to the P&L upon all the declassified loans being made compliant, recovered or closed in the normal course, no later than March 31, 2028. No divergence in asset quality or NPA provisioning was identified in the said annual inspection
4. During the year, the Bank took the initiative to further strengthen its balance sheet by voluntarily enhancing its prudent provisioning framework for standard assets. In line with this framework, an additional one-time provision of ₹2,001 crores was made during the quarter. This measure is entirely prudent and does not indicate any concerns regarding asset quality or adverse credit developments in the Bank's loan or investment portfolio as of the reporting date

**1.2 Capital instruments****a) Share Capital**

During the years ended 31 March, 2026 and 31 March, 2025, the Bank has not raised equity capital other than through allotment of equity shares upon exercise of options/units under its Employees Stock Option/Unit Scheme. During the year ended 31 March, 2026, pursuant to the exercise of options/units, the Bank has raised ₹680.88 crores, consisting of share capital of ₹2.16 crores and share premium of ₹678.72 crores (previous year ₹685.87 crores, consisting of share capital of ₹2.16 crores and share premium of ₹683.71 crores).

### b) Other capital instruments

During the year ended 31 March, 2026, the Bank has not raised any non-equity Basel III compliant Tier-I/ Tier-II capital.

During the year ended 31 March, 2026, the Bank redeemed non-equity Basel III compliant Tier-II capital, the details of which are set out below:

| Instrument        | Capital | Date of maturity   | Period     | Coupon | Amount           |
|-------------------|---------|--------------------|------------|--------|------------------|
| Subordinated debt | Tier-II | 30 September, 2025 | 120 months | 8.50%  | ₹1,500.00 crores |

During the year ended 31 March, 2025, the Bank has not raised any non-equity Basel III compliant Tier-I/ Tier-II capital.

During the year ended 31 March, 2025, the Bank redeemed non-equity Basel III compliant Tier-I/Tier-II capital, the details of which are set out below:

| Instrument        | Capital   | Date of maturity  | Period     | Coupon | Amount         |
|-------------------|-----------|-------------------|------------|--------|----------------|
| Subordinated debt | Tier - II | 12 February, 2025 | 120 months | 8.45%  | ₹850.00 crores |

### 1.3 Divergence in asset classification and provisioning

In terms of RBI guidelines, banks are required to disclose the divergences in asset classification and provisioning consequent to RBI's annual supervisory process in their notes to accounts to the financial statements. The disclosure is required if either or both of the following conditions are satisfied: (a) the additional provisioning for NPAs assessed by RBI exceeds 5% of the reported profit before provisions and contingencies for the reference period and (b) the additional Gross NPAs identified by RBI exceed 5% of the published incremental Gross NPAs for the reference period.

Based on the above, no disclosure on divergence in asset classification and provisioning for NPAs is required with respect to RBI's annual supervisory process for the year ended 31 March, 2025 and 31 March, 2024.

### 1.4 Earnings Per Share ('EPS')

The details of EPS computation is set out below:

|                                                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|---------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| Basic and Diluted earnings for the year (Net profit after tax) (₹ in crores)                                                    | 26,384.85      | 28,055.11      |
| Basic weighted average no. of shares (in crores)                                                                                | 310.28         | 309.26         |
| Add: Equity shares for no consideration arising on grant of stock options/units under ESOP/ ESU scheme (in crores)              | 2.04           | 1.84           |
| Diluted weighted average no. of shares (in crores)                                                                              | 312.32         | 311.10         |
| Basic EPS (₹)                                                                                                                   | 85.04          | 90.72          |
| Less: Effect of potential equity shares for no consideration arising on grant of stock options/ units under ESOP/ESU scheme (₹) | (0.56)         | (0.54)         |
| Diluted EPS (₹)                                                                                                                 | 84.48          | 90.18          |
| Nominal value of shares (₹)                                                                                                     | 2.00           | 2.00           |

Dilution of equity is on account of 20,373,612 stock options/units (previous year 18,432,380 stock options/units)

### 1.5 Employee Stock Options/Units

#### Axis Bank Limited

Over the period till 31 March 2026, pursuant to the approval of the shareholders the Bank has framed Employee Stock Option Schemes for options aggregating 315,087,000 that vest in a graded manner over 3 to 4 years, subject to vesting conditions. The options can be exercised within five years from the date of the vesting. Further, pursuant to the approval of the shareholders in January 2023, the Bank also framed an Employee Stock Units (ESUs) Scheme aggregating to 50,000,000 units that vest in a graded manner over 3 years, subject to vesting conditions. The ESUs can be exercised within five years from the date of the vesting. Within the respective overall ceilings of options/units

the Bank is authorised to issue options/units to eligible employees and Whole Time Directors (including those of subsidiary companies and Associate entity).

331,417,818 options and 5,112,947 ESUs have been granted under the Schemes till the previous year ended 31 March, 2025. During the year ended 31 March, 2026, pursuant to the approval of the Nomination and Remuneration Committee, the Bank granted options/units (each option representing entitlement to one equity share of the Bank) to eligible employees/directors of the Bank/subsidiary companies as set out below:

| Date of grant    | Options/ESUs | No. of options granted | Grant price (₹ per option/unit) |
|------------------|--------------|------------------------|---------------------------------|
| 25 April, 2025   | Options      | 7,197,426              | 1,207.10                        |
| 25 April, 2025   | ESUs         | 2,213,962              | 2.00                            |
| 16 July, 2025    | Options      | 137,575                | 1,165.90                        |
| 14 January, 2026 | Options      | 103,916                | 1,262.00                        |

Stock option activity under the Scheme for the year ended 31 March, 2026 is set out below:

|                                           | Options outstanding | Range of exercise prices (₹) | Weighted average exercise price (₹) | Weighted average remaining contractual life (Years) |
|-------------------------------------------|---------------------|------------------------------|-------------------------------------|-----------------------------------------------------|
| Outstanding at the beginning of the year  | 46,353,347          | 488.35 to 1,291.65           | 772.73                              | 4.01                                                |
| Granted during the year                   | 7,438,917           | 1165.90 to 1,262.00          | 1,207.10                            | -                                                   |
| Forfeited during the year                 | (1,354,487)         | 488.35 to 1,207.10           | 1,017.76                            | -                                                   |
| Expired during the year                   | (98,943)            | 488.35 to 757.10             | 599.82                              | -                                                   |
| Exercised during the year                 | (9,956,984)         | 488.35 to 1,063.25           | 683.65                              | -                                                   |
| <b>Outstanding at the end of the year</b> | <b>42,381,850</b>   | <b>488.35 to 1,291.65</b>    | <b>862.47</b>                       | <b>3.81</b>                                         |
| Exercisable at the end of the year        | 30,970,974          | 488.35 to 1,291.65           | 756.28                              | 2.99                                                |

The weighted average share price in respect of options exercised during the year was ₹1,223.70.

Stock units activity under the Scheme for the year ended 31 March, 2026 is set out below:

|                                           | Units outstanding | Exercise price (₹) | Weighted average exercise price (₹) | Weighted average remaining contractual life (Years) |
|-------------------------------------------|-------------------|--------------------|-------------------------------------|-----------------------------------------------------|
| Outstanding at the beginning of the year  | 4,267,217         | 2.00               | 2.00                                | 5.75                                                |
| Granted during the year                   | 2,213,962         | 2.00               | 2.00                                | -                                                   |
| Forfeited during the year                 | (311,215)         | 2.00               | 2.00                                | -                                                   |
| Expired during the year                   | -                 | 2.00               | 2.00                                | -                                                   |
| Exercised during the year                 | (846,588)         | 2.00               | 2.00                                | -                                                   |
| <b>Outstanding at the end of the year</b> | <b>5,323,376</b>  | <b>2.00</b>        | <b>2.00</b>                         | <b>5.42</b>                                         |
| Exercisable at the end of the year        | 1,759,298         | 2.00               | 2.00                                | 4.33                                                |

The weighted average share price in respect of units exercised during the year was ₹1,190.76.

Stock option activity under the Scheme for the year ended 31 March, 2025 is set out below:

|                                           | Options outstanding | Range of exercise prices (₹) | Weighted average exercise price (₹) | Weighted average remaining contractual life (Years) |
|-------------------------------------------|---------------------|------------------------------|-------------------------------------|-----------------------------------------------------|
| Outstanding at the beginning of the year  | 52,199,448          | 469.90 to 929.80             | 712.34                              | 4.27                                                |
| Granted during the year                   | 7,105,507           | 1,063.25 to 1,291.65         | 1,066.02                            | -                                                   |
| Forfeited during the year                 | (2,455,328)         | 469.90 to 1,063.25           | 820.58                              | -                                                   |
| Expired during the year                   | (102,753)           | 469.90 to 757.10             | 654.80                              | -                                                   |
| Exercised during the year                 | (10,393,527)        | 469.90 to 848.80             | 659.82                              | -                                                   |
| <b>Outstanding at the end of the year</b> | <b>46,353,347</b>   | <b>488.35 to 1,291.65</b>    | <b>772.73</b>                       | <b>4.01</b>                                         |
| Exercisable at the end of the year        | 34,860,694          | 488.35 to 1,063.25           | 707.90                              | 3.32                                                |

The weighted average share price in respect of options exercised during the year was ₹1,143.23 .

Stock units activity under the Scheme for the year ended 31 March, 2025 is set out below:

|                                           | Units<br>Outstanding | Exercise price (₹) | Weighted average<br>exercise price (₹) | Weighted average<br>remaining contractual<br>life (Years) |
|-------------------------------------------|----------------------|--------------------|----------------------------------------|-----------------------------------------------------------|
| Outstanding at the beginning of the year  | 2,534,240            | 2.00               | 2.00                                   | 6.09                                                      |
| Granted during the year                   | 2,408,870            | 2.00               | 2.00                                   | -                                                         |
| Forfeited during the year                 | (270,729)            | 2.00               | 2.00                                   | -                                                         |
| Expired during the year                   | -                    | -                  | -                                      | -                                                         |
| Exercised during the year                 | (405,164)            | 2.00               | 2.00                                   | -                                                         |
| <b>Outstanding at the end of the year</b> | <b>4,267,217</b>     | <b>2.00</b>        | <b>2.00</b>                            | <b>5.75</b>                                               |
| Exercisable at the end of the year        | 1,057,224            | 2.00               | 2.00                                   | 4.63                                                      |

The weighted average share price in respect of units exercised during the year was ₹1,146.05 .

### Fair Value Methodology

In line with RBI clarification on Guidelines on Compensation of Whole Time Directors/Chief Executive Officers/ Material Risk Takers and Control Function Staff issued on 30 August, 2021, the Bank follows the fair value method for all share-linked instruments granted after 31 March, 2021 and consequently recognizes the fair value of options computed using the Black-Scholes model, without reducing estimated forfeitures, as a compensation expense over the vesting period. During the year, the Group recognised compensation cost of ₹443.58 crores (Previous year ₹430.53 crores) for options/units granted to employees of the Group.

The fair value of the options/units is estimated on the date of the grant using the Black-Scholes options pricing model, with the following assumptions:

|                         | 31 March, 2026   |                  | 31 March, 2025   |                  |
|-------------------------|------------------|------------------|------------------|------------------|
|                         | ESOP             | ESU              | ESOP             | ESU              |
| Dividend yield          | 0.09%-0.11%      | 0.11%            | 0.09%            | 0.09%            |
| Expected life           | 2.95-5.95 years  | 1-3 years        | 2.95-5.95 years  | 1-3 years        |
| Risk free interest rate | 5.80% to 6.28%   | 5.87% to 5.96%   | 6.85% to 7.09%   | 6.95% to 7.06%   |
| Volatility              | 21.61% to 28.38% | 22.85% to 25.51% | 24.00% to 29.15% | 19.89% to 24.01% |

Volatility is the measure of the amount by which a price has fluctuated or is expected to fluctuate during a period. The measure of volatility used in the Black-Scholes options pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. For calculating volatility, the daily volatility of the stock prices on the National Stock Exchange, over a period prior to the date of grant, corresponding with the expected life of the options has been considered.

The weighted average fair value of options granted during the year ended 31 March, 2026 is ₹369.69 (previous year ₹358.68).

The weighted average fair value of units granted during the year ended 31 March, 2026 is ₹1,202.67 (previous year ₹1,059.51).

### Axis Finance Limited

The Board of Directors of Axis Finance Limited ('the Company') at its meeting held on 11 September 2025, approved an issue of stock options (ESOP 2025) upto a maximum of 1.94% of the then issued equity capital of the Company aggregating to 3,60,65,668 equity shares of the face value of ₹10 each in a manner provided in the SEBI (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines 1999.

The options issued under the ESOP 2025 vest over a period of not less than 1 year and not later than 5 years from the date of grant with the vesting condition of continuous employment with the Company or the Group except in case of death or permanent incapacity of an Option Grantee where the minimum vesting period of 1 year from the date of grant shall not apply and settled by issue of shares at exercise price.

The Nomination and Remuneration Committee of the Company has approved the following grants to tenured employees in managerial and leadership positions upon achieving defined thresholds of performance and leadership behaviour in accordance with the ESOP 2025. Details of grants given up to the reporting date under the scheme are given as under:

| Date of grant      | No. of options granted | Grant price (₹ per option) |
|--------------------|------------------------|----------------------------|
| 11 September, 2025 | 13,151,277             | 120.80                     |

Stock option activity under the Scheme for the year ended 31 March, 2026 is set out below:

|                                           | Options outstanding | Range of exercise prices (₹) | Weighted average exercise price (₹) | Weighted average remaining contractual life (Years) |
|-------------------------------------------|---------------------|------------------------------|-------------------------------------|-----------------------------------------------------|
| Outstanding at the beginning of the year  | -                   | -                            | -                                   | -                                                   |
| Granted during the year                   | 13,151,277          | 120.80                       | 120.80                              | 3.50                                                |
| Forfeited during the year                 | (216,336)           | 120.80                       | 120.80                              | 3.50                                                |
| Expired during the year                   | -                   | -                            | -                                   | -                                                   |
| Exercised during the year                 | -                   | -                            | -                                   | -                                                   |
| <b>Outstanding at the end of the year</b> | <b>12,934,941</b>   | <b>120.80</b>                | <b>120.80</b>                       | <b>3.50</b>                                         |
| Exercisable at the end of the year        | -                   | -                            | -                                   | -                                                   |

#### Fair Value Methodology

The Company has used the fair value method to account for the compensation cost of stock options to employees. The fair value of options is estimated on the date of grant using the Black – Scholes Model with the following assumptions:

| Risk free interest rate | Expected life   | Expected volatility | Dividend yield |
|-------------------------|-----------------|---------------------|----------------|
| 6.01% - 6.38%           | 3.5 – 6.5 years | 31.39% - 39.57%     | 0.00%          |

Risk free interest rates over the expected term of the option are based on the government securities yield in effect at the time of the grant. The expected term of an option is estimated based on the average of minimum & maximum life of the options. Expected volatility during the estimated expected term of the option is based on historical volatility determined based on observed market prices of the Company's listed peers.

The weighted average fair value of options granted during the year ended 31 March, 2026 is ₹50.70 (previous year ₹Nil).

For the year ended 31 March 2026, the Company has accounted expense of ₹18.83 crores as employee benefit expenses on the aforesaid employee stock option plan (Previous year ₹Nil).

#### 1.6 Proposed Dividend

The Board of Directors, in their meeting held on 25 April, 2026 have proposed a final dividend of ₹1 per equity share amounting to ₹310.82 crores. The proposal is subject to the approval of shareholders at the Annual General Meeting. In terms of revised Accounting Standard (AS) 4 'Contingencies and Events occurring after the Balance sheet date' as notified by the Ministry of Corporate Affairs through the Companies (Accounting Standards) Rules, 2021, such proposed dividend has not been recognised as a liability as on 31 March, 2026.

During the year, the Bank paid final dividend of ₹1 per equity share amounting ₹310.14 crores pertaining to the previous year ended 31 March, 2025.

#### 1.7 Segmental reporting

The business of the Group is divided into four segments: Treasury, Retail Banking, Corporate/Wholesale Banking and Other Banking Business. These segments have been identified based on the RBI guidelines on Segment Reporting. The principal activities of these segments are as under:



| Segment                                         | Principal Activities                                                                                                                                                                                                                                                                                                                                                                               |
|-------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Treasury                                        | Treasury operations include investments in sovereign and corporate debt, equity and mutual funds, trading operations, derivative trading and foreign exchange operations on the proprietary account and for customers. The Treasury segment also includes the central funding unit.                                                                                                                |
| Retail Banking                                  | Constitutes lending to individuals/small businesses through the branch network and other delivery channels subject to the orientation, nature of product, granularity of the exposure and the quantum thereof. Retail Banking activities also include liability products, card services, internet banking, mobile banking, ATM services, depository, financial advisory services and NRI services. |
| Digital Banking (Sub-segment of Retail Banking) | In accordance with RBI circular DOR.AUT.REC.12/22.01.001/2022-23 dated 7 April 2022 on Establishment of Digital Banking Units, the Bank has presented 'Digital Banking' as a sub-segment of the Retail Banking segment.                                                                                                                                                                            |
| Corporate/Wholesale Banking                     | Includes corporate relationships not included under Retail Banking, corporate advisory services, placements and syndication, project appraisals, capital market related services and cash management services.                                                                                                                                                                                     |
| Other Banking Business                          | Includes para banking activities like third party product distribution and other banking transactions not covered under any of the above three segments.                                                                                                                                                                                                                                           |

Unallocated assets and liabilities - All items which are reckoned at an enterprise level are classified under this segment such as deferred tax, tax paid in advance net of provision, provision for other contingencies towards potential expected losses etc.

Business segments in respect of operations of the subsidiaries have been identified and reported taking into account the customer profile, the nature of product and services and the organisation structure.

Revenues of the Treasury segment primarily consist of fees and gains or losses from trading operations and interest income on the investment portfolio. The principal expenses of the segment consist of interest expense on funds borrowed from external sources and other internal segments, premises expenses, personnel costs, other direct overheads and allocated expenses.

Revenues of the Corporate/Wholesale Banking segment consist of interest and fees earned on loans given to customers falling under this segment and fees arising from transaction services and merchant banking activities such as syndication and debenture trusteeship. Revenues of the Retail Banking segment are derived from interest earned on loans classified under this segment, fees for banking and advisory services, ATM interchange fees and cards products. Expenses of the Corporate/Wholesale Banking and Retail Banking segments primarily comprise interest expense on deposits and funds borrowed from other internal segments, infrastructure and premises expenses for operating the branch network and other delivery channels, personnel costs, other direct overheads and allocated expenses.

Segment income includes earnings from external customers and from funds transferred to the other segments. Segment result includes revenue as reduced by interest expense and operating expenses and provisions, if any, for that segment. Segment-wise income and expenses include certain allocations. Inter segment interest income and interest expense represent the transfer price received from and paid to the Central Funding Unit (CFU) respectively. For this purpose, the funds transfer pricing mechanism presently followed by the Group, which is based on historical matched maturity and internal benchmarks, has been used by the Group and relied upon by the Statutory Auditors. Operating expenses other than those directly attributable to segments are allocated to the segments based on an activity-based costing methodology. All activities in the Group are segregated segment-wise and allocated to the respective segment.

Segmental results are set out below:

(₹ in crores)

|                                                                        | 31 March, 2026    |                                    |                             |                                     |                         |                           |               | Total             |
|------------------------------------------------------------------------|-------------------|------------------------------------|-----------------------------|-------------------------------------|-------------------------|---------------------------|---------------|-------------------|
|                                                                        | Treasury          | Corporate/<br>Wholesale<br>Banking | Retail Banking              |                                     |                         | Other Banking<br>Business | Unallocated   |                   |
|                                                                        |                   |                                    | Digital Banking<br>Business | Other Retail<br>Banking<br>Business | Total Retail<br>Banking |                           |               |                   |
| <b>Segment Revenue</b>                                                 |                   |                                    |                             |                                     |                         |                           |               |                   |
| Gross interest income (external customers)                             | 27,662.49         | 37,954.71                          | 17,007.23                   | 49,850.23                           | 66,857.46               | 0.01                      | 63.57         | 132,538.24        |
| Other income                                                           | 2,892.50          | 6,541.39                           | 8,320.69                    | 5,586.30                            | 13,906.99               | 6,332.83                  | -             | 29,673.71         |
| <b>Total income as per Profit and Loss Account</b>                     | <b>30,554.99</b>  | <b>44,496.10</b>                   | <b>25,327.92</b>            | <b>55,436.53</b>                    | <b>80,764.45</b>        | <b>6,332.84</b>           | <b>63.57</b>  | <b>162,211.95</b> |
| Add/(less) inter segment interest income                               | 2,716.82          | 8,004.44                           | 14,327.81                   | 54,309.26                           | 68,637.07               | -                         | -             | 79,358.33         |
| <b>Total segment revenue</b>                                           | <b>33,271.81</b>  | <b>52,500.54</b>                   | <b>39,655.73</b>            | <b>109,745.79</b>                   | <b>149,401.52</b>       | <b>6,332.84</b>           | <b>63.57</b>  | <b>241,570.28</b> |
| Less: Interest expense (external customers)                            | 20,675.20         | 1,242.73                           | 12,135.43                   | 40,021.63                           | 52,157.06               | -                         | -             | 74,074.99         |
| Less: Inter segment interest expense                                   | 7,053.47          | 30,646.11                          | 8,027.85                    | 33,630.90                           | 41,658.75               | -                         | -             | 79,358.33         |
| Less: Operating expenses                                               | 358.68            | 7,617.27                           | 10,038.61                   | 23,290.10                           | 33,328.71               | 921.75                    | -             | 42,226.41         |
| <b>Operating profit</b>                                                | <b>5,184.46</b>   | <b>12,994.43</b>                   | <b>9,453.84</b>             | <b>12,803.16</b>                    | <b>22,257.00</b>        | <b>5,411.09</b>           | <b>63.57</b>  | <b>45,910.55</b>  |
| Less: Provision for non-performing assets/others <sup>1</sup>          | 119.92            | 818.72                             | 5,198.81                    | 7,479.61                            | 12,678.42               | 0.02                      | -             | 13,617.08         |
| <b>Segment result</b>                                                  | <b>5,064.54</b>   | <b>12,175.71</b>                   | <b>4,255.03</b>             | <b>5,323.55</b>                     | <b>9,578.58</b>         | <b>5,411.07</b>           | <b>63.57</b>  | <b>32,293.47</b>  |
| Less: Provision for tax                                                |                   |                                    |                             |                                     |                         |                           |               | 5,799.65          |
| <b>Net Profit before minority interest and earnings from Associate</b> |                   |                                    |                             |                                     |                         |                           |               | <b>26,493.82</b>  |
| Less: Minority Interest                                                |                   |                                    |                             |                                     |                         |                           |               | 163.06            |
| Add: Share of Profit in Associate                                      |                   |                                    |                             |                                     |                         |                           |               | 54.09             |
| Extraordinary profit/loss                                              |                   |                                    |                             |                                     |                         |                           |               | -                 |
| <b>Net Profit</b>                                                      |                   |                                    |                             |                                     |                         |                           |               | <b>26,384.85</b>  |
| Segment assets                                                         | 6,16,649.52       | 5,94,824.55                        | 1,48,123.32                 | 5,73,586.39                         | 7,21,709.71             | 4,113.02                  | 8,753.49      | 19,46,050.29      |
| Segment liabilities                                                    | 3,82,781.74       | 2,56,187.38                        | 2,19,472.46                 | 8,65,393.90                         | 10,84,866.36            | 223.21                    | 8,412.682     | 17,32,471.37      |
| <b>Net assets</b>                                                      | <b>233,867.78</b> | <b>338,637.17</b>                  | <b>(71,349.14)</b>          | <b>(291,807.51)</b>                 | <b>(363,156.65)</b>     | <b>3,889.81</b>           | <b>340.81</b> | <b>213,578.92</b> |
| <b>Capital expenditure for the year</b>                                | 10.97             | 429.03                             | 397.56                      | 1,173.66                            | 1,571.22                | 49.90                     | -             | 2,061.12          |
| <b>Depreciation on fixed assets for the year</b>                       | 10.13             | 381.02                             | 367.10                      | 1,085.76                            | 1,452.86                | 48.93                     | -             | 1,892.94          |

1. represents material non-cash items other than depreciation

2. includes minority interest of ₹798.19 crores



(₹ in crores)

31 March, 2025

|                                                                        | Treasury          | Corporate/<br>Wholesale<br>Banking | Retail Banking              |                                     |                         | Other Banking<br>Business | Unallocated           | Total             |
|------------------------------------------------------------------------|-------------------|------------------------------------|-----------------------------|-------------------------------------|-------------------------|---------------------------|-----------------------|-------------------|
|                                                                        |                   |                                    | Digital Banking<br>Business | Other Retail<br>Banking<br>Business | Total Retail<br>Banking |                           |                       |                   |
| <b>Segment Revenue</b>                                                 |                   |                                    |                             |                                     |                         |                           |                       |                   |
| Gross interest income (external customers)                             | 25,251.54         | 35,230.05                          | 15,446.07                   | 51,077.71                           | 66,523.78               | -                         | 368.72                | 127,374.09        |
| Other income                                                           | 3,555.25          | 5,682.83                           | 7,685.28                    | 5,658.08                            | 13,343.36               | 5,961.33                  | -                     | 28,542.77         |
| <b>Total income as per Profit and Loss Account</b>                     | <b>28,806.79</b>  | <b>40,912.88</b>                   | <b>23,131.35</b>            | <b>56,735.79</b>                    | <b>79,867.14</b>        | <b>5,961.33</b>           | <b>368.72</b>         | <b>155,916.86</b> |
| Add/(less) inter segment interest income                               | 3,545.25          | 8,447.91                           | 11,189.01                   | 53,694.40                           | 64,883.41               | -                         | -                     | 76,876.57         |
| <b>Total segment revenue</b>                                           | <b>32,352.04</b>  | <b>49,360.79</b>                   | <b>34,320.36</b>            | <b>1,10,430.19</b>                  | <b>1,44,750.55</b>      | <b>5,961.33</b>           | <b>368.72</b>         | <b>232,793.43</b> |
| Less: Interest expense (external customers)                            | 20,479.18         | 1,705.37                           | 9,215.82                    | 39,635.94                           | 48,851.76               | -                         | -                     | 71,036.31         |
| Less: Inter segment interest expense                                   | 5,368.43          | 29,251.88                          | 7,164.82                    | 35,091.44                           | 42,256.26               | -                         | -                     | 76,876.57         |
| Less: Operating expenses                                               | 491.47            | 6,012.71                           | 10,151.13                   | 22,477.19                           | 32,628.32               | 859.54                    | -                     | 39,992.04         |
| <b>Operating profit</b>                                                | <b>6,012.96</b>   | <b>12,390.83</b>                   | <b>7,788.59</b>             | <b>13,225.62</b>                    | <b>21,014.21</b>        | <b>5,101.79</b>           | <b>368.72</b>         | <b>44,888.51</b>  |
| Less: Provision for non-performing assets/others <sup>1</sup>          | (1,182.68)        | (844.29)                           | 5,590.49                    | 4,631.47                            | 10,221.96               | 0.02                      | (28.66)               | 8,166.35          |
| <b>Segment result</b>                                                  | <b>7,195.64</b>   | <b>13,235.12</b>                   | <b>2,198.10</b>             | <b>8,594.15</b>                     | <b>10,792.25</b>        | <b>5,101.77</b>           | <b>397.38</b>         | <b>36,722.16</b>  |
| Less: Provision for tax                                                |                   |                                    |                             |                                     |                         |                           |                       | 8,610.42          |
| <b>Net Profit before minority interest and earnings from Associate</b> |                   |                                    |                             |                                     |                         |                           |                       | <b>28,111.74</b>  |
| Less: Minority Interest                                                |                   |                                    |                             |                                     |                         |                           |                       | 135.69            |
| Add: Share of Profit in Associate                                      |                   |                                    |                             |                                     |                         |                           |                       | 79.06             |
| Extraordinary profit/loss                                              |                   |                                    |                             |                                     |                         |                           |                       | -                 |
| <b>Net Profit</b>                                                      |                   |                                    |                             |                                     |                         |                           |                       | <b>28,055.11</b>  |
| Segment assets                                                         | 535,932.97        | 445,384.54                         | 127,728.56                  | 537,802.52                          | 665,531.08              | 3,224.78                  | 6,889.24              | 1,656,962.61      |
| Segment liabilities                                                    | 294,035.21        | 233,574.59                         | 174,174.82                  | 760,214.82                          | 934,389.64              | 231.22                    | 8,679.12 <sup>2</sup> | 1,470,909.78      |
| <b>Net assets</b>                                                      | <b>241,897.76</b> | <b>211,809.95</b>                  | <b>(46,446.26)</b>          | <b>(222,412.30)</b>                 | <b>(268,858.56)</b>     | <b>2,993.56</b>           | <b>(1,789.88)</b>     | <b>186,052.83</b> |
| <b>Capital expenditure for the year</b>                                | 14.88             | 509.33                             | 458.99                      | 1,522.44                            | 1,981.43                | 86.14                     | -                     | 2,591.78          |
| <b>Depreciation on fixed assets for the year</b>                       | 10.24             | 346.36                             | 315.83                      | 1,045.57                            | 1,361.40                | 48.97                     | -                     | 1,766.97          |

1. represents material non-cash items other than depreciation

2. includes minority interest of ₹635.13 crores

**Geographic Segments**

(₹ in crores)

|                                           | Domestic       |                | International  |                | Total          |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                           | 31 March, 2026 | 31 March, 2025 | 31 March, 2026 | 31 March, 2025 | 31 March, 2026 | 31 March, 2025 |
| Revenue                                   | 159,136.46     | 152,580.80     | 3,075.49       | 3,336.05       | 162,211.95     | 155,916.85     |
| Assets                                    | 1,868,754.06   | 1,600,411.89   | 77,296.22      | 56,550.72      | 1,946,050.29   | 1,656,962.61   |
| Capital expenditure for the year          | 2,058.68       | 2,585.29       | 2.44           | 6.49           | 2,061.12       | 2,591.78       |
| Depreciation on fixed assets for the year | 1,891.22       | 1,765.61       | 1.71           | 1.36           | 1,892.94       | 1,766.97       |

**1.8 Related party disclosure**

The related parties of the Group are broadly classified as:

**a) Promoter**

The Bank has identified the following entities as its Promoter:

- Life Insurance Corporation of India (LIC)

**b) Key Management Personnel**

- Mr. Amitabh Chaudhry (MD & CEO)
- Mr. Rajiv Anand (Deputy Managing Director) (up to 2 August, 2025)
- Mr. Subrat Mohanty (Executive Director)
- Mr. Munish Sharda (Executive Director)
- Mr. Neeraj Gambhir (Executive Director) (with effect from 20 October, 2025)

**c) Relatives of Key Management Personnel**

Ms. Preeti Chaudhry, Mr. Anagh Chaudhry, Mr. Aruj Chaudhry, Mr. Aryan Chaudhry, Ms. Rajul Parekh, Ms. Chhavi Kharb, Mr. Ashok Kharb, Mr. Om Singh Chaudhry, Ms. Kusum Chaudhry, Ms. Gitanjali Anand, Ms. Tara Anand, Ms. Nandita Anand, Mr. P.L. Narain, Mr. P. Srinivas, Ms. Ratna Rao Shekar, Ms. Charu Narain, Ms. K Ramalakshmi, Ms. Smitha Mohanty, Mr. Agastya Mohanty, Mr. Rajat Mohanty, Ms. Neelima Mohanty, Mr. Narasingh Mohanty, Ms. Gitashree Mohanty, Ms. Rima Sharda, Ms. Tanya Sharda, Ms. Shashi Sharda, Mr. Rakesh Sharda, Ms. Monica Sharda, Ms. Shalini Chhabra, Ms. Vritika Gambhir, Ms. Ishya Gambhir, Ms. Anu Miglani, Mr. Rajnish Miglani, Ms. Darshan Kumari, Mr. Madan Lal Gambhir.

**d) Associate**

- Axis Max Life Insurance Limited (formerly Max Life Insurance Company Limited)

Based on RBI guidelines, details of transactions with Promoter (Life Insurance Corporation of India) and Associate (Axis Max Life Insurance Limited) are not disclosed since there is only one entity/party in the aforesaid categories.

The details of transactions of the Bank with its related parties during the year ended 31 March, 2026 are given below:

(₹ in crores)

|                                                                  | Key Management Personnel | Relatives of Key Management Personnel | Total |
|------------------------------------------------------------------|--------------------------|---------------------------------------|-------|
| Dividend paid                                                    | 0.04                     | 0.00*                                 | 0.04  |
| Interest paid                                                    | 0.52                     | 1.03                                  | 1.55  |
| Interest received                                                | -                        | 0.01                                  | 0.01  |
| Investment of related party in the Bank                          | 17.06                    | -                                     | 17.06 |
| Remuneration paid                                                | 27.93                    | -                                     | 27.93 |
| Advance granted (net)                                            | -                        | -                                     | -     |
| Advance repaid                                                   | -                        | 0.01                                  | 0.01  |
| Rendering of services                                            | 0.02                     | 0.00*                                 | 0.02  |
| Sale/Purchase of foreign exchange currency to/from related party | 0.45                     | 0.01                                  | 0.46  |

# Details of transactions of the Bank with KMP and relatives of KMP are for the period during which the KMP are related parties of the Bank

\* Denotes amount less than ₹50,000/-

The balances payable to/receivable from the related parties of the Group as on 31 March, 2026 are given below:

(₹ in crores)

| Items/Related Party                     | Key Management Personnel | Relatives of Key Management Personnel | Total |
|-----------------------------------------|--------------------------|---------------------------------------|-------|
| Deposits with the Bank                  | 14.93                    | 17.28                                 | 32.21 |
| Advances                                | 0.11                     | 0.07                                  | 0.18  |
| Investment of related party in the Bank | 0.01                     | 0.00*                                 | 0.01  |

\* Denotes amount less than ₹50,000/-

The maximum balances payable to/receivable from the related parties of the Group during the year ended 31 March, 2026 are given below:

(₹ in crores)

| Items/Related Party                     | Key Management Personnel | Relatives of Key Management Personnel | Total |
|-----------------------------------------|--------------------------|---------------------------------------|-------|
| Deposits with the Bank                  | 22.88                    | 17.28                                 | 40.16 |
| Advances                                | 0.25                     | 0.20                                  | 0.45  |
| Investment of related party in the Bank | 0.12                     | 0.00*                                 | 0.12  |

\*Denotes amount less than ₹50,000/-

The details of transactions of the Group with its related parties during the year ended 31 March, 2025 are given below:

(₹ in crores)

| Items/Related Party                                              | Key Management Personnel | Relatives of Key Management Personnel* | Total |
|------------------------------------------------------------------|--------------------------|----------------------------------------|-------|
| Dividend paid                                                    | 0.06                     | 0.00*                                  | 0.06  |
| Interest paid                                                    | 0.38                     | 0.76                                   | 1.14  |
| Interest received                                                | 0.01                     | 0.00*                                  | 0.01  |
| Investment of related party in the Bank                          | 53.29                    | -                                      | 53.29 |
| Remuneration paid                                                | 27.71                    | -                                      | 27.71 |
| Advance granted (net)                                            | -                        | 0.07                                   | 0.07  |
| Advance repaid                                                   | 0.77                     | -                                      | 0.77  |
| Rendering of services                                            | 0.03                     | 0.00*                                  | 0.03  |
| Sale/Purchase of foreign exchange currency to/from related party | 0.14                     | 0.00*                                  | 0.14  |

# Details of transactions of the Bank with KMP and relatives of KMP are for the period during which the KMP are related parties of the Bank

\*Denotes amount less than ₹50,000/-

The balances payable to/receivable from the related parties of the Group as on 31 March, 2025 are given below:

| Items/Related Party                     | Key Management Personnel | Relatives of Key Management Personnel | Total |
|-----------------------------------------|--------------------------|---------------------------------------|-------|
| Deposits with the Bank                  | 8.81                     | 14.43                                 | 23.24 |
| Advances                                | 0.19                     | 0.15                                  | 0.34  |
| Investment of related party in the Bank | 0.12                     | 0.00*                                 | 0.12  |

\*Denotes amount less than ₹50,000/-

The maximum balances payable to/receivable from the related parties of the Group during the year ended 31 March, 2025 are given below:

(₹ in crores)

| Items/Related Party                     | Key Management Personnel | Relatives of Key Management Personnel | Total |
|-----------------------------------------|--------------------------|---------------------------------------|-------|
| Deposits with the Bank                  | 22.83                    | 14.77                                 | 37.60 |
| Advances                                | 1.01                     | 0.23                                  | 1.24  |
| Investment of related party in the Bank | 0.14                     | 0.00*                                 | 0.14  |

\*Denotes amount less than ₹50,000/-

The significant transactions between the Group and related parties during the year ended 31 March, 2026 and 31 March, 2025 are given below. A specific related party transaction is disclosed as a significant related party transaction wherever it exceeds 10% of the aggregate value of all related party transactions in that category:

(₹ in crores)

| Particulars                                                             | Year ended<br>31 March, 2026 | Year ended<br>31 March, 2025 |
|-------------------------------------------------------------------------|------------------------------|------------------------------|
| <b>Dividend paid</b>                                                    |                              |                              |
| Mr. Rajiv Anand                                                         | 0.04                         | 0.06                         |
| <b>Interest paid</b>                                                    |                              |                              |
| Mr. Om Singh Chaudhry                                                   | 0.39                         | 0.34                         |
| Ms. Preeti Chaudhry                                                     | 0.46                         | 0.25                         |
| Mr. Subrat Mohanty                                                      | 0.43                         | 0.27                         |
| <b>Interest received</b>                                                |                              |                              |
| Mr. Rajiv Anand                                                         | -                            | 0.01                         |
| Mr. Rakesh Sharda                                                       | 0.01                         | 0.00*                        |
| <b>Investment of related party in the Bank</b>                          |                              |                              |
| Mr. Amitabh Chaudhry                                                    | 8.07                         | 35.09                        |
| Mr. Rajiv Anand                                                         | 4.83                         | 13.97                        |
| Mr. Munish Sharda                                                       | 2.33                         | 4.23                         |
| Mr. Neeraj Gambhir                                                      | 1.83                         | N.A.                         |
| <b>Remuneration paid</b>                                                |                              |                              |
| Mr. Amitabh Chaudhry                                                    | 10.30                        | 9.80                         |
| Mr. Rajiv Anand                                                         | 4.17                         | 6.84                         |
| Mr. Subrat Mohanty                                                      | 6.13                         | 5.63                         |
| Mr. Munish Sharda                                                       | 5.70                         | 5.44                         |
| <b>Rendering of services</b>                                            |                              |                              |
| Mr. Rajiv Anand                                                         | 0.02                         | 0.03                         |
| <b>Advance repaid</b>                                                   |                              |                              |
| Mr. Rajiv Anand                                                         | -                            | 0.77                         |
| Mr. Rakesh Sharda                                                       | 0.01                         | -                            |
| <b>Advance granted (net)</b>                                            |                              |                              |
| Mr. Rakesh Sharda                                                       | -                            | 0.07                         |
| <b>Sale/Purchase of foreign exchange currency to/from related party</b> |                              |                              |
| Mr. Amitabh Chaudhry                                                    | 0.18                         | 0.04                         |
| Mr. Rajiv Anand                                                         | 0.01                         | 0.03                         |



| Particulars        | (₹ in crores)                |                              |
|--------------------|------------------------------|------------------------------|
|                    | Year ended<br>31 March, 2026 | Year ended<br>31 March, 2025 |
| Mr. Subrat Mohanty | 0.11                         | 0.03                         |
| Mr. Munish Sharda  | 0.07                         | 0.04                         |
| Mr. Neeraj Gambhir | 0.07                         | N.A.                         |

\*Denotes amount less than ₹50,000/-

## 1.9 Leases

### Disclosure in respect of assets taken on operating lease

This comprises of branches, office premises/ATMs, cash deposit machines, currency chests, staff quarters, office and IT equipments.

|                                                                                        | (₹ in crores)  |                |
|----------------------------------------------------------------------------------------|----------------|----------------|
|                                                                                        | 31 March, 2026 | 31 March, 2025 |
| Future lease rentals payable as at the end of the year:                                |                |                |
| - Not later than one year                                                              | 1,545.81       | 1,370.87       |
| - Later than one year and not later than five years                                    | 4,980.59       | 4,367.42       |
| - Later than five years                                                                | 5,527.44       | 5,059.20       |
| Total of minimum lease payments recognised in the Profit and Loss Account for the year | 1,897.10       | 1,803.82       |

There are no provisions relating to contingent rent.

The terms of renewal/purchase options and escalation clauses are those normally prevalent in similar agreements.

There are generally no undue restrictions or onerous clauses in the agreements.

### Disclosure in respect of assets given on operating lease

|                                                                    | (₹ in crores)  |                |
|--------------------------------------------------------------------|----------------|----------------|
|                                                                    | 31 March, 2026 | 31 March, 2025 |
| Gross carrying amount of premises at the end of the year           | 209.60         | 209.60         |
| Accumulated depreciation at the end of the year                    | 35.91          | 32.41          |
| Total depreciation charged to profit and loss account for the year | 3.49           | 3.49           |
| Future lease rentals receivable as at the end of the year:         |                |                |
| - Not later than one year                                          | 30.85          | 28.66          |
| - Later than one year and not later than five years                | 68.34          | 81.14          |
| - Later than five years                                            | 17.02          | 34.17          |

There are no provisions relating to contingent rent.

## 1.10 Movement in fixed assets capitalized as application software and intangibles (included in other Fixed Assets)

### ● Movement of fixed assets capitalized as application software

| Particulars                             | (₹ in crores)   |                 |
|-----------------------------------------|-----------------|-----------------|
|                                         | 31 March, 2026  | 31 March, 2025  |
| At cost at the beginning of the year    | 5,164.83        | 4,155.24        |
| Additions during the year <sup>1</sup>  | 659.53          | 1,148.96        |
| Deductions during the year              | (868.64)        | (139.37)        |
| Accumulated depreciation as at 31 March | (3,189.87)      | (3,335.14)      |
| <b>Closing balance as at 31 March</b>   | <b>1,765.85</b> | <b>1,829.69</b> |
| Depreciation charge for the year        | 719.46          | 677.99          |

1. includes movement on account of exchange rate fluctuation for assets denominated in foreign currency

● **Movement of fixed assets capitalized as intangibles and goodwill**

| Particulars                             | (₹ in crores)  |                |
|-----------------------------------------|----------------|----------------|
|                                         | 31 March, 2026 | 31 March, 2025 |
| At cost at the beginning of the year    | 11,932.39      | 11,932.39      |
| Additions during the year               | -              | -              |
| Deductions during the year              | -              | -              |
| Accumulated amortisation as at 31 March | 11,932.39      | 11,932.39      |
| <b>Closing balance as at 31 March</b>   | -              | -              |
| Amortisation charge for the year        | -              | -              |

**1.11 The major components of deferred tax assets and deferred tax liabilities arising out of timing differences are as under:**

| As at                                                                                                                              | (₹ in crores)   |                 |
|------------------------------------------------------------------------------------------------------------------------------------|-----------------|-----------------|
|                                                                                                                                    | 31 March, 2026  | 31 March, 2025  |
| Deferred tax assets on account of provisions for loan losses / doubtful debts                                                      | 4,185.90        | 3,629.94        |
| Deferred tax assets on account of provision for employee benefits                                                                  | 134.59          | 147.45          |
| Deferred tax assets on Foreign Currency Translation Reserve (FCTR)                                                                 | 403.35          | 189.90          |
| Deferred tax assets on account of depreciation on fixed assets                                                                     | 718.61          | -               |
| Deferred tax assets on other items                                                                                                 | 2,478.97        | 1,950.03        |
| <b>Deferred tax assets</b>                                                                                                         | <b>7,921.42</b> | <b>5,917.32</b> |
| Deferred tax liabilities on account of depreciation on fixed assets                                                                | 2.62            | 84.70           |
| Deferred tax liability on creation of Special Reserve under Income Tax Act [Refer Schedule 2 (V)(A) of Consolidated Balance Sheet] | 997.36          | 863.88          |
| Deferred tax liability on transition gain on MTM of Investments                                                                    | 119.15          | 115.62          |
| Deferred tax liabilities on interest on income tax refund                                                                          | -               | 90.97           |
| Deferred tax liabilities on other items                                                                                            | 95.29           | 147.53          |
| <b>Deferred tax liabilities</b>                                                                                                    | <b>1,214.42</b> | <b>1,302.70</b> |
| <b>Net deferred tax asset</b>                                                                                                      | <b>6,707.00</b> | <b>4,614.62</b> |

**1.12 Employee Benefits**

**Provident Fund**

**Group**

The contribution to the employee's provident fund (including Employee Pension Scheme) of the Group amounted to ₹471.27 crores for the year ended 31 March, 2026 (previous year ₹460.67 crores).

**Axis Bank Ltd.**

The rules of the Bank's Provident Fund administered by a Trust require that if the Board of Trustees are unable to pay interest at the rate declared for Employees' Provident Fund by the Government under para 60 of the Employees' Provident Fund Scheme, 1952 for the reason that the return on investment is less or for any other reason, then the deficiency shall be made good by the Bank.

The following tables summarises the components of net benefit expenses recognised in the Profit and Loss Account and funded status and amounts recognised in the Balance Sheet for the Provident Fund benefit plan (including staff deputed at subsidiaries).

### Profit and Loss Account

Net employee benefit expenses (recognised in payments to and provisions for employees)

|                                                                      | 31 March, 2026 | 31 March, 2025 |
|----------------------------------------------------------------------|----------------|----------------|
|                                                                      |                | (₹ in crores)  |
| Current Service Cost                                                 | 292.50         | 288.99         |
| Interest on Defined Benefit Obligation                               | 343.36         | 324.38         |
| Expected Return on Plan Assets                                       | (427.63)       | (385.65)       |
| Net Actuarial Losses/(Gains) recognised in the year                  | 384.51         | 4.20           |
| Effect of the limit in Para 59(b) of Accounting Standard – 15        | (174.03)       | 57.07          |
| <b>Total included in "Employee Benefit Expense" [Schedule 16(I)]</b> | <b>418.71</b>  | <b>288.99</b>  |
| Actual Return on Plan Assets                                         | 190.09         | 453.51         |

### Balance Sheet

Details of provision for provident fund

|                                                                                     | 31 March, 2026  | 31 March, 2025 |
|-------------------------------------------------------------------------------------|-----------------|----------------|
|                                                                                     |                 | (₹ in crores)  |
| Fair Value of Plan Assets                                                           | 5,458.38        | 5,178.59       |
| Present Value of Funded Obligations                                                 | (5,584.59)      | (5,004.56)     |
| <b>Net Asset/(Liability)</b>                                                        | <b>(126.21)</b> | <b>174.03</b>  |
| Amount not recognized as an asset (limit in Para 59(b) of Accounting Standard – 15) | -               | (174.03)       |
| <b>Net Asset/(Liability)</b>                                                        | <b>(126.21)</b> | <b>-</b>       |
| <b>Amounts in Balance Sheet</b>                                                     |                 |                |
| Liabilities                                                                         | 126.21          | -              |
| Assets                                                                              | -               | -              |
| <b>Net Asset/(Liability)</b>                                                        | <b>(126.21)</b> | <b>-</b>       |

Changes in the present value of the defined benefit obligation are as follows:

|                                               | 31 March, 2026  | 31 March, 2025  |
|-----------------------------------------------|-----------------|-----------------|
|                                               |                 | (₹ in crores)   |
| <b>Change in Defined Benefit Obligation</b>   |                 |                 |
| Opening Defined Benefit Obligation            | 5,004.56        | 4,402.55        |
| Current Service Cost                          | 292.50          | 288.99          |
| Interest Cost                                 | 343.36          | 324.38          |
| Actuarial Losses/(Gains)                      | 146.98          | 72.06           |
| Employees Contribution                        | 483.83          | 479.87          |
| Liability transferred from/to other companies | (55.53)         | (24.13)         |
| Benefits Paid                                 | (631.11)        | (539.16)        |
| <b>Closing Defined Benefit Obligation</b>     | <b>5,584.59</b> | <b>5,004.56</b> |

Changes in the fair value of plan assets are as follows:

|                                            | 31 March, 2026  | 31 March, 2025  |
|--------------------------------------------|-----------------|-----------------|
|                                            |                 | (₹ in crores)   |
| <b>Change in the Fair Value of Assets</b>  |                 |                 |
| Opening Fair Value of Plan Assets          | 5,178.59        | 4,519.51        |
| Expected Return on Plan Assets             | 427.63          | 385.65          |
| Actuarial Gains/(Losses)                   | (237.53)        | 67.86           |
| Employer contribution during the period    | 292.50          | 288.99          |
| Employee contribution during the period    | 483.83          | 479.87          |
| Assets transferred from/to other companies | (55.53)         | (24.13)         |
| Benefits Paid                              | (631.11)        | (539.16)        |
| <b>Closing Fair Value of Plan Assets</b>   | <b>5,458.38</b> | <b>5,178.59</b> |

## Experience adjustments

(₹ in crores)

|                                            | 31 March, 2026 | 31 March, 2025 | 31 March, 2024 | 31 March, 2023 | 31 March, 2022 |
|--------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| Defined Benefit Obligations                | 5,584.59       | 5,004.56       | 4,402.55       | 3,933.75       | 3,404.21       |
| Plan Assets                                | 5,458.38       | 5,178.59       | 4,519.51       | 4,007.93       | 3,538.64       |
| Surplus/(Deficit)                          | (126.21)       | 174.03         | 116.96         | 74.18          | 134.43         |
| Experience Adjustments on Plan Liabilities | 58.96          | 38.22          | 19.59          | 17.24          | 169.83         |
| Experience Adjustments on Plan Assets      | (237.53)       | 67.86          | 36.77          | (106.74)       | 270.73         |

Major categories of plan assets (managed by Insurers) as a percentage of fair value of total plan assets

|                        | 31 March, 2026 | 31 March, 2025 |
|------------------------|----------------|----------------|
| Government securities  | 51%            | 53%            |
| Other debt instruments | 13%            | 11%            |
| Equity shares          | 13%            | 13%            |
| Others                 | 23%            | 23%            |

Principal actuarial assumptions at the Balance Sheet date

|                                                                              | 31 March, 2026 | 31 March, 2025 |
|------------------------------------------------------------------------------|----------------|----------------|
| Discount rate for the term of the obligation                                 | 6.95%          | 6.80%          |
| Average historic yield on the investment portfolio                           | 7.83%          | 8.19%          |
| Discount rate for the remaining term to maturity of the investment portfolio | 7.00%          | 6.80%          |
| Expected investment return                                                   | 7.78%          | 8.19%          |
| Guaranteed rate of return                                                    | 8.25%          | 8.25%          |

**Superannuation**

The Group contributed ₹11.77 crores (previous year ₹15.07 crores) to the superannuation plan for the year. In addition the Bank holds a provision of ₹23.06 crores (previous year ₹30.70 crores) for the eligible employees who had moved to the Bank as part of the Citibank India consumer business acquisition as they are entitled to receive a lumpsum corpus amount under a separate Superannuation scheme with vesting criteria of 10 years.

**National Pension Scheme (NPS)**

During the year, the Group has contributed ₹29.07 crores (previous year ₹22.22 crores) to the NPS for employees who have opted for the scheme.

**Leave Encashment**

The liability of compensated absences of accumulated privileged leave of the employees of the Group, based on actuarial valuation is given below.

(₹ in crores)

|                                                     | 31 March, 2026              |                                              |               |                        |
|-----------------------------------------------------|-----------------------------|----------------------------------------------|---------------|------------------------|
|                                                     | Liability - Privilege Leave | Total Expenses included under Schedule 16(I) | Assumptions   |                        |
|                                                     |                             |                                              | Discount Rate | Salary escalation rate |
| Axis Capital Ltd.                                   | 0.15                        | (0.04)                                       | 6.77%         | 7.00%                  |
| Freecharge Payment Technologies Pvt. Ltd.           | 1.27                        | 0.36                                         | 7.11%         | 8.50%                  |
| Freecharge Business And Technology Services Limited | 6.52                        | 2.46                                         | 6.48%         | 8.50%                  |

(₹ in crores)

| 31 March, 2025                            |                                |                                                    |               |                           |
|-------------------------------------------|--------------------------------|----------------------------------------------------|---------------|---------------------------|
|                                           | Liability -<br>Privilege Leave | Total Expenses<br>included under<br>Schedule 16(I) | Assumptions   |                           |
|                                           |                                |                                                    | Discount Rate | Salary escalation<br>rate |
| Axis Capital Ltd.                         | 0.19                           | 0.07                                               | 6.54%         | 7.83%                     |
| Freecharge Payment Technologies Pvt. Ltd. | 6.38                           | 2.57                                               | 6.59%         | 8.50%                     |

## Gratuity

### Group

The following tables summarises the components of net benefit expenses recognised in the Profit and Loss Account and funded status and amounts recognised in the Balance Sheet for the Gratuity benefit plan.

#### Profit and Loss Account

Net employee benefit expenses (recognised in payments to and provisions for employees)

|                                                                                                                                    | 31 March, 2026 | 31 March, 2025 |
|------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| Current Service Cost                                                                                                               | 159.57         | 119.82         |
| Interest on Defined Benefit Obligation                                                                                             | 85.24          | 66.83          |
| Expected Return on Plan Assets                                                                                                     | (67.15)        | (52.69)        |
| Net Actuarial Losses/(Gains) recognised in the year                                                                                | (42.22)        | 16.39          |
| Losses/(Gains) on Acquisition                                                                                                      | -              | -              |
| Past Service Cost                                                                                                                  | 352.90         | -              |
| <b>Sub-total</b>                                                                                                                   | <b>488.34</b>  | <b>150.35</b>  |
| Less: Utilisation from prudent provision made in earlier years towards probable impact on account of Code of Social Security, 2020 | (295.66)       | -              |
| <b>Total included in "Employee Benefit Expense" [Refer Schedule 16(1) and note below]</b>                                          | <b>192.68</b>  | <b>150.35</b>  |
| Actual Return on Plan Assets                                                                                                       | 65.41          | 66.57          |

On 21 November 2025, the Government of India consolidated 29 existing labour laws into a unified framework of four Labour Codes (including the Code on Social Security, 2020), collectively referred to as the 'New Labour Codes'. Since Q3FY21, based on an internal policy, the Bank has been consistently provisioning for gratuity liability, in anticipation of the implementation of the Code on Social Security, 2020. In Q3FY26, the Bank and its subsidiaries performed a preliminary assessment of the financial impact of the New Labour Codes based on the draft Central Rules and FAQs published by the Ministry of Labour and Employment, in line with the guidance from the Institute of Chartered Accountants of India and charged to its Profit and Loss Account an amount of ₹32.84 crores towards gratuity, primarily due to changes in the wage definition. The Group continues to monitor the finalization of Central and State rules relating to the New Labour Codes and will adjust its estimates and provisions in subsequent reporting periods, in accordance with applicable accounting standards.

#### Balance Sheet

Details of provision for gratuity

|                                                                                                        | 31 March, 2026 | 31 March, 2025 |
|--------------------------------------------------------------------------------------------------------|----------------|----------------|
| Present Value of Funded Obligations                                                                    | (1,519.03)     | (1,000.67)     |
| Present Value of un-funded Obligations                                                                 | (13.72)        | (9.03)         |
| Fair Value of Plan Assets                                                                              | 1,372.79       | 955.00         |
| Unrecognised Past Service Cost                                                                         | 92.18          | -              |
| <b>Net Asset/(Liability)</b>                                                                           | <b>(67.78)</b> | <b>(54.70)</b> |
| <b>Amounts in Balance Sheet</b>                                                                        |                |                |
| Liabilities                                                                                            | 67.78          | 54.70          |
| Assets                                                                                                 | -              | -              |
| <b>Net Asset/(Liability) (included under Schedule 11 Other Assets /Schedule 5 - Other Liabilities)</b> | <b>(67.78)</b> | <b>(54.70)</b> |

Changes in the present value of the defined benefit obligation are as follows:

|                                             | 31 March, 2026  | 31 March, 2025  |
|---------------------------------------------|-----------------|-----------------|
| <b>Change in Defined Benefit Obligation</b> |                 |                 |
| Opening Defined Benefit Obligation          | 1,009.70        | 864.34          |
| Current Service Cost                        | 159.57          | 119.81          |
| Interest Cost                               | 85.24           | 66.83           |
| Actuarial Losses/(Gains)                    | (43.96)         | 30.28           |
| Past Service Cost                           | 445.08          | -               |
| Liabilities transferred in/(out)            | 0.12            | 0.45            |
| Benefits Paid                               | (123.00)        | (72.01)         |
| <b>Closing Defined Benefit Obligation</b>   | <b>1,532.75</b> | <b>1,009.70</b> |

Changes in the fair value of plan assets are as follows:

|                                          | 31 March, 2026  | 31 March, 2025 |
|------------------------------------------|-----------------|----------------|
| <b>Opening Fair Value of Plan Assets</b> | <b>955.00</b>   | <b>762.04</b>  |
| Expected Return on Plan Assets           | 67.15           | 52.69          |
| Actuarial Gains/(Losses)                 | (1.74)          | 13.89          |
| Contributions by Employer                | 474.51          | 197.68         |
| Assets transferred out/Divestment        | 0.41            | 0.54           |
| Benefits Paid                            | (122.54)        | (71.84)        |
| <b>Closing Fair Value of Plan Assets</b> | <b>1,372.79</b> | <b>955.00</b>  |

Experience adjustments

|                                            | 31 March, 2026 | 31 March, 2025 | 31 March, 2024 | 31 March, 2023 | 31 March, 2022 |
|--------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| Defined Benefit Obligations                | 1,532.75       | 1,009.70       | 864.34         | 715.67         | 581.52         |
| Plan Assets                                | 1,372.79       | 955.00         | 762.04         | 706.72         | 585.56         |
| Surplus/(Deficit)                          | (159.96)       | (54.70)        | (102.30)       | (8.95)         | 4.04           |
| Experience Adjustments on Plan Liabilities | (27.56)        | (0.58)         | 17.34          | 5.20           | 29.03          |
| Experience Adjustments on Plan Assets      | (1.74)         | 13.88          | (1.68)         | (19.11)        | 9.72           |

### Axis Bank Ltd.

Major categories of plan assets (managed by Insurers) as a percentage of fair value of total plan assets

|                                                      | 31 March, 2026 | 31 March, 2025 |
|------------------------------------------------------|----------------|----------------|
| Government securities                                | 44%            | 53%            |
| Bonds, debentures and other fixed income instruments | 40%            | 38%            |
| Money market instruments                             | 5%             | 3%             |
| Equity shares                                        | 9%             | 4%             |
| Balance in bank & others                             | 2%             | 2%             |

Principal actuarial assumptions at the balance sheet date

|                                        | 31 March, 2026 | 31 March, 2025 |
|----------------------------------------|----------------|----------------|
| Discount Rate                          | 6.95%          | 6.80%          |
| Expected rate of Return on Plan Assets | 7.00%          | 7.00%          |
| Salary Escalation Rate                 | 8.00%          | 8.00%          |
| <b>Employee Turnover</b>               |                |                |
| - 21 to 30 (age in years)              | 24.00%         | 24.00%         |
| - 31 to 44 (age in years)              | 14.00%         | 14.00%         |
| - 45 to 59 (age in years)              | 8.00%          | 8.00%          |





### Axis Capital Ltd.

|                                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-----------------------------------------------------------------------------------------------------------------|----------------|----------------|
| The major categories of plan assets* as a percentage of fair value of total plan assets – Insurer Managed Funds | 100.00%        | 100.00%        |

\*composition of plan assets is not available

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 6.77%          | 6.54%          |
| Expected rate of Return on Plan Assets                            | 6.77%          | 6.54%          |
| Salary Escalation Rate                                            | 7.00%          | 7.83%          |
| Employee Turnover                                                 | 21.00%         | 37.15%         |

### Axis Asset Management Company Ltd.

|                                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-----------------------------------------------------------------------------------------------------------------|----------------|----------------|
| The major categories of plan assets* as a percentage of fair value of total plan assets – Insurer Managed Funds | 100.00%        | 100.00%        |

\*composition of plan assets is not available

|                                                                   | 31 March, 2026  | 31 March, 2025  |
|-------------------------------------------------------------------|-----------------|-----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                 |                 |
| Discount Rate                                                     | 6.65%           | 6.70%           |
| Expected rate of Return on Plan Assets                            | 7.00%           | 7.00%           |
| Salary Escalation Rate                                            | 11.00%          | 11.00%          |
| Employee Turnover                                                 | 15.00% - 20.00% | 15.00% - 20.00% |

### Axis Securities Ltd.

|                                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-----------------------------------------------------------------------------------------------------------------|----------------|----------------|
| The major categories of plan assets* as a percentage of fair value of total plan assets – Insurer Managed Funds | 100.00%        | 100.00%        |

\*composition of plan assets is not available

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 6.75%          | 6.55%          |
| Expected rate of Return on Plan Assets                            | 7.00%          | 7.00%          |
| Salary Escalation Rate                                            | 10.00%         | 10.00%         |
| <b>Employee Turnover</b>                                          |                |                |
| - 21 to 44 (age in years) (managerial)                            | 23.00%         | 23.00%         |
| - 21 to 44 (age in years) (non managerial)                        | 42.00%         | 45.00%         |
| - 45 to 59 (age in years) (managerial)                            | 17.00%         | 17.00%         |
| - 45 to 59 (age in years) (non managerial)                        | 18.00%         | 18.00%         |

### Axis Finance Ltd.

|                                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-----------------------------------------------------------------------------------------------------------------|----------------|----------------|
| The major categories of plan assets* as a percentage of fair value of total plan assets – Insurer Managed Funds | 100.00%        | 100.00%        |

\*composition of plan assets is not available

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 7.27%          | 6.79%          |
| Expected rate of Return on Plan Assets                            | 7.27%          | 6.79%          |
| Salary Escalation Rate                                            | 7.00%          | 7.00%          |
| <b>Employee Turnover</b>                                          |                |                |
| - For service 2 years and below                                   | 29.00%         | 29.00%         |
| - For service more than 2 years but upto 4 years                  | 11.00%         | 11.00%         |
| - For service above 4 years                                       | 2.00%          | 2.00%          |

**Axis Trustee Services Ltd.**

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 6.59%          | 6.55%          |
| Expected rate of Return on Plan Assets                            | N.A.           | N.A.           |
| Salary Escalation Rate                                            | 10.00%         | 10.00%         |
| Employee Turnover                                                 | 22.00%         | 20.00%         |

**A. Treds Ltd.**

|                                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-----------------------------------------------------------------------------------------------------------------|----------------|----------------|
| The major categories of plan assets* as a percentage of fair value of total plan assets – Insurer Managed Funds | 100.00%        | 100.00%        |

\*composition of plan assets is not available

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 6.85%          | 6.75%          |
| Expected rate of Return on Plan Assets                            | 7.00%          | 7.00%          |
| Salary Escalation Rate                                            | 10.00%         | 10.00%         |
| <b>Employee Turnover</b>                                          |                |                |
| - 21 to 30 (age in years)                                         | 24.00%         | 24.00%         |
| - 31 to 44 (age in years)                                         | 14.00%         | 14.00%         |
| - 45 to 59 (age in years)                                         | 8.00%          | 8.00%          |

**Freecharge Payment Technologies Private Limited**

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 7.11%          | 6.59%          |
| Expected rate of Return on Plan Assets                            | N.A.           | N.A.           |
| Salary Escalation Rate                                            | 8.50%          | 8.50%          |
| Employee Turnover                                                 | 17.00%         | 30.00%         |

**Freecharge Business and Technology Services Limited**

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 6.48%          | N.A.           |
| Expected rate of Return on Plan Assets                            | N.A.           | N.A.           |
| Salary Escalation Rate                                            | 8.50%          | N.A.           |
| Employee Turnover                                                 | 30.00%         | N.A.           |

### Axis Pension Fund Management Limited

|                                                                   | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------|----------------|----------------|
| <b>Principal actuarial assumptions at the balance sheet date:</b> |                |                |
| Discount Rate                                                     | 6.65%          | 6.70%          |
| Expected rate of Return on Plan Assets                            | N.A.           | N.A.           |
| Salary Escalation Rate                                            | 8.00%          | 8.00%          |
| Employee Turnover                                                 | 14.00%         | 14.00%         |

The estimates of future salary increases considered in actuarial valuation take account of the inflation, seniority, promotion and other relevant factors.

The expected rate of return on plan assets is based on the average long-term rate of return expected on investments of the Fund during the estimated term of the obligations.

As the contribution expected to be paid to the plan during the annual period beginning after the balance sheet date is based on various internal/external factors, a best estimate of the contribution is not determinable.

The above information is as certified by the actuary and relied upon by the auditors.

### Resettlement allowance

#### Profit and Loss account

During the year ended 31 March, 2026, the Bank wrote back a provision of ₹1.06 crores (previous year provisions of ₹0.21 crores) towards liability in respect of resettlement allowance based on actuarial valuation conducted by an independent actuary.

#### Balance Sheet

|                                                                                                 | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------------------------------------------|----------------|----------------|
|                                                                                                 | (₹ in crores)  |                |
| Current liability                                                                               | 0.46           | 0.46           |
| Non current liability                                                                           | 2.18           | 3.24           |
| <b>Net Liability as per actuarial valuation (included under Schedule 5 – Other Liabilities)</b> | <b>2.64</b>    | <b>3.70</b>    |

#### Principal actuarial assumptions at the Balance Sheet date:

|                           | 31 March, 2026 | 31 March, 2025 |
|---------------------------|----------------|----------------|
| Discount Rate             | 6.95%          | 6.80%          |
| Salary Escalation Rate    | 8.00%          | 8.00%          |
| <b>Employee Turnover</b>  |                |                |
| - 21 to 30 (age in years) | 24.00%         | 24.00%         |
| - 31 to 44 (age in years) | 14.00%         | 14.00%         |
| - 45 to 59 (age in years) | 8.00%          | 8.00%          |

The above information is as certified by the actuary and relied upon by the auditors.

### 1.13 Small and Micro Enterprises

Under the Micro, Small and Medium Enterprises Development Act, 2006 which came into force from 2 October, 2006, certain disclosures are required to be made relating to Micro, Small and Medium enterprises. Following are the details of delayed payments to MSMED registered vendors:

**Axis Bank Ltd.**

(₹ in crores)

| Particulars                                                                                                                                                                                                                                                  | 31 March, 2026 |          | 31 March, 2025 |          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------|----------------|----------|
|                                                                                                                                                                                                                                                              | Principal      | Interest | Principal      | Interest |
| The principal amount and the interest due thereon remaining unpaid to any supplier                                                                                                                                                                           | 43.58          | 0.00*    | 11.94          | 0.01     |
| The amount of interest paid by the buyer in terms of Section 16, along with the amount of the payment made to the supplier beyond the due date                                                                                                               | 1.76           | 0.01     | 3.07           | 0.02     |
| The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the due date during the year) but without adding the interest specified under MSMED Act, 2006                                              | N.A.           | N.A.     | N.A.           | N.A.     |
| The amount of interest accrued and remaining unpaid                                                                                                                                                                                                          | N.A.           | 0.29     | N.A.           | 0.30     |
| The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowed as a deductible expenditure under Section 23 | N.A.           | 0.29     | N.A.           | 0.30     |

\*Denotes amount less than ₹50,000/-

**Subsidiaries**

(₹ in crores)

| Particulars                                                                                                                                                                                                                                                  | 31 March, 2026 | 31 March, 2025 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| The Principal amount and the interest due thereon remaining unpaid to any supplier                                                                                                                                                                           | 6.43           | 4.12           |
| The amount of interest paid by the buyer in terms of Section 16, along with the amount of the payment made to the supplier beyond the due date                                                                                                               | -              | -              |
| The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the due date during the year) but without adding the interest specified under MSMED Act, 2006                                              | -              | -              |
| The amount of interest accrued and remaining unpaid                                                                                                                                                                                                          | -              | -              |
| The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowed as a deductible expenditure under Section 23 | -              | -              |

The above is based on the information available with the Group which has been relied upon by the auditors.

**1.14 Provisions and contingencies****a) Movement in provision for frauds included under other liabilities is set out below:**

(₹ in crores)

|                                                             | 31 March, 2026 | 31 March, 2025 |
|-------------------------------------------------------------|----------------|----------------|
| Opening balance at the beginning of the year                | 242.69         | 214.33         |
| Additions during the year                                   | 54.42          | 56.88          |
| Reductions on account of payments/reversals during the year | (5.41)         | (28.52)        |
| <b>Closing balance at the end of the year</b>               | <b>291.70</b>  | <b>242.69</b>  |

**b) Other liabilities include provision for reward points made on actuarial basis, the movement of which is set out below:**

(₹ in crores)

|                                                 | 31 March, 2026  | 31 March, 2025  |
|-------------------------------------------------|-----------------|-----------------|
| Opening provision at the beginning of the year  | 1,178.45        | 997.08          |
| Provision made during the year                  | 1,312.62        | 1,024.16        |
| Reductions during the year                      | (1,271.29)      | (842.79)        |
| <b>Closing provision at the end of the year</b> | <b>1,219.78</b> | <b>1,178.45</b> |

**c) Movement in provision for other contingencies is set out below:**

|                                                               | 31 March, 2026  | 31 March, 2025  |
|---------------------------------------------------------------|-----------------|-----------------|
| Opening provision at the beginning of the year                | 7,889.55        | 7,465.86        |
| Addition during the year <sup>1,2</sup>                       | 2,381.09        | 930.86          |
| Reductions during the year                                    | (532.89)        | (507.17)        |
| <b>Closing provision at the end of the year<sup>3,4</sup></b> | <b>9,737.75</b> | <b>7,889.55</b> |

(₹ in crores)

- During the year, the Bank took the initiative to further strengthen its balance sheet by voluntarily enhancing its prudent provisioning framework for standard assets. In line with this framework, an additional one-time provision of ₹2,001 crores was made. This measure is entirely prudent and does not indicate any concerns regarding asset quality or adverse credit developments in the Bank's loan or investment portfolio as of the reporting date
- Includes movement on account of exchange rate fluctuation
- Closing provision includes provision for legal cases, additional provision for delay in implementation of resolution plan, provision on AIF investments, provision held under prudent provisioning framework for standard assets and provision for other contingencies
- Includes provision of ₹7,013 crores (previous year ₹5,012 crores) held under prudent provisioning framework for standard assets

**1.15 Disclosure required as per Ministry of Corporate Affairs notification dated 24 March, 2021**

During the year ended 31 March, 2026 and 31 March, 2025, other than the transactions undertaken in the normal course of banking business and in accordance with extant regulatory guidelines and Bank and its subsidiaries internal policies, as applicable:

- the Bank and its subsidiaries has not granted any advance/loans or investments or provided guarantee or security to any other person(s) or entities with an understanding, whether recorded in writing or otherwise, to further lend or invest on behalf of the Bank or provide guarantee or security or the like to any other person identified by the Bank.
- the Bank and its subsidiaries has not received any funds from any person(s) or entities with an understanding, whether recorded in writing or otherwise, that the Bank shall further lend or invest or provide guarantee or security or the like in any other person on behalf of and identified by such person(s)/entities.

**1.16 Expenses exceeding 1% of the total income**

Details of items under other expenditure (Schedule 16 – Operating Expenses) exceeding 1% of total income of the Group are given below:

For the year ended 31 March, 2026

| Sr. No. | Nature of Expense                                                 | (₹ in crores) |
|---------|-------------------------------------------------------------------|---------------|
| 1.      | Commission paid to Direct Sales Agents (DSA)                      | 3,037.99      |
| 2.      | Charges paid for purchase of Priority Sector Lending Certificates | 2,685.03      |
| 3.      | Charges paid to Network partners                                  | 1,743.53      |
| 4.      | Cashback charges                                                  | 1,657.71      |

For the year ended 31 March, 2025

| Sr. No. | Nature of Expense                                                 | (₹ in crores) |
|---------|-------------------------------------------------------------------|---------------|
| 1.      | Commission paid to Direct Sales Agents (DSA)                      | 2,766.48      |
| 2.      | Charges paid to Network partners                                  | 1,629.80      |
| 3.      | Cashback charges                                                  | 1,594.58      |
| 4.      | Charges paid for purchase of Priority Sector Lending Certificates | 1,589.06      |

**1.17 Additional information pursuant to Schedule III of the Companies Act, 2013**

Additional information to consolidated accounts at March 31, 2026 (Pursuant to Schedule III of the Companies Act, 2013):

(₹ in crores)

| Name of the entity                                  | Net assets as of 31 March, 2026 |                                              | Profit or (loss) for the year ended 31 March, 2026 |                                     |
|-----------------------------------------------------|---------------------------------|----------------------------------------------|----------------------------------------------------|-------------------------------------|
|                                                     | Amount <sup>1</sup>             | As % of consolidated net assets <sup>2</sup> | Amount <sup>1</sup>                                | As % of consolidated profit or loss |
| <b>Parent:</b>                                      |                                 |                                              |                                                    |                                     |
| Axis Bank Limited                                   | 204,194.26                      | 95.61%                                       | 24,456.66                                          | 92.69%                              |
| <b>Subsidiaries:</b>                                |                                 |                                              |                                                    |                                     |
| Axis Capital Limited                                | 1,412.07                        | 0.66%                                        | 258.96                                             | 0.98%                               |
| Axis Trustee Services Limited                       | 132.78                          | 0.06%                                        | 40.66                                              | 0.15%                               |
| Axis Mutual Fund Trustee Limited                    | 2.47                            | 0.00%*                                       | 0.74                                               | 0.00%*                              |
| Axis Asset Management Company Limited               | 2,957.39                        | 1.38%                                        | 596.21                                             | 2.26%                               |
| Axis U.K. Limited                                   | 5.83                            | 0.00%*                                       | 0.98                                               | 0.00%*                              |
| Axis Finance Limited                                | 6,188.99                        | 2.90%                                        | 805.61                                             | 3.05%                               |
| Axis Securities Limited                             | 2,253.44                        | 1.06%                                        | 366.12                                             | 1.39%                               |
| Freecharge Payment Technologies Private Limited     | 153.90                          | 0.07%                                        | (3.64)                                             | (0.01%)                             |
| Freecharge Business and Technology Services Limited | 173.95                          | 0.08%                                        | (56.27)                                            | (0.21%)                             |
| A.Treds Limited                                     | 116.46                          | 0.05%                                        | 44.06                                              | 0.17%                               |
| <b>Step down Subsidiaries:</b>                      |                                 |                                              |                                                    |                                     |
| Axis Pension Fund Management Limited                | 56.89                           | 0.03%                                        | (1.36)                                             | (0.01%)                             |
| Axis Capital USA LLC                                | 5.76                            | 0.00%*                                       | 0.10                                               | 0.00%*                              |
| <b>Minority Interest</b>                            | 798.19                          | 0.37%                                        | (163.06)                                           | (0.62%)                             |
| <b>Associate:</b>                                   |                                 |                                              |                                                    |                                     |
| Axis Max Life Insurance Limited                     | -                               | -                                            | 54.09                                              | 0.20%                               |

\* less than 0.005%

1. Amounts are before inter-company adjustments
2. Consolidated net assets are total assets minus total liabilities including minority interest and Employees' Stock Options/ Units Outstanding

Additional information to consolidated accounts at March 31, 2025 (Pursuant to Schedule III of the Companies Act, 2013):

(₹ in crores)

| Name of the entity                                  | Net assets as of 31 March, 2025 |                                              | Profit or (loss) for the year ended 31 March, 2025 |                                     |
|-----------------------------------------------------|---------------------------------|----------------------------------------------|----------------------------------------------------|-------------------------------------|
|                                                     | Amount <sup>1</sup>             | As % of consolidated net assets <sup>2</sup> | Amount <sup>1</sup>                                | As % of consolidated profit or loss |
| <b>Parent:</b>                                      |                                 |                                              |                                                    |                                     |
| Axis Bank Limited                                   | 178,616.95                      | 96.00%                                       | 26,373.48                                          | 94.01%                              |
| <b>Subsidiaries:</b>                                |                                 |                                              |                                                    |                                     |
| Axis Capital Limited                                | 1,153.10                        | 0.62%                                        | 160.54                                             | 0.57%                               |
| Axis Trustee Services Limited                       | 107.12                          | 0.06%                                        | 21.55                                              | 0.08%                               |
| Axis Mutual Fund Trustee Limited                    | 1.73                            | 0.00%*                                       | 0.57                                               | 0.00%                               |
| Axis Asset Management Company Limited               | 2,361.17                        | 1.27%                                        | 500.68                                             | 1.78%                               |
| Axis U.K. Limited                                   | 4.38                            | 0.00%*                                       | 0.34                                               | 0.00%                               |
| Axis Finance Limited                                | 5,363.83                        | 2.88%                                        | 676.14                                             | 2.41%                               |
| Axis Securities Limited                             | 1,887.32                        | 1.01%                                        | 418.78                                             | 1.49%                               |
| Freecharge Payment Technologies Private Limited     | 349.38                          | 0.19%                                        | (42.29)                                            | (0.15%)                             |
| Freecharge Business and Technology Services Limited | 38.39                           | 0.02%                                        | (1.61)                                             | (0.01%)                             |
| A.Treds Limited                                     | 72.40                           | 0.04%                                        | 37.62                                              | 0.13%                               |
| <b>Step down Subsidiaries:</b>                      |                                 |                                              |                                                    |                                     |
| Axis Pension Fund Management Limited                | 58.25                           | 0.03%                                        | (3.86)                                             | (0.01%)                             |



| Name of the entity              | Net assets as of 31 March, 2025 |                                              | Profit or (loss) for the year ended 31 March, 2025 |                                     |
|---------------------------------|---------------------------------|----------------------------------------------|----------------------------------------------------|-------------------------------------|
|                                 | Amount <sup>1</sup>             | As % of consolidated net assets <sup>2</sup> | Amount <sup>1</sup>                                | As % of consolidated profit or loss |
|                                 |                                 |                                              |                                                    |                                     |
| Axis Capital USA LLC            | 5.09                            | 0.00%                                        | 0.12                                               | 0.00%                               |
| <b>Minority Interest</b>        | 635.13                          | 0.34%                                        | (135.69)                                           | (0.48%)                             |
| <b>Associate:</b>               |                                 |                                              |                                                    |                                     |
| Axis Max Life Insurance Limited | -                               | -                                            | 79.06                                              | 0.28%                               |

\* less than 0.005%

1. Amounts are before inter-company adjustments
2. Consolidated net assets are total assets minus total liabilities including minority interest and Employees' Stock Options/ Units Outstanding

### 1.18 Description of contingent liabilities

#### a) Claims against the Group not acknowledged as debts

These represent claims filed against the Group in the normal course of business relating to various legal cases currently in progress. These also include demands raised by tax authorities and other statutory authorities which are disputed by the Group. The Group holds provision of ₹935.74 crores as on 31 March, 2026 (previous year ₹904.76 crores) towards claims assessed as probable.

#### b) Liability for partly paid investments

This represents amounts remaining unpaid towards liability for partly paid investments.

#### c) Liability on account of forward exchange contracts

The Group enters into foreign exchange contracts, including non-deliverable forward (NDF) contracts on its own account and on OTC for customers. Forward exchange contracts are commitments to buy or sell foreign currency at a future date at the contracted rate. A non-deliverable forward contract is a currency derivatives contract to exchange cash flows between the contracted forward exchange rate and prevailing spot rates. The amount of contingent liability represents the notional principal of respective forward exchange contracts. With respect to the transactions entered into with its customers, the Bank generally enters into off-setting transactions in the inter-bank market. This results in generation of a higher number of outstanding transactions, and hence a large value of gross notional principal of the portfolio, while the net market risk is lower.

#### d) Liability on account of derivative contracts

The Group enters into derivative contracts in the form of currency options/swaps, exchange traded currency options, Non-deliverable derivatives and interest rate/ currency futures on its own account and on OTC for customers. Currency swaps are commitments between two counterparties to exchange streams of interest payments and/or principal amounts in different currencies on specified dates over the duration of the swap at a pre-agreed exchange rate. Interest rate swaps are commitments to exchange fixed and floating interest rate cash flows. Interest rate futures are standardised, exchange-traded contracts that represent a pledge to undertake a certain interest rate transaction at a specified price, on a specified future date. Forward rate agreements (FRA) are financial contracts between two counterparties, in which a buyer will pay or receive, on the settlement date, the difference between a pre-determined fixed rate (FRA rate) and a reference interest rate, applied on a notional principal amount, for a specified forward period. A foreign currency option is an agreement between two parties in which one grants to the other the right to buy or sell a specified amount of currency at a specific price within a specified time period or at a specified future time. An Exchange Traded Currency Option contract is a standardised foreign exchange derivative contract, which gives the buyer the right, but not the obligation, to exchange money denominated in one currency into another currency at a pre-agreed exchange rate on a specified date on the date of expiry. Non-deliverable derivative means an OTC foreign exchange derivative contract in which there is no delivery of the notional amount of the underlying currencies of the contract and which is cash settled. Currency Futures contract is a standardised, exchange-traded contract, to buy or sell a certain

underlying currency at a certain date in the future, at a specified price. The amount of contingent liability represents the notional principal of respective derivative contracts. With respect to the transactions entered into with its customers, the Bank generally enters into off-setting transactions in the inter-bank market. This results in generation of a higher number of outstanding transactions, and hence a large value of gross notional principal of the portfolio, while the net market risk is lower.

**e) Guarantees given on behalf of constituents**

As a part of its banking activities, the Bank issues guarantees on behalf of its customers to enhance their credit standing. Guarantees represent irrevocable assurances that the Bank will make payments in the event of the customer failing to fulfil its financial or performance obligations. These are stated net of cash margin held with the Bank as on the reporting date in Schedule 12 – Contingent Liabilities of the Balance Sheet.

**f) Acceptances, endorsements and other obligations**

These include documentary credit issued by the Bank on behalf of its customers and bills drawn by the Bank's customers that are accepted or endorsed by the Bank. These are stated net of cash margin held with the Bank as on the reporting date in Schedule 12 – Contingent Liabilities of the Balance Sheet.

**g) Other items for which the Group is contingently liable**

Other items represent outstanding amount of bills rediscounted by the Bank, estimated amount of contracts remaining to be executed on capital account, notional principal on account of outstanding Tom/ Spot foreign exchange contracts, contracts for purchase of investments where settlement is due post balance sheet date, deed of indemnity issued to liquidator of overseas subsidiary, contingent liability relating to undertakings issued towards settlements under resolution plan in respect of non-performing assets, commitments towards underwriting and investment in equity through bids under Initial Public Offering (IPO) of corporates, commitment for investment in Associate entity and the amount transferred to Depositor Education and Awareness Fund (DEAF).

The Group has a process whereby periodically all long term contracts (including derivative contracts) are assessed for material foreseeable losses. At the year end, the Group has reviewed and recorded adequate provision as required under any law/accounting standards for material foreseeable losses on such long term contracts (including derivative contracts) in the books of account and disclosed the same under the relevant notes in the financial statements, where applicable.

**2.** Previous year figures have been regrouped and reclassified, where necessary to conform to current year's presentation.

In terms of our report attached.

**For M M Nissim & Co LLP**

ICAI Firm Registration No.: 107122W/W100672  
Chartered Accountants

**Sanjay Khemani**

Partner  
Membership No.: 044577

**For KKC & Associates LLP**

ICAI Firm Registration No.: 105146W/W100621  
Chartered Accountants

**Gautam Shah**

Partner  
Membership No.: 117348

Date: 25 April, 2026  
Place: Mumbai

**Amitabh Chaudhry**

Managing Director & CEO  
DIN: 00531120

**Meena Ganesh**

Director  
DIN: 00528252

**Sandeep Poddar**

Company Secretary

**Girish Paranjpe**

Director  
DIN: 02172725

**Mini Ipe**

Director  
DIN: 07791184

**For Axis Bank Ltd.**

**N. S. Vishwanathan**

Independent Director &  
Part-time Chairman  
DIN: 09568559

**Pranam Wahi**

Director  
DIN: 00031914

**Puneet Sharma**

Chief Financial Officer

# Form AOC-1

Statement pursuant to first proviso to Sub-Section (3) of Section 129 read with rule 5 of the Companies (Accounts) Rules, 2014  
Statement containing salient features of the financial statements of subsidiaries/associate companies/joint ventures

## Part "A": Subsidiaries

As on/For the year ended 31<sup>st</sup> March 2026

(₹ in crores)

| The date since when subsidiary was acquired                                                                                 | Axis Capital Ltd. | Axis Trustee Services Ltd. | Axis Mutual Fund Trustee Ltd. | Axis Asset Management Company Ltd. | Axis U.K. Ltd. (Refer Note a) | Axis Finance Ltd. | Axis Securities Ltd. | A.Treds Ltd. | Freecharge Payment Technologies Private Ltd. | Freecharge Business and Technology Services Ltd. | Axis Capital USA LLC (Refer Note b) | Axis Pension Fund Management Ltd. |
|-----------------------------------------------------------------------------------------------------------------------------|-------------------|----------------------------|-------------------------------|------------------------------------|-------------------------------|-------------------|----------------------|--------------|----------------------------------------------|--------------------------------------------------|-------------------------------------|-----------------------------------|
| Reporting currency and exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries | N.A.              | N.A.                       | N.A.                          | N.A.                               | N.A.                          | N.A.              | N.A.                 | N.A.         | 6 October, 2017                              | N.A.                                             | N.A.                                | N.A.                              |
| Share capital                                                                                                               | 73.50             | 1.50                       | 0.05                          | 210.11                             | 4.74                          | 693.57            | 150.83               | 65.00        | 1,763.70                                     | 663.21                                           | 6.69                                | 80.00                             |
| Reserves & surplus                                                                                                          | 1,338.57          | 131.28                     | 2.43                          | 2,747.27                           | 1.09                          | 5,495.42          | 2,102.61             | 51.45        | (1,609.80)                                   | (489.27)                                         | (0.93)                              | (23.11)                           |
| Total assets (Fixed Assets + Investments + Other Assets)                                                                    | 3,444.49          | 155.61                     | 2.69                          | 3,137.74                           | 10.86                         | 48,786.16         | 9,713.48             | 155.60       | 211.63                                       | 227.00                                           | 5.94                                | 62.72                             |
| Total liabilities (Deposits + Borrowings + Other Liabilities + Provisions)                                                  | 2,032.42          | 22.83                      | 0.21                          | 180.36                             | 5.03                          | 42,597.17         | 7,460.04             | 39.15        | 57.73                                        | 53.06                                            | 0.18                                | 5.83                              |
| Investments                                                                                                                 | 969.66            | 34.45                      | 2.32                          | 2,853.69                           | -                             | 1,415.61          | 60.46                | -            | 15.59                                        | 52.19                                            | 4.90                                | 55.79                             |
| Turnover (Total Income)                                                                                                     | 846.23            | 77.45                      | 2.25                          | 1,478.21                           | 0.16                          | 5,211.44          | 1,513.11             | 124.30       | 116.72                                       | 220.25                                           | 2.41                                | 16.40                             |
| Profit/(Loss) before taxation                                                                                               | 353.25            | 45.27                      | 0.98                          | 800.57                             | 0.98                          | 1,085.32          | 489.12               | 59.54        | (4.42)                                       | (74.88)                                          | 0.10                                | (1.36)                            |
| Provision for taxation                                                                                                      | 94.29             | 4.62                       | 0.24                          | 204.36                             | -                             | 279.71            | 123.00               | 15.48        | (0.77)                                       | (18.61)                                          | -                                   | -                                 |
| Profit/(Loss) after taxation                                                                                                | 258.96            | 40.65                      | 0.74                          | 596.21                             | 0.98                          | 805.61            | 366.12               | 44.06        | (3.65)                                       | (56.27)                                          | 0.10                                | (1.36)                            |
| Proposed Dividend and Tax (including cess thereon) (Refer Note d)                                                           | -                 | 15.00                      | -                             | -                                  | -                             | -                 | -                    | -            | -                                            | -                                                | -                                   | -                                 |
| % of shareholding                                                                                                           | 100%              | 100%                       | 75%                           | 75%                                | 100%                          | 100%              | 100%                 | 67%          | 100%                                         | 100%                                             | 100%                                | 47.27%                            |

The audited/unaudited financial statements of the above subsidiaries and step down subsidiaries have been drawn up to the same reporting date as that of the Bank, i.e. 31 March, 2026.

### Notes:

- Asset/Liability items are stated in INR equivalent of USD (\$1 = ₹94.835 as on 31 March, 2026). Profit and loss items reported in INR based on rates prevailing on the date of transactions.
  - Axis Capital USA LLC is a wholly owned subsidiary of Axis Capital Ltd. (a wholly owned subsidiary of Axis Bank Ltd.). Asset/Liability items are stated in INR equivalent of USD (\$1 = ₹94.835 as on 31 March, 2026). Profit and loss items are stated in INR equivalent of average rate during financial year ended 31 March 2026.
  - In terms of revised Accounting Standard (AS) 4 'Contingencies and Events occurring after the Balance sheet date' as notified by the Ministry of Corporate Affairs through amendment to Companies (Accounting Standards) Amendment Rules, 2016, dated 30 March, 2016, proposed dividend has not been recognised as a liability by the subsidiaries as on 31 March, 2026.
- Names of subsidiaries which are yet to commence operations: Nil
  - Names of subsidiaries which have been liquidated or sold during the year: Nil



**Part “B”: Associates**

(₹ in crores)

| <b>Name of Associates</b> |                                                                            | <b>Axis Max Life Insurance Ltd.</b> |
|---------------------------|----------------------------------------------------------------------------|-------------------------------------|
| 1.                        | Latest audited Balance Sheet Date                                          | 31 December, 2025                   |
| 2.                        | Date on which the Associate was associated or acquired                     | 6 April, 2021                       |
| 3.                        | Shares of Associate held by Axis Bank Group at 31 March, 2026              |                                     |
|                           | Number of equity shares                                                    | 392,024,831                         |
|                           | Amount of Investment in Associate                                          | 2,367.35                            |
|                           | Extent of Holding %                                                        | 19.02%                              |
| 4.                        | Description of how there is significant influence                          | Note 3                              |
| 5.                        | Reason why the Associate is not consolidated                               | N.A.                                |
| 6.                        | Net Worth attributable to shareholding as per latest audited Balance Sheet | 6,125.60                            |
| 7.                        | Profit/(Loss) for the year                                                 |                                     |
|                           | Considered in Consolidation                                                | 54.09                               |
|                           | Not considered in Consolidation                                            | 230.29                              |

**Note:**

- Names of Associate which is yet to commence operations: Nil
- Names of Associate which have been liquidated or sold during the year: Nil
- As per Accounting Standard 23 issued by Institute of Chartered Accountants of India (ICAI), Axis Group is deemed to have significant influence through its voting power and representation on the Board of directors of the investee company.

**Part “C”: Joint Ventures** - Not applicable



# Basel III Disclosures

As at 31 March, 2026

In accordance with RBI guidelines, banks are required to make Pillar 3 disclosures including leverage ratio and liquidity coverage ratio and Net Stable Funding Ratio (NSFR) under the Basel III framework. The Bank has made these disclosures which are available on its website at the following link:

<https://www.axis.bank.in/shareholders-corner/regulatory-disclosure>

## Notes

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